Larsen & Toubro Ltd. (LT)

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"Larsen & Toubro Limited Q1 FY -23 Earnings
Conference Call"

July 26, 2022

MANAGEMENT : MR. P. RAMAKRISHNAN – VICE PRESIDENT , LARSEN & TOUBRO LIMITED

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Moderator : Ladies and gentlemen good day and welcome to Larsen & Toubro Limited Q1 FY23 Earnings Conference Call . As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assist ance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. P. Ramakrishnan . Thank you and over to you sir.

P. Ramakrishnan : Thank you Nirav. Good evening, ladies, and gentlemen. A very warm welcome to all of you into the Q1 FY23 earnings call of Larsen & Toubro Limited. The earnings presentation was uploaded on the stock exchange and in our website around 6.40 PM IST. I hope you have had a chance to take a quick look at the numbers. As per past practice instead of going through the entire presentation, I will take you through the key highlights for the quarter in the next 20 minutes or so, post which we will get in to Q&A.

Before I begin the overview, a brief disclaimer. The presentation which we have uploaded on the stock exchange and our website today, including the discussions during this call contains or may contain certain forward -looking statements, concerning L&T business prospects and profitability which are subject to several risks and uncertainties and the actual result could materially differ from those in such forward -looking statements.

During Q1 FY23, the Indian economy continued to exhibit resilience supported by relatively strong macroeconomic fundamentals and as evidenced by improving high frequency economic indicators. Despite global turbulence and rise in energy prices both government and the Reserve Bank of India have succeeded in maintaining fiscal and monetary stability in th e country. We can safely conclude that , during this quarter , India remained a bright spot amidst continuing global "CHAOS" .

Our group also reported a strong all -round performance in an otherwise seasonally weak quarter.

Before I move further, I would like to mention here that effective April 1, 2022, that is the start of this financial year, the operating segments of L&T have been reorganized in line with the business strategy to be adopted by the company under its 5 -year Lakshya plan 2026. We had articula ted on this aspect when we spoke about the Strategic Plan roadmap for FY26 during the Q4 FY22 earnings call. Just to refresh, some of the existing segments have been realigned to reflect the group's Lakshya 2026 strategy. The changes are as follows.

Energy projects: This is the newly formed segment that constitutes the current segments of Hydrocarbon and Power to reflect the company's integrated pursuit of opportunities in a rapidly transforming energy sector, including green energy EPC opportunities.
The second segment is Hi-Tech Manufacturing; This being a segment that comprises the Heavy Engineering and the Defence Engineering business is being combined to leverage the extensive engineering, manufacturing, and fabrication expertise across the various customer segments.

IT and Technology services : This segment earlier comprising of the listed three IT&TS subsidiaries that is L&T Infotech, L&T Technology Services and Mindtree will now so include the new age b usinesses of Data Centers and e -commerce and digital platforms. Both Data Centers and E-Commerce Digital Platforms are recently incubated businesses were shown under the other segment in the previous year.
Now we cover the financial performance parameters for Q1 FY23. Our group Order Inflows for Q1 FY23 at Rs. 418 billion, registered a y-o-y growth of 57%. Within that , the Projects and Manufacturing business

es secured order inflows of Rs. 281 billion for this Q1 registering a y-o-
y growth of 85%. Our curren t year Q1 Order Inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure, Hydrocarbon and Defence businesses. During the quarter, our share of international orders in the Projects and Manufacturing portfolio are at 33% vis -à-vis 15% in the Q1 of the previous year. The domestic ordering environment in Q1 was also significantly better compared to Q1 of the previous year. At a macro level , there was an improvement in domestic tendering and awarding activity. Secondly, we expect public Capex spends comprising of Centre, States, Public Sector Units in the current year to be better than that of the previous year. Hopefully, the private Capex would also witness improvement in the second half of the current year.Our order prospects pipeline for the remaining nine months of the current fiscal is around Rs. 7.6 trillion comprising of domestic prospects of Rs. 6.1 trillion and international prospects of Rs. 1.5 trillion. The broad breakup of the over all prospect pipeline of Rs. 7.6 trillion is as follows: Infrastructure Segment Rs 5.6 trillion, Energy Rs 1.6 trillion and Other P rojects and Manufacturing around Rs. 0.4 trillion. Finally , we remain confident of achieving the annual guidance we gave on o rder inflows at the beginning of this year.
Moving on to order book; our order book at Rs. 3.63 trillion as on June '22 is once again at the record high. As our Projects and Manufacturing business is large ly India centric, 72% this orderbook is domestic a nd the balance 28% is international. Of the international order book of roughly around Rs. 1 trillion , around 79% is from the Middle East and 11% from Africa. The remaining 10% is from various countries including Southeast Asia. Clearly the Middle East Capex in Infra and Hydrocarbon is on an upswing post recovery in the oil price s.The breakdown of the domestic order book of Rs. 2.63 trillion as the June is as follows; Central Government 11%, State Government 30%, Public Sector Corporations of State-Owned Enterprise at 42% and Private Sector at 17%. Approximately around 26% of this total orderbook Rs. 3.63 trillion is funded by bilateral and multilateral funding institutions. As you can see from the slides, 91% of our total orderbook is from Infrastructure and Energy. Again, within Infrastructure our order book is well diversified across various businesses like Heavy Civil, Water, Power Transmission and Distribution, Buildings and Factories, Transportation Infrastructure and Minerals and Metals. Finally, during the quarter, we have deleted around Rs. 14 billion of non -moving orders from the orderbook. Our share of slow -moving orders in the order book is just around 3%.
Coming to revenues; our Group Revenues for Q1 FY23 at Rs. 359 billion registered a y-on-y growth of 22%. International revenues constitute 37% of the revenues during the quarter. The IT&TS portfolio continued to report indus try leading growth in Q1 as well. In the Projects and Manufacturing business portfolio, our revenues for Q1 FY23 were at Rs. 221 billion thereby

registering a y-o-y growth of 23%. The robust execution in Infrastructure and Power within the Projects and Manufacturing business portfolio during the quarter was to some extent offset by other businesses. I will cover the details a little later when I cover each of the segments. We remain confident on achieving the annual guidance on revenue given at the start of this year.
Moving on to EBITDA margin; group level EBITDA margin without other income for Q1 FY23 is 11% vis -à-vis 10.8% in Q1 FY22, up by 20 basis points. The detailed breakup of the EBITDA margin business wise is given in the annexure to the analyst pr esentation. You would have noticed that the EBITDA margin in the Project and Manufacturing bu

siness for Q1 FY23 is at
8.2% vis -à-vis 8.8% in Q1 FY22. This drop of 60 basis points for the quarter is explained by cost headwinds and the change in the job mix. Despite the recent correction in commodity prices, our average procurement cost for the quarter was still higher compared to the corresponding quarter of the previous year. We retain our annual guidance on EBITDA margin in our Projects and Manufacturing portfolio at 9.5%. The recent commodity price correction brings in the much - needed relief but since our EBITDA guidance for the current year was constructed basis average price levels of FY22 , we believe it is prudent to retain the margin guidance for the year at a same level at this juncture. We will have better visibility on improvements if any as the year progresses.
Our operational and report ed PAT the quarter at Rs. 17 billion, registers a healthy growth of 45% over previous year Q1, largely aided by the improved group level EBITDA margin as well as improved treasury operations and a lower tax expense. The group performance P&L construct along with the reasons for major variances under respective function heads is provided in the analyst presentation.
Coming to working capital; our NWC to sales ratio has improved from 22.9% in the Q1of the previous year to 20.9% in the current quarter. Howeve r, this ratio has moved up from 19.9% reported as on March 22 . NWC to sales moved higher on a sequential basis primarily due to vendor payments which fell due during the quarter. As we have stated before, Q1 of every financial year is seasonally a weak qua rter for customer collections. Having said that , let me mention here that our customer collections for Q1 FY23 is substantially higher than that the corresponding quarter of the previous financial year. Our group level collections excluding financial servi ces for Q1 FY23 is around Rs. 0.34 trillion vis -à-vis Rs. 0.27 trillion in Q1 FY22. Although we expect some interim volatility in the NWC to sales ratio for one or two quarters, will endeavor to bring down our NWC to sales ratio closer to 20% by March '23. Just to reiterate here, we had guided for NWC to sales ratio of ranging between 20% to 22% for FY23.
Moving on to the Balance Sheet; if you glance through the Balance Sheet given in the annexures to the analyst presentation, you would notice that at the group level, the group debt equity ratio has improved over March '22. We are at the same net debt equity ratio in June '22 vis -à-vis March '22. This is mainly due to repayment liabilities of the financial services business around Rs. 36 billion and develop ment projects Rs. 19 billion offset by Rs. 23 billion increase at the parent. Some portion of our debt in the parent company is coming up for repayment and therefore

this incremental borrowing at parent is largely front ended in an environment of rising in terest rates.
Finally, our trailing 12 -month ROE for Q1 FY23 is 11.5% vis -à-vis 17.2% in Q1 FY22. As you are aware, the trailing 12 -month ROE for Q1 FY22 includes the benefit of the onetime gain on the divestiture of our Electrical and Automation business net-off exceptional items. However, on a sequential basis our ROE has improved from 11% in March '22 to 11.5% in June '22, an improvement of around 50 basis points. A robust business portfolio, improved working capital management, focus on cash generation/ distribution and finally divest ment of non-core assets will lead to better ROEs .
Very briefly I will now comment on performance of each business segment before we give our final comments on our outlook for the near term.
Infrastructure segment: On order inflows, our Q1 FY23 order inflows are well spread across various subsegments. Inf rastructure segment secured orders of Rs. 183 billion for Q1, registering a healthy growth of 66% over Q1 the previous year. During the quarte

r orders well diversified
across public spaces, metros, waste management and wastewater , minerals and metals, fact ories, data centers and power transmission and distribution. Our order prospect pipeline in infra for the remaining nine months of the current financial year is around Rs. 5.61 trillion comprising of domestic prospects of Rs. 4.76 trillion and internationa l prospect of Rs. 0.85 trillion. The sub - segment breakup of the total order prospects in infra is as follows; Power Transmission and Distribution would be around 19%, Water 22%, Transportation infrastructure 19%, Heavy Civil 18%, Buildings and Factories 20 % and Minerals and Metals for the balance. The order book in this segment is at Rs. 2.64 trillion as on Jun '22. The book to bill for Infrastructure segment is around 3 0 months. The Q1 revenues at Rs. 142 billion registered a growth of 36% over the comparab le quarter of the previous year aided by improved execution momentum as the COVID related challenges receded in the current quarter. Our EBITDA margin in this segment dropped from 7.1% in Q1 FY22 to 6.5% in Q1 FY23, largely impacted by input cost escalatio n and changes in the revenue mix.
Moving onto the next segment which is Energy Projects; the receipt of a large order from the Middle East in the offshore vertical of Hydrocarbon business buoys order book of this segment where the subdued ordering environm ent continues in the thermal power business. The order

prospects pipeline of Rs. 1.6 trillion in this segment for the balance nine months is healthy. The order book for this Energy segment stands at Rs. 654 billion as on June '22 with the international order book constituting 58% . The Q1 FY23 revenues at Rs. 50.7 billion registers a growth of 3% over the comparable quarter of the previous year, that is largely attributed by he althy execution in the Power business on the back of robust opening order book. The Hydrocarbon revenues on the other hand was impacted to some extent due to client delays and supply chain issues. The EBITDA margin for the segment at 8.5% for Q1 FY23 impro ved compared to 7.5% of the corresponding quarter of the previous financial year. The execution cost savings aided Hydrocarbon margin where cost contingency release improve s the Power margin.

We will now move on to the Hi-Tech Manufacturing segment compris es the Heavy Engineering and Defence Engineering businesses. In Q1 FY23 this segment witnessed the broad base d pickup in order inflows across the Defence and Heavy Engineering businesses. We have an order prospect pipeline of Rs. 300 billion in the remaini ng three quarters of the current financial year. The order book of this segment is at Rs. 194 billion as of June 30th, 2022 . The revenues for Q1 FY23 at Rs. 12.7 billion registers a marginal growth of 3%. Improved execution drove Heavy Engineering revenue whereas tapering of certain shipbuilding jobs in the Defence Engineering business impacted Defence revenues. The EBITDA margins in this segment is at 15.1% in Q1 FY23 vis -à-vis 19.2% in Q1 FY22. The previous year margin in the segment was higher primarily due to release of cost provisions on the completion of a key project and also due to recognition of certain claims. As we rep eat in every quarter, let me once again mention that the Defence Engineering business does not manufacture any explosives, nor ammu nitions of any kind including controversial weapons. The business also does not customize any delivery systems for such ammunitions.

Coming onto the IT&TS portfolio; our revenues for Q1 FY23 at Rs. 94.2 billion registered a growth of 30% over the correspo nding quarter of the previous year, reflecting the continuing growth momentum in this sector with a surge in demand for technology focused offerings. The business outlook for the segment continues to be good. Lot of spends today are being directe

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towards Cloud, data security, machine learning and artificial intelligence. The margin for this segment is a function of wage cost offset by operational efficiency. The merger between LTI and Mindtree is progressing satisfactorily and should hopefully be concluded by the end of this financial year once all the regulatory approvals are obtained. I will not delve too much on this segment as the factsheets of all the three companies are already available in the public domain.

We will now move on to the Financial Services segment . Here again L&T Finance Holdings is a listed subsidiary and the detailed results are available in public domain. L&T Finance 's thrust towards retailization continues and as of June 22, the share of retail in the overall book has moved up to 54%. The strategic deliverables in this business revolve around portfolio reorganization, strong asset quality and improvement in return on a ssets. This business endeavors to be a top class digitally enabled Retail Finance company moving from "product focus " to a "customer focus " approach. Finally, to conclude, sufficient growth capital is available in the Balance Sheet.

Moving onto Development Project segment; this segment currently includes the Power Development business that comprises of Nabha Power and in Q1 of the previous year also included Uttaranchal Hydropower that was divested in August 30th, 2021 . Besides Nabha Power, the segment also includes Hyderabad Metro. As you may be aware, the roads & transmission line concessions which are forming part of L&T IDPL are consolidated at a PAT level under the equity method. The majority of revenues in the segment is contributed by Nabha Power . Improved ridership with Metro and 95% average PLF in Nabha drive revenue growth for this segment in Q1 . Just to give you on some statistics, the average Hyderabad Metro ridership improved from 55,000 passengers a day in Q1 FY22 to around 2,85,000 passengers p er day in Q1 FY23. Our average ridership in the preceding quarter that is Q4 FY22 was 1,99,000

passengers per day. We are happy to report that as we speak the current ridership in Metro has also touched a peak of 3,77,000 passengers on one of the days this month. The Q1 FY23 margin in this segment at 4.5% is contributed by Metro operations only as Nabha margin is not be ing recognized from Q3 of FY 2021. The improvement in average daily ridership has enabled Metro to report positive EBITDA for Q1 FY23 vis-à-vis as EBITDA loss for Q1 FY22. The Metro at a PAT level reported consolidated loss of Rs. 3.25 billion in Q1 FY23 vis -à-vis a loss of Rs. 4.72 billion in Q1 FY22. The operating and amortization cost are around Rs. 0.75 billion whereas

interest cost is Rs. 3 billion for the quarter.
At this juncture I would like to give you a quick status update on the divestments of our concession portfolio. As all of you are aware our stake in Hydel Power Plant that is Uttaranchal Hydropower Project was successfully invested in Q2 FY22 . For Nabha , various divestment options are being explored currently. Coming to IDPL, we are also exploring the possibility of divesting our remaining 51% stake in favor of third -party investors. For Metro with a prospect of improved ri dership and the confirmed government assistance including a phased TOD monetization and with the recently concluded debt refinancing, the performance parameters for Metro should look up in FY23. We are also discussing with strategic investors for equity in fusion into the SPV however it is premature to comment on timelines at this juncture.
Moving on to the last segment, "Others" segment; this segment comprises Realty, Industrial Machinery, Industrial Valves and Smart World and Communications business es. Du ring the quarter, the strong revenue growth in Realty and Industrial Machinery business es was offset by subdued rev

enues in Valves and Smart World and Communications. Realty revenues were primarily driven by higher handover of flats. T he revenues for this segment at Rs. 16 billion registered a growth of 21% over the corresponding quarter of the previous financial year. The EBITDA margin for this segment at 17.2% for Q1 FY23 remained stable compared to 17.1% in Q1FY22.
Coming to the last part of my presentation; we remain optimistic on India recovery despite the ongoing global geopolitical uncertainty. The government's persistent efforts to jumpstart economic growth through higher infrastructure spend and incentivizing d omestic manufacturing should yield benefits in medium term. Possibly the Private Capex should also join this bandwagon in a couple of quarters. On the global front amidst a continuing chaos, we are closely monitoring the movement of commodity prices and resultant supply chain disruptions. Surprisingly, the Middle East has better budget visib ility due to the high energy prices and continues spend s on Hydrocarbon and Infrastructure projects. This augurs well for us in terms of providing a larger scope of contracting opportunities. For the year FY23 we retain our guidance of 12% to 15% growth in the group order inflow and revenue and our margin in our Projects in Manufacturing business portfolio to remain at around 9.5%. On the working capital side, the group level NWC to sales, we have given a guidance for range of 20% to 22%, however we will co ntinue to endeavor to end March '23 at around 20%. The Company in its first -year post announcing its Lakshya 26 strateg ic plan expects to continue its planned trajectory of profitable growth , to efficient and timely execution of its large orderbook and alo ng with this many value enhancing measures, retain its leadership position and improve shareholder value

on a sustainable basis. The company is on the path of diversification into new businesses of green energy and e -commerce and digital platforms and at t he same time pursuing exit options/or limiting exposure in non -core businesses over this Lakshya 2026 strategic plan period. Thank you, ladies, and gentlemen for the patient hearing. We will now take the Q&A.
Moderator : Thank you very much . We will now beg in the question -and-answer session. The first question is from the line of Mohit Kumar from DAM Capital Advisors .
Mohit Kumar : Has your confidence level on the order prospects have improved compared to the end of Q4? It seems there has been increase in prospects because I think the prospect come down from Rs 8.5 trillion to Rs 7.6 trillion while the last quarter order inflow was around 40,000 crores and which are the segments where the prospects have improved?
P. Ramakrishnan : In fact, at th e start of the year we had given the order prospects at around Rs. 8.6 trillion and today it is at Rs 7.66 trillion . Even at the start of the year , we were very careful in targeting the opportunities that will come up and we were pursuing a very selective bidding approach during the quarter and the awards that got finalized and the share of L&T awards, we do believe that we have against the current order prospects of Rs. 7.66 trillion , considering the award win ratio that we expect to happen, we are reasonably confident to meet the order inflow guidance of 12% to 15% that we have given. Essentially , the orders that we expect to happen in the next nine months , in that once again Infrastr ucture will continue to have a lion's share and followed by Hydrocarbon opportunities. As I mentioned just now that the Hydrocarbon opportunities in the Middle East has also picked up and we do believe that we have a fair share of order wins in the next 9 months or so.
Mohit Kumar : On the Private Capex , first time we are seeing a very -very positive commentary compared to last few quarters. How confident ar

e you of Private Capex to pick up especially in 12 to 24 months horizon?
P. Ramakrishnan : In sense of L &T's scope in the Private Sector Capex, I would say would be largely focused on

the Minerals and Metals and to some extent in the Buildings and Factories space. As is already available in the public domain, the Steel sector and including the other Non-Ferrous metal producers are looking forward to expansion of their existing production lines including putting in additional complimentary equipment i n their existing plants. Most of the metal majors in this country are longstanding L&T clients and we do expect that the announcement that they have been making should fructify into reasonably good ordering opportunities at least in the later part of the c urrent financial year. Similarly on the Infrastructure side, we see a reasonable uptick of opportunities in the IT real estate space, many of the IT companies given the fact of a hybrid kind of a working environment, they are also looking forward to puttin g more number of campuses if not in size but more in terms of campuses across the country as they tap talent to work from a sort of work from anywhere kind of a situation. So, we do expect some amount of Capex opportunity to come for us. Besides this , the country is also witnessing lot of investments in Data Centers and there again L&T does have a belief that in some of these data centers ordering that will happen , L&T stands to get a good share. Lastly, the e -commerce businesses

are also set to expand thei r delivery capabilities and that requires more amount of logistics and warehousing spaces and we do expect strong momentum of ordering opportunities in this segment as well.

Mohit Kumar : Are you bidding for coal -based projects or it’s a completely no -go fo r us?

P. Ramakrishnan : Since the last quarter earnings call, the coal -based opportunities have improved substantially . Some of the major thermal power producers are thinking of putting up new plants, almost in the nature of 6000 to 7000 MW. But obviously there is a good amount of competition and we will be selective in bidding in this segment . But definitely we see an uptic k of opportunities coming up for coal -based power plants in the near term.

Moderator : The next question is from the line of Ashish Shah from Centrum Broking Limited .

Ashish Shah : My first question is on the Hyderabad Metro . So could you update on what is the status of the support that we are expecting from the Telangana government, where are we in that process? And secondly the cash flow one sees of Rs 910 crores of long -term investment being made in the first quarter, so would that be to support Hyderabad Metro or if any some other asset that were we have mustered ?

P. Ramakrishnan : So, the first point of your question Ashish is that with respect to the Hyderabad Metro, the Metro SPV company has executed the supplementary agreement with Hyderabad Metro Rail Corporation which is the granter of the concession and we are looking at getting a funding assistance of almost Rs 3,000 crores odd in the next 2 years in the form of term interest -free loans. We also have the approval of the granter to monetize TOD right s that the L&T Metro Rail Corporation has, the approval contains in terms of delinking our ability to monetize TOD irrespective of whether the Metro operations continues with L&T or not. So, to that extent it’s a very favorable development . We have been talking of this in the past as well but I would like to tell you that in the current month we have executed the supplementary agreement and that is going to hopefully —as I stated earlier stated earlier in this ca ll—the improved ridership, the government assistance, the TOD monetization and the possibility of a new investor if we are able to tie it up, obviously the impact of Hyderabad Me

tro on L&T’s financials should hopefully come down. Secondly to the question o f the long -term investments , the other question that you talked about that is essentially L&T Finance security receipts by converting some part of their loan book into ARC.

Ashish Shah : So, what is the support that we would have given for Hyderabad Metro t his quarter or nothing?

P. Ramakrishnan : The financial support that we gave in the current quarter is almost around Rs 230 crores odd and the exposure of L&T to Hyderabad Metro as of June is around Rs 7,400 crores.

Ashish Shah : Just one more bookkeeping , the tax rate for the quarter is low. So , what is driving that low tax rate and in general what should we expect for F Y23 because it’s kind of becoming very difficult to plug-in that tax rate, if you can help us, it will be great.

P. Ramakrishnan : In this quarter , as you may be aware Mindtree has shifted from the old tax regime to the new 25.19 tax regime during current quarter and this is a CFS adjustment, that is the consolidated financial adjustment pursuant to Mindtree shifting to the new tax regim e at a lower rate, the deferred tax liability that we had accrued at the older rate at the consolidation level has also taken an appropriate entry and to that extent the tax provisions I would say has been by way of a credit in the DTL of almost Rs. 134 cr ores. To that extent I would say it’s a one -off event in the current quarter. This should not happen again. So, basis that you can see in the next nine

months, the normalized tax rate should apply across the group.
Ashish Shah : Would that be like closer to 30% on a consolidated basis?
P. Ramakrishnan : It would be around 25% to 27%.
Moderator : Next question is from the line of Ankur Sharma from HDFC Life Insurance .
Ankur Sharma : I have three questions. One, little surprised to see the slowdown in execution on the hydrocarbon business given the fact that we have had a very strong order book as of end of FY22 . So wh ile you did highlight some supply chain issues from client , if you can just help us understand is this more of a Q1 phenomenon picks up as we go through the coming quarters?
P. Ramakrishnan : So, Ankur, let me tell you that this is a Q1 specific issue that there were certain client delays in terms of approvals and there was some supply chain issues. It doesn't mean that the execution momentum will n ot get into higher level. This is specific to Q1. We don't expect that to happen in the balance nine months.
Ankur Sharma : Secondly on the infra margins, now of course the backdrop is that RM prices have corrected meaningfully across to pretty much all met als, so fair to assume that at least as we go into the coming quarters at least on a Y -o-Y basis we start seeing margins on the infra segment look higher, would that be a fair assumption? Not wanting exact number here but at least on a y-o-y basis is it fa ir to assume that Infra margins would be better from Q2 onwards on a Y -o-Y basis ?
P. Ramakrishnan : So, in Q1 FY23, the Infra margins was at 6.5% as compared to 7.1% in the previous year. Now instead of talking specific to Infra margins , if I take as the Projects and Manufacturing portfolio given the fact that this EPC contracting company, quarter -on-quarter developments on the execution side, the amount of projects that get into valuation threshold, the closure of projects, the release of cost provisions towards closure, all of that is in a sense a dynamic situation. However, in Q1 the impact of the drop is largely because o f commodity prices because these procurements what we have put on the site during Q1 are essentially against orders that we have been placed in the previous quarter at elevated commodity prices. But going forward whatever procurements that will happen that will get into the activity level and thereafter for reve

nue
recognition, hopefully I think it should be at a lower level. But as I said during the early part of my call , while we gave a guidance on the entire Projects and Manufacturing portfolio at 9.5%, we also stated that the cost of commodity prices that we have taken for FY23 is an average of FY22 and what we see today is essentially th at most of the prices are coming to what we call in

FY22 average levels. So, this in a way has been factored in our yearly guidance that we had provided at 9.5 %.
Ankur Sharma : And lastly, so just on the domestic ordering and it's nice to know the pipeline which I think now you share every quarter and that's extremely helpful. But just going in the domestic part a li ttle more in terms of end segments within the domestic infra piece. Which segments look more promising ? State ordering obviously has been quite we ak over the last year or so , which is reflected in weak in Water in some way and other segments as well. So, just if you could help us sitting here today, which are the segments you are most positive on. We have also heard about some tendering pickup on the Bullet train side for Maharashtra section as well. So, some color there will be appreciated.
P. Ramakrishnan : Ankur, the total order prospects pipeline for the balance nine months that I mentioned at Rs. 7.6 trillion, against that Rs. 6.14 trillion is domestic opportunities. If I give you a slightly granular details, in terms of infrastructure segmen t, that comes to around Rs. 4.76 trillion against the Rs. 6.14 trillion , that's the order prospects we have for domestic infrastructure and there where we see in terms of the order prospects which are likely to come into ordering momentum; in the Buildings and Factories sub -segment we do see lot of ordering opportunities across public spaces and Health. When I refer to Public Spaces, I am referring to Central Secretarial, State Secretariat buildings, I am referring to railway station s, new railway station d evelopments and on the Health, a lot of money is being spent at the various state level s on setting up of Hospitals. So, this itself is a significant chunk in the B&F portion, that is Buildings and Factories. In the Heavy Civil portion of the prospects, we do feel a lot of opportunities or prospects in terms of Hydel and Tunnels and Metro s, this itself is a large piece of action that we expect to happen. The Water segment also has a lot of opportunities in rural water supply and irrigation projects; again, a major part of the entire prospect of opportunities in the Water segment. Power Transmission - Distribution Almost 70% of the opportunities coming from the Transmission & Distribution segment, the balance 30% is Renewables. That's the overall on the Infrastructure piece in terms of where do we see opportunities, public spaces, health, hydel projects and tunnels, Metro, rural water supply, irrigation and the entire scheme of renewables and power transmission - distrib ution. Coming to the Hydrocarbon's piece, the total prospects pipeline in domestic is around Rs. 0.39 trillion largely comprising of Onshore and construction related prospects . In the Power segment, as I responded to an earlier question, Power opportunitie s in India is almost Rs.

0.58 trillion largely led by coal which is around Rs. 0.49 trillion. And coming to Defence, we do
have almost Rs. 0.25 trillion of order prospects that we are looking at in the next nine -months or
so.
Moderator : The next question i s from the line of Sujit Jain from ASK Investment Managers.
Sujit Jain: If you can quickly spell out the balance sheet for Hyderabad Metro as in the equity, the debt,
cash support from L&T and accumulated losses?
P. Ramakrishnan: So, the total balance she et would be in the range of Rs 19,000 crores. So, if I say the total balance
sheet of around Rs 20,000 crores out of whic

h L&T equity is Rs 2,400 crores odd, then there is

a total external borrowings of around Rs 13,000 crores and the balance as I said L&T's exposure
to Hyderabad Metro is around Rs 7,400 crore minus Rs 2,400 crore equity, so that comprises the
additional funding assistance. So, Rs 13,000 external borrowings plus L&T exposure at Rs 7,000
crore, that sums up at 20,000 crores.
Sujit Jain: And the current accumulated losses as they stand?
P. Ramakrishnan: Would be around 4,000 crores.
Sujit Jain: And just to quickly understand the sales, the OPEX, depreciation, interest, and tax for the
quarter?
P. Rama krishnan: I have already told that, that it is around Rs. 0.75 billion each for the quarter and Rs. 300 crores
as interest.
Sujit Jain: If you can just spell out the depreciation so that we can back calculate the cash loss?
P. Ramakrishnan: Rs. 75 crores per quarter.
Sujit Jain: What will be the capital employed that will get released from the three assets that is L&T -IDPL
51% stake, Nabha power, Hyderabad Metro you have already told. If these were to get sold what
is the capital employed that is cu rrently sta ying on the consol idated balance sheet?
P. Ramakrishnan: As I mentioned earlier , we are looking forward to limit our exposure in the concessions, We are
looking to divest in IDPL and also Nabha Power , so it is all work in progress. So, in terms of
our exposure to IDPL , it would be around in the nature of Rs 1,100 crores and Nabha exposure
around Rs 2,400 crores. That's the current carrying value that we have but question of time as
to when we will release and how much we will release.
Sujit Jain: And one just last question on slide #26, that is your cash flow statement. Net sale and purchase
of current investments that has released Rs. 28 billion for Q1 FY23. If you can just explain that?
P. Ramakrishnan: That's a reduction of our I would say over all surplus that we have at the group level, cash surplus.
Sujit Jain: And the long -term investment sale 9.1 was on the account of?
P. Ramakrishnan: As I said earlier that there has been the sale of a portfolio of L&T Finance to ARC , Security
receipts of almost Rs 645 crores.
Moderator : The next question is from the line of Renu Baid from IIFL Securities.
Renu Baid: Two questions from my side. First, if you can help us understand there seem s to be one or two
orders which were de -booke d this quarter. Can you elaborate which segments or which orders
were they related to; domestic, international, which business segment?

P. Ramakrishnan: In terms of the international orders, we had secured one order in the Hydrocarbon space, one
large orde r and in the other part we had secured one reasonably large order on the Defence
Engineering space also and similarly we have secured one order in the Middle East with respect
to Power Transmission and Distribution. All of this would be aggregate to our ar ound 10,000
crores or so.
Renu Baid: Which segments were the orders which were canceled during the quarter or which were de -
booked related to?
P. Ramakrishnan: That's a small amount, essentially it was smaller orders, some amount of smaller orders
aggregat ing to 1,400 crores essentially in Power Transmission & Distribution and Transportation
Infrastructure.
Renu Baid: So, nothing material there?
P. Ramakrishnan: Yes.
Renu Baid: Secondly on the infra margins , though we understand that it was more of a transient impact of
commodities cost but if you see , fourth quarter also there was an impact of commodities because
of which we missed on the infra margin front marginally and on the onset of this year itself inf ra
margins have been sub 5%. So, broadly while the guidance is for the entire segment and not just
sub-segment infra which is say today

but do you think that infra margins is itself as a sub -
segment should be back to 8% -9% levels once these commodity press ures ease out and the mix
of projects which are under execution start?
P. Ramakrishnan: So, Infra margins last year was around 8.2% Renu , but as a guidance you will know that L&T,
we give guidance at the overall P&M segment for obvious reasons , because eac h of these sub -
segments are essentially in aggregate of pursuing EPC opportunities across multiple segments.
So, in some segments you could have a mix of jobs that have get into margin recognition, some
segments are having some orders getting in the closur e where we will be able to get some margin
releases, if the margins have been higher than what we bid for. But when we gave the construct
of 9.5 %, it is an overall construct at the overall portfolio level of Project and Manufacturing
basis the assumption t hat commodity prices in FY23 will be an average of what FY22 was. Q1
did not witness that because obviously the cost that have been booked is basis the elevated
commodity prices that was there prevailing in the last 6 months or so but now with the recent
softness in the commodity prices , hopefully the procurement cost also should come down and
hopefully result into better margins in each of the segment and having said this, at this juncture
we would still like to maintain at 9.5 %. We are working to improving margins through better or
improved execution of projects and also possibly , if some of the customer claims that we have
factored in last financial year that did not materialize, if they could materialize , we should
hopefully improve the margin tr ajectory from whatever we have given guidance.

Renu Baid: And just to clarify , the margin guidance probably you will not assume much of, I mean the Bullet
Train project margin , this would be the first proper full year of execution, we may not be able to
cross the threshold limits, this fiscal?
P. Ramakrishnan: The C4 and C6 Packages of the orders have actually crossed the threshold margin in the Q4 of
the previous year. So, yes, the momentum of execution will be the maximum in the current year
and possibly in the next year as well.
Renu Baid: And lastly what percentage of the backlog that we have today is on fixed price basis?
P. Ramakrishnan: Is still around the same level Renu that at the overall Projects and Manufacturing portfolio we
would have one -third of the contracts at fixed price, the balance to two -thirds I would say
variable price in terms of actual reimbursements or linked to indexes.
Moderator : Next question is from the line of Aditya from Investec.
Aditya: Certain Middle East media articles have indicated that L&T has been the lowest bidder in a fairly
large hydrocarbon renewable facilities contract for Neom . Anything that you can speak about on
that contract?
P. Ramakrishnan: At this juncture , I think we w ill not be in a position to comment on client names or the sectors .
So kindly excuse me for that.
Aditya: Sure, but are we pursuing Renewable and Hydrogen opportunities actively in the Middle East?
P. Ramakrishnan: Like the way we are pursuing our competen cies for opportunities in India, the same stress and
emphasis goes on to Middle East as well.
Aditya: Just wanted to clarify, roughly similar time last year, our order pipeline would have been
somewhere around Rs. 8.9 to 9 trillion so to that extent?
P. Ra makrishnan: Rs. 8. 9 trillion was the order pipeline.
Aditya: So, in overall pipeline terms we may be slightly lower as was the case at the beginning of the
year we are possibly?
P. Ramakrishnan: Like the way we started last year with a 9.06 pipeline but th is time we started the year at around
8.9 trillion. So, this time we have been a little , I would say , selective in pursuing the bids and
the ordering opportuni

ties. So, we do believe with a better run rate on awards happening and we
getting a fair share, w e are reasonably confident to get into the guidance of 12% to 15% that we
have provided for order inflows.
Moderator : The next question is from the line of Kunal Sheth from B & K Securities.

Kunal Sheth: I just wanted to hear your thoughts on how has been the execution environment, specially both
on Domestic and Overseas side? Has it improved and are we seeing any major constraint or now
more or less most of the issues are behind us and we will see a much easier execution going
ahead?
P. Ramakrishnan: So, Kunal, I will restrict myself to Q1. Q1 was just like any other normalized quarter for L&T
prior to the onset of COVID in terms of workforce ability, in terms of overall supply chain as
well. However, as w e normally see in any normalized quarter pre -COVID, you can have certain
things like the way I talked about in Hydrocarbon, there were right of way issues, client delays
in approvals and even some supply chain disruptions. I won’t say supply chain disrupti ons,

supply chain delays. So, I would put it like this, it seems to be a normalized nine - months as well but you never know because with COVID gone, now we are talking of something else like monkeypox and so on . So I would say as it stands now, it's a norm alized execution environment. The only one point I would like to emphasize is that L&T for the last 2.5 years or so, we have been focusing on execution ramp -up which is a direct function of payments from clients happening on time. So, if we find that any p articular project, the periodicity of payments is getting delayed or there has been substantial delay in payments, in such cases we are consciously ramping down, we are bringing down the execution in such of those sites. But otherwise from an environmental perspective as it stands now, it is normal.

Moderator: The next question is from the line of Deepika Mundra from JP Morgan.

Deepika Mundra: I mainly wanted to understand how the commodity price, the recent fluctuation is impacting order inflows as well as execution? Are you seeing better traction on the prospects materializing because of a shift in the commodity prices?

P. Ramakrishnan: See Deepika , I mean I have to provide you a statistic here because I think that statistic itself will communicate in a way that the ordering momentum as far as India and Middle East is concerned which are the two primary geographies for our Projects and Manufacturing portfolio seems to be quite robust. The tendering activity. in terms of the tenders that got announced in Q1 FY23 was almost Rs. 2,566 billion, Rs. 2.5 trillion as compared to Rs. 1.35 trillion of Q1 FY22 which is almost an increase of 90% and obviously the tenders that have been opened out in the current quarter at that Rs. 2.56 trillion obviously takes i nto account that the clients are aware of the increase in the commodity prices and the award to tender ratio, a more important metric , as for Q1 FY23, the award to tender ratio stands at 70% as compared to Q1 FY22 at 39%. So, we believe this itself in a wa y communicates that , yes, commodity prices have gone up, project cost have gone up but I guess the kind of the India growth trajectory that we believe is going to be fairly positive; the government tax collections also has been quiet higher than what was expected. The government has, it seems had collected 7 lakh crores of total aggregate of taxes in Q1 which is far ahead of the estimates, far ahead of almost a 25% increase of Q1 of the previous year. So, with improved tax collections we believe that the or dering momentum will continue, largely led by the Government. Of course, there can be Black Swan events but at this juncture , looks to be fairly good for India and we do believe that India continues to be a good spot for

investment led economic growth mome ntum.

Deepika Mundra: Secondly on the fixed versus variable priced orders. I think last year there were far more variable priced orders which were being booked. On a flow basis, is that changing now with the decline in steel prices?

P. Ramakrishnan: No, ac tually speaking I think last year also in terms of structurally it has been two -third variable and one -third fixed. So, most of the Infrastructure orders are largely orders where we get pass - through mechanism in some form or the other whereas in the case o f Hydrocarbon , typically some of those projects are usually fixed price contracts. Now if the momentum of ordering in Hydrocarbons segment goes up as compared to Infrastructure , then the percentage of the fixed price contract should be inching up higher bu t otherwise if it continues the way it has been for the last 2 years, I guess this 66% -33% kind of a breakup will continue.

Deepika Mundra: And last one, could you comment anything on the competitive intensity in Middle East given that you are seeing so many large tenders coming through?

P. Ramakrishnan: The opportunities especially in the Hydrocarbon segment Deepika, I think is quite robust and I believe that with L&T's capability and its scope of offerings, these two have a good chance of winning some of the packages and there is at this juncture a place for all.

Moderator : Next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: I think last time there was some commentary from your side that because of sudden change in commodity prices, some of the tenders seem to have been delayed, government officials have gone back to r ecalibrate. That seems to have sorted out now, is it?

P. Ramakrishnan: So Puneet , in fact in the second half of the last year, the tenders did get delayed. We did not see tenders being announced in the same robustness that we saw in the previous year two q uarters but the way the first quarter has started as I just now responded to Deepika's question, I think the tendering momentum has regained pace and hopefully I think should continue to remain at elevated levels in the next nine -months as well.

Puneet Gul ati: In terms of the commodity price correction , should we see some benefit coming in Q2 itself or you think it goes with the lag of a quarter or so?

P. Ramakrishnan: I think Puneet, this is the fourth time the question on margins is coming. I have already explained that, that as we speak given our order book and given the kind of execution plan that we have across all the segments, we are fairly confident that we should be able to touch that 9.5% as we close the year. You can have quarter -on-quarter volati lities but that's the intrinsic part of

whomsoever is following L&T business. Typically, the second half of the year is a very busy
second half as compared to the first 6 months and we have started Q1 quite favorably.
Puneet Gulati: Lastly on some of the n ew initiatives that you announced last time. Any capital allocation so far
in Q1 or too early?

P. Ramakrishnan: Still too early, if I see to put it across the cumulative investments that we have made on data
centers and both the e -commerce and digital plat form, all aggregate around 200 crores odd but
no major investment as yet to happen on the green energy side because as we said earlier, the
first priority is to tie up with a technology partner and then set up the JV.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: My first question is, it appears that the domestic order prospects have got a boost related terms
versus overseas because, domestic order prospects have come out at Rs 6.31 trillion in the
beginning of FY23 to about Rs 6.1 trillion now. So, is there any speci

fic sub -segment in domestic
which has been like faring better in terms of new prospects?
P. Ramakrishnan: So, Sumit, in June '21 I think the total order prospects that we had provided was Rs 8.96 trillion
out of which the share for domestic was 70% and today , as we speak the share of domestic order
prospects to the total order pecks at 80% at Rs 6.14 trillion. So, the share of infra was earlier at
Rs 5.05 trillion is ma rginally down to Rs 4.76 trillion , Hydrocarbons in previous June '21 was
Rs 0.52 trillion , it's now at Rs 0.4 trillion , Power is also at Rs 0.58 trillion compared to Rs 0.48
trillion . I don't think there is any structural change in terms of a particular segment showing
higher prospects. I think it's more to do with the fact that we have been a little more selective
this time as compared to the last year into targeting opportunities where we believe that these
are large enough where L&T will bid and have a good chance to win.
Sumit Kishore: Being selective essentially means that you expect a better win ratio as well because you have
been selective ?
P. Ramakrishnan: Time will tell.
Sumit Kishore: You signed, put out a press release that L&T has si gned up three projects worth a billion -dollar
in prime locations in MMR of about 4.4 million square feet with a Rs. 80 billion sort of
development opportunity? So, does that essentially mean that it's like harbinger of a contract for
L&T for construction i n Buildings and Factories which is already been booked or?
P. Ramakrishnan: So, Sumit, obviously yes, we have executed what we call in the industry parlance , a binding
agreement to jointly develop certain plots across Mumbai. But in terms of transitioning all of
that into a business opportunity for both Realty and potentially the Construction arm of our
Infrastructure segment, I guess it's still some time away because we may have executed binding
agreements to develop it but there are lot of as you know, th ere are lot of steps before we actually
get into development in terms of approvals and all other stuff. So, we have joint development
agreements, binding agreements for properties across South Mumbai, Andheri, and Thane. But
I believe that it will still ta ke some time before we receive all the clearances before we launch
these projects.
Sumit Kishore: So, it may not be prudent for us to consider that as our order in Q2?

P. Ramakrishnan: Q2 current year? No, it's still time out. We will articulate on that at an appropriate time.
Sumit Kishore: Just one quick question on the fact that like an instance of big water sewage treatment contracts
awarded by BMC almost Rs. 260 billion in Bombay br oken up into six -seven packages. L&T
got one package simply because you couldn't take more than one. The Jewar Airport went to
Tata projects . But in airports , L&T had a sort of dominance for PP P, EPC among the big
Greenfield airports. So, what are your tho ughts, is the competitive intensity for big -ticket
contracts of 20 billion plus going up simply because bigger packages are being broken up into
the smaller ones which are still 20 billion plus and the breadth of players who can take 20 billion
plus contra cts, is that going up?
P. Ramakrishnan: So Sumit , it is like this that , in terms of competitive intensity , we do see as has always been in
the recent past, very intense in some segments and some segments we do see a reduced
competitive intensity. But where ver the competitive intensity is lower does not necessarily mean
that L&T should get . But one thing I would like to tell is that, wherever we are quoting for jobs,
we are very careful about our ability to ensure that we don't compromise on our margins and
that is what I would say is the fundamental pillar. Taking into account like , in the case of airports
I believe we all must have a 90% share of all

the contracting opportunities that have come and
we have learnt to build and execute such contracts with some of more of experience so we are pretty careful in terms of pricing and obvi ously in many projects you can have L&T winning some and probably L&T losing some.

Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities .

Parikshit Kandpal: My first question is on the tendering. You said tendering is up 90% and award to tender ratio is up from 39% to 70% but our order book is only doing 57%. So, have we lost some market share here?

P. Ramakrishnan: No, I won't agree to that particular conclusion that whatever order prospects that we had at the start of the ye ar against that I would say that we have got reasonably a good share. So, almost Rs 88,000 crores of that orders that we bid for, we have been close to getting 28,000 crores as award wins so if you see even award win ratio, this is quite favorable both for domestic and international put together. So, it is inappropriate to conclude that whether our competitive intensity is getting diluted, I guess it's a question of the type of project and how confident we are in terms of not compromising in margins in exec uting and so we have been a little careful but our Q1 bids to award for us has been quite , I would say , in the positive direction.

Parikshit Kandpal: Because if I look at the recent bid s in the EPC segment , L&T is not at all aggressive , so in fact you have been L3-L4-L5, we don't see you bidding below for project cost most of the cases which is quite a departure from the historical trends. So, just wondering, if we are connecting the two things. Thanks for the explanation. My second question is on the Real Estate segment. So, Rs 8,000 crores of revenue addition is phenomenal and I think you have given competition to some of the large, listed developers or some of the lar ger developers in India. So, just wanted to know whether this 8,000 is a one -off or do we have a plan for the full year or were you see

Rs 15,000 or 20,000 crores of GDV. Also, if you can touch upon what kind of presales we have booked in this quarter or m aybe last year. So, rather give us some sense on how big this business is now getting into because this could be a big value add to the overall equity valuation , as people are still not valuing this segment ?

P. Ramakrishnan: You are referring to our real e state portfolio as a developer?

Parikshit Kandpal: Yes, developer business on real estate side. We have added 8,000 crores of gross development value which was announced earlier. So, for the 4 years I mean this is like what the larger developers do in India, they have like targets of Rs 15,000 or 20,000 cr ores of GDV addition. So, if you can just highlight , is this a one -off kind of a announcement or we are looking for more such deals like this because this will translate to more than Rs 2,000 crores of pre -sales annually, the strongest number if I expect t hat it will get developed over next 4 -5 years. And also, if you can touch upon how much, what has been the pre -sales for the first quarter of this financial year or maybe last year how much was the pre -sales from the L&T realty?

P. Ramakrishnan: Parikshit, I will tell you that we have gone on public domain to say that as per the entire Start Plan for L&T Realty is concerned, we will try to do 5 million square feet of real estate development each year and over the next 3 to 4 years some of these developments will be largely from our own land banks in Powai, Navi Mumbai, Bengaluru and Chennai and we could have like I responded to a previous question; some join t development opportunities also that we could see in this particular area. In Q1 , as pre-sales activi ty, we have around 649 crores of orders that we have secured in this particular segment.

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rikshit Kandpal: Just 5 million annually which you are looking to do sales for, we have an average realization of about Rs. 15,000 a square foot?

P. Ramakrishnan: It depends on the property across these places. So, at this juncture it would be inappropriate for me to be so granular in terms of giving the rates because this is a function of demand and supply but wherever L&T projects have been launched both in the Navi Mumbai side and also in Powai, they have definitely received a good amount of booking and demand.

Parikshit Kandpal: My next question is on the monetization bid. So, we have Nabha, L&T IDPL and Hyderabad Metro and little bit items here. So , do you think that in this financial year all of this can happen I mean which are the higher probability event part of the these three which could happen potentially in this year ?

P. Ramakrishnan: The divestment of Hyderabad Metro under the concession agr eement would not be possible. The only way we can target is to bring down our stake to 51% and after some time to maximum we can dilute by another 24% to bring it at 26%. Definitely we are looking at I would say fast forwarding the process of divestment of IDPL and Nabha power. It's at the top I would say objective of the management, we do expect an early closure but in terms of timelines would be a little speculating if I were to talk about that today , at this juncture.

Parikshit Kandpal: Last thing, you have disclosed the carrying value of Nabha and L&T, IDPL. Can you also tell us how much is the debt on these two?
P. Ramakrishnan: Sorry?
Parikshit Kandpal: The debt on Nabha and IDPL if you can give?
P. Ramakrishnan: The debt on Nabha is around Rs. 4, 000 crores and IDPL is not getting consolidated.
Parikshit Kandpal: But when you sell it , so the enterprise value of that much debt…. anyways it is not getting consolidated.
P. Ramakrishnan: Correct.
Parikshit Kandpal: Your investment is Rs 1,100 crores.
P. Ramakrishnan: Yes.
Parikshit Kandpal: Lastly on the infra cess. Infra cess has been sharply cut by the government . So government used to mop around Rs 2.4 trillion annually which will now reduce to 0.4 trillion which was largely going towards the budget ary support and the Union Budget for various infrastructure investment segment. Do you think any impact of that in your ordering or awarding?
P. Ramakrishnan: See the Union Budget for FY23 I think refer to net tax collections at the center at 19.35 lakh crores and basis whatever Q1 numbers have come, we do expect that this number would be substantially higher than what they have budgeted for.
Parikshit Kandpal: So, you don't see any impact of this in the ordering?
P. Ramakrishnan: At least in Q1 , the numbers have been robust enough so we don't see any negative implications in terms of tax collections thus far and even the remaining nine months is looking good .
Moderator : Thank you. I now hand the conference over to Mr. P. Ramakrishnan for closing comm ents.
P. Ramakrishnan: So, I hope all your questions have been answered. We have tried to be as granular as possible. Thanks for everyone for attending this call. It was a pleasure to interact with all of you. Thank you and good night to all. Thank you.
Moderator : Thank you very much. On behalf of Larson & Toubro Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2022

"Larsen & Toubro Limited's Q2 FY'23 Earnings Conference
Call"

October 31, 2022

MANAGEMENT : MR. P RAMAKRISHNAN – LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Larsen & Toubro limited Q2 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. P. Ramakrishnan. Than k you, and over to you sir.

P. Ramakrishnan: Thank you , Faizan . Good evening, Ladies and gentlemen. A very warm welcome to all of you to this Q2 FY'23 Earnings Call of Larsen & Toubro Limited.

The Earnings Presentation was uploaded on the stock exchanges a nd our website in and around 6:35 p.m. Hope you have had a chance to have a quick glance at the same.

As per past practice, instead of going through the entire presentation, I will take you through the key highlights for the quarter in the next 20 to 25 m inutes , post which will take Q&A.

Before I begin , our standard disclaimer :

The presentation which we have uploaded on the stock exchange s, and our website today, including the interaction in this call , contains or may contain certain forward -looking statements concerning our business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statemen ts.

During Q2 FY'23, despite the strong inflationary imp ulses , the Indian economy displayed surprising resilience as evidenced by the pickup in high frequency economic indicators, particularly increase in the consumption demand and higher public expenditur e. The tax collections for the government have continued to remain strong, and the balance sheets of the banks as well as private sector is quite healthy. With COVID hopefully behind us , we expect festive spends to be strong this time around and the above average monsoon aug urs good for a revival in the rural demand as well. Most of the Indian macro indicators , be it growth , current account , fiscal deficit, as well as inflation are relatively better vis-à-vis other countries in the world. Despite the deprec iation, the Indian rupee continues to be one of the better performing currencies in the world. Both the government and the RBI need s to be compl emented for having successfully navigated the country through these turbulent times. Within GCC, we see many countries building their economy by investing in areas like green energy, water and at the same time, are continuing to ramp up their spends on oil and gas investments. These are interesting times where despite the continuing global turmoil, both India and GCC, which are our group's primary geographies remain relatively stable.

I will now cover the various financial performance in parameters for Q2 FY '23:

Our group order inflows for Q2 FY'23 at Rs.519 billion registered a YoY growth of 23% . Within that our Projects and Manufacturing businesses secure d order inflows of Rs.373 billion for Q2 , registering a YoY growth of 24%. Our Q2 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon businesses . During the quarter , our share of international orders in this portfolio is at 21% vis-à-vis 49% in Q2 of the previous year. The domestic ordering environment therefore in Q2 was significantly better compared to Q2 of the previous year. At a macro level, there was an improvement in domestic tendering and awarding activity. Although the domestic award -to-tender ratio was a bit soft in the current quarter, the fact that the tendering momentum is strong , augurs well for the quarters ahead.W

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also expec t the public CAP EX spends comprising of Centre, States and PSUs in the current year to be better than that of the previous year. Year -to-date, the public Capex spends have been significantly higher over the comparable period in the previous year, driven by Centre and P SUs, although the momentum in the State Capex is yet to pick up . Private Capex is also seeing signs of revival. In Q2 our share of private within the domestic orders , was 29% vis-à-vis 22% last year, largely due to more orders in the Buildings and Factories and the Minerals and Metals sectors. We will be closely watching this momentum buil d up in Private Capex in the coming quarters.Our order prospects pipeline for the remaining six months of the current financial year is around Rs. 6.3 trillion , comprising of domestic prospects of around Rs.5 trillion and international prospects of Rs.1.3 trillion. The broad breakup of the overall prosp ects pipeline is as follows : Infrastructure contributes to Rs.4.54 trillion , Hydrocarbon - Rs.1.13 trillion , Power - Rs.0.38 trillion and other businesses comprising of Heavy Engineering , Defense and Smart World & Communications the balance Rs.0.27 trillio n.

Moving on to order book :

Our order book is at a record Rs.3.72 trillion as of September '22. As our Projects and Manufacturing business is largely India -centric , 72% of our order book is domestic and 28% international. Now, out of the international order book of Rs.1.04 trillion , around 80% is from Middle East , 10% from Africa , and the balance 10% from countries including South east Asia. Clearly , GCC Capex in both Infra and Hydrocarbon is on an upswing post recovery in the oil prices. The breakdown of the domestic order book of Rs.2.68 trillion as of September '22, comprises Central Government at 10% share, State Government at 30% , PSUs or State-Owned enterprises at 42% , and the Private Sector at 18%. Approximately , around 27% of our total order book of Rs.3.72 trillion is funded by bilateral and multilateral funding agencies . 91% of our total order book is from Infrastructure and Energy. You may kindly refer to the presentation slides for further details. During Q2 FY'23, we have deleted around Rs.16 billion of non -moving orders from the order book and our slow -moving orders in the order book is around 3% to 4%.

Coming to Revenues :

Our group revenues for Q2 FY '23 at Rs.428 billion , registered a YoY growth of 23%. International revenues constituted 36% of the revenues during the quarter. The IT &TS portfolio continue to report industry -leading growth in Q2 as well . In the Projects and Manufacturing business portfolio, our revenues for Q2 FY '23 at Rs.281 billion , also register ed a Yo Y growth of 24% , largely contributed by the robust execution in Infrastructure business. I will cover the details a little later when I cover each of the segments.

Moving on to EBITDA:

Our group level EBITDA margin without other income for Q2 FY '23 is 11.5% , which is at the same level as Q2 of the previous year. The detailed breakup of the EBITDA margin business wise is given in the annex ures to the Analyst Presentation. You would have notice d that EBITDA margins in the Projects and Manufacturing businesses for Q2 FY '23 is at 8.2% vis-à-vis 9% in Q2 of the previous year. This drop of around 80 basis points for the quarter is mainly due to job mix, cost pressures in certain jobs and close out co sts in a couple of jobs. Despite the drop in EBITDA margin in the Projects and Manufacturing business at an overall group level , we have been able to maintain EBITDA margin in Q2 current year at the same levels as Q2 previous year , primarily because of imp roved performance in the Financial Services and Hyderabad Metro .

Our Operational PAT for Q2 FY '23 at Rs.22 billion is up 29% over Q2 of last year,

aided by

improved treasury operations during the quarter . The reporte d PAT th ough has grown 23% largely due to the Rs. 1 billion exceptionals (net of tax and minority interest) in Q2 last year , representing gain on divestment of stake in L&T Uttaranchal hydropower and the tax expense arising on the transfer of the Nxt D igital business from the parent L&T to Mindtree .

The group 's performance in P&L would construct along with the reasons for the major variances under the respective function heads is provided in the presentation.

Coming to our Net Working Capital -to-Sales ratio :

Net Working Capital -to-Sales ratio has improved from 22% in September '21 to 20.2% in

September '22. There is also a sequen tial level improvement in this ratio since we have reported 20.9% in June '22. Our group level collections excluding financial services for Q2 FY '23 is Rs.0.38 trillion vis -à-vis Rs.0.32 trillion in Q2 of the previous year.

Now , moving on to the Balance sheet :

If you glance through the Balance Sheet given in the annex ures to the presentation, you will notice that the debt level ratios are at comfortable levels , with the gross debt -equity at 1.33 and the net debt -equity at 0.89. Finally, our trailing 12 month s ROE for Q2 FY '23 is 12.1% vis-à-vis 11.8% in Q2 FY '22.

Very briefly, I will now summarize the performance of each business segment before we give our final comments on our outlook for the near term :

First com es Infrastructure which is the largest

Coming to o rder inflows :

Our Q2 FY '23 order inflows are well spread across various sub -segments. The Infrastructure segment secured orders of Rs.251 billion in Q2 , registering a strong growth of 107% over Q2 of the previous year . Our order prospects pipeline in infra for the remaining six months of FY '23 is at Rs.4.54 trillion , comprising of domestic prospects of Rs.3.98 trillion and international prospects of Rs.0.56 trillion. The sub -segment breakup of the total order prospects in infra would be as follows : Water would constitute 23% , Heavy Civil Infrastructure 22% , Transporta tion Infrastructure 20% , Buildings and Factories 19% , Power Transmission and Distribution including renewables at 14% and Minerals and Metals at 1%. The Order Book in this segment is at Rs.2.6 trillion as on September '22. The book -to-bill for this segment is around three years . The Q2 current year 's revenues was at Rs.194 billion , registered a growth of 39% over the comparable quarter of the previous year, large ly aided by a combination of a large opening order book and improve d customer collections during the quarter. As a philosophy , we always step-up execution when customer collections are flowing at a healthy pace. This is essentially to strike a healthy bala nce between the P&L and the Balance Sheet.

Our EBITDA margin in this segment dropped from 8.3% in Q2 FY '22 to 6.6% in Q2 FY '23 largely impacted by a combination of job mix , cost pressures, and close out costs in a couple of jobs. The 170 basis points varia nts is explained by 80 basis points attributable to close out costs in some jobs and 90 basis points is explained by a combination of an unfavorable job mix tilting more towards cost jobs and cost pressures in select jobs. The close out costs mainly refer to extra costs incurred due to extended stay and commissioning in two of the projects . Coming to explaining the other part of the impact on margin ; it is due to higher percentage of cost jobs in the current quarter coupled with c ost pressures in certain jobs, mainly due to changes in design, leading to quantity variations , and finally, higher input costs to the extent , our procurement orders were placed before the correction happened in the commodity prices. The current high energy prices is also to some extent, affecting our ability to do timely sourci

ng of items.

Moving on to the next segment, which is Energy , which comprises of our Hydrocarbon and Power businesses :

The receipt of multiple domestic orders in Hydrocarbon buoys the order book, whereas power business benefits from receipt of Flue Gas Desulfurization order in Q2 The order prospects pipeline of Rs.1.51 trillion for the remainder of the financial year is fa vorable. The order book for this Energy segment is at Rs.689 billion as of September '22, with the international order book constituting 54% led by Hydrocarbon . Q2 FY '23 revenues at Rs.55 .9 billion , registers a degrowth of around 7% over the comparable qua rter of the previous year.

The Hydrocarbon revenues were impacted primarily due to supply chain challenges, whereas lower revenues in the power business is reflective of a deple ting order book. The EBITDA margin of this segment at 8.5% for Q2 FY '23 improve d compared to 6.6% over the corresponding quarter of previous year . Execution cost savings in Hydrocarbon and an improved ECL profile in Power aided the margin improvement.

We will now move on to the Hi-Tech Manufacturing segment which comprises of Defense and Heavy Engineering businesses :

In this quarter , we saw multiple order wins in Heavy Engineering where as Defense ordering was a little subdued during this quarter. We ha ve an order prospect pipeline of around Rs. 190 bil lion for the remaining two quarters of the current financial year. The order book of the segment is at Rs.197 billion as of September '22. The revenues for Q2 FY '23 at Rs.14 .6 billion registers a marginal degrowth of around 1%. Improved execution drove the Heavy Engineering revenue, whereas the degrowth in the Defense revenue is explained by certain defense contracts yet to pick up momentum.

At this juncture, let me once again mention that the Defense enginee ring business does not manufacture any explosives nor ammunition of any kind, including cluster ammunitions or anti - personnel landmines or nuclear weapons or components thereof. The business also does not customize any delivery systems for such a mmunitions . Please also see the disclosure to this effect as mentioned in the Chairman ’s statement in the Integrated Annual Report for FY '22.

Coming to the IT &TS services portfolio :

Our revenues for Q2 FY '23 at Rs.101 .5 billion registered a growth of 29% over the corresponding quarter of the previous year, largely reflecting the continuing growth momentum in the sector with a surge in demand for technology -focused offerings. The business outlook for this segment continu es to be strong despite the fears around global recession impacting IT spends. A lot of spends today are being directed towards cloud , data security and intelligence .

Margins in this segment is lower in Q2 FY '23 vis-à-vis the Q2 FY '22 largely explained by increases in wage costs, partly offset by favorable movement in the dollar -rupee and other improved operational efficiencies. The merger of L &T Infotech and Mindtree should hopefully get concluded before the end of this calendar year. I will not dwell too much on this segment as all the three companies in the segment are listed entities and the detailed fact sheets are already available in the public domain.

Now , we move on to financial services segment :

Here again , L&T Finance Holdings is listed and the detailed results are available in the public domain. The highlights for Q2 FY '23 were improved net interest margin, improved fees, lower credit costs, better asset quality and a thrust towards retailization of the book . In fact , as of September '22, the sh are of retail in the overall book is at 58%. The strateg ic deliverables in this business revolve around portfolio reorganization, strong asset quality, and improvement in ROA .

The bu

siness endeavors to be a top class digitally enabled retail finance compan y moving from a product focus to a customer focus approach. Finally, to conclude , sufficient growth capital is available in the balance sheet with the CRA R at around 22.6%.

Moving on to Development Project segment :

This segment currently includes the Power Development business of Na bha Power and Hyderabad Metro. The Q2 of the previous year also included two months of performance of the L&T Uttaranchal Hydropower plant up to the date of its divestment, i.e. August 30 , 2021 . As you're aware, the roads and the transmission line concession business, which are a part of L&T IDPL , a joint venture , is consolidated at PAT level under the equity method. The majority of revenues in the Development Project segment is contributed by Na bha Power. Improved ridership in metro and higher PLF in Nabha drive the revenue growth for this segment in this quarter. To give you some statistics, the average metro ridership improved from 1,46,000 passengers a day in Q2 FY '22 to aroun d 3,55,000 passengers per day in Q2 FY '23. Our average ridership in Q1 FY '23 was around 2,85,000 passengers.

We are happy to report that as we speak, the current ridership in metro has touched a peak of 4,22,000 on September 8 th in Q2 FY '23. In the month o f October, we have witnessed a new h igh of 4,41,000 and averaging around 400,000 each day in the month of October. The Q2 FY'23 margin in this segment at 5.2% is contributed by Metro operations only as the Nabha margin is not being recognized from Q3 of FY '21. The improvement in average daily ridership has enabled metro to report an EBITDA margin of 39% in Q2 FY '23 vis-à-vis 13% in Q2 FY '22.

In M etro, at a PAT level, we have consolidated a loss of Rs.3.28 billion in Q2 FY '23 vis-à-vis a loss of Rs.4.47 billion in Q2 of the previous year. The operating and amortization costs for L&T Metro is around Rs.0.8 billion each, whereas interest cost is Rs.3.1 billion for the quarter. In Q2 last year, this interest cost was at Rs.3.8 billion.

At this junctu re, I would like to give a quick status update on the divestments of our Concessions portfolio :

You may be aware, our stake in the L&T Uttaranchal was successfully divested in Q2 of the previous year. For Nab ha, various divestment options are being explore d, but nothing has materialized as of date. Coming to L&T IDPL divestment ; we have achieved progress and hopefully should get concluded soon. For L&T Metro , with the prospect of improved ridership, the phased transit -oriented development monetization , the confirmed government interest -free loan assistance, and with the recently concluded debt refinancing , our performance parameters for metro will look up in t he later part of the current financial year.

Moving on to the other segment :

This segment comprises Realty , Industrial Valves , Smart World and Communications, Construction Equipment, Mining Machinery and Rubber Processing Machinery. The revenue buoyancy in this other segment in Q2 is largely driven by Smart World and Communications, as well as Construction Equipment and Mining Machinery and also Rubber Processing Machinery . Lower handovers in Realty and sales mix in the Construction Equipment and machinery impacted the segment margin in the current quarter vis-à-vis the quarter of the previous year.

Coming to the outlook :

Despite the ongoing military conflicts that we are witnessing and increased trade tensions globally , India clearly is a beacon of hope in this decade . The domestic growth momentum is healthy, largely driven by the improvement in private consumption and Public Capex . We also hope that private investments will also increase correspondingly . Outlook on GCC remains positive with the stability in oil prices . Our group will be a major ben

eficiary of the synchronous spends in India and GCC in the coming years. Having said that, one needs to be watchful of the continuing macro risk revolving around elevated level s of inflation, external and internal balances , the rising dollar and supply chain disruptions. The move away from quantitative easing to quantitative tightening will have its share of implications , although at the moment we are not very clear of the immed iate consequences. The company's Projects and Hi-Tech Manufacturing businesses are rightly position to leverage the India and Middle East Capex opportunity and with tech-enabled skill s and offerings , the IT & TS business will continue to pursue growth in the global services domain. Robust business portfolio including some of the newer businesses , focuses on cash generation distribution and eye on Capital Employed and finally the divestment of concessions and othe r non -core assets will lead to a better RO Es as envisaged in our st rat plan for FY '22 to FY '26.

Finally, since we are off to a good start in the first half of the year, we continue to retain our guidance of 12% to 15% growth in the group order inflows and revenue with a stronger bias towards the upper end of the band . On the group level , NWC-to-sales , i.e., working capital to sales , although we have guided for a range of 20 % to 22% for FY '23, we will endeavor to end March '23 at around 20%. As for the guidance on the margins for the Projects and Manufacturing business for the year is concerned, we do acknowledge that headwinds to achieve the target ed margin of 9.5% for FY '23, does exist in the form of disrupted supply chain , volatile input co sts, and hence the growth of around 30 basis points we have planned over the margin reported in the previous year could be at risk . The developments over the next few months could give a clear indication of the final margin likely for the year.

Thank you , Ladies and gentlemen for this patient hearing. We will now take up Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from DAM C apital. Please go ahead.

Mohit Kumar : First question is of course on the margin . As you said, some of the margin may be recouped, and there will be some improvement in margin. But qualitatively, are you seeing the reducing commodity prices to have very sharp improvement in margin for the second half ? And secondly,

on the revenue side, we have fabulous H1, very sharp revenue growth . Given that the 12 % to 15% growth seems to on the lower side for the entire fiscal , it looks like we'll grow only at 5% to 7% in second half. So do you think a higher upside risk to reven ue guidance ?

P. Ramakrishnan: So, there are two parts. So I'll take the first one on the margin side. So, as I explained, the margins that we have reported for the first half of the current financial year at 8.2%, obviously had some one-offs and some closu re-related costs. And also it had, I think, cost pressures arising out of the procurements that we contracted almost six months back that came into the P&L. But I would like to say that when we gave a guidance of 9.5%, in a way it has been factored. We do expect with the current round of procurement that will see us in the next two or three quarters will be at prices which are favorable to us. And we do expect that like the way we have demonstrated the revenue uptick to seep into H2 of the current financial year, and we do believe that the margins with respect to the Projects and Manufacturing portfolio could be at a slightly higher play, like what we witnessed in the H2 of the previous financial year. So, it is with this perspective, we are talking about th at. Whereas it would be very difficult for us to position the exact number, but we do believe that we have sufficient levers and

major projects getting into margin recognition threshold in the next six months will enable us to improve the margin trajectory from what we have reported in the first six months of the current financial year.

Coming to the revenue part, I maintain that like order inflow and revenue, we have given a guidance of a band of 12% to 15% at the start of this financial year, but with the cons istent revenue growth that we have witnessed more so in the Projects and Manufacturing business portfolio, this momentum will continue. But at this juncture, knowing fully well as I mentioned in my earlier part of this call, because of certain supply chain disruptions, that could potentially happen, it becomes a little difficult to again say whether we will be upwards of more than 15%. But today as we see it, we are confident to touch the higher end of the band that we have given at the start of this financ ial year.

Mohit Kumar: A clarification. We heard somewhere that we are looking to reduce the debt on the L&T Hyderabad Metro from Rs 130 billion to Rs 70 billion over the next 24 months. And I think this is based on the on the two key things. One is the monetization , which you are trying to do for the land and the soft loan for the government. My first question is how much is monetization which is possible over the next 12 to 24 months which we have been allowed? And secondly, what is the interest rate on t he government loan?

P. Ramakrishnan: Hyderabad Metro balance sheet today is almost Rs. 20,000 crores funded by external debt of Rs.13,000 crores. With the improved ridership which is now excess of 400,000, especially in the month of October, we do expect th e ridership to consistently improve given the fact that all the other COVID -related restrictions are now off, and we do expect a ramp up in the IT companies taking back their employees back to working from office. So, we do see ridership improvement consis tently happening. But the target from overall financial restructuring perspective is that to bring this Rs.13,000 crores to a level of say Rs.7,000 to Rs.8,000 crores over a period of two years, of course it's not going to happen immediate. As you are awar e that the government of Telangana has accorded Rs.3,000 crores interest free long term financial assistance to the Hyderabad Metro. This is expected to come in tranches over a period of two, two and a half

years. So, from Rs.13,000 crores if you subtract Rs.3,000 crores, so that brings to Rs.10,000 crores and the balance Rs.2,000 to Rs.2,500 crores is what we expect to monetize of the various land parcels and some part of the already developed properties that we have over the near term… near term could be in the next 12 months or so. So, with this Rs.3,000 crores plus Rs.2,000 crores to Rs.2,500 crores , our loan book should come down in the next two years to a more manageable Rs.7,500 crores to Rs.8, 000 crore s, and with the ridership at 500,000 to 600,000 hopefully to come in the next say 12 months or 18 months , I guess the worst is over as far as L &T Hyderabad Metro is concerned.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities . Please go ahead.

Parikshit Kandpal : My first question is about Hyderabad Metro again . You said that this ass istance from the Telangana government will come over the next 2-2.5 years. So , is it right to assume that we are not going for any InvIT here and most of these restructuring o r soft loan assistance will bring down the level s of profitability required to service the interest and the debt , so maybe we look at monetization only after three years now ?

P. Ramakrishnan: So Parikshit, I think we have maintained this aspect earlier as well, that the immediate actions that L &T is doing as far as Hyderabad Metro is concerned is to bring down the debt levels. And hopefu

lly, with improved ridership, the stress on L &T's performance because of L &T Metro should come down. So the rid ership has been, I would say , ahead of our own expectations and we do expect that the ridership will improve by another 100,000 or 150,000 over the next six quarters. At this juncture , with the current debt levels, I think it would not be an attractive proposition to do an InvIT right away. So what we are looking to InvIT possibly could be two to three years down the line. That is the time when you could have investors who could look at this at a more attractive investment option rather than at this junctur e.

Parikshit Kandpal: What kind of loss funding is seen because we have to incur in this year and over the next two to three years, because in the first quarter itself despite the improved ridership , we booked a loss of about Rs.330 crores ?

P. Ramakrishnan : I would say that our total cash exposure to L &T Metro today cumulatively is around Rs.7,500 crores comprising of Equity of Rs.2,500 crores a nd the balance is the cash assistance. In the current financial , we have not done any significant amount of cash a ssistance to tide over because operationally the metro is now making positive EBITDA and with the government support in the form of loan, and also the TOD monetization that I was referring to … in fact, the TOD monetization could happen maybe at a more faster pace because the government funding or the government assistance will be over a period of two years or so average. So , we do expect with these inflows of Rs.3,000 crores plus Rs.2,000-odd crores should hopefully not have implications for L &T in term s of a higher cash support to the metro operations.

Parikshit Kandpal: Compared to the first quarter commentary and overall outlook, we seem to be a little more guarded this quarter. So, despite reporting a very strong quarter, I'm really surprised on your guarded commentary on growth , on margins , on supply chain when commodit y prices seems to

be coming off , supply chain issue seems to be getting more smoother. So just bit worried why this kind of defensive approach is there this time?

P. Ramakrishnan: Parikshit, let me put it like this . Our first half margins of the current fi nancial year is actually a lower than the H1 of the previous year and it is because of the explanations that I already provided for. But we do believe , with the softening of the commodity prices and higher revenue uptick , hopefully, which will happen in H2, I guess , our margin trajectory in H2 should be better than the H2 of the previous year. But it's always a question of, as I said, if there is a particular supply chain issue which impacts a particular job not achieving the margin threshold, then obviously , it will have some impact on the margin trajectory. But we are sufficiently confident that we should be in a position to somehow meet the 9.5% target . If not, at least maybe because of the compositional jobs that could happen in the H2 of the cur rent year , we are reasonably confident that we should be inching closer to the target ed margin for the current financial year. So I don't think it is a guarded statement. It is a question of the assessments that we have been doing. And as you may be aware, commodity price softening is one aspect , but there is also the fact that volatility in commodity prices is also impacting the way we are executing the jobs, and also the continuing energy crisis in Europe, which is also impacting some extent procurements in terms of time delays . So we have to be mindful of all these factors , and hence, we believe that we are on the job to, I would say, touch the targeted margin, but there could be some slippage s that we have witnessed in the first half which probably could be difficult to completely compensate that in H2. But we are reasonably

confident that we should be in and around the levels that we have forecasted for FY '23.

Parikshit Kandpal: Typically , when we do Cost to Completion accounting, as you said, some of th e projects there were issues, site idling , delays, f ew projects, cost of closures , so, when we do this accounting / Was this a negative surprise which came up in this quarter, or it's a regular exercise, which keeps happening every quarter and you'll see more of these negative surprises coming to the rest of the half?

P. Ramakrishnan: It's like this . When I talked about a particular aspect of close out costs in two jobs that we got completed, it was not an accounting consideration per se. So there have bee n additional costs that we had to incur to complete the jobs as per the customer specifications . But in terms of the claims that is something which we have not factored , obviously, we are taking up with the client s for these additional costs that we have i ncurred. And hopefully, I guess , when the claims get certified, that comes back to the system as clean margin . But since we don't account for claims unless and until they are certified by the client, you are constrained to take the cost as it is.

Moderator : The next question is from the line of Sumit Kishore from Axis Capital . Please go ahead.

Sumit Kishore : My first question on in flows w here in fra segment has seen a very strong performance . Could you give some s ub-segment color here for infra and elaborate which pockets have done relatively better . You also mentioned in your opening remarks regarding private sector also see ing some pockets of growth , could you please elaborate on this performance for in fra segment ?

P. Ramakrishnan: As far as order inflows are concerned, we have seen a robust order inflow again in all the segments, I would say, barring for Transportation Infrastructure, where we are targeting only select opportunities. Unfortunately, in the order inflow side on Transportation Infrast ructure, we are not being quite successful. But insofar as the other segments , be it Water, be it Power Transmission and Distribution, Buildings and Factories and Heavy Civil Infra including Minerals and Metals we have seen good traction . The redeeming fac t in Infrastructure segment order inflows has been a surge in Buildings and Factories inflows and Minerals and Metals, in a way trying to give a comfort that Private Sector Capex is coming in some form or the other.

Sumit Kishore: Your order prospects, though at the end of Q2 are down about 8% year -on-year. We were expecting that this o rder prospect might possibly improve as we go through the year , that is what was mentioned at the beginning of the fiscal . Any thoughts there? And particularly on states, what is the trend that you're seeing , why are the awards getting delayed and what is the outlook for H2?

P. Ramakrishnan: In fact, Sumit , when we started this year itself no , I think we have been a little more careful in terms of looking at the right order prospects once they get tendered , the chances of getting the conversion of tender to award improves in our favor. So, as of Sep, what we are referring to Rs.6.32 trillion order prospects across all the segments, Rs.7.6 trillion is what we had indicated as of June. So, obviously, there has been a passage of time . We have seen tenders getting awarded . Some of them we have won , some of them we have lost . And we do expect that Rs.6.32 trillion what we have no w talked about are again those prosp ects where L &T will try to put a serious bi d, of course, assuming that the tenders will happen. And we do expect a decent share of these tenders to get converted to awards and L &T to get a decent share more than what is there in the earlier years or so. We are conscious of the fact that when we have given a 12% to 15% order inflow

guidance for FY '23, and I just now mentioned that as the way things stand out in terms of our H1 performance and basis the order prospects and our own assessments of when these te nders to get concluded, we are reasonably sure that we should be positioned to meeting the higher end of the guidance that we have indicated.

Sumit Kishore: Basically the win ratio could improve because the o rder prospects as of September are down on a yea r-on-year basis?

P. Ramakrishnan: Yes, yes.

Sumit Kishore: So, one small clarification . If you could indicate roughly what is the size of solar EPC contracts in your order backlog and in any way have overall margins here dragged down for your EPC segment ?

P. Ramakrishnan: So, the solar EPC contracts in the order backlog will be in the range of m aybe around Rs.20,000 to Rs.22,000 crore s, $2.8 billion or so. And while we have given the margin guidance for the current year, it takes into account some of the earlie r solar orders having got impacted because of prices, but that is already factored in.

Moderator: The next question is from the line of Ash ish Shah from Centrum Broking . Please go ahead.

Ashish Shah : My first question is on the private sector prospect pipeline. So you did mention in a couple of occasions that it's looking very good. So , if you could quantify out of the Rs.6.3 trillion of prospects, approximately how much could be the private sector prospects and any specific segments where they're coming from ?

P. Ramakrishnan: So, the total Rs.6.32 trillion obviously includes international as well, but at a Rs.6.32 trillion level, the private prospects pipeline will be ranging between 18 % to 20% or so largely led by prospects that will come up in the Buildings and Factories and the Minerals and Metal sectors .

Ashish Shah: Is this proportion more if I look at domestic let's say Rs.5 trillion ?

P. Ramakrishnan: Yes, the domestic proportion looks to be better . Of course, in international the major prospect s pipeline are more tilted towards Hydrocarbons . But in Hydrocarbon , as you know, most of the ordering moment um comes from the State-owned enterprises in the respective domain s viz, Saudi or UAE . But as far as domestic is concerned, I guess it will be coming largely from the domestic part itself.

Ashish Shah: And this proportion , is it appear ing to be far higher than what it used to be let's say same time last year ?

P. Ramakrishnan: Yes, it is more . I would say almost a 10% increase in the private or der prospects is there as compared to September '21.

Ashish Shah: Secondly, if you can share if there is any update on some of the new businesses that we are planning ? So we had spoken at length about some of these initiatives in the Q4FY22 call. It's been about six months . Any update that we should be aware of ? Any prog ress, any capital outlay which has already begun ? Just need to be more specific about the electroly sers and the fuel cells , etc., and the new age businesses.

P. Ramakrishnan: So insofar as th e new businesses are concerned , as you may be aware, both L &T SuFin and L &T EduTech , the two digital platforms , one is on the B2B supply chain and other is on the higher education especially on the engineering side, both of them have got commissioned. And their numbers are as per our plans itself , as we speak . Coming to Data Centers, which is another diversification of L &T to get in to this part of the business , we are putting up a pilot Data Ccnter in Panvel, which should hopefully get commissioned in January. We are setting up a new Data Center in Kanchipuram. Hopefully, I guess that should get completed by December '23 to March '24. And there will be a second more data center in P anvel. That will start in terms of construction and all maybe early next calendar year. So that again, the investment and acti

vity is as per plan.

As far as electrolys ers is concerned, the pilot plant to ma ke Green Hydrogen in our Haz ira campus is almost ready. In test cases, it is producing for cap tive requirements. I think in terms of commercial operations, maybe it will happen in the month of November. As far as the mainstream Electrolysers is concerned, we are looking for a JV partner. And as we had

mentioned in the May'22 call, I think the selection of JV partner should happen by March '23 or so. As far as storage batteries is concerned , anyway, that was planned to be an activity that will commence somet ime in the early part of the next financial year.
Moderator: The next question is from the line of Deepa k Krishnan from M acquarie. Please go ahead.
Deepak Krishnan : I just wanted to check for the margin profile. In terms of the order backlog, are we still 1/3 fixed price, 2/3 variable price and any still legacy projects that would kind of hamper our execution or any procurement i mpact that will continue into H2?
P. Ramakrishnan: So at overall Projects and Manufacturing portfo lio, the order book of Rs.3.72 trillion , there has been no major change in terms of what we reported for the end of Q1, in a sense that two -thirds of the order book is variable price or contracts that are linked to inflation indexes and a balance 1/3 is fixed price contracts. As for infrastructure is concerned, almost 85% of the contracts are variable price contracts and the balance 15% are so me sort of fixed price contracts . The projects that we had secured in periods prior to 2021 would be having some amount of margin impact because of the commodity prices. But I wish to tell you that contracts that we secured in the later part of the last fi nancial year, we have been careful enough to emphasize on escalations. And if it's a pure fixed price contract, appropriate buffers have been considered. So , taking all of this account is the basis by which we gave the margin guidance of 9.5 % for FY '23.
Deepak Krishnan: Maybe one last question on the order prospect pipeline. So if we look at Q1 or 1H itself, the win ratio for 2Q itself was north of 35% and then for 2H we're implying a slightly just no w close to about 20% win rate. Is that the order wins in Q1 were larger order basis or is there anything different in terms of the prospect base at the start of the year versus what we're kind of targeting for 2H?
P. Ramakrishnan: Deepak, of course, this question is valid . But when we talk about order prospects, and then conversion, we are only talking of numbers . But it is quite possible , in the first half of the current financial year, we actually secured certain orders which never featured in the order prospects itself. And some of the other prospects that we have , have been postponed to H2 which hopefully when gets tendered, we should b e getting. So from a pure statistic perspective, it seems to suggest that our award conversions have been better . We are talking about the past strike rates in H2. Maybe in H1, the strike rate was a little more higher , upwards of 2 2% to 23%. But as you kno w that one or two large orders if you get it , then the strike rate improves. But if it gets postponed or we lose it, then the strike rate will come down. So it's a question of absolute numbers. So , I guess , we have assumed a standard strike rate basis our assessment of the tenders that are going to happen in the next six months and getting awarded . We have taken the average strike rate that we have witnessed in the previous years.
Moderator: The next question is from the line of Aditya Bhartia from Invest ec. Please go ahead.
Aditya Bhartia : My first question is again on margins. But leaving aside this particular year, and looking slightly kind of longer term, in the past, we have done 10 %, 10.5% kind of core margins. And that was

also done in a period wherei n Capex cycle was actually not very strong. Do you think we can get back to 10 %, 10.5% kind of margins over the next two to three years ?
P. Ramakrishnan: Aditya, this has been a question which keeps coming up . But I wish to tell you in the Projects and Manufacturing business portfolio, it becomes a little difficult to try to forecast a margin trajectory ahead of more than 12 months beyond. So, we usually stick to what we believe the margin guidance given the order b ook that we have , the combination of fixed price and variable price contracts, the stage of completion that we envisage in each of the segments across the year, that will actually determine the margin trajectory. And last but not the least, margins can be a function of one -offs like the cost pressures that I talked about in the previous part of this call, but the same time margins can also get impacted favorably because of customer claim settlements and also from a timing effect of contracts where your vari able price index base pass - through . So costs getting impacted in a particular quarter and getting repaid in the index prevailing in subsequent quarters based on the milestone that we have invoiced. So, it becomes a little difficult, but I would like to emp hasize here that we are extremely careful today while we are executing the jobs, of course, the jobs that we are b idding we are taking into account what we believe the appropriate contingencies & buffers, but the volatility of prices that we have been witnessing on the commodity side for the last 15 -months has been unprecedented. So , more careful assessment is being done. The risk mitigation or the risk management for this is also at a heightened level. But the larger point here is that L&T at this juncture is trying to focus between P&L and Balance Sheet in terms of ensuring that our execution and thereupon the margin development o ver the execution is in line to ensure that the Working Capital does not get exposed too much. So , a short answer to your questi on is that it's a little difficult for us to go into a margin kind of an outlook for the subsequent financial years because of the reason that I just now spoke about.

Aditya Bhartia: The reason I was asking this question is that this 9.5%, 10% itself has been impacted a lot by commodity cost inflation and by all the cost pressures that you spoke about . Assuming th e things normalize and we are back to stable commodity cost environment, shouldn't we be building in a fairly sharp expansion , also, because if Capex cycle is picking up , then competition should also ease?

P. Ramakrishnan: One point I would like to refer about is also a question of the mix of orders that we are getting . Obviously , domestic orders for the last two to three years has been largely led by public sector which is obviously the L1 approach. And the competition has been quite fierce in some of the sub-segments that we operate. Similarly, margin mix at 9.5%, 10% or whatever we may refer , also d epends on the composition of how much of orders come between infrastructure and hydrocarbons ; in hydrocarbons, how much of orders are accru ing in upstream and downstream. So it's a dynamic and variable , comprising the way all of these ordering momentum happens. But one important thing here is obviously the private sector ordering which has been below 20% -odd today, if that goes to crossing 20 %, 22% or 25%, we do see expectations of a better margin in sub sequent years if the share of private sector improves.

Aditya Bhartia: On the electroly sers side, I understand we had done a JV with IOCL and we also had this technology sharing agreement, I think with Hydroge nPro. Which is the JV that you were referring t o in one of the earlier questions ? And a related question

. We were also thinking of doing 500 MW of PEM . Is the technology sharing agreement for the same already tied?

P. Ramakrishnan: So as far as technology agreements are concerned, as I told earlier as well, that we expect to close out the technology partner for electrolys ers hopefully by March '23. And insofar as the IOCL JV is concerned, I guess that particular JV where L &T and IOCL will have a stak e, will be largely led for setting up plants for IOCL and maybe for other public sector oil refineries, on a BOO concept where the JV will set up a BOO entity or a special purpose vehicle, where L &T -IOCL, and also the partner that will provide us renewables energy, all of them will have stakes in line with the proportions of the work is concerned. But that's the overall spirit of the J V. But so far as technology partner is concerned, I think it would be speculative to comment on names at this juncture . The finalization of partner should hope to happen b y the end of this fiscal .

Moderator: The next question is from the line of Renu Baid from IIFL. Please go ahead.

Renu Baid : I have three questions. First is on the Hydrocarbon segment . While the order backlog b uild up has been happening now for almost thre e to four quarters, execution has continued to trai l. So should we expect pick up in execution in second half materially and also the project in Africa which was stuck , is there any development on that project?

P. Ramakrishnan: The Hydrocarbon project in A frica, I guess we are executing a job in one of the countries in North Africa and it is almost I think on the verge of completion. I don't think we are executing any Hydrocarbon project in Africa other than the one I talked about, which is almost I think getting over . As far as the order backlog to conversion is concerned , in H ydrocarbon , as I mentioned, the revenue uptick could not achieve because of certain supply chain issues and close out with customers in terms of the final design changes . We do expect a ramp up in the momentum of execution to happen in H2.

Renu Baid: Secondly, you did share the combined prospect list for the Hi-Tech engineering segment . How would the different prospects look like because there are a couple of large projects where we are well placed and the cumulative prospects, if I got the number right , was about 190 billion. So how should we look at the split between Defense and Heavy engineering , and of the Defense prospects? Are you including K9 Vajra , I think you are L1, that would already be a part of it ?

P. Ramakrishnan: So, Renu , it is like this , in the order prospects of Rs.6.32 trillion that I was referring to , the combination o f the Hi-tech Manufacturing is that the Heavy Engineering division is Rs.3,300 crores or so and the Defense including the shipbuilding is around Rs.16,000 crores and Smart World and Communication s around Rs.8,000 crores . so that in a way combines the total Rs.0.27 trillion that I was referring to comprising our Heavy Engineering, Defense and Smart World. So , the Defense part of the business of around 16,000 crores has a list of seven or eight opportunities . I think it would be inappropriate for me to comment on which of those opportunities are those. We do believe that going forward, we should be in a position to have some of them because

typically in defense, our strike rates are far more better , but it also depends on the customer to get into the procurement mode.

Renu Baid: Lastly , the cost to completion provision on account of project closures, which you mentioned now, will it be possible for you to highlight which sub -segment w ere they related to or any

particular large project to highlight here?
P. Ramakrishnan: It would be inappropriate for obvious reasons to comment on the two projects where we had cost closures. I think for obvious reasons

, it would not be right for me to comment on that. But I would say that they are to be considered as one -offs while we have reported the Q2 numbers.
Renu Baid: Lastly , related to this, if I recollect, now for almost last three months to six months, we have been expecting that because of the steep inflationary impact which we had in th e first part of this calendar year, you were expecting significant cost reimbursement of cl aims to be placed with clients. So now that your margin guidance is the risk of being shy compared to last year's margin, do we see a scenario where some of these cost differences which we had because of volatility, may not actually be reimbursed by clients or it's more of a timing difference between March and the next fiscal ?
P. Ramakrishnan: So, Ren u, it is a combination of both . I guess, wherever we have had cost escalations, considering the unprecedented increase in the commodity prices, we have gone back to clients for those type of fixed type contracts that we had secured sometime in 2021 for some amount of compensation. So it has been sort of a give and take. And because of that, I would say , in other way elsewhere maybe the margin trajectory would have been worse off. So to some extent, our customers also are aware of the piquant situation we are in. And there has been some a mount of additional compensation that has got factored. But it is not essentially that the entire cost escalation can be passed off especially when you bid it out in a fixed price job. So , I would say some amount of that has been factored. But wherever you have had actual cost escalations, and we have put up the claims , obviously, we don't recognize extra cost claims unless and until they get certified. So, in a quarter when such claims can get certifi ed as I was mentioning in response to some other person' s question, that you could have some positive surprises on margins as well when these claims get crystallized.
Moderator: The next question is from the line of Priyankar Biswas from Nomura. Please go ahead.
Priyankar Biswas : My first question is again rela ted to Defense opportunity questions that I heard. So if I go into slightly longer term, so not necessarily for the next six months, if let's say on t wo, three years . There has been a substantial emphasis on indigenization , a list has also been taken out. So, can you just elaborate on what are your addressable market opportunities and what sort of growth rates can we expect?
P. Ramakrishnan: So, Priyanka r, I guess there has been a positive set of announcements by the government insofar as Defense procurement and the indigenous strategy is concerned. I guess that is something that will shape up well for companies like L &T to get advantage of the increase d indigenization

program. But that is an announcement coming from the overall Ministry of Defense o r their thought process. Now from there to get converted into the actual procurement placement of orders, so I g uess that will take some time, like the Ministry of Surface Transport , when they decided to go ahead with privatization on the roads part of it, especially on concess ions, so it took some time for them to develop the overall business model for Ministry of Surface Transport in conjunction with NHAI . So s imilarly, I believe whereas the prospects look good, and the positive announcements obviously augur very well for indigenous Defense procurement , but it also depends on the on the procurement strategy , how fast paced it is . We do expect considering that th e government's emphasis has been quite overt in terms of the intent to do this on a faste r pace. But at this juncture, it would be premature to really comment . Maybe by March '23, we will have a better handle on this aspect. But yes, to allude to your ques tion, we do expect the defense engineering segment to take

a larger share of the opportunities especially when it concerns the army and the n avy procurements.
Priyankar Biswas: Just one question here at a broader level. So you said that, i n this quarter, t here has been a some slowdown in the tender to award ratio. So like you gave it in the last quarter and a quarter before that, what has been the trend and how does it at least compare with pre -COVID levels ? And lastly, you also highlighted some close out c hallenges on the EBITDA margin. So, are those challenges behind us in 2Q or do we see some flow through impact in the 3Q as well?
P. Ramakrishnan: So, the close out challenges what I was mentioning about , which had 80 basis points impact in Q2 can be positioned as a one -off incident in the quarter. So, let me clarify once more. And as far as the award to tender ratio is concerned , so, the Q2 award to tender ratio was I would say 34% in the current year as compared to Q1 of the current year, which was at 69%. But again, these are all timing differences, I would say Priyanka r. But if you were to look at H1 level, so H1 current year, the awards to tender ratio is 49% as compared to H1 of the previous year, whi ch was at 40%. So definitely , it has improved, but you could have quarterly volatilities here and there . So I guess on a longer term, if you see , this is something which has definitely improved.

Priyankar Biswas: So, same thing like if it had been like a p re-COVID level let's say , so, what is the typical tender to award ratio on annual basis in your experience ?
P. Ramakrishnan: So, here again , in the first half, no, I think 35 % to 40% about to tender ratio is expected , whereas in the second half, usually, I ndia sees a busy second half in terms of tendering , in terms of business activity and so on. So, that could be upwards of 55%.
Priyankar Biswas: If you can comment on the thermal power tendering outlook, because in the last four years hardly anything has h appened, but now we are seeing some movement.
P. Ramakrishnan: So, the total order prospects that we are looking at thermal which is a shade better than what we saw in the month of March let me tell you that . Today is almost around Rs.38,000 crore s, and out of which we do have in the horizon almost across three particular projects in aggregate totaling to 800 MW into five units across three clients that tenders are expected to happen by the end of this fiscal and that is what is featuring largely in our order prospects of Rs.38,000 crore s.

Moderator: The next question is from the line of Deepika Mun dra from JP Morgan. Please go ahead.
Deepika Mundra : Sir, just two things from my side. Firstly, on whatever margin impact that we've seen in the quarter, what share of that would be eligible for future then? And secondly, I think you'd mentioned last year also, there were some pending claims in the fourth quarter . Has any of that recovery come through in the first half of the year?
P. Ramakrishnan: So, Deepika, in fact, last year, when we started the year, we had given a guidance of 10 % and we reported finally 9.2 % for the year . Obviously , it had a break -up of increased cost pressures because of commodity prices, and some part of that didn't accrue because of cus tomer claims. So, this year, when we gave a guidance of 9.5 %, we have not taken into account customer claims, because typically customer claims take some time to get certified, obviously customer claims that are related to government in some formulations, be it Center , State or Public Sector corporation. So, I guess, at this juncture, it would be inappropriate for us to factor those claims by giving a guidance. So, we have not done that. And at this juncture, yes, in one or two customer claims, we are far m ore favorably placed than what we were in the month of March, but it would be premature for us to conclu

de whether that will happen in the current financial year or next financial year .
Deepika Mundra: Lastly , on the order inflow from international , Hydrocarbon, of course, is a tad weaker this quarter . Any specific reason for that ? and secondly, the large order projects which are being executed in Saudi Arabia , are any of these large Infra projects in your prospect base ?
P. Ramakrishnan : So, the Hydrocarbons international order inflow could be a little lower optically, because in Q2 of previous year, we had a large order that we got awarded from a reputed client in Middle East. So obviously, a big chunk which comes , then optically that c omes as a relative measure , it is optically down . But in terms in terms of the overall prospects for Hydrocarbon in the Middle East, that robustness seems to continue as well.
Deepika Mundra: On the Infra side?
P. Ramakrishnan: As far as infrastructure is concerned, I think a major part of the total order prospects that we have for infra at 4.54 trillion , almost 3.97 trillion is domestic. So it is a small portion of 0.56 trillion, which is international. And that too, it is largely led by the opportunities that we have in our traditional Power Transmission and Distribution business out there.
Moderator: The next question is from line of Pulkit Patni from Goldman Sachs . Please go ahead.
Pulkit Patni : PR, c an you tell us what is the Capex that we should build in for the next couple of years taking into con sideration the investment into new energy businesses , etc.,?
P. Ramakrishnan: Pulkit, I think we had mentioned this during our May call where we covered the strat plan. So, in terms of the traditional Capex, that is the Capex that is required for our Projects and Manufacturing portfolio , basis the kind of orders that we are looking at, and what we have seen

in the past, an average of , I would say , Rs 3,000 c rores is what we can consider each year as part of traditional Capex , but this again depends . If you have a whole lot of jobs in the hydel and in the underground metro where you need a tunnel ing work, obviously, you need a higher number of equipment, especially the Tunnel Boring Machines (TBM) . In fact, in the first six months, we have seen a sizable buildup of Capex as far as the Projects and the Manufacturing portfolio is concerned. So, it would be at this juncture good to assume that on a steady state 2,500 -3,500 crores is what we can consider as Capex part. As far as the new investments are concerned, obviously, it's aggregating to almost Rs.7,500-odd crores where data centers of Rs.2, 000-odd crores… this is an investment , Data Centers is being incubated in the parent L&T itself , so, the entire Rs.2,000 crores will come as Capex . But the overall investment outlay for electroly sers which is Rs.1,500-odd crores , actual spend likely to happen in next financial year after we close out with the technology partner. So, that will be the total investment . So, obviously, I don't think the equity exposure of L &T into that JV will be as much . Obviously, we'll have some amount of leverage and also the partner equity stakes as well. Similarly, when it comes to the storage batteries, where we expect to close out the technology partner maybe in next financial year . So, for the data centers, the electroly sers and t he storage batteries, the overall investment is in the range of Rs 7,000-7,500 crores is what we are now looking at in terms of Capex or investment.

Pulkit Patni: PR, j ust an extension of this , I want to understand that given the fact that our working capital is a lot more comfortable now , we don't have any meaningful Capex going forward and our leverage ratios are also comfortable , is buyback on the cards anytime in the near future or it is not something that has been considered ?

P. Ramakrishnan: Pulkit, I think w

e had indicated once more at the start of this financial year when we concluded on the strat plan part. Definitely , the objective of the group is to improve the RO E trajectory of 11% to 18% over a series of steps, which includes divestments of non -core businesses like concessions, reduced exposure to L &T Metro in terms of further cash assistance, and steady state consistent margins and growth in a controlled working capital as far as Projects and Manufacturing is concerned. So , all of this should hopefully see us through from 12% to 15% to 16%. Now, the 16 % to 18% is obviously is what we call as the Balance Sheet actions. Now , in what combination it will pan out ? I think it would be premature for us to conclude or comment at this juncture , but definitely it is being thought about seriously within the group.

Pulkit Patni: But not in the near future ?

P. Ramakrishnan: I said it is being thought about . It would be not appropriate for me to comment with the timelines at this juncture.

Moderator: Ladies and gentlem en, we will take the last question from the line of Aditya Mongia from Kota k Institutional Equities . Please go ahead.

Aditya Mongia : The first question is that I wanted to ask you was on execution. If I see whatever is the rate of execution on let's say the prior quarters backlog, there have been an improvement seen in 2Q versus previous 2Q, but not to the extent where we were let's say just prior to COVID. I'm just

trying to get a sense from you whether pace of execution can further move up and if that requires further reduction in working capital ?

P. Ramakrishnan: Aditya, it is like this. First and foremost, as far as the Infrastructure segment is concerned, le t me tell you that the execution momentum has achieved levels even better than what was pre -COVID. In terms of the overall execution momentum, of course, in Hydrocarbon, we have had, as I mentioned earlier, some amount of supply chain challenges that is coming once in a while. But the aspect today is, Aditya , that we are a little conscious about the fact that we don't want to go just on the basis of execution without getting paid. So the focus of L &T right now is to balance execution with mon ey getting c ollected. So , it is I think one important parameter that all of us should be aware of that we would like to keep the overall working capital at check, and not to get into numbers that we have witnessed some years back where the pro jects and manufacturing p art of the portfolio has even seen 23 %, 24%. While we don't have challenges per se as far as execution is concerned , but we are fully conscious of the fact that we would like to get paid. And to that extent , if there are delays in payment, the execution ge ts trimm ed to the extent of the payments that are coming from the client .

Aditya Mongia: The other related question was in working capital . I've been having discussions with you on the government guidelines that came about wherein the government is taking through kind of smooth ening the entire EP C ecosystem in terms of payments . Any actions that you have seen that are concrete and have been taken in that regard ?

P. Ramakrishnan: Aditya, guidelines came in October '21. But as far as we are concerned or I am aware of, I think the guidelines are yet to be getting enforced by the central government or PSU s itself. As of now, we have not seen cases where the three or four areas that they are talking about that L1 need not be the only basis of awarding a contract, it has to be a combination of both the technical and price credentials. Second is single bid s can be given as award. So until now, we have not seen anything that way of bid because we are also being a little selective. I don't think those conditions have still got applied.

Aditya Mongia: But is it fair to assume that there is a scope o

f improving the pace of execution if for some reason, working capital payments would be more streamlined , is it possible for you to do things faster?

P. Ramakrishnan: Absolutely , obviously, for all the projects in India, if we are getting paid on time, I do think that our execution ramp up could obviously hasten at a faster pace.

Aditya Mongia: One more question on the margins . I think questions have been asked . I will try to put in a

simpler manner. Are we seeing any trends in let's say, our own b id margin becoming better off
in certain segments or on an aggregate basis just on the basis of whatever orders we are winning?
I'm trying to get a sense from you on competition, because it seems as you're getting orders that
you're not even factoring in . Just trying to kind of pro be you slightly more on that aspect.
P. Ramakrishnan: So let me put it like this, I think in the last six or seven quarters ever since t he commodity prices
slowly started shaping up, we have been extremely careful wh ile we are pricing our bids. We

are focusing on I would say a smaller set of prospects where our ability to win is improved. At
the same time, we are not compromising per se on margins. But also one should note that it is
also a function of what we call a competitive intensity. So, it is a blend between competitive
intensity to demonstrate and also keep ensuring that we don't cede market share to any of the
competition. So , I guess it's a healthy mix that we are adopting. But yes, if the propensity of
orders largely comes from State-Owned or Public Sector, then obviously L1 being the primary
determinant for award of contracts , I guess that aspect will continue to remain.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the
conference over to Mr. P. Rama krishnan for closing comments.
P. Ramakrishnan: So thank you, everyone, for taki ng this time of the day for attending this call. It was our pleasure
to interact with all of you. We have tried to answer as much as possible in response to the
questions and also we have covered that in our presentation and also in the call that we just n ow
had. In case if you have any follow -on questions or hygiene related questions, please feel free to
call me or my colleague, Harish , and we'll be glad to answer of them. So thanks to all of you for
your time. Thank you.
Moderator: Ladies and gentlemen, o n behalf of Larsen & Toubro Limited, that concludes this conference
call. Thank you for joining us and you may now disconnect your lines .

Call: Jan 2023

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MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD INVESTOR RELATIONS
– LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Larsen & Toubro Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presenta tion concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. P. Ramakrishnan, Head Investor Relations. Thank you, and over to you, sir.
P. Ramakrishnan: Thank you, Faizan. Good evening, ladies and gentlemen. A very warm welcome to all of you to the Q3 FY '23 earnings call of Larsen & Toubro. The investor presentation was uploaded on the stock exchange and our website around 6:20 p.m. today. I hope you have had a chance to take a look at the numbers. As per normal practice instead of going through the entire presentation, I will take you through the key highlights for the quarter in t he next 20 minutes or so, post which we will take Q&A.
Before I start the overview, a brief disclaimer . The presentation, which we have uploaded on the stock exchange and our website today, including the discussions during this call contains or may contain s certain forward -looking statements concerning L&T's business prospects and profitability, which are subject to several risks and uncertainties and actual results could materially differ from those in such forward -looking statements.
During Q3 FY '23, the Indian economy continued to display surprising resilience amidst the continuing geopolitical uncertainties globally. The high -frequency economic indicators are continuing to exhibit strong momentum. PMI, credit growth, rural and urban consumption trends, investment indicators, mobility indicators, passe nger and cargo traffic data, et c, all of them are all pointing towards a stable and positive macroeconomic environment. The tax collections for the government have continued to remain strong and the balance sheets of the banks as well as private corporates look healthy. Most of the Indian macro indicators, be it growth, current account, fiscal deficit and inflation are relatively better vis -a-vis other countries in the world.
Within GCC, we see many countries building their non-oil econom y by investing in areas like water, green energy, and at the same time, continuing to ramp up their spends on oil and gas investments. These are times where despite the continuing global turmoil, both India and GCC, which are our group's primary geographies as far as Projects and Manufacturing opportunities are concerned, look relatively stable.
Before I get into the details of the financial performance parameters, I would like to share a few important highlights for this quart er.
• We announced the divestment of L&T IDPL during Q3. The transaction closure is subject to receipt of various regulatory approvals.
• Our LTI and Mindtree merger both concluded on November 15, 2022. The merged entity, LTI and Mindtree will benefit from c ost and revenue synergies over time

• With the conclusion of the sale of the Mutual Fund business and a phase to sale of the wholesale loan assets book, our Financial Services business will continue to pursue its retailization strategy.

Now I will come to covering the various financial performa nce parameters for Q3 FY '23. Our group order inflows for Q3 FY '23 at RS 607 billion, registered a Y -on-Y growth of 21%. Within that, our Products & Manufacturing portfolio secured order inflows of Rs 457 billion for Q3, registering a Y -on-Y growth of 20% . Our Q3 order inflows in the Projects & Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon se

gments.

During the current quarter, our share of international orders in the Projects & Manufacturing portfolio is at 12% vis -a-vis 34% in Q3 of the previous year. The domestic ordering environment, therefore, in Q3 was significantly better compared to Q3 of the last financial year. At a macro level, the domestic tendering and awarding activity has continued to remain strong. Although the domes tic award to tender ratio was a bit soft in the current quarter, which was 56% in Q3 FY '23 vis -a-vis 57% in FY '22 , the fact that the tendering momentum is strong, augurs well for the quarters ahead as well.

For 9M FY '23, the award to tender ratio was 5 2% vis -a-vis 48% in 9M of the previous year. We also expect a public capex spend comprising of Center , States and PSUs in the current year to be significantly better than the previous year. The year -to-date public capex spends have been higher over the comparable period in the previous year, driven by center and PSUs. We expect the State Government capex to be up significantly in the last part of the current financial year, which is FY '23. Private sector capex is also seeing signs of revival. In fact, i n Q3 FY '23, the project announcements by the private sector is at a multiyear high. In Q3, our share of Private within the domestic orders was 32% vis -a-vis 18% last year, largely witnessed in the Buildings and Factories sub -segment and in the Ferrous sec tors. We will be closely watching this momentum build up in private capex in the coming quarters.

Our order prospects pipeline for Q4 FY '23 is around Rs 4.87 trillion comprising of domestic order prospects of Rs 3.82 trillion and international order prosp ects of Rs 1.05 trillion. The breakup of this overall prospects pipeline comprises of Infrastructure – Rs 3.89 trillion; Hydrocarbon – Rs 0.61 trillion, Power – Rs 0.20 trillion, Heavy Engineering and Defense in aggregate at Rs 0.17 trillion.

Moving on to order book. Our order book at Rs 3.86 trillion as of December '22 is largely India centric, 74% of that is belonging to domestic and the balance outside of India. Against the International order book of Rs 1.02 tril lion, around 81% is from Middle -East, 10% from Africa and the remaining 9% from other cou ntries. Clearly, the Middle -East capex in both Infra and Hydrocarbon is an upswing post the recovery in oil prices, a statement that I refer to you five minutes back.

The breakdown of the domestic order book of Rs 2.68 trillion, which I said is 74% of the overall order book is as follows: C entral Government orders have a share of 9%, State Government,

31%, Public Sector Corporations or State-Owned Enterprises have a share of 40% and Private Sector, the remaining 20%. Approximately around 27% of our total order book of Rs 3.86 trillion is funded by bilateral and multilateral funding agencies. Around 91% of our total order book again of Rs 3.86 trillio n is from Infrastructure and Energy. You may refer to the presentation slides for further details. During Q3 and 9M FY '23, we have deleted orders of around Rs 19 billion and Rs 50 billion, respectively, from the order book. The slow -moving order share as of 31st December 2022 is at a low of 3% to 4%.

Coming to Revenues. Our group revenues for Q3 FY '23 at Rs 464 billion registered a Y -o-Y growth of 17% , International revenues constituted 37% of the revenues. The ITTS portfolio continued to report good grow th in Q3 as well. In the Projects & Manufacturing business portfolio, our revenues for Q3 FY '23 were at Rs 314 billion, also registering a Y -on-Y growth of 15%, again, largely contributed by robust execution growth in Infrastructure segment. I'll come to the finer points when I cover each of the segments later.

Moving on to the EBITDA margin. Our group level EBITDA margin without treasury inco me or other income for Q3 FY '23 is

10.9% at a drop of 50 basis points over the Q3 of the previous
year. This drop of 50 basis points is primarily due to higher staff costs in the ITTS portfolio as well as a one -time merger integration cost posted by LTI Mindtree. The detailed breakup of the EBITDA margin business -wise is given in the annexure to the investor presenta tion. You would have noticed that the EBITDA margin in the Projects & Manufacturing business for Q3 FY '23 is at 8.5% vis -a-vis 8.4% in Q3 of the previous year. This improvement of 10 basis points is largely reflective of job and the activity levels in the various sub -segments of the Projects and Manufacturing portfolio.
Our Recurring PAT for Q3 FY '23 at Rs 24.6 billion is up by 20% of Q3 of the last year, largely aided by higher treasury income. The reported PAT at Rs 25.5 billion is up by 24% over previous year.
Our exceptional item of around Rs 1 billion for current quarter ie Q3 FY '23 includes a gain on the divestment of the Mutual Fund business, partly offset by a onetime charge on the re - measurement of the wholesale loan assets by L&T Finance Holdings. The group performance P&L construct along with the reasons for major variances and the respective function heads is provided in the investor presentation.
Now coming to Working Capital . Our Working Capital to Sales ratio has improved from 22.9% in December '21 to 19% in December '22. Our Group level collections, excluding Financial Services for Q3 FY '23 is Rs 433 billion v is-a-vis Rs 331 billion in Q3 FY '22. For 9M FY23 , our group level collections, excluding Financial Services, is RS 1.16 trillion vis -a-vis RS 0.93 trillion in 9M FY22 .
Moving on to Balance Sheet. If you glance through the Balance Sheet, given in the anne xures to the Investor Presentation, you will notice that the Debt Equity ratios both Gross and Net in

December '22 have improved over the March '22 levels. Our trailing 12 -month ROE for Q3 FY '23 is 12.4% vis -a-vis 11% in Q3 of the previous year.
Very brie fly, I will now comment on the performance of each of the business segments before we give our final comments on our outlook for the near term.
First would be Infrastructure. Coming to Order Inflows . Our Q3 FY '23 order inflows for this segment are well spread across the various sub -segments. During the quarter, this segment bagged some large orders in the Public Space, Hydro projects, Irrigation projects and the Metals space. The segment secured orders of Rs 325 billion in Q3, registering a strong growth of 28% over Q3 of the previous year. Our order prospects pipeline in Infra for Q4 FY '23 is around Rs 3.89 trillion comprising of domestic prospects of RS 3.27 trillion and international prospects of RS 0.62 trillion. The sub -segment breakup of the total order prospects in this segment comprises of Heavy Civil infra has the largest share at 32% follow ed by Transportation Infra - 29%, Water - 14%, Buildings & Factories - 13%, Power Transmission & Distribu tion - 9% and Minerals & Metals - 3%. The order book in this segment at Rs 2.79 trillion as of December '22, has an execution visibility of around three years.
The Q3 revenues in the current year at Rs 219 billion registered a growth of 20% over the compa rable quarter of the previous year aided again by a combination of a large opening order book and improved customer collections during the quarter. As we have been mentioning earlier as well, as a strategy, we have always stepped -up execution when customer collections are flowing at a healthy space to strike a healthy balance between P&L and Balance Sheet management.
Our EBITDA margin in the segment is at 7% in Q3 FY '23 vis -a-vis 7.1% in Q3 of the previous financial year. The margin for the quarter remained stable despite cost pressures.
Moving on to the next segment, which is Energy Proj

ects, which comprises of Hydrocarbon and
Power. Receipt of domestic orders in the Hydrocarbon business improved order book, whereas deferral of orders continue in thermal power . The order prospects pipeline of Rs 0.80 trillion of the Q4 FY '23 is more or less healthy. The order book for this energy segment at Rs 720 billion as on December '22 with the international order book constituting 50% largely on account of Hydrocarbon orders that we have been securing over the last six quarters.
The Q3 FY '23 revenues at Rs 63.3 billion registers a growth of 7% over the comparable quarter of the previous year. It is heartening to note that the execution momentum in Hydrocarbon is improved, whereas lower revenues in Power is reflective of a depleted opening order book. The EBITDA margin of this segment at 8.7% for Q3 FY '23 improved compared to 8.3% over the corresponding quarter of the previous financial year. The execution cost savings , productivity and efficiency in both Hydrocarbon and Power business enabled the margin improvement.
We will now move on to the Hi -Tech Manufacturing segment, which comprises of Heavy Engineering and Defense Engineering businesses. In this quarter, we saw multiple order wins in Heavy Engineering, whereas Defense ordering was a little subdued during the quarter. We have

an order prospects pipeline of around Rs 170 billion for Q4 FY '23. The order book of this segment is at Rs 199 billion as on December 31, 2022.

The revenues for Q3 FY '23 at Rs 16.7 billion registered a growth of 14% over the corresponding quarter of the previous year. There has been strong exec ution in the Heavy Engineering business, whereas Defense witnessed certain tapering off some of the jobs that we executed last year.
The segment margin in the previous year also had the benefit from price variation claims and an important job crossing the margin recognition threshold in Defense, which explains the margin variation in Q3 FY '23 when compared to the corresponding quarter of the previous year.
On this segment, once again, to reaffirm the Defense Engineering business does not manufacture any e xplosives nor ammunition of any kind including cluster munitions or anti personal land mines or nuclear weapons or components for such ammunitions. The business also does not customize any delivery systems for such ammunitions. For those of you who have no t gone through the Annual Report for FY '22, we have made an adequate disclosure to this effect mentioned in the Chairman 's statement as part of our Integrated Annual Report of last year.
Moving on to the IT and Technology Services segment. The highlight f or the quarter was, as I mentioned earlier was the merger of LTI and Mindtree. Coming to performance. The revenues for this segment in Q3 FY '23 at Rs 105.2 billion registered a growth of 25% of the corresponding quarter of the previous year reflecting the continuing growth momentum in the sector with the surge in demand for technology -enabled offerings. The business outlook for the segment continues to be strong despite the fears around global recession impacting IT spending.
The margin in this segment is lower in Q3 FY '23 vis -a-vis Q3 FY '22, once again, as I mentioned earlier, impacted mainly due to higher employee costs and a onetime merger integration expense that LTI and Mindtree had to incur. I will not detail out much in this segment as because both of the companies in this segment are listed subsidiaries and the detailed fact sheets are already available in the public domain.
Next, we move on to the other liste d subsidiary , which is L&T Finance Holdings, clubbed under the Financial Services segment. Here again, the Company is listed, and the detailed results are already available. But to mention the highlights. The highlights for Q3 FY '23 was improved Net Interest Margin and Fees, lower c

redit costs, better asset quality and rundown of the
Wholesale and expansion of the Retail book. As on December '22, the share of Retail book in the overall book is improved at 64%. PAT for the quarter includes gains on the divestment of the Mutual Fund business and partly getting offset by a one -time charge on the re -measurement of the Wholesale loan assets portfolio pursuant to the group's decision to have an accelerated sell-down of the wholesale loan assets book. The strategic deliverables in this business revolve around the portfolio reorganization that i s a focus towards retail, strong asset quality and overall improvement in return on assets. The business endeavors to be a top class digitally enabled retail finance company moving from a product focused to a customer -focused approach. To conclude, there i s sufficient growth capital available in the Balance Sheet, which means like the way we have mentioned earlier, we don't have any plan to infuse any further equity into this business in the near to medium term.
Moving to Development Projects segment, which is essentially the concessions segment. This segment includes the Power Development business as well. The assets include Hyderabad Metro, Nabha Power and Uttaranchal Hydropower plant up to the date of its divestment that was

August 30, 2021. So Q3 of FY ' 22 onwards, Uttaranchal numbers are not there, but until Q2 of the previous year, you had Uttaranchal numbers that we have disclosed already. As you are aware, the Roads and Transmission Line concessions part of the business - which is L&T IDPL and is bein g consolidated at a PAT level using the Equity method. The majority of revenues reported in this segment is contributed by Nabha Power. The ridership in Hyderabad Metro and higher PLF in Nabha was one of the reasons for the growth in the segment.
Now coming back to Hyderabad Metro, some ridership statistics. The average metro ridership improved from 2,18,000 passengers a day in Q3 of FY '22 to 3,94,000 passengers per day in Q3 of current financial year. The average readership of the previous quarter of the current financial year, which is Q2 FY '23 was 3,55,000 passengers per day. So on a sequential quarter basis also, one can witness that what was in Q2 FY '23 at 3,55,000 has gone up to 3,94,000 in Q3 FY '22 .
All the numbers are the average r idership. Incidentally, on January 25, 2023, the Hyderabad

Metro witnessed a record highest metro ridership at almost 4,71,000. Q3 FY '23 margin in this segment is contributed by Metro operations as Nabha margin is not being recognized from Q3 of FY '21. The improve ment in average daily r idership has enabled Metro to report EBITDA margin of 40% in Q3 FY '23 vis -a-vis 23% in Q3 FY '22. The Metro at PAT level, we consolidate a loss of Rs 3.3 billion in Q3 FY '23 vis -a-vis a loss of Rs 4.8 billion in Q3 FY '22. Operating and amortization cost are between RS 0.80 billion to RS 0.90 billion each quarter, whereas interest cost stays at Rs 3.2 billion each of the quarters. In Q3 last year, our interest cost was Rs 4.3 billion. So coming back , to conclude on Hyderabad Metro, the improved ridership and a plan to have a phased Transit -Oriented Development monetization, the accrual of the government assistance that we had discussed in the previous quarters and with the recently concluded debt refinancing, the performance parameters for Hyderabad Metro should improve further in the coming quarters. The dilution of stake in this SPV may happen in phases over the next couple of years, but at this junct ure, there doesn't seem to be any immediate visibility.
Moving on to the last segment, which is the residual known as the Others segment that comprises of Realty, Industrial Valves, Smart World and Communications, Construction Equipment, Mining Machinery a nd Rubber Posting Machinery. The Q3 revenue gr

owth is mainly in Rubber
Processing Machinery, Construction Machinery and Realty. Margin improvement for the other segment is driven by a favorable sales mix in Construction Equipment & Mining Machinery and Rubber Processing Machinery and as well as a sale of property in Realty.
Coming to the last part of my discussion on our presentation, the outlook for the quarter and the near term . The Indian economy continues to stay resilient amidst the geopolitical uncert ainties, slowing global trade, disrupt ed supply chains, volatile commodity pr ices and rising interest rates. There is a visible tax buoyancy in the country, enabling the government to pursue its targeted capex plans. The PLI schemes of the government are e xpected to incentivize private players, both domestic and foreign to set up manufacturing facilities in an environment of improving demand conditions and business confidence. Major private capex investments are likely in energy transformation, emerging tec hnology, health care, logistics, ind ustrial parks, data centers, etcetera, which all of them augurs well for a EPC contract organization like us. The government is likely to continue the emphasis on infrastructure spending , while providing subtle support t o

consumption and addressing the need for investing in new edge technologies to combat the climate change risks. Elsewhere, major parts of the global economy continue to tread in turbulent waters due to policy tightening, high inflation, worsening financia l conditions and continued trade disruptions due to the ongoing Russia -Ukraine conflict. Further, China is running the risk of managing the Covid related challenges as restrictions on movement have been eased, however the impact, if any, could be temporary . With softening demand conditions and elevated interest rates, it is expected that inflation will soften in 2023. Despite these several headwinds, we believe the global economy is not at a higher risk of sliding into a recession . Oil prices are likely to remain firm at current levels, aiding the Middle East to continue to earn surpluses and create sufficient financial flexibility to invest in sectors besides oil. Like the way I mentioned of Industrial water and other Green investme nts.
In this backdrop, the company's portfolio has the necessary capability and flexibility to continuously rebalance its approach and strategy to benefit from th e dynamic business environment. The company is focused on tapping emerging opportunities with its proven competence in the domains of engineering, manufacturing, construction, project management, IT and financial services and committed to create sustainable long -term value for its shareholders.
Finally, let me comment on our guidance for the year FY '23 before we take the Q&A.
Order Inflows - We believe that we are well positioned to meet and possibly exceed the guidance i f the current tendering and award momentum continues into Q4 as well. In the Project business, as all of us are aware, the slip page of awards between quarters is normal and could ultimately influence the actual order inflow for FY '23.
Revenue - Our current execution rate is fairly encouraging and we believe that we are on course to meet the upper end of the guidance that we had given at the start of this financial year.
Margins - The overall margins for the Pro jects & Manufacturing business rely largely on the margin of our largest segment i.e. Infrastructure. Infra margins have been under pressure in the current year, partly bec ause of execution of projects this year has involved absorption of project costs contracted during the inflationary perio d of September '21 to June '22. And in the Projects business itself costs are absorbed as incurred, while claims for contract price variation gets settled at the back end of the project. This leads to wha

t we call a timing mismatch in reporting
margins. Having mentioned that, we do believe that the margin in the Projects and Manufacturing portfolio could have possibly bottomed out, especially in the Infrastructure segment and should witness a recovery going forward, provided the input costs remain stable. Geopolitical dynamics the continuing war in E urope and COVID disruptions in China , does have some sort of residual bearing even to today on the supply chain. We had reported 9.3% as overall margin for FY '22. For the current year, we do expect a pressure of maybe around 30 basis points to 50 basis po ints, on this particular parameter.
Working Capital - The Q4 of every financial year is a strong quarter for our customer collections. And since our NWC / R evenue is at 19% in December '22, we believe that we could possibly close the year between 19% to 20 % as against the year start guidance of 20% -22%.

So with this, thank you, ladies and gentlemen, for th is patient hearing. Faizan, maybe we can now start to take the Q&A.
Moderator: The first question is from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: This was a quarter of a fairly strong inflows and core business execution overall. My first question is that : You mentioned a strong oil and non -oil capex spend in GCC, but inflow growth in the quarter end and nine months is domestic led. So i s L&T losing out on orders in GCC so far this year? Or if you could provide some color.
P. Ramakrishnan: Sumit, let me tell you that it's all timing mismatches because if you were to compare the nine months of the previous year vis -a-vis nine months of the current year, it is like , we did get large orders in the Middle East in the previous year, especially in Renewables and Hydrocarbons. So I would like to answer to your question saying that it's not that the competitive intensity has gone up and we have lost orders . I think it's more to do with the fact that there has been some amount of delays, but nothing to say from a negative perspective that the Middle East is slowing down or we are losing orders there.
As I mentioned, the order prospects pipeline is of Rs 4.87 trillion for Q4. Out of that, the International order prospects is almost at Rs 1.05 trillion. And in fact, in Hydrocarbon prospects is at Rs 0.61 trillion, which is the total order prospects. The international order prospects is almost 2/ 3rd of that . So, I would say that it's more of a timing -related issue, nothing structural.
Sumit Kishore: The second point is just on your margin guidance, what was the 30 basis points to 50 basis points that you mentioned, if you could repeat that?
P. Ramakrishnan: So wha t I concluded was that we printed 9.3% for last year. And considering the fact that the first six months was a combination of higher commodity prices and some project closure costs that we witnessed, especially in Q2. And to that extent, if you see there h as been a margin improvement in Q3, but the amount of margins that we missed out in the first six months ; it is little difficult for us to compensate the entire thing in the next six months and stil l maintain the margin of 9.3 %. So here at this stage, of course, the Q4 of -- typically for our Projects & Manufacturing portfolio, is -- I would say, is a very good quarter in terms of the execution intensity, including some of the projects to cross the margin recognition threshold. But it is important that one should understand, since the first six months, we have had a drop in margin , we could see some amount of margin compression at a yearly level and th at is largely because of the first six months drop that we had. And hence, what we are looking at is that t here could be a 30 basis points to 50 basis points compression compared to 9.3% of FY '22.
Sumit Kishore: So is there any progress on

outstanding customer claims, which have accumulated post -COVID and even in Q2 FY '23?
P. Ramakrishnan: I did mention this when I was giving my margin guidance that during COVID, what had happened is because of the lock-down restrictions, the customers were giving us extension of time. But in terms of the hold up costs that L&T had incurred way back then, getting the

certification will typically happen towards the job closure. So in this entire margin guidance, whatever we hav e been providing, we are excluding such kind of pending customer claims, not only for COVID, there can be claims for other aspects also . In the Project & Manufacturing business, it happens both ways , we can have over -run cost because of our account, and we can have cost over it because of time delays or because of write -off way issues that is typically the responsibility of the customer. So in this case, any customer claims that we are able to get will add up to the margins, but that has not been factored f or Q4 FY '23.
Sumit Kishore: Just one data question. In your cash flow statement, your net investment in fixed assets has gone

up from Rs 18 billion in 9M FY '22 to Rs 30.3 billion in 9M FY '23, what's driving and what's the composition of this capex.
P. Ramakrishnan: So the large part of this capex, Sumit, is coming from the Standalone business itself which is largely project -related capex that we are doing. The other part of the capex, obviously, is the IT&TS portfolio - because they also are expanding in terms of headcount and th e normal IT equipment s that we have. But I would say almost at a gross level, we have had a capex increase in by way of purchasing project -related equip ment of almost RS 2,500 crores in the first 9M. I mean, increase as compared to the same 9M of the previous year.
Sumit Kishore: So your recurring capex now would be a higher number versus what you have been doing in the past?
P. Ramakrishnan: Actually, that is something I believe is a positive thing to handle with because recurring capex need not be that we are , its more to do with the projects that we are getting. And if you are talking about a lot of projects that are coming up in the coastal side, including High-speed rail, Hydel projects and all , which involves tunneling and the need to deploy Tunnel Boring Machines (TBMs) .
So I guess that is something positiv e. But that doesn't mean that we are going to have a sizable capex. As far as this year is concerned, yes, there has been an increase. Let us s ee, next year when we give the guidance in all other parameters, how much of the project -related capex will happen. That depends on how we close the budget s in the next two to three months.
Moderator: The next question is from the line of Deepak Krishnan from Macquarie.
Deepak Krishnan: I just wanted to understand while we have seen an incremental order inflow of 32% in overall private mix. But in terms of your prospect pipeline, how would you look at private capex picking up, specifically if we k ind of look at what is immediately possible for you?
P. Ramakrishnan: So in the overall prospects pipeline , in the domestic prospects pipeline we have is Rs 3.82 trillion . Against that, the share of private capex orders is still around, I would say, 10 to 15 percent . So it's not that. Although the announcements on the private side has been quite favorable in Q3 as compared to the previous quarters, but in terms of actual tendering momentum, we do believe possibly it could happen maybe post the Union Budget announcements that is expected two days from now. So that is something I think , but definitely, it is quite positive. And I also

would like to mention that even in the current year, we have seen a sizable mega order that we have secure

d in the minerals & metal space which i tself demonstrates that some of the core industrial investments from the Private sector seem to be online or on track, I would say.
Deepak Krishnan: Maybe and just one follow -up on the margin side, especially on the Infra side . We've been seeing flat margins despite improved execution. Is there any other outstanding projects, which are sort of a challenge? And maybe just from an overall mix, how are we looking at the mix of fixed process variable price contrac ts currently in our order backlog?
P. Ramakrishnan: So at the aggregate portfolio level of Projects & Manufacturing, the share of fixed and variable contracts still continues to be the 1/3, 2/3 Deepak , and that has not changed much. The only thing is whatever fixed price contracts that we have been quoting for the last four quarters or three quarters or so has been something taking into account the current prices. Of course, in FY '23, what we are witnessing the execution ramp -up is largely the fixed price contracts that w e had secured prior to the commodity price hikes that we have been witnessing. So some extent of that has seen an impact in the overall margins. Infra margins today is at almost 7 %-odd. And I guess we are coming back; you should be seeing a sequential impr ovement quarter -on-quarter from now onwards.
Deepak Krishnan: So maybe just one last question, given that on the Hyderabad side, we are seeing an expansion of the metro network, but anything from the State Government side on the interest free loan that we were supposed to get? Any support any update on that?
P. Ramakrishnan: Okay. So as of December , the State Government assistance was announced at Rs 3,000 crores to be given over a period of two to three years. And as of December, we just got Rs 100 crores, and we are informed that we should be getting the Rs 900 crores of the first tranche of Rs 1,000 crores in the current quarter.
Moderator: The next question is from the line of Renu Baid from IIFL Securities.
Renu Baid: Three questions from my side. So ba sically, on the margins, essentially at the start of the year, we had guided a relative improvement in margins, which we had come down to flat margins and now, we are seeing 30 to 50 basis point decline in Y -o-Y margins. Am I right , towards the cut in the guidance from where we came through?
P. Ramakrishnan: Okay. So Renu, yes, I agree with you that when we started the year, we had initiated a guidance of 9.5%. But I guess, the first six months we witnessed a good amount of execution. Also witnessed two things, that the commodity prices that we took the first six months was largely on

the back of contracted purchase orders for committed shipments which was a discount at the
time of the prices prevailing then . So that has had one impact. And as I mentioned in the previous
calls, in Q2 also, we had some amount of project closure costs that was not envisaged.
So, as we see it, from the margin drop that we have seen in the first six months , it looks to be a
little unlikely that can get compensated completely. But the one important thing I would like to
reassure you is that, at least we seem to have changed the tide now with the improvement in

margins and we expect that the improvement momentum t o continue on the back of commodity
prices having eased. But as you know, margin guidance has been only given for the current Q4
and for the year. And base is the way we are at Q4, we are looking at possibly 9.3% is what we
printed, maybe we should be in t hat 8.8% to 9% kind of a trajectory.
Renu Baid: Sir, basically, the question is, as the overall P&L margins, can we expect at least from next year,
given that most of the project closure costs, onetime expenses and everything is behind ; on a
normalized bas is, if there are no further shocks on the commodity

side, can margins revert back
to double -digit levels from next fiscal, given the mix of orders and execution that we have on
books? Is that the possibility?
P. Ramakrishnan: So Renu, first thing, let me t ell you that the commodity prices having eased obviously will be
comfort for us in terms of our ability to improve the margins primarily because, as I mentioned,
a few minutes back that the projects that we have bid -- fixed -price contract that bid for the last
three to four quarters have taken some amount of higher commodity prices, which will add ed to
a benefit.
But in terms of the margin projected trajectory, Renu, as I mentioned that it looks to be that we
are bottomed out and from now onwards it shoul d improve. But it is premature for me to
comment on next year's margins because let us first take a stock of how the budgets of the
individual business pan out. And as you may be aware that we always give the margins for the
year in question. So kindly wai t until 3-4 months before give the guidance for FY '24.
Renu Baid: And related to this, on the bullet train or the high -speed projects that we're executing the largest
project in the backlog. Are we through with the margin threshold recognition for the lar gest
packages there? Or are we expecting that around in 4Q or 1Q?
P. Ramakrishnan: The C4 package is almost 40% or so complete. So Renu, I was answering in terms of the high -
speed rail, the two projects at C4, C6 have crossed their margin recognition thres hold and are
going as per plan, largely in line with what we have planned out.
Renu Baid: You also mentioned in your opening comments about a sale of property in Realty. Would it be
possible to quantify the value?
P. Ramakrishnan: So the sale of property i n the Realty business is part of Realty's own business portfolio itself. So
I would say the impact to overall margin for the quarter would be at around 15 basis points.
Renu Baid: But no lump sum value in terms of sale consideration
P. Ramakrishnan: No. I would say , it's in the normal course of business of Realty, nothing to call out separate
because anyway, it is getting subsumed under Others segment. And if it is material, anyway, I
would have told you separately.
Renu Baid: And lastly, while your 9M order inflows have been very strong and your guidance unchanged
implies a decline of almost double -digit 10% to 15% in fourth quarter. And you also mentioned

of possibility of slippages of orders in 4Q in P&M segment. So are you seeing certain large
projects decision making getting delayed either in Defense or other segments or it's more of a
cautionary segment and if everything is business as normal you should be able to exceed your
inflow guidance?
P. Ramakrishnan: Okay. So Renu, let me tell you that when we gave our order inflow guidance at the start of the
year at 12% to 15% . And today, what we are telling is that we are fairly confident to meet or
cross the upper end of the guidance, which is 15%. But I think it's important to confirm this with
numbers. Se e, typically, if you have witnessed L&T's Projects and Manufacturing business, you
will always find that the H2 has been quite robust as compared to the first six months. But this
year has been and that is something, I would say, very positive that we have seen a good amount
of tendering awarding and award opportunities in L&T's favor right from Q1 itself.
Now if you trace to our Q4 numbers, the total order inflows that we have done in Q4 of FY '22
was almost RS 61,000 crores . Now even to keep that 15% gui dance, I need to be having in and
around that level of order inflows even in Q4. And obviously, you will have the combination of

some mega orders and some good amount of orders to come in. So , there is always a Rs 5,000 crores to Rs 10,000 crores drop here could possibly impact that percentage

. So we are confident
-- and as I said, we are more positive to cross them on, but I think it would be a little premature for us to say at what level we will cross given the fact that the run rate itself is a need RS 55,000 crores to RS 65,000 crores.

Renu Baid: And on the Defense side, projects that you were L1 for quite some time, a repeat order for K9 Vajra and others , do you think those orders may materialize end of this fiscal , or still they are take some time away ?

P. Ramakrishnan: I would say at this juncture, too early to comment on it Renu, possibly could be a spillover to next year.

Moderator: The next question is from the line of Mohit Kumar from DAM Capital Advisors.

Mohit Kumar: Congratulation on a very good set of numbers, especially on the order inflow. So my first question is on the prospect on the Defense side. Has the Defense prospects improved materially, I am talking about for the next 12 to 18 months ; because we have seen the interview there where we are talking about the defense constituting higher proportion of the order backlog as we go forward.

P. Ramakrishnan: So, I was talking about that the giving us defense order prospects for Q4 at Rs 17,000 crores ie Rs 0.17 trill ion. So let me tell you , and I'm talking about Q4. So , the order prospects for Defense is almost at Rs 15,000 crores ie Rs 0.15 trillion. One thing is definite, the government has a clear articulated plan on increasing the indigenization of the various dif ferent capex procurement. But of course, there are large projects that may come up, but let me restrict here to say that order prospects where we see some amount of ordering and a possible award opportunity is only for Q4 and that is at Rs 0.15 trillion. But with a very positive outlook in terms of the extent of

Defense orders that can come up in the subsequent years. A little early to comment as to how much our order prospects will happen for next year, wait until May when we give you the numbers.

Mohit K umar: Second ly sir , how has been our win ratio in the orders, which you announced in nine months and the closure of tender to award ratio, especially in Q3 ?

P. Ramakrishnan: So, in the domestic award to tender ratio, I think I did mention in Q3, it was 56% Q3 FY '23 as against 57%. So it's just a drop of 1%. But you know what, the tendering momentum for Q3 at RS 4.21 trillion is almost up by 54% as compared to the previous quarter that is Q3 of the previous year. Similarly, the 9M award to tender ratio, which was 52% in the current nine months as against 48% in the nine months of the previous year, here again, the tendering and actual value of tenders at Rs 10.1 trillion for nine-month FY '23 is almost up by 64%, which only re-emphasizes which most of us would agree that the Indian economy seems to be on the back good sustained investment or capex -led momentum with a clear intention to kick start projects and get into the execution s ide.

Coming to the first part of your question, I would say that this year, we have seen a more positive award to prospects ratio, whatever one may call is almost in the range of around 20 %-odd, which is something which we believe is quite positive for us .

Mohit Kumar: Last question on Hyderabad Metro, are we expecting more to TOD monetization as we enter into FY '24? I believe the monetization has been pretty slow till date. Can you expect a substantial number in FY '24 ?

P. Ramakrishnan: Sorry, I didn't get you 524...

Mohit Kumar: TOD monetization of the Hyderabad Metro. Can you comment on that?

P. Ramakrishnan: So the way it will happen is I would say that one -- it would be reasonable to comment on the fact that we can assume around RS 1,000 crores to RS 1,500 crores as monetization over -- each year over the next two to three years.

Moderator: The next question is from the line of Deepika M

undra from JPMorgan.

Deepika Mundra: I have two or three questions. So mainly on Working Capital and Margin, given that you're seeing a pickup in the Private sector orders , like before, are you seeing a differentiated margin profile as well as working capital profile compared to public sector capex?

P. Ramakrishnan: So Deepika, I guess I think the last 1.5, two years, our major part of the capex that we ha ve been taking is either Middle -East and the India side is largely Government . And despite all of this, I would like to mention that as a company for the last six quarters or so, we have been very careful to ke ep on track this margin trajectory.

And we have been, I think, fairly successful, although we started the year saying that we will have -- we will end the year with a 20% work ing capi tal trajectory, but see a maximum of maybe

22% in the intervening quarters. But I guess the company as a whole has been quite conscious of this fact. And we have been able to keep the 19% threshold even for nine months. But I would say that 19% to 20% is what we have targeted. And I guess we will be possibly below the guidance of 20% i tself. On a favorable side coming to the close of this financial year.
Yes, to answer to your question, a combination of improved private sector order inflows could possibly, I would say, have a positive impact on working capital management. But there aga in, considering that we will have a large part of our order book as public sector -led or government led, I think it will be fair to assume in the near term, an improvement can happen maybe to 18 %-odd beyond that, something I think I would not like to comme nt at this juncture.
Deepika Mundra: Also on some time back as part of your st rat plan, you've announced some investments in clean energy on battery as well as on the electrolyzer side. Can you walk us through an update on that front? And since it somewhat included in your revenue growth outlook for the next three to four years, in terms of the confidence level on achieving some of that -- some revenue from new initiatives?
P. Ramakrishnan: So Deepika, I guess, when we had articulated our strategic plan, FY '22 to FY '26 in May '22, we also talked about in the current financial year, the one investment that we were planning to commit would be the business of setting up the electrolyzer manufacturing unit. So we have set up a commissioned pilot green hydrogen plant spending around Rs 35-odd crores that got commissioned in Q2 and Q3 of the current financial year. We are now looking actively at the JV partner who can assist us setting up this electrolyzer JV . The plan was that it should happen by March. Possibly that may happen maybe at the end of this quarter or possibly at the start of the quarter of next year.
In terms of overall investment outlay that we are looking at in Electrolyzer was around Rs 15 billion . I guess there is not much of change and in terms of revenues coming from this business , assuming that you could have a one year setup time which is the almost the major part of the next financial year. So revenues coming up would be billing over to FY ’25 and FY ’26.
As far as the next one, on the green energy side was the decision to get into the storage battery part. But I guess it’s a even premature for us to comment as to when are we looking at in terms of sizing of the technical specs because the entire technology is also changing so fast. I g uess, in terms of clarity on that, maybe another 12 months down the line we should have better clarity as to what kind of technology, what is the size of the investment and who is the technology partner, maybe end of possibly next financial year is a porti on where we'll be able to articulate. Having said this, in the current strat plan, I don't think in what w e have given as our overall topline numbers

, there is any significant numbers coming from these two new lines of investments.
Deepika Mundra: Last qu estion on the guidance. While on the order inflows, clearly, you've highlighted some potential upside risk even your execution is running well ahead of the full year guidance run rate. So any comment on that?

P. Ramakrishnan: So as I said, we have told that we are reasonably sure of, again, maintaining the upper end of the revenue guidance band with minimal downside risk. Let me put it that way.
Moderator: The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congratulations on g ood numbers. My first question is with respect to your win ratio. If I go by your commentary on awards and tendering, all that seems to be much higher, 52% year -on-year. But your order inflow growth is clearly less. Does that mean that the win ratio is low er this year versus the previous year?
P. Ramakrishnan: No. Sorry , I think I mentioned that the win ratio is 20 %-odd, which is higher than even the previous years, which are hovering between 15% to 16 %-odd. So this year has been good for us. So I hope that we are able to maintain this ratio . So I don't think I have given any such message which seem to suggest that our win ratio in Q4 will come down.
Puneet J. Gulati: But if the tendering momentum was up 64% Y -on-Y. And that's not the order inflow growth so that...
P. Ramakrishnan: So let me tell you, Puneet, is that we have given our order prospects of almost Rs 4.87 trillion and let us try to focus on the domestic order prospects of Rs 3.82 trillion . Now this is also on the back of the prospects that each o f our sub -segments are looking at, but can you understand that this is going to be one unusual year, where even in the first three quarters, a lot of tendering

happened, a lot of awards have happened. So it is quite possible some of the mega prospects, ie more than $1 billion may have got tendered out , bids may have been submitted, but the question of awards , because we still have only two months of the year, and we are not seeing much of action in January. So that is the reason that there could be a spillover into next year. But it's more of a wait and watch mo de. But I think, there is no suggestion from our side to say that the visibility of ordering intensity or anything coming down . Its more to do the fact of having time delays that can spill over to the first quarter of next year.
Puneet J. Gulati: Sorry, maybe I'm not clear. So what I meant was tendering is up 64% nine months Y -on-Y, award ratios to tender is at 52%. So clearly, the award is also higher than 64%. But if your order inflow growth is less than 64% or like 21 %-odd. Then does it not mean that either you didn't participate or you didn't win enough?
P. Ramakrishnan: Okay. So l et me put it like this, Puneet. It is not necessary that in all the tenders that are put up L&T bids. We are little s elective and we typically bid for projects in each of the segments provided it has a particular size. So I think it's more important what w e are trying to convey is that the capex revival that we have been talking about, all of us have been talking about seems to be in place. And in this capex revival , the large projects that come up, obviously, will favor I think contractors like L&T in a be tter way.
Puneet J. Gulati: So should one read that most of the projects actually were smaller size, which did not interest you as well.

P. Ramakrishnan: For example, there have been a lot of tenders and awards being given in Transportation infrastructure . I mean there, we know that we -- there is a competitive intensity, which is x times what we see in other sectors. So we know, we are aware of it, and we also don't want to take

up
orders in a segment where our pricing becomes what you call as commoditized pricing being played. So I guess part of the capex has happened there, where we have not seen much of traction as a bidder itself.
Puneet J. Gulati: And would you say, in general, the competitive intensity has gone up, remains flattish or down?
P. Ramakri shnan: I would say , the way competitive intensity was at the end of the previous fiscal, the same competitive intensity continues . In segments like, as I mentioned in roads and expressways, whatever we have seen, the same thing continues. We have not seen any structural change or difference between competitor intensity 12 months back and what it is today.
Moderator: The next question is from the line of Sujit Jain from ASK Group.
Sujit Jain: If you can just quickly spell out the Hyderabad Metro liability si de of the balance sheet ?
P. Ramakrishnan: So, on the liability side of the Balance Sheet, Hyderabad Metro has a debt of Rs 13,000 crores i.e. the external debt, which ha s a combination of Rs 8,000 crores medium -term NCDs and Rs 5,000 crores of short -term borrowings because that essentially will get backfilled by a combination of the government assistance that I referred to and also possible TOD monetization . Hence, that shorter term has been kept. The L&T exposure to Hyderabad Metro is around Rs 7,500 crores. So on the liability side of the Balance Sheet, you take Rs 7,500 crores equity, Rs 13,000 crores of debt. So , the total balance sheet size is around Rs 20,000 crores.
Sujit Jain: Equity i s RS 2,400 crores in this, right? And rest is tech support.
P. Ramakrishnan: Yes, correct, RS 2400 crores .
Sujit Jain: Cumulative losses would be?
P. Ramakrishnan: The cumulative losses would be around Rs 4,500 crores .
Sujit Jain: And when you are done w ith this, let's say over a two-year period, Rs 1500 crores + Rs 1500 crore from monetization and Rs 3,000 crores of support from the government , what would be the cash loss per year, what it gets reduced to then ? Interest cost savings basically …
P. Ramakrishnan: So Sujit, I would say you're combining everything. So first, let me tell you that structurally speaking, Hyderabad Metro gets into a good amount of positive EBITDA to take care of an interest on debt of around Rs 9,000 or Rs 10,000 crores onc e the r idership goes at around 700,000 to 750,000, let me put it that way. Anything on TOD monetization, obviously, brings in cash and enabling us the third -party debt, which we ar e talking at Rs 13,000 crores.
The intention is to bring the overall third -party debt to Rs 8,000 - 9,000 crores over the next two to three years, which will be a combination of Rs 3,000 crores of the State government support,

one, and possibly, as I mentioned, around Rs 2,000 crores of TOD monetization over the next two years, which would bring the debt level at Rs 8,000 crores. And with the ridership, which is

today averaging at 4,20,000 or so in the current I mean I'm seeing a January number. Moving to 6,00,000, 7,00,000, I guess the worst could be over. Unlikely that L&T may have to infuse further cash as it looks like , provided what I just mentioned in terms of TOD monetization and the government assistance comes on time.
Sujit Jain: So FY '25, most likely.
P. Ramakrishnan: Again, a t this juncture, it's a question of time. So I've given you the boundary lines on this aspect .
Sujit Jain: And the net working capital, which is currently at around 19% , ex of services, how much that would be?
P. Ramakrishnan: So that's a good question, Sujit. I would also like to tell you currently we don't take financial services, so what we are reporting in 19% comprises of ITTS portfolio and Projects & Manufacturing, I wish to tell you th at in P rojects & M anufacturing, worki ng capital intensity is also

at around 20 %-odd.
Sujit Jain: And what it would have been a year back?
P. Ramakrishnan: 23%.
Sujit Jain: That is ex of ITTS , 23%.
P. Ramakrishnan: Right.
Sujit Jain: And is this safe to say that the nine-month tendering wa s Rs 10.1 trillion. And L&T, ex of services got orders of close to I think RS 1.1 lakh crores, right?
P. Ramakrishnan: But see, what we talk about tendering, I think I answered this question. First, we are referring to country -level tendering . So there are many tenders of capex where probably L&T may not participate or would not have participated or there are, as I mentioned, to answer to previous questions, so many tenders that have come out in Transportation infrastructure, where obviously, we don't stand a big chance other than very large packages that get tendered out. So it is covering all the segments and all the segment need not be taken by EPC contractors like L&T.
Sujit Jain: And does this number look far later than it or in terms of the prospects t hat you spoke at the beginning of the year?
P. Ramakrishnan: So I stated like this that I think to -- since there has been multiple questions on this particular aspect, whatever tender to award ratio and the tender values that we have taken, obviously, the se are all in public domain. These are all country -level numbers . We are only trying to convey that the capex cycle or the investment cycle in the country seems to be shaping out well. From a perspective of specific to our company, I guess, I think more im portant would be the order prospects that we tell at the start of each reporting period. What I mentioned at the start of the

year and what we are mentioning today for the Q4, I think that is more important. Against which the orders that we book in each qu arter will possibly give you what we call the award win ratio.
Sujit Jain: And this Rs 4.87 trillion is for fourth quarter ?
P. Ramakrishnan: Yes, please.
Moderator: The next question is from the line of Amit Mahawar from UBS Securities.
Amit Mahawar: Congratulations for great order inflow. Sir, just two quick questions. First is, you mentioned about the next 4-5 years of investments of $2.5 billion. Just want to understand the equity investments that L&T is looking at this number, broadly. That's question number one.
P. Ramakrishnan: Sorry, can you repeat that question, Amit?
Amit Mahawar: Yes. Sir, the $2.5 billion that you intend to invest over the next couple of years in a lot of green initiatives along with other partners, it will involve inve stments by various partners, total project capex is different. How much is the equity commitment that you're looking at signing on this number?
P. Ramakrishnan: Okay. So I guess the way we are looking at on the electrolyzer part, I think we communicated that the commitment we are looking to invest is around Rs 15 billion, Rs 15 billion is the total investment. So I means that there will be some amount of debt and equity and the equity will be basis the JV ratio that will happen. So let me once again confirm what we are talking is Rs 15 billion, the total investment and not necessarily the cash flow from L&T towards the entire exposure.
Amit Mahawar: That's for that one project, but I think we have furthermore pr ojects like battery storage, et cetera, I think ...
P. Ramakrishnan: Yes. So storage batteries, I'll give a refresh. Storage battery, we are looking to commit ourselves to an amount of Rs 25 billion, that is Rs 2,500 crores. But in terms of, I guess, even in the plan that was in the selection of technology and the JV partner was to happen in the latter quarter of FY '24, which is the next financial year. So I guess it is going to be a more rear -ended investment in the current strategic plan. The investment that is now happening, I would say , we are planning

to do is the data centers that we're putting out, there are two data centers, which are expected to get commissioned in the next 18 months or so . 30-megawatt data centers, each, one close to Mumbai and another one close to Ch ennai .
Amit Mahawar: Is it safe to assume, sir, in this $2.5 billion, the equity commitment by L&T in the next four, five years is going to be a small sum, maybe 10%, 20% of the project cos t, I can say that, not more than that.
P. Ramakrishnan: Yes. So okay. I mean you're asking a structural question for a Q3 call, actually I had answered. But since you have asked, let me put it like this. We are talking of RS 1,500 crores -plus Rs 2,500 crores. So this is the total investment. One can assume because it's typically manufacturing, so

apply the standard debt equity and take share, even assuming it is 100% subsidiary on a worst - case scenario, which don't happen because the JV partner also will co me up the equity. Data center total investment that we're looking at is around Rs 18 billion to Rs 20 billion, which is happening from L&T Balance Sheet.
Amit Mahawar: The last question from my side is if we see last two-three years, the cash on -site strategy that we've been following, we will free cash flows or revenue recognition. And even on the EPC active rationalization strategy there, there will be seem to be hearing on some high -growth segments . Our market share -- so in FY 2023, broadly, can I say that our market share in Transportation and Water and Hydrocarbon would range between 40% to 60%, especiall y in Hydrocarbon is anyways 50% -plus, but in Transportation and Water, are we now around 30% to 40% of the total mix tha t we target.
P. Ramakrishnan: So Amit, I think let me tell you, I'm not prepared to give this answer in terms of the overall market share in each of the sub -segments. I guess we'll try to cover that when we close the year. But I wish to tell you that in Wa ter, I think the opportunity is fairly reasonable, and we have been getting a good set of order . Even in Q3 we managed to get a decent set of orders , especially in the lift irrigation projects in central part of India. So that is quite positive. As far as Hydrocarbon is concerned, it's a combination of ordering intensity in both domestic onshore/offshore and Middle East onshore/offshore. So , we have had fairly good wins. In terms of share and other things, I guess, maybe when we close the year, we'll be in a better position to comment.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal,: Congratulations on a good quarter. So my first question is on margins. So you mentioned that these margins will be the lowest margins we have seen and from here on, sequential margins will improve. So my question was that we have seen in the recent bids, L1, L2 and L3. So L&T has actually been L2 and L3 L4 also in some of a large bid. So can we presume that from here on, maybe the most of the Infrastructure margins behind us and slowly our margins will improve from here on in the next quarter s?
P. Ramakrishnan: So Parikshit, I was talking to margins. I was giving you what we have witnessed in the current year. I explained to you the reason for the first six months. And we definitely are looking at an improved margin in Q3, in line with our own internal estimates. In terms of structurally how much margins are improving, obviously, it's a combination of competitive intensity , ordering environment, movement of commodity prices. And then at which stage of your jobs are getting into valuation threshold, contingency releases, completion project cost closures. So it's a dynamic combination . Very easy for anybody to ask what is the embedded margins, but it is a volatile environment out there.
So I guess , the way we are looking at basis the f

act that what we have seen now and going into -- going forward, as more of the recently executed, recently contacted fixed price contracts will get up into execution mode. It seems to me that we have bottomed out but having said this, I

would restrict myself to say what we have given a guidance for Q4. Wait for us to come back in the month of May when we give the guidance for next year.
Parikshit Kandpal: And my second question is on the Hyderabad Metro. So I just wanted to un derstand in the first nine months, what has been loss finally and for the full year, how much we are envisaging? And for the next year, what is expectation of loss funding ? Because what I could understand is that though L&T is stop, may not require further loss funding, but whatever inflow is coming from the Telegana government as a soft assistance that will go towards loss funding, but may actually not reduce your d ebt. You will not incrementally rely more on TOD demonetization, which also

seems to be like spread out over the next two to three years. So how will do the math on reduction on this lost funding ? Just wanted to get a sense on that?
P. Ramakrishnan: Okay. So Parikshit, our cumulative exposure on Hyderabad Metro is around RS 7,500 crores as of December. At the start of the financial year, it was around RS 7,200 which means technically, we're looking at additional funding of Rs 300 crores that we have done in the current year. But this is one assumption here was that we did expect that the State Government support to come a little earlier and possibly even the TOD monetization. So obviously, this being a concession asset and the fact it is a large concession a sset, even a government decision has taken time, but they have been fully aware and fully cooperative with L&T in terms of understanding how L&T is running the metro. So it's a timing mismatch once more. If it would have happened maybe this Rs 300 crores additional funding may not have taken place , but we do believe that as it stands now with improved ridership and a clear visibility and confirmation with the government on the timing of the assistance and along with, I would say a more or less predictable TOD monetization of what I mentioned around Rs 2,000 crores over the next six or eight quarters , I think we should not be seen to be infusing like the times Hyderabad Metro got affected during COVID in the year '20 -'21 and '21 -'22.
Parikshit Kandpal: Just one last thing on this. So just , you said that for the nine months, you only have RS 300 crores of loss funding ?
P. Ramakrishnan: Cumulative nine months funding additional, yes.
Moderator: The next question is from the line of Aditya Mongia from Kotak Securities
Aditya: So the first question, what I had was that If I see from a three -year CAGR perspective, your backlog has grown at about 8% or so, whereas your execution has grown at the slower pace , and at about 5 -ish or so, and this is a three years CAGR number I'm kind of speaking about. Do you envisage a pickup in execution now that you've seen almost nine months of good collection , come back to earlier levels fully?
P. Ramakrishnan: So Aditya, if you are taking a three -year CAGR, there are two things which I want to convey is that in that three years, almost six to seven quarters, virtually had no execution because of COVID . That is one. And secondly, I want to communicate is that we have been a little more sharper focus on the working capital a nd restricting the execution to the extent of money is

collected in some projects where we believe that the money may not be coming on time. So I guess it's a combination of this. Otherwise, going forward, with barring for supply chain constraints, which i s still hanging around here and there in isol

ated cases when it comes to buying out especially imports from part of Europe or China. I think otherwise, execution momentum is quite good. And we do expect that the collection momentum, especially for the gove rnment -led projects that we are having that the payments will continue to happen on time because the government's finances seems to be quite smooth and that will continue. And hence, the execution momentum should hopefully, I think, improve as we go forwar d.
Aditya: So a different way of putting this in that your backlog has grown almost 15% Y -o-Y, right? And that's an indication of the pace you can execute incrementally, can we think through a similar or higher number of execution growth for FY '24? I'm no t asking for a number; I'm just talking about the direction that...
P. Ramakrishnan: Directionally, it is common sense what you are concluding, but I would like to take a pause here to say in terms of how we see FY '24 , kindly wait until May.
Aditya: The next question that I had was more to kind of finalize numbers slightly better. See if I see the stand alone numbers Y -o-Y for the third quarter and if I see your core E&C, core E&C at an EBITDA level has done much better than what standalone have done at an EBITDA level. Is there any specific kind of -- I'm just trying to get a sense of where or which subsidiary could be kind of driving, let's say, a recovery or a growth in EBITDA in overall level? Are there certain Infra subsidiaries that have s tarted doing better? Is there some one -off effect , just trying to get some sense because standalone is not as great as core E&C.
P. Ramakrishnan: Yes, Aditya, I think the way you need to look at it is, please see Hydrocarbon segment in standalone, Hydrocar bon segment in consolidated. Some of the larger orders in Hydrocarbon segment have come in consolidated by way of the orders that have been backed in our subsidiaries in the Middle -East. So that is one aspect one may have to be mindful about. Infrastructure, I would say , a large part of the orders or Infrastructure or execution is happening in stand alone only.
Aditya: So it's on ly the Hydrocarbon where there may have been some additional boost beyond standalone ?
P. Ramakrishnan: Yes. There is.
Aditya: And then lastly, for the past two quarters at a consol le vel, your other income has been shown

decent trends. Is it just good cash flows leading to higher other income and should it sustain? Are there any one -offs in side?

P. Ramakrishnan: So treasury income is obviously a question of two things. One is that you have, I would say, larger amount of cash accruals coming up, pending they are deployed, either in business, capex, returns to shareh olders. And secondly, our ability to manage the volatility in the interest rates

which we have been doing fairly well until now, and we expect that to continue. So it's a combination of both value and return capital.

Moderator: Thank you Ladies and gentlem en, that was the last question for today. I now hand the conference over to Mr. P. Ramakrishnan for closing comments.

P. Ramakrishnan: So thank you, Faizan, and thank you all for having taken your time on a Monday evening so late into this hour. I hope mos t of your questions have been answered. In case if you guys have any follow -on questions, hygiene -related questions, please feel free to write to me or call me or my colleague, Harish, we will be glad to answer. Thanks for your time once more, and good nig ht. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Larsen & Toubro Limited, that concludes this conference. Thank you for joining us, and yo u may now disconnect your lines.

"Larsen & Toubro Limited
Q4 FY '23 Earnings Conference Call"
May 10 , 2023

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MANAGEMENT : MR. R. SHANKAR RAMAN - WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – LARSEN & TOUBRO
LIMITED
MR. P. RAMAKRISHNAN – VICE PRESIDENT – LARSEN
& TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Larsen & Toubro Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an oppor tunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. P. Ramakrishnan. Thank you and over to you, sir.
P. Ramakrishnan: Thank you, Faizan. Good evening, ladies and gentlemen. A very warm welcome to all of you into the Q4 and FY '23 earnings call of Larsen & Toubro Limited. We will have with us on the call today our Whole -Time Director and Group Chief Financial Officer, Mr. R Shankar Raman. The earnings presentation was uploaded to the Stock Exchange at our website around 6 p.m. Hope you had a chance to look at the numbers and the presentation content as well. As per usual practice, instead of going through the entire presentation, I will take you through the key highlights for the quarter in the next 30 minutes or so, and post which myself and Mr. Shankar Raman will take the Q&A.
Before I start, a brief disclaimer, the presentation which we have uploaded on the Stock Exchange and our website today, including the discussions that we will have in this call, contain or may contain certain forward -looking statements conc erning L&T Group's business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.
During Q4 FY '23, the Indian economy continued to di splay a surprising resilience despite the continuing geopolitical uncertainties globally. Most of the Indian high -frequency economic indicators are continuing to exhibit growth momentum. PMIs and industrial activity, power demand, credit growth, investment indicators, mobility indicators, passenger and cargo traffic data, etcetera, are all pointing towards a stable macroeconomic environment. However, the discretionary consumption spends have continued to remain a bit of lackluster. The tax collections for t he government have continued to remain strong and the balance sheets of the banks as well as private corporates are healthier. Clearly, most of the Indian macro indicators, be it growth, current account, fiscal deficit, as well as inflation, are relatively better vis -à-vis other countries in the world. Within GCC, one of our primary geographies besides India, we also see many countries are building their non -oil economy by investing in areas like water, green energy, and at the same time, continuing to ramp -up their spend on oil and gas investments. These are definitely interesting times where despite the continuing global turmoil, both India and GCC remain relatively stable.
Before I get into the details of the financial performance parameters, I would like to share a few important milestones and highlights for the year. For the first time ever, our group order inflows for the year FY '23 has crossed Rs 2 trillion. Secondly, our order book at around Rs 4 trillion is

obviously at a record high. Our group reve nues for the year FY ‘23 at Rs 1.83 trillion has registered a growth of 17% on a Y -on-Y basis, once again a five -year high.

We have reported an NWC to revenue, this excludes financial services segment, the NWC to revenue at 16.1% as on March ‘23 is again the best reported in the last five financial years. Finally, our recurring PAT for the year has crossed the Rs 100 billion ma rk, again an important milestone for our group. A few other important highlights for the year are, we successfully c

oncluded the merger of L&T Infotech and MindTree in Q3 FY ‘23. The combined entity, which is LTIMindtree, with an annualized revenue current ly at USD 4 billion, possesses the capabilities of a Tier 1 company and yet retaining the agility of a next tier firm. Similarly, our technology services company, LTTS, also crossed the revenue run rate of USD 1 trillion during the last quarter.
Further, L TTS has successfully absorbed the Smart World and Communications business of the parent. The transaction got completed on April 1, 2023. The expertise of Smart World and the Communications business in communications, envisioning and creating smart and safe cities, power and cyber security services and 5G enterprise solutions offer ideal synergies for LTTS and three out of its six bets they are placing in the future, which are electrical, autonomous and connected vehicles, 5G, medical technologies, digital p roducts & artificial intelligence, digital manufacturing and sustainability.
During the year, the company commissioned a pilot green hydrogen plant at its Hazira campus, marking its entry into the Green Hydrogen business. The pilot plant produces 45 kgs of high purity green hydrogen daily. Additionally, the company has entered into a technology license agreement with McPhy Energy France for manufacture of pressurized alkaline electrolyzers. The company has also entered into MOU to develop floating green amm onia projects for industrial scale applications with the Norway based H2 carrier.
With the conclusion of the sale of the mutual fund business and a phased reduction of the wholesale loan assets book, L&T Finance, a listed subsidiary, will also transform in to a full scale retail oriented digitally enabled business.
The Realty business of the group, in addition to development and monetization of existing land banks, will continue to pursue growth in residential and commercial through multiple formats. During the year, the company entered into an agreement with CapitaLand India for developing 6 million square feet of prime office space in Mumbai, Chennai and Bengaluru. Finally, the IDPL divestment was also announced during Q3 FY ‘23. The transaction closure, h owever, is subject to regulatory approvals and should get concluded in the next one or two quarters.
I will now cover the various financial performance parameters for Q4 FY ‘23. Our group order inflows for Q4 FY ‘23 at Rs 761 billion registered a Y -on-Y gr owth of 3%. Within that, our Projects and Manufacturing business secured order inflows of Rs 611 billion for Q4 around the same levels as that of the Q4 of the previous year. Our Q4 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure, Hydrocarbon and Defense segments. During the current quarter, our share of international orders in the Projects and Manufacturing portfolio is at 43% vis -à-vis 39% in Q4 of last year. Our share of private orders within the

Projects and Manu facturing portfolio is at 18% for Q4 FY ‘23 vis -à-vis 22% in the corresponding quarter of the previous year.
Coming to FY ‘23 as a full year, our group order inflows at Rs 2,305 billion has registered a strong growth of 19% over the previous year. We had g iven a guidance of 12% to 15% at the start of the year and our actuals has been in higher of 19%. Within this total order inflow, our Projects and Manufacturing businesses have secured orders of Rs 1,722 billion for the year, growing by 19% on a Y -on-Y bas is. The share of private orders for FY ‘23 in this portfolio that is the Projects and Manufacturing is at 27% vis -à-vis 22% in the previous year and the share of international orders is at 28% as against 37% in the previous year.
The year witnessed booking of some noteworthy orders in domestic irrigation projects and wastewater project in the Water and Effluent treatment bus

iness, a project in public spaces
business in the Buildings and Factories vertical, a few orders in the hydel and tunnel business including a lift irrigation project and a strategic order in the Heavy Civil Infrastructure business. Apart from this, a couple of orders in ferrous metal space, some select large orders in t he defence business and a large order in the onshore vertical and multiple orders in the offshore vertical of the Hydrocarbon engineering business were all secured.

Moving on to the prospects pipeline for FY ‘24, we have a total prospects pipeline of Rs 9.73 trillion for FY ‘24 as against Rs 8.53 trillion that we had announced at the start of FY ‘23. This by itself represents an increase in the prospects of almost 14%. The broad breakup of the overall prospects pipeline that I just now mentioned at Rs 9.73 trillion, Infrastructure comprises Rs 6.5 trillion, Hydrocarbon at Rs 2.44 trillion, Power at Rs 0.5 trillion and Hi-Tech Manufacturing at Rs 0.29 trillion.

Moving on to order book . Our order book is at R s 3.99 trillion as on March ‘23. As our Projects and Manufacturing is largely India -centric, 72% of our order book is domestic and 28% is outside India. Of the international order book of Rs 1.11 trillion, around 87% is from the Middle East countries, 4% is from Africa and the remaining 9% from various cou ntries including Southeast Asia. As is evident from the statistic, GCC capex for both Infrastructure and Hydrocarbon sectors is on an upswing post the recovery in oil prices. The breakdown of the domestic order book of Rs 2.88 trillion which is 72% of our order book, the breakup is as follows : the share of Central Government orders 14%, State Government 30%, Public Sector units or State-Owned Enterprises at 36% and Private Sector at 20%. Around 22% of our total order book of Rs 3.99 trillion is funded by bi lateral and multilateral funding agencies. Around 89% of our order book is from Infrastructure and Energy. You may refer to the presentation slides for further details. During Q4, FY ‘23 and FY ‘23, we have deleted orders of Rs 53 billion and Rs 103 billion respectively from the order book. As of March ‘23, our slow moving orders in the order book is around 1%.

Coming to revenues, our group revenues for Q4, FY ‘23 at Rs 583 billion registered a Y -on-Y growth of 10%. International revenues constituted 39% of the revenues during the quarter. The IT and TS portfolio continue to report an industry leading growth in Q4 as well. In the Projects and Manufacturing businesses, our revenues for Q4, FY ‘23 were at Rs 433 billion registering a

Y-on-Y growth of 8%. For the full year, we reported group revenues of Rs 1.83 trillion, a growth of 17%, largely achieved on the back of a pickup in the execution momentum in the Projects and Manufacturing businesses and a healthy growth in the IT and Technology Services business. For revenues, if you may recall, we had given indicated a guidance of 12% to 15% growth at the beginning of the year.

Moving on to EBITDA margin . Our group level EBITDA margin without other income for Q4, FY ‘23 is 11.7%, a drop of 60 basis points over Q4 of FY ‘22. This drop of 60 basis points is mainly due to cost pressures in the projects part of the portfolio. For FY ‘23, this drop is 30 basis points that is from 11.6% in FY ‘22 to 11.3% in the current year FY ‘23. The detail ed breakup of the EBITDA margin business -wise is also given in the annexures to the earnings presentation. You would have noticed that EBITDA margin in the Projects and Manufacturing business for Q4, FY ‘23 is at 9.2% vis -à-vis 10.3% in Q4, FY ‘22 and for FY ‘23 as a whole is at 8.6% vis -à-vis 9.3% in FY ‘22. Against the margin guidance of 9.5% that we provided at the start of the year, we have fallen short by 90 basis points which is, as I said, largely attributed to cost pressures in the EPC pro

jects part of the portfolio. I will cover the details when I talk about the performance of each of the segments.

Our recurring PAT for Q 4, FY ‘23 at Rs 39.9 billion is up 10% over Q4 of last year, largely in line with the revenue growth during the quarter. Similarl y, our Recurring PAT for the year at Rs 103.7 billion is up 21% over FY ‘22. The group performance P&L construct along with the reasons for major variances under the respective function heads is provided in the earnings presentation. You may kindly go thro ugh the same for further details.

Coming to working capital, our NWC to sales ratio has improved from 19.7% in March ‘22 to 16.1% in March ‘23. We have done substantially better vis -à-vis the guidance of 20% to 22% that we gave at the start of the year. Fu rther, the GWC to revenues for FY ‘23 has dropped sharply to 62.3% as against the GWC to revenue of FY ‘22 at 73.4%. Our group level collections excluding the financial services segment for Q4 FY ‘23 is Rs 539 billion vis -à-vis Rs 430 billion in Q4 FY ‘22. For FY ’23, our group level collections excluding financial services segment is Rs 1.7 trillion vis -à-vis Rs 1.36 trillion in FY ‘22 representing an increase of 25%. The improvement in Gross Working Capital is also reflecting in the Net Working Capital. R eceipt of customer advances towards the orders received during the year also helped the extent of Net

Working Capital drop.
Our Gross Debt to Equity ratio for FY ‘23, the close of FY ‘23 is 1.14 as against 1.29 at the end of FY ‘22. Finally, our Return on Equity for FY ‘23 is 12.2% vis -à-vis 11% for FY ‘22, an improvement of almost 120 basis points.
I will now comment on the performance of each of the business segment before we give our final comments on the outlook for the medium term. First would be the Infrastructure segment . Coming to order inflows , this segment secured orders of Rs 412 billion for Q4 FY ‘23 registering a de-growth of 9% that is primarily due to high base of the corresponding quarter of the previous year. However, full year orde r inflows in this segment were at Rs 1,171 billion reporting a substantial growth of 25% over FY ‘22 on receipt of multiple large value orders across all the

sub-segments under this particular business. During the current year, Buildings and Factories bene fited from receipt of some prestigious orders in the public space business. The Heavy Civil Infrastructure registered growth on the receipt of a mega infrastructure order and the Water and Effluent treatment business also received numerous orders for irrig ation and waste water treatment. The Minerals and Metals business performed well with the receipt of multiple ferrous orders from a private client. For two years in a row, the Power Transmission & Distribution business has continued to benefit from the gig awatt scale renewable opportunities from the GCC region. The decline in order inflow in Transportation Infrastructure for the year is mainly due to deferral of targeted prospects. Coming to order prospects for this Infra segment, for FY ‘24, it aggregates to around Rs 6.5 trillion vis -à-vis Rs 5.72 trillion as at last year. The share of domestic in the total order prospects of Rs 6.5 trillion is Rs 5.19 trillion and the balance international prospects of Rs 1.31 trillion. The sub -segment breakup of total or der prospects in Infrastructure business is as follows :
• Heavy Civil Infra - 21%
• Water and Effluent Treatment - 22%
• Transportation Infrastructure - 19%
• Power Transmission and Distribution - 18%
• Buildings and Factories - 13%
• Minerals and Metals - 6%
The order book in this segment is Rs 2.845 trillion as on March ‘23. The book bill for Infra is around three years. The Q4 revenues at Rs 312 billion registered a growth of 5% over the comparable quarter of the previous year, whereas FY ‘23 revenues at Rs

867 billion registered
a strong growth of 20% largely aided by the ramp -up of execution of large orders in the portfolio. As a philosophy, we always step up execution when customer collections are flowing at a healthy pace to essentially strike a healthy b alance between P&L and the balance sheet. Our EBITDA margin in this segment for Q4 FY ‘23 at 7.5%, registers a de -growth of 170 basis points over the corresponding quarter of the previous year, whereas the full year EBITDA margin at 7% registers a decline of 120 basis points. Margins for the quarter and the year remain subdued due to job mix of largely government public -centered tender projects under execution, input price pressures, logistics constraints, cost overruns in certain jobs, pending delay in the customer claim settlements. Client claims will be pursued under the terms of the respective contracts, the settlement of which will happen over time.
Moving on to the next segment which is Energy Projects which comprises of Hydrocarbon and Power. Receipt of multiple Domestic and International orders in the Hydrocarbon business during the year improves the order book, whereas deferral of orders continued in thermal power. We have a strong order prospect pipeline of Rs 2.94 trillion for this Energy segment i n FY ‘24 comprising of Hydrocarbon prospects of Rs 2.44 trillion and power prospects of Rs 0.50 trillion. The order book for this Energy segment is at Rs 724 billion as on March ‘23 with the Hydrocarbon engineering order book at Rs 670 billion and Power at Rs 54 billion. The book bill for this segment is around 20 months. The Q4 and FY revenue growth of 18% and 6% respectively is largely led by the execution momentum in Hydrocarbon, whereas lower revenues in Power is a function of a depleted order book. The improvement in EBITDA margin in this

segment for the quarter and full year is largely a function of execution cost savings in both the segments. Further favourable customer claim settlement in Hydrocarbon in Q4, FY ‘23 also aided the improvement.

We will now move on to High-Tech Manufacturing segment, which comprises of Heavy Engineering and the Defence Engineering businesses. In this quarter, order inflow growth in Defence Engineering is driven by the gover nment's thrust towards indigenisation, whereas Heavy Engineering ordering was impacted due to deference. For the full year though, both Defence and Heavy engineering have benefited from multiple order wins. We have an order prospect pipeline of Rs 252 bill ion for this segment in FY ‘23. The share of Defence against this pipeline is around 78%. The order book for this segment is Rs 262 billion as on March ‘23. Revenues for Q4 and full year for this segment registered a growth of 21% and 10% respectively, largely attributed to higher progress in the refinery business of Heavy Engineering and execution ramp up of select projects in the Defence Engineering business. Margin variance for the quarter vis-à-vis corresponding quarter of the previous year is largely a function of the job mi x in this segment, whereas full year margin variance had some element of execution delays arising out of supply chain issues.

While I am on this segment, I would like to mention once more that the Defence Engineering business of Lars en & Toubro does not manufacture any explosives nor ammunition of any kind, including cluster ammunitions or anti -personnel landmines or nuclear weapons or components for such munitions. The business also does not customise any delivery systems for such munitions.

Moving on to the next segment, IT and Technology services. As you are all aware, the merger of LTI and Mind tree got concluded on Nov 15, 2022. The merged entity is uniquely positioned to scale up by competing for large deals and will benefit from cost and revenue synergies on upselling, cross -selling and st

itching services together. The revenues for this segment for the quarter at Rs 106 billion and the full year at Rs 407 billion registers a growth of 21% and 26% respectively over the correspondin g period of the previous year, largely reflective of the continuing growth momentum in the sector with a surge in demand for technology -focused offerings. The margin decline in the segment for the quarter is a function of higher staff cost whereas for the full year the margin was impacted to a combination of higher employee cost as well as one -time integration expenses due to the merger of the two companies. I will not delve too much on this segment as both the companies in this segment are listed entities and the detailed fact sheets are already available in the public domain.

We move on to the Financial Services segment . Here again L&T Finance Holdings is listed and the detailed results and the fact sheet are already available. The highlights for Q4 FY ‘23 for Financial Services segment were improved net interest margin and fees, lower credit cost, better asset quality and rundown of the wholesale and expansion of the retail loan book. In fact as on March ’23, the share of retail in the overall book at arou nd Rs 80,000 crores is at 75%of Rs 80,000 crores. The strategic deliverables in this business revolve around portfolio reorganization, strong asset quality and improvement in ROA. This business endeavors to be a top class digitally enabled retail finance c ompany moving from a product focus to a customer

focus approach. Finally to conclude sufficient growth capital is available in L&T Finance Balance Sheet.

Moving on to Development Project segment . This segment currently includes the Power Development business comprising of the thermal power plant Nabha Power, Uttaranchal Hydro Power up to the date of its divestment in the previous year August 2021 and Hyderabad Metro. Let me mention here that profit consolidation of L&T IDPL at a PAT level has been discontinued from Q4 FY ‘23 post signing of the definitive agreement for sale of our entire stake in the company. The investment in this JV is now classified as held for sale. The majority of revenues in th e Development Project segment is contributed by Nabha Power. Improved ridership in Hyderabad Metro and higher PLF in Nabha drive revenue growth for this segment. To give you some statistics on Hyderabad Metro , the average ridership improved from 1,99,000 p assengers a day in Q4 FY ‘22 to 4,08,000 passengers per day in Q4 FY ‘23. Our average ridership in Q3 FY ‘23 was 3,94,000 passengers a day. Also average ridership for Hyderabad Metro in FY ‘23 that is the whole of the year was at 3,61,000, as compared to 1 ,55,000 in FY ‘22. The higher segment margin in Q4 FY ‘23 is primarily due to consolidation of Nabha profits led by increase in the benchmark valuation. In Metro at a PAT level, we have consolidated a loss of Rs 13.21 billion in FY ‘23 vis -à-vis loss of Rs 17.51 billion in FY ‘22. The interest cost in the Metro SPV has reduced from Rs 14.77 billion in FY ‘22 to Rs 12.73 billion in FY ‘23, largely reflective of the benefits of refinancing which got concluded in the previous year.

Moving on to Other segments . this segment comprises Realty , Industrial Valves , Smart World and Communications, Construction Equipment and Mining Machinery and Rubber Processing Machinery. The Q4 and FY ‘23 growth in this segment is mainly in Realty , Rubber Processing Machinery as wel l as Construction Equipment and Mining Machinery. The Q4 and FY ‘23 margins of this segment is in line with the corresponding period of the previous year.
Before I conclude on to the environment outlook, I want to draw your attention to two new slides whic h we have included in the annexures to the earnings presentation. The first slide is how return ratios have improved in the Proje

cts and Manufacturing portfolio over the last five years.
If you glance through the numbers, you will realize that a combinatio n of revenue growth and a reduced capital intensity in this Projects and Manufacturing portfolio has offset the margin slide and actually resulted in improved return ratios over time. As I say this at the cost of maybe I am sounding defensive , I would like to mention that the delays and disputes on additional claims from clients has created in some sort of a timing mismatch in the books, consequently impacting margins in the shorter term. Hopefully, the benefits will accrue to P&L as and when t he claims get processed over time.
There is one more slide as part of the annexures to the earnings presentation which explains the journey of return ratios to group level. In this slide, we have listed out three action points for ourselves as part of our Lakshya 2026 start plan to improve the returns to our shareholders and if you see that it covers the portfolio, the emphasis is on :
• Portfolio retailisation of Financial Services
• The phased exit or reducing exposure from our Development Projects portfolio and
• a higher cash return to shareholders over the period.

Coming to the last part of my presentation, which is the outlook. India's economic growth continues to display encouraging resilience despite the continuing global chaos, prudent fiscal and monetar y policy management from the government and RBI respectively has resulted in the partial decoupling of India's growth story with the rest of the world. The government's push for growth through larger infrastructure spend is clearly evident from the enhance d budgetary allocations for FY‘24, PL I incentives, improved business confidence and buoyant demand conditions will culminate into revival of private capex in the medium term.
Going forward, improved tax collections for the government will support its cape x-led growth aspiration. Further, bank balance sheets are healthy, providing opportunities to lend funds to creditworthy projects. With the government's enhanced thrust towards manufacturing exports, the country's goods trade deficit should narrow over a p eriod of time. The country is committed to net zero goals and both the government and the private sector are committed to investments around energy transition. Despite this, amidst this various moving parts, the silver lining is that India would continue t o remain one of the fastest growing economies in the world.
The last two years have seen the global economy striving to deal with overlapping crisis, the latest being the liquidity troubles after a series of global bank crisis. While the impact appears to have been contained, these uncertainties continue to undermine the confidence among consumers and businesses to spend, possibly impacting global growth. Government and central banks across the world are attempting to strike a balance between containing co st-push inflation and pursuing demand -led growth.
A combination of China's reopening, a significant easing of the natural gas crisis in Europe and a resilient US consumer confidence should help the global economy tide over the current uncertainty overhang. With OPEC and partner countries announcing production cuts, oil prices are likely to remain firm at current levels, aiding the GCC nations to pursue their capex plan in oil, infrastructure, green energy and other industrial sectors. I n this backdrop, the company will focus with cautious optimism on pursuing large project wins, timely execution of its large order book, growth of its services portfolio in its estate and glide path and preservation of liquidity and optimum use of capital and other resources.
The company is optimistic about its growth aspirations in the medium term, despite this uncertain macro environment and is committed to creation of sustain

able value to all of its
stakeholders.
Finally, let me comment on our guidance for the next year before we take Q&A. On Order Inflows, this is at the consolidated level, that is at the consolidated group level, our guidance is around 10% to 12% band for FY ‘24. On consolidated revenues, we are providing a guidance of around 12% to 15 % band in FY ‘24. On margins with respect to our Projects and Manufacturing

business, we close the year FY ‘23 at 8.6. It is our endeavour to improve the margins of around 40 basis points to 50 basis points, maybe in and around 9% for FY ‘24. Having said t his, the margin trajectory should be showing a good improvement in the later part of FY ‘24 in terms of the projects that will come and cross the margin recognition threshold. We see the later part to be a more profitable second half than the first half.

On Working Capital, we are giving a guidance, a range between, this is again working capital at a group level, the guidance would be between 16% to 18% for FY ‘24. On the sustainability front, the parameters for FY ‘23 are undergoing audit currently. We wil l be presenting you the same when we come with our Q1 FY ‘24 Earnings Presentation.

Thank you, ladies and gentlemen, for the patient hearing. We will now open the floor for questions. Both myself and Mr. Shankar Raman will be taking the questions, requesti ng the participants to restrict their questions around the broader aspects of performance and strategy in order to make the best use of the available time. Any bookkeeping questions can be taken up with the Investor Relations team later on. Over to you, Fa izan.

Moderator: Thank you very much. We will now begin the question -and-answer -session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Good evening, sir, and congratulations on a very, very strong Order Inflow. However, sir, the EBITDA margin has been slightly on the lower side. My first question is the EBITDA margin for the last three years for the core segment is 10.3%, 9.3%, and 8 .6%. It has been continuously declining. As a result, EBITDA growth, if you look for the last three years for the core business, is around 7% to 8%. Do you expect margins to improve in FY ‘24 materially , in the sense that the losses which you incurred in F Y ‘23 or in the COVID period will come back in FY ‘24 and will improve slightly on the higher side as 40-50 bps, look to the lower side? That's the first question.

R. Shankar Raman: Mohit, Shankar Raman here. Good evening. You know, you have chosen a very interesting three -year period to do your margin profiling, okay, and this has been the most challenging three - year period for EPC companies, as you will know. The margins that we have reported now largely reflect the cost of inputs that have gone into the execution. And to a limited extent, we were able to sort of fine -tune the time that is available at our hand to complete the project, waiting for the prices to cool down. But it was not possible across the length and breadth of the project business that we run. So we had to actually go ahead, complete the project, make sure that we don't get into the LD zone, and complete our obligations.

Now, as you know, in Project business, the margins are not linear, because, A, there are milestones, and B, there are va rious gates for margin recognition and contingencies, cost contingencies. And C is finally, at the end of the project, there is always a negotiation around any of the scope, time cost, overrun, etcetera. So it does take the project completion -plus 12 month s to actually get the final outcome of a project.

Now, while it is true that as the projects are getting more -and-more complex, competition is increasing, the margins never used to be the same that used to be, because the world is getting far more c

ompetit ive. So there's no doubt in my mind that the 10%, 12% margins that we used to comfortably enjoy is not there for some time. I think we need to learn to operate efficiently in a lower margin band. Now, what can be the compensating levers? One is the complex ity of the project that we can bid for, where there is a higher engineering overlay which will give you some competitive advantage and keep the bar higher.

Second is how to ensure that the time erosion that happens in project execution improves, and to the extent to which we could have pre -bid arrangements with our entire vendor ecosystem, so that the margin erosion is just not confined to the EPC player, but the chain bears the cumulative burden, but in a more distributed manner.

And third, obviously, is I think as we broad -base our presence across geographies, we have to make sure that there is sufficient cushions that are available in the various markets that we operate in. The timing mismatch is part and parcel of our business, unfortunately, because the cost gets incurred first, and then the negotiations happen for final settlement. Except that, the cost gets accounted in a lumpy manner, and the benefits drip in in a phased manner, so you do

not even realize the recovery that happens in this.
The sustain able lever that we are operating on, and it is very visible even in FY ‘23, is how to reduce the capital intensity. I think we should either run a business where the margins are very high, so you can afford to actually be less rigorous on capital allocatio n. The other scenario where margins are tending lower, because of general competitive environment, economic landscape, etcetera, and hence get far more efficient in resource deployment. When I talk about resource deployment, it is just not money, but money , men, material, etcetera. Also, the fact that we increasingly are getting to automate our processes, trying to use digital technology in our project -related manufacturing equipments, and also have modular fabrication so that we operate on a batch mode rat her than on a sequential mode.
Now, these are levers that will take some time to seep into the organization. If we just allow the cost increases to play out, it would have been far sharper fall than what we have managed, because of all these compensating l evers, which have all got at various degrees of maturity. We do believe in the next couple of years, two things will happen. Hopefully, we will perfect this model of getting less resource intensive and get more cost competitive, and more operationally efficient, reduce the rework time, reduce the downtime, etcetera.
The other thing is the backlog that is actually suffering the higher input costs would have got exhausted by then. According to me, 60% of the backlog that had large cost inflation has got exhau sted during the current year. The balance will spread over possibly next year and the following year, but my belief, as Mr. Ramakrishnan was mentioning, the subsequent two quarters will continue to see cost pressures and softer margins. But as we tide over , turn over that phase and cross the hump, then possibly the margins will begin to look up. And ‘24 -‘25, my assessment will be a more accurate reflection of a normalized execution. Sorry for the long answer, but it deserved it.
Mohit Kumar: Thank you. My s econd question is, when you look at your green manufacturing portfolio, what are we aiming in FY ‘24? What is the capacity we are looking for in the electrolyzer? And the related question is that, are we getting more and more inquiry for the EPC, for the g reen hydrogen, green ammonia, or green manufacturing plant?
R. Shankar Raman: We are working on a capacity of 1 gigawatt for electrolyzer. As you know, we have tied up with McPhy France for technology licensing. The factory is getting set up now. We do bel ieve by the

time this financial year runs out, we would have produced a first few electrolyzers. Initially, it would be a product used in India, but we do believe it has potential to be a global product. We should get the technology right. We should get th e costing right, etcetera.
So, our sense is that by FY ‘24, end of FY ‘24, the electrolyzer plant will be up and running, meaning commissioned. We have not exactly chalked out how many units we will produce, etcetera, because that will be a function of mar keting and product development. And so far as EPC is concerned, I think the world is actually beginning to come to terms with green hydrogen. It is still not, according to me, widely implemented. It is widely spoken. I think there is enough pressure in the system for people to get more green in their fuel efficiency and fuel usage, etcetera.
So, this trend will begin to pick up. My own sense is it will take zero to three years for us to see some scaling up happening in this opportunity. At the moment, what we are trying to do is we are trying to stay relevant to the technology developments around. We are having conversations. Maybe if the initial movers in this, for example, groups like Reliance have announced plans to manufacture, and given our EPC competen ce and also our electrolyzer manufacturing capability, if we are able to get some initial orders, maybe a couple of thousand crores could be the initial orders that we could get in this area. But ‘24 -‘25 would be a more appropriate time for us to actually size this opportunity.
Mohit Kumar: Thank you and best of luck, sir.
R. Shankar Raman: All the best.
Moderator: Thank you. The next question is from the line of Ashish Shah from JM Financial. Please go ahead.
Ashish Shah: Good evening and thank you for the opportunity. So, my question is on the guidance. While, of course, 12 -15% revenue growth guidance is good guidance, but given the fact that we are sitting on a record order book and our working capital cycle is probably a t the lowest point in several years, do you think this is a slight conservative and there is a potential to do better, or do you think given the constraints, this is the correct number to look at?
R. Shankar Raman: There is an event risk at the moment, Ash ish. Many states are going for elections. Country will be geared for union election. So far, things have been progressing well because the enablers for

project execution has been much better in terms of environment. We have to be a little guarded in the cu rrent year. My own sense is it could be a bit of a truncated year, may not have the full benefit of 12 operating months. I really do not know how many months in the current year and how many months in the next year will actually get into some kind of a sil ent period, so to speak, for large moves by the government.
And secondly, the finance minister is blessed with a high degree of compliance and willing taxpayers. So, today, I think the fiscal conditions look very, very rosy. Now, if the allocations change track because of some political priorities, some of these projects can get a little slower. Now, while the apparent implication of this in order inflow is understandable, the operations in

infrastructure, public space, is always fraught with some risks of access, clearances, multiple agencies to give progress enabling approvals, etcetera. If the bureaucracy slips into some kind of a political prioritization mode, then some of these could get affected. We also have to see the war seems to be escalating at le ast the last one week. Whatever normalcy we thought the level of escalation will happen has got completely changed, and it is getting into another pitch of, rivalry and attacks and stuff like that. I do not know how much more supply chain disorienta

tion
is going to happen. So, and we do for our project business do a fair bit of equipment supplies from international markets. We want to be a little careful here. This is not to say that there is no upside.
For example, in the current year, we said 12 to 15 per cent, but we landed up with about 17 percent. Our effort would always be to beat margins. But so early in the year, we felt that it is better to be a little more sure -footed than adventurous on the guidance.
Ashish Shah: Got that point. Thank you for that. This last question on the defense, we have got a pretty good inflow for the fourth quarter. You know, I just want to get some color on this because there were there were a few programs where we were in the front line. There's a cadet training ships , there 's a modular bridges, the Vajra gun orders. So I just want to know which of these programs has been received and which is yet to be taken in the inflow. Also in the pipeline, we've again talked about a fairly good number in terms of prospects for defense. Any broad color on which programs are we eyeing on? That will help sir, thank you.
R. Shankar Raman: There are multiple programs. Some are land -based army systems and some are naval systems, as you know. Given the confidentiality with which we are bound on the FY' 23 wins , I'm not able to call out specifically as to which program is moving. But suffice to say, both the naval programs and the land -based programs are on course. I think the government is getting comfortable with private sector participation. Still early days. I don't think a few orders should make us conclude. That it's going to be an up and running volume.
We'll have to wait and watch. But these are areas where we have capabilities. To the extent, at the moment, let me be a lit tle circumspect in calling out. But all the programs that you mentioned are alive. And these are continuing programs. So none of these programs is actually a one -order program. So our hope is that we will continue to keep receiving some of these orders goi ng forward. Because the services require these quite badly.
Ashish Shah: Thank you. Thank you for your responses.
Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.
Renu Baid: Good evening, sir. My first question is on the cash utilization and the asset divestment. Now with IDPL almost done and hopefully Nabha also closes in fiscal '24, given that you have readjusted the net realizable value there. How are we looking at the overall cash shift of the books for the deleveraging coming in place? And with this reduced Net W orking Capital cycle that we have seen because of a structural growth or a cyclical growth in orders. How are we looking at the overall utilization of these proceeds, any M&A in pipeli ne, etcetera?

R. Shankar Raman: Actually, in so far as M&A is concerned, we have so far been scaling up in the IT services. In the core business of engineering, construction, manufacturing, we think we have much of the competencies better than most availab le. So to acquire another company in those core areas, unless it completely changes the competency profile or the threshold map for pre -qualification, I do not think we are thinking in terms of any such major buy.

At the moment, the focus is two. One is to complete the divestments that we are working on. You mentioned about Nabha. As I mentioned to you possibly in one of the earlier meetings, Nabha is a unique asset. It is a fantastic asset by itself and it is being put to good use in Punjab. The problem wi th Nabha is that it has been constructed at a cost which is far higher than the cost at which power capacities are available through NCLT proceedings.
So to that extent, I think it suffers from some competitive disadvantage when it comes to being sold out in the m

arket. But having said that, what we have done in Nabha is some very good effort in making sure we are closing all the litigations. Significant litigations have been won and money collected against those litigations in the last year. There are one or two which are still left and we will continue to get them also resolved. If we keep the plant running as well as we are doing now and take all the litigation related discounts out of the equation, we might possibly find interested people for a performin g asset. Because when you buy an asset through NCLT process etcetera, you have to incur a fair bit of expenditure to revamp the plant. Many of these plants have remained shut for long etcetera. So who knows, there might be an interested party who could pos sibly aggregate its non -green capacity. But the fact is we are trying to sell non - green over time when everybody is talking green. So there is going to be a bit of an effort required. At the moment, it is not hurting us in terms of either utilization of th e asset or the margin that it is contributing.
Whereas, if I look at IDPL, you are right, I think we are almost home. We have to make sure all the various approvals that we need to get, we get in good time and hopefully we will close it. In the course of t his year. The core businesses are expected to generate good cash. We have worked very hard to make sure that the capital intensity, resource intensity, we have brought it down. Even though we surprised ourselves in getting to 16%, I think it is safer to pl an to operate in that 16%-18% band. And we have seen that pattern in the past because generally the first two quarters would involve lot of vendor payouts. And thereafter, the customer cash flows get stronger in Q3 and Q4.
So there could be some ratio move ments, but it will be within this band. If the cash flows are good and the debt servicing, I do not think would require lot of cash. Because anyway, the parent company, if you keep aside the Hyderabad Metro and the Nava Power plant debt and keep aside the financial debt, the parent company has pretty low debt. 0.21 is the kind of debt equity. So I do not think there is substantial debt to be done. There will be some strategic assets that we might have to invest in. Because of the kind of orders that we are trying to procure.
For example, when we got lot of metro work, especially underground, we had to invest a lot in Tunnel Boring Machines. We hardly used to have any. We are almost having two dozen now. So these are expensive equipments. Likewise, Dedicated Freight Corridor program involved a

lot of automated track laying equipments. Now these are large investments. So we do think about Rs 3,000 -Rs4,000 crores worth of assets we might have to invest depending on the type of the projects. I mean, these are act ually would be very contingent on the type of projects that we get. But barring this, I do not think there is going to be any significant call on the capital. We have stepped up our dividend as you have been seeing now. It is almost 40%. In fact, 43% of our profits earned in this standalone company is being paid. So there is a move over the last couple of years to increase the dividend. We have spoken along the way. We said in this FY '26, we will also try to do some return of cash to shareholders by mean s other than just the dividend payout.
We had attempted for buyback in the past. And we were actually pushed back by regulations at that point in time. We have time now in this period. We should be able to one of the objectives and that is covered in one o f the slides that we have attached this time to the presentation deck. That one of the ways to deal is to enhance the return of cash to shareholders. And that will possibly enable us to keep the cash required to optimal level within the company instead of sitting on extra piles of cash.
Renu

Baid: One follow -up question if I can ask. While it is credible the way L&T has managed its Net Working C apital and truly industry -leading, but on the operating performance side, sorry to harp again, despite having the diversity of project size and scale, at the end of the day when we have seen commodity uncertainty in the supply chain, the operating performance is not very different compared to other mid -cap EPC names.
I wouldn't want to take the names here. So what are the steps that we are trying to do so that these issues are addressed? And we already have quite a bit of risk management processes,

commodity hedging in place unlike most of the other peers. But where do you think has the gap been which could be the reas on for this underperformance on the operating front?
R. Shankar Raman: I think it's very difficult to compare L&T given its history, age, maturity, cost structure, etcetera to various EPC companies which work in the same area. You would be surprised that c ompanies which existed 10 years ago are no more in the picture. Forget about competing with us. They are just not in the picture. So we find that practices have been very varied and I would not like to join forces to pick holes on the accounting practices and recognition practices, etcetera. We do think that EPC business is catching the tiger by the tail.
You have to ride it and you will have to ride through several cycles. And if you happen to be a company which is 80 years old, it does go through these cy cles. Our own sense is that the kind of de -risking that we have achieved between geographies, between the various verticals, etcetera provides us a requirement to keep investing in many of these areas. As I just mentioned a little while ago, I do not know how many companies would have invested in the kind of equipment that we invested on the back of projects and that's the reason why projects are moving forward. But all these are costs. And the cost will get recovered only if there are consistently large pr ojects that are being given out. It's only in the last 3 -4 years that we have been seeing some amount of consistency in ordering, order placements, the kind of projects, the complexity, etcetera. I think

we are on a cusp of a period where if you continue t o see these kinds of investments, the wheat will get separated from the chaff . At the moment, we might suffer by comparison, but I think it is more structural rather than efficiency in execution.
Renu Baid: Got it. Thanks much and all the best.
R. Shankar Raman: Thank you.
Moderator: Thank you. The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra: Good evening, sir, and thank you for taking the question. So, if you think back on the FY ‘26 strat plan, in term s of the prospect base, which areas do you see are surprising you more positively than what you would have thought? And where do you think a greater push is required, either from government or from private sector, which has been missing your expectations?
R. Shankar Raman: No, we are midway, isn't it, Deepika? In FY ‘26, we still have to cross 3 more years. I think so far we have been on course. If I were to plot what we have achieved in FY ‘22, what we have achieved in FY ‘23, I think we have been by and l arge on course. What is going to be important, rather than what has surprised us, etcetera, COVID surprised us. I mean, we never ever anticipated the kind of start to our strat plan. And what has surprised us is our ability to actually stay the course.
And despite this disruption, I think all credit to the organization that we work for, people actually put their shoulder to the ground and made sure that we are not losing our way. As far as government is concerned, the tax buoyancy has surprised us. And the confidence that the country has today, i

n not only defending its own domestic policies, but be able to articulate internationally as to why India is a market that others should participate in.
Now, if we are able to carry this forward, that's why I felt th at it's extraordinary diplomacy and branding that India has done. If we are able to carry this forward, if we are able to widen the tax coverage, I mean, footprint, instead of 10% of the country paying the entire tax bills, if we are able to make it to 12% , 13%, 14%, 15%, if we are able to improve that, and keep focus on investments which will generate employment, which will generate connectivity. There is a pattern to the investment on infrastructure, if you see, because it is enabling movement of people, movement of goods, etcetera.
And I do share the central government's vision that a connected country will lead to overall development and more inclusive development than what has been in the past. So my sense is that if we are able to keep the political di fferences at bay and be able to pursue, regardless of which party actually succeeds in 2024, if we are able to pursue this and do whatever I just mentioned, I think we would surprise ourselves at our potential. Many of us have grown up thinking that India is a 4% growth country.
Now, in today's time, it's not hard to imagine India at double that rate. So I think a lot of work needs to be done, but the hope and optimism has gone up. The country has got a lot more

confiden ce and that has rubbed on us also. We also internally feel a bit confident. But there are lots of battles we'll have to win. As I mentioned, I think we are, as we get older and older, we have to make sure that we unlearn and relearn. We have to make sure that the talent that got us here is ob viously aging talent. We have to make sure the younger talent is able to take this company forward. We have to adopt new technologies.
I think no more are we using the same methods to deliver. The clients are getting smarter and demanding. So we have to ma ke sure that we measure up to that as well. So there are enormous challenges ahead. It's not an easy path. But I guess that's what would make the growth story of the company and maybe the country interesting.
Deepika Mundra: Thank you, sir. And just a seco nd question. Given that we've seen consistent commodity volatility plus supply chain disruptions, do you see that differentiation in contract negotiation with clients today both in domestic and in international markets or do you think some of the bidding p ractices largely remain same as what you've been following so far?
R. Shankar Raman: To the discerning, there is a difference because people have seen us deliver despite COVID. And people have seen us take, knock and then hit, deliver. So to that extent, I think to the discerning, there is a difference between what we have done on the face of adversity otherwise. But if you also look at the other way that typically either public sector units or the government -sponsored projects are done, end of the day, it is L1.
I think there is some comfort that all these agencies take in having a bid responded to by at least half a dozen people. So they make the bid in such a way that more and more people can sort of participate. Despite a directive from the government th at the bid should not be decided just based on L1 and there should be a quality and cost -based consideration, somehow the user departments, especially if it is driven by bureaucracy, is more comfortable with quantitative cost than qualitative assessments o f technical capabilities.
So that has not played out as yet. We still have to be L1 to make sure that we make the cut. So that has not changed. And because of the need to have more people participating, if the thresholds do not go up sufficiently, we will have delayed projects. If India wants to be very competitive

in its services, manufacturing products, goods, etcetera, it has to create infrastructure at a very competitive price. All the inputs that go into infrastructure are anyway generally market -drive n, so there is nothing that you can do. What you can do is save time.
Make sure that the projects are awarded to companies which are able to execute within time. And my own assessment is at least 15% to 20% of the cost of infrastructure in the country. We are paying more just because of either unorganized, discoordinated approvals and all the related project clearances and the inevitable delay in negotiating after the project is done. Because the scope gets negotiated, quantity gets negotiated, right of way , and all the utility removal gets negotiated. All of this falls in place and there is always some public interest group which doesn't like the project.
So we are not involved in that asset, but if you take even the high -speed rail, it came up to the border of Maharashtra and got stuck. And now slowly packages are being done. But we have

lost two years. And instead of the project getting completed, it's go ing to take at least three years more than the original. And who's going to pay for that extra time? It's only you and me as taxpayers and country's exchequer will pay.
So I think in this quest of creating competitive infrastructure, it is very, very impor tant that we back companies which have the requisite capabilities and competencies. And that is something that somehow that has not completely changed to our satisfaction at least.
Deepika Mundra: Okay. Thank you very much, sir.
Moderator: Thank you. The next question is from the line of Aditya Bharatia from Investec. Please go ahead.
Aditya Bhartia: Hi, good evening, sir. So my question is again on Infra margin. The first time we had those cost overruns on the transportation side, we had spoken about possibility of getting some variation. So just want to know how's our experience been? Is it that we are getting variations and the margins that we are seeing are after accounting for those? Or is it that you're generally seeing that it's taking much longer to get those negotiations done?
R. Shankar Raman: Aditya, we're realizing the hard way that to get these cost overruns and to get these extra credits from the customer is not as easy as originally one would think. Because what is the customer's first priority to get the project completed? And what is our requirement? We can't go to the negotiation table without the project being completed. So I think first and foremost, I'll have to complete the project. And in the meanwhile, keep filing our interes t in the negotiation, commercial adjustments that we want to achieve. But this typically happens at the end of the

project.
And if it is, let's say a corporation, like let's say, for example, IOCL, ONGC, etcetera. They're also worried about the decision, d iscretionary decision being questioned in the parliament. So there is a lot of speculation involving a third party independent person. Even assuming it is not a dispute which gets referred to arbitration, even a conciliation to close out on the veracity of the claim and the validity of the claim, etcetera. That process is involved.
So it does take time to get all of this done. So to my mind, we don't normally recognize the claims ahead of time. We book the costs for projects completed and only on acknowledg ement by client, either in terms of, accepting the liability or receipt of payment is the margins recognized of that extra claim. So it comes in months after the project is completed during the defect liability period for all these conversations to happen.
So my sense is what we have lost out in ‘22 and ‘23 possibly will start creeping into our books from ‘24, ’25 onwards is my assessment. And it will go in for a couple of years. The same couple

of years it took to hit us, it will take a couple of years to get back.
Aditya Bhartia: Sure, sir. And what about the past claims in respect of some of the transportation projects? Have we kind of received some money in respect of that?

R. Shankar Raman: Some portion has happened. I think I heard my colleague talk ab out in the context of Hydrocarbon, he was saying some claim settlement. These things happen except that they come in sizes which are actually not material. So they come in and then get submerged in the overall cycle of margins. Settlements are happening. W e would like it to happen faster, but they are happening.
Aditya Bhartia: Understood, sir. And so my next question is on Nabha Power project. Should we read you reconsolidating of Nabha Power into accounts as an indication that something may be happening soon over there? You are in discussions with third parties and you are getting a feeling that realizable value is higher than the carried value?
P Ramakrishnan: So Aditya, this is PR here. If you recall, in the quarter ending September 2020, the board of Larsen & Toubro had decided to say that Nabha P ower is looking for suitors. We are looking for prospective buyers. And since then, as a measure of conservatism, we restricted the carrying value in both Independent and Consolidated financial statement, the sa me value. And we actually took in that quarter an impairment hit as well.
Since then, from October 20 to March 22, we consolidated the revenue because Nabha Power is still not, we have not executed a firmed up deal like the way we have done for IDPL. So we were continuing to report the revenues and everything. But whatever profits that the company was accruing, was getting reversed, which means we are not taking the profits. Now since then, for the last one year or so , the company's performance has definite ly shown an uptick in terms of very improved PLF of almost 85%, sorry, for availability factor was 91 for the year, improved PLF and a lot of cases that was there in between the legal court, most of the cases went into Nabha's favor and practically speakin g now, the company has completely, in terms of operations and in terms of performance has actually strengthened.
So if you take by way of discounted valuations of the future cash flows, definitely the company's value has gone up and when you compare it wit h what you call comparative benchmarks, which are the listed companies in this field, that also has gone up. So of course, we take the benchmarks more as a reference point, but since because of the discounted valuations, the next steps that the company pos ted has been taken. I hope I have clarified your question.
Aditya Bhartia: Understood. That's very clear. Thank you so much.
Moderator: Thank you.
P Ramakrishnan: I have a request. Since we are now towards the end of this call, maybe a few of you can res trict to one question each, one question please for each of the people who want to ask.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Good evening, Mr. Shankar Raman and PR. My question is again on margins. For a five -year period till FY ‘21, your core margins were in the range of 10% to 10.5%. You have clarified, you know, in your first response to a question regarding the new normal that margins are entering into and your guidance for the next two years is 9%.

You also mentioned that 60% of the impacted projects have already been executed, another 40% in the next two years. But are you going to move closer or if at all to your 10% to 10.5% trajectory once all these problems are sorted? And what is the extent of the, you know, unrecognized claims where you are reasonably confident and which have not really refle

cted in
your margins over the last two years?
P Ramakrishnan: Okay. So, Sumit, this is PR. I will take that because I think this is the fifth time or the sixth time the same question is creeping up. So let me try to answer it. So, Yes, we have given that today when we have printed 8.6 for FY '23, we are looking at definitely an improvement. We believe that the worst is behind us in terms of the projects that we secured before Covid . The projects that we secured during Covid went into e xecution at higher material costs. And we got because of Covid , there was a stoppage of work which enabled us to get time extension from the customers and thereby executing the project.
So time extension need not necessarily mean value extension in terms o f additional claims. Time extension only protects us and the customer has no right on the terms of the contract to levy any sort of punitive damages. But definitely extended time stay in the project also has its cost implications and a combination of I wou ld say time extension leading to cost and also higher material prices that we witnessed in the last year and to some extent sweeping into the current six months for projects that were back prior to COVID and it is a combined reason I would say that where w e are seeing margins at 8.6.
As Mr. Shankar Raman talked about that this particular project execution trajectory is going to see possibly the end of by FY '24 the mix of these projects would be hopefully coming to a close as orders that we have secured during the later part of FY '22 and in the current year obviously factors into account. I would say the current material prices and to some extent the margin trajectory will be definitely protected. But all of this getting into execution mode for u s to recognize margins is going to happen in the later part of FY '24.
So at this juncture it would not be possible to say in terms of how much of these claims will come because as you know as an EPC contractor definitely we will be putting up, we are putt ing up the claim but once the project is handed over to what extent it is getting cleared by the client is a question of negotiation and discussions and settlement at a point of time. So with this I would like to reemphasize that at overall Projects and Manufacturing level, what we have printed for 8.6% seems to be bottomed out.
We should be seeing an improvement and that is a reason we are giving a comfort that we do expect an improvement of almost 40 to 50 basis points, over 8.6, but that would happen in the later part of FY '24. FY '25 hopefully we should be seeing a major part of the orders that we have secured recently getting into I would say margin recognition threshold hopefully I think that should be coming back in terms of what margins we will see. As you know we typically guide the margins only for the year and for obvious reasons it is impossible for us to give a guidance beyond a year considering the varied nature of the project's business.
Sumit Kishore: Thanks a lot PR.

Moderator: Thank you. T he next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, thank you for taking my question. So two quick questions. One on the Hyderabad metro, the ridership improvement has been very significant if you see y ear-on-year. But still profitability has improved a little bit and that too because of financing. In any ballpark number where we think we can get a bit of positive on Hyderabad metro because despite doing almost 400,000 we are seeing losses are pretty mea ningful. So that would be question number one?
P Ramakrishnan: Yes, so in terms of Hyderabad metro, if I have to really talk about, just to give a construct today the ridership that we are witnessing in the current quarter on a normal weekday is ranging between 4.4 to 4.5 and during the holidays and weeken

ds it ranges between 3.5 to 3.6 or so. Now
for the benefit of all, if I take a construct at the average ridership for FY '24. If you assume at around 400,000, so at 3.61 average ridership, the total fare r evenue has been in the range of Rs 450 odd crores. If you take 400,000 ridership with an average realization of 35 per passenger or per trip, then you can assume that the top line should be going around Rs 500 odd crores at 400,000.
Now in terms of the int erest cost, the total external debt that L&T HMRL comprises of around Rs 8,000 crores of short -term and medium -term NCDs and Rs 5,000 crores of short -term commercial paper. So all of this what I spoke now, if you can since the NC Ds and the commercial

papers are listed, so the entire financials of the Metro has actually been filed in the stock exchange and actually what I gave you is the overall context of the ridership, the fare revenues, what we can assume as ridership for FY '24 and what kind of EBITDA one can see.
R. Shankar Raman: Also, Pulkit Shankar Raman here. You know there has been a development in terms of fare fixation committee agreeing that the sponsor, namely L&T, can, subject to demand -supply conditions, revise the f ares. So at the moment all the projections that we are talking about is based on the fares that we are currently collecting. If things settle down and this work from home, etcetra., further moves towards work from office, I think, and the general populatio n gets more comfortable with the usage, we do expect that there could be an opportunity along the way to re-look at the fares and that will also be another kicker depending on how much we are able to do.
Pulkit Patni: Got it. Sir, just one quick one on the Power JVs. I mean, we've been talking about, you know, potential orders in this segment and we know that it's been tough. What is the thought process about running these businesses? Could we look at, you know, doing something else on those factories over time? Just your thoughts on this thermal power JVs and their future.
R. Shankar Raman: It's under discussion because we are also talking to our partner, and we're trying to figure out a way as to what is to be done because these are good capacities that have got created and it will not be appropriate just to scrap it. Of course, the plants can always be used because it's space which we use, but to some extent export of some of these equipments is also possible subject to the JV partner wil ling to route some of the businesses through us.

So, right from, the investment being bought over by them , to the plant being used for their requirements to we trying to do something else, all of that are getting discussed because I think we do recognize t his energy transition is a major implication in terms of whatever we have created on ground capacity. But let me share the details only when we progress a little more clearly on one of these various options that we are trying to evaluate.
Pulkit Patni: Sure, that's useful, sir. Thank you.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kodak Securities. Please go ahead.
Aditya Mongia: Thank you for the opportunity. My question was more specific on the working capital situatio n and the way it is improving. Should we be asserting from 1 6% working capital as a proportion of sales number that the intent of the customer is to make us execute faster? I'm saying so because obviously at the back side, there were changes that had happe ned on the procurement side of things that ensured that an incremental order, the payment should be very, very prompt. Has that started to kind of satisfy on a broad -based basis for you?
P Ramakrishnan: So, Aditya, if I understood it right, the way your qu estion is that do you expect an improvement revenue if the working capital, the way we are manag

ing , it is a little more made more flexible?
Is this what you referred to?
Aditya Mongia: No, I'm basically trying to assess the possibility of working capital further coming down if there is a pure intent from customers to go in that direction?
P Ramakrishnan: So, definitely, I mean, if you see structurally from the Indian economy perspective, since a major part of the order book is oriented towards or exposed t o government in some form or the other and given the fact that the government finances have improved over the last two years or so, so we have definitely seen a more timely certification of the work done and the payments happening on time.
And I also like to mention here that the GCC part of the order book is also increasing and typically in the GCC countries, the client paying on time and certifying the bills on time happens at a faster scale. So, to the extent of a larger share of the GCC order book comin g in also has enabled us to overall improve the working capital at a segment and at a group level.
Aditya Mongia: I just want to mention one more question, sir, over here. On the GCC side of things, the comments being made are quite bullish for the near te rm and we understand that, let us say, the entire territory and Hydrocarbon space is becoming a larger proportion of our overall business. Does that kind of worry us at some point of time beyond the next 6 to 12 months that we are so exposed to Hydrocarbon , especially that in the Middle East?
P Ramakrishnan: So, in the Middle East, our opportunities today, the way we are looking at is a combination of Hydrocarbons and Infrastructure. And when we talk about Infrastructure, the opportunities largely center ar ound Renewables and Power Transmission & Distribution and obviously opportunities in the non -ferrous sectors that come once in a while discreetly. And we do see in

the next year, that is FY '24 and possibly maybe FY '25 as well, the opportunities from the refinery or the Hydrocarbon side continue to be holding good for us in terms of better order prospects and hopefully larger orders as well.
Aditya Mongia: Those are my questions. Many thanks for your response.
P Ramakrishnan: Thank you, Aditya.
Moderator: Thank you. The next question is from the line of Deepak Krishnan from Macquarie Capital. Please go ahead.
Deepak Krishnan: Thank you for the opportunity. My question is more about your ROE target. How do we reach the 18% from the 12.2% in the ne xt three years, given that core margins may still see some issues, say, for FY '24? What end margin do we kind of assume when we have the 18% ROE target in mind?
P Ramakrishnan: So, Deepak, I guess I think this we have covered in numerous calls and convers ations. So, the way to see it across is that if you see the slide that we have put it as part of our additional slides in the deck, so the two major, I think, margin erosions are in a question of the Development Projects, which is the concessions part of the business. So, once that is done, definitely, we can see in terms of an improvement of 1.5% to 2%, which means reduced losses or profits of Hyderabad Metro through a combination of restructuring of that company' s current position and the possibility of an investor coming in, maybe not now, but maybe definitely after two to three years, once the assistance that has been declared by the local government comes in, and we are able to monetize the TOD rights that we a re looking at, maybe in the current year.
So, improved performance of Hyderabad Metro, divestment of IDPL hopefully should get completed in the next six months or so. And also, hopefully, I think with improved performance of Nabha, we should be looking for ward to a buyer who can possibly match our price points and this margin, the ROE stack itself will probably improve by 1.5 to 2%. The second point is, I woul

d say, the steady growth of our traditional portfolio of Projects and Manufacturing, which today, i n the current year is almost 19-odd percent. If we are able to manage what we are talking about, sort of a mid -teens growth in the overall growth portfolio of the entire group, with better margins, I guess that should add up to another 2% into the ROE.
And the last 2% would be a combination of, as Mr. Shankar Raman referred to, in terms of higher payouts to shareholders. So, it is a 12, plus two, plus two, plus two kind of a strategy.
Deepak Krishnan: Sure sir, maybe just one follow up, any update on the ca sh from the government for Hyderabad metro project?
P Ramakrishnan: So, of course, in their local budget, they have allocated Rs 1,500 crores for last year and in the current year, and as part of disbursement, which will flow into the L&T metro rail SPV. S o, last year, that is till March '23, we got around Rs 100 crores, and we have got some token sum in the current year. Hopefully, I think this year, we should see a sizable amount of money coming in.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. P Ramakrishnan for closing comments. Thank you and over to you, sir.
P Ramakrishnan: Thank you, ladies and gentlemen. I hope we have been able to explain the contours of our performance for FY '23. And of course, you would have heard the comments of Shankar Raman in terms of how we are looking at FY '24 in the near term across segments, across margins, across businesses. With those few words, thank you for the patient listening. In case any o ne of you have any follow -on questions on the numbers in terms of stack up, please do not hesitate to call me or my colleague Harish. We will be definitely there to help you out. With that, thanks a lot for joining this long call. Thanks once more. Thank y ou.
Moderator: Thank you. Ladies and gentlemen, on behalf of Larsen and Toubro Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

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Q1 FY '24 Results Conference Call"
July 25, 202 3

MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD OF INVESTOR RELATIONS – LARSEN & TOUBRO LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Larsen & Toubro Limited Q1 FY '24 Earnin gs Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an o perator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. P. Ramakrishnan, Head of Investor Relations from Larsen & Toubro Limited. Thank you, and over to you, sir.

P. Ramakrishnan: Thank you, Neera v, and good evening, ladies, and gentlemen. A very warm welcome to all of you into the Q1 FY '24 Earnings Call of Larsen and Toubro . The presentation summarizing the performance of Q1 FY '24 was uploaded on the stock exchan ge and in our website at around 6:00 p.m. today evening. As usual, instead of going through the entire presentation, I will take you through the key highlights for the quarter in the next 30 minutes or so. And post that, we will take Q&A.

Before I start th e usual disclaimer, the presentation that we have uploaded on the stock exchange and our website today, including the discussions that we will have in this call, contain s or may contain certain forward -looking statements concerning L&T's Group's business p rospects and profitability, which are subject to several risks and uncertainties, and actual results could materially differ from those in such forward -looking statements.

India has remained an oasis of stability despite the continuing global macroeconomic volatility. The domestic activity in Q1 FY '24 remain ed resilient, as reflected by the various high-frequency economic indicators. The purchasing managers index or the PMI that we call for both manufacturing and services is also indicating a sustained expa nsion. The growth momentum is likely to continue on a stable ready crop production, expected normal monsoon , continued buoyancy in services and stable inflation with a softening bias. Although I did mention a normal monsoon, let me clarify that the distrib ution of rainfall is as important as the total volume, and we will be monitoring these developments closely.

Secondly, given the healthy balance sheets of banks and corporates, supply chain normalization and declining uncertainty, conditions are favourable for a continued capex cycle in sectors like infrastructure, power, that includes renewables, petrochemicals and defense in the near to medium term. When we look outside India, it is our view that although the global economy is turning the corner, but it d oes face a long road ahead in order to attain stable and sustainable growth.

It is positive to see China come back , energy prices being stable, headline inflation on the reverse in many developed economies and supply chain normalization. The Middle East, which is our next big geography for our projects business is stable. We continue to see plenty of opportunities revolving around oil and gas core industrialization and energy transition initiatives in this part of the world. Before I get into the details of the financial performance parameters, I would like to share a few important highlights of the quarter.

• The Board of Directors of the company has approved a proposal to buy back through the tender route equity shares of the company for an aggregate amount not exceeding Rs 10,000 crores. The Rs 10,000 crores exclude tax on buyback. The proposal is subject to appr

oval of the shareholders. Further, the Board has also approved a special dividend of Rs 6 per equity share.
• Secondly, our Defense engineerin g business has signed a teaming agreement with Navantia Spain for the purpose of submission of a techno -commercial bid for the Indian Navy's prestigious P75 (I) submarine program.
• Thirdly, our daily ri dership in Hyderabad Metro crossed the 5-lakh mark on Ju ly 3, and as recent as yesterday, the metro ridership touched a record 536,000.
• Our group company , LTI Mindtree has entered the Nifty 50 index from July 13, 2023.
• Finally, our Financial Services business achieved the Lakshya 2026 goal of more than 80% retailization of its book 3 years in advance.

I will now cover the various financial performance parameters for Q1 FY '24. Q1 FY '24 was a quarter of robust performance across most of the financial parameters. Our group Order Inflows, Revenues and PAT is u p by 57%, 34% and 46%, respectively, over the corresponding quarter of the previous year. Our NWC to revenue that is Net Working Capital to Revenue at 17% in Q1 FY '24 has improved 360 basis points over the corresponding quarter of the previous year. Our R OE is at 12.8% on a trailing 12 -month basis in June 23, that has gone up by almost 130 basis points over the 12 months TTM as of June 22 and by 60 basis points when you compare with the year ended March 2023.

I will now move on to individual performance pa rameters. Our group order inflows for Q1 FY '24 at Rs 655 billion, registered a Y -o-Y growth of 57%. Within that, our Projects and Manufacturing businesses secured order inflows of Rs 504 billion for this quarter, which is a growth of almost 79% over Q1 FY '23. Our Q1 FY '24 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon segments. During the current quarter, our share of international orders in the Projects & Manufacturing portfolio is at 35% as com pared to 33% in Q1 of last year. Our share of private orders within the domestic Projects and Manufacturing orders is at 24% for Q1 FY '24 as compared to 32% for Q1 FY '23. During the quarter, orders were received across segments like rail, renewables, rur al water supply, transmission, and distribution commercial and residential buildings and both onshore and offshore verticals of the hydrocarbon segment.

Now moving on to prospects pipeline. We have a total prospect pipeline of Rs 10.07 trillion for the rem aining 9 months of FY '24, vis -a-vis Rs 7.52 trillion, at the end of Q1 last year. This itself represents an increase of 34% on Y -on-Y basis. The increase is largely due to the sharp improvement in Hydrocarbon prospects pipeline. If you recall, we had star ted or commenced this year FY '24 with a prospect pipeline of Rs 9.73 trillion. We normally begin every year with a particular prospect pipeline. And with every passing quarter, the same is updated for the remaining quarters of the financial year. This tim e around, the prospects pipeline has moved

up after our Q1 results, primarily aided by substantial improvement in Hydrocarbon prospects that I mentioned a little while ago. The broad breakup of the overall prospects pipeline at the end of Q1 FY '24 would b e as follows: Infrastructure, Rs 5.85 trillion as compared to Rs 5.47 trillion Q1 last year. Hydrocarbons Rs 3.47 trillion as compared to Rs 1.02 trillion Q1 last year. Power is at Rs 0.45 trillion vis -a-vis Rs 0.6 trillion Q1 last year. And the rest combi ning of Heavy Engineering, Defense, and Green Energy EPC aggregates to Rs 0.29 trillion for the current 9 months vis -a-vis 0.43 trillion that we saw at the end of Q1 previous year.

Moving on to order book. Our order book is at Rs 4.12 trillion as at June 2 3. As our Projects & Manufacturing business is largely India centric, 71% of our order book is domestic and 29% in

ternational. Now of the international order book of Rs 1.21 trillion, around 87% is from Middle East and 5% is from Africa. The remaining 8% is from various countries, including Southeast Asia. So clearly, the Middle East capex in both Infra and Hydrocarbon segment is on an upswing post the stability in oil prices. As far as the domestic order book of Rs 2.92 trillion is concerned, the breakdo wn is as follows or the share of the various constituent customers.
• Central Government - 12%
• State Government 29%

• Public Sector Units and State-Owned Enterprises 39%
• and private sector 20%.

Approximately around 23% of our total order book of Rs 4.12 trillion is funded by bilateral and multilateral funding agencies. Again, 91% of our total order book is from Infrastructure and E nergy. You may kindly refer to the presentation slides for further details. In the current quarter, that is during Q1 FY '2 4, we have de leted orders of Rs 17 billion from the order book. And as at June 23, the share of slow -moving orders is less than 1% of the order book.

Coming to revenues. Our group revenues for Q1 FY '24 at Rs 479 billion registered a Y -o-Y growth of 3 4%. I nternational revenues constituted 40% of the revenues during the quarter. In the Projects & Manufacturing business, our revenues f or Q1 FY '24 at Rs 327 billion registered a Y-o-Y growth of 49%.

Moving on to EBITDA margin. Our group level EBITDA margin wit hout other income for Q1 FY '24 is 10.2% a drop of 80 basis points over the Q1 of previous year. This drop of 80 basis points is mainly due to cost pressures in the legacy EPC projects. The detailed breakup of the EBITDA business -wise is also given in the annexures to the earnings presentation. You would have noticed that the EBITDA margin in the Projects & Manufacturing business for Q1 FY '24 is at 7.4% vis -a-vis 8.3% in Q1 FY '23. I will cover the details when I talk about the performance of the segments. Our Recurring and Reported PAT for Q1 FY '24 at Rs 24.9 billion is up by 46% over Q1 of last year. The robust PAT growth is delivered on the back of substantially improved activity levels and further aided by improved treasury operations . The Group perfor mance P&L construct along with the reasons for major variances under the respective functions aids is provided in the presentation. You may kindly go through the same for further details.

Coming to working capital. Our Net Working Capital / Sales ratio ha s improved from 20.6% in June 22, to 17% in June 23, an improvement of 360 basis points. Our group level col lections, excluding the Financial Services segment for Q1 FY '24 at Rs Rs 439 billion vis-à-vis Rs 344 billion in Q1 FY '23, that representing an incre ase of 28%. The improvement in gross working capital ratio on the back of improved customer collections is also flowing into the overall improvement in the net working capital to sales ratio. At this juncture, I would also like to mention that on a sequent ial basis, our NWC / Revenue has come down by 90 basis points. That is from 16.1% in March ‘23 to 17% in June ‘23. As you may be aware, Quarter 1 of every financial year is generally a seasonally weak quarter for customer collections and therefore, the 90 basis points of reduction is well within the guided or the desired range.

Finally, the trailing 12 -month ROE for Q1 FY '24 is at 12.8% vis -a-vis 11.5% in Q1 FY '23 an improvement of 130 basis points and improved profitability with every passing quarter is contributing to this improvement in ROE.

I will now comment on the performance of each segment before we give our final comments on our outlook for the remaining nine months of the year. First, Infrastructure. Coming to order inflows, this segment secured orders of Rs 401 billion for Q1 FY '24 vis -a-vis Rs 183 billion in Q1 FY '23, registering a growth of more tha

n 100%. During the current quarter, the
orders were secured in renewables, rural water supply, transmission distribution , minerals and metals as we ll as commercial and residential real estate. Our order prospects pipeline in Infra for the nine months for FY '24 is at Rs 5.85 trillion vis -a-vis Rs 5.47 trillion during the comparable period of last year. This infra prospect pipeline of Rs 5.85 trillion , comprises of domestic prospects of Rs 4.61 trillion and international prospects of Rs 1.24 trillion. The subsegment breakup of the total order prospects in Infra is as follows. Transportation Infra, the share is 23%. Buildings and Factories - 21%, Water a nd Effluent Treatment - 18%. Heavy Civil Infrastructure - 17%, Power Transmission & Distribution, including Renewables - 15% and Minerals and Metals at 6%. The order book of this segment has crossed Rs 3 trillion mark for the first time and is at Rs 3.01 tri llion as of June 23. The book bill for this segment is around three years.

Coming to revenues. The Q1 revenues for Infrastructure at Rs 221 billion registered a growth of 56% over Q1 of the previous year, obviously, largely aided by the strong execution pr ogress across multiple jobs from the opening order book. Our EBITDA margin in this segment for Q1 FY '24 is at 5.1%, as compared to 6.5% in the corresponding quarter of the previous year. The margin for the quarter is a function of the job mix that we have and legacy Covid jobs nearing completion in the current year. I would like to highlight the fact that Q1 FY '24 margin is well within our own internal budget estimates for the quarter. We expect these legacy Covid impacted jobs to conclude possibly by the end of Q2, Q3 of the current year. Having said that, we are rigorously pursuing customer claims under the terms of the respective contracts. The settlements, however, may happen over a period of time. Finally, although infra margin has taken a subdued, I would say, reporting due to the impact of Covid and commodity prices over the last couple of years, it is heartening to note that the working capital intensity has

substantially improved during the same period resulting in stable return ratios over a perio d of time.

Moving on to the next segment, which is Energy Projects. This segment comprises of Hydrocarbon and Power. The receipt of both domestic and international orders during the quarter helped the Hydrocarbon order book, whereas Power business reported muted order inflows. We have a very strong order prospects pipeline of Rs 3.92 trillion for this Energy segment for the remaining nine months of FY '24, comprising of Hydrocarbon at Rs 3.47 and Power comprising Rs 0.45 trillion. The order book for this Energy segment is at Rs 728 billion as of June '23 with Hydrocarbon order book at Rs 680 billion and Power at Rs 48 billion. The Q1 FY '24 revenues at Rs 66.8 billion, registered a healthy growth of 32%, mainly driven by the pickup in execution momentum in t he international projects of Hydrocarbon business, whereas the de -growth in the Power segment is largely reflective of a depleting order book. The Energy segment margin in Q1 FY '24 is at 9.1% vis -a-vis 8.5% in Q1 FY '23. Execution cost savings a ids margin i mprovement in power, whereas hydrocarbon margin is reflective of the jobs at various stages of completion and progress. The breakup of Order Inflows, the Revenues and EBITDA margins of this segment is given as part of Annexure to the presentation.

We now m ove on to Hi-Tech Manufacturing segment that comprises our Defense and Heavy Engineering business. The Order Inflows for this segment for Q1 has been impacted by deferrals in both Heavy Engineering and Defense. We have an order prospects pipeline of Rs 252 billion for this segment for the remaining three quarters of FY '24. The order book of this segment is Rs 256 billion a

s of June '23. Healthy execution momentum across both the segments drives a 40% revenue growth in the current quarter, whereas the mar gin improvement of 170 basis points over the corresponding quarter of previous year, is largely a function of execution cost savings. Once again, we have given a detailed breakup of Order Inflow, Revenues, and EBITDA of both the businesses un der this segment in the Annexure to the presentation.

On the subject of Defense Engineering segment, I would like to once again reiterate that this business does not manufacture any explosives nor ammunition of any kind including cluster ammunitions or ant i-personnel land mines or nuclear weapons or components for such munitions. The business also does not customize any delivery systems for such munitions.

Moving on to the next segment, which is Information Technology and Technology Services, which com prises of two listed subsidiaries, LTIMindtree and LTTS. The revenues of this segment at Rs 108 billion in Q1 FY '24 registers a top quarter growth of 14% Y -o-Y. Despite ongoing macroeconomic concerns, the deal pipeline for the segment is healthy and a goo d visibility across all the subsegments that both the companies have. The negative variance in the EBITDA margin in Q1 FY '24 vis -a-vis the corresponding period of the previous year is largely attributed to increased talent acquisition and retention costs. As both the companies in the segment are listed entities, the detailed fact sheets are available in the public domain.

Now we move on to Financial Services segment. Here again, L&T Finance Holdings is a listed subsidiary, and the detailed results are avai lable in the public domain. Q1 revolved around strong retail disbursements, lower credit cost, improved asset quality and a rundown on the wholesale book. The Balance Sheet is strong on the back of adequate provision coverage ratios and in -built macro prud ential buffers. Financial Services segment achieved 82% retailisation of its loan book in June '23, well ahead of the Lakshya '26 targets. The retail book growth, asset quality and the return on assets are highly satisfactory. And finally, sufficient capital in the Balance Sheet is available to pursue growth in the medium term. The stage is set for this business to truly achieve Fintech@scale.

Moving to the Development Projects segment. This segment includes the Power Development business that comprises of Na bha Power , a 1,400 -megawatt coal-based plant in Punjab and Hyderabad Metro. Let me mention here that the profit consolidation for L&T Infrastructure Development Projects, which is a joint venture that we do at PAT level has been discontinued from Q4 FY '23 post L&T signing the definitive agreement for the entire sale of stake. The investment in the L&T IDPL JV is classified as "Held for Sale". Coming back to the remaining two assets in the segment, which is Nabha Power and Hyderabad Metro, the majo rity of

revenues in this segment is contributed by Nabha Power. Improved ridership aids the revenue growth in Metro. In Nabha Power, there was some impact of lower power demand in the Q1 of current year due to a moderate summer but having said this, the compa ny is doing quite well on the back of a record Plant Availability Factor (PAF) and Plant Load Factor (PLF).
Coming to Hyderabad Metro, some statistics …The average metro ridership has improved from 2,85,000 passengers a day in Q1 FY '23 to 4,22,000 passengers per day in Q1 FY '24. Our average ridership in Q4 FY '23, that is January ’23 to March '23 was 408,000 passengers a day. The ridership in the month of June ‘23 was at 445,000 passengers per day was higher than the Q1 FY '24 average. As I mentioned earlier, the riders hip crossed per day crossed the 500,000 marks on July 3 and touched a record high of 536,000 yesterday. The higher segment margin

in Q1 FY '24 is primarily due to the improved metro performance and consolidation of Nabha profits. In M etro at a PAT level, we consolidate d a loss of Rs 3.35 billion in Q1 FY '24 vis -a-vis a loss of Rs 3.25 billion in Q1 FY '23 , primarily due to a higher interest cost despite the improvement in daily ridership.
Moving on to the last segment, that is Others. This segment com prise s Realty , Industrial Valves, Construction Equipment and Mining Machinery Rubber Processing Machinery and a residual part of the Smart World Communication business that was transferred to LTTS. The Q1 revenue growth of 50% over the corresponding quart er of the previous year is led by Realty and Construction Equipment and Mining Machinery. The margin for this segment during the quarter is largely in line with the corresponding quarter of the previous year.
Coming to the last part of my presentation , the Outlook. India's economic growth continues to display encouraging resilience despite the continuing global chaos. Prudent fiscal and monetary policy management from the government and RBI respectively, has resulted in the partial decoupling of India grow th story with the rest of the world. Encouraging real GDP

growth with stable inflation as well as manageable internal and external balances can be expected in the near to medium term. Besides the spend in basic Infrastructure, a higher government cape x allocation in the green economy, including clean and renewable energy will provide the necessary impetus to investments in energy transition and larger infrastructure projects.
Outside India, as I mentioned earlier, prospects in GCC countries appear heal thy. Major oil producing nations in the GCC are continuing to invest in oil and gas, industrialization and energy transition initiatives that augur well for the company's projects business. In the backdrop of this mix sentiment, the company will continue t o pur sue its planned trajectory of profitable and return accretive growth.
I would like to emphasize that the focus will remain on cash generation judicious capital allocation and distribution of cash to shareholders on a regular basis. The company has a robust order prospects pipeline in the medium and is confident of sustaining its growth momentum by utilizing the emerging opportunities with the overarching aim of improving shareholder value on a sustainable basis.
Finally, I would like to comment on our guidance’s for FY '24 before we jump into Q&A.
On Order Inflows and Revenue - We are indeed off to a good start in Q1, both in terms of orders secured and the revenue that we have printed. We remain confident of achieving the Order Inflow g rowth of 10% to 12% and a Revenue growth of 12% to 15% for the year FY '24. So our guidance on both these parameters remains unchanged. And in fact, as we enter into Q2 FY '24, we are also reasonably well placed in some large orders across Infra, Energy and the Defense sectors.
On EBITDA margin - Since our progress on margin in the Projects and Manufacturing portfolio in Q1 FY '24 is along the expected path, our guidance for 9% in this segment for the full year FY '24 remains unchanged. As you may re call, when we were summarizing the performance of FY '23, we also indicated that the margins of this particular Projects and Manufacturing segment for the first two quarters will be a little subdued considering a substantial completion of the legacy jobs t hat we secured prior to Covid, during Covid and post that, I think the mix of the recently awarded jobs will take a higher share. So the subdued margins is along with the expected estimates that we had already given.
On Working Capital, we would mai ntain t he NWC to revenue guidance of 16% to 18% band for the current year.
Our Integrated Annual Report for FY '23 is published, and we have also captured the key ESG paramet

ers as part of Annexures to this presentation. Kindly have a look at the progress that we have done in FY '23. We intend scheduling a separate ESG call for our stakeholders sometime soon, where we will explain in detail our ESG plans and the progress on various parameters.

Thank you, ladies, and gentlemen, for this patient hearing. We c an now g et into Q&A.
Moderator: Thank you very much. The first question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Congratulations on a very, very good quarter and the decision to reward the shareholders. My first question is on th e clarif ication . Does the current quarter include High-Speed Rail order, which we announced on 22nd of July?
P. Ramakrishnan: So the orders in the Infrastructure segment includes the C3 order . As you may be aware, this bid happened on 11th of April, ear ly April 2023 and as part of the process, the letter of award was formally issued in July , but before June itself, we had completed the relevant documentation. And incidentally, since we are executing the C4 package, I also would say that the preliminary work for the C3 package also has started.
Mohit Kumar: With respect to the guidance , despite having a very good quarter, our revenue growth and order inflow for the balance of the year looks like they are in the single digit , below 10% . Is there a reason to not revise the guidan ce gi ven that the prospects are good, order book is at a high?
P. Ramakrishnan: So Mohit, if you recall, when we did our earnings call for Q3 FY '23 in January, we still had a similar question. And as you know , that this year, we all are aware that the first 3 quarters for India could be really busy. And there is always a chance that because of the impending general elections, although the dates have not been announced , we have to be mindful of it. So we are taking into account this asp ect. Although Q1 order inflow has been reasonably robust. But as you know, the ordering momentum can be a little lumpy sometimes. S o let's see , as we get into Q2, Q3, I think we'll have a better visibility to talk about revising the guidance .
As far as order inflows are concerned, we will still maintain that 10% to 12% trajectory. On the revenue execution part, we had given a guidance of 12% to 15% and I'm happy to say that the Q1 revenue growth has been reasonably good. But Q2, as far as the project is concerned, can have some impact because of the seasonal monsoon and all . Q2 will definitely at least give us a clear visibility in terms of the execution momentum that will flow into Q3 , Q4 and maybe at that point of time we can have a better comfort on seeing whether we possibly can touch the on the higher side of the revenue guidance. But at this stage, it is premature to conclude. So we still maintai n the band of 12 to 15 percent .
Mohit Kumar: Understood. And my second question is on the margins. The core margin Y-o-Y were weak. So when do you think the impact of the legacy projects will wear off? And are these orders before FY '21?
P. Ramakrishnan: So I think that once again, we had articulated quite in detail when we closed FY '23 in the month of May when we gave the guidance of 9% for Projects and Manufacturing with a clear qualifier that the first 6 months could be a little subdued on the back of a major part of the jobs

that we have secured until 2020-21, which is COVID year and thereafter , when they went into execution, they had the additional brunt of higher commodity prices.
So a major part of these jobs should get completed in the first half or possibly definitely by Q3 of the current year. And it is basis this construct that we have given a guidance of 9% for the full year with a clear view that the f

irst 6 months for In fra could be a little subdued.
Moderator: Next question is from the line of Ashish Shah from JM Financial Limited.
Ashish Shah: My first question is on the mention of the commercial property sale during the quarter, which you mentioned in your press release, could you just elaborate a bit on that, sir?
P. Ramakrishnan: As you are aware, our Realty business comprises of both commercial and residential real estate . In Q1, we completed the sale of a commercial real e state in Bombay that gave us almost around Rs 80 crore of profit and it is included in the segment result of the Others segment.
Ashish Shah: And what could be the revenue corresponding to this, if you can add?
P. Ramakrishnan: Around Rs 120 crore s.
Ashish Shah: Okay. Sure. My second question is on the Hyderabad Metro. So…
P. Ramakrishnan: That is Rs 200 crores, please. Rs 200 crore is the revenue and Rs 80 crore is the segment result.
Ashish Shah: Sir, also on the Hyde rabad Metro plan. So could you elaborate on how much support we have received so far? And what is the view on the outlook of getting maybe Rs 2,000 crores over the period of 3 years. And are we on track on the revenue ?
P. Ramakrishnan: Okay. So in FY '23, we received the government assistance of Rs 100 crores. In Q1 current

year, we received another Rs 150 crores. And as we speak in the month of July, we have received another Rs 300 crores. So in all aggregate, we have received Rs 550 crore till date, and we expect to possibly get another Rs 450 crores, which is the first instalment of Rs 1,000 crores very shortly. So I would say it has been building our overall construct that Rs 1,000 crores each of the years in FY '24 and FY'25 and FY '23 is wha t got spilled over, but we do expect the government to help us out disbursing the money's at the soonest.
Moderator: Sir the line for the partners have been dropped. The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Yes. So con gratulations on great numbers. Can you elaborate a bit more on what's driving this execution strength? Is it just the sheer number of projects that you're doing has gone up or the scale has gone up -- what's driving this humongous growth in revenue?
P. Ramakri shna n: So Puneet, it's a combination of all the statements that you made i.e. the size of the order book and the scale of the projects that we have secured over the last two years in terms of larger

project outlays, larger project bids. So , the size of the projects and the scale of the project has helped us to achieve this kind of revenue execution momentum and that is what is helping us out. And as you may be aware, we are also investing a lot on construction equipment or project equipment that will enable us to speed up the execution momentum.
Puneet Gulati: Okay. That's helpful. And secondly, if you can comment a bit more on the competitive intensity in the Middle East. That seems to be a very big market for you. You've shown humongous growth in the pipeline as well as prospects. Some color there would be very useful .
P. Ramakrishnan: So Middle East, as we see it now, I guess, would be largely in Hydrocarbon segment. And the next segment that we are seeing plenty of opportunities in sequence of size or opportunities would be the Renewables' part. And thirdly, other industrial sectors like Minerals and Metals to certain extent. There are some of these core industries being set up in that pa rt of the world. But Hydrocarbon and Renewables are clearly seen as an addressable opportunity in the near to medium term.
And as far as competitive intensity is concerned, I guess, yes, the size of the capex spend that we are witnessing in some of the co untrie s in Middle East is so large , and few companies have been selected as an approved bidder . So I think the size of the cake

is so large that each one
will probably get a fair share.
Puneet Gulati: Okay. So there shouldn't be any risk on th e mode l side at all here at least?
P. Ramakrishnan: In terms of prospects, I would say that Hydrocarbon and Renewables are a good medium -term prospect in terms of newer orders . I wouldn't dare to comment upon whether the prospects will continue to sustain to three years down the line. But definitely, in the next 9 months to 12 months, the prospects are addressable and are visible . It all depends on how much of the share of those prospects gets converted into orders for L&T.
Puneet Gulati: And margins, this 10% kind of ma rgin is -- should be base case here? Or can they go up as well?
P. Ramakrishnan: So Puneet, whereas it will be inappropriate for me to address the margins for orders that we are yet to secure , but definitely, the Hydrocarbon segment has repor ted consistently stable margins over the last 2 to 3 years. I mean, set aside quarterly because quarterly can be a function of the progress of jobs at various stages. But definitely, depending on successful project execution, I don't see a reason for any major change in the margins profile that Hydrocarbon has been demonstrating over the last 1.5 to 2 years.
Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Congratulations on a great quar ter. So, first question is on the statement said that the prospect pipeline has increased and large part of the se are large size orders from railways and other segments. So what we are seeing is that on the capital goods orders, somewhere we are hitting the capacity const raint. So we see the coming quarters, there could be some challenges on the

execution side because of shortage of equipment. And you can highlight in which segment s you have seen this kind of buildup happening where the capacity utilisation has been gone u p from the supply side?
P. Ramakrishnan: So Parikshit, while I was giving you the order prospects pipeline where I also gave a split of the 5.85 prospect pipeline for Infrastructure segment for the balance 9 months. I also gave you a breakup ranging betwee n Transportation Infrastructure, which is the highest to Minerals and Metals at 6%, which is the lowest across the entire 5 or 6 subsegments that we have. Once again , I wish to reiterate here that the actual set of opportunities that could come in these

segment s could be possibly even more higher, but we are mindful of the fact that today, the Infrastructure segment itself is having almost a 3 trillion order book for execution. So we are targeting the projects where we have the capacity to execute and also the c ompetition intensity for such kind of a orders is a shade lower.

Parikshit Kandpal: My question was more on the securing equipment part . Like, the PNG project if there could be potential shortage of transformers, switchgears . The same way across your order book , there would be shortage in other segments . Are you seeing any trends where…

P. Ramakrishnan: Okay. So Parikshit, I'm sorry to interrupt you. As it stands now, because if you see the run up of growth in the Infrastructure segment in revenues also, that doesn' t seem to suggest that there is any shortage of equipment for execution or any materials shortage . So I guess, at this juncture, premature to comment that there is a possibility of Infrastructure equipment getting into an obstacle for execution.

Parikshit Kandpal: Okay . My second question is on IDPL now. So, can you highlight on what stage we are in terms of closures and most likely when we get approval, there's money coming in?

P. Ramakrishnan: So, at this juncture, as you may be aware, IDPL is a holding company that h as 8 operating road assets and one transmission line asset. The approvals from agencies like NHAI, Min

istry of

Road and Surface Transport and other customers is in the progress . The target is to try to complete it in Q2, but there is a possibility it can sl ip ov er to Q3.

Parikshit Kandpal: Last question sir is on the Real estate . I think, SNS has some time back said that they are targeting to be a top 5 player and Rs 10,000 crores is a target for presales by FY '25. So, wanted a sense, what is the number for Q1 FY '24 on the Real Estate business ?

P. Ramakrishnan : So, at this juncture, Parikshit, the way we are looking at , obviously, L&T has captive land parcels across Powai, Navi Mumbai, Chennai, Bangalore and one parcel in North India as well. So, all of this has a potential to develop almost 12 million of Residential and 15 million of Commercial Property development. So, this is the overall objective of the Realty business that we have in the next two to three years, I would say.

Moderator : Sorry to inte rrupt you Parikshit . I will request you to join the queue again for a follow up question. I request to all the participants, please restrict to one question per participant, we

have a long queue and requesting to join the queue again for a follow up question. Next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : Yes. Thanks for the opportunity I have…

Moderator : Renu you are sounding distance from the phone.

Renu Baid : My question is any update on the divestment of Nabha Powe r and if you can also share what is the value of cash and liquid investments on the Parent books at the end of the first half?

P. Ramakrishnan: Okay. So at this juncture, Renu, it is like this . We don't have a serious interest in term s of Nabha power, but we continue to operate the asset. As I mentioned earlier, the asset is doing very well in terms of being one of the best performing thermal power plants with a total PLF upwards of 85 -odd percent. So, it's doing quite well.

Coming t o the second question, the total investable surplus or what you call as cash, which is lying and which can be considered for capex, or which can be considered for even the divestment buyback or so , at a stand alone level is around Rs 25,000 crores and at a Group level, it could be around Rs 35,000 crores to Rs 40,000 crores , because Rs 10,000 crores is the total amount of cash which the IT&TS companies have. And you cannot take L&T finance cash balance as investable surplus. So, I wou ld say Rs 250 00 crore pl us Rs 10000 crore, around Rs 35 to 40 thousand crore is the total group cash that we have.

Renu Baid : Got it. And can you share from which sectors the Rs 17 bn orders were de-booked during the quarter.

P. Ramakrishnan : Sorry, I didn't get you.

Renu Baid : The Rs 1700 crores order s, which were deleted from the backlog are from which segment?

P. Ramakrishnan : Largely in the B&F real estate sector . It was an old order that was not moving , that was almost Rs 1,000 crores . The rest is all a combination of various orders which after the completi on is no longer required, so they get deleted.

Renu Baid : Got that. Thanks.

Moderator : Thank you. Next question is from the line of Sumit Kishore from Axis Capital Limited. Please go ahead.

Sumit Kishore : Thank you so much PR. My firs t que stion is on Hydrocarbon prospects which have increased sharply. Could you give some color on what is driving this increase, whether it is onshore, offshore hydrocarbons , overseas or domestic and so on?

P. Ramakrishnan: I think I gave you the breakup of Hydroc arbons, both over domestic and overseas. So, the total Hydrocarbon prospects is at Rs 3.47 trillion, okay . I think you can take Rs 1 trillion as offshore and Rs 2.5 trillion as onshore.

Sumit Kishore: Got it. The second question is while the defense

prospects for the balance fiscal seem to have
gone down as included in that number for Heavy engineering, Defense, and Green Energy
EPC. But I mean, clearly, what we are reading in terms of your press releases, on L&T co -
developing AIP technology with DRDO, the prospect of P75 I , even the lightweight tanks that
we are reading about . Over what time frame and how large can these oppor tuniti es be in
Defense, if you could give some color?
P. Ramakrishnan: So, okay. So, let me tell you the order prospects for defense that we have for the balance nine
months and what we believe as tenders will get floated and awards may get announced is
aggregati ng to around Rs 20,000 crores. This was actually Rs 24,000 crores in Q1 last year.
But that doesn't mean that the prospects have come down. We are talking of what we believe
are addressable opportunities that will come up for bids and get awarde d. So, we are really
focusing on that. Needless to state, the P75 -I, all those bids are not included in the current
order prospects pipeline.
Sumit Kishore: Yes. But can you elaborate on like the conversion of submarines to AIP, the Scorp ene class?
What could be the size of those opportunities for L&T given that you have co -developed AIP
with DRD O?
P. Ramakrishnan: It would be premature for me to give a value aspect to it, Sumit, because at the end of the day,
these are jointly developed . Of the scope, how much of L&T gets it or how much goes to the
public sector shipyards , I think at this juncture may not be appropriate for me to comment.
Sumit Kishore : Sure. And finally, on electrolyzers, would you be able to roll out your utility scale ele ctroly zer
this year from Hazira or is it going to spill over into next financial year? What is the scale of
setup that you're doing for electrolyzers?
P. Ramakrishnan : So, this has been filed in the stock exchange today for the benefit of all. So L&T Elect rolyze rs
Limited as a subsidiary has been incorporated and the Board has approved an overall
investment of around Rs 500-odd crores to set up this electrolyzer factory. And this is going to
happen in Hazira in our AMN H eavy Engineering campus and w e expect the factory to get
commissioned possibly in the next 9 months or so.
Sumit Kishore : What is the capacity?
P. Ramakrishnan : It will cater to electrolyzer sizes up to 4 -megawatts.
Moderator: Thank you. I request to all the participants, ple ase re strict to one question per participant. The
next question is from the line of Amit Mahawar from UBS Group. Please go ahead.
Amit Mahawar: Yes. Thanks for the opportunity. I just have a quick question on the ROE trajectory. Now that
buyback is already in works, do you think FY '26 corridor for ROE of 18%, can see an upside
risk, especially given next two years, the execution and margin ramp up in core that we can
see. So, any color there?

P. Ramakrishnan: So Amit, I think I have mentioned the bridge of 12 to 18. The capital allocation part ie. the
buyback and higher amount of dividends will enable us to improve by 150 basis points to 200
basis points. The second and more important thing is on the concessions part of our bu sines s,
which is essentially L&T Metro. Hopefully, I think it should come back on track on the timely
receipt of the State Government assistance and also the TOD monetization . So, definitely , in
the next 2 years to 2.5 years, I think we will be s eeing a good amount of progress in terms of
metro operations turning around the corner . At least in the next 2 years to 3 years. And as far
as the Projects and Manufacturing business is concerned, I guess, with the kind of order book
we have and the opportunities that we are looking at both India and Middle East will sustain
itself into improved margins from at least '24, '25 onwards. But the more important part in
terms of the

value capture in the Projects and Manufacturing portfolio, Sumit, would be the
working capital intensity which we are bringing down from almost 23% in that segment to
almost 18% now.
Amit Mahawar: Okay. Got it. And sir, second and quick question on Middle East, particularly Saudi . We seem
to be getting a lot of business attention there. Will that entail significant investments in that
region for us? And how do you see the scenario vis -a-vis what we saw say 10 years ago when
there were a lot of competitive scenarios impacting profitab ility. So how do you impart more
comfort on that region as far as our strategy is concerned?
P. Ramakrishnan : So as far as Saudi is concerned, the two opportunities that we are targeting, I would say, in
terms of priority or aggregate size, what we see i s Hydrocarbon and secondly is the

Renewables part of the new city development. Over a period of time, I guess the amount of opportunities into other sectors besides renewables, including water and all, will shape up. The Kingdom is going throu gh, I would say, a big transformation in terms of approach to both investment and mindsets, and this is something quite favourable .

Competitive intensity, I would say, as far as Hydrocarbon is concerned, is with a select few set of bidders. And as I m ention ed in response to an earlier question of the same subject, I think the size of the capex is so big in terms of next 12 months to 18 months, I guess every one of us will have a fair share of the size of the pie.

Amit Mahawar : Okay. Thank you and good luck PR.

P. Ramakrishnan : Thank you, Amit.

Moderator: Thank you. Next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Hi PR and c ongratulations for a good set of numbers. I limi t it to one question, which is on Hydrocarbon . Probably pro bing you slightly more on this one. See , this almost trebling of pipeline that you have seen for a 9 -month basis , is this something that can sustain the Rs 3 trillion looking number or do you see the case of Rs 1 trillio n numb er coming back at some point of time in the future . If you can give me some more color on the geographies and the

areas where investments are happening , it will just give us more sense on the sustainability of this number?

P. Ramakrishnan: So, Aditya , I gu ess you are right to say that the Hydrocarbon pipeline prospects itself at Rs 3 trillion this time around. We are only looking at the prospects for the next 9 months. It would be a little speculative for me to comment as to in June '24, whether the p rospec t pipeline will be equal or more than this. But definitely, in the next 12 months the opportunities that we are looking in Hydrocarbon , more so from K ingdo m of Saudi Arabia is quite significant. Besides the KSA, there are one or two other countries in the M ENA region, GCC region, where we do see favourable opportunities to come our way.

Aditya Mongia : Maybe I'll just kind of ask a related question over here, not a new one. See your subsidiaries in KSA have seen a lot of volatility in the top line. I do n't kno w whether that is indicative of the way things happen in KSA, but what is changing at this point of time for us to be believing that the change in mindset over there is something that can lead to medium -term gains for us, which are more sustainable?

P. Ram akrishnan: So, when you talk about medium -term gains, I'm sure you're referring to margins. I did mention that Hydrocarbon margin has been consistently in that 9% to 10% band over the last two years or so. And with the kind of order book that we h ave acr oss both India and outside India, I don't see any reason for us to comment upon whether there would be a significant upturn in margins or a downturn.

The only fact I would like to put across here is , we have to be mindful that the exe

cution has to be in line with the planned timelines . If that happens, I guess, that will be our credibility in the system, which we have already done. And hence, that is one of the few important reason that L&T has been getting consistently large orders from this pa rt of the world so far as Hydrocarbon is concerned , because of the favourable experience that the customer has seen while L&T has executed the jobs in the recent past.

Aditya Mongia : Got that. Thanks a lot for the color. Those are my questions.

Moderator : Next question is from the line of Ashwani Sharma from ICICI Securities.

Ashwani Sharma: Congratulations to the entire L&T team for the strong performance. Just a quick one. So we have exceedingly done really well in Saudi over the years. We were No. 1 international contractors in CY22 in Saudi. So , do you think that we can replicate this success in other GCC geographies? Is there a strategy to capture in FY '24 or '25?

P. Ramakrishnan: So Ashwani, I guess, as a contractor, we are a n approved or a selected bidder or accredited bidder by most of the major customers across the various countries in the Middle East and the MENA region. So today as we see it, it is possibly Saudi and 1 or 2 opportunities outside of Saudi wh ere we are seeing a sizable amount of business traction that can happen.

But we also need to be mindful that you should have each and every country in Middle East talking about projected jobs . Only when those jobs are addressed, then we can quote. So today , we are seeing is th at the maximum amount of opportunities coming from KSA.

Ashwani Sharma: Okay. And the last one and second, the quick one. On the offshore wind business, which you have recently formed, I wanted to understand what kind of opportuniti es over there you see.

P. Ramakrishnan: We are still working on offshore wind . Obviously it is a natural extension of our offshore Hydrocarbon competencies that we are going to leverage upon. At this juncture, we are looking at technology because that also requires some amount of technology inputs for us to position ourselves like the way we are now putting across to put up this electrolyzer plant for catering to sizes up to 4 -megawatt electrolysis.
Similarly, for offshore wind also, we ar e lookin g to increase our capabilities out there, leveraging our offshore hydrocarbon competencies that we have.
Moderator: Next question is from the line of Deepa k Krishnan from Macquarie. Deepak your voice is breaking. The next question is from the line of Ankit a Shah from Elara Capital.
Ankita Shah: So, given the very strong prospect pipeline that we have, and you are expecting a good momentum in flows going forward. So , what is the kind of capacity expansion in terms of capex that you're looking at?
P. Ra makrishna n: Capex is a function of the type of orders that we get , Ankita . For very large orders like for example, when we talk about C3, C4 and all these coastal road packages, the various project - specific capex that we have to take is actually built into the proje ct bid cost itself. Having said this, it would be appropriate for me to comment given the fact that we are having such large jobs and with the possibility of getting larger size jobs, the capex requirements in this segment of Projects and Manufacturing could ra nge between average between Rs 3,000 crores to Rs 4,000 crores each year.
Ankita Shah: And you all the very best and any congratulations on the strong performance.
Moderator: The next question is from the line of Bharanidhar Vijayakumar from Spark Capital.
P. Ramakrishnan: It's little feeble. I think you have to come closer to the handset.
Bharanidhar Vijayakumar: Okay. Is it better now?
Moderator: Yes, okay. I can hear you. Go ahead.
Bharanidhar Vijayakumar: We have this TOD demonetization pipelin e for Hyder

a bad Metro of about 18.5 million square feet. What is the status? When are we likely to receive money, how much in FY '24 and '25?
P. Ramakrishnan: So okay, 18.5 million square feet is the total TOD rights that we have. The monetization is not for th e entire 18.5. Against 18.5 mn sq ft , we have developed around 1.5 million square feet of

TOD, which we expect to monetize. Hopefully, we should see some of that happening in the current year.
Bharanidhar Vijayakumar: Yes, we had some target of number to be re ceived from TOD per year. How much would it be?
P. Ramakrishnan: So the target, Bharani , which we have mentioned earlier also , is that the TOD monetization will fetch the Metro SPV around Rs 2,000 crores in terms of the total cash that they'll be abl e to coll ect against the developed TOD parcels. And this cash will enable us to bring down the debt by Rs 2,000 crore which is the estimate that we are considering for TOD monetization. And in terms of the timelines , some part o f that s hould happen in the current year itself or a major part. We are progressing satisfactorily on that. Let us see how it shapes out in the current year.
Bharanidhar Vijayakumar: Okay. Second question on the Power T&D prospects, we see go vernment of India trying to push renewable auctions and a lot of auctions have happened. Though we are not a big player in India. Do we see good inflow from this segment this year?
P. Ramakrishnan: Okay. So , the share of power T&D in Infrastructure order prosp ects that we have at 5.85 trillion is almost 19% of that. And it is equally split. In fact, it is tilted more towards international, 55% is international, and the balance, 45%, is domestic.
Bharanidhar Vijayaku mar: Yes. No, I was asking about the renewable portion there. Would we be expecting good inflow there given Indian renewable auctions are increasing?
P. Ramakrishnan: The international portion consists largely renewable. The domestic is all the classic tra ditional power transmission & distribution projects, including substations and so on.
Bharanidhar Vijayakumar: Okay. Got the answer, sir. All the best.
Moderator: Next question is from the line of Sanjay Kumar from ithought Financial . Please go ahead.
Sanja y Kumar : So on solar, I understand we don't want to do Solar Panel manufacturing because it is kind of commodity and 50-gigawatt capacity is coming through PLI. But does that mean we lose out to integrated developers, like say, Tata, Adani . What would be our market share in Solar E PC? It looks like we are not focusing on solar in India at all.
P. Ramakrishnan: So we have done a lot of solar renewable projects in the past in India . We are now focusing more of such opportunities outside of India . It doesn' t mean t hat we are not taking those kinds of opportunities . In response to the earlier gentlemen's question, as I said, there are some solar renewable prospects in India also. But our focus is to take more of such projects outside India. The more important point is that the India solar projects that we are looking at now in terms of size and scale is a little smaller, whereas the overseas solar projects are opportunities that have

big in scale.

Sanjay Kumar : Okay. Okay. Got it. And second, can you talk ab out the o rders in U.S. because U.S. is spending a lot on construction, which we are seeing in jobs data and even project announcements. But for us, U.S. and Europe country grew 15% to inflows in revenue, but less than 1% to backlog for the last 3 years. So it seems to be a short cycle order . So are we focusing there because what kind of orders are we in?
P. Ramakrishnan: So Sanjay, what you see in U.S. and all, they are all reflecting nothing but the revenues of IT&TS portfolio, which has also put in

order i nflow. S o as a EPC contractor, our order prospects pipeline currently does not undress any western world orders at this juncture.
Sanjay Kumar : Okay. And on Hi-tech manufacturing, sir?
P. Ramakrishnan: Having said this, I mean there are obviously opp ortuniti es. When you talk about making complex pieces of equipment, largely for the petrochemical sector which are more of an export job, which our Heavy Engineering does. But outside of that, U.S. Infrastructure or European Infrastructure are large ly restr icted to the respective contractors of those regions only.
Sanjay Kumar : And on HI-Tech, are we looking at semiconductors or small modular reactors for nuclear?
P. Ramakrishnan: Semiconductors at this juncture, no comments . As far as modular react ors are there , we are working on it, but it's a little premature for me to comment in detail.
Moderator: As there are no further questions, I now hand the conference over to Mr. P. Ramakrishnan for closing comments.
P. Ramakrishnan: So thank you all for taking y our time to attend this call. I hope all the queries have been answered. In case if you have any further clarifications, please feel free to reach out to me or my colleague, Harish. We will be there to clarify. Thank you. Thanks, once again.
Moderator: Thank you v ery much. On behalf of Larsen and Toubro Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

“Larsen & Toubro Limited
Q2 FY '2 4 Earnings Conference Call”
October 31, 202 3

MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD INVESTOR RELATIONS
– LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Larsen & Toubro Limited Q2 F Y '24 Earnings Conference Call.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that thi s conference is being recorded.

I now hand the conference over to Mr. P. Ramakrishnan, Head Investor Relations from Larsen & Toubro Limited. Thank you, and over to you, sir.

P. Ramakrishnan: The earnings presentation was uploaded on the stock exchange at our website -- and our website around 7:05 p.m. I hope you had a quick glance at the numbers. As per past practice, instead of going through the entire presentation, I will take you through th e key highlights for the quarter in the next 30 minutes or so, post which we will take the question -and-answer.

Before I begin the overview , disclaimer, the presentation that we have uploaded on the stock exchange and in our website today , including the d iscussions that we will have in this call contains or may contain certain forward -looking statements concerning our Group's business prospects and profitability, which are subject to several risks and uncertainties and actual results could materially diffe r from those in such forward -looking statements.

In contrast to global trends, the Indian economy in Q2 FY '24 has continued to demonstrate resilience on the back of strong domestic demand. Investment activity has been buoyant, supported by continuing pub lic capex. Strong growth was seen in steel consumption, cement production as well as in imports and production of capital goods. Capacity utilization in the manufacturing sector is also trending up, which augers well for c ountry -level capital formation.

It is heartening to note that despite the hiccups in the monsoon in Q2, the agriculture sowing momentum has been sustained and reservoir levels are fairly adequate. Finally, the September CPI index at 5.02% has come back to the RBI's comfort level of below 6 % after a gap of two months.

On the other hand, global economic growth is losing momentum and is slowing under the impact of tight financial conditions, protracted and enhanced geopolitical tensions and increasing geo - economic fragmentation. The recent co nflict in the Middle East has raised concerns about potential increases in crude prices because the region, as you may know, is not only a critical supplier of energy, but a k ey shipping passageway as well. To summarize the macro backdrop in a simple sente nce, I would say that it's continuing India's resilience amidst global turbulence.

Before I get into details of the financial performance parameters, I would like to share a few important highlights for the quarter.

• Our Group has reported the highest eve r order inflow in Q2 FY24, led by capex tailwinds in the Projects & Manufacturing segment across its primary geographies of India and GCC. The Hydrocarbon business has secured to win ultra -mega orders in the Middle East this quarter. Our company now tops t he list of international EPC contractors working in the MENA region in terms of value of projects under execution.

• Secondly, we are proud to be part of ISRO's moon mission, the Chandrayaan -3. L&T played a crucial role in the mission of manufacturing S200 booster motor casing and umbilical systems that included ground plates and flight plates. Further, we also helped in the system integration of the launch vehicle from the Sriharikota range.

• The Honourable Prime Minister of India, Shri. Narendra Modi inaugu rated the India International Convention and Expo Cente

r also known as YashoBhoomi at Dwarka, New Delhi on 17th of September, and this particular convention center was constructed by Larsen & Toubro.

• The Honourable Chief Minister of Madhya Pradesh, Shri Shivraj Chouhan, inaugurated the 108-feet tall statute of Shri Adi Shankaracharya known as the statute of Oneness at Omkareshwar in Madhya Pradesh on 21st of September, again constructed by L&T in a duration of 15 mo nths.

• Coming to IT and Technology Services business, the voluntary attrition, both our listed subsidiaries, LTIMindtree and LTTS has reduced, both on sequential as well as Y -on-Y basis.

• Our financial services business has achieved the highest ever quarter ly retail disbursements of Rs 13,499 crores, and the retail portfolio is currently at 88% of the overall book of the company.

• In Hyderabad Metro, the daily ridership touched an all -time high of 5.47 lakh passengers on September '23. Further, the monetizati on of the Raidurg commercial property was concluded during the quarter. The sale consideration for this transaction was around Rs 1,045 crores and a gain of Rs 512 crores has been booked in the Q2 of this financial year.

• Our thermal power plant at Nabha re corded the highest -ever PLF of 97.6% in the month of August '23. The previous high being 96.2% in May '22.

• In the Realty business, there was a complete sell -out of around 500 apartments in Phase 1 of the Avinya Enclave in Manapakkam, Chennai, our first re sidential launch in the city of Chennai.

• Finally, the company successfully completed the first ever buyback of 3,12,50,000 equity shares at a price of Rs 3,200 per share through the tender offer route with a total cash outflow of Rs 12,280 crores, which in cludes the tax on buyback and buyback related expenses, thereby resulting in extinguishment of around 2.2% of the equity share capital of the company.

I will now cover the various financial performance parameters for Q2 FY '24. Q2 FY '24 was a quarter of robust performance across the various financial parameters. Our group order inflows, revenues and PAT is up 72%, 19% and 45%, respectively, over the corresponding quarter of the previous year. Our Group net working capital to revenue is at 16.7% in Q2 FY '24, thereby registering a sequential improvement of 30 basis points and 310 basis points on a Y -on-Y basis.

Moving on to the individual performance parameters. Our Group order inflows for Q2 FY '24 at Rs 892 billion, registered a Y -on-Y growth of 72%. Within that, our Projects & Manufacturing business portfolio secured order inflows of Rs 730 billion for Q2, whereby growing by 97% over

the corresponding period of the previous year. Our Q2 order inflows in the Projects & Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon segments.

During the current quarter, our share of international orders in the Projects & Manufacturing portfolio is at 68% vis -à-vis 21% in Q2 of last year. The share o f private orders within the domestic Projects & Manufacturing orders is at 36% for Q2 current year vis -à-vis 29% in the corresponding quarter of the previous year. During this quarter, orders were received across diverse segments like the onshore vertical of Hydrocarbons business, urban transit systems, transmission and distribution as well as residential and commercial space.

Now moving on to prospects pipeline. As of 30th September '23, we have an aggregate prospect pipeline of Rs 8.8 trillion for the ne ar term vis -à-vis Rs 6.32 trillion at the same time last year. This represents an increase of 39% on a Y -on-Y basis. The increase is largely due to the sharp improvement in the Hydrocarbon prospect's pipeline.

The broad breakup of the overall prospect's p ipeline at the end of Q2 '24 is as follows .

• Infrastructure – Rs 5.06 trillion vis -à-vis Rs 4.54 trillion last year

• Hydrocarbon – Rs 2.9 trillion vis -à-vis Rs 1.13 trillion as of September '22
• Power is at Rs 0.5 trillion vis -à-vis Rs 0.38 trillion as of Sep tember '22
• Heavy Engineering, Defence, Green Energy EPC, all of them aggregate to around Rs 0.26 trillion, which is largely unchanged from that of last year.

Moving on to order book. Our order book is at Rs 4.5 trillion as on September '23, which is up 22% vis -à-vis September '22 last year. As our Projects & Manufacturing business is largely India centric, 65% of our order book is domestic and 35% is international. Now of the international order book of Rs 1.59 trillion around 90% is coming from Middle East and 2% from Africa and the remaining 7% or 8% from various countries, including Southeast Asia. It is evident that the GCC capex for both Infrastructure and Hydrocarbon is on an upswing looking at the actual order inflows an d order prospects as of September '23.

Coming to the breakdown of the domestic order book of Rs 2.91 trillion, which I said is 65% of the overall order book. That combination is as follows :
• Central government - 13%
• State Government - 30%
• PSU or State-Owned Enterprises - 37%
• Private Sector - 20%

Approximately 20% of our total order book of Rs 4.5 trillion is funded by bilateral and multilateral funding agencies.

Again, 92% of our total order book is comprising from Infrastructure and Energy. You may refer to the presentation slides for further details. During this quarter, that is Q2 FY24, we have deleted orders of Rs 11 billion from the order book. As of September '23, our slow -moving orders is well below 1% of the total order book of Rs 4.5 tril lion.

Now coming to revenues. Our Group revenues for Q2 FY24 at Rs 510 billion registered a Y -on-Y growth of 19%. International revenues constituted 43% of the revenues during the quarter. The strong execution momentum in the Projects & Manufacturing portfolio drove the overall group revenues for the quarter. In the Projects & Manufacturing business , our revenues for Q2 FY'24 was at Rs 349 billion that registered a Y -on-Y growth of 25%. Moving on to EBITDA margin. Our group level EBITDA margin without other income for Q2 FY '24 is 11%, a drop of 40 basis points over Q2 of the previous year. This drop of 40 basis points is mainly due to job mix and cost pressures in the legacy EPC jobs under Projects & Manufacturing portfolio. The detailed breakup of the EBITDA margin business wise is also given in the annexures to the earnings presentation. The EBITDA margin in the Projects & Manufacturing business for Q2 FY '24 is at 7.4% vis -a-vis 8.2% in Q2 FY '23. I will cover the details a little later when I talk about the performance of each of the segments. Our reported PAT for Q2 FY '24 at Rs 32 billion is up 45% over Q2 of last year. This robust PAT growth is delivered on the back of substantially higher activity levels in the Projects & Manufacturing business and the financial services sector, improved treasury operations and further aided by the TOD monetiza tion in Hyderabad Metro. The Group performance, P&L construct along with the reasons for major variances under the respective functions is provided in the earnings presentation. Kindly go through the same for further details.

Coming to working capital. Ou r NWC to sales ratio has improved from 19.8% in September '22 to 16.7% in September '23, an improvement of 310 basis points. For reference, our NWC sales ratio was 16.1% and 17% in March 23 and June 23, respectively. The Group level collections, excluding that of the Financial Services segment for Q2 FY '24 is Rs 462 billion vis -a-vis Rs 386 billion in Q2 FY '23, representing an increase of 20% on a Y -on-Y basis. Improvement in Gross Working Capital ratio on the back of improv

ed customer collections is flow ing into the
overall improvement in the NWC to sales ratio.

Finally, the trailing 12 -month ROE for Q2 FY '24 is 15.3% vis -à-vis 12.1% in Q2 FY '23, an improvement of 320 basis points. Improved profitability with every passing quarter, along with return of capital to shareholders in the form of buyback is contributing to this improvement. As stated in the past, the focus of the group during this Strat P lan period ending FY '26 is on profitable growth in the P &M and Services portfolio, emphasis on cash gener ation, divestment of non -core assets, normal capex and investment in existing and newer businesses and returning surplus cash to shareholders at regular intervals in order to create value over time.

Very briefly, I will now comment on the performance of e ach business segment before we give our final comments on our outlook for the medium term. I start with Infrastructure. On order inflows, this segment secured orders of Rs 280 billion for Q2 FY '24 vis -à-vis Rs 251 billion in Q2 FY '23, registering a growt h of 12%. During the current quarter, the orders were largely received in urban transit systems, transmission and distribution as well as residential and commercial spaces. Our order prospects pipeline in Infra is around Rs 5.06 trillion vis -à-vis Rs 4.54 trillion during the same time last year, representing an increase of 11%. The Infra prospect pipeline of Rs 5.06 trillion comprises of domestic prospects of Rs 3.81 trillion and international prospects of Rs 1.24 trillion. The sub -segment breakup of t he total order prospects in this

segment comprises as follows : Transportation Infra having a share of 26%, Water and Affluent Treatment at 20%; Buildings and Factories 18%; Heavy Civil Infrastructure 13%; Power Transmission and Distribution 13% and Mineral s and Metals at 10%. The order book for this segment is at Rs 3.05 trillion as of September '23, and the book bill for this particular segment is around 2.5 years. Q2 revenues at Rs 246 billion registered a strong growth of 27% over the comparable quarter of the previous year, largely aided by the strong execution momentum or progress across multiple jobs from the opening order book. Our EBITDA margin in this segment for Q2 FY '24 at 5.4% vis -à-vis 6.6% in the corresponding quarter of the previous year. Margin for the quarter is a function of job mix and legacy COVID jobs nearing completion in the current year. We expect these legacy jobs to conclude by the end of this financial year. If you recall, we had at the time of declaring our Q1 numbers indicated ea rlier that the margin recovery in this segment will be visible somewhat in Q3 and largely from Q4 onwards. Having said that, I would also like to mention here that we have not lost hope on any customer claims, which are being rigorously pursued under the t erms of the respective contracts, the settlements could be happening over time. Although Infra margin has been subdued due to the impact of legacy jobs and commodity prices over the last couple of years, it is good to note that the working capital intensit y in this particular space has substantially improved during the same period, resulting in stable return ratios for the segment over a period of time.
Moving on to the next segment, which is Energy. This comprises Hydrocarbons and Power. The receipt of two ultra mega international orders in the onshore vertical of this business helped order book, whereas the Power business benefits from the receipt of a Flue Gas Desulfurization order. We have a strong order prospect pipeline of Rs 3.46 trillion for the Ene rgy segment that comprising of Hydrocarbon prospects of Rs 2.91 trillion and Power prospects of Rs 0.55 trillion. The order book for this segment is at Rs 1.06 trillion as of September '23, with Hydrocarbon order book at Rs 1.01 trillion, an

d the Power segment at Rs 52 billion. The Q2 FY '24 revenues
of Energy segment at Rs 67.9 billion registered a healthy growth of 22%, mainly driven by the pickup executio n momentum in the international projects of the Hydrocarbon business, whereas lower revenues in Power business is reflective of a depleting order book. The Energy segment margin in Q2 FY '24 is at 9.5% vis -à-vis 8.5% in Q2 FY '23. Hydrocarbon margin in Q2 is in line with the previous year, whereas a particular job crossing the margin recognition threshold enabled EBITDA improvement in Power segment.
We will now move on to Hi -Tech manufacturing segment that comprises the Defense and Heavy Engineering busine ss. The Defense business benefits from the receipt of a key order, whereas deferrals impacted order inflows in Heavy Engineering. Our order prospects pipeline for the Hi - Tech manufacturing segment is around Rs 231 billion. The order book for this segment i s at Rs 259 billion as of September '23. A healthy execution momentum across both the businesses drives a 30% revenue growth in Q2 FY '24, whereas the margin deacceleration of 360 basis points over the corresponding quarter of the previous year is largely reflective of the execution phase of jobs in the portfolio. Since we are on this segment, let me once again repeat what we have always mentioned in the past that the Defen ce Engineering business does not manufacture any explosives nor ammunition of any kin d, including cluster ammunitions or anti -personnel

land mines or nuclear weapons or components for such ammunitions. The business also does not customize any delivery systems for such ammunitions.
Moving on to the next segment, IT&TS that comprises two listed subsidiaries, LTIMindtree and LTTS. The revenues of this segment at Rs 111 billion in Q2 FY '24 registered a modest growth of 7%, largely in line with the subdued global macro conditions impacting IT spends. Despite ongoing macroeconomic concerns, the deal pipeline for this segment is healthy with good visibility across the various subsegments. The negative variance in EBITDA margin in Q2 FY

'24 vis -à-vis the corresponding period of the previous year is largely attributed to increased talent acquisitio n retention costs partly offset by improved operational efficiency. I will not dwell too much on this segment as both the companies in the segment are listed companies and the detailed fact sheets of their performance already available in the public domain .

Next, we move on to Financial Services segment. Here again, L&T Finance Holdings is listed, and the detailed results are available in the public domain. Q2 of the current year revolved around strong retail disbursements, which was the highest ever in a quarter, lower credit costs, better asset quality and phasing down or a rundown on the wholesale book. The Balance Sheet is strong on the back of adequate Provision Coverage Ratio and have in -built macro prudential buffers as well. Financial Services achie ved 88% Retailisation of its loan book in September 23, well ahead of the Lakshya '26 targets. The Retail book growth, asset quality and the return on assets are highly satisfactory. The business is building itself on the five pillars of growth, namely enhancing customer acquisition, sharpening credit underwriting, implementing futuristic digital architecture, higher brand visibility and capability building. And finally, sufficient capital in the balance sheet is available to pursue growth in the medium ter m. In a way, the stage is set for L&T Finance Holdings to truly achieve FinTech at scale.

Moving on to the Development Projects segment. This business includes Power Development (Nabha Power) and Hyderabad Metro. Let me once again mention here that the profit consolidation of L&T IDPL, that is the L&T Infrastructure Development Projects at

PAT level

has been discontinued from Q4 of the previous year post signing of definite agreement for sale of our entire stake. The investment in the JV is now classified as "Held for Sale" in the Balance Sheet. The majority of revenues in the Development Projects segment is contributed by Nabha Power. The monetization of a commercial property and improved ride rship helped the revenue growth in Hyderabad Metro, whereas Nabha revenue was partly impacted by lower power demand that happened mainly in July '23.

To give you some statistics on Hyderabad Metro, the average metro ridership has improved from 3.55 lakh p assengers a day in Q2 FY '23 to 4.62 lakh passengers per day in Q2 FY '24. Our average ridership in Q1 of the current year was 4.22 lakh passengers per day. Sequentially also, the ridership has improved. As I mentioned earlier, the ridership per day touche d a record of 5.47 lakh passengers a day on September 23, 2023. The higher segment margin in Q2 FY '24 is primarily due to improved metro ridership as well as the TOD monetization and also due to consolidation of Nabha profits. In Hyderabad Metro at a PAT level, we consolidated profit of Rs 2.4 billion in Q2 FY '24 vis -à-vis a loss of Rs 3.28 billion in Q2 of the previous year. For H1,

the total loss from the metro operations was Rs 95 crores vis -à-vis a loss of Rs 653 crores in H1 of the previous year.

Moving on to the last segment, the residual segment, which is "Others". This segment comprises Realty, Industrial Valves , Construction Equipment and Mining Machinery, Rubber Processing Machinery and a small residual portion of the Smart World and Communicati ons business. The Q2 revenue growth of 14% over the corresponding quarter of the previous year is mainly contributed by higher handover of residential flats in the Realty business. The margin improvement in this segment is, again, primarily contributed by better profitability in the Realty business.

Coming to the last part of my presentation, the outlook. India's economic growth continues to display encouraging resilience despite the continuing global chaos. Prudent fiscal and monetary policy management from the government and RBI respectively has resulted in the partial decoupling of India growth story with the rest of the world. Encouraging real GDP growth with a stable inflation as well as manageable internal and external balances can be exp ected in the near to medium term. The Indian economy is expected to grow by 6.5% in FY '24, primarily aided by sustained buoyancy in services, consumer and business optimism, higher government spending, healthy Balance Sheet of banks and corporates, upcomi ng festival demand and supply chain normalization. Besides spend in basic infrastructure, a higher government capex allocation in the green economy, including clean and renewable energy will provide the necessary impetus to investments in energy transition and larger infrastructure projects. Outside India, the headwinds from global economic slowdown and the declining global trade further complicated by the current geopolitical developments continue to pose event risks. Despite this, we remain optimistic aro und fresh project starts in oil and gas, core industrialization and energy transition prospects in the GCC region in the near term.

The company backed by its all round capabilities in engineering, manufacturing, construction, project management and servic es will continue to focus on operational excellence and cost competitiveness for profitable execution of its large order book. The company will pursue its stated objective of demonstrating profitable growth with judicious use of capital and improve shareho lder value on a sustained basis.

I will now finally comment on our guidance for FY '24 before we take Q&A. On Order Inflows and Revenue, we are indeed off to a good start in H1 in

the current year, both in terms of orders secured and the revenues achieved during this period. At the start of the year, we had guided a 10% to 12% order inflow growth and a 12% to 15% revenue growth for FY '24. The improved performance on both these parameters so far in H1 make us believe that we will possibly outperform our ye arly guidance on both these parameters. It is difficult to pinpoint a specific range of growth possibility on order inflows, especially in a pre -election year, amplified by the continuing international geopolitical volatility. Therefore, we are keeping our order inflow guidance a little open -ended. Having said that, I would also like to mention here that we do remain constructive on order inflows for the year due to a substantial jump in the international prospects in the Projects portfolio for the near ter m. Since you are already sitting on a large order book, our execution should carry on at a healthy clip provided we are able to keep the working

capital intensity under check. Here, again, as you all know, this is a matter of discipline that we have never, in the past, pursued faster execution at the cost of compromising on the balance sheet. Therefore, our revenue guidance like order inflows is also a little open -ended -- obviously the stance is that most likely, we are going to outperform the guidance tha t we have provided at the start of this year on these two important parameters.

On margins, our progress on H1 margins in the Projects & Manufacturing portfolio has been along expected lines. However, it appears at this juncture that the multiple new jobs, which are in ramp -up stage may not cross the valuation threshold by the end of FY '24, leading to some sort of postponement of margin recognition in these jobs for the current year. Therefore, we expect margins in the Projects & Manufacturing portfolio in a range between 8.5% to 9% for the full year as against the initial guidance of 9%. Having said that, I would also like to mention that the slipup in margin, if any, in this portfolio is being made more than to volume growth and improved working capital i ntensity, thereby resulting in superior ROICs by the end of this year.

Finally, we do believe that our margin trajectory in the Projects & Manufacturing portfolio should look up from the next financial year onwards. However, we will be guiding our investor s post the close of the current financial year. On Working Capital, since we have been able to preserve our balance sheet gains well in H1 so far, our guidance of 16% to 18% band on NWC revenue for the year FY '24 remains unchanged.

Thank you, ladies and gentlemen, for the patient hearing. We will now begin the question - answer.

Moderator: Thank you. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question is on the Order Inflow . So, I think in the particular quarter, I think we have announced two mega orders. One was on 10th of October, which was a mega and the other was Ultra-Mega today for Middle East. But in the Press Release today, it seems you have classified both the orders as ultra -mega. Is the understanding right? And are post the orders part of Q2 or only one has been included in this -- in the order inflow?

P. Ramakrishnan: So Mohit, both the orders, the one that was announced on 10th October and the one that was released today are all forming part of Q2 order inflow of the Energy segment. And both of them individually are Ultra-Mega, which means it is more than Rs 15,000 crores each.

Mohit Kumar: Understood. And my second question is the domestic order booking it seems like on the H1 is slow. Are you seeing some slowness in the closing of these tenders? And how do you think about H2 -- as we enter H2 in terms of closing the -- especially the domestic tenders?

P. Ramakrishnan: So I would like to state here that the prospects pipeline that we have , the domestic order prospects pipeline is quite robust in the infrastructure segment. And there are no such indications per se for us to say that whether the prospects pipeline is drying dow n. The only thing we have to be mindful of the fact that possibly Q4 could be a little subdued on tendering and ordering activity, assuming that we can have the general elections announcements happening around that time.

Mohit Kumar: My last question is th at it seems that you've taken debt for buyback. Given that the large cash flow available on the balance sheet in standalone, what are the need to take a short -term debt?
P. Ramakrishnan: So Mohit, typically, we run a fair bit of very proactive debt raising and investment on treasury operations. So what you are seeing is something very optical and it is temporary. Incidentally, I wish to tell you that a major part of the debt is actually falling due in the next one year. So there has been some amount of refinancing that has happened. I would like to emphasize that this is a sort of a temporary situation. Hopefully, by March '24, this should improve back to the March '23 level as far as debt in the standalone is conc erned.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore : Congrats on our robust performance in Q2. My first question is on the net working capital ratio, which has improved on a yea r-on-year basis by 300 -odd basis points plus to 16.7%. When I look at the reading in both Q2 and H1, in your cash flow slide, they are down year -on-year. So given that the operating profit, obviously, has grown in both these periods , could you qualitativel y explain what has dialled down the operating cash flow?
P. Ramakrishnan: Okay. So Sumit, it is like this that when I communicated 16.7% in September '23 vis -à-vis 19.8% in September '22. I also would like to emphasize here that the Gross Working Capital a s of September '22 was 65.9%, translating to a Net Working Capital of 19.8%. That Gross Working Capital as of September '23 has droppe d to 57.1%.
So in effect, what we are trying to communicate here that our collections momentum across the Projects & Manufacturing portfolio, including other businesses as well, but largely aided by the Projects & Manufacturing portfolio has improved. So it's actually the Gross Working Capital reduction, which is getting more pronounced. But optically, when you talk about the Cash Flow Statement, it is more because of the volume growth.
Sumit Kishore : Okay. But the volume growth is there in the revenue, but the operati ng profit margin basically decline is leading to this impact overall in OCF is what you're trying to say?
P. Ramakrishnan: I would like to emphasize once more that the reduction in working capital to 16.7% in September '23 vis -à-vis 19.8% in September '22 is largely a result of lower or of sharper improvement in the Gross Working Capital. Having said this, the volume of growth that we have seen in the first six months is more than what is there in the six months of the previous year.
Sumit Kishore : Sure. Th at's very clear. The second question is on the order prospects that you are seeing in the Energy vertical, particularly overseas hydrocarbons, has there been some addition to that prospect pipeline after this mega win that you have seen, because you still seem to be at a very high level on a year -on-year basis.
P. Ramakrishnan: Yes. So as far as Hydrocarbons, the prospects pipeline that we gave in June '23 was almost about Rs 3.47 trillion. Now coming to September '23 for the near term, the prospects has co me down to Rs 2.91 trillion after taking account whatever orders have been tendered and awarded during

the Q2, which actually means that there has been a new set of mega and ultra -mega order prospects into Hydrocarbon segment from International. And when I say international means, you can assume that it is Middle East.
Sumit Kishore : And this is mainly Saudi Arabia...
P. Ramakrishnan: At this juncture, I'm not in a position to give you the breakup of the country -wise prospects, Sumit, but let me tell you it is beyond Saudi as well. We have sizable prospects in Saudi and Qatar and to some extent, in UAE.
Sumit Kishore : Okay. Just one last clarification on the core business margin. You mentioned that there are certain cu stomer claims that the company is reasonably confident to recover. Could you please quantify where you're reasonably confident of these claims? And over what time frame do you expect...
P. Ramakrishnan: Yes, Sumit, let me once again reiterate when we start ed the year, we had given a yearly guidance of 9% for the Projects and Manufacturing portfolio. And we have also clearly stated that this margin expansion of 40 basis points from 8.6% in FY23 to 9% did not factor any customer claims. Because last year, whe n we had given the guidance and closed at 8.6% for the full year, but the initial guidance for FY '23 did recon. But as you know, some of these claims that we are pursuing, the amounts and the collection or the settlement of that is a little uncertain. So it won't be appropriate for me to talk about the amount and also the crystalization of such things that could happen. If it happens, that would definitely lead us to the margin improvement. So we are

now talking of only the cost pressures that we had artic ulated in the first six months relating to the legacy jobs that will be nearing execution. I think it is more or less in line. And hopefully, from Q3, Q4, we can see a margin expansion in the portfolio. And anything on customer claims that get s crystallize d in that particular quarter, we could see a margin uptick in those time periods as and when they get crystallized and get paid.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: The first question is on Hyderabad Metro. Can you help us with certain bookkeeping details on interest , depreciation and the losses excluding for the profit excluding the gain from the sale of the TOD property? There would be some tax implication as well?

P. Ramakrishnan: No, no, Hyderabad Metro for the near term, Renu, will not have a tax implication given the fact that we have unabsorbed business losses, okay? So just to give....

Renu Baid: No tax implication even on the TOD asset monetization?

P. Ramakri shnan: Yes. So the TOD monetization is a part of business income for the company because the company's business model is a combination of metro operations and real estate operations. So it will not have a separate tax line item in the form of Capital G ains. It has been structured as slump sale and will attract the normal tax. And since we have the accumulated losse ,s there is no tax incidence. So the Rs 512 crores PAT, which I referred to in my conversation, that is at a PBIT

level itself. Having said this, to the other questions, you can assume that at the current debt levels of around Rs 12,500 crores at Hyderabad Metro, the interest cost would be around Rs 300 crores per quarter and the depreciation of around Rs 80 crores per quarter. And you were talking about what our ridership that we are looking at ? In fact, in September, the average ridership is slowly touching 5 lakh in October, sorry, 5 lakh on weekdays. It's more than 5 lakh on week days and possibly 100 thousand lower on the weekends or public holidays. So one can easily work out the traffic projections assuming Rs 36 per average rider

ship.

Renu Baid: Got it. Sure. And you were expecting some last tranche of certain payments to come from the government as subsidy. Has that come through now or you expect it in the second half of the year?

P. Ramakrishnan: Okay. So cumulative support in the form of soft loan from the Telangana government as of date is Rs 900 crores. As of September, it was Rs 750 crores. So we have r eceived another Rs 150 crores in the month of October. So , the arrangement was they were to give around Rs 3,000 crore over a period of 2, 2.5 years. Hopefully, I think we should see the momentum of the support coming more frequently in the current year as is evident. Till March '23, we had got Rs 100 crores. In Q1 of the current year, we received Rs 150 crores. Q2, we received Rs 500 crores, and in October, we received another Rs 150 crores. So that aggregates to INR900 crores

Renu Baid: Got it. Secondly, on the guidance, I understand you have kept your inflow and revenue guidance open ended. While on the margins, you have reduced it by 50 basis points. So just keen to understand this incremental revenues, which you are expecting where the margin recognitio n threshold will not be reached, are factoring in the upper end of the numbers that you have mentioned or it is factoring in a higher growth within your open -end guidance?

P. Ramakrishnan : Okay. So let me tell you as far as order inflows are concerned, at the current clip if we are growing, of course, the H1 in terms of order inflows has been quite satisfactory. But we are mindful of the fact that although order prospects is almost Rs R8.8 t rillion. Here again, you should be aware that there are events that pose against these kind of opportunities, either as pre - election year or pre -election period and any other event in the Middle East, which is another major source of order prospects for us . I think we have to be mindful of this. And secondly, Renu, a large part of the order prospects now are actually going into for L&T aggregate of both mega and ultra -mega kind of prospects. So that is something we have to be mindful about because the size of a large order, $1 billion and above may have a slippage in terms of time. So hence, we are comfortable to give that we will be outperforming the order inflow. Coming to the revenue part, here again, the progress in H1 has been satisfactory, and we do ex pect the growth to happen beyond the targeted range of 12% to 15%.

So when I'm talking of outperforming on the revenue side, obviously, we are looking at to crossing the higher end of the band that we communicated at the start of the year. Maybe in terms of landing, where are we going to have in order inflow and possibly, I think we'll be in a better position to comment when we give our Q3 results in the month of January.

Renu Baid: So also the point I was trying to make is since you also mentioned that t here will be operating leverage which will also kick in, offsetting the impact from legacy. So the only point I was trying to understand is a 50 -basis -point reduction in the operating margin guidance that you have given, is factoring in a 15% kind of reven ue growth, which is at the top end of your open -ended guidance or factoring 15, 20 or a higher revenue growth?
P. Ramakrishnan: So it is factoring the revised guidance where I'm talking about outperforming on revenue. In terms of how the margins will shape up, I think let us close Q3, we'll be in a better position to communicate as to how are we going to close the year ? But given the fact that what we had assumed some of the newer jobs to get into margin recognition threshold in Q2, there has been some slippages there. And hence, we thought it is appropriate that we could be landing anywhere between 8.5% to 9% for the full year. It is premature to communicate at this juncture whether we will be at 8.5

% or 8.7% or 8.9% , but maybe a better articulation ca n happen once we close Q3. But this 8.5% -9% guidance factors volume growth as per our estimates.
Renu Baid: Perfect. And lastly, while you did highlight about reasonably good order prospects for the Power sector, I just want to understand what are the base assumptions that you have taken for order pipeline for the domestic power projects, thermal coal -based projects here? Because some of the largest customer NTPC is indicating almost 11 gigawatt kind of project award in the next 12 to 18 months. So can you quantify gigawatt and gigawatt terms what is the pipeline that you have assumed until March or near term that you have projected?
P. Ramakrishnan: So Power, I had indicated prospects of INR0.55 trillion. It factors around 4.5 gigawatts of order prospects i n coal -based power plant ordering in the next six months.
Moderator: Thank you. The next question is from the line of Aditya Bhartia f rom Investec. Please go ahead.
Aditya Bhartia : My first question is on the two large hydrocarbon orders that you've booked. Have there been any customer advances that we have received on those orders? And what is our internal margin expectation for orders of these sizes ?
P. Ramakrishnan: Okay. So that's a great question, Aditya. Let me tell you, I think as far as advances are concerned for all these orders will be coming up in this current quarter, okay? I also wish to make a remark that most of the hydrocarbon orders that we secure, they're all fixed price contracts. Obviously, by bidding for the projects, we have taken into account the competitive intensity and also our recent performance of orders with the customers in these areas and geographies. Premature for us to communicate the embedded margins because these have been fixed pr ice contract, time will tell how the margins evolve over a period of time. But as far as the bidding methodology is concerned, there has been no compromise as far as the margin trajectory is concerned.
Priyankar Biswas : And when we look at the revenue, the potential between domestic and international for this quarter, actually, it's been quite tough. On the domestic side, it seems that there has been some deceleration some moderation in revenue growth because we are having something 6% to 7.5% kind of reven ue growth. So what exactly has been playing out over there? And how should we think about it over the next few quarters?

P. Ramakrishnan: Okay. So Aditya, I made a statement saying that Q2 FY '24 revenues at Rs 510 billion. It registered a Y -o-Y growth of 19% and international revenues constitute 43% of the revenues during the quarter, okay? Now these are group revenues. So if I had to just summarize it, out of that Rs 510 billion of overall revenues, Infrastructure segment contributes 48%, energy Eegment contributes 13%, IT and Technology Services, obviously, as you know, comprises 22% and largely 90% of that revenue is international, okay?
So I don't think at this juncture, the revenue growth I would say is for the quarter, the domestic revenues of the Pr ojects & Manufacturing segment has grown up by around 7% on a Y -on-Y basis. And the Projects and Manufacturing, international revenues have actually virtually doubled. The growth is almost 9 2% in Q2 FY24 as compared to Q2 of last year.
Aditya Bhartia : Exactly my point, sir. So on the domestic core business there's been quite a sharp deceleration in first quarter, we are seeing almost something like 35% revenue growth. This quarter, it seems that it's been somewhere between 5% to 10%. So is ther e something that's really happening over there? Because in first quarter, we had spoken about very sharp pickup in execution space, both in domestic and international and also spoken about some labor constraints we faced in the domestic market.
P. Ramakris hna

n: So there are no supply chain constraints or labor shortages per se at a broader domestic side. But let me tell you that one of the foremost reasons for our ability to control on working capital is to have a sharp look at the progress linked to the money that gets collected. So that is possibly the only reason for us to say that the domestic part of the order book is possibly growing at a slightly slower rate than what is happening in international. Everything is linked to the money collected.
Aditya B hartia : Understood, sir. And over there, you are seeing some challenges versus how things have been in the last couple of quarters because last few quarters, we've been growing without compromising on working capital?
P. Ramakrishnan: So Aditya, let me tal k about as far as H2 for the domestic part of the order book is concerned is actually one of the more seasonally more favorable quarter for project execution. So I don't think there are any challenges as far as Q3 is concerned. But Q4, no, it's a little to o early. That's one of the reasons when we -- I keep reiterating that revenue guidance, we will possibly outperform because we have to be also mindful of the fact that Q4, although one of the best quarters for the overall economic momentum to peak in that quarter given the fact that the government projects would like to be completed, the climate supports the entire execution. But Q4 can be -- because of all the state elections and a possible Centr e elections, there can be a possibility of labor movements go ing back to the respective constituency for voting and campaigning and all. So little too early, but I don't see any challenges per se to articulate the why domestic growth is slowing down. It has more to do with L&T's focus on progress -- collect and prog ress, I would say.
Moderator: Thank you. The next question is from the line of Lavina Quadros from Jefferies. Please go ahead.

Lavina Quadros : Congrats on a good set of numbers. Just a couple of things. One is on the macro side to start off with, any inter esting trends you're seeing either on the private capex side in India or any sub - segment within Infra that you'd like to highlight?
P. Ramakrishnan: So as far as India is concerned, as I mentioned in the order prospects pipeline of Infrastructure segment, I did give a breakup. I think what we could potentially see in the next six months or so, Lavina, would be basis the order prospects, we do see a lot of activity coming on the railway side, which is both electrification and announcement of high -speed rail networks. Metro packages almost some 24 -odd metro packages are on the anvil to get awarded, okay? So we do see a large uptick on the transportati on infra led by railway sector. As far as another major area where we're seeing a good amount of prospects is the Buildings and Factories sector, which is almost 18% of the total order prospects of the Infrastructure segment. And in Buildings and Factories, I think a very positive element has been a decent mix of both private sector and public sector order prospects that are coming in. As far as private sector is concerned, a lot of prospects coming on pure play residential, commercial, data centers. These are three or four important areas we are looking at. On the Minerals & Metals, here again, the order prospects is almost 10% of the top infrastructure order prospects, again, led by prospects coming from additional capacity expansion in the steel sector, which we expect to be getting tendered out. Of course, the awards part can be a little -- it will be too early for us to comment whether the award actually would happen. But definitely, I can see that the order prospects in the Infrastructure segment, as far as domestic concerned, is a blend of both private and public, led by Transportation Infrastructure on the public side,

and Buildings and Factories on the back of what you see a residential and commercial boom happening across the country. Almost 20% to 22% o f the domestic order prospects of Infra from the Private sector space.
Lavina Quadros : And lastly, I might have missed this, sorry about this, but Saudis, how much of your order book today? And just confirming Israel -Hamas conflict has no impact on L&T for now?
P Ramakrishnan : So answer to your second question first. We don't have any major order book exposure to Israel per se. In fact, almost negligible. As far as exposure to Saudi is concerned of the international order book, almost 84% is coming from Saudi.
Moderator: Thank you . The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : So I had two questions. The first question that I had was on getting a better sense of the improvement in working capital and the trajectory of mar gins. If you kind of take away the fact that domestic has not grown well then overseas have grown really well. If you just compare it to domestic or domestic, would the change in working capital be as stark as it is appearing? And whether we would the decl ine in margin will be less sharp than what it is?
P. Ramakrishnan: So Aditya, I did not understand your question on margins, but the way I will put my answer to response to working capital is that I did respond to a question that was earlier put across is the improvement in net working capital is not because of having collected customer advances.

Now -- for example, the two recent ultra mega orders that we have taken in order inflow in Q2, we do expect our advances to come in Q3. Obviously, it will only ad d a fillip to the net working capital. But the larger point I would like to emphasize here that L&T has shown an improvement in the NWC is primarily focused on a more larger focus on the Gross Working Capital. To that extent, if you see in the cash flow st atement, since the gross working capital has actually come down, but because of volume growth, the number is showing a little more additional as a cash outflow because of volume. But it also means that we have to ensure that there is no slippage on executi ons, all the creditors or vendor payments are actually happening at a higher level, okay? So I would like to, once again, to reiterate that it is not account of customer advances that is enabling us to show a lower working capital is largely due to the bet ter control and better connection visibility that we have been seeing over the last 1.5 years or two years where we have been able to bring down the overall capital intensity in the Projects and Manufacturing portfolio. Now having said this, of course, hydrocarbons, as a segment, has been getting a lot of orders from the overseas side, and typically, the working capital intensity for international jobs is more favorable than domestic jobs. So the extent of advances that we keep getting as we get more - and-more orders there will enable only the improvement to happen further from what it is today. I didn't get your question on margins.

Aditya Mongia : I would want to believe that because the overseas mix is increasing in revenues, that should be an ad ded overhang on margins -- as it is a support on working capital, it's probably an overhang on margins. And I was just trying to kind of understand that is what is leading to some what the Y-o-Y pressure on margins as well?

P. Ramakrishnan: No, no. I would like to emphasize here that just because a larger share of international orders, whether it is compressing margins, would be an appropriate conclusion. I would like to once again mention, and we did this at the start of this year itself that the first six months, the margin trajectory for the Projects and Manufacturing portfolio would be subdued . And we do exp

ect the improvement to happen because a large part of the projects that we secured in both Infrastructure and Hydrocarbons in the later part of '21, ' 22 and '23, will all get into margin recognition state in the later part of the financial year. But I wish to emphasize that the guidance that we have given a band of 8.6% to 9%, or 8.5% to 9% is primarily because what we expected some of the projects of t he newer projects to get into margin recognition threshold can have a slippage in terms of time lines. And hence, the guidance has been given to a band now. Let us see how Q3 shapes up. We will have a better visibility on how we will finally close the year . And next year, obviously, it's a little premature. It becomes very difficult for a Projects and M anufacturing company to give a guidance beyond 12 months. So we will see that basis how we complete Q3 and Q4 of the current year. But it could be a fallacy to assume that a large part of orders coming from international orders can have an adverse impact on the margin trajectory.

Aditya Mongia : Understood. The second question that I had, P.R. I'm not asking for the guidance, but given that a lot of tendering h as happened and you're getting a sense of pricing, is the path towards 10% EBITDA margin in core E&C becoming clearer or murkier ?

P. Ramakrishnan: So Aditya, I think I would stay to clear that we will restrict ourselves to the current year in terms of margin guidance and developments. But let me assure you that as we grow bigger, we are not

compromising on any sort of bidding mechanics to any way tal k about lower margins. I think the subdued margin trajectory in the Infrastructure segment for the last two years has largely been on account of the legacy jobs that were secured prior to COVID, and delays in execution, cost pressures are raising a lot of additio nal site hold on costs . And of course, the claims that we have been pursuing with our clients for these kind of costs that we have incurred is taking its own toll in terms of time lines of collection and -- settlement and collection. So -- but I wou ld like to reemphasize that we are focusing on bidding parameters. There has been no compromise as far as profitability is concerned. Of course, we take into account the sectoral competition , we factor that. But I think the largest piece, whereas we may ha ve optically come down on margins. but I think the Return on Capital Invested for the entire segment over the last 1.5 years has been actually shown an improvement.

Aditya Mongia : Understood, sir. Just a clarification over here. I think you made this remar k that labor and the shortage of labor is having no impact. And this is kind of in contrast to what we are hearing from

engineering companies, which are essentially saying that labor are going back to their home states because there's a lot of work. I unde rstand L&T can manage the situation a lot better, but still just kind of double checking. Is labor and the cost of labor , and availability or hold the labor becoming a problem in any state or is it something completely under control?
P. Ramakrishnan: So Ad itya, I will tell you that in the first six months, I cannot attribute that the lower progress in domestic jobs is because of labor shortages. It is not that way, okay? But going forward, yes, as we get larger and larger jobs, it is becoming difficult to g et the right skill set of labor, especially when you are talking of coastal roads, high -speed rail networks, underground metro, the type of labor that we need to secure will be challenging.
But given the fact that we work with a set of subcontractors wh o provide, and we are possibly one of the few companies that are able to demonstrate order inflows so that they are in turn given opportunities. Maybe our ability to accumulate or organize labor at a short -term notice is be

tter.
But having said this, it wou ld be inappropriate for me to say there is no labor shortage issue per se. There can be state -level temporary disruptions because of shortage of labor. But it's premature for me to comment that revenue shortfall because of capacity of labor at this junctur e may not be the right cost -- right answer.
Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Sorry again to deliver on the same point here. On the margin, you said that some of the newer jobs are likely to miss the margin recognition. But if the execution phase is strong, which is visible by revenues, why would that happen?
P. Ramakrishnan: So Puneet, let me tell you, just to -- since multiple questions coming on margins, see, we have a Rs 4.5 trillion order book, okay? Against that, I wish to tell you, almost 60% to 62% of this order book is yet to achieve the margin recognition threshold. So they have not cross those thresholds by which we can start recognizing margins, okay? Now this is at the overall Projects and Manufacturing level. But if I have to take it at the overall Infrastructure segment level, against the total order book that is of Infrastructure we have, almost 60% of that is yet to cross the

margin recognition. And in respect of Hydrocarbons, order book, almost 70% of that is yet to achieve margin designation. Now this gives us the comfort that what we are today, the drops that ar e getting closed or getting into completion, the focus is on all the jobs that where we have time lines to complete given the fact that these jobs got extended because of COVID. So the relative activity on the older jobs is far more than the newer jobs. And we believe that the pace of completion of the older jobs will get over by -- largely over by Q3 of the current year, and you should be seeing the newer jobs getting into a faster execution mode sometime from the next start of next calendar year.
Puneet G ulati: Understood. So what you're saying is basically the -- growth contribution is driven more by older jobs and newer jobs will probably start...
P. Ramakrishnan: Puneet, legacy jobs that are contributing to the growth. And this has been factored while w e gave the start of the year guidance that the first two quarters to three quarters could be a little subdued given the fact that the emphasis is to complete all the legacy jobs in priority to the newer jobs and yet without affecting the deadlines of the n ew jobs as well.
Puneet Gulati: Yes. But now you're giving a guidance to better than the initial year, but margins you are cutting still?
P. Ramakrishnan: We are only saying that given the fact that, as I mentioned in response to a same question last time, that some of the projects, the newer projects that were expected to cross the margin recognition threshold in Q3, depending on the budgeted estimated progress in the first half, that is getting postponed. And hence, we thought it would be appropriate for us to say that we can be looking at a margin band of 8.5% to 9% for the current year.
Puneet Gulati: Understood. And secondly, on the claims, where are the and how positive are you on getting those covid -related claims?
P. Ramakrishnan: The claims that have been launched with the customers for additional cost for claims towards price variation because of the higher commodity prices, all of this are across various segments, across various customers, be it central or state government. And when it comes to an extra claim, obviously the -- which is not necessarily within the terms of the contract like this COV ID-related cost it is taking its own time for it to be crystallized. And hence, while we have given the margin guidance for the current year, we have not factored any of these claims that will come. Hopefully, I think when th

ey come, that should see an imp rovement of margins in that particular quarter, maybe that will be a onetime. But as far as the margin trajectory is concerned, the legacy jobs

are peaking at the execution in the current year. The newer set of jobs will get into peak execution sometimes m aybe from Q4 of the current year.
Puneet Gulati: Understood. And just last time you said, even though margins are weak because working capital is good, the return on capital employed is still healthy. In the current orders that you're winning, are you fact oring in maybe lower margins because the working capital management is extremely good? Or are you still aiming for the same higher 10% kind of margin?

P. Ramakrishnan: So Puneet, working capital is a behavioral matter. It is independent of the margin side. So if don't -- let's not conclude that we may be bidding for higher margins and the cost of higher working capital intensity. We are, in a way, more disciplined enough as an organization to ensure that we progress on jobs in line with the payments that we collect.
Puneet Gulati: Okay.
P. Ramakrishnan: Margins and capital intensity run after the project is awarded, but while the time of bidding, margins are being considered as a way, taking into account the capacity that we have in that particular business and also the competitive intensity.
Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : Congratulations on great momentum in orders and execution. Sir, my first question is on the Saudi Arabia s trategy. L&T has been investing in the last couple of quarters in that region, either to increase the addressable market of what we do there, conventional Hydrocarbon or Infra and also to meet the local content requirements in the Kingdom. And it seems we are not going there as a one -off presenc e of taking a couple of orders.
It's going to be a permanent high exposure with a lot of local abilities for L&T. What is the framework that we are following in that region because the competition there is no more Indian, it's a global competition we have with half a dozen global giants. So can you just throw some light on some of the framework that we are following to manage the risk profile because the ultra-mega categories introduced maybe because of the region itself with the way the projects are coming.
P. Ramakrishnan: So Amit, ultr a-mega is not because of only the Saudi orders. We have been thinking about this for a long time. It's not only Middle East orders that is becoming the size, there has been some domestic orders also where the amount is almost close to Rs 15,000 crores. And it is important for L&T to start differentiating this. Coming as far as the overall L&T's approach to -- I won't use the word specific to Saudi. Yes, our exposure to Saudi is, as I said, 84% of our current international order b ook is from the Kingdom itse lf.
And the Kingdom is looking to -- and it is there in the public domain. There is a spend that is happening on the energy side, which is hydrocarbons, which is the both the expansion of offshore and onshore opportunities. Then we have new city developme nts, and new city development complete from nothing to everything, including energy transition projects and so on and so forth.
So this kingdom will continue to have a good set of opportunities for EPC contractors like us.
Till now, our experience with ou r customers, our ability to deliver projects on time has been good. And we think that this will continue, and we should be getting a good amount of orders from this part of Middle East. But I would also like to reemphasize that the prospects that we have f or hydrocarbons, I did articulate that everything is not Saudi itself. It is now going beyond Saudi into other domains or other countries like Qat

ar or UAE.

So we are -- as an organization, we are mindful of what we call a separate organization to be created to pursue the opportunities there, be it a project management organization, our procurement organization and overall execution organization, the company is investing in talent and headcount in these geographies to cater to the improved or higher set of opportunities be it on hydrocarbons or renewables or water or core industries as well.
Amit Mahawar : And the second question is more slightly longer term, taking a three year, four year view , what kind of direction would you take for the core revenues fro m the convention EPC versus some relatively higher value -add revenue segments that we will eventually start building up across high-tech, or across energy transition segment?
So my pointed next two years , three years, the profile of business that is significantly better gross margin, will that move in the next two years to three years? And what can that be? Or we are

still too early in that game, sir?
P. Ramakrishnan: So Amit, when we articulated in May '22 about L&T's strategic vision for the next four years ending FY '26, a substantial part of a substantial part of that is getting into -- investing into talent that relates to bidding for or catering to energy transiti on projects, be it on green energy or be it on energy transition means it can be a combination of nuclear, hydel, green energy and so on. So we have factored all of those type of investments, including talent. Investment may not necessarily be monetary inv estments. It's also important to know that we need to have a higher focus of sector -specific talent to be part of the organization. So that is one.
Hopefully, as the EPC contracting business goes beyond normative construction opportunities to getting into larger, more boutique projects that requires a lot of engineering and technology adoption, hopefully, I think the margin trajectory should be in line with these kind of opportunities as well. And that also, in a way, has been articulated in our start plan in terms of how we are looking at improved profitability coming from a mix of these new type of projec ts that could have in the next two years to three years, Amit.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for tod ay. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments. Over to you, sir.
P. Ramakrishnan: So thank you. Thanks for everyone for attending this call. It was really a pleasure to interact with all of you. I hope all you r questions have been addressed. In case if you have any follow - up questions, please feel free to contact me or my colleague, Harish. We will now close the call. Thank you once more. Good luck and wishing you all the very best. Thank you.
Moderator: Thank you. On behalf of Larsen & Toubro limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

"Larsen & Toubro Limited 's Q3 FY'24 Earnings Conference
Call"

January 30, 2024

MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD, INVESTOR RELATIONS ,
LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Larsen & Toubro Limited Q3 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone.

Please note that this conference is being record ed.

I now hand the conference over to Mr. P. Ramakrishnan – Head Investor, Relations from Larsen & Toubro Limited. Thank you. Over to you, sir.

P. Ramakrishnan : Thank you, Darwin. Good evening, ladies and gentlemen. A very warm welcome to all of you into the Q3 FY'24 Earnings Call of Larsen & Toubro. The "Earnings Presentation " was uploaded on the Stock Exchange and in our website around 6:35 P.M. today evening.

As usual, instead of going through the e ntire presentation, I will walk you through the key highlights for the quarter in the next half an hour or so, post which we will take questions - answers.

Before I begin the overview, the usual disclaimer:

The Presentation which we have uploaded on the stock exchange and our website today, including the discussions that we will be having in this call contains or may contain certain forward -looking statements concerning our business prospects and profitability which are subject to several risks and uncert ainties and actual results could materially differ from those in such forward -looking statements.

In contrast to global trends, the Indian economy in Q3 FY'24 has continued to present a picture of resilience and momentum. The investment activity remains he althy on the back of continuing public CAPEX. Consumption spends have received some boost from the festival season in Q3, better capacity utilization in the manufacturing sector, strong real estate demand, healthy credit momentum, higher tax collections an d an acceptable level of inflation, all are aiding the growth prospects of the Indian economy.

The fundamentals of the Indian economy remain solid, with healthier Corporate and Bank Balance Sheets. Fiscal consolidation is on course with external balances remai ning manageable and Forex reserves providing cushion against any possible external shocks. These factors, combined with consumer and business optimism, create congenial conditions for the sustained growth of the Indian economy going forward as well.

Befor e I get into details of the financial performance parameters, I would like to share some important highlights for the quarter :

1. We are happy to report that our nine months order inflows at a group level for FY'24 at Rs.2.31 trillion has already crossed the last full year FY'23 levels largely on the back of large order wins in Infrastructure revolving around Renewable EPC and associated Utilities in the Middle East, urban mobility packages in India as well as Onshore and Offshore international wins in Hydroca rbon business .
2. Secondly, the India's longest sea bridge connecting the Indian city of Mumbai with the satellite city of Navi Mumbai and named as S hri Atal Bihari Vajpayee Trans Harbour Link or Atal Setu, was inaugurated on the 12th of January 2024. Our com pany was one of the major EPC contractors involved in this prestigious project.
3. On January 22nd, 2024, the hon'ble Prime Minister of India led the consecration ceremony of the Sri Ram Janma bhoom i Mandir in Ayodhya. We are pleased to inform you that this t emple is also being constructed by Larsen & Toubro.
4. Our Hydrocarbon business has performed exceptionally well during the year. The nine months order inflow for this business at Rs.582 billion is a record high. Consequently, the order book for this business has expanded to Rs.1.07 tril

lion as on December '23.
5. Coming to the IT and Technology Services portfolio : The voluntary attrition in both our listed entities, LTIMindtree and LTTS has reduced both on a sequential and YoY basis.
6. Financ ial Services: Our Financial Services business has achieved the highest ever quarterly retail disbursements of Rs.149 billion and the retail portfolio today is at 91% of the overall book, which stands at Rs.818 billion.
7. Hyderabad Metro : Hyderabad Metro received financial support of Rs.150 crores from the government of Telangana during Q3. The cumulative amount received under this facility till December '23 stands at Rs.900 crores.

Some other important highlights during the quarter are :

• We manufacture d the first Electrolyzer of 1 MW in the Hazira factory on December 13th, 2023.
• On the Green Energy side, L &T Electrolys ers Limited has emerged as a successful bidder with an allotted capacity of 63 MW under the tranche -I of the PLI scheme for electroly ser manufacturing, launched by the Ministry of New and Renewable Energy.
• The Data Center at Panvel, a pilot project by L &T, has gone live with the capacity of 1.4 MW in the Mumbai region. Furthermore, there is an upcoming data center closer to commi ssioning of almost 12 MW in Chennai, expected to be completed in Q4 FY'24.
• As mentioned in our previous conversations, L &T plans to have an aggregate capacity of around 60 MW in the Data Center domain over the next couple of years.
• Finally, we incorporated a wholly -owned subsidiary, L&T Semiconductor Technologies Limited on November 29, 2023. Over time, this company will be engaged in the business of fabless semiconductor chip design and product ownership.

I will now cover the various financial performance parameters for Q3 FY'24:

This quarter was a quarter of robust performance across the various financial parameters. Our group Order Inflows, Revenues and Recurring PAT is up by 25 %, 19% and 20% respectively over the corresponding quarter of the previous year.

Our NWC -to-revenue is at 16.6% in Q3 FY'24, registering a sequential improvement of 10 basis points and 240 basis points on a YoY basis.

Moving on to the Individual Performance Parameters :

• Our group order inflows for Q3 FY'24 at R s.760 billion registered a YoY growth of 25%.
• Within that, our Projects an d Manufacturing businesses secured order inflows of Rs.602 billion for Q3, growing by 32% over the corresponding period of the previous year. Our Q3 FY'24 order inflows in this Projects and Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon segments. During the current quarter, the share of international orders in the Projects and Manufacturing portfolio was at 67% vis-à-vis 12% in Q3 of last year.
• During the quarter, orders were received across various spectrum of businesses like

Offshore vertical of Hydrocarbon, Renewable EPC, Water, Utilities, Airports, Health and Residential spaces, Power Transmission as well as Ferrous Metals.
Moving on to the prospects pipeline :
• We have a total order prospect pipeline of Rs.6.27 trillion for the near term vis-à-vis Rs.4.87 trillion at the same time in the last year. This represents an increase of 29% on a YoY b asis. The increase is largely due to the sharp improvement in the Hydrocarbon prospect pipeline.
• I'll give you the broad breakup of the overall prospects pipeline of Rs.6.27 trillion, which is as follows : Infrastructure has a share of Rs.4.1 trillion , the same was Rs.3.88 trillion as of December '22.
• Hydrocarbon was Rs. 1.7 trillion as at December '23 vis-à-vis Rs.0.61 trill ion as of December '22.
• Power business has order prospects of Rs.0.3 trillion as of December '23, as against Rs.0.20 trillion last year.
• Heavy Engineering , Defense in aggregate has order prospects of Rs.0.16 trillion, which is

almost at the same level that we witnessed as of December '22.
Moving on to Order Book:
• Our order book is at R s.4.7 trillion as on December '23, which is up by 22% when compared to December '22.

• As our Projects and Manufacturing business is largely India -centric , 61% of our order book is domestic and 39% international. Of the international order book of Rs.1.84 trillion, around 92% is from Midd le East and 2% from Africa , the remaining 6% constitute from various countries, including Southeast Asia.
• It is evident that the GCC Capex in both Infra and Hydrocarbon is on an upswing largely led by the Saudi Vision 2030.
• The breakdown of the domestic or der book of Rs.2.86 trillion, which I said is 61% of the overall order book, is as follows : Central government 12% , state government 31% , PSU or state -owned enterprises 35% and Private sector 22%. Approximately around 18% of our total order book of Rs.4.7 trillion is funded by bilateral and multilateral funding agencies. Again, 92% of the total order book is coming from Infrastructure and Energy. You may refer to the presentation slides for further details.
• During the quarter ended December '23, Q 3 FY'24, we have deleted orders of close to Rs.27 billion from the order book . As on December '23, our slow moving orders is well less than 1% of the total order book.
Coming to revenues :
• Our group revenues for Q3 FY'24 at Rs.551 billion registered a YoY growth of 19%. International revenues constituted 44% of the revenues during the quarter.
• The strong execution in the Projects and Manufacturing portfolio, drove the overall group revenues, for the quarter. In the Projects and Manufacturing business portfolio, our r evenues for Q3 FY'24 were at Rs.393 billion registering a YoY growth of 26%.
• Moving on to EBITDA, our group level EBITDA margin without other income for Q3, FY'24 is 10.4%, a drop of 50 basis points over Q3 of the previous year. This drop of 50 basis point s is mainly due to job mix, and cost pressures in the legacy EPC Projects and Manufacturing portfolio.
• The detailed breakup of the EBITDA margin business wise is also given in the annexures to the earnings presentation. You would have noticed that EBITDA m argin in the Projects and Manufacturing businesses for Q3 FY'24, is at 7.6% vis -a-vis 8.5% in Q3 FY'23. On a sequential basis, the EBITDA margin in the Projects and Manufacturing business for Q3 FY'24 improved by 20 basis points, up from 7.4% that we print ed for Q2 of the current financial year. I will cover the details a little later when I talk about the performance of each of the segments.
• Our recurring PAT for Q3 FY'24 at Rs.29 billion, is up 20% over Q3 of the last year. The robust PAT growth is reflec tive of the strong execution momentum and the lower tax expense.
The Group Performance:
P&L construct along with reasons for major variances under the respective function heads is provided in the earnings presentation.

Coming to Working Capital:

• Our NWC -to-sales ratio has improved from 19% in December 2022 to 16.6% in December 2023, an improvement of 240 basis points. The NWC -to-sales ratio was 16.7% in the previous quarter ended September 2023.

• Our group level collections excluding Financial Services for Q 3 FY'24 is Rs.494 billion vis -a-vis Rs.434 billion in Q3 FY'23 representing an increase of 14% on a YoY basis. The improvement in gross working capital, is on the back of improved customer collections and, which is also in a way manifest in the overall imp rovement in the NWC -to-sales ratio.

• Finally, trailing 12 -month ROE for Q3 FY '24 is 15.2% vis -a-vis 12.4% in Q3 FY'23, an improvement of 280 basis points. The improved profitability with every passing quarter along with the return of capital to shareholder s in the form of

first buyback
that we did in the month of September, is contributing to this improvement.

• As stated in the past, the focus of the group during this period, the strat plan period ending FY'26, will be on cash generation, divestments from no n-core assets, Capex and investments in existing and newer businesses, and finally , returning surplus cash to shareholders, at regular intervals in order to create value over a period of time.

Very briefly, I will now comment on the performance of each of the business segment s before we give our final comments on our outlook for the medium -term.

We will start with the Infrastructure segment :

• On order inflows, this segment secured orders of Rs.432 billion for Q3 FY'24 vis -a-vis Rs.325 billion in Q3 FY'23 representing a growth of 33% over the corresponding quarter of the previous year.

• During the current quarter, the orders were largely received in the renewable EPC, water , utilities, airports, hea lth, residential premises, power transmission as well as ferrous metals.

• Our order prospects pipeline in infra is around Rs.4.1 trillion vis -a-vis Rs.3.89 trillion during the same time last year, representing an increase of around 5%.

• The Infra prospects pipeline of Rs.4.1 trillion comprises of domestic prospects of Rs.3.22 trillion and international prospects of Rs.0.88 trillion.

The subsegment breakup of total order prospects in infra should be as follows:

o Transportation infra leads a t 28% and then we have Minerals and Metals at 17%, Buildings and Factories at 19%, Water at 16%, Power Transmission & Distribution at 4%, Heavy Civil Infra at 16%, I think that aggregates to 100.

o The order book of this segment is at Rs.3.18 trillion, as of D ecember '23. The book bill for infra is around three years.

o The Q3 revenues at Rs.278 billion registered a strong growth of 27% over the comparable quarter of the previous year, largely aided by the strong execution progress across multiple jobs and across all the subsegments.

o Our EBITDA margin in this segment for Q3 FY'24 is at 5.5% vis -a-vis 7% in the corresponding quarter of the previous year. The margin for the quarter is a function of job mix and the legacy jobs tapering off.

o The working capital intens ity has substantially improved during the same period, resulting in stable return ratios for this segment over a period of time.

Moving on to the next segment, which is Energy Projects, which comprises Hydrocarbon and Power :

• The receipt of mega order in th e Middle East enabled the boosting of Hydrocarbon order book, whereas Power business benefited from the receipt of FGD order. We have a strong order prospects pipeline of Rs.2.01 trillion, for this Energy segment , comprising Hydrocarbon prospects of Rs.1.7 trillion and Power prospects of Rs.0.3 trillion.

• The order book for this Energy segment is at Rs.1.13 trillion as of December '23, with Hydrocarbon order book at Rs.1.07 trillion and Power at Rs.54 billion.

• The Q3 FY'24 revenues at Rs.79 billion, registered a healthy growth of 24%, mainly driven by the pickup in the execution ramp -up of international projects of the Hydrocarbon business whereas lower revenues in the Power business is largely reflective of a depleting order book.

• The Energy segment margin in Q3 FY'24 is at 9.7% vis -a-vis 8.7% in Q3 FY'23. The Hydrocarbon margin in Q3 is in line with the previous year, whereas favorable customer claim enabled the improvement in EBITDA margin for Power.

We will now move on to the Hi -Tech Manufacturing segment that comprises Defense

Engineering and Heavy Engineering businesses :
• Receipt of multiple orders contributed to the order inflow in the Defense business, whereas we witnessed order deferrals in the Heavy Engineering segment during the quarter. Our order prospects pipeline for this segment is Rs.163 billion.
• The o

rder book for this segment is Rs.258 billion as of December '23.
• The strong execution momentum continues in Defense, whereas Heavy engineering revenue growth is impacted by a little subdued progress in nuclear jobs.
• The Defense margin is reflective of job mix, whereas customer claims enabled the Heavy Engineering margin movement.
• On this segment, I would like to repeat the Defense engineering business d oes not manufacture any explosives, nor ammunition of any kind, including cluster ammunitions, or anti -personnel landmines, or nuclear weapons, or components for any

of such ammunitions. The business also does not customize any delivery systems for such am munitions.
Moving on to the next segment , that is Information Technology and Technology Services, where we have the two listed entities LTIMindtree and LTTS :
• The revenues for this segment at Rs.112 billion in Q3 FY'24 registered a modest growth of 5% large ly in line with the subdued global macro conditions impacting IT spends. Despite ongoing macro concerns, the deal pipeline for this segment is healthy with good visibility across all offerings.
• Improved utilizations drive the margin improvement in LTIMindt ree, whereas LTTS margins are largely in line with that of the previous year.
• I would not like to take too much time on the segment, as both the companies in the segment are listed entities, and the detailed fact sheets are already available in the public domain.
We move on to L&T Finance Holdings, which is forming part of our Financial Services segment :
• Here again , L&T Finance Holdings is a listed subsidiary, and the detailed results are already available in the public domain. During the quarter, L&T Finance Holdings had a merger of L&T Finance Limited, L&T Infra Credit Limited and L&T Mutual Fund Trustee Limited with itself and that got concluded. This merger will lead i nto the creation of a simplified single lending entity and is expected to create internal synergy, superior governance and unlock new revenues for growth.
• The Q3 of the current year revolv ed largely around a strong retail disbursement, which was possibly the highest ever in a quarter, lower credit cost, better asset quality and a rundown of the wholesale book.
• The balance sheet is strong on the back of an adequate provision coverage ratio, and inbuilt macro prudential buffers are already there. Financial Services achieved 91% retailization of its loan book in December '23, well ahead of its Lakshya '26 targets. The retail book growth, asset quality and the return on assets are highly satisfactory.
• Finally, sufficient capital in the balance sheet is available to pursue growth in the medium term. In a way, the stage is set for this business to truly achieve Fintech at scale.
Moving on to the Concessions portfolio that, what we call as the Development Project segment :
• This segment includes the Power Development business comprising of Nabha Power and also has Hyderabad Metro.
• Once again, I would like to mention that the profit consolidation of L&T IDPL, which is the holding company for largely a road concessions portfolio, at a PAT level, has

been disc ontinued from Q4 of the last financial year post signing of definitive agreement for sale of our entire stake. The investment in the joint venture L&T IDPL therefore is classified as held -for-sale in the group balance sheet.
• The majority of revenues in the Development Project segment, is contributed by Nabha Power. In the case of Hyderabad Metro, the improved ridership enabled revenue growth, and Nabha revenue was helped by higher PLFs.
• I would like to give you some statistics on the Hyderaba d Metro operation :
o The average metro ridership has improved from 3.94 lakh passengers a day in

Q3
of the previous year to 4.44 lakh passengers per day in the Q3, of FY'24. Our average ridership in the previous quarter of the current year, was 4.62 lakh passengers a day higher compared to the current quarter, primarily due to the long holidays, or the vacation for Q3 and also, a free bus ride entitlement to females under the new Mahalakshmi Scheme of the state government from December '23 onwards.
o The higher segment margin in Q3 FY'24 is primarily due to improved metro ridership and consolidation of Nabha profits.
o The Metro at a PAT level consolidated a loss of Rs.2.54 bil lion in Q3 FY '24 vis - a-vis a loss of Rs.3.32 billion in Q3 of the previous financial year. For the nine months FY'24, we consolidated a loss of Rs.3.49 billion against a loss of Rs.9.86 billion in the nine months of the previous financial year.
Moving on to the last segment, which is Others :
• This segment comprises Realty business, Industrial Valves manufacturing, Construction Equipment, Mining Machinery, Rubber Processing Machinery and a residual part of our Smart World and Communication business.
• The Q3 r evenue growth of 12% over the corresponding quarter of the previous year is mainly contributed by a higher percentage of handing over of residential flats in the Realty business.
• The margin improvement in the segment is once again primarily contributed by the Realty business.
Coming to the last part of my presentation, which is the outlook :
As I said earlier , the Indian economy is demonstrating resilience and is expected to grow by a healthy 7% in FY'24. The country's robust economic trajectory is supported by resilient growth in the public spends by government, improved demand conditions, robust balance sheets of banks and corporates, introduction of Production -Linked Incentives, and as well as high business confidence, which is also attracting investments from the private sector. On the flip side, we are yet to see a significant private sector participation around owning greenfield concessions in a major way. Also , with general elections around the corner expected to be scheduled anytime between April -May 2 024, it is quite possible that the public Capex could witness a temporary

slowdown. The global economy remains volatile with continuing military engagement in Europe and West Asia , that is disrupting supply chain and global trade movements. The U.S. econom y has been resilient so far, but the U.K. and European economies are weak and the concern around China still persists. Despite these concerns or developments, the good news for our project s business is that Middle East particularly Saudi Arabia, continues to pursue its investment plans across multiple sectors. In this backdrop, the company possesses the necessary capability and flexibility to continuously rebalance its approach and strategy to benefit from the dynamic business environment. The company is focused on tapping emerging opportunities both in India and overseas with driven by its proven competence in the domains of engineering, manufacturing, construction, project management and se rvices for the profitable execution of its large order book. As it has always been , company continues to remain committed to creating sustainable long -term returns for its shareholders.
I will now comment on our guidance for FY'24 before taking Q&A :
• On order inflows and revenue, we have performed exceptionally well both in terms of growth in order inflows and revenue in the nine -month period. In October, post the Q2 FY'24, earnings call, we had indicated that we would be outperforming on the order inflow guidance for FY'24 at the higher range of the band, which was 12% , and with respect to revenue, we also commented that, possibly , we will outperform 15% above, which is again the higher end of the band that we had given for revenue at the sta

rt of
the yea r. Basis the nine -month order inflows that we have seen, and the robust order prospects, we are now revising our order inflow guidance to 20% -plus for the full year , and for revenue, we believe that we should be looking to achieving growth in high teens. I t is difficult to pinpoint a specific range of growth possibility on order inflows, especially in a pre -election period amplified by continuing international geopolitical volatility. Therefore, we are constrained to give the order inflow guidance a little open - ended in terms of saying that we should be landing at 20% -plus order inflow for the full year FY'24. Since we are already sitting on a large order book, our execution should carry on at a healthy clip, provided we are able to keep the capital intensit y under check. Here again , as you all know , as a matter of discipline, we never in the past pursued faster execution and the cost of compromising the working capital situation. We are therefore reasonably sure of achieving revenue growth in high teens

for the full year FY'24.
• On margin, our progress on the nine -month margins in the Projects and the Manufacturing portfolio, has been along expected lines. A combination of low margin legacy jobs and newer jobs being in the ramp -up stage, has depressed margin i n the nine-month period. However, it does appear at this juncture that the multiple new jobs, which are in the ramp -up stage may not be able to cross the valuation threshold for recognizing margin by the end of FY'24, which means it would lead to some sort of a postponement of margin recognition of these jobs into next year. Therefore, we are fine-tuning our margin guidance in the Projects and Manufacturing portfolio from the

earlier 8.59% band to a band of anywhere between 8.25% to 8.5% for the full year. I would like to reiterate once again that the slip -up in margin, if any in this portfolio, is more than made up by volume growth and improved working capital intensity, resulting in superior return on investment by the end of the year.
• On working capital, since we have been able to preserve balance sheet gains in the nine months so far, we are revising the earlier guidance of a band of 16% to 18% in and around the same levels that we achieved for December '23, which was at 16.6%. One can expect, given the fact that Q4 is a busy quarter, and also various other international and domestic events lined up, we can expect that this 16.6% can go up by plus /minus 30 basis points on either side.

With that, I conclude, ladies and gentlemen for … I tried to give you an overall summary of our performance. We can get into Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : A clarification. Is the mega order announced today for renewables from Middle East, is part of the order inflow of the current quarter?

P. Ramakrishnan : Yes, please. We got the client consent a while ago, and that's how we had to disclose it. This has been factored in Q3.

Mohit Kumar : My first question is a large part of our order inflow has come from the Middle East, especially in the nine months, and I think Aramco would be a substantial part of our order book. We understand that today Aramco has decided t o cap the Capex for hydrocarbon given the directive from the government to maintain the production at 12 mbpd instead of 13 mbpd. Is it possible to give some color on the same and quantify any impact profit has on our current order book and order inflow prosp ects?

P. Ramakrishnan : So, as far as order book is concerned, whatever orders that we have secured from all the clients, I do not think there is any sort of a headwind in terms of the progress of those jobs, because these are all contracts that we have sec ured unde

r customer approved projects. So , going forward, there could be developments, but we will have to evaluate and see accordingly.

Mohit Kumar : My second question is, there is an inordinate delay in the conversion of domestic prospect to order inflow . Do you think this weakness in domestic order inflow conversion to sustain till election, do you expect this to improve post -election is the question?

P. Ramakrishnan : Mohit, actually when we started the year, when we gave a guidance of 10% to 12%, there are two factors into account. One was that, we also communicated that the second part of the financial year could witness a subdued domestic tendering and award activity, given the fact that the country will phase up for elections in early Calendar Year 20 24. Th is was already covered

and that was one of the reasons that we started off the year, with a 10% to 12% guidance . But, as things would have happened, I think in the last two to three quarters, we have been favorably supported by a good tendering awa rd momentum in so far as Middle East is concerned and more specific Saudi. And here again, it's a mix of orders, it is not necessary in Hydrocarbons, although Hydrocarbons has taken a larger pie , but it is equally important for us to say that the Middle Ea st orders constituted outside of Hydrocarbons also , some amounts of orders coming in from the Power Transmission and Solar.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : My first question is on the equity investment of Rs.27.7 billion in Hyderabad Metro that you have announced. Could you speak about the rationale and does this accelerate the process of getting a strategic investor onboard?

P. Ramakrishnan : So, Sumit, you are referring to the announcement that happened today?

Sumit Kishore : Yes.

P. Ramakrishnan : So, as you are aware, I think one of the most important challenges we have in the Hyderabad Metro given the fact that the company has a very high levera ge, so, what we have decided is that some part of the finance, we have to reduce the interest costs for the metro. So, whatever has been given in the form of additional cash support for the last two years, some part of that is getting converted into equity . It is not a cash infusion , it is just a conversion of the L&T cash support, which was given in the form of inter-corporate deposit, is getting converted into equity , so as to reduce the financial burden of the metro operations.
Sumit Kishore: So, there i s no fresh cash infusion, which is happening, right?
P. Ramakrishnan : No.
Sumit Kishore: And in terms of the timeline for getting a strategic investor into Hyderabad Metro, that remains unchanged, maybe the next couple of years is where you would be lookin g to?
P. Ramakrishnan : Yes. At this juncture, we are evaluating, but it is premature for us to comment on any transaction happening. So, we will keep the markets informed as and when we have any third -party investor taking up a stake.
Sumit Kishore : Also, in terms of the Capex allocation for the new growth areas, what is it that you are sort of building in for the next two, three years for data centers, electrolysers, semiconductors, and any other such areas?
P. Ramakrishnan : So, in terms of our commi tted investment to make up the electrolyser manufacturing factory, will be in the range of Rs.500 to Rs.600 crores . On Data Centers, I had indicated that the plan is

to ramp up to almost 60 MW capacity, which means in and around Rs.2,000 -odd crores. Today, our data center capitalization has been around Rs.645 crores. Another Rs.1,400 crores will get capitalized as we set up the additional data center units. As far as the third part , Semiconductor is concerned, the Board has approved an

initia l equity outlay of almost close to $100 million, which is around Rs.800-odd crores, for meeting the immediate requirements of setting up the business. That's the initial investment. So, as the business progresses, I think subsequent investments will be sub ject to revisiting how the strategy to get in the business will happen.
Sumit Kishore: $100 million will be within a year timeframe?
P. Ramakrishnan : No, it will be around possibly two years or so.
Sumit Kishore: Just finally on the core business -?
P. Ram akrishnan : Good, that you asked that question. In this case, we are also planning to look at some inorganic routes to ramp up talent , so it is quite possible that some part of that $100 million could go into backfill acquisitions also.
Sumit Kishore : Sorry, it could go into -?
P. Ramakrishnan : Some part of this $100 million equity will be used to acquire design companies as well.
Sumit Kishore : Just one brief clarification . In terms of the core margin guidance which has been diluted a bit, does the upt ick in ma rgins, in the subsequent quarters , so do the things fall in line in terms of the legacy projects getting completed maybe by Q4 end, the projects entering the margin recognition threshold, commodity prices have come off, so related margin improvement which should happen , so, all these things, do they come together in first half of FY'25, or is this going to get delayed further?
P. Ramakrishnan : Okay, Sumit, when we started the year, and we gave an initial guidance , we also had communicated clearly that the margin will be dependent on how fast we are closing out the legacy projects, and how fast we ramp up on the newer orders that we secure d in '22 -23, and possibly the later part of '21 -22. Unfortunately, whereas we are ahead in terms of completing at a faster pace the legacy projects , some of the newer orders that we expected to achieve the margin recognition threshold, in Q3 and Q4, that is Q3, the quarter that we just now went by and also Q4, that looks to be getting postponed into next year. And it is w itnessed in the way of the results also; 7.4%, 7.4% , Q1, Q2 margins, we have improved by 20 basis points. I guess you will see a sequential improvement in the margin trajectory of the P&M portfolio over the next four to five quarters. It would be very diff icult at this juncture to pinpoint that the structural improvement in margins, whether it will happen in first half or second half . I guess we may have to wait until May when we close the books for March '24 and have the budgeting exercise by then for the business would have got completed, to clearly tell you where exactly the improvement in margins will happen from which point of time.

Sumit Kishore : So, the expectation is , it gets better from here ?
P. Ramakrishnan : Yes.
Moderator: The next question is fro m the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: So, my first question is on the claims. So, we have been saying that we have been filing for claims post -Covid . So, if you can help us understand how much would have got settled or realized during this quarter?
P. Ramakrishnan : So, Parikshit, I think when we talked about , that in our margin guidance when we provided, we had excluded many large claims, because the y are at various levels of discussions with the customer . In a normal course of business, there are always when jobs get completed, no job is ever saying that you will not have a claim, or there will not be no extra claim by L&T on the customer or vice versa. So, those things are happening. At this junctu re, whatever major claims that we are pursuing, some of them have yet to come favorably for L&T .
Parikshit Kandpal : So, in nine-month of FY'24 , how much claims would have been recognized ?
P. Ramakrishnan : Of course, the aggregate leve

l will be in the range of maybe around you can say Rs. 200 crores to Rs.300 crores. But as I said, when I talked about the claims we have excluded, these are claims that are for specific projects whic h are large, and which is at various levels of discussion with the customers. We are not talking of the normal claims that happen on a normal project execution. So, there is nothing for me to draw your attention that how much of claims, which are unusually l arge has been factored in the nine -month results of the current year.
Parikshit Kandpal : So, my second question is, you just said that your legacy project execution is better than expected and your new projects are getting a little elongated to reach the m argin threshold . So, are there any challenges on the ground which you are facing that you have not been able to improve the execution there, though you have up ped your guidance to high teens now in revenue growth , but still are you struggling or facing cha llenges on ramp up of the new project wins?
P. Ramakrishnan: No, let me tell you that there are no specific challenges that I need to put it across as far as the execution of new projects are concerned. Typically, when a project is awarded, it usually goes through almost an average six months kind of engineering phase and then you have the procurement phase and at the same time, when the procurement starts, the site mobilization also happens. So, this is typically I would say that the new proj ect execution has been possibly what we thought the project execution crossing the margin recognition threshold in Q3 and Q4 is getting postponed to next year. So, it is not something an execution delay which will lead into a slippage of time. No, it is not that way . It is more to do with the ramp up and having estimated that we will get into a margin recognition threshold either in Q3 or Q4, that part has got postponed. Nothing otherwise substantial c hange.

Parikshit Kandpal: And just on the legacy order book . So when we talk about legacy order book, so that we have been talking to some quarters now . So, how do we quantify, how do we see that this legacy project will get executed, handed over, complet ed? So, what would be the duration of the legacy order book in terms of execution now and what will be the quantum of the legacy order book?
P. Ramakrishnan: So, let me put it the other way, I will respond it. 4.7 trillion order book that we have is large ly, today, a major part of that order book comprises of projects that we have secured in 21 -22 later part and 22 -23, including the current nine months also. So, we are, I can say, completing the legacy part of the order book, that orders that we secured prior to 2021 and maybe the first six months of 21 -22, given the fact that the average execution is across all these projects have been in and around that 24 to 28 month . So, I would say that in today's order book, what we have, the legacy part of the o rder book is quickly depleting and hopefully from next year onwards, you should be seeing an improved execution of the current orders.
Parikshit Kandpal: So, is it right to believe that by first quarter of FY 2025, the legacy projects will largely be done with, and we see a high share coming in from new or better margin projects in the mix?
P. Ramakrishnan: I will put it that way that the share of revenues for next year would be largely coming from the newer orders.
Parikshit Kandpal: And j ust the last question, if I may, on the real estate business, sir . So, if you can help us with some numbers there in terms of nine months, what would be the pre -sales from this business?
P. Ramakrishnan: In terms of nine months, the revenue of the realty business is 1,900 crores.
Parikshit Kandpal: What about the pre -sales number, total value of the sales done, sales

booking or sales?
P. Ramakrishnan: So, I will tell you that the order flow that L&T Real ty has had for the nine months is almost 2,100 crores and for the quarter , it was around 525 crores.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Inves tec. Please go ahead.
Aditya Bhartia : Sir, just wanted to understand once again , what is really happening on th e domestic order inflow side? Not only in this quarter but pretty much in the last three quarters , it has been quite weak while you have been kind of commenting that overall Capex numbers are looking good , which is what we are seeing otherwise as well. So, why is it that L&T is not winning orders?
P. Ramakrishnan: So, I don 't think there is anything specific to talking about the share of domestic orders and all ,

but let me give you some statistics, okay. So, Q3 of the current year, our core projec ts and manufacturing order inflows was around Rs 60,167 crore , okay, as against Q3 of the previous year which was almost Rs 46,000 crore . So, there has been an increase of 32%.

Now the only point as you rightly mentioned, the composition of those Rs 60,167 cror e of core order inflows, the domestic is around Rs 19,000 or Rs 20,000 so to say, and the balance 40,000 is coming from international. The same composition of domestic in the previous year of the order inflow of Rs 46,000 crores , the share of domestic was Rs 40,000 a nd balance 6,000 crores was international.

So, d efinitely, there has been a little, I would say, subdued domestic ordering . But as I responded to a previous question, when we gave the order inflow guidance at the start of the year of 10 to 12%, it was factored that the domestic order momentum could see a little amount of slippage because of the election year and all. So, whatever we have seen in the first six months, I think that has been more than our own estimates. But w hat has enabled us to demonstra te order inflow growth is, as I talked about, the resurgence of order inflows from the Middle East.

Aditya Bhartia : Sir, w hat you are trying to highlight is that overall economy level ordering itself would have been quite weak and it's not as if L&T has l ost some orders to competition or the smaller guys have become more active. Pretty much, economy level ordering itself would have come down.

P. Ramakrishnan: Let me put it the other way . For many of the orders where we have bid for larger orders, I think we have had a good conversion rate of when we have submitted it. There is nothing for us to point out at this juncture that we are losing out significant amount of domestic ordering opportunities to competition.

Aditya Bhartia : Same thing, if we look at t he revenues as well . On the domestic side, revenue growth has been roughly , I think, 6 odd percent at the core entity level . So, that also has been a bit muted. Anything that we should be reading over there?

P. Ramakrishnan: No, it is in line with our own internal estimates. For example, the total Projects and Manufacturing revenue for Q3 of the current year was almost Rs 39,000 crore , a 25% increase as compared to around Rs 31,000 crores of the Q3 of the previous yea r. The share of domestic was almost Rs 25,383 crores as a part of those Rs 39,305 crores . So, it constitutes a major portion, but the growth in domestic vis -a-vis the domestic portion of the previous quarter, the Q3 of the previous year has been a little subdued .

Aditya Bhartia : And l ast thing from my side, sir. There have been some media articles about some land monetization at Hyderabad Metro Project. If you could share some insights about what is happening on that front?

P. Ramakrishnan: So, this was already done in Q2. I think we have already done the, there was a part parcel real estate monetization

that we did in Hyderabad Metro in the previous quarter.

Aditya Bhartia : But sir, there was something about three malls being put in a REIT or something?

P. Ramakrishnan: Okay . So, I am talking about what we did in the previous quarter. What you are looking at in the media at this stage, I would say it could be speculative.

Moderator: Thank you. The next qu estion is from the line of Nitin Arora from A xis Mutual Fund. Please go ahead.

Nitin Arora: Hi, P .R. Thank you for taking my question. Sorry, I might be repeating the same question, but generally the backlog has grown very significantly. You are a Rs 4.7 tri llion backlog company now. I am not asking you a very quarter specific question when the margin will improve, or you know. G enerally, first on taking a new order intake, what is the thought process of the Group? Is it the backlog itself has become too huge and you might go slow next year? Obviously, there is an election year, so the order might become slow itself. But is there more appetite of taking this order? I am not trying to gauge on guidance for next year, but you are already growing a t 20%. So, on that 20%, do you like to grow still in double digit or rather a team wants to execute more and go slow and get back the profitability back? Just a little structural question here.

P. Ramakrishnan: So, Nitin, I will answer your last question. I think L&T's focus has been to ensure that whatever bids we submit, we have protected margins. Any sort of risks that are envisaged is getting factored while we are bidding for all these projects , number one.

Number two, in terms of whether we are goin g forward considering the fact that our order book should be even touching 5 lakh crores by Mar’24. Would we be changing our bidding mechanism? I don 't think it is right for us to say that way. The reason is that the entire Projects and Manufacturing business is dependent on various sectors, changing from a Transportation Infrastructure to Metro or a Heavy Civil infrastructure or Buildings and Factories. So, we have segments catering to virtually any sector where there is a project opportunity. So, it all depends for each of the businesses or sub -segments that we have in Infrastructure or in Hydrocarbon . Like in Hydrocarbon , we have an Offshore and Onshore vertical. Depending on the capacity what we have, we will be addressing opportunities, which means in some of the segments where we have not had a significant amount of order intake, we will use and possibly bid very competitively for order opportunities that come. And in some of the segmen ts where we have a healthy order backlog, I think we will have a situation where we will try to obviously start looking at larger and cherry -picking opportunities.

Nitin Arora: And you yourself said that a large amount of new orders will come in execution next year. But in terms of execution, do you see a challenge because generally first six months being an election year, labor shortages, everything gets real into issue when it comes to execution, or you have large amount of international backlog as well. So, execution would not be a challenge. How one should look the growth for L&T for next year, I mean, given few challenges on execution as well?

P. Ramakrishnan: So, Nitin, at this juncture, I can only comment on the fact that we have a robust order backlog as of December and expected to remain robust as of March '24 also. One thing is that the

domestic execution activity could be a little subdued in Q1 considering that it could be an elections quarter . Post that , there is a new government tha t will come in. So, Q1 could be subdued. At this juncture, it's very difficult to comment upon whether the Q2 execution there will become

completely normalized. I think it's not correct. But as you rightly mentioned, while we see some amount of uncertaint y given the fact that there is a general election in the country , I don't see any such risk emanating from the other alternate geography of jobs that we are doing in Middle East.

Moderator: Thank you. We have the next question from the line o f Renu Baid from IIFL Securities . Please go ahead.

Renu Baid: I have two questions . First, just broadly trying to understand on the margin side . Widely for the next four quarters, you did give an indicative , but broadly speaking, initially or earlier, you typically mentioned that once the backlog improves and legacy orders are done, probably in a few quarters, we should be inching towards a double -digit margin.

Given the fact that a fair share of recent this year in flows have come from intern ational Hydrocarbon, which typically tends to carry high single -digit margins, will that also have an implication on our targets to get back to double -digit margins in the next couple of years? Because execution of these projects will then ramp up in margi n recognition thresholds and that may impair the overall blended margins for the core P&M business for us.

P. Ramakrishnan: So, Renu, I can only comment on what we see in the near -term perspective because as you may be aware that many of the jobs are fixe d-price contracts . Hopefully if the contract gets executed on time, the margins that we bid and the margin that we reported could be substantially in the favorable side, higher. Okay. So, we anyway run that risk. But as we see it today, I think on a quarter -on-quarter basis, we should be looking at improvement in margins in the Projects and Manufacturing portfolio. Now in terms of getting into double -digit margin, I think it is a sort of a question of time. But I wish to reiter ate here that the jobs that we have secured in the recent past, which is forming a major part of the order backlog are all jobs where there has been no compromise o n our as bid margin with the clear focus on improving profitability and also at the same ti me ensuring that we have favorable payment terms. So, that actually has been the practice or the process that has been followed. Now how these jobs will shape up in terms of execution progress and completion is a question of time. On a near-term basis, I think we can comment to say that L&T will demonstrate a sequential improvement of margins over the next four or five quarters.

Renu Baid: Sure, but if we look over a medium -term perspective, so ultimately, let me put across my question in this format. Do you perceive the current change in the backlog which you have had in the current year ? Will that have an implication on your margin profiles over the medium term as these projects come to execution and also the revised Net Working Capital guidance , that also probably factors a sha re of improvement coming in from the favorable backlog and the advances that you have from these international markets and geographies?

P. Ramakrishnan: So, let me put it, I did mention in the answer that I gave you to your first question, that many of the recent jobs that we have secured are all fixed price contracts. It is up to us if we are able to manage the execution within the targeted timelines, the actual margins could be favorably more or could be more tha n the as bid margins. Now, obviously, it is premature for us to comment at this juncture , because the jobs that we have secured over the last four or five quarters are all getting into the startup phase. So, hopefully, I think, since we have factored all known risks while we have priced these orders, hopefully, I think, and since many of the international orders are strictly speaking not the kind of tendered orders that

we witness in India , so the embedded margins should be in our favor going forward. But it all depends on execution progress in line with the contractual commitments.

Renu Baid: And just a bookkeeping question on the order backlog exposure to Middle East today . Can you just highlight what is the total backlog exposure to Middle East and in specific to Saudi?

P. Ramakrishnan: So, the total order backlog that we have is 4.7 trillion . Okay. Out of that, the international order book is 1.84 trillion, out of 4.7 . 92% of that is from the Middle East. And 80% of th at 92% of Rs 1.84 trn is from Saudi.

Moderator: Thank you. The next question is from the line of Priyankar Biswas from BNP Paribas Exane . Please go ahead.

Priyankar Biswas : So, my first question is with regards to the Middle East. So, just a clarification question. So, it was reported in the media that L&T is well placed on a multi -billion Safaniya oil projects order. So, can you just answer if this is already included in this quarter, or this is something yet to be finalized? So, that's the first one.

P. Ramakrishnan: What is included in what ? In order prospects?

Priyankar Biswas : No, I mean, in the current quarter order inflows.

P. Ramakrishnan: No, without getting an order, how can I show it in order infl ow?

Priyankar Biswas : And furthermore, if you can just give me some certain data points like what would be the share of fixed price contracts today of the overall order book ? And also , I think it was also highlighted during last quarter probably that around 6 billion types were the solar EPC order book that is there. So, given that the solar module prices have fallen so much , shouldn't we be seeing some sort of a margin uptick in the very near term?

P. Ramakrishnan: So, two things as far as some of the solar orders that we had secured , when the module prices were very high , at that point of time, many of the orders had clear pass-through variations to the customer. So, which means favorable and adverse movement in the input prices on these orde rs is to the account of the customer. So, it is unlikely that favorable movements in solar modules will flow into margins. That's the first point.

And the second point, I am sorry, what was the other question, please?

Priyankar Biswas : The fixed price s hare of the order book.

P. Ramakrishnan: So, of the Rs 4.7 trn order book that we have, roughly around 42 to 43% of the order book is fixed price contracts now. So, this is evident because we have been always maintaining a one - third fixed price contract s and two-third contracts that have variables linked to indices and all . Because of some of the orders that we have been securing in the recent past, the share of fixed price contracts has actually gone up. So, you can take it around 42 to 43% of the o rder book is fixed price contracts.

Priyankar Biswas : So, just one more question that I have. So, since the related party debt that was there in Hyderabad Metro has now been converted to equity , so on a reported basis what is the savings in interest costs that we should see going forward? So, from a loss stabilization point of view I am trying to see it on that respect.

P. Ramakrishnan: See the total amount of debt conversion to equity has been in the range of 3 ,000 odd crores , okay . And if you take around 8% as the interest cost , the savings for the year will be 240 crores in the Metro books.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs . Please go ahead.

Pulkit Patni: Just one question , and a lot of people have asked you questions on Middle East exposure , but as a company , today , we have almost 40% order backlog exposed to international and while obviously you would have done all the risk assessment , but geopolitics is pr

etty uncertain right now. So, is there an upper threshold beyond which we would not increase our exposure to international or we are okay taking this number even to say 45 -50% if that is where the opportunity is ? Any thoughts on how we should look at our international exposure say over the next 24 months?

P. Ramakrishnan: So, Pulkit , I think in the next tw o- three quarters , the order prospects from India and Middle East would be equally significant , not necessarily in terms of value , but in terms of proportion , okay . And we are mindful of the fact that when we are working for projects outside India , we establish or we ensure that our relationship with the client , the financing for the project and the terms of

payment and all of the conditions are in line with our own risk framework proce ss.
Now given the fact that in the last one year there has been a spate of orders coming from Middle East, we are also ramping up of our resources organization out there. So, many of the senior people for very large projects have already relocated. So, we have now contract management teams actually stationed out locally . We are also improving the demography of the workforce out there to have people out, you know, who can understand the local nuances so that it will

enable us to sense if there are any implications or developments going forward and to take any sort of preemptive action.
So, a choice of the sector, which means that what is the sector relevant to that country, who is the sponsoring agency, who is the awarding customer, I think all of th ese things are playing a big role while we address the upcoming opportunities or the past opportunities and equally favorable set of opportunities that are emanating out from this part of the world. It is not only restricted to Saudi, but I would also say. I think we are looking at, and we have recently also, today itself, we announced a press release . This was a job in UAE. So, we also secured a large hydrocarbon project in the country of Qatar.
So, we look at the project sponsor, the customer, the proje ct, how important it is for the customer so that we are reasonably sure that it is appropriately funded, and we get our payments on time. It is all with the backdrop that we will do our project with execution in time as well, to which I responded that we h ave increased the scale of leadership for all the jobs in the Middle East itself.
Pulkit Patni: My second question and sort of connected to the first one is on our combination of margin and working capital. For the last nine odd months, we have been saying that while our margins are weak, working capital sort of takes care of it and as a result of it, our cash margins have been pretty similar to what we had originally thought.
Now, as you look at next year, as these international jobs come in, would that thought process continue that while our working capital will be low, even if our margins remain in the current range, we should be net net okay or are we saying that margins will also improve and working capital also because international will become a bigger part of execution can also get better from here?
P. Ramakrishnan: So, Pulkit, I did respond to, I think, Renu's question that many of the jobs that we have in the Middle East are fixed price contracts. I wish to reiterate that timely completion o f jobs is very essential. If you complete it on time, your margins will be definitely in line with the bid -out margins, which I explained that how we have been following the bidding process. We have not pursued volume on the sake of s acrificing profitability. But project execution, which is the part of our core EPC business, hopefully that happens on time . We could see an improvement of working capital or working capital in and around the same levels because 16 -17% i

s quite
favorable a s compared to 23 -24 that we were reporting three years back. So, even at the current working capital , an improvement in margins is definitely the objective and hopefully , it should happen.
Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong. Please go ahead.
Rahul Gajare: Now some of my questions have been answered with respect to Middle East and all. I want to stick to the margin part of the question. Given that we have a high exposure on Middle East, which are fixed price contracts, you have also indicated that a lot of margin booking will actually

slip into F Y '25. Now can you talk about what are the levers that you will have to see improvement in margin when you compared to the other players in the industry? D oes faster execution get you better margin? Is that something which happens, or your margins will be fixed irrespective of whether you do it in time or whether you do it faster?
P. Ramakrishnan: So, obviously, I will put it this way, Rahul. If you are abl e to do a timely execution, because when we bid for a project, obviously we factor buffers, contingencies and all, right, to take care of cost overruns and time overruns. Now if you are able to complete the project on time, then the buffers that are relate d to time overruns get released.
And similarly since it's a fixed price contract as part of the risk mitigation mechanism, we also follow that wherever possible at the time of bid submission itself, major crit ical parts of equipment that we need to procure, they are also usually hedged on a back -to-back with the identified vendor. So, timeliness of execution will ensure release of buffers on the time contingency part and any cost saving because of commodity pri ces easing off from what we had assumed will also enable us to improve, but it will work either way.
Rahul Gajare: The second question I want to understand is what is the capacity utilization of your BTG plants

right now? You know, given fairly high poten tial of new thermal plants in India, I'm wondering why L&T not going fast on the thermal power ordering? Especially, you know, I would think the margins in that particular order should be better than that that you would be getting in the international geog raphies. So, your comment on this entire power related business would be helpful.

P. Ramakrishnan: So, Rahul, I think over the last two to three years, the Power EPC business has been supported by award of FGD opportunities, which are the ones which we ar e executing currently. There has been certain, I would say, some amount of coal -based EPC awarding that is happening. But we are taking each bid in its independent way. And if the terms of that contract are favorable to what L&T thinks are terms which will enable us to improve or have better margins at the same point of time, having exposure to working capital, which is optimum. Until such a time happens, I think we will carefully evaluate all the bids that are coming up in the EPC side of the coal -based power plants in the country.

Although there is a revival, I think there has been awarding of almost 27 Gigawatts of awarding has happened or ex pected to happen or under execution. And I think there is a target to possibly take 80 Gigawatts by the end of 2030. So, some amounts of coal -based orderings are going to happen, but each of these opportunities will be addressed on a standalone basis in te rms of whether the terms are favorable to us from a contractor's perspective.

Rahul Gajare: And what is the utilization of the plant right now?

P. Ramakrishnan: Right at this juncture, I think it would be given the fact that the order book is depleting , so we are operating maybe around 30%, but some part of the facility will be also now get

ting converted
to making other equipments for other sectors.

Rahul Gajare: And typically, if to break even , what is the kind of utilization that you need for these pow er BT G plants?

P. Ramakrishnan: It will be around 50% or so.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kota k. Please go ahead.

Aditya Mongia: I had two questions from my side. The first question is related to assessi ng what is the share of your backlog that comes in from Saudi Aramco and if you could give some more color on today's development and how you feed through it from the perspective of incremental growth coming from the customer ?

P. Ramakrishnan: So, Aditya, I think it will not be appropriate for me to address a specific query with respect to any exposure on a specific customer. So, I just wanted to tell our exposure to Saudi Arabia is in the range of 1.34 trillion, which is the 80% of the 92% of our international order book, but I don't want to comment on specific customers. It will be inappropriate.

Secondly, while we have given o ur guidance for the full year on order inflows that we expect to cross 20% factors what is information that is available to us at today's point of time . So, I will put it that way.

Aditya Mongia: And the s econd question, P .R., was more generic on margins as in margins have been volatile in the past. I wanted to get a sense of what are the key learnings from the perspective of L&T and in that context, going higher on fixed price contracts as a share of backlog, is this something that is counterintuitive?

P. Ramakrishnan: So, let me put it like this , Aditya . I think it's not correct to say that margins have been volatile. I did mention about the fact is that we have had some amount of margin depression, especially in the infrastructure segment, given the fac t for a whole lot of reasons that I have explained in the previous calls also. But one thing it is important for us to equally say yes, it's a function of maybe competitive intensity while we bid for those projects backed up by Covid-led delays, then incre ase in the commodity costs for which we did not have a pass through. And some important claims that we were pursuing and it's not getting crystallized.

So, I don't think it would be right for us to say it has been volatile . Yes, it has been a little subd ued. But now that the legacy jobs have got completed, and we have a more or less recently refreshed order book from the orders that we have secured from latter part of 21 -22 and 22 -23, I reiterate once more that one could see a sequential improvement in ma rgins. When I say

sequential means, I am talking of Y-on-Y sequential . It's not like Q1 over Q4, but definitely an improvement in margins over the next six to seven quarters.

Aditya Mongia: Just a last question from my side, as in you already had an ROE of 15.4 at margins that are day -to-day and you said that double digit margins are a kind of a matter of time, as in those kinds of margins, the ROEs would be let's say north of 18, 19, 20%. In the kind of business that you

operate, is it something that can be sustained for a period of time?
P. Ramakrishnan: You are referring to margins or you are referring to capital intensity?
Aditya Mongia: What I am saying is that current margins, your ROE is about 15 odd percent is what you said in your opening remarks.
P. Ramakrishnan: Some part of the improvement in ROE will be attributed to an increase in margins. So, if today we are in a margin trajectory, say 8.5% and obviously a 1% improvement over a period of time will ensure ROE improvement almost of maybe 1%, 1.5% , but subject to the fact that we are able to keep the working capital in around the 18% level.
Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar:

I just have one question and apologies if it sounds repetitive . But it seems that in a post -COVID era, we have started taking note of risk of time delays which impact the cost vis-à-vis the inflationary impact on business. So, that is leading us to take a lot of contracts in the Middle East. As a lead contractor, a lot of new kind of contracts also vis-a-vis, you know, conventional thinking of share of Middle East versus share of India or lower margins in Middle East versus higher margins in India. Are we heading towards a directional strategy of choosing inflationary risk of executing large Middle East or Indian project vis -a-vis time delays , which has been more harmful to us in last one to two years? I just wanted to understand if the understanding is correct.
P. Ramakrishnan: So, let me tell you , Amit, I think both points are equally important. We cannot say we will have preference of one over the other. I think as an EPC contracting business, as possibly we are one of those very few EPC contracting organizations, where despite the ups and downs of the underlying investment spend for which we get the contract and despite taking a plethora of contracts across geography and across domains, I think we have been able to keep a hig her volatile margin sector to a more predictable margin sector .
That is primarily because of the mix of jobs, mix of geography, mix of clients, everything put together on top of it , our relentless focus on timely execution . I think that has only helped u s to ensure that we are able to at least bring some amount of stability in an otherwise volatile EPC contracting sector from a margin perspective. I think the one thing that we would like to acknowledge or recognize is that over the last three years, the re has been a relentless focus that while we grow the business in terms of size and scale, we also focus on the working capital intensity and that has in a way helped us and that is going right up to the business unit and the

project le vel that we do projects or we complete projects or we progress on projects only to the extent of money is coming on time and in case if customers are not in a position to make payments on time, such of these projects would see some amount of delays but wit h appropriate contractual commitment conditions , so that later on we don't have any adverse su rprise .
Amit Mahawar: Maybe I can conclude this statement saying, you know, bid margins to the realized margins , L&T had started becoming more focused on the real ized margins. Thank you, P.R., Second and a quick question is within the core business, how will the construct change with respect to the revenue composition vis -a-vis say historically we used to have EPC versus manufacturing business, which used to give u s a good blend of core profitability ? Three to five years from now, not today, do you think we are moving towards a band where the core margins will head north just beyond the core cyclical margins improving EPC to a much better margin with a blend of manu facturing high value add versus EPC margin and any mix of revenue you would want to give over five years ?
P. Ramakrishnan: Actually, this is a Q3 call , Amit , and you are asking me a strategic question, but I will attempt to answer that. I think it would be better that we cover that during a yearly start call. But yes, as I see it, I guess from a portfolio where we have projects manufacturing and services, today, structurally , services w ould be 25% of to p line and 75% top line coming from projects and manufacturing .
Within that, the Projects part takes a lion's share because the manufacturing comprises largely of Heavy Engineering and Defense, which are, of course, from an EBITDA perspective, more profi table. But I would like to reiterate that it's not correct to say that we will focus on Projects and Manufa

cturing as it has always been. I don't think there will be a change in strategy, so to say. The only thing is we will target as our order book grow s. I think we are becoming more and more competent to address large opportunities, which means where the competitive intensity will be more reasonable and hopefully better tendering terms, even for India projects , should enable us to inch up on the profitab ility scale without expanding the balance sheet.
Amit Mahawar: Can I sneak in one last one line question ? In the current order book , do you have any risk of cancellation of any large Middle Eastern contract at th is stage? That's it.
P. Ramakrishnan: No.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments . Over to you, sir.
P. Ramakrishnan: So, thanks everyone for attending this call. It was my pleasure to interact with all of you. Good luck and wishing you all the very best. Thank you.
Moderator: Thank you. On behalf of Larsen & Toubro Limited , that concludes this conference. Thank you all for joining us. You may now disconnect your lin es.

Call: May 2024

“Larsen & Toubro Limited Q4 FY24 Earnings Conference Call”

May 08 , 2024

MANAGEMENT : MR. R. SHANKAR RAMAN – PRES IDENT , WHOLE -TIME DIRECTOR & CHIEF FINANCIAL OFFICER , LARSEN & TOUBRO LIMITED
MR. P. RAMAKRISHNAN – HEAD, INVESTOR RELATIONS , LARSEN & TOUBRO LIMITED

Larsen & Toubro Limited
May 08, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Larsen & Toubro Limited Q4 FY'24 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now ha nd the c onference over to Mr. P . Rama krishnan, Head , Investor, Relations from Larsen & Toubro Limited. Thank you. And over to you, sir.

P. Ramakrishnan : Thank you, Rayo. Good evening , Ladies and Gentlemen. A very warm welcome to all of you into the Q4 FY'24 Earnin gs Call of Larsen & Toubro Limited.

We also have with us on the call today, Mr. R . Shankar Raman, Whole -time Director, President & Chief Financial Officer of the Company.

The “Earnings Presentation” was uploaded on the stock exchange and on our website at around 6:40 P .M. I hope you had a chance to have a quick look at the numbers.

As per practice, instead of going through the entire presentation, I will first walk you through the important milestones and achievements for the year, f ollowed by ou r progress in our Strategic Plan that ends in FY'26, a synopsis of our Financial Performance for the Q4 & FY'24, and finally, the Guidance for FY'25 in the next 30 -minutes or so , post which we will take the Q&A.

Before I begin the overview, the customary d isclaimer from our side : The Presentation which we have uploaded on the stock exchange and our website today, including the discussions we will have on the call, may contain certain forward -looking statements concerning L&T Group s, business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements. I would request you to go through the detailed disclaimer which is available in slide #2 of our earnings presentation that we have uploaded.

Despite the global headwinds, the Indian economy continues to present a picture of resilience and momentum. The investment activity remains healthy on the back of continuing Public Capex and a selective recovery in Private Capex . Urban consumption spends has remained strong, whereas rural consumption is showing signs of recovery. The buoy ancy reflected in the various high frequency economic indicators only reconfirms the country's growth momentum. The fundamentals of the Indian economy remain solid and with healthier corporate and bank bala nce sheets, fiscal consolidation o n course, external balances remaining eminently manageable and forex reserves providing cushion against external shocks. The near -term monitorable in India revolves around the election outcome as well as the onset and prog ress of the southwest monsoon and its consequent impact on agricultur e output for the year.

First, let me share a few important milestones and achievements for the year :

• We are happy to report for the first time ever our Group order inflows for the year ha s crossed Rs.3 trillion on the back of Capex tailwinds in the primary geographies that we operate for the Projects and Manufacturing portfolio that is India and GCC.

• Secondly, during the year, we completed some landmark and prestigious projects , like the India's longest sea bridge named the Atal Setu, connecting the city of Mumbai with its satellite city, Navi Mumbai , India's first Coastal R oad with an Underground Tunnel in the City of Mumbai , the Shri Ram Janma bhoomi Mandir in Ayodhya, Uttar Pradesh , the Ad i Shankara charya Statue, called the Statue of Oneness in Omkareshwar, Madhya Pradesh. India's first 3D Printed Office in Bangalore and finally, we are very pro

ud to
have played a critical role in India's Moon Mission , the Chandrayaan -3 Mission as well.

• Our Hydrocarbon business did exceptionally well and registered the highest ever order inflow during the year. The Defense Engineering business has now been renamed as L&T Precision Engineering & Systems w.e.f. 1 st Apri l 2024. This is in line with the vision to pursue opportunities in emerging deep technology sectors like precision manufacturing and electronic systems in defense, aerospace, and other industries. Further, during the year, the business also secured a major contract for supply of High-Power Radars to the Indian Air Force.

• Some important developments in the Green Energy Portfolio L&T are : Successful manufacture of our first Alkaline Electroly ser of 1 MW in our Hazira C ampus on December 13, 2023. L &T Electrolys ers Limited was also granted a maximum subsidy of Rs.444 crore s for 300 MW under the Tranche -I of the PL I Scheme for Electroly ser manufacturing , launched by the Ministry of New and Renewable Energy. Further, L&T Energy Green Tech Limited is also exploring options to acquire land in Gujarat and Odisha for manufacture of Green Hydrogen and its derivatives.

• During the year FY'23-24, L &T forayed into fabless semi-conductor chip design by incorporating a 100% subsidiary by the name of L&T Semiconductor Technologies Limited. This was done in November '23. This company will be primarily engaged in the business of fabless semi-conductor chip design and product ownership .

• On Data Centers, the pilot Panvel Data Center in Navi Mumbai region has gone live with t he capacity of 1.4 MW. Secondly, in Kanchipuram near Chennai, the data center project is being constructed in two phases of 12 MW and 18 MW. Going forward, the company remains committed to investing in setting up modern and state -of-the-art Data Centers in the Mumbai , Chennai an d Bangalore regions.

• In the Financial Services business, the merger between L&T Finance Holdings and its subsidiaries, L&T Finance Limited, L &T Infrastructure Credit Limited and L &T Mutual Fund Trustee was concluded during the year. This merger leads to th e creation

of a simplified lending entity and will create internal synergies , superior governance and unlock avenues for growth. Further , L&T Finance Holdings Limited has been renamed as L&T Finance Limited. As on March 31st, 2024, the financial services business has achieved 94% retai lization of its overall loan book.

• In Hyderabad Metro, the monetization of the Rai durg commercial property was concluded in Q2 of FY '24. The sale consideration of Rs.1,045 crore s and a gain of Rs.512 crore s has been booked dur ing the year. As on March 31st, 2024, the Metro has received cumulative financial support of 900 crore s from the Government of Telangana.

• The company on April 10, 2024, has concluded the sale of its 51% stake in L&T Infrastructure Development Projects Limi ted, L&T IDPL to an infrastructure fund managed by Edelweiss Alternative Asset Advisors Limited.

• In the realty development business, three new residential projects have been launched during the year , namely, the Avin ya Enclave in Chennai, the Gateway Sewri in Mumbai, and Island Co ve at Mahim.

• Finally, as all of you know, we successfully completed our first ever share buyback during the year.

Now , let me move on to our progress in the current strategic plan, which ends on FY'26:

As all of you know, the current start plan is a five -year road map for us commencing from the financial FY '22 and ending in FY'26. We have already completed three years in the current plan. For the benefit of all our stakeholders, we have added a slide on our strategic plan progress as part of the earnings presentation . You may kindly go through the same. Very briefly, the targets we had s

et for ourselves during this five -year period ending FY'26 were as follows :
• The Group order inflows of Rs.3.4 trillion in FY'26, a CAGR of 14% during the five -year period .
• A Group revenue target of Rs.2.7 trillion in FY'26, a CAGR of 15% during this period .
• A Group return on equity target of 18%.
Like I said, we have completed three years in this current strategic plan. During these three years, our Group order inflows and revenue have grown at a CAGR of 20% and 18% respectively , while our ROE is 15% as of March '24.
The key achievem ents during these three years can be summarized as follows :
• We have achieved ahead of estimated growth in our Projects and Manufacturing portfolio. Although our margin profile in this portfolio has been softer vis-à-vis our expectations the same has been more than compensated by the phenomenal improvement in working capital ratios thereby resulting in superior ROIC s.
• Secondly, the merger of LT I and Mindtree was satisfactory concluded during this period.

• Third, we have successfully fast tracked the retailization strategy in our Financial Services business. Like I said earlier, the retail lending is almost at 94% of the total book as on March 31st, 2024.
• Next, the investment of L&T IDPL and the Hydroelectri c assets has been satisfactor ily concluded. This is in line with our strategy to reduce our exposure to the concession's portfolio.
• Also , during this period, we incubated the Green Energy business , Data Centers, Digital Platforms like S u-Fin and EduTech and very recently announced our entry into semiconductor chip design.
• Finally, we also return cash to our shareholders by way of a share buyback in addition to a stepped -up dividend distribution.
We still have two years left in this current strategic plan. A midst the Capex tailwinds in India and GCC, we believe that we are on track to achieve our order inflow and revenue target by FY'26. The ROE improvement trajectory for the next two years will be a combination of multiple factors. Broadly speaking, a combin ation of improved profitability and asset turns , reduced losses in Hyderabad Metro and return of cash to shareholders after setting aside funds for existing and newer business, which is always a lever available with us to improve the return on equity.
Since we are on this topic of return ratios, I would request all of you to kindly go through the section on our journey of improvement in return ratios over the last five years. The same is covered as part of our earnings presentation. There are three slides i n the earning deck on return ratios. The first slide was the five-year journey of return ratios in the Projects and Manufacturing portfolio , the second slide was the journey of return ratios for various business parts rolling up to the Group level , and the third slide is on the improvement in the Gross and Net Working Capital ratios at a Group level . All these slides are self -explanatory. You ma y go through the same.
I will now cover the Various Financial Performance Parameters for Q4 FY'24:
• This quarter, Q4 FY'24, is a quarter of robust performance across the various financial parameters.
• Our Group revenues and Recurring PAT for Q4 FY'24 is up b y 15 % and 8% respectively, whereas order inflows have declined by 5% over the corresponding quarter of the previous year.
• Our NWC -to-revenue at 12% in Q4 FY'24 registers a sequential improvement of 46 0 basis points and 410 basis points on a YoY basis.
Movin g on to Individual Performance Parameters :
• Our Group order inflows for Q4 FY'24 at Rs.721 billion registered a YoY degrowth of 5%. Within that , our Projects and Manufacturing business portfolio secured order

inflows of Rs.560 billion for Q4 , declining by 8% over the corresponding period of the previous year. Our Q4

current year order inflows in the Projects and Manufacturing
portfolio are mainly from Infrastructure, Hydrocarbon and Defence or Precision Engineering. During the current quarter, our share of international orders in the Projects and Manufacturing portfolio is at 27% vis-à-vis 43% in Q4 of the previous year. Further, during the quarter , orders were received across various spectrum of businesses like the Electrification System Works for the Mumbai, Ahmedabad High Speed Rail Project in the Infrastructure segment , a major Onshore project in Middle East and a couple of large Onshore and Offshore packages in India as part of the Hydrocarbons business , a major contract for supply of High Power Radars for the Indian Air Force under Precision Engineering & Systems business , a bridge order in Assam, an international metro order in Indonesia and a hospital order in Oman, again in the Infrastructure segment.

Now, moving on to the Prospects Pipeline :

• As of March, '24, for FY'24-25, we have an aggregate prospect pipeline of Rs.12.1 trillion as compared to Rs.9.7 trillion at the same time last year. This represents an increase of 24% on a YoY basis. The increase is largely due to the improvement in the Infrastructure and Hydrocarbon prospects pipeline.

• The broad break up of this overall prospect pipeline of Rs.12.1 trillion is as follows :

o Infrastructure share is at Rs.7.25 trillion vis-à-vis Rs. 6.5 trillion last year .

o The share of Hydrocarbons in the current order prospects pipeline is at Rs.3.87 trillion vis-à-vis Rs. 2.44 trillion last year .

o Power is Rs. 0.5 trillion , almost unchanged like last year , Heavy Engineering and Precision Engineering & Systems is Rs. 0.35 trillion vis-à-vis Rs. 0.25 trillion last year.

o The Green Energy business , there is a total order prospects of Rs.0.10 trillion vis-à-vis Rs. 0.04 trillion l ast year.

Moving on to the Order Book :

• Our order book is at Rs.4.76 trillion as of March '24, up by 20% vis-à-vis M arch '23 last year. As the Projects and Manufacturing business is largely India -centric, 62% of this order book is domestic and the balance 38 % international. Out of the international order book of Rs.1.81 trillion, around 92% comes from the Middle East and 2% is from Africa , the remaining 6% is from various countries that includes Southeast Asia as well.

• As is evident, the GCC Capex for both Infra and Hydrocarbon is on an upswing , led by energy transition -related investments and incremental opportunities in the Hydrocarbon sector.

• The breakdown of the domestic order book of Rs.2.95 trillion, which I said 6 2% of the overall order book , the composition is as follows :

o Central Government 14% , State Government 28% , Public Sector Corporation or State-Owned Enterprises 36% and Private Sector 22%.

• Approximately around 19% of our total order book of Rs.4.76 trillion is funded by bilateral and multilateral funding institutions. Against this order book, 90% of this total order book comprises of Infrastructure and Energy. You can refer to the presentation slides for further details.

• During Q4 FY'24, we have deleted orde rs of Rs.2 billion from the order book. Further, for the year FY'24 as a total, the total orders that have got deleted for the full year is Rs.57 billion from the order book. As on March '24, our slow -moving orders is well below 1% of the total order book.

Now coming to Revenues :

• The Group revenues for Q4 FY'24 at Rs.671 billion registered a YoY growth of 15%. International revenues constituted 44% of revenues during the quarter. The strong execution momentum in Infrastructure, Precision Engineering & Systems and Realty within the Projects and Manufacturing portfolio drove the overall Group revenues for the quarter.

• The revenue for Projects and Manufacturing business for Q4 FY'24 is Rs.510 billion, up by 18% ove

r the corresponding quarter of the previous year.

Moving on to EBITDA Margin :

• Our Group level EBITDA margin without other income for Q4 FY'24 is 10.8%, a drop of 90 basis points over Q4 of the previous year. This drop of 90 bas is points is mainly due to higher SG &A costs . The higher SG &A expense in Q4 is reflective of linear expenses attributed to execution ramp up , higher credit costs in the Financial Services segment and a relatively lower FX gain. Further , the previous year had the benefit of consolidation of the full year profits of Nabha that we accrued in Q4.

• The detailed breakup of EBITDA margin business -wise, including other income is given in the an nexures to the earnings presentation. You would have noticed that the EBITDA margin in the projects and manufacturing business for Q4 FY'24 is at 9.6% vis-à-vis 9.2% in Q4 FY'23. I will cover the details a little later when I talk about the performance of each of the segment.

• Our Recurring PAT for Q4 FY'24 is at Rs.43 billion, up by 8% over Q4 of last year. This PAT growth is reflective of improved activity levels and lower tax expenses. Our Reported PAT for Q4 FY'2 4 at Rs.44 billion is up by 10% over the corresponding quarter of the previous year. The exceptional items that is net of tax for the quarter includes a gain on the divestment of stake in L&T Transportation Infrastructure Limited of Rs.0.61 billion , and a reversal of impairment of investment in L&T IDPL of Rs.0.33 billion.

• The Group perfor mance P &L construct, along with the reasons for major variances under the respective function heads is provided in the earnings presentation. You may kindly go through the same for further details.

Coming to Working Capital :

• Our NWC -to-sales ratio has improved from 16.1% in March '23 to 12% in March '24, an improvement of 410 basis points. For reference, our NWC -to-sales ratio was 16.6% in December '23.

• Our Group level collections, which excludes the Financial Services business for Q4 FY'24 is Rs.603 billion vis-à-vis Rs. 540 billion in Q4 FY'23 registering an increase of 12% on a YoY basis. The improvement in Gross Working Capital on the back of improved customer collections is actually flowing into the overall improvement in the NWC -to-sales ratio. I would request you to go through the cash flow statement as part of the annex ures to the earnings presentation.

• Our cash flow from operations for Q4 FY'24 at Rs.162.7 billion and for FY'24 full year at Rs.235.8 billion has registered an increa se of 64% and 27% respectively over the corresponding periods of the previous year.

• Finally, the trailing 12-month ROE for Q4 FY'24 is 14.9% vis-à-vis 12.2% in the Q4 of the previous year , that is an improvement of around 270 basis points. Improved profitability with every passing quarter along with return of capital to shareholders in the form of the first ever buyback is contributed to this increase or improvement.

Very briefly, I will now comment on the performance of each business segment before we give our final comments on our outlook for F Y'25:

First is the Infrastructure Segment:

• Coming to order inflows – This segment secured orders of Rs.313 billion for Q4 FY'24 vis-à-vis Rs. 412 billion in Q4 FY'23 representing a decline of 24% over the corresponding quarter of the previous year .

• During the current quarter, the orders were largely received in Transportation Infra, Buildings & Factories and the Power Transmission, Renewable and Distribution verticals.

• Our order prospects pipeline in infrastructure for FY'25 is around Rs.7.25 trillion vis-à-vis Rs. 6.51 trillion during the same time last year, representing an increase of 11%.

• This Infra prospects pipeline of Rs.7.25 trillion compris es of domestic prospects of Rs.5.39 trillion and international prospects of Rs.1.86 trillion. The sub -segmen

t

breakup of this prospects pipeline in infrastructure segment is as follows : Water constitutes 21% , Power Transmission, Renewables and Distribution comprise 21%, Transportation Infra 20% , Buildings and Factories 14% Heavy Civil Infra 17 % and finally Minerals and Metals at 7%.

• The order book of this segment is at Rs.3.12 trillion as of March '24. The book -bill for this segment is around three years.

• The Q4 revenues at Rs.380 billion registered a strong growth of 22% over the comparable quarter of the previous year , largely aided by strong execution progress across multiple jobs from the opening order book .

• Our EBITDA margin in this segment for Q4 FY'24 is at 7.9% vis-à-vis 7.5% in the corresponding quarter of the previous year. The margin improvement is primarily explained by targeted jobs crossing the revenue recognition threshold.

• On a full year basis, though, the margin drop of 80 basis points from 7% in FY'23 to 6.2% in FY'24 is largely attributed to time overruns arising out of delayed clearances

and logistical constraints in existing jobs , coupled with fast track completion of legacy jobs is more than getti ng compensated by the improved NWC ratio from 18.2% last year to 12.5% in the current year.
Moving on to the next segment , which is Energy Projects that comprises of Hydrocarbon and Power:
• Receipt of multiple domestic and a major international order during the quarter facilitate d the Hydrocarbon book . We have a strong order prospects pipeline of Rs.4.36 trillion for this segment for FY'25 comprising of Hydrocarbon prospects of Rs.3.86 trillion and Power prospects of Rs.0.5 trillion .
• The order book for this Energy segment is at Rs.1.18 trillion as on March '24, with the Hydrocarbon order book at Rs.1.13 trillion and Power at Rs.50 billion.
• The Q4 FY'24 revenues at Rs.82 billion register a growth of 4%, mainly driven by the execution pickup , ramp up in t he international projects of the Hydrocarbon business , the lower revenues in Power segments is reflective of a lower order book.
• The Energy segment margin in Q4 FY'24 is at 11.4% vis-à-vis 10.4% in Q4 FY'23. Hydrocarbon margin in Q4 is aided by job mix , coupled with a favorable claim settlement. The Power margins are largely in line with that of the previous year, although the previous year had the benefit of execution cost savings upon a particular closure of a job.
We will now move on to the third segment , which is the Hi-Tech Manufacturing Segment , which comprises of the Heavy Engineering business and the Precision Engineering & Systems business :
• The receipt of a major order during the quarter buoys the order book of the Precision Engineering & Systems, whereas Heavy Engineering business benefited from the receipt of a significant order from a key oil and gas customer in the Middle East.
• The order book of this segment is at Rs.320 billion as of March '24. The order prospects pipeline for this segment in FY'25 is around Rs.346 billion.

• The strong execution momentum drove revenues in the Precision Engineering & Systems business, whereas Heavy Engine ering revenue was impacted due to a lower opening order book consequent upon certain order d eferrals. The margins of this segment reflect the stages of execution of the various jobs.
• Since we are on this particular segment, I would once again reiterate tha t the Precision Engineering Systems business does not manufacture any explosives nor ammunition of any kind, including cluster ammunitions or anti -personal landmines or nuclear weapons or components for such amm unitions . The business also does not customiz e any delivery systems for such ammunitions.
Moving on to the next segment that is the IT and Technology Services , which comprises of two listed entities, LT I Mindtree and L &T Technol

ogy Services :
• The revenues for this segment at Rs.112 billion in Q4 FY'24 registers a modest growth of 3% attributed to the subdued global macro conditions that is impacting IT spend.
• Despite the ongoing macroeconomic concerns, the deal pipeline for this segment is healthy with a good visibility across the various sub -segments.
• The margin for this segment is largely in line with that of the previous year. I will not dwell too much on this, as both the companies in this segment are listed entities and the detailed fact sh eets are already available in the public domain .
We now move on to the Financial Services segment :
• Like I said, L&T Finance Holdings has been renamed as L&T Finance Limited. Here again, the detailed results are available in public domain. But to summarize, Q4 of the current year for L &T Finance revolves around strong retail disbursements, which were the highest ever in a quarter, improved profitability, and better asset quality.
• The balance sheet is strong on the back of adequate Provision Coverage Ratios and inbuilt macro prudential buffers. Financial Services has achieved 94% of its retailization of its loan book, well ahead of its Lakshya '26 Targets.
• The retail book growth, asset quality and the return on assets are all highly satisfactory.
• The business is building itself on the five pillars of growth , that is :
o Enhancing customer acquisition .
o Sharpening credit underwriting .
o Implementing futuristic digital architecture .
o Heightened brand visibility
o And finally capability building .
I would like to conclude that there is sufficient capital in the balance sheet to pursue growth in the near and medium term.

Moving on to the Concessions of the Development Projects S egment , this segment includes the power development business comprising of Nabha Power and Hyderabad Metro :

• The company on April 10th, 2024, concluded the sale of its stake in L&T IDPL . Therefore, as on March 31st , 2024 , the investment in L&T IDPL is classified as held -for-sale.
• The majority of revenues in the Development Project s segment are contributed by Nabha Power. The improved ridership facilitated to the revenue growth and margin improvement in Hyderabad Metro.

Some statistics on the Ridership for Hyderabad Metro :

• The average metro ridership improved from 4.08 lakh passengers a day in Q4 FY'23 to 4.41 lakh passengers per day in Q4 FY'24. Our average ridership in Q3 FY'24 was 4.44 lakh passengers a day, that is slightly lower when it is compared to the current quarter, mainly due to the free bus entitlement to ladies under the new Mahalakshmi Scheme of the state government from December '23 onwards.
• The Nabha margin in Q4 was largely in line. However, please note the previous Q4 of FY'23 include the consolidation of the full year FY '23 profits of Nabha Power .
• The Metro at a PAT level, we consolidated loss of Rs.2.11 billion in Q4 FY'24 vis-à-vis a loss of Rs.3.35 billion in Q4 FY'23. For FY'24 in Metro , we have consolidated loss of Rs.5.6 billion primarily due to the gains on the commercial property monetization as compared to overall loss of Rs.13.21 billion in FY'23.

Moving on to Other Segment , this segment comprises Realty, Industrial Valves , Construction Equipment and Mining Machinery that includes Rubber Processing Machinery and some residual port of the Smart World and Communication business :

• The Q4 revenue growth of 27% over the corresponding quarter of the previous year is mainly contributed by the higher handover of residential f lats in the Realty business.
• The margin improvement in this segment again is primarily contributed by the Realty business.

Coming to the last part of my presentation, which is the outlook :

• India's economic growth continues to display resilienc e despite the global geopolitical turbulence, domestic a

ctivity has exhibited strong performance on the back of robust domestic demand, better capacity utilization in the manufacturing sector , buoyancy in the auto and real estate , healthier corporate balan ce sheets, a strong credit momentum, high tax collections and acceptable levels of inflation are leading the growth prospects of the Indian economy. The country's growth momentum is likely to continue in the medium term, backed by the sustained strength in domestic demand, easing on inflationary process , focused fiscal spending by the government , and a strong manufacturing revival through new age greenfield investments and brownfield expansion across sectors. A combination of Public and Private Capex spendi ng is expected to propel the country's growth in the years to come.

• On the global front, the US economy has shown persistence so far, but the inflation levels have led to the postponement of the rate cut decision by the Federal Reserve. Further, the US pre sidential elections in November is expected to contribute to the economic volatility . Elsewhere , the UK and Europe economies are still fragile and concerns around growth in China could further dampen the economic revitalization. The Middle East region is a lso feeling the impact of conflict in West Asia and escalation or spread of the conflict and disruptions in the Red Sea could have an adverse economic impact in the region. Besides, continued investments in oil and gas, structural reforms in these countrie s remain critical to boosting growth in the medium term by way of diversification into clean energy and other industrial sectors such as mineral process ing. The headwinds from geopolitical tension, volatility in international financial markets, geoeconomic fragmentation, continuing sea route, trade disruption and extreme weather events pose risk to the outlo ok. Nevertheless, India, due to its structural reforms, strengthening physical and digital infrastructure as well as upbeat business and consumer confid ence, is in a relatively superior position to withstand these multiple challenges.
• In this backdrop, the company , L&T will continue to focus on profitable execution of its record high order book as well as position itself for tapping into emerging opportun ities, a high order book, relatively strong balance sheet, well -diversified business portfolio and proven execution capabilities enables the company to steer

through the current volatile business environment. The company, as always, remains committed to maximizing sustainable value to all its stakeholders.

• Finally, I would like to comment on our Guidance for FY '25 before we take Q&A . On order inflows , our guidance is around 10% growth in FY'25 over FY'24. This factors in domestic softness in tendering and awarding in H1 F Y'25 due to the ongoing elections in India and the formation of a new government . We also recognize that we have a large base to build our growth plans on. Having said that, the order prospects of Rs.12 trillion for FY'25 give s us confidence to pursue the order inflow guidance for this year FY'25. On revenues, our guidance is 15% growth over F Y'24. Given the large order book , at this juncture, we believe our execution should carry on at a healthy clip without diluting our capit al usage efficiency. A combination of a large order book and a normal payment environment in India and GCC gives us confidence around the revenue guidance of 15% growth. On the margins for the Projects & Manufacturing portfolio, the guidance for FY'25 is largely in and around the number that we posted or reported for FY'24, which is around 8.25%.

• Here , I would like to give a little more explanation for this margin guidance which is a combination of the following factors :

o The first one being the portfolio mix . The domestic vis-à-vis international jobs in the order book, which is the

international order book, currently has a share of 38% of the total order book. As you may be aware, international projects have significantly better working capital t erms , while the margin profile tends to be a little lower when compared to domestic orders. Further ,

in the infrastructure segment over the last couple of years, we have received multiple large renewable project orders. These renewable project orders gives us a good revenue boost, come with superior working capital terms , but the flip side being that these jobs have lower embedded margins.

o The second point is on the EPC Business Risk . As you are aware, most domestic jobs are bid on competitive basis and the lowest bidder is awarded the contract. The quality and cost -based selection criteria or the Q CBS is yet to evolve in India . In such a bidding environment there is always a likelihood of the cost of execution exceeding estimates, although partially reimbursable by clients at a later date. Additionally , in infrastructure projects , time delays are inev itable given the large number of clearances that are involved.

o The third point is on client claims . Whereas the payments from clients have improved overtime, claim acceptance and settlements from the clients are witnessing delays. This impacts the margin.

o Last, the EPC business is cyclic in nature. It does appear that we are in the middle of an upcycle where the growth has preceded our own plans . In order to improve our preparedness to deliver investments and resources and capability building are required, which could impact margin in the near term, but followed by benefits in the medium term.

Having explained the margin profile, let me also reiterate once again that the modest margins in this portfolio will be made up through volume growth and improved work ing capital intensity, thereby resulting in higher return on invested capital.

Our guidance on working capital : We did quite well in FY'24, a combination of improving revenues, higher customer collections and customer advances led to this improvement. For FY'25, we are guiding the NWC -to-revenue at 15%.

Before I conclude, I just want to give you an update that has been recently filed in the stock exchange, maybe an hour back. I would like to confirm to you that L&T , Larsen & Toubro Limited has been given by S &P Global Ratings by its letter dated today, it has assigned BBB-Plus Term Issuer Credit Rating , which is two notches above the sovereign credit rating . The detailed filing is there in the stock exchange.

Thank you, ladies, and gentlemen, for this patient hearing. We will now begin the Q&A . We have covered in the last almost 45 minutes a lot of ground on the performance for the year and the guidance as w ell for FY '25.

In order to make best use of the available time, I would request you to restrict your questions on strategy and outlook. This will be answered by Mr. Shankar Raman. Any further bookkeeping related queries can be addressed by the IR team , that's myself and Harish later on. Thank you.

Moderator : We will now begin the question -and-answer session. First question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar : So, my first question is on the GCC tenders. I think last year Middle East surprised us. How do you think about the Middle East opportunity in FY '25 compared to FY'24? And do you think there is a more headwind compared to the last year?

R. Shankar Raman: Difficult to predict today very clear ly as to where the situation will be 12 -months forward. Our belief is that the investment in Middle East will continue. Unlike the previous years, the investment in Middle East is more broad -based. It's not only Hydrocarbon, it's also into Infrastructure b uilding and developing Middle East as a destination

for varied tourism, be it religious tourism, be it medical tourism, be it just entertainment and otherwise. So , between the infrastructure they need to build and the energy that they need to generate for the infrastructure and also the downstream investments that they do in petrochemical and related areas would see continued thrust. What could change, perhaps, is prioritization of investment. We need to see as to which are those which are fancy investments , which are those must have investments . And to that extent we have factored that into our guidance. On the back of a 30% growth in order inflow, we are guiding about 10% , not only because of the disruption that we are expecting in the domestic markets bec ause of elections and new government formation related issues, but also because of the fact that Western Asia is geopolitically very sensitive. We have US elections coming in. We do not know how the relationship between US and Israel will form out, how the equation between Iran and the US will form out, and there are too many players in the act. So , considering all that, as compared to almost 1,80,000 crores of orders that we have booked in the current year for Middle East, we are looking at a reduced level of maybe 1,50,000 crores going forward from Middle East. The overall investment, I don't expect it to lose steam, but there could be prioritization.

Mohit Kumar: My second question is on the working capital for this particular fiscal year, there is a dr astic decline . Is it to do something to with job mix, i s it temporary and where do you see this number in medi um-term?

R. Shankar Raman: See, when it was sticky, around 24 %, 25%, 26%, we were worried because the margins that we were generating was not suffic ient to generate returns. We do believe that the working capital going forward has moved for good from those 24 %, 25%, 26%. Whether they would stay at 12% or move in a band of 12 % to 15% , we'll have to wait and watch, but my guess is that a lot of those legacy outstandings which we went after very aggressively and collected successfully has led to the decline in the working capital. I do not know whether you remember, but in 2007 , 2008, etc., we used to report working capital at 7 %. So, I think it's very, very dynamic in relation to the type of projects and the terms under which we sign those contracts. My belief is we should be able to work around 15% . If 12% is not sustainable, so be it. But I don't expect it to go in north of 20%. So , at the momen t, we would be quite okay, w e'll accept if we get about 15% working capital increase and that's the reason why we have even guided around 15% towards working capital in tensity . In terms of efficiency, I think it is well drilled down into the

organization t hat you have to spend out of cash that we collect. It's a transformation that we have achieved in the organization which has taken us about three, four years of effort to make the sides believe that they will have to collect to survive, and they just can't make phone calls to get cash from the headquarters . I think this cultural shift has happened and to my belief is that this will sustain going forward.

Moderator : The next question is from Renu B aid from I IFL Securities. Please go ahead.

Renu Baid : My firs t question is while in the margins you have broadly guided for flat margins in fiscal '25 for all the reasons of mix and backlog , etc., but does that also mean that now given hydrocarbon and Middle East has been over a third of the backlog, so not just '25, but from a medium term perspective, two to three years, our margins could be in the similar range sub -10% level versus the historical levels that we've enjoyed of 10 %-plus?

R. Shankar Raman: Renu, for a EPC business, 10% margin is outstanding according to me . You can look at all the global peers, they nowhere are near these levels.

So, I will any day happily take if the business is going to generate a 10% margin on a consistent level. The needle mov er has been the construction business that we have been operating . And in infrastructure business, unfortunately there are several levers that play which influences the margin. Our own belief is that we should be able to have a plan to improve the current margins of infrastructure business, which is about 6.2% to about 7% level . Whether it happens in one shot or whether it happens over two years in stages, we'll have to wait and watch , but we do think that the margin improvement would be largely driven by t he improvement that we see in construction business rather than in the hydrocarbon business.

Renu Baid : And the margin guidance excludes claims settlement for the large mega projects which we have been completing or commissioning in the recent times ?
R. Sh ankar Raman: We have realized the hard way, Renu, that it's difficult to predict the customer's response in terms of these claims settlement. They go through extensive discussions. It also has something to do with the budgets that they have had for getting the projects approved . So, the processes involved are unfortunately little time drawn . So, my guess is that as and when this happens, we could report some improvement in margins, but hard to predict a timeline. But at the moment the margin guidance exclud es anything which is of significantly deviant nature.
Renu Baid: Secondly , on the Hyderabad metro, while the ridership and overall performance has improved, where are we in terms of unlocking value in this asset and bringing private equity investor , do you think it could be on car ds in the next 12 to 18 months or could be beyond the current start plan?
R. Shankar Raman: As they say, we need to dress the bride up. We need to get the fundamentals a little better organized in Hyderabad Metro. I think the traffic is punching below its weight. The traffic has potential to go up to 5 .5 lakh crore, or 6 lakh crore or thereabouts in that range . So, to an extent,

about 100,000 people more than what currently are using metro should use . But we should also realize that this is something transformational from Hyderabad. Hyderabad never has had a metro. The only way people used to travel apart from their cars is autos or buses. And these modes of transport are often subject to some political maneuvers . The current go vernment has announced free passage to women travelers . So, that's taken about 40 ,000-odd people from our traffic from Hyderabad Metro. So, we need to wait and watch as to how these dynamics play out. But my sense is that Hyderabad Metro has potential for improved ridership. It obviously has pending work in terms of getting government grants completed in terms of the Rs 3,000 crores that they granted and we've just drawn about Rs 900 crores out of that , and the balance Rs 2,100 crores has to be drawn. And thirdly, I think the monetization has just started . As you might possibly know 18 .5 mn.sq.f t. is available as real estate . Not all of them is monetizable on day one, but in phases the monetization will happen . And the fact that the government has agreed to monetizat ion is borne out by the fact that during FY '24, we did monetize and report some gains out of that monetization. So, that effort has to continue. My own assessment is it will take a good one or two years for us to get the project into an attractive zone. Investor s will invest in this project if they see potential to earn about 12% on a consistent basis. We are , in my opinion , at least 18 to 24 months away from such an event.
Renu Baid: While the rest of the guidance on process has progressed well , is the divestment of the thermal project Nabha still on cards or given the outlook of thermal assets today, we may retain it slightly longer than initially planned

?
R. Shankar Raman: See, the good news is it's not hurting us holding. Of course, the return s will be better if the assets get unlocked. So , we don't want to throw the baby with the bathwater. We just want to make sure that the unlocking that we do, as and when we do , is done with appropriate valuation. So, we are waiting. My own belief is I think coal i s still relevant in the relevant scheme of things in India . I don't think we can do away with coal completely . So, there will be some consolidation of coal assets and Nabha will be an asset worth acquiring by such of those sponsors because it's a performin g plant , almost 85% PLF, 25 -years concession agreement , steady payment terms , the coal supply chain is well established now and the unit is generating Rs 4,000 crores of revenue and Rs 400 crores of profit on a year -to-year basis. So, according to me, anybody wh o has a coal portfolio will be better off having this asset. So, we will wait for the right bidder and choose as and when it happens. But at least it doesn't hurt us in terms of loss being generated on a year -to-year, etc., So, Nabha asset is available for monetization but at the right price.
Moderator : The next question is from Parikshit K andpal from HDFC Securities. Please go ahead.
Parikshit K andpal: So, my first question is on the Rs 1.8 trillion GCC orders which you highlighted earlier. So, are all thes e orders like financially closed, has the notice to proceed given , is there any slow -moving orders in this , if you can give some more color on this part of the order book ?
R. Shankar Raman: So, these orders are well and truly moving. I think none of those are subjected to uncertainties of the kind that you're alluding to. These are orders, just won. So, I think the progress of the

orders over the next 24 , 36 months will determine the final outcom e on these projects . And most of these are funded by the Saudi PIF which is as you know is pretty cash rich . And the solar projects that we do are financially closed, whatever that we are embarking on . We have close to 18 GW of solar orders in Middle East. No t all of that is part of Rs 1,80,000 crores that I speak about, but some of which has happened in the earlier year and some of which in the current year, most of them are financially closed . The proof of the pudding is that we have been able to collect our du es as and when we bill . So, I would like to believe that they are in good place.

Parikshit K andpal: Just a second question on the order inflow growth of 10%. So , if you can help us understand how are you looking for the growth in export orders and the dom estic orders, some color on that will help given we have such a strong inflow of Rs 1.6 trillion for FY'24?

R. Shankar Raman: We speak about prospect of about 12 lakh c rore in terms of orders and roughly ballpark I'm speaking , about Rs 7 lakh crore could be dome stic orders and about Rs 5 lakh crore could be international orders. Now our Rs 1,80,000 crores that we won in the current year out of the 3-lakh crore of orders could possibly be based on our current estimate around 1 .5 lakh crore. So , to some extent, if you just compare period -to-period, we have factored in some decline in the international orders, but that gets compensated for by the step -up in the domestic order s. We do believe that the economy has benefited by the investment f irst approach and the tax collections bear testimony to this policy of investment first. So, I guess post elections when the new government comes in , they would pursue with this policy. If this happens , the relative decline that we have presumed in our nex t year’s budget for order inflow could get compensated by the domestic orders , and consequently , we think that overall growth of 10% can be met.

Well, as things pan out , the ratios could change depending on the current deve

lopment because
this is as we c ould see today. Now, h ow things move out in terms of West Asia and how things move out in terms of India etc. , we will have to wait and watch. Big events are at play . U.S. election is a major event that will have an implication on the West Asian geopolitical developments, so is Indian elections. So, at the moment our best estimate would be that a 10% growth given that 3 -4 months will go away in the current year just by ge tting the government re-elected and repositioned . Followed by some monsoon months , we do think that the action would be in the second half of the year , and hence , the guidance is on a very large base of 3 lakh crore, a 10% increase. But my sense is that th ere would be a decline in international orders and could get compensated by domestic orders.

Parikshit Kandpal: Sir, j ust on the real estate piece, we are in a super cycle on real estate. So, v ery limited information shared by L&T. And t his has been a big value creator for a lot of companies in the listed space. So, just wanted to understand on Real Estate, if you can help us what was the pre -sales or the new sales booking for FY’24 and any plans, any sense directionally on FY’26, what potentially growth w e are looking at because this could be a big value driver for L&T ?

R. Shankar Raman: You are right . I think it is a good value driver and it is always good to have some cards up your sleeve , right, for overall value accretion. So, I do think that this is one of those. For FY’24, we

have booked fresh orders worth about Rs. 4,500 crores. Close to about 2,000 apartments we have been able to sell largely from residential even though we are also developing 15 million square feet of commercial area. Part of the commercial area is for our own expansion and use and part is for divestment and sale on development. You might have heard or read about the fact that we have tied up with CapitaLand for the commercial real estate which is meant for third party use. So, on construction completion and OC being received, these real estates would be monetized. The idea is to unlock the capital and recycle in the real estate business.

On residential, I think the demand has revived and the demand for high -end apartments have also revived very well. Today we find that in markets like Mumbai, Bangalore, maybe a bit in Chennai and a bit in Hyderabad, a bit in NCR region in Delhi as well as in Pune, these are markets where we are seeing a lot of traction for residential apartments . We have projects in Mumbai, Bangalore, Chennai and NCR, Delhi . We don't yet have in Pune. But we think that based on the nearly Rs 3,000 crores worth of revenues that we have earned in FY’24, we should be heading towards growth both in terms of fresh order booking as well as sales.

I must hasten to add that the sales in real estate business is on account of apartments handed over and not on the basis of work in progress in terms of construction progress. So, the apartments handing over has got a big issue to be resolved which is approvals by the local authorities and occupational certificate being given. It is a very bureaucratic area. So, we find it often a challenge to make sure that the pace of approvals are in sync with the pace in which we are able to complete the projects. But our guess is that we will be able to improve on our sales realization of Rs 3,000 crores for FY’24 in FY’25 and profits are actually consequential flow through. So, we do believe that both in terms of order inflow and in terms of sales and consequently in terms of cash flow and profits, real estate will do well. Whether we are ready to list these entities, we will have to wait and watch , because I think we are very conscious about our reputation. The minute we list, we have to make sure that it is a repeatable and sustainabl

e business model. We will have to wait
and watch as to how this progresses. But I do bel ieve this is a gem available to be unlocked in the portfolio.

Parikshit Kandpal: But new order bookings by FY’26, any sense how this 4 ,500 could move like in next 2 -3 years?

Can it touch a 10 ,000 number internally? I mean , any numbers you are targeting?
R. Shankar Raman: It is difficult to put a number of that magnitude because all this booking will have to come from projects that we are executing, right? And today , there are finite projects that we are executing.
The difficulty in projecting a order booking number is that we don't sell until we get the clearances. I think we are very conscious of the fact that we have a reputation to protect. So , unlike man y players in the real estate entity, we just don't book and then cancel later. So , my sense is it will all depend on the land parcel. It will depend on whether it is a slum rehabilitation project or a clean piece of land. It will also depend on the approva l processes that are involved.

So, my guess is that you can at the moment take it as a growth area, but whether it will reach Rs 10,000 crore by FY'26, hard to predict. We will not resist if it is going to get there, but we possibly might need luck to be there.
Parikshit Kandpal: So, it is the last question on this entire UMPP revival. So, any plans relook at undertaking Capex to cater to the upcoming bidding or the capacity addition?
R. Shankar Raman: Which is that revival?
Parikshit Kandpal: UMPPs. The power plants.
R. Shankar Raman: Ultra Mega Power Plants . Okay. See, at the moment, I think we have not retained our focus on coal-based power plants for a couple of reasons. One is obviously , we think oil and gas and the green energy has a better future. So, we are putting our bets there. And secondly, the terms under which these contracts are available for ultra mega are not necessarily very EPC friendly. If I take those orders for the sake of order booking, you will question me on my working capital efficienc y and margins arising there from. So, I need to balance the opportunities that are available in UMPP area and in the rest of the area.
My own belief is I think we are far away from taking coal away from the equation of energy generation. Coal will continue to exist. The choice is whether we would like to be there or we would like to be in some futuristic areas. We have chosen to be in fut uristic areas. So , to that extent, even if UMPP revives, I think we would not necessarily rush into that space. Once bitten, twice shy.
Moderator: Thank you very much. We take the next question from Aditya Bhartia from Inves tec. Please go ahead.
Aditya B hartia: So, just to kind of confirm, w hen you are speaking about power sector, it means that we are largely going to stay away from ordering and which kind of gets reflected in your prospect pipeline that you also spoke about being only around 0.5 trillion for the power sector . Is that understanding, correct?
R. Shankar Raman: You are right.
Aditya Bhartia: Sir, second question on our order in flow growth that has been built into for FY'25. We are expecting a decline in international orders, which means that despite elections which can potentially impact H1, we are building in almost , let's say, 13-14% kind of growth in the domestic business. Even in FY'24, we estimate that overall ordering in the economy is likely to have remained strong. It's possible that L&T lost out some large orders maybe because of competition. So, what are we really seeing as changing in FY'25?

R. Shankar Raman: See, I think we do believe that the system has realized that successful completion of a project is equally imp ortant as finding the right price for the project. We used to be very L1 based in our

approach for some of these projects. As the project scope enlarges, I think it is important that the quality -based cost selection process that the government has accepted should start playing out. Because today, whether a person is capable of delivering or not, he is free to bid for projects and upset the commercial considerations.
I think the government has also realized that it is paying a price by the delays that keep in. My own belief is that 25 -30% of the infrastructure cost that the country is incurring is on account of project delays by backing the wrong horse. If India is going to move towards Atmanirbhar , and if India is going to, let's say, take advantage of the US-China relationship, which means that there is an alternate source of manufacturing, apart from Taiwan, apart from Korea, etc., then India has everything going for it.
So, one of the prerequisites, I would believe, if the new government seriously look s at economic development of the country, would be to make manufacturing competitive. And if this has to happen, then it is important that the cost of infrastructure that we develop is competitive. Because if infrastructure cost is uncompetitive, then the rest of the things falls off. So, my belief is that the selection criteria will take into account the projects that we completed.
Now, largely, if you see in the last six months or so, many of the marquee projects that the country has launched involved L&T standing there and completing the project. So, m y own belief is that there could be some selection criteria that will come in play, which will help us get

a little more market share than what we had done in the past.
Secondly, we ourselves , because the bandwidth is getting stressed , L&T needs to make sure its resources are deployed for the right project and not get locked up in smaller projects. We will also get to be more selective and look at larger projects. When we look at l arger projects in terms of order inflow, the spike takes care of the percentage growth that we are speaking about.
It matters to me that I win lesser number of jobs, but each job being of a larger value as compared to the past, where we have to compete w ith every Tom, Dick, and Harry. So, in a way, we are trying to run ahead of competition and create a niche for ourselves in this entire area of construction and project development. The investments that we are doing, which is all seen in terms of some port ion of our margins getting sort of compromised in the current term, is also on account of creating this competency.
Let me give you an example. In the area of Water & Effluent Treatment, we have invested money in creating a completely global standard l ab by employing doctorates and PhDs who have worked on water technology for many years. Now, all of this is to ensure that the water project that we undertake has the benefit of their insights in terms of the quality of the water, the extent of corrosion , the type of pipes that we need to use, and the geography that it needs to take.

So, given all of this, unless I invest upfront in these technologies and labs, it would not be possible for me to be quoting appropriately whenever that order comes. A comp any which has none of these will land up quoting for it on a standard basis, and they will land up losing money for the government and for themselves in the long run.
So, my belief is that the lead that I might establish in the domestic infrastructure could happen because of the scope and scale of projects and the technology that we would bring to play.
Aditya Bhartia: Just one follow -up over here. So, L&T has always enjoyed this reputation of undertaking these complex projects and execut ing them well ahead of time and with great quality. So, nothing really changes over there. So, the main thing that w

e are speaking about changing is the selection criteria. And is there any particular vertical or segment wherein we are anticipating these c hanges from the government side?
R. Shankar Raman: Yeah, I think if you look at what the government is trying to promote, it is promoting in a very broad manner inclusivity, which means what? It wants to take projects and employment prospects to different corners of the country. Now, before it does that, it has to make sure that the people there have access to education, have access to basic sanitation, water, electricity, et cetera . And it also enables them to actually be engaged in the local industry.
So, my own sense is in sectors like roads, it may not make much difference , because you will have enough number of contractors available locally who can just get a road done. The government today, whether it is State or Central, doesn't seem to worry much about the quality being L&T quality , because I think they have yearly budgets to take care of maintenance, repairs, etc., etc. So, we are sort of really defocused from those normal roads and we are getting into little more sophisticated areas.
Now , if you see expressways that get developed, if you see the railroad that gets developed , be dedicated or high-speed rail, now these are areas which have huge economic significance to the country. So, my own sense is that selectivity will come where technol ogy is at play and not necessarily in areas like roads.
For example, if it comes to distribution of scarce resources, and let me again go back to water, I think today’s country is not necessarily comfortably placed in water, even in a normal way of speak ing. I think we are water stressed in many areas and much of this reason is also because of leakage, pilferage, etc. So, we need to have a distribution system which is foolproof, both in terms of quality of transmission of water as well as tracking the los s in transit. So, we are combining technology in terms of our own water detection, leakage technology as well as robust distribution system.
So, my sense is some of those which are funded by multinationals will be the first ones where quality -based selec tion will happen, followed by something that happens in the Central Government followed by Local / State Government. State Government will be the last to join

queue because they have constituencies to please . So, consequently , they can't be necessarily only quality driven . They also have to take care of their own considerations. So, multilaterally funded first, followed by central government programs, followed by state government programs is where this selectivity will happen.
Moderator: Thank you. The next question is from Amit Anwani from Prabhudas Lilladher . Please go ahead.
Amit Anwani: My question is with respect to the new initiatives which we talked about, we have done one electrolyzer, alkaline -based electrolyzer project in Hazira , and we jus t talked about the

semiconductor fab lab. Wanted to understand the investments required here for capacity creation , and any investment done so far, and when can these new initiatives including data center can contribute meaningfully to the revenues over the next 2 -3 years?

R. Shankar Raman: The current electrolyzer that we manufactured and sort of put out in December '23 is undergoing several tests for their functionality, because we need to make sure that we have a product which is global in standard. And this is the first time ever anybody in India has put a technology, I mean , electrolyzer based on alkaline technology . So, we are trying to do that. Now there is an alternate technology called PEM technology and we are also trying to explore PEM technology, as to how it work s. Because end of the day, hydrogen as a source of fuel will catch on only if it is competi

tive. So , we have to bring the cost of electrolyzer down so that we bring the cost of hydrogen down.

My own sense is that it will take a year more for us to crack this code and be able to indigenize sufficiently the components of electrolyzer. The electrolyzer initially that we have made has fair bit of imported component. Those need to be sourced indigenously, for which we wil l have to develop a supply chain. My assessment is that during 2024 -25, we will start manufacturing a few more electrolyzers. We already have an order on hand for an electrolyzer which is under work in progress. But we think that there will be many more to follow, provided we crack the cost competitiveness equation.

In so far as Data Center is concerned, I think we have launched the Panvel data center , which has about 280 racks. We are trying to find customers for those 2 MW pilot Data Center. You might have heard or spoken to us earlier. We are also in the process of building a 30 M egawatts Data Center in Kanchipuram in Tamil Nadu. And the i dea is that we should be able to get some customers including hyperscalers to use these data centers. Our plan does include another 40 MW between Bangalore and Mumbai of additional data centers. So , the plan is fairly large and the 32 M egawatts of data centers that we are at the moment working on is possibly about Rs 2,200 crores of outlay. The additional 40 megawatts that I spoke to you about will involve further outlay.

But the utilization of these data centers and the type of clients that we get will also drive the extent to which we feature the construction of the data center. The specifications are very user -

based, user -dependent. Hypers calers would require at a certain specificity and others would require at a certain other specificity.

We also are not looking at these as just co-location centers . We are looking to provide cloud services on top of this. So, the value add that we will g et is only when you have hyperscalers working and hyperscalers working out of our premises would mean that the features of the data center we construct appropriately meet the requirement.

So, the capital allocation will be well met by the cash flows that we have in the company. It is not expected to force us to borrow to meet these capital expenditures but would actually depend on the type of customers we sort of sign up with.

Electrolyzer, we want to increase the 1 MW to 4 MW capac ity because each electrolyzer is a bulky equipment and we are not able to visualize somebody who wants to put electrolyzers of 10 megawatts, 20 megawatts doing it in multiples of 1 megawatt unit. So, we are trying to do some nano versions of these with increased capacity. So , it is work in progress and the amount we might be required to invest would depend on how these initiatives span out. We have invested about Rs 25 odd crores for the current electr olyzer that we have put up. So , it is not very capital intensive, but it is not very efficient. So, we need to crack and improve on the efficiency and the sizing. Maybe a few months or a few quarters down the line we will be a little better placed to asses s the capital requirement of this.

Amit Anwani: So, my next question is on Hyderabad Metro. You did highlight that at least 40,000 ridership got impacted because of the free woman scheme. I think that now would not be there for at least next two to three years. So, is that going to delay our restructuring plan in Hyderabad Metro?

And second thing, wanted to understand the Rs 2,500-crore interest free loan , which we were supposed to get as a part of restructuring and refinancing , is that on track?

And third, what kind of monetization amount we are expecting in FY'25? This year I think it was about Rs 1,050. So , what could be the number next year we are expecting ?

R. Shank

ar Raman: More women on the buses we believe will get more me n on the train. It is a bit of a gender divide but can't be helped. Because I think the way I read it is the Telangana government is not increasing the bus fleet. It is the same old bus which is ferrying all of them. So , women crowding means no space for m en. So, men ha ve to go and find alternate space and I hope they find that in our metro. So , to that extent the 40,000 going away could mean 40,000 more men coming into trains. Time will tell.

Secondly , in terms of the balance , it is not Rs 2,500. We almost have to get 2 ,100 crores of money from the Government. You know , the government has changed. So , to that extent it does, and it is followed up immediately with the Union election.

So, at the moment , I think the entire machinery is on election mode . So, the environment is not conducive for us to sit down and talk commerce. So , we will wait for this election event to be over, and we will engage with the government. We are currently engaged with the bureaucracy , but you know in State Governments not hing happens without the political bosses getting aligned to the bureaucracy. So , I guess by August and September we will have a better color of when we want to realize. Our idea is to realize this as early as possible because when the government passed the order last year , they meant to disburse this in three installments of Rs 1,000 crores each. The first installment , they had done Rs 900 crore , stopped short. So , we have a hundred more crores to collect out of the first installment. The second year has commenced . So, another 1,000 crores is due. So, all going well , we should be able to get Rs 1,100 crores now and Rs 1,000 crores in the following year.

In so far as monetization is concerned , as I mentioned , 18.5 million square feet is available. Not all of th at is monetizable on day one. We have monetized up to about Rs 1,000 crores. We do think another Rs 1,000 crores is up for monetization. Again with the government playing supportive role , we should be able to get this Rs 1,000 crore into our monetization program during FY'25, and hopefully it will be done for similar profit as we had done in the earlier case.

Moderator: Thank you. Next question is from Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My question is in relation to your core margin performance clubbed over a period of nine quarters. So, we look at nine quarter period together . We see that L&T's ability to predict or guide on core margins is below historical track record. So, with the benefit of hindsight, how do you view, you know, what is it that you have not been able to foresee better while guiding over the last two years plus?

R. Shankar Raman: See, we could not predict COVID . We could not predict Russia -Ukraine war . We could not predict Israel -Hamas. We could not predict Iran -Israel . We are not able to predict whether Trump will win, or Biden will win . We are not even able to predict whether Modi will win or somebody else will win . There is so much uncertainty around our life.

Now I am not even talking about the commodity price, I do not know whether your research put out that the steel price will go up to Rs. 80,000 per metric ton . It moved up from Rs. 30,000 to Rs. 80,000 . Silver and copper and aluminum shot through t he roof.

So, with so much of uncertainty, unfortunately our business model is we sit today and look four years forward and say where the cost would be, where the revenue would be. And given that we deal with execution on the ground, which means that we h ave to mobilize resources, we have to get imports or local supplies done, the supply chain has to work to our plan , and the resource mobilization overall has to be in line . We should get the clearances in time . The land

, right of way, land acquisition to be done in time.

I think in hindsight, I really wonder how we got into this business with so much of uncertainty and I also wonder how we have been able to be so consistent in our delivery over time. You might possibly say that margin pred iction has moved up and down, but if you take our company's performance over the last 20 years, we run a portfolio of business which sort of self-compensates . Hardly has there been a cycle which is linear. We have had cycles of ups and downs, at least four economic cycles, very distinct. I am able to recall my 20 years here.

Given this, I do believe that we have reasonable expertise in trying to get the margins profile predicted out of the jobs that we have to execute going forward. There has always been a challenge of 100 basis points and as an analyst , I think every basis point counts for you. But my sense is so long as we are within the band of 1% up down, I think we have done a reasonable job given the uncertainties that feature our daily lives.

Sumit Kishore: Just to clarify one point you had made earlier regarding 80 basis point likely core margin improvement over next 2 to 3 years as you go from 6.2 % to 7%. Given that this is the largest segment, would you have a gauge that the extent of Projects an d Manufacturing margin improvement over the next 2 years should be of a similar magnitude?

R. Shankar Raman: See, t he improvement in Projects and Manufacturing would depend on the type of orders that we get. For example, if we are able to get large orders in the Precision Engineering & Systems area, typically these are very high entry barriers, high on technology, low on competition and margins would be pretty good. Now, if we are able to get some large orders that we have been targeting for the last few years , and for whatever reason government has not been able to make up its mind between public sector ordering and private sector ordering , if government really

wants to push Atmanirbhar and reduce dependence on imports for some of these Precision Engineering & S ystems orders, then we could see the improvement in margins in the manufacturing portfolio as well.
The improvement in margins in the Infrastructure segment, essentially the construction and project management , has to come not necessarily from client giving us better prices, but us doing the work in a more efficient way. We have to figure out a way to crash time overruns. We also have to figure out a way to make sure that the cost estimation is very realistic, and we have back -to-back arrangements with our supply chain. The productivity of workforce is the only uncertain element in this because every year, as you possibly might have heard earlier, almost 400,000 people, workers we employ, source from all over the country and there is at least three times this 400,000 churn. So, we need to operate on a pool of 10 to 12 lakh people to make sure that we are able to deliver our projects on time. Now, every person comes with this unique advantages, disadvantages, skill sets, etc. To achieve the consistency that we desire, if margins have to be on track with the expected trajectory, would require for enormous automation and that doesn't happen overnight. We are doing our best to make sure that we invest in automation, reduce the insid e construction as much as possible and make sure that we deliver more consistently on our projects and productivity.

It's a journey that we have undertaken. We do realize that we want to create sustainable value as a company , which today is about $25 billion , $27 billion. If you want to become $50 billion, $100 billion company and continue to be as valuable, it is important that we are able to get larger level of automation and reduce the uncertainty in o

ur execution. So, it's an effort . We are
cognizant of that , and I think we are at it , and hopefully , over the next few years , you will progressively see the improvements.
Moderator: Thank you. The next question is from Atul Tiwari from Citi . Please go ahead.
Atul Tiwari: Sir, my question is on a thermal power opportunity, and you alluded to it , but what exactly is keeping L&T away from this opportunity ? Because you have both the EPC as well as the BTG manufacturing capability and the government is talking about 80 GW or so of orders over the next few years which could be pretty substantial.
R. Shankar Raman: See the terms of trade in thermal so far as the experience go has not been very contractor friendly.
The thermal capacity is largely being added by PSUs today. The private sector is not really investing and such of those private sector which is invested in thermal capacity is in front of NCLT. So, given that PSU is your client , there is a bit of an unevenness in the commercial relationship. You can defin e only that many terms that you can foresee in a contract.
Let me contrast it with the experience that we have with Middle Eastern contracts. Now , there also it is inconceivable to have everything predicted upfront , but as the project gets implemented , we definitely sense a certain amount of support that the sponsor provides to make sure that the project gets completed on time. Unfortunately , in Indian conditions , there is no penalty for delay , but there is penalty for decision making by private sector enterprises. They are scared about taking commercial calls , which is just outside the four walls of the contract that we sign up with. But project business does not work exactly on the printed contract lines , because there are dynamics that are at play, and which makes us deviate from the contractual situation.
So, if the client is interested in completing the project and he is going to be evaluated for completing the project in time, which is not the case with our Public Sector Enterprises , then they will do everything to make sure the contract completes. Here we find the situation that let me see how you complete, or I will see when you complete seems to be the attitude.
Now that doesn't work with us. I think we have become a large company , and we have investors who expect us to become even bigger and that can happen only if we climb the right ladders. A thermal , coal-based power plant with PSU as a customer does not at the moment seem to be the ladder we can climb. There has been considerable i mprovement because it has now got reduced to a situation where in many of these projects there is single bidder, and the very government system does not support single bidders. So, they badly require somebody like L&T just to make sure that there is a seco nd bidder. We don't want to be dragged into this situation. We want to be participating in a bid if we have a right chance to win and we have all the interest in executing. If we are going to just be counted for just numbers sake , that's not our interest .

So, considering all this and considering the alternate opportunities we see, end of the day , I also have limited resources and limited bandwidth. I need to deploy my resources and bandwidth in areas which I think will produce value for my investors , and that can happen only if I follow not on emotive grounds but on rational grounds on which projects I bid for , and that actually eliminates, I wouldn't call eliminates, it reduces the coal -based power plant much lower in the

priority.
Moderat or: Thank you. Next question is from Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: As in two parts to my question , the first one being when you say a 10% growth against a 12 trillion pipeline , it kind of assumes that your hit rate

w ill be more than 20%. Could you give us a sense of segments where you think you would be able to do this kind of hit rate or even better? That's the first part.
The second part is , again , we are relying on domestic order inflows to grow next year. Are th ere certain large size programs such as Pet chem that you are relying upon? Some more color would be useful. Those were the questions. Thank you.
R. Shankar Raman: See, this pipeline in a way is an aggregation of opportunities that we see today. We find th at roughly about Rs 7 lakh crore out of the 12-lakh crore comes from India, Indian opportunities. About 5 lakh crore from international opportunities.
And in Indian opportunities , predominantly it comes from infrastructure space. Areas like water which we think requires substantial investment , area like the civil projects where a fair bit of large projects in urban transportation, the bridges infrastructure in the borders et cetera are involved will get government allocation because of the preferences . Whether it is political preference or security preference , the preferences exist .
The standard growth momentum in areas like our buildings, factories area, in our power transmission distribution, those or any of the industrial CAPEX , they remain encouraging, but could change between one timeline and another timeline.
So, our sense is that, given a 20 %-25% win rate, if we are able to actually participate in bids worth 7 lakh crore i n the domestic order, we should be able to clock in somewhere between 1.5 lakh to 1.8 lakh crore, which is what we are seeing. In the year that we have just reported, we are close to 1.5 lakh crore of domestic orders and that would possibly become 1.7 -1.8, maybe 15% crore.
On international, we have deliberately reduced the target. We don't know. It is not that we will let go of opportunities. But we do think that considering Saudi, which is a very large component of our international market, has gone on t o some investment prioritization mode and not necessarily slow growth mode , but they just want to prioritize the investment to the purpose that

they cater to. So, given that, we have said instead of Rs 1.8 lakh crore, we will possibly target about Rs 1.5 lakh cr ore in the current year.
But these are not cast in stones. I think we will have to keep watching this space and see whether the bids play out accordingly. Our own belief overall, given the 3-lakh crore large base that we have set for ourselves at the end of FY'24, 3 lakh 30 could be something that we will reach. But in terms of how much of domestic, how much of international, which sector, etc., we will keep talking to you as we go along the quarterly conversations.
Aditya Mongia: If I may, just 3 years back, the h it rate was about 15% on an overall basis, which we expect to go to kind of 20% plus. So, I am just trying to get a sense whether certain sectors' competitive positioning has improved or the competition by itself has kind of scaled down fo r us to be confident of 20 %-25% h it rate on an overall basis in domestic.
R. Shankar Raman: See, I think the competition exists at the lower end of the project spectrum. I think you yourself would have sort of seen that the kind of projects now they are b idding, participating, and executing are far more complex, both engineering -wise and scale -wise. I mean, just take the most apparent example of Trans Harbor, 21 kilometers across the sea or coastal road, the kind of challenges, technical challenges that we have, the considerable amount of tunneling that we are doing for Metro or for coastal road is obviously reduces the number of people who are competing. The eligibility is lower.
Not to say that there won't be any competition. There will be competition b ecause the sponsors would like competition for better price discovery. But ins

tead of 10, 12, 14 people competing, we are increasingly looking at projects where 4 or 5 people compete. So, we have given ourselves and that is demonstrated in the last year wh ere our win rate has almost been 23% in what we are doing. So, we are thinking upwards of 20% is what we will continue to win going forward at the opportunity.
But as I mentioned earlier in some other context, all these are best estimates as we see now. This is something that we will have to keep on watching because we are in business only if investments are being made, and investments will be made only if funds are available and there is a policy prescription which is supportive. Now these two are beyond our control. So, to some extent, we have to depend on what cards get dealt on the table and then pick it up from there and moving forward.
Moderator: Thank you. The next question is from Jonas Bhutta from Birla Mutual Fund . Please go ahead.

Jonas Bhutta: Two questions which are largely, you know, more confirmatory in nature. So, sir, if we see our order inflows for fiscal '24 for the core P &M business, which is about 2.4 trillion, 50% split between domestic and export, sir, you know, which is like 1.2. So, against the 1.2 trillion international orders, you are saying that we will probably clock closer to 90,000 because, you know, the 1,80,000 number that you quoted includes the services bit, sir. The reason I ask this is

then we are actually, t he ask rate on the domestic side is almost a 40-50% jump in terms of order intake. So, that's a more confirmatory, the first question.

R. Shankar Raman: It's about 30% and not 50%. And secondly, you are right, the 1,50,000 that we spoke about does include the services . No doubt about that. And the services business, as you know, is currently going through some sectorial headwinds. So, we don't expect runaway growth in the services for the year. But you know, these are bits and assessments we are making now .

We think that if the government were to return , unfortunately, I am getting drawn into some political anticipation. But if the current government gets voted back, I expect continuity in policy. And that would mean that the investments that were held ba ck in the last six months or so will get unleashed. And secondly, depending on the type of majority, if there are points to be proved and established, the momentum will change. I don't know. These are political led situations.

But if you look at India, i f you look at this being an economy which is expected to become third largest by 2030, it's important we invest in infrastructure. And if India does believe in infrastructure investment, does believe in manufacturing investment, L&T is in pole position. The kind of technology that we have, the skill sets that we have, India would need that because these opportunities are fleeting , right? And if you don't take advantage of these opportunities when they present themselves in a global context, then it will bec ome one one year too late.

So, my sense is that if there is going to be continuity in policy, forget about which government, continuity in policy, then India needs to now bug up. It set the pace so far in the last 3 -4 years and it has caught the world's attention. I don't expect US -China relationship to improve from here. Whether it is Biden or it is Trump, unfortunately, I think the choice is pretty predictable there, overcomes. I think it's a question of degree of deterioration rather than compl etely changed style.

India has a unique opportunity. I am sure that the people at the helm of affairs are cognizant of this. And if India needs to capture this opportunity, it has to pick pace in infrastructure development and projects development. The p rojects could be in the energy transition area . It could be in EV . It could be in any other . It could b

e semi -conductor . It could be in any other
import substitute , it could be in Pharma. But all of this would mean that you should have port logistics, yo u have airport logistics, you have road connectivity, rail connectivity. And you should have people working in different corners of the country with power at their homes, water at their homes, etc.

So, given the sheer potential, I do believe betting on I ndia post -election does not seem to be a bad strategy. Well, time will tell whether we are successful, not successful, etc. But we do believe that the growth that we are anticipating on the Indian side seems well reasoned at the moment . But as I mentioned , I think every quarter we have an opportunity to exchange views , and then

we will see if there is any changed circumstances and whether that's going to have any change in our plans.

Jonas Bhutta: Sir, t he view is well appreciated over a 2 to 5-year period. That current year will have just 9 months operational from the government side and the ask rate of Rs 150,000 plus crores worth of inflows for us means at a country level even higher. This looks like a tad bit too kind of an aggressive assumption. Th at was my two cents on that.

Sir, t he second confirmatory question was again on margins. When we started F '24, we knew our order pipeline, we knew where largely the orders are going to come from . Yet we started with a guidance of 9%. Within that we had also clarified that the claim settlement will not form a very large , but it's not a needle mover. You know, s tarting F '25 with an 8.25 margin guidance, again what seems to have changed ? Because I can't wrap my head around.

We already knew the kind of re newable pipeline that we had for bidding, the hydrocarbon pipeline that we knew for bidding and we may have one slightly higher than our expectation , but this 8.25 margin and then sort of even tempering expectations from a slightly longer -term perspective , from an FY'26 perspective is also a bit confounding to me , sir. I know I am beating around the same bush but would really appreciate what has changed.

R. Shankar Raman: I will also beat the same bush to see whether clarity is there. See, when we predicted 9% or when we projected 9% , it has got nothing to do with fresh orders to be won because much of the

execution was out of the order book. And we knew what is the order book.
A couple of things that changed during the year. We nev er expected military escalations to happen. If you recall 12 months ago , we were still talking about possibility of Russia -Ukraine war coming down and ceasefire being announced. We never expected a frozen war in Russia - Ukraine and little did we expect ther e is going to be West Asia crisis of the type that we are today seeing.
Secondly, we never expected possibly the supply chain disruption to continue the way it has done during the year. Earlier it was Covid and later it was dispatch constraints at the va rious ports and airports. And n ow it is a question of a lot of orders being placed on limited number of people who have finite capacities and their ability to supply within time. The most recent of it being that the Houthis are firing at anything that pass es by. So, we have to take all the way around South Africa and spend more money and more time in getting our supplies done. Now these were things that were not on our radar in April or May of '23 when we forecasted.
Secondly, when we forecasted the order inflow of about 10%, we never expected to end with 30%. And we never expected the order book ed which a t 28% from international to become a whopping 38% by the end of the year. The changed mix of international orders to domestic orders have also got a role to play in that absolute percentage margin that you are speaking about.

Thirdly,

neither you nor I did anticipate that we will have capital intensity reduced to the extent to which we have done in the current year. I am sure in your model you wouldn't h ave predicted a 12% working capital and we did not in our model. And as compared to 18% at the start of the year, 12% is a dream run.
So, given so much of uncertainty that has featured our landscape, the margin declined from 9% to 8.25% over the period of 12 months, in a way, it is understandable to me. We have, realizing this progressively, revised our guidance down even though it might look like disappointing on the earlier guidance. We have tried to stay true and current to our assessment at every point in time.
Now, g iven the fact that we are at this stage, what are the green shoots that we are looking at where the margins will expand from 8.25% to 9%? Now, much of the cost that we have incurred in delivering towards our customer's requirem ent will get settled in due course. So, even though we did not budget large amount of claims in '23, '24, there was a certain amount of claims we had taken. And those claims have also got deferred.
So, to that extent, changed mix, deferment of claims set tlement , and thirdly, the input cost which was earlier commodity later became fuel, now it is logistics and supply . Labor cost , given the fact that much of the jobs are now getting implemented in Middle East, the labor cost in the Middle East is much highe r than in India. Secondly, there are local requirements saying 30% of local workforce have to be engaged. When you have large investments happening and all the global players participating in those investments, the 30% compulsion to source locally means all of us rushing to the same source of either labor contractor or subcontractors for components. Now that automatically skews the demand -supply situation, and we are required to pay the price for staying in the dispatch of the supply.
So, given so much of uncertainty, which is what I was saying in the context of another question, 100 basis points moving up and down is something that we need to possibly be prepared for. The compensating factor that we are using because end of the day, what are we committi ng ourselves? We are committing ourselves to value creation. Value creation is a function of both margins and capital employed.
Now, we tend to focus exclusively on margins, forgetting the capital employed has improved. And secondly, we also tend to forg et that international business is just 25%, is almost becoming 40%. Now, 40% of international business might actually make the margins look softer, but if you look at return on invested capital, it is far better.
It is not without reason, over the last f ew years, we have moved the return on capital investment as well as ROE from the lower levels to where it is today. Today, as we speak, the ROE is close to 15% and it was 9% 3 years ago or 4 years ago.

So, the efficiency of the business and the value it creates, I would urge all of you analysts to look at it a little more holistically and not just look at one element of value creation. If you look at it as to whether it is the company creating value for shareholders ? Does it do enough to have a buy back? Does it do enough to have stepped up dividend? Does it do enough to have a promising future? I think the company ticks all the box. It is just a question of what we want to focus on.
Moderator: Thank you. Thank you. Next question is from Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Sir, I just had one question. On Private Capex , how much of your prospect list is assuming that and if you can answer one of the questions that was not probably clear to me at least. If you have any large domestic orders that you expect to come through in the second half, if you can qualitatively speak on those ?

R. Shankar Raman: Domestic Capex will be about 25% as we see today , very similar to the way it has played out in FY'24.

Girish Achhipalia: And w hat areas, sir, would then be steel sector or building?

R. Shankar Raman: These are quite scattered actually. If you look at last year, we won orders in the steel sector. We won some cement factories. We won some paint factories. We have won some data centers. We have won some commercial real estate. We have won some hospitals. Quite scattered. And I think we would continue to see that play out, b ecause my sense is, India is, apart from few l arge players, is completely populated by small and medium -sized enterprises.

The private Capex soared when the government successfully announced BOT programs in several areas, including roads. So, if you recall 5 / 7/ 8 years ago, everybody wanted to beco me a power plant sponsor. Everybody wanted to become a road owner. Everybody wanted to become a transmission line owner. Now, the private capital has realized that having government at the other end of the equation is a very uneven equation. And slowly, and including us, we have pulled out of all the concession agreement because we think that private capital does not get the respect that it deserves in terms of return or in terms of terms of play.

So, the Private Capex dipped when the BOT collap sed. And the BOT was not just restricted to the Road. It was now becoming an all -encompassing 5, 6, 7 years ago. And over time now it has become low.

Secondly, all the power investment has ceased because all the power producers, the private capital who b acked it, are all in NCLT in different forms. Because they ultimately will have to sell power and power is a politically sensitive issue.

So, given that , that you are going to have a product which is either price controlled or politically sensitive, my s ense is that it will take quite some time for new set of private capital providers to forget the past and come and invest.

So, the investment in private sector capital will be very opportunistic and situation dependent. Such of those industries where the y are able to see return on their private capital invested will invest and like they have done in the past. So, I don't expect a wholesale surge in Private Capex .

If the country wants to get its basic infrastructure in place, basic road network, rail netwo rk in place, basic urban infrastructure in place, world over it has been done on public capital. It can't be any different in India.

So, the government has to take responsibility for this and get out of businesses which is suitable for private sector. For example, does government have any business to be in as many defense production areas? I don't think so.

So, the question is reprioritization and reallocation of capital. It will happen. I am very confident over time India will emerge with the right equ ation. And to that extent , I think the private capital surge will happen in a phased manner and not happen in a wholesale manner.

Our own guess is over the next few years public sector led capital program will drive the growth. And when I talk about the public sector , it need not be funded out of union government budget or state government budget. But the program should be sufficiently strong and robust for them to attract lenders of global standing.

Moderator: Thank you very much. That was the last question.

R. Shankar Raman: Thank you very much.

Moderator: I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments.

P. Ramakrishnan: Thank you everyone for attending this long call. It was my pleasure to interact with all of you. Good luck and wishing you all the very best. Thank you.

Moderator: Thank you. On behalf of Larsen & Toubro Limited, that concludes this conference. Thank you for joining us. Ladies and gen

tlemen , you may now disconne ct your lines .

Call: Jul 2024

"Larsen & Toubro Limited
Q1 FY '2 5 Earnings Conference Call"
July 24, 202 4

MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD INVESTOR RELATIONS
– LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Larsen & Toubro Limited Q1 FY '25 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. P. Ramakrishn an, Head Investor Relations from Larsen & Toubro Limited. Thank you, and over to you, sir.

P. Ramakrishnan: Thank you, D orwin. Good evening, ladies and gentlemen, a very warm welcome to all of you into the Q1 FY '25 Earnings Call of Lassen & Toubro. The ea rnings presentation was uploaded on the stock exchange and then our website at around 06:30 p.m. As per the normal practice, instead of going through the entire presentation, I will take you through the important highlights for the quarter followed by our financial performance summary for the same quarter in the next 30 minutes or so. And after that I will be taking the Q&A.

Before I begin the overview, the customary disclaimer, the presentation that we have uploaded on the stock exchange and our website t oday, including the discussions we may have on the call now, may contain certain forward -looking statements concerning L&T Group's, business prospects and profitability which are subject to several risks and uncertainties, and the actual results could mate rially differ from those in such forward -looking statements. I would request you to go through the detailed disclaimer which is available in Slide 2 of our earnings presentation that we have uploaded today.

To start with, the Indian economy continues to d isplay a strong growth momentum despite the global headwinds. With the conclusion of the general elections in the country, we expect policy continuity going forward. The Union budget for FY '25 that got announced yesterday has reaffirmed the government's c ommitment towards enhanced public capex in the medium term. The Central Government budgeted capex at Rs 11.11 trillion , which is around 3.4% of the GDP. Further, to promote State Government capex spending, an amount of Rs 1.5 trillion has been set aside as long -term interest free loans. With a combination of improved domestic demand conditions, a good availability of bank credit, further backed by government incentives for manufacturing and finally, with the election risk behind us, the stage is set in a away f or a revival in overall capex in the country. The government budget yesterday also mentioned about promoting private investments in infrastructure through a Viability Gap Funding (VGF) and enabling policies and regulations. In our opinion, the Union Budget stri kes a fine balance between prudent resource allocation and achieving fiscal deficit reduction at the same time.

Elsewhere, the countries in the Middle East are continuing to focus on investments in oil & gas, infrastructure, industrialization and energy tr ansition.

Before I get into the details, let me share some important highlights for the quarter. Two coveted global credit rating agencies, Standard & Poor and Fitch, have assigned BBB+ rating to Larsen

& Toubro. This rating, with a stable outlook by both the two rating agencies, is 2 notches above

the country's sovereign ratings and essentially underscores the company's exceptional credit quality and robust financial health.
Secondly, MSCI ESG Research has also upgraded L&T's rating from BB to BBB on acc ount of company's improvement in various parameters, including ESG. Thirdly, L&T Semiconductor Technology Limited, a wholly owned subsidiary, ha

s entered into a share purchase agreement
this month for acquisition of 100% stake in Silicon Systems, a Bangalo re-based company. This subsidiary has also signed a master collaboration agreement with Aditya Infotech Limited to develop and supply state -of-the-art systems on chip, that is, SoC and other system solutions for CCTV cameras.
Coming to the Financial Services business, that is L&T Finance, we are happy to report that the company has achieved a 95% retailisation as of June 2024 of its loan book. The retail book and the retail disbursements for Q1 FY '2 5 has registered a growth of 31% and 33%, respectively. The company also reported an entity level PAT at Rs 686 crores for Q1 FY '25 that has registered a 29% growth over the corresponding quarter of the previous year.
I will now cover the various financi al performance parameters for Q1 FY '25. This quarter was a quarter of robust performance across the various financial parameters. Our Group Order Inflows, Revenues and PAT for Q1 FY '25 is up by 8%, 15% and 12%, respectively. Our NWC - to-revenue at 13.9% in June '24 register ed a sequential increase of 190 basis points, whereas on a y-on-y basis, it has improved by 310 basis points.
Moving on to the individual performance metrics . Our Group Order Inflows for Q1 FY '25 at Rs 709 bil lion registered a y -on-y growth of 8%. Within that, our Projects & Manufacturing businesses secured aggregate order inflows of Rs 544 billion for Q1, reporting a growth of 8% over the corresponding period of previous year. Our Q1 order inflows in the Proje cts & Manufacturing portfolio are mainly from Infrastructure, Hydrocarbon and the Precision Engineering businesses. During the current quarter, our share of international orders in the Projects & Manufacturing portfolio is at 40% as compared to 35% in Q1 of the previous year. During the quarter, orders were received across multiple segments, sub segments like Offshore vertical of Hydrocarbon , Renewables, Transmission & Distribution, Roads, Nuclear Power, Hydro & Tunnels, Ferrous Metals, Health and the Precision Engineering business.
Moving on to the prospects pipeline, we have a total prospects pipeline of Rs 9.07 trillion for the remaining nine months of this financial year as compared to Rs 10.07 trillion at the same time in the last year. This repre sents a drop of around 10% on a y -on-y basis. This decrease is primarily due to a fall in the hydrocarbon prospects pipeline.
The broad breakup of the overall prospects pipeline for the remaining nine months of FY '25 would be as follows. Infrastructure i s at Rs 6.02 trillion vis -a-vis Rs 5.86 trillion last year. Hydrocarbon is Rs 2.17 trillion vis -a-vis Rs 3.48 trillion as of June '23. Energy Power is at Rs 0.45 trillion, in and around the same as the last year. The Heavy Engineering and the Precision Engineering and Systems businesses in aggregate have ordered prospects pipeline of Rs 0.31

trillion vis -a-vis Rs 0.25 trillion last year. The Green Energy business has started off with an order prospects pipeline of Rs 0.10 trillion vis -a-vis Rs 0.04 trillion last year.
Moving on to the order book, our order book as of June '24 is at Rs 4.91 trillion, up 19% vis -a-vis June '23 of last year. The Projects & Manufacturing business since, it is largely India -centric, 62% of this order book is domestic and 38% int ernational. Of the international order book of Rs 1.86 trillion, around 92% is from Middle East, 1% from Africa and the remaining 7% from various countries including of Southeast Asia. Like I said earlier, the various countries in the Middle East are conti nuing to focus on investments in oil & gas, infrastructure, industrialization and energy transition. The breakdown of the domestic order book at Rs 3.05 trillion, which I said earlier at 62% of the overall order book

is as follows. Central Government orders share is
14%, State Government's contracts account to 28% of the domestic order book , Public Sector Corporations or State Owned Enterprises have a share of 37% and Private Sector at 21%.

Approximately around 18% of this tot al order book of Rs 4.91 trillion is funded by multilateral and bilateral funding agencies. Against this total order book of Rs 4.9 trillion, 90% of that is coming from Infrastructure and Energy. The details of this are already there in the pre sentation slides. During Q1 FY '25 we have deleted orders of Rs 6 billion from the order book and as of June '24, the slow moving orders is well less than 1% of the order book.
Coming to Revenues, our Group Revenues for Q1 FY '25 at Rs 551 billion, regist ered a y -on-y growth of 15%. International revenues constituted 48% of the revenues during the quarter. The strong execution momentum in Infrastructure, Hydrocarbon and the Precision Engineering & Systems within the Project s & M anufacturing portfolio ena bled the overall group revenues for the quarter. The Revenue for the Projects & Manufacturing business for Q1 FY '25 is at Rs 386 billion, up 18% over the corresponding quarter of the previous year.
Moving on to EBITDA margin, the Group level EBITDA margi n without other income for Q1 FY '25 is 10.2% at the same levels as Q1 of the previous year. The breakup of the EBITDA margin, business wise, including other income, is given in the annexures to the earnings presentation. You may note that the EBITDA margi n in the Projects & Manufacturing business for Q1 FY '25 is at 7.6% as compared to 7.4% in Q1 FY '24. I will cover the details a little later when I talk about the performance of each of the segments.
Our Consolidated PAT for Q1 FY '25 at Rs 28 billion is up 12% over Q1 of last year. This PAT growth is reflective of improved activity levels, partly offset by lower other income. The drop in other income is a function of lower treasury investments in the current quarter as compared to the corresponding quart er of the previous year. And here again, the drop in treasury investments is largely due to the share buyback concluded by the company in the previous financial year. The Group Performance, the P&L construct, along with the reasons for major variances unde r the respective functions is provided in the presentation. You may go through the same for further details.
Coming to working capital, our NWC -to-sales ratio has moved from 12% in March '24 to 13.9% in June '24, mainly due to the buildup in the gross wor king capital during the quarter. However, on a y -on-y basis, the net NWC -sales ratio has improved from 17% in June '23 to 13.9% in June

'24. The Group level collections that excludes L&T Finance for Q1 FY '25 is Rs 459 billion as compared to Rs 439 billion in Q1 FY '24, this itself registering increase of 4% on a y -on-y basis. You may go through the Cash Flow Statement as part of the Annexures to the earnings presentation. Our Cash Flow from Operations for Q1 FY '25 at negative Rs 5 billion vis -a-vis negati ve Rs 9.9 billion in Q1 FY '24.
Finally, the trailing 12 -months ROE for Q1 FY '25 is 14.7% vis -a-vis 12.8% in Q1 FY '24, an improvement of 190 basis points. The improved profitability with every passing quarter along with the return of capital to sharehol ders in the form of the buyback is contributing to this improvement.
Very briefly, I will now comment on the performance of each business segment before we give our final comments. First, Infrastructure, coming to order inflows, this segment secured order s for Rs 401 billion for Q1 FY '25, largely flat on a y -on-y basis. During the current quarter, the orders were largely received in Renewables, Transmission & Distribution, Roads, Nuclear power, Hydel and Tunnel, Ferrous Metals, Health, and the P

recision E ngineering sectors. Our
order prospects pipeline in Infrastructure segment for the remaining nine months is Rs 6.03 trillion vis -a-vis Rs 5.86 trillion during the same time last year. This represents an increase of 3%. The Infra prospects pipeline of Rs 6.03 trillion comprises of domestic prospects of Rs 4.27 trillion and international prospects of Rs 1.76 trillion. The subsegment breakup of the total order prospects in Infra is as follows. Water & Effluent Treatments share is 20%, Power Transmission & Dis tribution, including Renewables, is at 22%, Transportation Infra 23%, Buildings & Factories 12%, Heavy Civil Infrastructure 18% and the share of Minerals & Metals, the residual 5%. The order book of this segment at Rs 3.25 trillion as of June '24. The book to bill ratio for Infra is around three years.
The Q1 revenues at Rs 269 billion registered a strong growth of 22% over the comparable quarter of the previous year, largely aided by the strong execution progress across international jobs.
Our EBITDA margin in thi s segment for Q1 FY '25, is at 5.8% vis -a-vis 5.1% in the corresponding quarter of the previous year. The margin improvement is primarily explained by execution cost savings.
Moving on to Energy segment that comprises Hydrocarbon and Power. Hydrocarbon r eceived multiple domestic offshore orders that enabled to increase its order book. The segment has a strong order prospect pipeline of Rs 2.62 trillion for the remaining nine months of the current

financial year. The breakup of this Rs 2.62 trillion, comprises of Hydrocarbon prospects of Rs 2.17 trillion and Energy Power prospects of Rs 0.45 trillion. The order book for this Energy segment is at Rs 1.18 trillion as of June '24, with Hydrocarbon order book at Rs 1.13 trillion and Power at Rs 46 billion. The Q1 FY '25 reven ues for this segment at Rs 85 billion registers a healthy growth of 27%, mainly driven by execution ramp -up of international projects in the Hydrocarbon subsegment. Low revenues in Power is largely reflective of a lower order book. The Energy segment marg in in QY FY '25 is at 8.7% vis -a-vis 9.1% in Q1 FY '2 4. The Hydrocarbon margin in Q1 is of current year is reflective of jobs in the early stages of execution, which is largely in line with our original plan for the year. The Energy Power margin improves on account of a favourable claim settlement accrued during the quarter.

We will now move on to Hi -Tech Manufacturing segment that comprises the Heavy Engineering and the Precision Engineering & Systems businesses. The receipt of a Shipbuilding order contributed to order inflow growth in the Precision Engineering & Systems business, whereas Heavy Engineering business order inflow is largely in line with that of the previous year. The order book of this segment at Rs 338 billion as of June '24. Our orde r prospects pipeline for the remaining nine months in this segment is around Rs 320 billion. Strong execution momentum drove revenues in the Precision Engineering & Systems business, whereas Heavy Engineering revenue was impacted due to a lower opening order book consequent upon order deferrals and jobs in the early stages. Coming to margins - Execution cost savings helps the margin improvement in the Precision Engineering & Systems business whereas Heavy Engineering margin benefits from a favourable job mix. Since we are on this Hi -Tech Manufacturing segment, I would once again like to reiterate that the Precision Engineering & System business does not manufacture any explosives nor ammunition of any kind including cluster ammunitions or anti -personal la ndmines or nuclear weapons or components for such of these munitions. The business also does not customize any delivery systems for such ammunitions.
Moving on to the next segment that is the IT Technology and the Tec

hnology Services, that
compri ses the t wo listed entities LTI Mindtree and LTTS. The revenues for this segment at Rs 115 billion in Q1 FY '25 registers a modest growth of 6% that is largely in line with the subdued global macro conditions impacting discretionary IT spends. Despite the ongoing ma croeconomic concerns the deal pipeline for this segment is healthy with a good visibility across all the subsegments. The segment margin variation vis -a-vis the previous year is explained by a lower operating leverage. As both the companies in this segmen t are listed entities, the detailed fact sheets of the performance are already available in the public domain.
We move on to Financial Services segment represented by L&T Finance one of our another third listed subsidiary. Here again, the detailed results of the company are available in public domain. But very briefly to sum up the Q1 revolved around strong retail disbursements, improved profitability and better asset quality. Further, the balance sheet is strong on the back of adequate provision coverage ratios. L&T Finance Limited today is well ahead of meeting its Lakshya '26 targets. The retail book growth, asset quality and the return on assets are highly satisfactory. The business is building itself on the five pillars of growth, that is enhancing customer acquisition, sharpened credit underwriting, i mpleme nting f uturistic digital a rchitecture, improved brand visibility and capability Building and finally sufficient capital in the balance sheet is available to pursue the growth in the medium term.
Moving on to Development Project segment, this segment incl udes the Power Development business comprising of Nabha Power and Hyderabad Metro. You may be aware that the company on April 10, 2024 concluded the sale of its stake in the erstwhile L&T In frastructure Development Projects Limited which was a holding company that was engaged in the toll road and the transmission line business. Coming back to the current quarter the majority of revenues in the development project segment contributed by Nabha Power. The improved ridership in Hyderabad Metro and a higher PLF in Nabha power contributed to the segment revenue growth, whereas lower interest rate expense in the Nabha Power aided the margin improvement at a

segment level. Some ridership statistics f or the Hyderabad Metro asset - the average metro ridership has marginally declined from 4.42 lakh passengers a day in Q4 FY '24 to 4.32 lakh passengers per day in Q1 FY '25. On a Y -on-Y basis the ridership are improved. The ridership in Q1 FY '24 was 4.22 l akh passengers per day. The Metro at a PAT level we have consolidated loss of Rs 2.14 billion in Q1 FY '25 vis -a-vis a loss of Rs 3.35 billion in Q1 FY '24.

Moving on to the "Others" segment. This segment comprises Realty business, Industrial Valves, Construc tion Equipment, Mining Machinery, Rubber Processing Machinery, and a small residual portion of the Smart World & Communication business. The Q1 FY '25 revenue degrew by 37% over the corresponding quarter of the previous year. This was largely contributed to a lower handover of residential units in the Realty business. The sale of a commercial space in the Realty business and increased sale volumes in the Valves business enabled the segment margin improvement.

Coming to the last part of my presentation, the outlook. India's domestic activity has remained resilient, with manufacturing activity continuing to gain ground on the bank of strengthening domestic demand. The service sector maintained its buoyancy as evi dent from the available high frequency indicators. Private consumption which is the mainstay of aggregate dem

and is

recovering with steady discretionary spending happening in the urban areas. The revival in rural demand is getting a f illip from improving fa rm sector activity. With an expected normal Southwest monsoon, the kharif production is likely to get a boost and the reserv oir levels likely to be replenished satisfactorily. With the union elections behind and the likely political stability, the government' s continued thrust on capex and business optimism augurs well for investment activity. However, the pace on infrastructure progress could slow down due to skilled labor shortage in certain sectors. The Indian economy is at an inflection point in its path towards greater transformational changes that will bring about more stability and growth. The union government budget presented yesterday a detailed r oadmap for the pursuit of a Vik sit Bharat by 2047. The budget envisages sustained efforts on the nine di fferent priorities in order to create ample opportunities for all. 1) Productivity and resilience in agriculture; 2) is on Employment & Skilling; 3) inclusive Human Resource Development and Social Justice; 4) M anufacturing Services; 5) Urban Development; 6) Energy Security; 7) Infrastructure; 8) Innovation and R&D and lastly 9) Next Generation Reforms.

It is good to note about the government's emphasis on the all round development of the eastern part of the country through the Purvoda ya Scheme. A plan hopefully will get formulated for the development of states like Jharkhand, Bihar, West Bengal, Odisha and Andhra Pradesh Secondly, the government is also likely to facilitate development of investment -ready "plug and play" industrial parks with complete infrastructure in near 100 cities. Thirdly, promoting water supply and sanitation projects in partnership with the various state governments and multilateral development banks is the need of the hour. Finally, a policy for promoting pump ed storage is also in the works and since nuclear energy is expected to form a significant part of the energy mix going forward, there is a plan to develop small and modular reactors, nuclear reactors as well.

Moving on to other part of the worl d, the global economy is expected to witness a rebound, though the run up to the US presidential elections in November can exhibit economic volatility. With the change of government in the UK and a hung parliament in France, the concern about European econ omic recovery remains. China's economic recovery remains lopsided with rising trade tensions threatening to overshadow growth in the exports.

The central banks in the West are closely tracking inflation data and may announce a couple of rate cuts later in the current calendar year. Also, regional conflicts remain contained as of now without having major adverse implications for the global economy. The countries in the Middle East like I said are contin uing to focus on investment in oil and gas, infrastructure, industrialization and energy t ransition projects. However, head winds continue to linger around geopolitical conflicts, supply chain disruptions and commodity price volatility. Amidst all of this, the L&T will continue to focus on profitable e xecution of its very large order book in the backdrop of a relatively stable environment. It is well positioned to exploit the emerging opportunities across its diversified business portfolio and limit its exposure to non -core

businesses. The company remai ns committed to maximizing sustainable value to all its stakeholders. Thank you, ladies and gentlemen for the patient hearing. We can now commence the Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first questio n is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Yes, good evening, sir, and congratulations on a very good

set of numbers, especially the order inflow. My first question on the order prospect, I think you mentioned th at the order prospect declined q -on-q, I think this is a very large drop and also in the annual report, I think there was a comment that Saudi Aramco is postponing the capex which could have led to this decline. Can you confirm that is the decline of is primarily related to Aramco? And does it anyway impact our the order inflow guidance for this fiscal?
P. Ramakrishnan: Okay, so thanks Mohit. Yes, at the start of the year, the order prospects that we talked about was around Rs 12 trillion and now i t has come down to Rs 9 trillion. The drop is largely witnessed in the Hydrocarbon segment and I would not like to specify answer to a particular customer. I think there has been some amount of tendering that has happened where we have not secured. Some o f the projects have been shelved and some of them have possibly been deferred. But this does not have any color in terms of whether there is any potential change with respect to our guidance for the order inflow for the full year. We still maintain what we gave at 10% order inflow, that guidance is still being maintained . But you can have some amount of order prospects getting deferred and something we have lost also in that particular segment. However, I would not like to comment on specific cus tomers please.
Mohit Kumar: Understood. My second question is a news article in the Mint that stated that L&T is eyeing the opportu nity to make investments worth USD 50 billion to USD 60 billion in projects converting oil to chemicals and petrochemicals in the Mi ddle Eastern region. Are we looking to invest in those businesses? Are we looking to invest in equities in some form? Is it the right understanding?
P. Ramakrishnan: We are pursuing EPC opportunities in the Oil to Chemicals environment in the Middle East, which we believe will have overall investments made by our clients of the amounts that you are referring to.
Mohit Kumar: We are not looki ng to form any JV . Is that the right understanding?

P. Ramakrishnan: As the things stand with specific reference to Oil to Chemicals, it is all the customers investment which is a sort of EPC opportunity for L&T.
Mohit Kumar: Understood sir. Thank you sir. Thank you and a ll the best.
P Ramakrishnan: Thank you Mohit.
Moderator: Thank you. The next q uestion is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Good even ing. My compliments on our 1st quarter of the fiscal. My first question is - Has there been any outreach by Andhra Pradesh to revise the Am aravati contracts that we re dropped from L&T's order book in the past and any expected roadmap for Am aravati going forward?
P. Ramakrishnan: So Sumit , I think the initial discussions with the State Government has commenced, but at this juncture it is too early to comment on exact ly how it will shape up. Hopefully, I think by the time we end September, Q2, I think we will have a better visibility in terms of the revival of the various opportunities in Am aravati. But at least the discussions have commenced.
Sumit Kishore: My second question is, your exchange filings mentioned that your Renewable EPC portfolio was of 18 GW cumulative capacity, comprising solar and wind generation projects already commissioned and in the making. So I just want to understand what is the siz e of Renewable EPC, solar EPC, in your order book presently and what is the size of order prospects or opportunity that you see for Re EPC in the Middle East specifically?
P. Ramakrishnan: So in terms of solar renewable, the order book, I think the approxi mate share would be anywhere in the range of Rs 55,000 crores to Rs 60,000 crores. And as far opportunities are concerned, that would be in the range of similar number

of Rs 60,000 or crores in the near term.
Sumit Kishore: So in the order prospect, you'll have roughly about Rs 600 billion for the balance three quarters.
P. Ramakrishnan: Yes for the balance nine months.
Sumit Kishore: Understood. Just one question on the -- any color on the rationale of the ESG upgrade by MSCI to BBB from BB. Is there anything to do with your defense exposure which they have taken a different view on or is that something else?
P. Ramakrishnan: So as far as we know the rating rationale of changing from BB to BBB is on the back of an

improved, I would say Environmental and the Safety statistics that L&T has been pursuing. I think that is one of the reasons which has enabled us to get this rating upgrade. In sofar as our exposure through the Precision Engineering Systems business to Defense, I don't think there has been any change in the outlook of MSCI.
Mohit Kumar: Got it. And this repositioning of the Energy Power segment to Carbon Lite, does it mean you w ill not bid for coal power projects or how should we read that?

P. Ramakrishnan: So we are looking to focus on carbon capture projects and whatever manufacturing facility, technical talents over a period of time, we will get into taking opportunities on th ose segments, Sumit. Having said this, we still have an order book of almost Rs 5,000 crores in the Thermal Power business which we will execute. And we will continue to focus on any gas -based pow er plant opportunity that may come and any other cleaner fuel opportunities that we will be able to leverage our current manufacturing . As far as the coal -based equipment are concerned , over a period of time it will get repurposed.
Sumit Kishore: Understood. Thank you and wish you all the best.
Moderator: Thank you. We have the next question from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Hi, good evening sir. Sir my first question is on the reduction in prospect pipeli ne especially on the Hydrocarbon side. Now given that we are having a 10% reduction in overall prospect pipeline and we require almost like a 10%, 12% kind of a growth in order inflows to meet the guidance, where exactly are things changing? Are we anticip ating a much better strike rate in the domestic business which it appe ars had fallen a bit last year o r is it that we are seeing competition being a little lesser on the domestic side this time?
P. Ramakrishnan: Okay, so where I said this juncture, now Adi tya, it's not correct for me to give a -- I mean overall perspective for the nine months which kind of orders will enable us to maintain the order inflow growth guidance. But I wish to tell you given the fact that we still have a Rs 9 trillion of order prospects and that is more or less balanced because last year, of course, the hydrocarbon part of the business did have a good set of orders. It's not necessarily that every time you can have the same business having the same run rate, but given the fact if you look at just basic arithmetic, if I have to come out, if I have to talk about meeting our order info guidance, what we see from the order prospects I think a 22% to 23% conversion or a hit rate will enable us to reach there. And this 22% to 23% is not that something which is theoretical. We have demonstrated that in the recent past as well.
Aditya Bhartia: Sure. Sir, the second thing, you've spoken about labor availability issues and the potential of that to be slowing down execution. Where exactly are we seeing challenges and have they worsened over the last year or so?
P. Ramakrishnan: Okay so two things. Let me be a little topical here. In the Q1 , when we had given the overall guidance on revenues of 15%, it had baked the fact that the Q1 w ould have been a little subdued for the la rger part of what you call the i nfrastructure or the construction bus

iness in India because
of the elections i.e. the general elections. And you know very well that all this labor have the tenden cy to go back to their respective natives and vote. And plus , this was further worsened because of the very hot weather that was prevalent in large parts of the country. So this we hopefully from -- with the start of monsoon. Of course the monsoon has had a good start. This also has some implication into labor going into working on the agriculture side. But as far as we are concerned, I guess we should see back the normalcy of labor coming back to fulfill our execution of our order book.

I think the point that is coming up is as India goes on expanding into investments in infrastructure or any industry, there is a time that we are looking at a shortage of skilled labor because it's also important, while the country goes into a capex mode o r an investment board across the investments of all these sectors, it is also important that we have a steady supply of skilled labor to ensure that the projects are getting completed on time.
Now that has a developing implication. Now, as far as L&T is c oncerned, we are focusing to ensure that whatever labor we have through the various subcontractors, we continue to engage with them because we have a large order book. And simultaneously, we are also taking up steps

to also ensure that the future inflow of labor is appropriately skilled because the order book that we are looking at, given the positive investment climate that we are witnessing in the near term, I think it is important that the labor doesn't become a constraint in the GDP growth of the countr y. To that extent, I think the government also has realized it. And if you see the honourable Finance Minister coming out in her pronouncement in yesterday's budget, there is also sufficient mention of how they manage to bring this particular important resource. Last but not the least, one more development is it's not that the labor is only working here in India. Some part of the labor is also getting exported to the neighbouring countries, especially Middle East, given the set of opportunities . So we are working at, I would say not necessarily an optimum level, but yes, if things persist like this going forward, there could be an implication.
Aditya Bhartia: Understood, sir. And last bit, anything that you can share on the potential of monetiza tion of Nabha Power or Hyderabad Metro?
P. Ramakrishnan: At this juncture, nothing to share. We are pursuing it, I mean it is still going on. As far as Nabha is concerned, Nabha Power is doing well. It is back onto, I would say, a reasonable set o f profits . We are evaluating, but nothing to comment at this juncture.
Aditya Bhartia: Sure, sir. Thank you so much.
Mode rator : Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : Hi, PR. I have just two quick questions. First, on the Middle Eastern market, can you throw some light on the execution positioning? In last six -eight months have we seen some delays in execution on most of the large Saudi Arabia project . Whether things are on time ? And I want to broadl y understand your comment on the competition, especially from the Korean, Chinese players, given that European and Japanese are not very active.
P. Ramakrishnan: Okay, so in the Middle East today, Larsen & Toubro primarily, I would say, is engaged in Hydro carbon projects and Solar Renewable projects. As it stands now, the Q1 execution momentum that we have witnessed, there is nothing for us to bring to your attention to say that there is something unusual increase or decrease. So , it is business as usual. Okay, so as far as competitive intensity is concerned, I would like to mention here that we believe that the size of the market relating to th

e renewable part of investments that are happening and also the hydroca rbons, and possibly going forward there could be major investments happening on transit, be it on metro packages or rail packages. I think going forward there is a large investment activity expected to happen, and I feel that given the large size of the pie, each of the contractors

would have a fair share. So it's all a question of in some quarters we may get, in some quarters other competition may get, but structurally I don't think there is any change for us to comment from the earlier comments th at we made in the month of May.
Amit Mahawar: Thank you. And the second question is more on the core margins. If I see, we started the year with a good 60, 70 basis point margin expansion in the Infra side and the reason we've given is execution cost savin gs. Is this execution cost saving maybe one -off quarterly in nature or do you think for the full year, we have a much better margin expectation? Anything on that, PR? Thank you.
P. Ramakrishnan: So, Amit, let me tell you, I think I did conclude on my speec h saying that we are on track to more or less meet our targets at this juncture. I think we have started off very well as far as the margin is concerned. The overall P&M margin last year was 7.4%. So we have managed to bring a 20 basis points improvement and that improvement is actually coming from a, I would say, a reasonably large improvement that we have seen in the Infrastructure segment. But as we are aware, the Projects business, the quarter -on-quarter, the job mix, the projects going into recogniti on threshold, completion of projects keeps on happening, but we have had a good start and hopefully we should be maintaining the slight improvement in the margin momentum, but too early to comment on any change in the guidance. Finally, I think maybe another two quarters before we finally see where the margin will likely to end in the current year.
Amit Mahawar: Thank you, PR and good luck to the entire team.
Moderator: Thank you. The next question is from the line of Priyankar Biswas fro m BNP Paribas . Please go ahead.
Priyankar Biswas: Thanks for the opportunity, and congratulations to the team. So my first question is, PR, if you can explain about -- since we have a FY '26 ROE target of 18% and so we are kind of just a little below 15%. So what is the bridge from this current 14.5%, 15% levels to attaining this 18% level, if you can shed some light on that first?
P. Ramakrishnan: So Priyankar, I guess we have been talking in multiple calls like this and also in the investor meetings , so today, if you talk about, I guess if I have to make it very simple, the 1% increase would be if Hyderabad Metro were to make zero profit, zero loss. So as I was talking, that

particular investment had a loss of almost Rs 214 crores in Q1. So over a pe riod of time if you are able to bring that down, so that will demonstrate at least a 1% increase in the ROE. The second 1% would be as we have been talking about is that L&T , given the fact that we are having a cautious approach to increasin g the size of our balance sheet, so we are also looking at keeping the balance sheet a little more leaner which also means we are looking at a 1% improvement on the account of higher payouts to shareholders. Now, in what form I guess that we have to see especially in the development in the budget yesterday. So we have to look at it. But definitely 1% can be attributed to, I would say, payouts to -- I mean capital restructuring in terms of larger payouts. And the last 1% is the overall margin improvement in the P&M part of -- the traditional business of Projects & Manufacturing. I just gave a simple explanation of the bridge from 15% to 18%. In what forms, what will happen, only the next two years will say.

Priyankar Biswas: So since last year particularly, the payout levels were quite high, so should we be expecting -- like, I am not going into what form of the payout, but similar payouts like last year?
P. Ramakrishnan: I have given you a bridge. You asked me a question about the bridge which I have given y ou. Now, when the payout will happen in what form, I guess only time will tell.
Priyankar Biswas: And PR, just one more question from my side. So there has been this news and probably OTC was -- so there has been this news of the collaboration for Saudi Aramco projects and we have also seen that in Saudi Aramco's own capex guidance for this year, they seem to have factored in a y -o-y increase especially with the gas projects. So is there any reason why the middle eastern hydrocarbon projects have be en cut -- prospects have been cut down. So what exactly is it derived from?
P. Ramakrishnan: So of course, I wish to tell you that structurally I believe Saudi Hydrocarbon spend for FY '24 is almost USD48 billion, and next year is going to be around USD60 billion or so. And this is as per the public domain, whatever messages are coming out. Yes there can be some reallocation of projects in that overall pie. Maybe oil, the percentage of oil could come down, but as far as gas-based opportunities are concerned, oil to chemical opportunities are concerned, I think all those plans are still on and we are closely working with the clients, like any other contracting company and hopefully we should get some of those o pportunities in our favor in the near term.
Priyankar Biswas: So PR, my question was more like on the cutting of the Middle East hydrocarbon prospect. So since you highlighted the Saudi's spend is actually going up. So here the prospects going down. So I'm ju st trying to reconcile that. So is it from...
P. Ramakrishnan: So Priyankar, it's for the next nine months, no? So we also are working closely with the various clients. Let's not stick to only Saudi A rabia. We are also looking at other countries as well, be it UAE, Qatar, also some other oil producing countries in North Africa. There are some opportunities out there, but I feel it is specific to one quarter this has come down. But I don't think this is any -- at this juncture for us to say there is a structural drop in the overall opportunity landscape.
Priyankar Biswas: Okay, thanks, PR. That's very clear now.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Secur ities. Please go ahead.
Parikshit Kandpal: Hi, PR. Congratulations on a decent quarter, sir.
P. Ramakrishnan: Thank you.
Parikshit Kandpal: So my first question is on increasing exposure of international in the order book. So will it have any impact on the margins? So given that we've given 8.2% guidance for P&M margins for FY '25 and the share of international has been increasing, so will that impact our guidance on P&M front?

P. Ramakrishnan: So this, I think Parikshit, Yes, the only thing which I woul d like to mention is all the international projects are largely fixed -price contracts and if we continue to perform in line with the completion deadline of those contracts and the input costs remain what they are, I think the margin trajectory should no t at all worsen. In fact, if you are able to complete the projects on time, I don't see a reason why margins even for these fixed -price contracts can improve. But as it stands now, since we refer to margin guidance to the extent of that particular year, t his year basis, the construct of the various projects that are getting into execution mode across the segments, across the geography, we have maintained the target at 8.2% to 8.25% for FY '25. Q1 has started off with a, I would say good start. In fact, if you see the margins for

the Energy segment actually has come down, but it is only because of the state of execution of the jobs in the segment. So hopefully, I guess you should see an improvement out there as well. But I wish to tell you that if you are ab le to complete the jobs on time on the international order book, definitely margins could be more positive than what we are looking at today.

Parikshit Kandpal: Okay. And my second question was on domestic ordering, domestic prospect pipeline. So some of the segments we are seeing that government may increase the PPP share . Government intends to increase the PPP share , like in T &D, we are already seeing the TBCB and then in roads, BOT is getting revived. So do you think there is a case for you, and maybe i n railways also some kind of PPP may emerge. So is there any case for you to come back and have a relook at equity way of investing into these projects given that it may reduce your prospect pipeline if you don't do that?

P. Ramakrishnan: Parikshit, the or der prospects that I have given for Construction part of the business, they are all what we are planning to bid for, and these are all projects that are on out and out EPC basis. There aren't any, I would say, significant BOT opportunities. And I think L&T has made a clear statement that we would not like to pursue the investments in the concessions part of the business.

Parikshit Kandpal: Okay. And just the last question on the arbitration claims . So if you can help us quantify what would be the total arbitration claims currently under progress and do you think some point of time in this year if the Am aravati thing plays out and there's some revivals, do you think there could be some tailwinds to a margin uptic k positively with th e claims coming back by the government? So if you can help us understand a bit or give some more color on the arbitration thing.

P. Ramakrishnan: So Parikshit, I think I answered to this question as far as Andhra jobs are concerned. So discussions have sta rted. That itself is a positive development and hopefully, I guess, the discussions have commenced itself is positive. Now how will the discussions pan out in terms of revival of which part of the projects, recovery of which part of the money, I think it's still too early to comment upon but this is a very positive outcome. Now, its impact on margins and all of that, how arbitration awards, whether come in our favor going against us, I think it's a part of the overall contracting business, but specific to Am ravati it is a positive development.

Parikshit Kandpal: But what will be the overall arbitration pipeline? Because I understand AP alone was about, if I remember from past because you mentioned about I think Rs 1,500 crores, Rs 1,600 crores was

the pending receivables. So correct me if that is still the number and overall what could be the arbitration being perceived right now in terms of the overall company?

P. Ramakrishnan: So, Parikshit, I think if we have to really give a data statistic of how much of c laims that the company is pursuing against its various projects with its customers, and it's also important that some of the customers also have counter claims on L&T, so this all goes into a negotiation mode. It is very, very inappropriate for me to come out to the Earnings Call to actually put out a number. It is only when we believe that a claim is coming out to a place where the customer and L&T have in principle agreed to settle, till that point of time it is reckoned in the P&L.

Parikshit Kandpal: Okay. And j ust on the Hyderabad Metro, if you can help, because of this government issue how are you chasing it now? So how do you think that ridership will play out and in terms of government support, has anything related to government support come in versus the last quarter, which was supposed to come

? So if you can update us on that.

P. Ramakrishnan: Yes. Okay, so the ridership in Q 1 was 4.32 lakh per day . Some amount of impact is there because of the free bus scheme to ladies. But definit ely one of the reasons for a small drop in ridership compared to Q4 which was at 4.42 lakhs is because Q1 had summer months and holidays and so on. So as we are getting into Q2, the average ridership on a weekday, that is Monday to Friday it goes u p to almost ranging between 4.8 lakhs to 5 lakhs and during weekends it comes down to maybe 3.5 lakhs to 3.7 lakhs. So there will be a steady increase in ridership.

But I guess the ridership improvement is not resolving the issue that we have. I think it' s more to do with the fact that how do we reduce the current debt of almost Rs 12,500 crores to the entity . So till now we have received around Rs 900 crores odd from the government in terms of that soft loan. Hopefully, I think the governmen t should be proactive enough to provide the balance Rs 2,100 crores of loans that has been cleared in the assembly in the last year or so. So I guess still discussions are happening. Once those things come, definitely will enable us to bring

down the curre nt loans and lower the interest cost and thereby at least reduce the losses.
Parikshit Kandpal: Okay. Sure sir. Thank you. Those were my questions, and wish you all the best.
Moderator: Thank you. We have the next question from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: Thank you so much for taking my question and congratulations on an amazing quarter. So, I have two questions. Firstly, what do you think about the offshore wind business in the medium term? As per the annual r eport, it looks like the company is pursuing bids in offshore projects globally. That is the first one. And the second is that how is green hydrogen opportunities panning out? Are the discussions progressing like we had hoped? And are there more closures of projects in the near term?
P. Ramakrishnan: Okay, so, Nidhi, as a start now, I guess during the current quarter, we did get an offshore wind project. It was an international project, that is almost just about $100 million or so. I think it's the first fo ray for L&T to get into this business where we are leveraging primarily our offshore skills in the hydrocarbons part of the business, into this offshore wind part of the business. So

it's one of the first orders. I think it's a good th ing to start with having got such an order from a very prestigious client. And we believe that this part of the business is a little more complicated than any other normal wind business. I think we have to be carefully and it's a little more capex - intensiv e. We will pursue these opportunities because we feel that this is a sustainable, I would say, capex that is going to happen in this particular renewable energy segment, not necessarily like in emerging markets. India is also talking about it, but I guess some of the European markets will definitely look into these kind of investments. That augurs well for us, but to start with, as I said, we have secured one of the first orders. So hopefully I think we should be getting more and executing them properly as well.
And your second question was on, I missed that.
Nidhi Shah: Green hydrogen. So are the opportunities panning out and are the discussions progressing like we had hoped? And are there any new closures on projects on specifically green hydrogen?
P. Ramakrishnan: So we did get a first project opportunity from green hydrogen with a private sector client to set up an electrolyzer unit. So we are evaluating various options and various opportunities. But in terms of what you call a meaningful opportunity is the IOCL tender that we are looking to bid through our joint venture with the IOCL itself. IOCL and ReNew. So it is to

o early days in terms of trying to look at the overall size of this market.
As I mentioned, the order prospects pipeline a s of June for this green energy part is still around, Rs 10,000 crores odd. So it's too early stage. But we believe that this will get scaled up in the next 1.5 years and 2 years to something very much more meaningful. Because all the players, be it the developers or be the customers, all of them are evaluating the opportunity in terms of the scalability, the saleability of the end product, because obviously there is some amount of cost that has to be higher than what is the current end product , which we are using, either a black or a blue hydrogen. I think it will be a transition phase, but we are looking at both domestic and also adjacent geographies for EPC solutions in this particular area.
Nidhi Shah: All right. And you mentioned the IOCL p roject. So what is the basically progress on the bidding part of it? And when this gets tendered out finally, what do we expect the timelines to be on this?
P. Ramakrishnan: So the bids have been opened. So it is a 10 KTPA kind of a project. And there are two bidders, I believe, apart -- I mean ours and another bidder. So the bids have been submitted. It is up to IOCL to take the next steps on this.
Nidhi Shah: All right. So at this point there is no visibility on when the bids could be closed and when the contractor...
P. Ramakrishnan: As I said, the price bids have been submitted and there are two bidders. So the customer will have to take a call, which I believe should be in the near term. We cannot comment on the timelines per se.
Nidhi Shah: All right. Thank you so much.

Moderator: Thank you. We have the next question from the line of Amit Binde from Morgan Stanley. Please go ahead. Amit, the line for you has been unmuted, you may proceed with your question. As we are not receiving a response from the current participant, we will proceed to the next question

which will be from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Hi, PR. Just one question. This has been a quarter where the domination both on top line as we ll as order inflow has been by the international business and your margins have improved a little bit. So any read across on how we should look at margin the next few quarters, given that domestic should actually come back in terms of its big ger contribution on the overall revenue footprint. So any sense on how we should look at margins in the next few quarters in light of what we saw in Q1?
P. Ramakrishnan: So, Pulkit, if you are to break up this P&M revenue into domestic -international, I thi nk the international part of the business did well considering that there were no constraints per se, whereas on the domestic side there were constraints in terms of the heat and also the election season. So going forward, I guess we will come back to complete normalcy. Not that when we gave the guidance of revenues of 15% we were not aware of this aspect, that the domestic part of execution could be a little more subdued in Q1. All of that is baked into our guidance. Insofar, margins are conc erned, margin would be a combination of the project mix and whatever we talked about, utilization, execution, ramp up, some of the projects to cross the margin recognition threshold. All of this is an aggregate including favourable claim settlements or settlements to the clients on the other side. So it's a combination of those.
We have had a good start into Q1 as far as the margins are concerned. The P&M margins, as I said earlier, has improved by 20 basis points. And we believe t hat we don't have anything for us to comment for the balance nine months where we have an indicator to say margins could be a little softer than what we had demonstrated in Q1, but too early to comment on the landi

ng part
of the yearly FY '25 guidance on m argins. But at this juncture we have had a good start.
Pulkit Patni: Sure. No problem. PR. That's the only question. Thank you.
Moderator: Thank you. The next question is from the line of Bharanidhar Vijayakumar from Avendus Spark. Please go ahead.
Bharani dhar Vijayakumar: Okay, great. So can you refresh us on your capabilities on nuclear and what are the upcoming opportunities there? There was a recent Karnataka order which slipped by -- so can you just talk on that nuclear portion?
P. Ramakrishnan: So the nuclear -- see, okay, as far as nuclear is concerned, I believe we almost cover the length and breadth of a nuclear power plant right from full scale construction including the turbine island, the nuclear island and all of the balance of plant. So of course, there can always be hits and misses in any highly competitive landscape that we have but as far as the construction part is concerned, going forward, I think, the order prospects that we have in the nuclear construction part I think would be in th e range of maybe around Rs 7,000 crores to Rs 10,000 crores odd, the near next nine months of prospects in this particular path.

Bharanidhar Vijayakumar: Okay. And this would be largely NPCIl's project.
P. Ramakrishnan: Nuclear in India is largely NPCIL.
Bharanidhar Vijayakumar: Second question is on...
P. Ramakrishnan: So, on this aspect, what I said was, nuclear power plant construction and related mechanical works, when it comes to specific, because the government is also talking about diversifying into the smaller and modular reactors, the BARC reactors and all, these are all will be opportunities besides this, beyond this. What I just gave you, Rs 7,000 to Rs 10,000 relating to only the further projects of NPCIL in this particular segment.
Bharanidhar V ijayakumar: Right. So on the upcoming initiatives by the government and its plan, so where would we come in, in that? Like, where would we be contributing? Is it significant?
P. Ramakrishnan: I think as I mentioned earlier, we do have a full scale capabili ty in this segment having worked very closely with NPCIL across most of their nuclear power plant installations in the country. I think it's a question of joint effort and we will be able to meet up to those requirements.
Incidentally, our Heavy Engineerin g division, which is forming part of our Projects & Manufacturing is already pre -qualified on the smaller and modular reactors to supply them. So we have -- technically, we are qualified. So, it's all a question of when the customer wants to start investin g on those.
Bharanidhar Vijayakumar: Understood. My final question is on Saudi Arabian opportunities. So there, are we looking at these NEOM projects like New Murabba, The Line, these kind of projects apart from Hydrocarbon and Renewables?
P. Ramakrishnan: The focus of -- I mean, as far as Middle East is concerned, we continue to focus on Renewables and Hydrocarbons apart from road and railway projects. Road project means, I'm referring to railway projects and also metro packages in various par ts of the Middle East.
Bharanidhar Vijayakumar: Understood. So basically these other urban infrastructure projects like The Line, the New

Murab ba, so that, we are right not focussing?
P. Ramakrishnan: The order prospects that I talked about, with respect t o the international order prospect, largely factors the kind of proposals that I just now referred to.
Bharanidhar Vijayakumar: Okay, sir, understood. All the best.
Moderator: Thank you. The next question is from the line of Nikhil Nagania from Bernstein. Please go ahead.
Nikhil Nigania: Hi, thank you for taking my question. I had just one question. Now that we have such a big exposure to the Middle East, we have been talking about the local employment requirements.
But what

we read from other EPC companies globally is that there are local sourcing requirements as well. So wanted to check does L&T also have local sourcing requirements and do we see a risk of delays due to these requirements in the Middle East?

P. Ramakrishnan: So Nikhil, I mean, as we have grown big in many of these places, I guess we are also in line with the requirements that are being put forward by these jurisdictions. In fact, most of our Saudi orders are actually getting awarded to the local subsidiary of L&T there. It's not ge tting awarded to the parent Larsen & Toubro in India. And as part of the local subsidiaries', I would say, capabilities, there is need to put up proper project management, resource staffing. Everything else is being done and all of this is getting appropri ately priced in the contract.
Nikhil Nigania: Understood. So you don't see broadly risk of delays given your experience there and given the setup there? That's what I should take away, PR?
P. Ramakrishnan: At this juncture, no.
Moderator: Thank you. The ne xt question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.
Shrinidhi Karlekar: Yes, hi, thank you for the opportunity and congratulations on good set of number. Couple of questions from my end. PR, just wanted to hear your thoughts on t his domestic private capex cycle. With election uncertainty behind us, how is L&T seeing from this end market?
P. Ramakrishnan: So Shrinidhi, the domestic private capex, that we are looking at and we see a lot of traction. I think first is in the area of real estate. Now, when I talk about real estate, I take all the colors of real estate from residential to commercial to, I would say, hybrid city development or to even data centers. I guess there has been a big jump into this particular segment and all of that is happening through private sector capex itself.
As far as the other part of private capex is concerned one can look at only either two areas, one is the concessions path with the public private capex and the other one is investments into pure industrials or new age sectors. As far as investments in the industrials are concerned, all the entities that are directly related to the construction part of the overall infrastructure space, that is cement, steel, paints, fittings and all the end manufacture rs are looking to increase the capacities either greenfield or brownfield. And in some of those expansions, L&T also has got, I would say, some amount of contracts.
Having said this, the value of such contract of building a factory building will in the ra nge of say Rs 200 crores to Rs 300 crores. So that's not going to materially move the needle for us. But I would like to reaffirm that segments that are directly related to the overall infrastructure, especially on the real estate, I think there is a posit ive momentum.
The one aspect where the momentum which is possibly a little subdued or possibly even missing would be the public private capex part because that is the large investment. Now, in that case of investments happening, L&T also has a good chance to bid for such kind of projects as an EPC contractor. I think that is still some time away.
But having said this, I believe going forward with the continuity and the stability of the government's focus on investments or the GDP led through investment rel ated growth in the next five years or so, I guess we could see some large ticket investments happening into the new

age sectors. Apart from data centers which is again an extension of real estate but new age sectors like electronics m anufacturing or semiconductor manufacturing, those things could come up in sizeable amounts, but it is still early days for us to conclude on that.
Shrinidhi Karlekar: Right. So go

od to hear. And sir, what I wanted to also ask is on the Hyderabad metro TOD pipeline. Last year, we had very good numbers. How is prospect pipeline for the TOD monetization looking like for this financial year?

P. Ramakrishnan: So we still have TOD monetization of almost 14.9 million sqft, but each of those monetization requires the prior approval of the government. So out of this 14.9 million, we already have a 1.3 million developed infrastructure in terms of either malls or commercial establishments. We will be looking forward to monetize them over a period of time and upon rece ipt of the approval that particular transaction will get consummated in that specific quarter. Like the way it happened I think in Q2 of the previous year.

Shrinidhi Karlekar: Right. And the last one, if I may, sir, you gave a number on the solar EPC backl og that you have. May I ask you to please repeat that?

P. Ramakrishnan: It's Rs 60,000 crores. Around Rs 60,000 crores as a backlog. And order prospects also in and around the same value.

Shrinidhi Karlekar: And sir, how it is split across domestic and int ernational?

P. Ramakrishnan: Largely international. So what is really happening that in domestic solar EPC L&T we are less aggressive or say less active in winning the bids . So the kind of solar or renewable package is interna tional, the sizes are large whereas we don't get such kind of large parcels in India for this kind of investment. So obviously then it becomes sub optimization of your entire resources. So we are focusing on the renewable -- international opportunities onl y on the solar side. As far as Renewables are concerned in India, I guess for the benefit of all, what we are looking at something as a good investment that are happening, which L&T also is getting, I would say, some amount of traction in terms of orders i s on pump ed storage projects.

Moderator: Thank you. The next question is from the line of Amit Bhinde from Morgan Stanley. Please go ahead.

Girish: Yes, hi, sir, Girish here. Sorry. We had a technical issue, got dropped off. Sir, the question was, and sorry if I'm repeating it, so you mentioned that domestic revenue growth was weaker because of possibly two things, one was heat wave and -- excess heat wave and secondly also because of the election cycle. Now Quarter 2 is also having lesser number of construct ion dates possibly because of all the rain, excess rain that we are seeing right now. So, is it possible that the domestic revenue execution likely picks up more in second half? And then I had just one follow up question on the prospect list.

P. Ramakrishn an: Okay, so, Girish, while we gave a guidance of revenue uptick on the 15% at Group level, in fact, the Projects & Manufacturing part of the portfolio also will be in and around the same levels

itself, has factored subdued domestic growth in Q1, a little more improved traction in Q2, and H2 will be the second half as far as revenue or execution of projects in India is concerned. So that is built in.

Hopefully, I think the Q2 conditions is far more better than what we have seen in Q1, because Q1, we had the twin problems of shortage of labor due to elections and also extreme heat, although we tried to bring down the effect by having shifts early in the morning and late in the afternoon. But that will not enable the full productivity for a continuous working 8 or 9 hours at the site level. So Q2 should be more better and hopefully H2 will take the lion's share of the growth as far as domestic is concerned.

As far international is concerned, I guess Q1 was like any other quarter. And I don't foresee per se, unless there are other geopolitical events that we are not aware of, happen, I think the ramp up of execution on the international side will be more or less equal over the four quarters.

Girish: Perfect. Underst

ood. Sir, if you -- because you do a bottom -up analysis of the prospect pipeline, if it's comfortable to share on a year -on-year basis for the first quarter ending now, prospect list in terms of how center versus state versus private versus -- how that is moved? And for international, any delta aroun d country level, whether it's Saudi Arabia or it's Qatar, if you can share any qualitative colors or quantitative color here.

P. Ramakrishnan: So, Girish, I think the amount of construct or breakup we are giving between domestic, international and across t he subsegments I thought is quite detailed enough. Now, if you were to talk about structurally...

Girish: No, the reason I ask is because, as you know, I mean, this is a shortened year. I was more focused around how states are behaving versus central PSUs. That was largely it. And if any color that you can provide at a country level in international, that would just help.

P. Ramakrishnan: So as far as India -based prospects are concerned, if I had to break up the India -based prospects, then the center state PSU and private, I think we'll be in the --we don't see anything unusual from the other than 15 -25-35-25 combination, which is 15% central government sponsored projects, state government projects account for almost 25%, public sector corporati ons or state owned companies, 35%, and private sector in largely the real estate and some of the various sectors, that I am looking at is at 25 -odd percent. That's the way if we have to look at the India prospects is concerned, the breakup.

Now, in terms of the international prospects which I talked about which is almost Rs 3.87 trillion as for the balance nine months, I think the major share of that is almost 50% of that is coming from Hydrocarbons. And the balance is largely coming from a combination of the various subsegments under Infra but led by the Power Transmission & Distribution. So going through that methodology, one can say, if you have to take a breakup of the geography out of this Rs 3.87 trillion, almost 45% could be from Saudi.

Girish: Okay. And sir, one small follow -up bookkeeping. Other income has dropped sequentially, by 12%. I don't know if you covered this, but is there any one -off in the base quarter in Q4, or how should we read the Q1 number, at Rs 920 crores odd?

P. Ramakrishnan: So we have given the -- other income has dropped in Q1 of the previous year because of the drop in investments that we have, the standalone.

Girish: Okay. It's dropped sequentially also. But is it because of the yield or is it just the number of -- the ca sh balance being the way it is.

P. Ramakrishnan: It's more of a cash balancing. Other income, as far as Q1 of previous year is concerned, at the standalone there is almost a drop of almost Rs 10,000 crores odd in surplus between June '23 to June '24 becaus e of the buyback. That had an impact on the other income drop.

Girish: Okay. And the capex number for this year would be about Rs 3,000 crores, Rs 3,500 crores?

P. Ramakrishnan: Around that range. Yes, around INR4,000 crores. Ye s, INR4,000 crores.

Girish: Okay. Thank you so much, sir.

Moderator: Thank you. Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments. Over to you, sir.

P. Ramakrishnan: Thank you everyone for attending this call at this late hour. It was our pleasure to interact with all of you. Good luck and wishing you all the very best. Good night.

Moderator: Thank you. On behalf of Larsen & Toubro Limited , that concludes this conference. Thank you all for j oining us. You may know disconnect your lines.

Call: Oct 2024

"Larsen & Toubro Limited Q2 / H1 FY '25 Earnings
Conference Call "

October 30, 2024

MANAGEMENT : MR. SUBRAMANIAN SARMA – WHOLE TIME DIRECTOR
AND PRESIDENT OF ENERGY DIVISION , LARSEN & TOUBRO
LIMITED
MR. P. RAMAKRISHNAN – HEAD INVESTOR RELATIONS ,
LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Lars en & Toubro Limited Q2 FY '25 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this confere nce is being recorded .
Today we have with us on the call, Mr. Subramanian Sarma – Whole Time Director and President of Energy Division ; and Mr. P . Ramakrishnan – Head Investor Relations of Larsen & Toubro Limited.
I now hand the conference over to Mr . P. Ramakrishnan . Thank you and over to you, sir.
P. Ramakrishnan: Thank you, Sagar. Good evening, ladies and gentlemen. A very warm welcome to all of you into the Q2 FY '25 earnings call of Larsen &Toubro.
The Earnings Presentation was uploaded on the Stock Exchange and on our Website around 6:35 pm, maybe one hour back. Hope you have had a chance to have a quick look at the numbers .
As per past practice, instead of going through the entire presentation, I will take you th rough the important highlights for the Quarter , followed by our Financial Performance summary for the Q2 FY '25 in the next 25 to 30 minutes. Post that we will take questions.
Before I start, a brief disclaimer from our end :
The Presentation that has been uploaded on the Stock Exchange and our website today, including the discussions that we will have on the call today, may contain certain forward -looking statements concerning the group's business prospects and profitability that are subject to several risks and uncertainties. And the actual results could materially differ from those in such forward -looking statements. I would request you to go through the detailed disclaimer which is available in Slide #2 of our Earnings Presentat ion that has been uploaded on our back.
The Indian economy continued to remain resilient and is expected to maintain a stable growth momentum for the rest of the Financial Year . This growth is being aided by a prudent policy framework of the Government of India, complemented by a proactive Monetary Policy Management from the Reserve Bank of India. Besides achieving a healthy trade -off between growth and inflation, the country's fiscal discipline and a well managed Balance of Payments converges towards macroeconomic stability. The well capitalized Balance Sheets of the banks and the companies further strengthen our hope of sustainable growth in the real GDP in the near to medium term.

With the risk o f elections and monsoon behind us, one expects recovery in economic activity in the coming quarters. Further, we expect healthy Public and Private Capex spend to drive economic growth in the second half of this fiscal year FY '25.
Moving on to international :
The global macro picture is mar red by the g eopolitical uncertainty arising out of the conflicts in West Asia and Eastern Europe . The growing divergence in the growth inflation dynamics across countries has resulted in varying monetary policy responses, wherein many developed nations have reduced r ates while some are providing policy stimulus to revive their economies. Despite all of this chaos, it is encouraging to note that the countries in the Middle East, led largely by Saudi Arabia, are continuing to focus on investments in oil and gas , Infrast ructure , industrialization and energy transition projects.
Having covered the macro landscape, let me now share a few important highlights for the Quarter:
Effective 1st September 2024, the Company has carved out a separate business vertical for Renewable Energy out of the Power Transmission and Distribution

business within its
Infrastructure segment, primarily to capitalize on the growth opportunities in the renewable segment in a more focused manne r. This strategic move comes as the global shift towards clean energy gains momentum and is driven by the need for decarbonized electricity to combat an all-pervasive climate change.
Moving on to Carbon Lite Solutions - I wish to clarify once again that in Q1 FY '25 we had renamed L&T Energy Power to Carbon Lite Solutions. We had mentioned that we expect this business to play a major role as enabled for energy transition by offering low carbon solutions . This will include gas to power , carbon captur e and various low carbon solution s. We had also mentioned that we were not keen in pursuing EPC opportunities in thermal power because of the unfavorable contracting terms, whereas we would selectively pursue BTG, that is Boiler and Turbine Generator island opportunities over time. I hope this clarifies our position with respect to our strategy with respect to CarbonLite S olutions.
Heavy Engineering business : The Heavy Engineering business won a new order on a sole sourcing basis from ITER, which is the International Thermonuclear Experimental Reactor project , for deployment of a critical advanced welding technologies fo r the world's largest nuclear fusion project at the ITER site in southern France . The ITER is an engineering mega project aimed at creating energy through nuclear fusion process. Earlier in calendar 2020, L&T had successfully fabricated and completed the e arly delivery of the world's largest stainless steel high vacuum pressure vessel cryostat for the IT ER project. The ITER p roject is a globe -spanning collaboration comprising of 35 countries.
Coming to the Precision Engineering and Systems busin ess: Since its inception in the early 80s, this business has built a portfolio of wide -ranging indigenously -designed and developed products ,

systems , solutions, platforms and technologies for the defense, engineering and aerospace sectors. We believe the Government's indigenization efforts will immensely benefit the defense PSUs , including multiple private companies such as us. While remaining very exc ited about the opportunities in the near future, we also need to factor the stretch ed timelines around ordering as multiple programs need to pass the development test and need government clearances at various levels. We will regularly communicate with inve stors on the progress made.
With respect to Green Energy , the Electroly ser Manufacturing business : We have signed the technology license agreement for 4 MW electroly ser design with McPhy on the 18th of September 2024. Previously , this agreement was signed for 0.5 megawatt electrolyzer design with McPhy in March '23. Continuing with the electrolyzer factory expansion, the first automated robotic line for stack assembly with the capacity of 150 megawatts has been installed and commissioned successfully at our AM Naik Heavy Engineering Complex in Hazira in September '24. As mentioned earlier , we will ramp up the capacity to 500 megawatts in the near to medium term , followed by 1 gigawatts in the medium to long term. The group will actively pursue opportunities in the Green Energy EPC and target selective participation in green energy Development Project s as well. We will share the details at an appropriate time .
Coming to Real Estate development : In our group strategic plan that ends FY '26, we had targeted exit order inflows , that is FY '26 order inflows and revenues for the Realty Development business

around Rs. 8,000 crore s and Rs. 5,000 crore , respectively , for the year FY ‘26. We are on track to achieve the goa ls on the revenue side. A s far as order inflows are concerned, they are dependent on the launching of projects in Mumbai, Bangalore, Chennai a

nd possibly new launches elsewhere.

We remai n optimistic on order inflows for the current as well as the next financial year. Whereas it will be difficult to comment on the period beyond F Y ‘26, I would like to mention here that we possibly target around three to four times growth on order inflow an d revenue from our exit trajectory in FY ‘26. Depending on the market conditions, we will pursue growth in residential and commercial through multiple formats. Here , again, we will share the details once our plans are finalized with respect to real estate development .

Coming to the Semiconductor Design: I would say the incubation that we have done, this is done through L &T Semiconductor Technologies Limited , LTSCT, t hat is currently a wholly owned subsidiary. LT SCT has inaugurated its new development center in Bangalore , pivotal step in its journey to innovation and excellence in the Indian semiconductor industry. During the current quarter, LT SCT completed the acquisition of 100% equity of SiliConch Systems Private Limited , a Bengaluru based semiconductor startup , focused on power semiconductors with a portfolio of more than 30 granted patents, and a team of 60 experienced engineers. The acquisition is expected to accelerate LTSCT’s product development roadmap for power semiconductor devices. LTSCT also signed an MoU with the Center for Development of Advanced Computing , an autonomous scientific entity under the Ministry of Electronics and Information Technology , Government of India. The strategic collaboration will aid indigenization efforts, with an emphasis on the creation of Make in India integrated circuit , system on chip circuit , and electronic systems design ed and Manufacturing solutions for automotive, industrial and energy app lications. At the current

juncture, LT SCT will operate as a fabulous semiconductor entity, with the primary focus on nurturing IP and fostering innovation with the Indian semiconductor industry. LT SCT, therefore, proposes to operate as an integrated produc t company, offering a wide range of semiconductor solutions and software products, with a focus on analog, power , mixed signal , MMS, radio frequency and VLSI chips catering to automotive industrial products, communication , and energy Infrastructure s in Ind ia as well as globally.

Coming to another expansion to a new business , that is data centers, a quick update : Our 2 MW data center in Panvel is under integrated testing and is expected to be commissioned in the current quarter , which is October to December ‘24. Further, a 12 MW data center in Chennai is nearing completion of its testing phase and is expected to be commissioned shortly. We have plans of scaling up the data center in Chennai to 30 MW in the near term . Besides Chennai, we will also be looking to set up data centers at Mahape , Navi Mumbai , and Whitefield, Bangalore , in the near to medium term. We are also evaluating multiple other opportunities currently and will share the details once the plans are finalized with respect to this business.

Lastly, Hyderabad Metro achieved the highest ridership ever on a single day of 5.63 lakhs on August 14th, 2024.

Now, I will start by giving you a summary of the various financial performance parameters for Q2 FY ’25:

Q2 FY ‘25 was a quarter of robust performance across all the financial parameters. Our group order inflows for Q2 registered a sequential growth of 13 %. O n the back of a strong ordering momentum , our order book crosse d a new milestone of Rs. 5 trillion. Aided by a strong execution momentum from several businesses within the core Projects and Manufacturing portfolio, our group revenues for the quarter register ed a growth of 21% on a Y-o-Y basis. Similarly, our margin for the Projects and Manufacturing portfolio also expanded by 20 basis points over the corresponding q

uarter of the previous financial year. Our Net Working Capital to Revenue at 12.2% as of September ’24, this is with respect to the group , improve d by 170 ba sis points on a sequential basis.

A very strong financial performance this quarter is also supported by robust free cash flows and an improvement in the return on equity as well. Our Return on Equity on a trailing 12-month basis as on September ‘24 is at 1 6.1% , improving by 140 basis points , and 80 basis points on a sequential and Y-o-Y basis , respectively.

Moving on to individual performance parameters : The group order inflows for Q2 FY ‘25 at Rs. 800 billion registered a sequential growth of 13% and a Y-o-Y decline of 10% . The corresponding quarter of the previous year had the benefit of the receipt of some international ultra mega orders in the Hydrocarbon business. Within the group order inflows, our Projects and Manufacturing business secured order inflows of Rs. 630 billion for Q2 , reporting a degrowth of

14% over the corresponding period of the previous year. Just now I mentioned that this is largely

because of the high base in the correspondin g quarter of the previous financial year. Our Q2 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure , Hydrocarbon , Precision Engineering & Systems , as well as Heavy Engineering . During the current quarter, our share of in ternational orders in the Projects & Manufacturing portfolio is at 62% vis-a-vis 68% in Q2 of last year. The current quarter witness ed orders getting received from multiple segments like renewables, transmission and distribution, roads and runways, urban transit systems, nuclear power , hydel and tunnels, minerals and metals , factories, precision engineering & systems as well as offshore vertical of the hydrocarbon business.

Moving on to the prospects pipeline for the near term : We have a total prospects pipeline of Rs. 8.08 trillion for the near term, more so for the six months of the current financial year. This corresponds to Rs. 8.78 trillion at the same time in the last year , representing, I would say , a marginal drop of 8% on a Y-o-Y basis. This decrease is primarily due to a fall in the Hydrocarbon and Carbon Lite Solution s prospects pipeline . The broad breakup of the overall prospects pipeline for the near term, largely for six months is as follows : Infrastructure comprises Rs. 5.42 trillion vis-à-vis Rs. 5.06 trillion last year ; Hydrocarbon - Rs. 2.25 trillion current year vis-à-vis Rs. 2.91 trillion last year ; Carbon Lite S olutions , Rs. 0.24 trillion vis-à-vis Rs. 0.55 trillion last year ; aggregate of Heavy Engineering and Precision Engineering & Systems Rs. 0.16 trillion vis-à-vis Rs. 0.23 trillion last year.

Moving on to order book : Our order book is Rs. 5.1 trillion as of September ‘24, which is up 13% vis-à-vis September ‘23 last year. As the Projects & Manufacturing business is largely India - centric, 60% of the order book is domestic and 40% international . Out of the international order book of Rs. 2.05 trillion, around 85% is from Middle East and the rest is from other countries across the world. Like I said earlier, the various countries in the Middle East are continuing to focus on investments in oil and gas , infrastructure , industrialization and energy transition.

The breakdown of the domestic order book of Rs. 3.05 trillion, which I said is 60% of the overall order book, is as follows :

The share of Central Government projects is 14% , State Government projects aggregate to 28% , prospects from PSUs or State-Owned Enterprise comprise 36% , and the Private Sector ha s the remaining share of 22% of the domestic order prospects. Approximately , around 17% of our total order book of Rs. 5.1 trillion is funded by bilateral and multilateral funding agencies. Again,

90%

of this total order book comprises from Infrastructure and Energy. You may refer to the presentation slides for further details . During the H1 FY ’25, that is April ‘24 to September ‘24, we have deleted orders of Rs. 6 billion from the order book. There are no deletions from the order book in Q2 FY ’25. As of September, ’24, the share of slow -moving orders is minus cule, which is around 0.5% of the total order book.

Coming to Revenues :

Our group revenues for Q2 FY ‘25 at Rs. 616 billion registered as strong Y-o-Y growth of 21%. International revenues constituted 52% of the revenues during the quarter. The strong execution momentum in Infrastructure , Hydrocarbon and Precision Engineering & Systems within the Projects and Manufacturing portfolio drove the overall group revenues for the quarter. Within the group revenue, the revenue for P&M business for Q2 FY ‘25 is Rs. 445 billion , up by 28% over the corresponding quarter of the previous year.

Moving on to EBITDA Margin: Our group level EBITDA margin without other income for Q2 FY ‘25 is 10.3% vis-à-vis 11% in Q2 of the previous year. This EBITDA margin variance is mainly due to a non-recurring TOD, that is Transit Oriented Development monetization gain that happened in Hyderabad Metro in the previous year. The detailed breakup of the EBITDA margin business wise , including other income , is given in the annexure to the earnings presentation. You would have noticed that the EBITDA margin in the Projects and Manufacturing business for Q2 FY ‘25 is at 7.6% vis-à-vis 7.4% in Q2 of the previous. I will cover the details a little later when I talk about the performance of each of the segments.

Our Consolidated PAT for Q2 FY ‘25 at Rs. 34 billion is up by 5% over Q2 of last year. This PAT growth is reflective of improv ed activity levels , partly offset by lower other income . The drop in other income is a function of lower average treasury investments in the current quarter compared to the corresponding quarter of the previous year. As you may be aware, the drop in averag e treasury investment is also attributed to the share buyback that was done by the company last year. Further , PAT of the corresponding quarter of the previous year includes this gain that I was talking about , the TOD monetization in Hyderabad Metro of Rs. 5.12 billion. Excluding this non -recurring TOD monetization gain, the consolidated PAT for Q2 FY '25 has registered a growth of 25% over the corresponding quarter of the previous financial year. The group performance, the P&L construct , along with the reasons for major variances under the respective function s is provided in the presentation. You may go through the same for further details .

Coming to Net Working Capital:

The Net Working Capital to Sales ratio, or NWC t o sales ratio has improved from 13.9% in June '24 to 12.2% in September '24, mainly led through an improvement in the Gross Working Capital to Sales ratio backed by strong customer collections during the quarter. Further, on a Y-o-Y basis, the NWC to sales has improved from 16.7% in September '23 to 12.2% in September '24. The group level collections excluding Financial Services business for Q2 FY '25 is Rs. 621 billion vis-à-vis Rs. 463 billion in Q2 FY '24, registering an increase o f 34% on a Y-o-Y basis.

I would also request you to go through the cash flow statement as part of the annexes to the Earnings Presentation. The cash flow from operations for Q2 FY '25 at Rs. 77 billion has more than doubled vis-à-vis Rs. 35 billion in Q2 FY '24. Finally, trailing 12 months ROE for Q2 FY '25 is 16.1% vis-à-vis we 15.3% in Q2 FY '24, an improvement of 80 basis points. The improved profitability with every passing quarter , along with the return of capital to shareholders in the form of first b uyback is contributing to

this improvement.

Very briefly, I will now comment on the performance of each of the business segments before we give our final comments on the outlook.

First, Infrastructure . Coming to order inflows :

This segment secured orders of Rs. 495 billion for Q2 FY '25, registerin g a robust growth of 77% on a Y -o-Y basis. International orders constituted 63% of the total order inflows. The current quarter we received orders mainly in the transmission and distributio n, renewable energy , and adequately supported by other business verticals like minerals and metals, buildings and factories , transportation , and heavy civil Infrastructure . Our order prospect pipeline in Infrastructure segment for the near term , that is six months , is around Rs. 5.42 trillion vis-à-vis Rs. 5.06 trillion during the same time last year. This represents an increase of around 7%. The Infra prospects pipeline of Rs. 5.42 trillion comprises of domestic prospects of Rs. 4.14 trillion and internati onal prospects of Rs. 1.28 trillion. The sub -segment breakup of the total order prospects in this segment is as follows :

- Water & Effluent Treatment - 17%;
- Power Transmission and Distribution - 7%;
- Renewable - 8%;
- Transportation Infrastructure - 28%;
- Buildings & Factories - 15%
- Heavy Civil Infrastructure - 18%
- Minerals and Metals, 8%.

The order book of this segment at Rs. 3.43 trillion as of September '24. The book to bill or the execution time frame for this order book is ar ound three years . The Q2 revenues for Infrastructure segment at Rs. 320 billion registered a strong growth of 30% over the comparable quarter of the previous year, largely aided by very strong execution progress across multiple jobs from the opening order book. Our EBITDA margin in this segment for Q2 FY '25 is at 6% vis-à-vis 5.4% in the corresponding quarter of the previous year. The higher margin is primarily explained by improved job progress.

Moving on to the next segment, Energy Project s, that comprise Hydrocarbon and Carbon Lite Solutions : The decline in the Q2 order inflow for the segment is mainly due to a high base that I mentioned earlier during the call. Like I mentioned , the previous year Q2 had the benefit of ultra mega orders in the Middle East in the Hydrocarbon business . We have a strong order prospects pipeline of Rs. 2.49 trillion for this energy segment, for the remaining six months , that comprises of Hydrocarbon pros pects of Rs. 2.25 trillion and CarbonLite solutions prospects of Rs. 0.24 trillion. The order book for this Energy segment is at Rs. 1.17 trillion as of September '24, with the Hydrocarbon order at Rs. 1.13 trillion , and the CarbonLite S olutions business having an order book of Rs. 0.04 trillion . The Q2 FY '25 revenues for the segment at Rs. 89 billion registers a healthy growth of 31%, driven mainly by the execution ramp up of international projects in the hydrocarbon business. The lower revenues in CarbonLite S olutions are largely reflective of a depleting or a lower order book. The Energy segment margin in Q2 FY '25 is at 8.8% vis-à-vis 9.5% in Q2 of the previous year. The negative variation hydrocarbon margin in Q2 over the previous year is reflective of the stage of executions of the various jobs, whereas the improvement in the CarbonLite S olutions project margin is due to a better job mix.

We now move on to the Hi -Tech Manufacturing segment that comprises Precision Engineering and Systems , and the Heavy Engineering business : The receipt of land and marine system orders contributed to the order inflow growth in the Precision Engineering & Systems business, whereas Heavy Engineering business benefited from the receipt of a significant nuclear order. The order book of this segment is at Rs. 356

billion as of September ‘24. The order prospects pipeline for the remaining six months in this segment is around Rs. 158 billion , a strong execution momentum continues in the Precision Engineering & Systems whereas Heavy Engineering revenue decline is reflective of jobs in the early stages of execution. The segment margin in the current quarter is impacted by additional cost provisions in certain jobs in the Heavy Engineering business.

Moving on to the Information Technology and Technology Services portfolio : This segment largely c omprises of the two listed entities, LTI Mindtree and L&T Technology Services . The revenues of this segment at Rs. 118 billion in Q2 FY ‘25 registers a modest growth of 6% , which is largely reflective of present market conditions . Despite the ongoing macroe conomic concerns, the deal pipeline for this segment is healthy with good visibility across all the segments that both the companies cater to. The segment margin improvement in Q2 vis-à-vis the corresponding quarter of the previous financial year is mainly due to higher forex gains and other income. As both the companies in this segment are listed entities, the detailed fact sheets of their performance are already available in the public domain.

We now move on to L &T Finance Limited : Here , again, the detailed results are available in the public domain. But very briefly, I would like to cover Q2 revolved around very strong retail disbursements, healthy collections , and improved profitability. The balance sheet is strong on the back of inbuilt macro prudential buffers. The Financial Services business has achieved 96% retailization of loan book in September ‘24, well ahead of its Lakshya ‘26 targets. The ROA s remain healthy at 2.6% despite the sectoral headwinds. Like I had mentioned in my previo us call as well, this business is building itself on the five pillars of growth, namely enhancing customer acquisition, a sharpening credit underwriting process, implementing futuristic digital architecture, heightened brand visibility and capability build ing. And finally, adequate capital in the balance sheet is available to pursue growth in the near to medium term.

Moving on to Development Project segment : This segment includes Nabha Power and Hyderabad Metro. Most of the revenues in this segment are contributed by Nabha Power. The revenue and margin variance of this segment is explained by the non -recurring TOD monetization of Rs. 5.12 billion in Hyderabad Metro in the quarter of the previous year. At this juncture, I would like to give you some ridership statistics on the Hyderabad metro. They average metro ridership has improved from 4.32 lakh passengers in a day in Q1 FY ‘25 to 4.68 lakh passengers per day in Q2 FY ’25. The ridershi p in Q2 FY ‘24 was 4.62 lakh passengers a day. The metro at a PAT level,

the group has consolidated a loss of Rs. 2.07 billion in Q2 FY ‘25 vis-à-vis a profit of Rs. 2.4 billion in Q2 FY ‘24.

Moving on to the Other Segment: This segment comprises Realty , Industrial Valves , Construction Equipment , Mining Machinery, Rubber Processing or Tyre Processing Machinery, and the residual portion of the Smart World and Communications business. The Q2 revenues for this segment grew by 2% over the corresponding quarte r of the previous year, mainly contributed by higher handover of residential units in the Realty business, improved performance in Valves business , partly offset by a de -growth in the Construction Equipment , Mining Machinery business, including the Rubber Processing Machinery as well. The sale of commercial space in Realty , and improved overhead recovery in the Valves business drives the segment margin improvement in Q2 over the corresponding quarter of the previous year.

Coming to the last part of my p resentation, the Outlook for the near te

rm : The Indian economy has remained sanguine despite the ongoing global political turbulence , and is poised for a steady growth. The macroeconomic parameters of inflation and growth are well balanced. The investment activity has remained resilient, with the government Capex rebounding from a contraction that was observed in the 1st Quarter . Additionally, a new government policy offering employment -linked incentives to workforce and companies could improve the availabi lity of skilled and trained labor. Better than expected southwest monsoon augurs v ery well for the revival of the rural economy and consumption demand.

With the government 's fiscal consolidation efforts, the government debt is projected to decrease . Further , consumer inflation is anticipated to remain range bound on account of an improved agricultural output. The various high frequency indicators point towards the healthy growth momentum . The Manufacturing activity is also gaining on the bac k of improving domestic demand, lower input costs , and a supportive policy environment.

The global economic perspective is one of cautious optimism as the conflicts in Eastern Europe and West Asia are yet to spill over beyond the affected countries. The co ntinuing disruptions in the Red Sea are affecting global trade in terms of higher costs and longer lead time. Amidst all this upheaval, the Middle East continues to expand its investment in oil and gas, industrialization, and the various energy transition initiatives. The China Central Bank has unveiled its biggest stimulus since the pandemic to pull the economy out of its deflationary slide and back towards the path of growth.

Lastly, heightened economic and financial market volatility is likely to continu e in the short term as the US presidential elections are just around the corner. L&T is confident that the various structural reforms undertaken by the Indian government in the last 10 years will improve the quality of India's growth, besides setting a str ong foundation to propel the realization of a Vikasit Bharat by 2047. The company remains committed on pursuing technology -driven growth and deliver profitable returns to all its sta keholders on a sustained basis.

Lastly, we continue to maintain our guidance for the current financial year around Group Order Inflows, Group Revenues, Margin in the Projects and Manufacturing portfolio, and Group Net Working C apital to Revenue. Just to recall, the guidance for Order Inflow was 10% , for the Group Revenues was 15%, the margins in and around the same for the margins for the P&M portfolio that we had printed for F Y24 and the NWC to Revenue ta rget around 15% as of March 25.

Thank you , ladies and g entlemen for the patient hearing. We can now begin with Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question comes from Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar: Congratulations o n a very good order inflow in H1 FY25 despite a very high base. My question is on the first, how do you think about domestic prospects? Last year was subdued on account of general elections. The first half order inflows are also flat. The question is, are you seeing the signs of improving activity, I me an, in substantial terms in H2?

P. Ramakrishnan : Okay, Mohit , I think when we reported the financial results for FY24, when we gave the guidance for order inflow growth of 10% at the group level, we had actua lly baked in that the first six months as far as the domestic order prospects converted to order inflow could be a little subdued , given the fact that the first quarter was elections, followed by the government formation in Q2. Despite the subd ued environment, we believe that our numbers of domestic order inflows have been quite good and in line with our ow

n expectations for the first six months.

But definitely the H2, we believe that given that the conditions for the GDP growth and the overall financial state of affairs for the government and the private sector, I guess we could see a more busier second half with respect to the overall domestic ordering environment is concerned. As I was talking about against the total order prospects of 8.08 trillion, the share of domestic prospects is 57% aggregating to 4.6 trillion. So, in a way, it actually suggests that as we had assumed at the start of the year, the second half of the current financial year would tilt more to domestic ordering res umption at a larger scale.

Mohit Kumar: Understood, sir. My second question is on the EPC tender for the thermal power plant. Is it fair to assume that you'll not participate in the full EPC tender for thermal power plant? Having said that, EPC has a forte , right , and why are we restricting ourselves to only doing BTG? In fact, even in the NTPC bulk tender, it's a main plant package, meaning that we have to do the EPC works for the main plant. Can you help us understand?

Subramanian Sarma: Okay, this is Sarma here. So, we had said earlier that in the overall thermal power plant scenario, EPC which includes BTG and balance of plant , we had seen : a) first thing was that the terms and conditions were not favorable, and 2) what we had seen is th at there were significant delays in the balance of the plant -related activities particularly multiple interfaces with various stakeholders. So, combination of that was really causing some hardship in terms of extended project duration and hold up in bank g uarantees and unfavorable cash flows etc. We had decided

to withdraw from the whole segment, but then later on, there had been some extensive discussions and we have been able to negotiate better terms and conditions for the BTG part. And I think it also fits well into our core capability of Manufacturing , where we have a very advanced capacity and de -risk the overall portfolio because then we are kind of more in control of our own destiny and less dependent on others. I think all that fits into our overall risk profile. And we believe that with this approach, we should be able to deliver more consistent and better results.
Mohit Kumar: So, that's very helpful. So, my last question is that how are you thinking about monetization of the b alance 14 million square feet of land at Hyderabad in medium term? And what is holding us back fro m the accelerated monetization?
P. Ramakrishnan: So, Mohit , I will take that. This is PR here. So, as we have been talking about in terms of bringing back the Hyderabad Metro on track and its a combination of two items : one is the State Government financial support and along with the TOD monetization. Since it is a concession project, each of the TOD monetization that we need to do are subject to prior approvals of the government. So, we did one particular tranche in the Q2 of the previous year, and we are looking to monetize some of the parcels in the near term. Hopefully, I think you should get something happening in the next six months or so. But it will all be done i n tranches, and each tranche will be subject to a prior government approach because it is the overall, the Metro construction is a combination of running the Metro along with the real estate development. So, whenever we get an opportunity, interested party to buy over a particular land parcel, we will take a government approval and do that. And basis the pipeline of discussions and opportunities are happening now , we do expect some amount of monetization to hopefully gain momentum and get cryst allized by the end of this financial year.
Moderator: Thank you. The next question comes from Atul Tiwari f rom JP Morgan. Please go ahead.
Atul Tiwari: Sir, one question

again on Hyderabad Metro. So, the PAT loss was 2.07 billion in this quarter. It looks like that it has trended down versus close to being 2. 7, 2.8 billion per quarter kind of number. So, is there any one -off or it is like a normal decline because of increasing the cash flows ?
P. Ramakrishnan: So, Atul, Q2 of the current fi nancial year is normal operations of Hyderabad Metro and of course the ridership has improved , but I would like to state that the loss in Hyderabad Metro today is on account of the interest on the loans that we have taken . It is because of a slightl y lower interest rate and a lower loan portfolio, the losses are coming down. Now, this is steady state operations quarter as far as Hyderabad Metro is concerned. So, as the passenger traffic improves, slowly the extent of the loss should be coming down.
Atul Tiwari: Okay, sir. And sir, now that the execution of the large hydrocarbon projects won last year has started, so is it tracking in line with whatever we expected in terms of margin performance and

the speed of execution, etc. Asking because there has been a bit of a concern on very large exposure in Middle East and in the margins in those projects.
Subramanian Sarma: Yeah, this is Sarma here again . Both those projects, of Rs. 40,000 crores , I think they are very much on track. In fact, as you speak, we are slightly ahead of schedule at this point in time. And we have made some significant commitments already with respect to cost commitments, in terms of supply and construction. So, far it looks good .
Moderator: Thank you. The next question comes from Amit Anwani from Prabhudas Lilladher. P lease go ahead.
Amit Anwani: So, my question is on the Hydrocarbon prospect. You highlighted that there's been Rs 80,000- Rs 90,000 reduction in Hydrocarbon order prospects for H2. Just wanted to broadly understand, has the pace of orde ring slowed down or is there anything which we are not considering now as a prospect order for H2 ? Is that the reason for the redu ction in hydrocarbon prospects?
Subramanian Sarma: No, see the reduction what PR was talking about is with respect to last quar ter same time and as he had explained that we had a large contract, two of them, Rs. 40,000 crores were awarded to us and but as such in this financial year and first half , we have secured awards . We are performing as per our budget, and it is as per our f orecast . So, I said I do not see any slowdown or any loss of momentum. It is only in comparison to the lumpy big jobs we had last year and that is the nature of the business , I mean never know that maybe we will get similar lumpy large jobs in the second h alf. So, we have a still strong pipeline , and we are bidding for some large projects and we will have to wait and see how it unfolds in the second half.
Amit Anwani: My second question, sir, on the order prospect overall. So, we have seen that the prospect has

been quite lumpy last year from international markets and this year also there's been substantial orders from international markets. Now we have been doing thermal also, BTG, as you highlighted. So, broadly for the dom estic market, next 18 months, which areas or projects where we are seeing momentum? And are we overall seeing the domestic order intake also picking up strongly in next 12, 18 months since now the major events are over with respect to elections and many things are behind us. I just wanted to understand the 18-24 months perspective and major order prospects in domestic markets .

P. Ramakrishnan: Okay, so let me take that . Apart from what we spoke abou t just a while ago on the Carbon Lite solutions that the order prospects with the BTG , I think a large part of the prospect pipeline centers on Infrastructure . So, if you really see the total Infrastructure order prospects for H2 aggregated to 5.42 trillion

, out of which the share of domestic was 4.13 trillion. Now, if I look at the overall composition of this 4.13 trillion of domestic order prospects, I would say from our perspective, it is actually a good mix of industrial str uctures, factories, residential structures, data centers, hospitals in so far as the B&F segment is concerned. We do see a significant amount of investments happening on the transportation infra , both in rail and also on the road, express ways & elevated corridor s. This also is quite substantial. And this also we believe that

we should be getting a decent share provided the prospects get converted into the tendering mode. Besides th ese segment s, there are also certain oppor tunities coming up in ports, in the airports and also hydel related projects in the country. So, in the Infrastructure segment, the composition of order prospects covers most of the segments where L&T is one of the leading players.

Amit Anwani: Lastly, on margins, you said that Project & Manufacturing margins would stay similar to last year. So, now, since we have moved 4-5 months, and you have some clarity on the prospects . Basis the current order book , are we now sensing improv ement in FY26 and any quantum you would like to broadly highlight on margin front when the margin improvement can be expected to start?

P. Ramakrishnan: I would like to mention here that as far as margins, all the guidance is concerned, it is for the specific financial year. So, as we have closed H1 at a higher margin clip as compared to H1 of the previous year, the P&M portfolio margin has im proved by 20 basis points. So, the year has been good. And at this juncture, I would like to maintain that the margin guidance that we have given at the start of the financial year with respect to the P&M portfolio at 8.2 % to 8.25 % still holds good. Let us see how Q3 shapes up before we look at revising . As far as next year is concerned, I guess we will look at next year at a separate time frame, not at this juncture please. However, having said this, let me also tell you the order book that we have is a mix of both domestic and international with a good mix of projects across sectors, some high-quality jobs, and also some normal commercial -related jobs. So as we end FY 25, I think FY26 looks to be a good start from an overall margin trajectory perspective. But to put a number to that, I think it's a little premature.

Moderator: Thank you. The next question comes from Parikshit Kandpal from HD FC Securities. Please go ahead.

Parikshit Kandpal: Sir, earlier in you r commentary during the call, you mentioned getting into development assets in the green power. So, if you can elaborate, what are you looking at in this segment?

Subramanian Sarma: Okay, in the green energy , we have two markets. One is the export market, and one is the domestic market. Within the domestic market, a lot of tenders have come out for green hydrogen as well as green ammonia, refinery sector as well as fertilizer sector. And we will participate on those. And they are all mostly on the developme nt side. And similarly on the international also, we are seeing some development and traction in supply of green ammonia and green hydrogen in Korea and Japan and those countries . We are partnering with some of those international players and will participate in those tenders. And if we are successful, then we will maybe have an off -take agreement against which then we will consid er investing and developing those assets . As far as IOC L tender is concerned, that is again for green hydrogen in Panipat that is available now as part of this large tendering activity going on and we will participate as we had done it in the past.

P. Ramakrishnan: Okay, to add t

o what Mr . Sarma just now spoke about as far as our presence in Development Project s in this space is concerned, I think we will be very clear that we will always work on with those projects where the offtake arrangements are co nfirmed and for a longer time so that there is a visibility of return.

Parikshit Kandpal: But will you also be open to looki ng at solar development assets?

Subramanian Sarma: No, currently that's not part of our plan.

Parikshit Kandpal : Battery storage ?

Subramanian Sarma: Battery storage is something we are studying now , we are exploring and looking at some technologies and it is under evaluation. I t’s a bit premature to say anything definitive, but it is under consideration. But solar, we have made a decision not to get into development. I think it's too late in the game in my view.

Parikshit Kandpal : And neither into module and battery, I mean, still Manufacturing on the sola r side. Even that you will not.

Subramanian Sarma: No, that is not in the plan.

Parikshit Kandpal : Second question is on the increasing share of export orders or international orders. So, PR, how do we look at the margins? You said that this year margins will maintain, but incrementally in absence of any large orderi ng on the domestic side till now and the share of international increasing , in the last call you highlighted, that a trend will be like from here on the margins will keep improving. So, will the trend change?

P. Ramakrishnan: So, Parikshit, the international project margins have been maintained in line with the bid conditions that we had secured those projects. But as you may be aware, most of the international projects are largely fixed -price jobs. So, a timely c ompletion will eventually lead to a better margin realization. Having said this, I think one important thing is, it is not only giving us size, it is also giving us recognition across the globe, because today the Middle East is just not the only geography where we are getting projects both in hydrocarbons and renewables. We are getting basis our strong performance in the projects that we secured. I think it's giving us good credentials to pursue opportunities outside of the Middle East also. But having said this, in fixed price contracts , timely execution will obviously ensure better margins in the future . As Mr. Sarma pointed out , some of the major hydrocarbon jobs that we secured i n the last 12 months or so, the execution has been in line with expectation and some cases we are actually ahead. Hopefully , I think it should lead to an improvement in the margins profile, but to put a number at this juncture, maybe again premature, but I wish to conclude here that the mix or the 50 -50 composition of, I would say, execution between domestic and international, also giving in the form of better cash flows and thereby overall improvement in returns is possible.

Parikshit Kandpal : The return w ise is fine, but mix wise, it's diluted as the margins and then export mix or internation al mix will be margin diluted?

P. Ramakrishnan: It depends on the stage of execution. So, hydrocarbons, what we are witnessing is all early execution stage projects. So, hopefully in the next year, they will achieve peak execution when in the form of, we don't recognize margins unless the projects achieve a particular stage. So, once they achieve, once they cross that and if there is on -time execution, you should see so me amount of margins improvement to happen.

Parikshit Kandpal : So, in the NWC data, we have seen a very, very strong kick -off and improvement there. So, what is driving this? We have been hearing from other much smaller EPC player, they are facing problems in the Jal Jeevan M ission project. The collections have not been up to the mark. So, because of that, they have reduced their execution. But overall

basis, what is driving these strong collections for you and have you also faced some issues in the Jal Jee van M ission projects, w hich is part of the order book?

P. Ramakrishnan: So, Parikshit, let me tell you that when we are giving the working capital, I wish to reiterate that this gain or the favorable movement in Net W orking Capital is a combination of a major drop that we are witnessing in Gross Working Capital further supported by advances which are shown in current liabilities, advances from new projects. Yes, in certain sectors across certain sectors or segments there are some headwinds in terms of delayed collections because of the financial conditions of the respecti ve customer or state . But we are mindful of the fact that we have a very large order book to execute , we are executing in such places only where the execution progress is in line with the collec tions that we are getting. So, we are able to manage this in a better way given the fact that we have a multi -segment, multi -geography that is within the India itself . Multi-geography means I'm referring to a combination of both state, central and across s tates. I think it's possibly enabling to ensure that we don’t do execution unless and until payments are happening on time.

Parikshit Kandpal : Just last question for on the real estate business. I mean, now it has become quite sizable. I mean , you spoke about Rs. 8,000 crores of order booking and Rs. 4,000 crores of revenue. And the media reports suggest that you're looking at Rs. 40,000 crores of order booking over the next 10 years in this business and adding about 50 to 60 million square fe et of land parcels. So, I wanted to know what kind of margins you typically make in these, because this is no w going to become very sizable. Slowly and steadily, it's becoming quite sizable as a part of the business. So, what kind of margins typically you are able to record in this segment or embedded margins or if you can give some color on embedded margins on the sales or order bookings?

P. Ramakrishnan: Like for example, okay, let me put it like this Parikshit that in the current quarter , which is the Others segment , the real estate business i.e. the Realty business had secured a margin of almost 37%. Now, is this embedded margin because in this business ? We recognize revenue only when the residential unit is handed over. So, in quarters, wherev er there is a large amount of handing over after receipt of the clearances of the respective municipal jurisdiction, you will find a bump

up in revenue an d also bump up in margins. But just to conclude our immediate plan on this particular business is the total or a total portfolio of almost 84 million square feet comprising both residential and commercial, we have almost completed 24 million square feet, which means that is already gone into the P&L of the past. So, that leaves maybe around 40 million of residential square feet yet to be monetized or coming as revenue and profits in the near future, and a commercial around 20 million square feet. So, broadly speaking, 84, you have already done 24, that leaves 60. And in 60, you have residential comprising of 40 and commercial comprising of 20. Commercial would be a combination of lease and outright sale, whereas residential as the model is, it's an outright sale. Now out of this 40 million square feet of residential, u nder construction that is launched, and we are taking bookings, would be around 10 million square feet. And future development, I was talking about various places in a combination of joint development and also our own land parcels is another 30 million squ are feet. On commercial, under construction is 10 million and future development is 10. Now, basis this, this is the existing, I would say structure we have. As we finalize the real estate business, how we are

going to take it up ahead, we will cover that at an appropriate point of time.

Parikshit Kandpal : Typically, what kind of Capex you do here on the land annually ?

P. Ramakrishnan: The new parcels that we are developing currently apart from monetizing our own land parcels is largely on joint development route. We are not investing land for residentia l development at this juncture.

Moderator: Thank you. The next qu estion comes from Aditya Bharti a from Investec. Please go ahead.

Aditya Bhartia: So, if we look at our order inflow guidance, we are looking at almost 20% order inflow growth in H2 while our prospect pipeline is down by almost 10%. So, what is really leading to it? Are we anticipating a higher market share or are we anticipating a higher chunk of those tend ers actually getting converted into orders? Finalization is happening quicker.

P. Ramakrishnan: So, Aditya, I think since you have asked a question, I need t o go with numbers. Last year, FY24 , the actual order inflow that the company printed was Rs 3 lakh cro res consolidated. And if you take a 10% guidance on growth, the F Y25 guida nce for total order inflow is Rs 3,30,000 crores. Now, the H1 FY25 actuals is almost at Rs 1,50,000 crores. Now, if I have to go back to meet the guidance of Rs 3,30,000 and I subtract the IT companies and Financial Services , my core business of Projects and Manufacturing , my run rate, which I need for order inflow is another Rs 1,50,000 crore. Okay, now my order prospects is Rs 8 trillion or Rs 8,00,000 crores. Okay, now you know, you can derive the win rate that is required, provided all these order prospects come into tendering, I mean, the subject to the normal qualifiers, but this particular win rate that you will get, is not something very unusually different from what we have printed , or we have done in the recent last 2 to 3 years.

Aditya Bhartia: Generally, we have been noticing like 15 -odd percent kind of a win rate is kind of slightly higher than that, which is why I'm wondering that are we also anticipating a pickup in market share?

P. Ramakrishnan: Obviously, the one big thing is that many of the order prospect that we have are very large ticket sizes in all the segments, both domestic and international. Obviously, we believe that some of these will get bid out and we stand a good chance of trying to make it. So, let me tell you that it is not something at this juncture a number where very high run rate that is required. This is something that we have witnessed in the last 2 years.

Aditya Bhartia: And sir my second question is on Power segment . There have been some media articles about us winning some orders from NTPC. So, just wanted to kind of know is that correct? Is that not

correct? And while you mentioned that you'll not be unde rtaking any EPC orders, how serious are we going to be on BTG orders on the pow er side, on thermal power side?
P. Ramakrishnan: Aditya, I think this was covered in detail by Mr. S arma, when we talked about sometime back at the early part of the call, that what's our plan. So, as the public domain news suggests, that we are well placed in some of the bids that has happened on BTG almost 6400 megawatts. We are well placed across 3 projects . Let us see how they come into a contracting opportunity in the curren t year or current quarter , I would say Q3 . Mr. Sarma, would you like to add ?
Subramanian Sarma: I mean you said it. I think we should know within this quarter where we reach on thi s. As far as the tender conditions , this 6.4 GW in three locations , the customer will award two packages of the bundle to L1 and third one could go to the L2 bidder if they are able to successfully conclude negotiations. We will have to see. But I think looks like that we will have at least 4 gigawatt if everything goes well.
Moderator: Thank you. Th

e next question comes from Shrinidhi Karle kar from HSBC. Please go ahead.
Shrinidhi Karlekar: So, very good to see 60 basis point kind of improvement in Infrastructure EBITDA margin. So, would you say that underlying margin improvement, if you look at separately the domestic business and international business are probably far higher and partly getting offset by mixed change towards international business ?
P. Ramakrishnan: So, Shrinidhi , I think I responded to specific question five minutes back. So, let me tell you that yes, Infrastructure margins have improved when you compare quarter -on-quarter. There has been an improvement. The margin trajectory in the Projects and Manufacturing portfolio is a cost, is a variation of the various projects execution across sectors, across states, across geography. So, basis the construct, we gave the guidance of around 8.2 to 8.25 for the full year. We are on a positive start, let me tell you, basis our H1 numbers. And we d o expect that the H2 also, there are no such perceived headwinds in so far as execution is concerned across the entire projects and across the projects in all the geographies. So, hopefully , I think we should be at least meeting the guidance that we have t alked about or we are referred to.
Shrinidhi Karlekar: And sir, second related question is, when we guided, we will be around 8.2 kind of margins in the projects business in 2025 as well. How should we see these margins in the context of trend margins? The se 8.2 margins are still below the trend that is possible considering how business

has changed, both on the kind of orders that you are winning, as well as how the business mix is changing or you think that probably 1% to 2% below trend levels. So, some kind of guidance on how one should think about improvement over the next couple of years from when you exit in 2025 ?
P. Ramakrishnan: So, let me tell you the projects that L&T has secured across the various segments in the P &M portfolio in the last 2 years, the momentum has been to pursue a profitable growth. That has been the underlying objective. Now, of course, as the project business, obviously the risk on execution always is there. And as we speak, we don't see any headwinds or external headwinds in ter ms of the project getting delayed in the execution. Now I was mentioning in response to a working capital in some sectors, the execution is delayed because payments is not happening. But a large part of the order book is coming under normal execution, both India -based projects and also international projects. And we have not compromised on our bidding philosophy in terms of taking projects and we are not compromising on margins. So, timely execution, timely completion will enable obviously imp rovement in margins from what they have been bid for.
Shrinidhi Karlekar: And the last one, if I may, is your commentary on both Public Capex sustaining momentum as well as visible improvement on the Private Capex side. But sir, if you look at contrary, we are seeing that a lot of State Capex budgets are getting moderated. Even the Central Capex for key Infrastructure ministry is seeing some moderation and on the private side, both B2C as well as B2B product demand is kind of getting moderated. So, in that context, what I wanted to understand is, could you please elaborate what is the confidence that you see sustained ordering moment from both private as well as public side ?
P. Ramakrishnan: So, as far as Private Sector Capex is concerned, I guess the opport unities are still quite strong in so far as the entire expanse sector of real estate. When you talk about real estate, I am talking of healthcare, I am talking of data centers, I am talking of residential, I am talking of commercial. So, we do see signific ant amount of investments getting lined up as far as the private

sector is
concerned. In so far as core industry is concerned, we do see, like for example, the minerals and metals, if I had to talk about which is largely a sector where you have private sec tor investments, the total order prospects is roughly in the range of Rs. 45,000 to Rs. 50,000 crores. It's a mix of both domestic and international. So, domestic order prospects also is roughly around 50%. Now

this is entirely coming from the minerals and metals industry or investment that have been planned. So, I would say that it could have picked up better, but it's not premature to comment that there is no private sector opportunity that is being addressed by Lars en & Toubro . Let me put it that way. So, wherever the prospects are there, these are all named prospects when we talked about the total prospects pipeline of Rs 8.08 trillion and w e hope that many of these projects fructify .

Shrinidhi Karlekar: And in the State Capex sir, last one .

P. Ramakrishnan: State level prospects have come down relatively so because we do see some of the states looking to convert some part of the state revenues into subsidies and all of that stuff. To some extent,

there is some drop. But I guess, let us say, given our structure of order book that we hav e, we are also going a little selective in terms of pursuing opportunities where we are sure our chances of winning are better and our chances of completing the project and getting paid on time is also better.

Moderator: Thank you. Ladies and gentlemen , we would take that as our last question for today. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments.

P. Ramakrishnan: So, thank you, thanks everyone for attending this call. It was our pleasure to interact with all of you. Good luck and wishing all of you a very happy Diwali. Thank you.

Moderator: Thank you. On behalf of Larsen & Toubro Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

"Larsen & Toubro Limited
Q3 FY '25 Earnings Conference Call"
January 30, 202 5

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MANAGEMENT : MR. SUBRAMANIAN SARMA – WHOLE -TIME DIRECTOR
& PRESIDENT (ENERGY) – LARSEN & TOUBRO
LIMITED
MR. P. RAMAKRISHNAN – HEAD INVESTOR RELATIONS
– LARSEN & TOUBRO LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Larsen & Toubro Limited Q3 FY '25 Earnings Conference Call. As a reminder, all p articipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
Today, we have with us on the call, Mr. Subramanian Sarma , Whole -Time Director and President of the Energy Division; and Mr. P. Ramakrishnan, Head, Investor Relations of Larsen & Toubro Limited. I now hand the conference over to Mr. P. Ramakrishnan. Thank you and over to you sir.
P. Ramakrishnan : Thank you, Sagar. Good evening, ladies and gentlemen. This is P.R., P. Ramakrishnan. A very warm welcome to all of you into the Q3 FY '25 earnings call of Larsen & Toubro. The earnings presentation was uploaded on the stock exchange and on our website around 6:30 PM. Hope you have had a chance to have a quick review of the same. As usual, instead of going through the entire presentation, I will summarize the highlights for the quarter, followed by the financial performance summary in the next 30 minutes or so. And post which, myself and Mr. Subramanian Sarma , we will take the questions. Before I begin the overview, a brief disclaimer. The presentation that we have uploaded on the stock exchange and our website today, including the discussions we may have on the call today, may contain certain forward -looking statements concerning the group's performance, business prospects and profitabilit y.
This would be subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements. I would request you to go through the detailed disclaimer, which is available in Slide 2 of the earni ngs presentation that we have uploaded just now.
The growth momentum of the Indian economy has waned a bit in the recent quarters. The urban consumption has tapered off as the excess savings from the pandemic have been exhausted, formal sector wages have s lowed down and the consumption lending norms have also been tightened. Rural consumption, on the other hand, has continued at a healthy clip on the back of robust agricultural activity. Public investments have also slowed down due to the recent Central and State elections in the country, whereas private investments have been episodic at best.
Nevertheless, the recent pick -up in the various high -frequency economic indicators suggest that the slowdown in economic activity has possibly bottomed out and could r ecover on the back of improved government spends in the near -term. Moving on to the international landscape. The global situation continues to be marked by military conflicts, the changes in the political landscape across several countries and trade wars, which is threatening to reignite inflation and minimal policy choices available to central banks. Similarly, the government across countries with elevated debt to GDP ratios are finding it difficult to impact fiscal impulses at will.

On the positive side, though, the cease fire between Hamas and Israel is expected to bring the much -needed stability in the GCC region. The GCC region led by Saudi Arabia is continuing to strengthen its physical and digital infrastructure besides monetizing its oil and gas asse ts. Coincidentally, multiple GCC countries are also embarking upon the energy transition journey with utmost seriousness.

Having covered the macro landscape, let me share a few important highlights of the company for the quarter. The company posted or repo rted the highest ever order inflow in the histor

y. This
was received during the quarter for Rs 1.16 trillion. The growth of 53% on a Y -on-Y basis was backed by a strong ordering momentum in the Infrastructure, Hydrocarbon, CarbonLite Solutions and Precision Engineering & Systems businesses. Despite the lacklustre economic activity in India in Q3, we have secured Rs 987 billion, which is 64% Y -on-Y basis of orders in the Projects & Manufacturing business portfolio during Q3 with the domestic and inte rnational contributing about 48% and 52% respectively.

Moving on, L&T Energy Green Tech Limited has won 90,000 MTPA green hydrogen capacity in the tranche 2 of the green hydrogen production PLI at an average incentive of Rs 11.11 per kg of hydrogen. This incentive to be distributed over a period of 3 years will aggregate to a total benefit of around Rs 300 crores.

LTIMindtree recorded its highest ever deal wins in Q3 FY '25 at USD 1.68 billion. Similarly, LTTS, L&T Technology Services, also witnessed its highest ever large deal bookings during the quarter, aided by 8 large deals across segments, which includes 1 USD 500 million deal, 2 USD 35 million deal, 2 USD 25 million deal and 3 USD 10 million deals.

LTTS signed a definitive agreement on November 11, 2024 to acquire a 100% stake in Silicon Valley -based Intelliswift and its subsidiaries for a consideration of USD 110 million. The objective of this acquisition was to deepen the company's offerings across software product development, platform engineering , digital integration, data and AI. Intelliswift has 25 -plus Fortune 500 logos, including 5 of the top ER&D spenders in software and technology. And it is also associated with 4 of the top 5 hyperscalers. This acquisition got fully closed this month.

Movin g on to Financial Services. L&T Finance Limited achieved a portfolio retailization of 97% in Q3 FY '25, a milestone this business had achieved way ahead of its Lakshya 2026 targets.

Lastly, the Data Centre business has entered into a strategic business pa rtnership with E2E Networks, an Indian cloud and AI cloud provider, towards the adoption of Gen AI solutions in India to foster a fundamental shift in the way accelerated computing on cloud is used by Indian corporates.

Further, an investment agreement was signed on November 5, 2024 for the acquisition of 21% stake in E2E Networks, of which 15% stake has been acquired through a preferential allotment of equity share on December 4 for an aggregate consideration of Rs 10.79 billion. The secondary acquisition of 6% is expected to be completed before May 30, 2025.

Now let me now cover the various financial performance parameters for Q3 FY '25. This quarter was a quarter of robust performance across the various financial parameters. Our group order inflows for Q3 register ed a Y-on-Y growth of 53%. On the back of a strong ordering momentum, our order book is at Rs 5.64 trillion on December '24. This has registered a growth of 20% on a Y-on-Y basis.

Aided by a strong execution momentum from several businesses within the Projects & Manufacturing portfolio, our group revenues for the quarter registered a growth of 17% on a Y -on-Y basis. Our margins of the Projects & Manufacturing portfolio at 7.6% is in line with the corresponding period of the previous year. Our Net Working Capital to revenue is at 12.7% as on 31 December, '24, this improvement of almost 390 basis points on a Y -on-Y basis. Our Return on Equity on a trailing 12 -month basis as on December '24 is at 16.1%, improving by 90 basis points on a Y -on-Y basis.

I now move on to the individual performance parameters. As said earlier, our group order inflows for Q3 FY '25 at Rs 1,160 billion registered a Y -on-Y growth of 53%.Within the group order inflows, our Projects & Manufacturing businesses secured ord er inflows of Rs 987 billion for Q3, r

eporting a robust growth of 64% over the corresponding period of the previous year. Our Q3 order inflows in the P&M portfolio are mainly from Infrastructure, CarbonLite Solutions, Hydrocarbon and the Precision Engineer ing & Systems businesses. During the current quarter, the share of international orders in the P&M portfolio is at 52% vis -a-vis 67% in Q3 of last year.
Moving on to the order prospects pipeline. We have a total order prospects pipeline of Rs 5.51 trillion for the remaining 3 months of FY '25 vis -a-vis Rs 6.27 trillion at the same time last year. This represents a drop of 12% when compared to December '23 order prospects pipeline. This decrease is primarily due to the fall in the Hydrocarbon and CarbonLite prospects. The broad break -up of the overall prospects pipeline for the remaining 3 months would be as follows. The share of Infrastructure is Rs 4.00 tr illion vis -a-vis INR4.01 trillion last year. The Hydrocarbon prospects pipeline is at Rs 1.44 trillion as at December '24 when compared to Rs 1.71 trillion as at December '23. The Heavy Engineering and the Precision Engineering & Systems business, which ca ters to what we call the Hi -Tech Manufacturing segment, the order prospects pipeline is at Rs 0.06 trillion vis -a-vis Rs 0.16 trillion last year.
Moving on to the order book. Our order book is at Rs 5.64 trillion as on December '24, which is up 20% vis -a-vis December '23 last year. As the Projects & Manufacturing business is largely India -centric, 58% of this order book is domestic and 42% international. Of the international order book of Rs 2.37 trillion, around 84% is from Middle East and 3% from Africa a nd the remaining 13% comprised from other countries of the world. Like I said earlier, the various countries in the Middle East are continuing to focus on investments in Oil and Gas, Infrastructure, Industrialization and Energy Transition. The breakdown of the domestic order book of Rs 3.27 trillion, which I said is 58% of the overall order book as of December, comprises of:

- Central Government order - 15%,
- State Government orders - 26%,
- Public Sector Corporations or State-Owned Enterprises - 39%.

- Private Sector – 20%

Approximately around 15% of the total order book of Rs 5.64 trillion is funded by bilateral and multilateral funding agencies. Once again, that 90% of this total order book comprises orders from Infrastructure and Energy. You may refer to the presentation slides for further details.
During the 9 -month period FY '25, we have deleted orders of Rs 6 billion from the order book. There has been no deletion of orders from the order book in the current quarter, which is Q3 FY '25. As of D ecember '24, our slow -moving orders is around 0.5% of the order book.
Coming to revenues. Our Group Revenues for Q3 FY '25 at Rs 647 billion registered a strong Y-on-Y growth of 17%. International revenues constituted 51% of the revenues during the quarter . The strong execution momentum in Infrastructure, Hydrocarbon and the Precision Engineering & Systems businesses within the P&M portfolio drove the overall group revenues for the quarter. Within the group revenues, the revenues for the Projects & Manufact uring business for Q3 FY '25 is Rs 473 billion, up by 20% over the corresponding quarter of the previous year.
Moving on to EBITDA margin. Our group level EBITDA margin without other income for Q3 FY '25 is 9.7% vis -a-vis 10.4% in Q3 of the previous year. This EBITDA margin variance is mainly due to the revenue mix favouring the Projects & Manufacturing segment and also lower operating margin in the ITTS segment. The detailed break -up of the EBITDA margin business - wise including other income is given in the annexures to the earnings presentation. You would also notice that the EBITDA margin in the Projects & Manufact

uring portfolio for Q3 FY '25 is
at 7.6%, in line with the corresponding quarter of the previous year. I will cover the details a little later w hen I will talk about the performance of each of the segments.
Our consolidated PAT for Q3 FY '25 at Rs 33.6 billion is up 14% over Q3 of the previous year. This PAT growth is reflective of increased activity levels and improved treasury operations. The primary reason behind group PAT growth of 14% despite group revenues growing at 17% for the quarter is the lower operating leverage in the IT&TS portfolio and slightly higher credit costs in our Financial Services business.
The group performance P&L construc t along with the reasons for major variances under the respective function heads is provided in the earnings presentation. You may go through the same for further details.
Coming to Working Capital. Our Net Working Capital to sales ratio has improved from 16.6% in December '23 to 12.7% in December '24, mainly due to an improvement in the Gross Working Capital to Sales ratio backed by strong customer collections during the quarter. Our group level

collections, excluding the Financial Services segment for Q3 FY '25 is Rs 591 billion vis -a-vis Rs 494 billion in Q3 FY '24, registering an increase of 20% on a Y -on-Y basis.
You may also like to go through the cash flow statement as part of annexures to the earnings presentation. Finally, the trailing 12-month return on equity for Q3 FY '25 is 16.1% vis -a-vis 15.2% in Q3 FY '24, an improvement of 90 basis points for the year. Very briefly, I will now

comment on the performance of each business segment before we give our final comments on our outlook for the remaining period of current year.
First, Infrastructure. Coming to order inflows, this segment secured orders for Rs 491 billion for Q3 FY '25, registering a robust growth of 14% on a Y -on-Y basis. International orders constitute 74% of the total order inflows. During the current quarter, the orders were mainly received in Renewables, Power Transmission & Distribution, Water, Buildings & Factories and Minerals & Metals sectors. Our order prospects pipeline in Infrastructure segment for the remainin g 3 months is around Rs 4 trillion vis -a-vis Rs 4.01 trillion during the same time last year. This Infra prospects pipeline of Rs 4 trillion comprises of domestic prospects of Rs 3.15 trillion and international prospects of Rs 0.85 trillion. The sub -segmen t break -up of the total order prospects in Infra would be as follows. Transportation Infra share is 35%, Heavy Civil Infrastructure at 18%, Water also at 18%, Buildings & Factories at 14%, Minerals & Metals at 6%, Power Transmission & Distribution at 6% an d Renewables at 3%. The order book for this segment is at Rs 3.61 trillion as on December '24. The book bill for Infra is around 3 years. The Q3 revenues at Rs 321 billion registered a healthy growth of 15% over the comparable quarter of the previous year, largely aided by execution across multiple jobs from a large opening order book. Our EBITDA margin in this segment for Q3 FY '25 is at 5.5%, in line with the corresponding quarter of the previous year.
Moving on to the next segment, that is Energy Project s. This comprises of Hydrocarbon and CarbonLite Solutions. The receipt of 2 ultra -super critical thermal power plant orders helped the CarbonLite Solutions order book, whereas Hydrocarbon benefited from the receipt of a mega international onshore order. We have a strong order prospects pipeline of Rs 1.44 trillion for this Energy segment for the balance 3 months comprising of entirely Hydrocarbon prospects. The order book of this Energy segment is at Rs 1.46 trillion as of December '24 with the Hydrocarbon order book at Rs 1.19 trillion and CarbonLite Solutions at Rs 0.27 trillion. The Q3 FY '25 revenues for the segm

ent at Rs 111 billion registers a strong growth of 41%, driven mainly by
the execution ramp -up in domestic and international projects of Hydroca rbon, whereas lower revenues in CarbonLite Solutions are reflective of a depleting opening order book. The Energy segment margin in Q3 FY '25 is at 8.3% vis -a-vis 9.7% in Q3 FY '24. The negative variation in Hydrocarbon margin over the previous year is lar gely reflective of the stage of execution of the various jobs in the portfolio, whereas CarbonLite Solutions margin improved due to a favo urable claims settlement.
We will now move on to Hi -Tech Manufacturing segment, which comprises of the Precision Engin eering & Systems and the Heavy Engineering businesses. The Precision Engineering & Systems business benefits from the receipt of the K9 Vajra repeat order and multiple international orders helps the Heavy Engineering order book. The order book for this seg ment at Rs 418 billion as of December '24. The order prospects pipeline for the remaining 3 months in this segment is around Rs 65 billion for the next 3 months. The strong execution momentum continues in the Precision Engineering & Systems, whereas muted revenues in Heavy Engineering is reflective of jobs in the early stages of its progress. The execution cost savings in Heavy En gineering business aids segment margin improvement at the overall segment level.

Moving on to the next segment, which is the IT and the Technology Services portfolio. This comprises of the 2 listed subsidiaries, which is LTIMindtree and LTTS. The revenues of this segment at Rs 121 billion in Q3 FY '25 registered a modest growth of 8%, largely reflective of the present market conditions. Despite the ongoing macroeconomic concerns and as I mentioned earlier, both these companies recorded very strong deal wins in the quarter.
The segment margin decline during the quarter is mainly due to wage hikes and forex losses in both these companies. I will not dwell too much on this segment as both the companies in this

segment are listed entities and the detailed fact s heets are already available in the public domain.
Next, we move on to L&T Finance. Here again, the detailed results are available in the public domain, but very briefly I will summarize. The Q3 reward around healthy credit calibrated growth in the disburse ments. The credit cost during the quarter was largely in check despite the ongoing headwinds in the micro finance portfolio and the balance sheet is strong on the back of built-in macro prudential buffers.

The company expects credit cost in rural group and the micro finance loans to peak in Q4 FY '25 and some normalization from Q1 FY '26 onwards. The Financial Services business had achieved 97% retailization of its loan book in December '24, well ahead of the Lakshya '26 targets. The return on assets remain ed healthy at 2.27% despite the sectoral headwinds. And finally, adequate capital in the balance sheet is available to pursue growth in the medium -term.

Moving on to the Development Projects segment. This segment includes the Power Development business, co mprising of Nabha Power and Hyderabad Metro. Most of the revenues in this segment are contributed by Nabha Power. A combination of improved PLF and higher energy charges in the Nabha Power drives the segment revenue growth. At this juncture, let me give yo u some ridership statistics on the Hyderabad Metro. The average metro ridership was 4.32 lakh passengers a day in Q1 FY '25, 4.68 lakh passengers per day in Q2 FY '25 and remains around 4.45 lakh passengers a day in Q3 FY '25. The sequential decline in rid ership was mainly due to the festive season holidays during the quarter. Our ridership in Q3 FY '24 was 4.44 lakh passengers a day. So on a Y -on-Y basis, it's largely the same. The metro at a PAT level posted a loss of Rs 2.03 billion in Q

3 FY '25 as again st a loss of Rs 2.54 billion in Q3 of the previous year. The improvement is largely on account of lower interest costs consequent upon reduction in debt.

Moving on to the Others segment. This segment comprises Realty, Construction Equipment & Machinery, Ru bber Processing Machinery and Industrial Valves and to some extent the residual portion of the Smart World & Communications business. The Q3 revenue at 9% growth over the corresponding quarter of the previous year was mainly contributed by a higher handove r of residential units in the Realty business and improved sales in the Industrial Machinery and the Products business . The segment margin improvement is mainly due to a favourable revenue mix in Industrial Machinery & Products business.

Coming to the las t part of my presentation, the revised the outlook for the current year FY '25 taking into account how we see Q4. Despite the initial hiccups, the Indian economy is poised for

steady growth with projections indicating a GDP growth of 6.5% to 6.8% for the f iscal year FY '25. The rural consumption has remained encouraging, supported by strong agricultural performance due to a favourable monsoon. The services sector continued to be a key driver of growth. There are initial signs of a pick -up in government spen ding post the centre and various state elections, which will give the necessary impetus to the Infrastructure capex spend in the near-term. As the country strives to achieve the vision of a Vikasit Bharat by 2047, the government is expected to maintain its strong commitment to infrastructure investment, recognizing it as a key driver of broader economic growth. The forthcoming union budget is likely to strike the balance between policy continuity and fiscal discipline. The country would still be one of the fastest -growing economies in the world, although the pace and sustainability of the growth trend would be shaped on how the country navigates challenges around global and financial market volatility, potential implications of intensified trade wars, domestic inflationary impulses, the compulsions around the coalition -led government and finally a trade -off between social spends and pursuing long -term development goals. The global economy at the current juncture is at a crossroad, whereas policy c hanges by the U.S.A. could result in another growth of tariff costs. On the other hand, the cease fire between Hamas and Israel should improve the situation in the GCC region. The European economies continue to move sideways, while questions over the Chine se economy further clouds the growth picture and put global economies towards fragmentation and localization. Further, we expect multiple countries to enhance their business outlays in an uncertain world. The consequences due to climate change is getting serious attention and is leading to substantial investment outlays into cleaner technologies. Lastly, Artificial Intelligence and all its attributes and variants is gaining faster acceptance and adoption across the world. On a positive note, the GCC region led by Saudi Arabia will continue to strengthen its physical and its digital infrastructure apart from monetizing its oil and gas assets. Coincidentally, multiple GCC countries have also embarked upon the energy expansion transition journey with relatively large investment outlays.

In this economic backdrop, the company will continue to pursue its objective of a volume -led profitable and return accretive growth. The company has robust order prospects for the near - term and is confident of maintaining its gro wth momentum by leveraging the emerging opportunities and maximizing shareholder value on a sustainable basis.

Before we conclude, let me cover the guidance that we had given on the various parameters for the year FY '25.

First, order inflows. You w

ould r ecall that we had given a guidance of 10% growth in order inflows for the year. For 9 months FY '25, our order inflows at Rs 2,670 billion is up by 16% over the corresponding period of the previous year. And looking at a strong prospects pipeline of INR5.51 trillion for Q4, we believe that we would be surpassing the 10% guidance on order inflows for FY '25. With India capex expected to pick -up in Q4 and since the international prospects pipeline also remains healthy, we feel confident of exceeding the guida nce on order inflows. As we speak, we seem to be well placed in orders in the Projects & Manufacturing segment of almost Rs 500 billion.

Coming to revenues, we had guided for a 15% growth in revenues for FY '25. Since our group revenues for 9 months FY '25 has reported a growth of 18% and our order book remains strong, we do believe that there are potential upsides to the revenue guidance of 15% for the full year FY '25.

Moving on to the EBITDA margin. Our guidance on EBITDA margin for the Projects & Manufacturing remains -- businesses remained at 8 .2% that we guided at the start of the financial year. This 8.2% is for the full year FY '25.

On Net Working Capital, we had earlier guided the NWC to revenue of 15% in March '25. Since our NWC to revenue is at 12.7% as of December, we believe that our NWC to revenue should be around the same levels that we have printed for as of December '24.

Lastly, as you are aware, our free cash flow generation has been robust in the last couple of years and we are also stepping up our capital allocation into newer business areas like green energy, data centres and semiconductor design. We do expect some of these investments to start contributing to group returns in the next Lakshya plan of the company, which will start from FY '27 and end at FY '31.

With this, I conclude. Thank you, ladies and gentlemen, for th e patient hearing. We will now begin the Q&A. My request to all the people who want to ask questions, in case if you have any big book -keeping questions, please feel free to connect to me or Harish, my colleague, afterwards. We have with us also my senior colleague, Mr. Subramanian Sarma , who is the President and Head of the Energy business. Over to you.

Moderator: Our first question comes from Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir, I think you mentioned that in Projects & Manufacturing, you are favourably placed in the Rs 500 billion order. Does it mean that you are L1 in those orders? Is that the right understanding?

P. Ramakrishnan: I said we are well placed. It is just to give the comfort that while we get into Q4, since you all know that a 10% guidance for the full year also means that we need to print almost Rs 650 billion of orders in Q4. So just to give the comfort that we seemingly are on track because we are well placed in 4, 5 very large orders. But since the orders are large, there can be always a slippage into subsequent quarters or not closing of the contract itself .

Mohit Kumar: Understood, sir. My second question is, sir, have we included the order for 5 .2 GW, 19 gigawatt hour solar plus project in this quarter? And is it possible to lay out the scope and difference of responsibility between you and Power China? Is it possible to give a color on the size of the project?

P. Ramakrishnan: So you are referring to the renewables press release

Mohit Kumar: Yes. Where you are preferred EPC contractor for the Middle East 5 gigawatts, 19 gigawatt hour...

P. Ramakrishnan: So it is a ultra -mega order and that has been taken in the order inflow for Q3. We received the client clearance some time in January and we hav e released the press release recently. I would say, it is quite a very complex order and one of th

e largest renewable investments that UAE is
embarked upon. I mean, it's a prestigious order inflow for us.
Mohit Kumar: And what is t he difference of responsibility between you and Power China?
Subramanian Sarma: Power China is a separate contract. The total generation capacity and storage capacity is split into 2 contracts. And those 2 contracts are independe nt contracts. What we announced is related

to our part and similar scope is being done by Power China . So they are independent contracts mutually exclusive and directly with the customer. We have no relationship with Power China on this contract.
Mohit Ku mar: Understood, sir. And absolutely clear, sir. My last question, sir, is the development of green hydrogen project, which you have won in the last quarter, is it contingent on finding the market for green hydrogen in the advanced listed developed markets ? Is that right understanding?
Subramanian Sarma: Yes, yes. I mean, we applied for this. What we announced was this PLI scheme. And under that PLI scheme, we have successful ly secured the Rs 300 crores incentive, which is subject to setting up that c apacity. I mean, if you set -up the full capacity, then we'll be entitled for that full incentive. Otherwise, it will get discounted based on the capacity we set -up within that timeline. Now of course, our decision will also depend upo n how the market evolves and the economics related to that investment decision. We are very actively pursuing many opportunities within India as well as outside. And we are quite confident that some of those will materialize. Now to what extent and when is something a little bit uncertain now, but we are very hopeful.
Moderator: The next question comes from Amit Anwani from PL Capital.
Amit Anwani: My first question is on the execution which wa s stellar this time. We can see the domestic Infrastructure business revenue was kind of moderate -- seen a moderate growth. So any challenges you faced this quarter with respect to project execution in domestic market in any of the projects which are there?
P. Ramakrishnan: No. So let me answer that , Amit. The execution , especially of the projects in the domestic sector with respect to Infrastructure segment, I think it is continuing as per plan. There have been some isolated cases where we had to bring down the execution because of delayed payments. But otherwise, the execution momentum is in line with our budgets that we have done and in line with our guidance itself.
Amit Anwani: Yes. Second question on the prospects in the Energy business. You said the Rs 1.44 trillion pertains to only Hy drocarbon and there is I think, I guess, no thermal order prospects which we are accounting now. Is it that the prospects have kind of deteriorated in the market or we have been select ive and now not taking orders in thermal in upcoming quarters?
Subramania n Sarma: No, I think the Rs 1.44 trillion has got several components. One is thermal power plant in India. Then we have hydrocarbon projects both in India as well as in West Asia. And then we also have some gas to power opportunities. I think be tween the 3, we believe that we have a very good bid slate and we should be able to secure a reasonable size of that prospect.
Now thermal power plant in India, we have made a strategy to bid for BTG that is Boiler Turbine Group and we'll continue to pursu e those. And yes, to some extent, we'll be selective from a point of view of our manufacturing capacity and our ability to execute those jobs and provided, of course, the location and the situation conditions are favourable for us to execute in an efficien t manner.

P. Ramakrishnan: So Amit, just to add to what Mr. Subramanian Sarma told, the order prospects that I have articulated in the call

, they are all for what we believe are tenders which are going to come,
which are addressable, not necessarily the orders which could be orders that is getting tenders could be larger, but it's all what we call the addressable L&T universe for the 3 months. So to that extent, some of the opportunities may be coming in the next year, but not in the next 3 months or so.
Amit Anwani: Just to clarify, the order we just won in Mumbai are only catering to BTG which we won in 3Q?
Subramanian Sarma: Yes. What we have printed or what we have disclosed in Q3 FY '25 relates to the BTG orders of NTPC.

Moderator: The next quest ion comes from Aditya Bhartia from Investec.
Aditya Bhartia: Sir, my first question is on the status of the submarine tender that we wanted to participate in. There have been some media articles around that. So if you could just clarify about what's really happening over there?
Subramanian Sarma: Okay. So there are media reports on this matter in the public domain. We cannot comment further as the matters pertaining to the bid are subject to an NDA. We have also sort out some clarification with the customer. But unfortunately, I'm not in a position to comment further on this particular matter because of non -disclosure agreement compliance.
Aditya Bhartia: Sure, sir. Understood. So my second question is on margins in the Infra vertical. It has been a while since margins have been hovering around this range and we have not really seen a big expansion. Do you think this is a new normal wherein we are looking at lower working capital, but that also kind of entails lower margins? Nothing wrong with the str ategy, just trying to understand if this should be seen as a new normal.
P. Ramakrishnan: Okay. So the Infrastructure margin have been a little softer in the last 2 to 3 years. We do expect with the slow depletion of the orders that we had taken prior to FY '22, '23, all of them tapering on the last stages of execution. The new set of orders, which are large orders, subject to the fact that if we are able to complete them on schedule, we do expect some improvement in margins. But having said this, as a pro jects company, we have been -- we give guidance only for the particular year under revenue. So in the month of May, after the internal budgets which we will be closing out in the next 1 month or so, I think we'll have a better visibility to comment as to how the margin trajectory for FY '26 pans out across the Projects & Manufacturing portfolio. Having said this, as you rightly mentioned, despite the fall in margins, the overall return on the investments, each of these businesses, each of the businesses und er the Projects & Manufacturing portfolio, they have actually improved on the back of timely billing and faster collections.

Aditya Bhartia: Sure, sir. And my last question is just wanted to understand if we are looking to get into some more stuff on the s emiconductor side, maybe a foundry or maybe a display fab for electronics. Are we kind of thinking in that direction also or would we be restricted to fabless?
P. Ramakrishnan: So you have taken 2 questions on this. So the first point is as far as semiconductor is concerned, the current approach is to build -up the semiconductor design, build -up a good set of products, which will obviously will have to be get manufactured through other fabs, before even exploring to decide whether we want to go on to investment in fab itself.
The only thing I can talk about at the current juncture, our foray is in the semiconductor design. And I think it will pan out in the next 2 to 3 years when we build -up the various products under IP-led design. And basis the success that we have, we will explore whether we go into the fab manner, but that is not in the near -term.
Aditya Bhartia: Sure, sir. And something else like

display fab?
P. Ramakrishnan: At this juncture, I mean, there are various aspects we are looking at, but very difficult to comment on the progress or what is the final set will happen. Mr. Sarma, you would like to add on this electronics part?
Subramanian Sarma: No, I think like you said, it will evolve. I mea n, these are all new arenas we are exploring. And we believe that long -term potential is quite good in this sector. That's why we are entering into this. But we'll keep the options open. And as it evolves, we will implement appropriate strat egies, bit too premature to sort of articulate on the exact plan because we are still exploring that.
Moderator: The next question comes from Sumit Kishore from Axis Capital.
Sumit Kishore: So in case of Hydrocarbons, the stage of execution of p rojects has been the culprit in terms of margin dip for the 9 -month period . So when can we expect the stage of execution given the execution itself is growing at a very swift pace? When does that cross the margin recognition thresholds? And the second part of this question is on the Infra side where you could give us some qualitative color on how the margin improvements that we have seen in the 9 -month period .
How is it sort of driven by domestic/overseas because higher overseas in the mix might be depressi ng your headline margin? And how is domestic behaving in that margin mix?
P. Ramakrishnan: So two parts to it. One is on the Hydrocarbon margins and the second is on the Infra margins. So as far as Hydrocarbon margin is concerned, I want to tell you that cum ulative 9 months or you take Q3, the margin accretion depends on the stage of completion of each of the businesses. The Hydrocarbon margin is in line with our internal whatever benchmarks. And there are some large projects which will possibly cross the margin r ecognition thresholds in the near -term. Some of that could be in Q4 and some of that could be slipping into Q1.

But as you are aware, we have given a full year margin guidance of the P&M portfolio at 8.2% and whereas 9 months cumulative is 7.6% because all the 3 quarters, the margins have been at

7.6%. So which means that the Q4 run rate for EBITDA margin is, of course, going to be very high. And that has been baked into our plan, execution momentum and the stage of progress . So I think th e Hydrocarbon margin optically dropping is an assumption that has been baked in our 9 months trajectory itself. So I don't think we have any cause to worry. As far as the Infra margins is concerned, we are having a good portfolio of a decent mix of renewable projects and overseas projects in the Middle East and also quite a large substantial order book in the domestic side. Whereas the international projects can have optically lower margins. But I wish t o tell you, timely execution is enabling that we are able to print the margins that we have bid, whereas in domestic projects, as you know, there can be time and cost overruns for reasons possibly beyond our control. So in a way, both are offsetting each o ther. We do not necessarily conclude that a larger share of domestic project execution will be higher margins or a larger share of overseas projects can possibly drop the margins. So I think the mix is good and we should be on track to meet th e margin guidance for the entire P&M portfolio at 8.2% for the full year.
Sumit Kishore: Sure. And once the Hydrocarbon projects cross the margin recognition threshold, next year will itself become favo urable for Hydrocarbons. Is that the right understanding?
P Ra makrishnan : It can happen in subsequent quarters. So, Sumit, please understand, it's not that we are executing Hydrocarbon projects what we secured 1.5 years back. Some of those projects may have a lready crossed the margin recognition. Hydrocarbon business has also secured ultra -mega and m

ega
orders in FY '24 and even in the current year. So all these jobs also will get into execution over a period of time.
Sumit Kishore: And the 4, 5 large contract s that you mentioned you are favo urably placed are India contracts or overseas contracts?
P Ra makrishnan : I will just stay put here. I will say it is 4 or 5 large contracts. Let's not get into whether domestic or interna tional . It is a decent mi x of d omestic and international orders.
Sumit Kishore: Sir, second question is on, L&T has picked up a significant stake in E2E Networks, so how are you thinking about the capital allocation, the future roadmap for E2E and the area it represents?
P. Ramakrishnan: So Sumit, it is a collaborative acquisition. So , we h ave taken 15% stake at almost Rs 1,080 crores. Another 6% stake is due for transfer in some time in May '25 . With this, it is being considered from an accounting perspective as an associate. But essentially, from a business perspec tive, as I mentioned, it is a collaborative partnership where we will leverage E2E's scope of offerings on the AI side , especially on the cloud data centre , while we pitch our offerings, because as you may b e aware, L&T is also investing into data centres and we get into the higher end or more margin -led, we have to blend the offerings into giving cloud data services for our data centre customers. So we will leverage that. And similarly, E2E also will leverag e our data centre infrastructure to strengthen their scope of offerings. So that way it is a collaborative partnership with the strategic investment also.
Moderator: The next question comes from Priyankar Biswas from BNP Paribas.

Priyankar Biswas: So, my fi rst question is on the domestic capex . So, what we are witnessing is that a lot of freebies and those things in the State Budgets particularly. So , can you please elaborate like what are the areas in the domestic capex where you specifically see traction, if you can bre ak down from Central, State, CPSE s, like which areas we should see growth from?
P. Ramakrishnan: As I talked about the total order prospects of Rs 4 trillion of Infrastructure, a major part is coming out in domestic itself. So , we actually have a canvas of opportunities across various segments. Let me talk about the buildings, both led private sector and also at the central level. There are various opportunities fo r public health, which means I'm talking of hospitals.
There are opportunities on some large projects on the hydrogen side. And I also want to tell you that there is a major set of urban infrastructure connecting between 2 cities, not necessarily -- I'm no t talking of railways, I'm talking of road networks, elevated corridors that are expected to get tendered out in the near -term.
So it's a combination of state and central -led projects, largely states, I would say. And the share of the government prospects would be almost 75%, whereas private sector prospects, which

covers the typical real estate and other kind of data centres and so on, that is almost 25% of the overall prospect share.
Subramanian Sarma: I may just add in. So how...
P. Ramakrishnan: It does not tilt to any specific sector. I think it's a decent mix of energy, of urban infrastructure, of, I would say, also water -related investments that comes in and even metals, but that comes under the 25% share, private sector.
Priyankar Biswas: Sir, just a dding on to this. So what is your outlook for that defense space? Because we see the prospect that you gave for Hi -Tech, it seems to be quite low. So aren't you really constructive on the defense capex ? That's my question.
P. Ramakrishnan: So, we are very m uch constructive on the defense capex , Priyankar, but I am going as per the order prospects, what we believe is going to get tendered out in the next 3 months. So ,

that
doesn't mean that defense prospects that are addressable defense prospec ts in the country is coming down. Incidentally, as I told you, in Q3, we had the benefit of a very large Vajra repeat order is almost Rs 6,500 -odd crores.
So this year, we have always managed to get a print of Rs 12,000 crores of orders in the 9 mont hs for the PES business, which is the defense part of the business. We don't see any immediate prospect for the next three months .
Subramanian Sarma: The defense orders generally takes time to conclude.
Priyankar Biswas: Okay. And sir, if I can squeeze just one more in. So , what I see is we have a healthy order book in the region. So going forward, I guess, the international share in the revenues will also rise up as we go into the subsequent quarters. So what should be the general direction y ou can give the margin and the working capital trajectory from here on?

P. Ramakrishnan: So Priyankar, I think I have answered this kind of a question for the previous people who had asked. Let me tell you the margins what we are giving is for the current year update, okay? As we get into next year, in the month of May, we will be giving you the outlook of margins of the P&M portfolio after we complete this year and the budgets for the next year.
Moderator: The next question comes from Atul Tiwari from JPMorgan.
Atul Tiwari: Just one question on the pace of execution in the M iddle East . So lately, we have seen some top down reports about budget constraint in Saudi Arabia and some of the projects being deferred. So, for your projects, have you seen any disc ussion on the customers' part about delays in payment or anything of that sort?
P. Ramakrishnan: You're referring to only Middle East?
Atul Tiwari: Yes, only Saudi Arabia.
P. Ramakrishnan: Yes. I mean, no, we have not seen actually. In fa ct, we continue to see a good pipeline. There have been some slowdown in maybe non -priority projects. And I think there is some amount of reprioritization of capital allocation. But in the sectors we are in, which is oil and gas and carbon capture and petr ochemicals, I mean, those continue to remain the top priority. And we have a pretty large presence in gas development, which is the highest priority for the Kingdom. So we are not seeing slowdown. In fact, we are no t seeing any slowdown in payments. I mean, I was going to comment on the previous question that the difference in the international and domestic is that the payments are much more prompter and working capital is generally better compared to domestic, but w e are not seeing any slowdown on those.
Moderator: The next question comes from Shrinidhi Karlekar from HSBC.
Shrinidhi Karlekar: Congratulations on strong performance. Sir, my first question is on the CarbonLite business. Here, we see that order inflow fo r the segment is about Rs 234 billion. Does that include entire 4 gigawatt of ultra -mega plants that you book or there is some portion that's not included in that?
P. Ramakrishnan: It includes everything.
Shrinidhi Karlekar: Right. So sir, in that case, is that right that ordering per megawatt is about INR5.5 crores, which looks quite aggressive?
Subramanian Sarma: No, I don't think sir your calculation is right. It is higher than that. When the results have been declared, I t hink it was...
P. Ramakrishnan: It is in the public domain.
Subramanian Sarma: It is upwards of 6 -- even I don't remember the exact number, but you can check that.
P. Ramakrishnan: This is for the 2 projects?
Subramanian Sarma: This is only for 4 gigawatt s, yes.

Shrinidhi Karlekar: 4 gigawatt and the order inflow is Rs 23,000 crores, right, in that segment? So some of the portion that Boiler JV is...
P. Ramakrishnan: But this is only the B

TG, right? I mean, this is only for BTG. You have to see this. This is not full EPC. Normally, maybe you're used to entire EPC because the balance of the plant is still not included in this.
Shrinidhi Karlekar: Right. So it's just the BTG part, right?
P. Ramakrishnan: Correct, correct.
Shrinidhi Karlekar: Okay, unders tood. And sir, in the same order, how should one think about the EBITDA that will be captured in the consolidated business considering -- I'm presuming that some of the EBITDA will be captured in the JVs as well?
P. Ramakrishnan: These orders have been pro cured by Larsen & Toubro Limited as the BTG EPC contractor and in-sourced to the Boiler and the combined JVs. And large part of the margin will come to the group level only. So, it will accrue only later now these jobs that's just been awarded. So it will take some time for it to reach the threshold.
Shrinidhi Karlekar: Understood. And sir, one question on the Middle East. Would it be possible to comment on what are typical retention money clauses are there in the oil and gas order that the company is winning?
Subramanian Sarma: Typically, I think the retention is not much. I mean, I think we have been negotiating all our commercial terms in such a manner that we maintain either neutral or slightly positive cash flow across the Board and we have been quite successful in doing that. But sometimes you have maybe 2.5%, 5% of the contract linked to certain milestone / end milestones. But overall, the cash flow situation is pretty good. I mean, I think most of them, we are running at positive cas h flow.
P. Ramakrishnan: Basis the contracts that we have got. Shrinidhi, I want to tell you that as and when the projects get complete we don't expect in the balance sheet there will be a large amount of retention, which is not the case like in any other segment, possibly in India or any other country. So the payment terms are favo urable.
Shrinidhi Karlekar: Right. At the start they are definitely favo urable. They're also favo urable at the end as well, right?
P. Ramakrishnan: Yes, generally.
Subraman ian Sarma: I mean, across the project timeline.
Moderator: The next question comes from Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a good quarter. So earlier in the call, you mentioned there are some slow - moving orders wh ere there was execution issue because of collection. So , in which segment are you facing these challenges? And how much would have been the revenue impact of this?
P. Ramakrishnan: Okay. So in the Infrastructure segment, because of the funds that had been stopped for some time with respect to water projects funded under the Jal Jeevan mission there were some amount of stoppages. But now we expect the fund flow momentum to start . I think it has alrea dy started from December onwards and we'd expect a revival in momentum to happen.
It would be very difficult to compute how much -- because of delay in payments, how much of revenues we have lost. That won't be -- it won't be an accurate answer to put it a cross like that.
Parikshit Kandpal: And sir, in this quarter, were there any one -offs in the EBITDA line because we have seen decline in margins both sequential as well as Y -o-Y. So , I know you touched upon some NPAs and something on IT. So , if you can give some more color like why there was a drop?
P. Ramakrishnan: So, there is no one -off in the entire P&M portfolio as far as Q3 margins are concerned. It is normally as what is in any project part of the business. In terms of stages of execution, we have not had any one -offs.
Parikshit Kandpal: So what explains the decline in the EBITDA margins Q -on-Q and Y -o-Y?
P. Ramakrishnan: No. On a Y -on-Y basis at the P&M level, we have kept it at 7.6%, okay a t the group level, I think I did cover -- when

you talked about the EBITDA margin at a group level, the drop is because of 2 reasons. The one is the revenue growth is tilted, the composition of revenue is tilted towards a lower margin P&M portfolio as compared to in the previous year, a higher margin IT&TS portfolio. So that is one. That is contributing to almost 30 basis points in the drop for the group operating margin. And the second one is the operating leverage of the IT&TS company that is in terms of their margins has come down. That had another 40 basis point impact. Am I

clear, Parikshit?
So the fall in the EBITDA margin at the group level is for 2 reasons :a larger share of revenue growth coming from a lower margin trajectory of the P&M portfolio, which is almost 30 basis points, and the lower ma rgin in the IT&TS portfolio, which is attributing the 40 basis points.
Subramanian Sarma: Basically, the growth rate of IT&TS has been less than the core business and their margins also come down .
P. Ramakrishnan: Our revenues for the quarter at the group level has grown by 17%, okay? Whereas I did say that in the IT&TS segment, the revenues have grown by 8%. So there is a relative rebalancing there. That's the reason for the drop in the EBITDA margin at the group.
Parikshit Kandpal: Okay. And sir, the other thing i s you mentioned on the reducing losses in the metro and you attributed it to the loan repayment. So , did you receive any support from Telangana government? So what has been the quantum? Any change versus last quarter?

P. Ramakrishnan: So the last tim e we received was almost last year. So the cumulative support that we have received on the Rs 3,000 crores loan support, which was approved by the Government of Telangana, we have received Rs 900 crores odd in the last year. We do expect some things to come up in the near -term, the balance portion of Rs 2,100 -odd crores. And the other part is that we also are looking at very, very aggressively a further amount of some transit -oriented development monetization. Hopefully, the approval should be coming up in the near -term, possibly even in Q4. Let us wait and watch. So, an aggregate of this Rs 2,100 crores of additional loan, the soft loans from the government and also TOD monetization will enable us to reduce the current debt levels. The third -party de bt levels in the metro is almost Rs 12,600 -odd crores. We do expect over a period of time that to come down to, say, Rs 9,000 crores or so, which will enable a further reduction in the interest cost.
Parikshit Kandpal: And sir, the last question on the rea l estate business, sir. So how much has been the new sales booking or pre -sales for 9 months and for third quarter FY '25?
P. Ramakrishnan: So, the total 9 months booking has been in the range of Rs 2,500 crores of order inflow and 9 months revenue for realty is almost Rs 1,500 -odd crores.
Moderator: The next question comes from the line of Bharanidhar Vijayakumar: from Avendus Spark.
Bharanidhar Vijayakumar: Sir, can you tell out what proportion of o rder book is fixed price in nature at this point in time?
P. Ramakrishnan: 45% is fixed price, balance is variable .
Bharanidhar Vijayakumar: Okay. And some of these recent large orders both in renewables or in the hydrocarbon, or in the thermal side, th ey would all be on a cross -pass-through basis? ?
Subramanian Sarma: Most of the orders in hydrocarbon and also in thermal are fixed price.
Bharanidhar Vijayakumar: Okay, okay. That is why it increased .
Subramanian Sarma: Thermal may not have price adjustment, but I prefer a very selected commodities linked, while in hydrocarbon, it's all fixed price. Thermal we have some price adjustment for a particular component.
Bharanidhar Vijayakumar: Okay, okay. Got it. Just for clarity, on the EBIT DA margin, our expectation for the full ye

ar FY
'25 in the core business or in the P&M business that's 8.2% is what you mentioned, right?
P. Ramakrishnan: Correct, correct.
Bharanidhar Vijayakumar: My final question is on the Nabha Power. So what is the st atus of the asset monetization there?
P. Ramakrishnan: The asset is doing well , Bharani . So, the asset is doing fairly well. It gives us almost Rs 100 crores to Rs 110 crores of profits every quarter. And it is one of the best performing plants. But the point is it should be something which we believe should be a fair valuation. Then we can look at it. Otherwise, at this juncture, it is a part of our portfolio.

Bharanidhar Vijayakumar: Okay. No, because it will be good to g et bids when it is doing well . Plus, we had the idea of monetizing it, that's why.
P. Ramakrishnan: Correct, correct. So we are not saying that we are not looking at options, but we are looking at valuations which we feel should be appropriate considering that it is one of the best performing plants in the country and having some sort of a clear visibility on earnings and profitability.
Moderator: The next question comes from Amit Mahawar from UBS.
Amit Mahawar: I have 2 quick questi ons for Mr. Sarma. Sir , on Middle East, particularly, we had a very strong ordering that we saw in the last 2 years. Incrementally, seemingly infra is more a bigger pipeline

than Hydrocarbon for us where a lot of Chinese and non -Korean non -European compe tition comes for us. So , do we think the Returns on Capital Employed in incremental Middle Eastern orders might be -- I'm not saying not great, but relatively inferior to what we saw in the last 2 years? That's my first question, sir.
Subramania n Sarma: No, I think we have not seen much change in terms of bidding pipeline or in terms of competition. Yes, of course, sometimes in certain Infrastructure projects, or even Hydrocarbon projects we see Chinese, but we are also quite selective. And those which we are targeting, I think we believe that we have a fair competition and we are able to secure jobs with the levels what we would like to have. I mean, that's how it played out. I mean, the addressable market is quite large for everyone to have thei r share. So , I don't see that as a big issue.
Amit Mahawar: Sure. Very comforting. And second and last question is you know, when we speak to some of the Korean companies like Hyundai, Samsung and we talked to many people in the market, them taking 20%, 30% more orders in the Middle Eastern region on the current base that they're executing, you need man, money and material and man is the most critical part in that region, right, money material is easy to get.
Do you think L&T in '26 can bag 20%, 30% high er orders in the Middle East . Is it possible you have capacity to execute there in terms of the manpower availability because your execution run rate in '25 is very heavy, '26 even will be heavy with the book you have. So can we tak e 25%, 30% more orders in the Middle East in FY '26?
Subramanian Sarma: Amit, we will decide that as that will be part of our budget planning exercise now. And when we are completed with this and when we approach the first quarter, then we will share more details. But in principle, I think see, these 2 markets are becoming our important markets. So , we look at each and every opportunity available to us very seriously and critically evaluate our ability to execute. And we have also strategies in place like if t here are constraints, we work continuously in overcoming those constraints, maybe like manpower you spoke about. We also have a great relationship with some of the large sub -contractors in our ultra-mega projects. One of the ultra -mega projects, we have a very good sub -contracting strategy and we are working with one of the largest construction contractors who have acce

ss to a large number of pools.
So we do a bit of a blend here, we follow a hybrid model . So, we generally see through these issues and work through those issues and prepare ourselves. But at the end of the day, I mean,

we'll have to balance it and we'll have to be selective. And at the same time, chase those opportunities, which will provide us the required growth rate.
Moderator: Ladies and gentleme n, that will be the last question for today. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments.
P. Ramakrishnan: Thank you, everyone, for attending this call. It was a pleasure to interact with all of you. Good luck a nd wishing you all the very best. Thank you once again.
Moderator: Thank you. On behalf of Larsen & Toubro Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

"Larsen & Toubro Limited
Q4 FY '25 Earnings Conference Call "
May 08 , 202 5
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Management :

Mr. Subramanian Sarma – Deputy Managing Director and President –
Larsen & Toubro Limited

Mr. R. Shankar Raman – President, Whole -Time Director And C hief
Financial Officer – Larsen & Toubro Limited

Mr. P. Ramakrishnan – Head , Investor Relations – Larsen & Toubro
Limited

Moderator: Ladies and gentlemen, good day , and welcome to the Q4 FY '25 Earnings Conference Call, hosted by Larsen & Toubro Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
I now hand the conference over to Mr. P. Ramakrishnan from Larsen & Toubro. Thank you, and over to Mr. Ramakrishnan.
P. Ram akrishnan: Thank you, Nirav . Good evening, ladies and gentlemen. A very warm welcome to all of you into the Q4 and FY '25 earnings call of Lars en & Toubro Limited.
We also have with us on the call today our Deputy Managing Director, Mr. Subramanian Sarma; and our Whole -Time Director and CFO, Mr. R. Shankar Raman. Both will take the questions post our initial commentary on the results. The earnings presentation was uploaded on the stock exchange and on our website around 6:30 PM today. I h ope you had a chance to take a quick look at the numbers.
Instead of going through the entire presentation, I'll first take you through the important highlights for the year FY '25, followed by our financial performance summary for the quarter Q4 FY '25, which will possibly take maybe the next 30 minutes or so. Post that , we will be taking the questions.
Before I begin the overview, a brief disclaimer from our end . The presentation which we have uploaded on the stock exchange and our website today, includ ing the discussions we may have on the call, may contain certain forward -looking statements concerning the group's business prospects and profitability , which are subject to several risks and uncertainties and the actual results could materially differ fro m those in such forward -looking statements. I would request you to go through the detailed disclaimer which is available in Slide 2 of our earnings presentation that we have uploaded today.
We are currently navigating an extremely complex and uncertain ma croeconomic landscape. In our view, there are seismic shifts underway which is leading to an "Ambiguous World Order". The continuing trade and military conflicts are clearly leading to a corrosion of globalization, disruption in supply chain, and culminating into higher financial market volatility. Amidst all this chaos, we are pleased to inform you that both our primary geographies for the Projects and Manufacturing businesses, that India and Middle East are demonstrating surprising resilience in terms of co ntinued capex spends.

Further, we also remain constructive on the near to medium -term spends or opportunities in the new businesses like Renewables, Green Hydrogen, and Offshore Wind. Whereas our Financial Services business, being predominantly local, is l argely insulated from the ongoing global turmoil, the IT and TS services business are reporting subdued growth largely reflective of the subdued global macroeconomic environment which is impacting IT and TS spends across the developed world.
Although the f uture is unpredictable, our group is dedicated to mitigating the risks and capitalizing on opportunities amidst this macroeconomic volatility.
Having covered the macro landscape, I would like to share a few important highlights for the year.
Firstly, on Group performance :
• So our group order inflows for FY '25 at Rs 3,566 billion reported a strong growth of 18% on a y-o-y basis. For the last two consecutive years, the group order inflows have actually surpassed our expectations.
• Similarly, ou r group revenues for FY '25 at Rs 2,557 billion has registered a good growth of 16% on a y-o-y basis, mainly on the back of a large order book and ramp up i

n execution momentum across the Projects and Manufacturing business portfolio.
• The order book at Rs 5,791 billion is up 22% on a y-o-y basis. This record order book provides a multi -year revenue visibility.
• Our Group Net Working Capital at 11% in March '25 is the best we have reported in the last 10 years.
Now I will move on to a few important highlig hts for each of the businesses within the L&T Group portfolio.
Coming to the Projects and Manufacturing part, we start with Infrastructure.
Infrastructure:
• The order inflow grows at 21% for FY '25 on a large base with the share of international orders at 61% .
• Effective September 1, 2024, the company carved out a separate Renewable sub-vertical out of its Power Transmission and Distribution business within the Infrastructure segment. The creation of this vertical is expected to impart increased autonomy, improve cu stomer proximity, and enhance leadership oversight, thereby enabling us to excel in this expanding space.
Hydrocarbon

• On the back of international order wins, the order inflows for this segment has crossed Rs 600 billion for the second consecutive year.
• Here again, effect ive 1st April 2025, that is the start of the current financial year, the Hydrocarbon business has carved out into Offshore and Onshore vertical .
Carbon Lite Solutions
We come to the third part of the P &M portfolio, which is the Carbon Lite S olutions, the erstwhile Power business. In this case, during the year with the receipt of two boiler and turbine generator orders from NT PC, the business has achieved its highest ever order inflow for the year. The government's focus on thermal capacity accre tion to address base load requirements is supportive from a policy standpoint in the medium term.
Green & Clean Energy
• I come to green and clean energy. Here again, multiple opportunities are emerging in the Gas to Power sector, particularly in the international markets. Given th e size and complexity of these projects, a dedicated focus is essential in this area as well. To improve the functioning and oversight, the Gas to Power business will be now managed under the umbrella of the green portfolio, which is now getting renamed as L&T Energy - Green and Clean Energy Business.
• Secondly, L &T Energy Green Tech Limited h as received an approval for 90 KTPA green hydrogen capacity in tranche two of the green hydrogen production PLI at an average incentive of Rs 11.11 per kg of hydrogen. This incentive to be distributed over a period of three years is approximately worth Rs 300 cro res.

• Further L &T Energy Green Tech has been allocated land at Kandla port in Gujarat for setting up of a plant to produce green hydrogen and its der ivatives under a 30 -year lease from the Deendayal Port Authority , Kandla.

Heavy Engineering Business

Coming to Heavy Engineering - In February 2025, the company acquired the remaining 26% stake in L&T Special Steels and Heavy Forgings Limited for Rs 170-odd crores from the Nuclear Power Corporation of India Limited, thereby making LTSSH F, a wholly -owned subsidiary.

Precision Engineering & Systems Business

In respect of precision engineering and systems, the business secured a repeat order for delivering K9 Vajra artillery platforms to the In dian army.

Service Business

• Coming on to the Services segment with respect to L &T Technology Services, L &T Technology Service Limited acquir ed Silicon Vall

ey -based Intellis wift to deepen its offerings across software product development, platform engineering, digi tal integration, data, and AI.

• The Data Center business purchased a 15% stake in E2E Networks on December 4, 2024 and with our second tranche mandated 6% stake purchase which is scheduled in the current quarter of the current financial year.

• L&T Semiconductor Technologies in the month of August, completed its acquisition of SiliConch Systems Private Limited , a Bangalore -based semiconductor startup focused on power semiconductors with a portfolio of more than 30 granted patents.

• L&T Finance L imited also entered into an agreement with Paul Merchants Finance Private Limited for acquiring its gold loan business segment. This acquisition marks the entry of L &T Finance into the gold loan business. This transaction is expected to get consummated in Q2 of the current financial year, FY '26.

• Development projects, the company, we actually divested L &T Infrastructure Development Projects , a SPV company primarily into toll road business in April 2024. We sold our entire stake, to an infrastructure fund, managed by Edelweiss Alternative Asset Advisors .

L&T s International Ratings

• The global credit rating agencies, Standard & Poor and Fitch have assigned BBB+ credit rating with a stable outlook to Larsen & Toubro Limited . This rating is two notches above the country sovereign rating. This rating also reflects our exceptionally strong business model, credit quality, and global standing .

• Similarly, on as far as ESG rating is concerned, the MSCI ESG Research upgraded Larsen and Toubro Limited from BB to BBB for its ESG performance.

We will now cover the various financial performance parameters for Q4 FY25. Q4 FY25 was a quarter of strong performance across the various financial parameters. Our group order inflows for Q4 registered a growth of 24% on a y-o-y basis. On the back of a strong ordering momentum, the order book at Rs 5.79 trillion on March '25 has also registered a growth of 22% on a y-o-y basis. Aided by a healthy execution momentum from several bu sinesses within the Projec ts and Manufacturing portfolio , our group revenues for the quarter registers a growth of 11% on a y-o-y basis. The margin of the Projects and Manufacturing portfolio at 9.9% registers a growth of 30 basis points over the correspo nding quarter of the previous year. Our Net W orking Capital to Revenue on trailing 12 months basis is at 11% as on March '25, improving

by 100 basis points on a y-o-y basis. Similarly, our Return on Equity on a trailing 12 -month basis as on March '25, is at 16.3%, improving 140 basis points over the previous year.
I move on to individual performance parameters. Our group order inflows for Q4FY25 is at Rs 896 billion. Within the group order inflows, our Projects and Manufacturing businesses secured orde r inflows of Rs 721 billion for Q4, reporting a robust growth of 29% over the corresponding period of the previous year. Our Q4 FY25 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure and Hydrocarbon segments. During the current quarter, our share of international orders in the Projects and Manufacturing portfolio is at 71% vis -à-vis 27 % in Q4 of last year.
Moving on to the Prospects pipeline . We have a very strong prospects pipeline of Rs 19 trillion for FY26 as compared to Rs 12.1 trillion for FY25. This is representing a sharp increase of 57% on a y-o-y basis. This massive prospects pipeline is of course very encouraging. Despite the geopolitical uncertainty and th e continuing macroeconomic volatility , this increase in prospect pipeline is primarily attributed to Infrastructure, Hydrocarbon, CarbonLite , and the Green and Clean Energy businesses.
The broad breakup of the overall pro

spect pipeline for current financial year of FY26
is as follows :
• The share of Infrastructure segment is at Rs 9.64 trillion as compared to Rs 7.25 trillion last year, representing an increase of 33%.
• Hydroc arbon prospects is today at Rs 7.47 trillion vis a vis Rs 3.87 trillion last year, again representing an increase of almost 93%.
• CarbonLite Solutions for FY26, the prospect pipeline is at Rs 0.90 trillion as compared to Rs 0.50 trillion last year, here again, repres enting an increase of 80% .
• The Green and Clean Energy portfolio, the prospects for FY26 is at Rs 0.70 trillion as compared to Rs 0.10 trillion last year. This is primarily due to the addition of several Gas to Power related opportunities outside of India.

• The a ggregate order prospects for the Heavy Engineering and the Precision Engineering Systems business which forms part of the Hi-Tech Manufacturing segment. The order prospects for FY26 is at Rs 0.29 trillion as compared to Rs 0.34 trillion for FY25.
Moving on to the Order Book: Our order book is at Rs 5.79 trillion as of March '25, up by 22% when we compare to the March '24 position. As the Projects and Manufacturing business is largely India centric, 54% of this order book is domestic and th e remaining is international. Out of the international order book of Rs 2.64 trillion, of 81% is from the Middle East and 19% is from the rest of the world. In our view, the various countries in the Middle East are continuing to invest in Oil and Gas, Power Transmission, and Green Infrastructure, and there is a focus of Industrialization where, besides the Hydrocarbon sector, they're also looking into energy transition and also minerals and metal sectors as well.
The breakdown of the Domestic order book a t Rs 3.15 trillion as of March '25 is as follows.
• The orders coming from central government, the share is 15%.
• The state government and the local authorities' share is 26%.
• Public sector corporations or state -owned enterprises share is at 38%,
• The Private sector contributes to 21% of the domestic order book.
Approximately 14% of our total order book of Rs 5.79 trillion is funded by bilateral and multilateral funding agencies. Here again 91% of our total order book is from Infrastructure and E nergy. You may refer to the presentation slides for further details.
During a FY25, we have deleted orders of Rs 7 billion from the order book. There are no deletions of orders from the order book in Q4 FY 25. The share of slow moving orders is around 2% of the total ord er book.
Coming to revenues, our Group revenues for Q4 FY25 at Rs 744 billion registered a healthy y-o-y growth of 11%. International revenues constituted 50% of the revenues during the quarter. The strong execution momentum in Hydrocarbon, Precision Engineering & Systems and Heavy Engineering within the Projects and Manufacturing portfolio drove the overall group revenues for the quarter. Within the overall group revenues, the revenues for the Projects and Manufacturing business for Q4 FY25 is Rs 569 billi on, which is up 12% over the corresponding quarter of the previous year.

Moving on to EBITDA margin, our group EBIT DA margin without other income for Q4 FY25 is 11% vis -à-vis 10.8% in Q4 of the previous year. The detailed breakup of the E BITD A margin business w ise, including other income, is given in the annexures

to the earnings presentation. You would have noticed that the EBITDA margin in the Projects and Manufacturing business for Q4 FY25 is at 9.9%, an improvement of 30 basis points over the corresponding q uarter of the previous year. I will cover the details a little later when I talk about the performance of each of the segments.
Our consolidated reported PAT for Q4

FY25 at Rs 55 billion is up by 25% over Q4 of
last year. This PAT growth is reflective of increased activity levels, improved treasury operations, and an exceptional gain booked during the quarter. The exceptional gain of Rs 4.75 billion is due to a part reversal of an earlier impairment provision for funding done in the erstwhile L&T Special Steels and Heavy Forgings Private Limited JV. The group performance , P&L construct, along with the reasons for major variances under the respective function heads, is provided in the earnings presentation. You may kindly go through the same for further details.
Coming to Working Capital : Our Working Capital to sales ratio has improved from 12% in March 24 to 11% in March '25, mainly leading to an improvement in the Gross Working Capital to Sales ratio, which is backed by strong customer collecti ons during the year. Our group level collections excluding financial services segment for FY25 is Rs 2,352 billion as compared to Rs 1,999 billion in F Y24, thereby registering an increase of 18% on a y-o-y basis. Due to an enhanced focus on customer coll ections, our free cash flow for the year FY25 is at Rs 174 billion. You may also like to go through the cash flow statement which is forming part of the annexure to the earnings presentation. Finally, the Return on Equity for FY25 is at 16.3% as compared t o 14.9% last year, which again is an improvement of 140 basis points.
Very briefly, I will now comment on the performance of each business segment before we give our final comments on our outlook for a FY26.
First is Infrastructure. We start with order in flows. This segment secure orders for Rs 346 billion for Q4 FY25, registering a healthy growth of 10% on a y-o-y basis. International orders constitute at 55% of the total quarterly order inflows. During the current quarter, the orders were mainly recei ved in Buildings & Factories, Power Transmission & Distribution, and as well as Minerals and Metals businesses. Like I mentioned earlier, our order prospects pipeline in the Infra segment for the next 12 months is around Rs 9.64 trillion as compared to Rs 7.25 trillion same time last year, again representing an increase of almost 33%. The Infra prospects pipeline of Rs 9.64 trillion comprises of domestic prospects of Rs 5.65 trillion and international prospects of Rs 3.98 trillion.
The sub -segment breaker of the total order prospects in Infra segment is as follows. The share of Heavy Civil Infra is 26%. Transportation infrastructure 17%, Renewable

15%, Power Transmission & D istribution 14%, Buildings & Factories 11%, Water 10%, and Minerals & M etals at 7 %. The order book for this segment is Rs 3.57 trillion as on March '25. The book bill for infra is around 26 months.
Q4 revenues at Rs 389 billion registered a subdued growth of 2% over the comparable quarter of the previous year, which again is largely d ue to faster execution clocked in the earlier quarters of the current financial year. During the quarter, certain water jobs within the segment could not progress as per plan due to fund constraints at the client level.
Our EBITDA margin in t his segment for Q4 FY25 is at 8%, which improves 10 basis points over the corresponding quarter of the previous year.
Moving on to the next segment, which is Energy projects which comprises of Hydrocarbon and CarbonLite Solutions . The Green and Clean Energy business within the Energy segment is in the incubation stage and is yet to meaningfully contribute to the overall segment numbers. The receipt of an ultra -mega offshore order from

QatarEnergy boosts the Hydrocarbon order book, whereas no major orders were received in the CarbonLite Solutions during the quarter.
We have a strong prospects of

Rs 9.07 trillion for the Energy segment for FY26, which
comprises of Hydrocarbon prospects share at Rs 7.47 trillion , CarbonLite Solutions at Rs 0.90 trillio n, and the Green and Clean energy prospects of Rs 0.70 trillion. Whereas CarbonLite prospects are largely domestic, around 94% of the Hydrocarbon prospects, as well as 88% of the Green and Clean Energy prospects are international. The order book of this Energy segment is at Rs 1.66 trillion as of March '25, with Hydrocarbon orderbook at Rs 1.39 trillion and Carbon lite Solutions at Rs 0.26 trillion.
The Q4 FY25 revenues for the segment at Rs 123 billion registered a robust growth of 49% driven mainly by the execution ramp up across domestic and international projects of Hydrocarbon, whereas lower revenues in CarbonLite S olutions is reflective of the early stages of the executable order book.
The Energy segment margin in FY25 is at 8.1% as compa red to 11.4% in Q4 of the previous year. In the corresponding quarter of the previous year, the hydrocarbon business had the benefit of a favorable claim settlement which aided the margin .
We will now move on to the Hi-Tech Manufacturing segment which c omprises of Precision Engineering & Systems and the Heavy Engineering businesses. The lower order inflows in Q4 FY25 in this segment is largely due to a high base in the corresponding quarter of the previous year.

The order book of this segment is Rs 404 billion as of March '25. Our order prospects pipeline for the next 12 months in this segment is around Rs 294 billion, comprising of Rs 219 billion of Precision Engineering & Systems prospects and the remaining Rs 75 billion from the Heavy Engineering business.
During the quarter, robust execution momentum was witnessed across both the verticals. Execution cost savings in Heavy Engineering business aided the margin improvement at the overall segment level. The lower margin in the Precision Engineering is reflective of a higher share of fast jobs under execution.
Moving on to the next segment, which is the IT and Technology Services which largely comprises of the two listed entities LTIMindtree and L&T Technology Services . The revenues of this segment are Rs 125 billion in Q4 FY25 registers a growth of 11%, largely in line with the prevailing macroeconomic environment. The segment margin decline during the quarter is mainly explained by a reduced operating leverage. I will not dwell too much on the segment as both the companies in the segment are listed entities and the detailed fact sheets are available in the public domain.
We now move on to L &T Finance Limited. Here again, the detailed results are already available in the public domain . But very b riefly, the Q4 of FY25 witnessed a calibrated disbursement strategy in the rural business finance portfolio due to prevailing sectoral headwinds. The Financial Services business achieved 97% retailization of its loan book in March '25, well ahead of its FY 26 targets. The Return on Assets remain healthy at 2.44% and adequate the capital adequacy ratio at almost around 22%, which is available in the Balance Sheet, to pursue growth in the medium term.
Moving on to the Development Projects or the concessions p ortfolio, this segment now includes the Power Development business comprising of Na bha Power, which is a 1,400 -megawatt coal -based operating power plant, and the second one being Hyderabad Metro. Most of the revenues in the segment are contributed by Na bha Power. A lower PLF impacted Na bha revenue for the quarter, whereas monetization of a real estate parcel aided the revenue growth in Hyderabad Metro. The segment margin improves during the quarter, mainly due to the gain on the TOD monetization in the met ro and coupled with lower interest cost in Nabha Power.
The Metro at

the PAT level posted a loss of Rs 0.07 billion in Q4FY25 as compared
to a loss of Rs 2.11 billion in Q4 FY24. The improvement is again on account of a gain of Rs 1.87 billion recorded on the TOD monetization during the current quarter.
Moving on to the Others segment . This segment comprises the Realty business, Industrial Valves , Construction, Equipment and Mining Machinery, and Rubber

Processing M achinery and a residual portion of the Smart World and Communication business.
The Q4 revenue grew up by 4% over the corresponding quarter of the previous year, mainly contributed a higher handover of residential units in the Realty business portfolio. The segment margin improvement is mainly due to a favorable sales mix in the Reality business and Industrial Machinery, business.
Coming to the last part of my presentation, the outlook. Despite the global despite the global uncertainty, the Indian economy growth for FY24/'25 is estimated to grow between 6.25% to 6.5%. The agriculture sector is expected to grow at 4%, the industrial sector at 6%, and the services sector at 7%. The growth momentum is evidenced through improvement in several high frequency macroeconomic indicators. The headline inflation for the country as measured by the consumer price index has eased consumed considerably during FY25. The reduction in the repo rate by RB I at 50 basis points, as well as the shift of stance from neutral to accommodative, could further aid the gro wth momentum for the country.
The Indian economy is expected to remain resilient, supported by robust consumption from households alongside the government's continued focus on capex. The capacity utilization in manufacturing remains high, and the Balance Sheet of Banks and corporates continue to remain healthy. The economy has also undergone rapid digitalization over the past decade, significantly enabling productivity. The service sector has increasingly shifted towards high -tech digital solutions, inclu ding e -commerce, fintech, cloud computing, and air -driven services. The risk to growth remains largely external, rising cross -border tariffs, disrupted supply chains, and continuing geopolitical stresses. The country will have to adapt to the rapidly evolv ing global landscape by harnessing its domestic strength to drive growth in a sustainable manner. Given the right impetus and policy framework , India has the capability to position itself as a major sourcing geography for goods and services in the near fu ture and target to become the world's fourth largest economy ahead of its stated timeline.
The global economy grew by 2.7% in the calendar year 2024, with regional growth varying significantly. The GCC countries led by Saudi Arabia is poised to continue strengthening both the physical and the digital infrastructure in the region in addition to monetizing its oil and gas assets. As the GCC countries embark on the transition from oil to clean energy and pursue various industrialization initiatives, the regi on's growth opportunities remain attractive. As I stated earlier, it is in sync with the other prospects that we are witnessing for both infrastructure and energy segments with respect to international opportunities.

With the recent US tariff announcements, the risk of global cross -border trade and investment flows is slowing down. The risk is high, and consequently, it will have some amount of volatility in crude prices and dislocated supply chain. The economic growth outlo ok remains uncertain and ambiguous with key risks stemming from heightened policy uncertainty amidst the geopolitical tensions and military escalations.
In this economic backdrop, L &T will focus on timely execution of its large ord er book, preservation of li

quidity, and optimal use of capital and other resources while
remaining cautiously optimistic on the emerging new opportunities. The company will pursue its stated objective of enhancing returns to its shareholders on a sustained basis.
Before we conclude, let me cover the guidance on the various parameters for FY26.
We expect our group order inflows and group revenues to grow at 10% and 15% respectively for a FY26. With respect to the margins in the Projects and Manufacturing portfolio, we are targeting 8.5% for the year of FY26, and our Net W orking Capital to Revenue guidance for March '26 is at 12%. The revenues and the margin targets that we have set ourselves for FY26 will be more visible in the second half of FY26.
Lastly, as you are aware, our free cash flow generation has been robust in the last couple of years, and we are also stepping up our capital allocation into newer business areas like green energy, data centers, and semiconductor d esign. We do expect some of these investments to start contributing to group returns in the next Lakshya plan

which starts FY27 ending FY31.
In the earnings call presentation that we have uploaded in our website, we have added a couple of slides on the progress achieved in our strategic plan, which is ending FY26, as well as our journey of improvement in the return ratios at a group level over the last five years.
I request you to kindly go through for the same for better clarity. During the current year, we will begin exercise of creating the strategic road map for FY27 to '31. The same will be communicated to the stakeholders during the Q4 FY26 earnings call.
With this, I conclude, thank you, ladies and gentlemen, for the patient hearing. We will now begin the Q&A . In the interest of time, I would encourage all you participants to stick to the broader questions on strategy and outlook. The bookkeeping questions can be taken up by the IR team later on. Thank you.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar : Congratulations on your strong set of result, especially given the weak domestic activity. So my fi rst question is on the order inflow guidance. I think you gave the inflow guidance of growth of 10% while the order prospect pipeline is up by 50%. So is the re a reason for giving a lower order flow guidance? Are you assuming a lower win ratio or has the characteristic of the order prospector changed?
P. Ramakrishnan : So, okay, the other prospects last year was around Rs 12 trillion, and we are starting this year at Rs 19 trillion other prospects, and it has been quite well spread across the major segments in the Infrastructure and Hydrocarbon including Power as well. But I also mentioned during the last part of my call that given the geopolitical situation , this is an assessment so what it looks like is we have a very robust order prospects pip eline, but we also need to be mindful of how customers would decide to finally get into the bids given the volatile nature of developments across the globe.
Our construct , basis the discussion that we have been having with some of our strategic clients and given the fact that L &T is running at such a large base, I think it would be appropriate we start off with the year, with a 10% order inflow guidance and depending on how the first six months pan out in terms of opportunities that come up our way and how muc h of order wins that we get, we can possibly look to revising the guidance at a later point in time.
So two things. One is , it's a positive sign that basis the opportunities that we have , the addressable prospects is quite robust b oth for India and the international market, but we are also mindful of the fact of developing implications in te

rms of all the situations
that is coming out, especially the geopolitical across the globe. I think we have to address that as well. And given the last but not the least , the large order base that we are running at, I think we are starting off with what we feel is a realistic estimate at this point in time. Mr. Sarma also wants to add .
Subramanian Sarma : Yes, I think our order book to revenue ratio is also pretty healthy. I think normally in this Industry two years of order book is considered to be very good. We are running at around 2.7 , 2.8, which is a very strong, starting point like you said. So in terms of revenue, what we have to achiev e, I think, we have a very good base, so we have to be selective. I mean, like addressable market is quite high and we will also be a little bit selective in what we want to acquire because our long term and medium term plan is to improve the return on eq uity metrics, right? So , I think if you have a choice to be selective then this is the opportunity for us to do that. So I think that will also get factored in. That's all I want ed to add.
Mohit Kumar : Understood. My second question is on the domest ic order inflow, it is pretty weak. I think both FY24 and FY25. And I think at the beginning of the FY25 you must have

baked in a higher order inflow prospect for the domestic. So my question is why domestic is not picking up and are you seei ng some signs of improvement as we enter the FY26.

R. Shankar Raman : Good evening. See, I think, largely the investments that get made around infrastructure becomes the basis for, domestic orders, unlike international where the order si zes are significant, domestic order si zes are still, much more modest. And secondly, t he standards that domestic markets apply for pre -qualification of eligible bidders is not as stringent as international. So consequently , we do have a situation where peo ple who need not necessarily have the requested competence, do get into the fray and just to make a point , they also get into the fray at price points which are not very sustainable , from a long -term point of view.
So, for example, if I were to take, the Water business for FY25, we walked away from many bi ds. In Thermal Power , until we got the repurposed BTG order , we walked away from many bi ds. So, I think we just want to retain the opportunity to pick spot s, especially when we have such large intern ational prospects. We should also not believe that we have capacity which is endless. The effort is always to keep augmenting that capaci ty, but it takes more time than what we normally achieve . I think if you want to broad base, achieve the financial o bjective, balance your capacity between opportunities in India, Middle East, etc. and also make sure that the level of competition in India , being far higher as compared to international , because of the pre - qualification standards , I think it does play out t hat the targeted prospect because this is not the entire, list of, potential prospects , this is what we think we could participate and out of this Rs 19 lakh crores, Rs 7 lakh crore s is domestic prospect and it is based on our assessment of what could be i nteresting.
So it's actually par for the course. A ccording to me, I think in comparison to the international it looks weak and small, but if you really look over a period of time it's been steady. It's not been rising sharply, it's been steady.
Mohit Kuma r: Understood sir, one clarification? What was the 7 lakh order prospect, domestic prospect last year?
R. Shankar Raman : Last year was around same . It's only that the delta that you spoke about comes from international rather tha n domestic.
Mohit Kumar : Thank you. All the best.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore : Good evening. My first question is that, as L&T enters the last year of the Lakshya plan, you are at about 16.3% ROE. You were targeting about 18%. Your, Cash and Cash Equivalents, including Current Investments have gone up by almost ■160 billion year on year despite the buyback that you had done. So, what are the levers to improve ROE to 18%. There is another buyback likely ? How are you thinking about reduction of Hyderabad metro losses and the core business improv ement . That's my first question.
R. Shankar Raman : Buyback - it's not very tax friendly from investors' point of v iew, so I think, unfortunately, the changes in the Finance Act paid put to that plan. The original plan was also to do something around that. We have to continue to improve capital productivity . We've been working very h ard to improve w orking capital efficiency and it's been showing results. And whether this is all no better we don't know . As we get into the year , we'll have to figure out how to do it. Secondly, the productivity of the fixed capital that we are deployed has to go up. The profitability , consequently, should go up for us to get the return going up. And this is a consolidated return we're talking about, which m eans it includes all the services business, etc. And you know that the service business has been punching below their level for the past year and we do expect the current year to be a little different. So , combination of better performance of the services business plus improved productivity capital, should enable us to get towards it. While 18% is an aspiration , when we said 1 8%, we were at 9% ROE . If you ask me, did you have a very definitive road map? No, but we have this intention and we try to bake it in every annual plan. So in the current annual plan we have baked that in and all going well, we should be somewhere around there.
Sumit Kishore : My second question is, in relation to the margin improvement, that we are targeting for the next financial year, rou ghly about 20 basis points. So if you look at this year's performance, there was a big delta coming from others driven by Realty . In Energy business, how would you say the stage of execution of hydrocarbon projects evolves through FY '26, would that be a lev er of margin improvement for the coming financial year?
And how should we think about the volatility of Realty ? I know , the timing of

execution and the timing of booking of sales would also have a bearing there , the sales mix wou ld have a bearing . Your comments please ?
R. Shankar Raman : See, Hydrocarbon business has a very big order book as you would have noticed . You will notice from the details given to you almost Rs 140,000 crore s, and, a significant portion of tha t has been one over the last 15 -odd month s. So their conversion into revenue which accretes margin will take its own while.

So my sense is that you will not see a significant spike in FY'26, but you will see the benefits of all of this rolling out of FY'27 financials. So, effort will always be to se e how to improve the existing trajectory, but beyond the point, executing faster than what is scheduled to be is also a big challenge. So our sense is, yes, it is a lever available because it is a sizable portion of the order book. But will it happen within the calendar year, or will it spill over to the bit of next year? At the moment my assessment is you will see the benefit flowing out in FY '27.
Sumit Kishore : Fair enough. No, in fact, your segment PBIT to the capital emp loyed for Projects and Manufacturing at 35% is the highest that we have seen in a very long time. My best wishes, sir. Thank you, and I'll join the queue.
Moderator: Thank you. Next question is from the line of Amit from PL Capital.
Amit : My first question is o

n the order book . On Rs 5,80,000 crore s we are almost 46% International and out of that 37% is Middle East . The prospects for Rs 19 lakh crore , includes Rs 12 lakh crore international prospects , and I'm assuming that FY '26 will also see massive international order s, and maybe , the international orders will cross as a per centage of order book more than 50%. Just wanted to understand, is there any execution constraint and, what is our preparedness to execute this huge international order book that are on the or der book now for th e next 3 years, and is there any risk mitigation strateg y? So, where I'm coming from is that there's a lot of oil volatility and there are talks that the in-hand projects might get delayed or maybe the tendering might get delayed . Your thoughts on all this ?
Subramanian Sarma : Okay, I'll take this. This is Sarma here. So , I think there are two things , one is about the conversion of the prospects into award , and second thing is about what you said, execution challenges. I think we have a very healthy order book in the international like you said, and if you dissect it is predominantly in R enewables, Power Transmission Distribution and Hydrocarbon. These are the three main businesses and of course we have got some airport projects in the CIS countries. So, I think that's broadly the split and these three businesses which I spoke about i.e. H ydrocarbon Renewable and Power Transmission & Distribution , they have been very active and very strongly present in the in the Middle East and West Asia market for a long p eriod of time. So , I think we are on the ground , we are kind of working with the customers who have been well known to us and we are understanding the key issues there which are required for execution. Nothing has changed . All these businesses have been performing quite well without major issues. So I don't see any execution challenges . It’s a familiar territory, and I think that momentum will continue . On the contrary, I think we have kind of defocused from so me of the African and other countries . So, I think it's all like nicely now, in the core markets of Middle East, Saudi , Kuwait, Qatar,

and Abu Dhabi where we have a strong presence. I don't see any execution challenges unless something goes beyond our control in terms of geopolitics etc., that we have to deal with it as it comes, but there are no signs of it.
Now in terms of order book proposals, Renewable has a very strong momentum. We had a customer meet yesterday and they're talking about adding capacity much more than what we had on our slate. And there's a lot of positivity around that , in terms of Renewable , Batteries, including Power Transmission . As you add more -and-more renewable s, the power transmission infrastructure has to change, as the Saudi is also moving from, liquid fuels to gas fuels, so they are also adding a lot of power plants i.e. Gas to Power plants and then they also need to add the required infrastructure. So I

think these two businesses, there is absolutely no change in the sentiment . In terms of hydrocarbon , again, I'll split it between oil and gas. Gas is absolutely going very strong and that will continue to be strong. Oil maybe you will have to see. maybe if the oil prices come down drastically. I think at the current levels it's an aberration . I think if the oil prices remain between USD 55-65 range, I don't expect any major slowdown because a good amount of capital also goes in maintaining potential , and gas will continue to go full blast.

Amit Anwani : So, lastly on Hyderabad Metro . We have been trying to refinance the debt there, and, last year we faced the challenges with respect to ridership moderatin g there and, apart from TOD helping, cover the losses, I think, operationally there's no major improvement in

FY '25. Wanted to understand , how one should think ahead about Metro with respect to ridership, operationally how it can perform, and , the update on refinancing as well would help?

R. Shankar Raman : See, Shankar Raman here. Refinancing is not so much of a challenge , because the company has a track record through all these trouble times of servicing it s debt well and in time . So we will get the benefit of refinancing it in FY '26. In terms of operating metrics, it is running at 50% EBITDA which means that the ridership number and the fare value will drive, the everyday improvement, and the current year i.e. FY2 6, you will find us revising the fare which is long overdue. It'll be shortly done.

Secondly , we're doing everything possible to make the last mile connectivity smooth so that the ridership improves. The key need le mover there is to get the debt repaid with interest free government loan. We got the assembly sanction for Rs 3,000 crore s but that was in the earlier regime . Rs 900 crore s have been drawn and Rs 2,100 cro res is pending, and we're trying our best to get that in as soon as possible . And if you're able to get that i n, the debt which is costing me almost 8.5% today will become zero cost. And that would help. And secondly, the monetization that we are doing, we're doing it in parcels, so it's not something that the 18.5 million square feet we have , we

can give it in one go. We're trying to do it in some parcels, so that effort will spread over this year and next year and maybe a bit into the following year. By the time we are fully done with the monetization, we would have seen possibly not 1 but 2 fair increases , we would have seen the government loan drawn down to repay the debt and around 6 lakh ridership as compared to 4.7 lakh per day today with lower debt of about Rs 8,000 crore and Rs 2,000 crore s of interest free money and far e from current Rs 34-Rs 38 ba nd goes to Rs 45-50 band, I think the asset becomes viable . But hard yards are still left, and I think it will take a good couple of years to get that underway. But suffice to say that this receives attention on almost a daily basis.

Amit Anwani : Thank you so much for taking my question and all the best.

Moderator: Thank you. Next question is from Aditya from Investec .

Aditya : I just wanted to understand on the international business. Last year we had started with, I think, somewhere around Rs 4.5 trillion for prospect pipeline, and based on the orders that we've had, we maybe , converted almost like 35% of that. So just want to understand, were we underestimating the pipeline initially or have we started bidding for a lot larger ultramega kind of orde rs in which earlier w e used to have a smaller chance , and therefore we weren't considering it in the pipeline. So what really is, happening around this? And even when we speak about the pipeline for this year or, the way we are anticipating orders for thi s year, is it that we are anticipating a much higher win rate in ultra -mega projects in the Middle East region?

R. Shankar Raman : Okay, see, as far as Middle East is concerned, why Middle East, as far as total prospect is concerned, our win rate has been b etween 20% and 25% on a normative basis. There are some sectors where the win rate is much higher. For example, in airports, our win rate is much higher. So it is safe to assume about 20% to 25% win rate, and we have factored that in our plan. We have not stepped up our win rate.

Secondly, in terms of prospects, as we started last year, the international prospects was almost about Rs 5,50,000 crores , and we have ended the year with about Rs 2,00,000 crores . So, in a sense, 40% has been the realized value of the target now as we look at . With every project successfully getting completed, our track record also improves , and the clien t confidence goes up . In Middle East you would have noticed that we don't deal with anybody and everybody . There ar e a select set of clients with whom we engage on a continuous basis. It is almost a framework kind of agreement which is subject to the competitiveness of the individual bids and an assessment of our capacity to execute done by the client . It's very interest ing to note that you don't have to be L1 necessarily to get an award in the Middle East . At the same time, just because you're L1, you 're not guaranteed of an award. So, there is a very dynamic assessment that

takes place between the client and the con tractor shortlisted and given the track record that we have built in the projects that we have worked, I'm happy to tell you the clients do trust us. Much more than what they were, possi bly even a year and a half ago. All these are in our favor and witho ut having to repeat a 40% win rate, we still do think out of the Rs 12 trillion , we should be able to clock in re asonable growth in the order inflow from international.

Subramanian Sarma : If I can just add , this Sarma , here again , I think just to add t o what Shankar said, about the track record and our credentials and recognition I think we have really moved up quite a bit few notches in terms of how we are perceived by customers . In the offshore business , I think the largest ever project we won in Qata r is a testimony to that . I think these contracts are something which were predominantly awarded to Western European contractors and for us to sort of be in that position itself is in my view a big recognit ion and if to deliver this job, well I think then we really get to the top level, in terms of, customer acceptance . And the same is happening in Renewables. I think we are one of the largest players in the Renewables and most, preferred. And as long as the opportunities are emerging and we have the right appetite for that, I think we have sort of a more than re asonable chance of winning those.

Moderator: Next question is from Renu Baid from IIFL Capital.

Renu Baid: The one thing that I was wanting to understand more closely was, while RS R did mention that margins have much str onger levers for expansion in FY‘27 as international / hydrocarbon projects become more margin accretive , but from a longer term perspective, as w e see the share of t hese international hydrocarbon / infra projects, stepping up in the share in order backlog in the revenue. Do we see a structural reset of the margin, to 8% to 9% levels from the previous 10- or double -digit levels which were there and, h ow do we weigh or manage the commodity and currency volatility? While currency can be managed, but especially on the commodity price, how have we factored on the risk mitigation measures on these ultra mega projects ?

Subramanian Sarma : Let me take this question . I think , as RSR explained, the margin accrual will depend on the facing of the project, and some of the large projects have been recently awarded, so that will manifest itself over a period of time, but there's been s ort of a lot of focus internally across all the businesses to see how we can use the latest technology to reduce our cost, and I th ink that ’s the journey that we have been g oing through and we hope to see some benefits of it coming in the periods of time next few quarters . And more importantly, I think, currently what we are seeing with the geopolitics and in the countries we are operating, China sourcing can be a an attractive possibility . We'll have to see how it goes, but we have dispatched g roup of team to China to study

the market more because there may be a window of opportunity when the tariff wa r is going on between US and China that we might find some goo

d deals which could help us in some cost saving. So that is also, somet hing we are looking at.

So, I mean in nutshell, I think I can't put a number to this, but there's a very clear, direction and clear emphasis that we need to keep working on improving the bottom line and, that we are looking at various possibiliti es. Like I said, improving our productivity using technology and also improving our sourcing wherever we can because I think thankfully the Middle Eastern customers are now very open to sourcing from China . So if there is a window of opportunity we'll try to capitalize from that. I think we'll continue to make efforts and hopefully it should manifest.

Renu Baid: But structurally you think 10% margin could be a difficult range for the next two to

three years ?
R. Shankar Raman : Yes, I think, w e also have to keep in mind that as we are growing in the Middle East , the Middle East is also taking note of increasing overseas contractors participating, and there is an aspiration for the local population there also to participate in all this progress. So there is a bit of an investment that we are doing in ramping up the capacity a little ahead of time. Today, there are locali sation percentages that are prescribed for services, etc. and, these are not the cutting edge in terms of offer because th ey're all of recent origin in terms of their own competency, etc. And Middle East they've been largely built by external agencies than local agencies. Local agencies have enjoyed the benefit of that. Now that they're trying to localize this, you also have to ensure that it's only out of the projects that I earn , that I start investing in those capacity enhancements. So the way I would like to look at it is , I still like to operate within that 8 % to 10% band . But what is actually a sustainable ma rgin, I think as time moves , we will know because today the kind of order backlog that we have in Middle Eas t, I think we soon will be a very major player and hopefully the scale will provide us some competitive advantage.
Renu Baid: Sure, that's helpful, sir. And in this last if I can, any updates on the asset moneti sation which was a part of the current 5 -year plan which is coming to an end ? Anything on Nabha or we should keep it on the back burner for now ?
R Shanka r Raman : It doesn't hurt as much. Nabha is okay. It's generating about Rs 4,000 crores of revenue and Rs 400 crores of PAT, so Nabha is okay . I do not know whether the curtains are down on coal -based power plant. My belief is that now India needs energy for growth and all of that cannot be given by renewable sources. Coal does, come into play. And if that were to happen, then this is a top class plant built very well . We call this Rolls - Royce plant. So this plant, could be of interest to bidders, who knows,

Renu Baid: Yes because from a market perspective it would be good when the market is good to, shed up the asset at a better valuation .
R Shankar Raman : That is right. So at the moment now we're trying to see where we can invest to grow our returns. I think much of the divestm ent that we wanted to do is done. Hyderabad Metro, I might want to sell it to you, but you may not want to buy it, so we have to wait for some time.
Renu Baid : Sure, thanks very much and congratulations for the impressive improvement in ROE and free cash flow that we have been doing.
Subramanian Sarma : Thank you.
Moderator: Next question is from the line of Atul Tiwari from JPMorgan. Please go ahead.
Atul Tiwari : Thanks a lot, and congratulations again on a very strong performance . So my question is on oil prices. In this prosp ect of Rs 12 trillion how much will be the oil dependent and at what oil price would you be worried that part could get deferre d?
Subramanian Sarma : Yes, hi, this

is Sarma again . So, if you look at this, I think, other than Hydrocarbon, almost 37% is in the Infrastructure, and they are not that dependent on oil. P articularly as I said earlier , there's a heavy momentum on the Power Transmission and Renewable and also some of the Infrastructure projects which we are pursuing here will go through because that's part of the growth story of the respective countries. I don't see that is sensitive to oil prices at all. The on e which could be sensitive to oil prices is Hydrocarbon business which is about 60% of the order prospects . In that again . I said we have offshore wind, we have offshore gas they are not sensitive . I think some of the prospects we are pursuing like LNG gasification , the Qatar and the rest of the governments are already committed to e xpanding their LNG capacity and are going ahead and spending money, huge amount of money in LNG plants, and they need to set up this offshore gas development to feed that i n LNG plants. So, I think it is same with some of the oil projects also Kuwait . We have a lot of prospects from Kuwait and Kuwait has had a very dry period for the last 3 years. They were one of the countries who were not spending . So, they have come back now, and they are committed to spend . So even if the oil prices are on the lower range, they will still go ahead. So , all in all I think I am not expecting a sort of reduction in the quantum. Maybe there is a little bit of shift to the right . Maybe instead of one quarter it will go to the second quarter or third quarter . There may be a quarter by quarter shift, and some delay if at all the oil prices come down. In my view, I think, USD 55 per barrel would be the threshold for Brent an d that means 50 and below for the West Texas would be a

threshold which might slightly delay the decision . But I expect most of these prospects will go through. That's our as sessment.
Atul Tiwari : Great, sir. And just the last one again on this oil thing because you have very large business in Middle East. So you are not seeing any signs of customers delaying payment , talking about not paying on time at current oil p rices ? And again you know what is the risk mitigation here and at what oil prices you would be worried where customers will start delaying payments or maybe start talking to you about going slow on execution because they don't have money ?
Subramanian Sarma : I think I answered about the oil prices already. The threshold remains, whether it is for payment or for capital decision , it would be in that range, but maybe even lower for the ongoing jobs. Like RSR said earlier, we have been working with the top -class customers. Our counterparty risk , be it in Infrastructure or be it in the Hydrocarbon is very low, because we follow a very strong risk assessment process internally before we bid for the job . And thankfully , I think , so far we had an excellent record in the international market. Most of our customers, even in very difficult time , to tell you honestly , even during COVID time people pay out promptly . And I think only customers who are compensating for the COVID were the international custome rs. That's the kind of customers we're dealing with.
So, I would not be too much concerned about any payment issue. Some shift here and there might happen, but we don't see that as a risk . The mitigation, what you spoke about is already built in , in terms of our contract terms and the payment mechanism s including compensation if there is a delay, but, I don't see that as a big issue.
Atul Tiwari : Okay, it's good to hear.
P Ramakrishnan : Just to add to what Mr. Sarma spoke now on the existing order backlog that we have in international, these are all projects for which funding lines are in place, so we don't expect any sort of challenges in terms of not get

ting paid against execution of our order.
Atul Tiwari : Okay, great. Good to know, sir, and congratulations again on very strong performance.
Modera tor: Thank you. Next question is from Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal : Yes, hi team, congratulations on a good quarter. So my first question is o n the share of the fixed price contract in the order book and are we benefiting an ything from the comm odities . So versus last quarter, do think the carrying value of the cost and the fixed price contracts has it gone up or gone down? So that's my first question.

And second is on, whether there is any downside risk? So , what could be downside risk to the current margin target of 8.5%? So last year we have faced some slight disappointment on the guidance. So , is there any downside risk to the current guidance ?
P. Ramakrishnan : So, it is like this ; The share of fixed price contracts in the order book is around 46% as of March '25. As compared to 42% as of March '24 . The increase is primarily due to the fact that FY '25 has seen a lot of international orders. A major part of these orders are of course fixed price contracts.
Parikshit Kandpal : Okay. And given the commodity prices where they are, are we now in a better position in these price fixed price contract in terms of the carrying value of the cost or whether it has deteriorated versus the last quarter?
P. Rama krishnan : I think Mr. Sarma just referred that while we are trying to optimize the cost and thereby leading to improvement in margin, he also talked about we are also trying to diversify our supply chain apart from developed countries getting into China an d all. It's a question of time how the savings in the execution costs along with becoming more innovative in project execution technologies will aid the margins to ramp up . It will happen over a period of time. At this juncture, what we have given as a t arget guidance for P&M portfolio margin for FY '26 at 8.5 %.
Subramanian Sarma : Yes, I mean, just to add, I think the good news is that the commodity prices have been pretty stable, right? I mean, I think when you have too much of volatility that becomes a cause of concern because we don't know which way it will go on a fixed price contract. But fortunately what we are seeing is that unlike after the Ukraine war, I

mean, last 1 -1.5 years, the commodity prices have been reasonably rang e bound . And
if you can sort of capitalize from what is happening in the tariff war, then we will do
that.
Parikshit Kandpal : But any risk to this year's guidance of 8.5% and what could drive this down and what
could be downside to this margin guid ance?
R. Shankar Raman : Any time we give guidance or margin there's always a risk of not meeting as much as
there is a possibility of meeting . The endeavor of the organization is to move towards
the target that has been set . If projects come to a halt , funding stops , there is no
resources available with us to deploy , if we're not able to find banks to give us bank
guarantees , all these things if they happen, then obviously there's a risk to the guidance .
But reasonable to say that it's not a gui dance which is actually turning the past
performance on its head. It's a guidance which shows progressive movement. So there's
a reasonable chance . Of course we could slip, but we have subsequent quarters to keep

talking to you, and if we fear that there is likely to be a slippage, we'll be the first ones
to come and tell you.
Parikshit Kandpal : Okay, sure thing. Thank you and wish you all the best.
Moderator: Thank you. Next question is from the line of Mr. Vijay akumar from Avendus Spark.
Please go ahead.
Vijayakumar: Yes, good evening. My first question is on order inflow growth. Since we allud

ed to
the fact that the domestic prospects is flat from last year to this year, does that mean
the 10% order inflow growth for FY'26 is all coming in your assessment only from the
international segment?
R. Shankar Raman : Okay, prospect line is flat. What we are going to win out of that is a function of how
interesting the opportunities are and how competitive we are. So, at the moment, given
a relative ly low base there is a growth prospect, relatively looking at the pipeline which
is stronger for international. Like this year, the growth in domestic was 7% over the
previous year and international is 27%. Like that there could be a bias, but I would n't
rule out growth in domestic. It may not be flat. It might still be growth prone, but to
what degree we have to wait and watch.
P. Ramakrishnan : Just to add here, last year we started the year with order prospects pipeline for FY '25
at Rs 12 trillion. The share of domestic was Rs 6.77 trillion . Today, out of Rs 19 trillion
prospects for FY '26, the domestic share is at Rs 7.29 trillion . So per se on a year on
year basis, the value of the domestic prospects also has gone up. It's not that it has
come down.
Vijayakumar: Okay, understood. The second question is on the different side, in your outlook, slide
30 you have given opportunity in Defence manufacturing as one positive aspect, on
the outlook side. So can you give more color on that? What are you expectin g there,
from that, point of view? Thanks.
P. Ramakrishnan : Sorry, can you repeat that sentence, please?
Vijayakumar: So opportunities in Defence manufacturing has been mentioned as a positive lever for
the outlook for the coming year and so your expecta tion on how the different segment
is going to perform in the order inflow or et cetera .
P. Ramakrishnan : Okay, so let me take that. See, Vijay akumar, it is like this that , given the fact that the
government's defen ce outlay for capex is also increasing and more important, out of
the increase in capex outlay, they are putting more and more on indigenization
protocols , it is expected that the companies like us which are partner ing in a very active

manner. From L &T's perspective, it is both on land -based and sea -based infrastructure
and we believe that the share of defen ce orders for us also will go up, but whether these
kind of orders will move the need at overall entity level , that time will tell . But we do
expect that going forward, the segment will grow more than its potential , the way it
has been shown in the last 5 years or so. I think it will become more and more growth
oriented with a ctual orders coming in, and but the only thing is the share of that will
still continue to be a little limited given the fact that the other segments of the P&M

portfolio growing more faster and larger in scale.
Vijayakumar: So thank you and team that answer s my question . All the best.
Moderator: Thank you. Next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: Yes, thank you so much for taking my question. So, what I really wanted to ask was on the order prospects th at that we are seeing in the international market outside of the Middle East, what is the order prospect looking like in the other countries . So again, Middle East has been a big portion of our commentary, but outside of Middle East, what is t he situation like?
P. Ramakrishnan : So I will take that. So the total international prospects that we are having at Rs 11.7 trillion know that I told , against that you can take 80% of the prospects will be coming from the Middle East and 20% will be a combina tion of all other countries.
Nidhi Shah: Okay. That's it. Thank you.
P. Ramakrishnan : Another thing I wish to add, as far as 80% when I talked about Middle East, no, it is more or less spread largely on Hydro

carbons, then thereafter renewables, and then you have other Infrastructure sectors like Transportation and also Minerals and Metals. And there is a more or less balance spread in terms of order prospects with respect to Hydrocarbons international between the major capex spending states of Saudi , Qatar, UAE and followed by Kuwait, which will happen in FY '26 as well.
Nidhi Shah: All right, thank you so much.
Moderator: Thank you. Next question is from the line of Priyankar Biswas from BNP Paribas. Please go ahead.
Priyankar Biswas : Thanks, sir, for the opportunity. So my first question is regarding the water projects. So, I understand from your commentary that there may be some execution and cash flow issues. So can you just let us know what percentage of the domestic order boo k

are these, water projects ? And, can you give us some outlook like when can we expect this, issues, whatever that is to be resolved.
R. Shankar Raman : Shankar Raman here. Water projects in our current Rs 580,000 crore is possibly around Rs 60,000 cores, or Rs 50000-60,000 crores . I don't have the exact number, but between Rs 50,000 and Rs 60,000 crore s. Most of the water projects are apart from a few desalination plants that we are doing for customers in the Middle E ast, are State projects. And UP , Rajasthan, Bihar, Madhya Pradesh, these are the places where we are having . This program that the government launched on Har Ghar Jal , through the Jal Jeevan Missi on has been taking wa ter connectivity to several parts , like they did with the roads , like they're doing with the power connection . Water connection is the third important part, and this fits into the larger scheme of things of the government of India. So according to me, the projects get into difficulty for two reasons. One is Right of Way. The format of the contract so far involve , the contractor to negotiate for access. And when a private contractor negotiates for access, he doesn't have the same clout as government does, a s you can understand. And to that extent, even if I have 90% of the Right of Way secured, the last 10% always play front because they would like to extract the maximum price possible for that last stretch . And they know that with this, the right of way will be resolved. So this is one issue we've been representing to the government that the state should take a larger ownership in providing the right of way , like they did with roads .
I don't know whether you recall , roads when we started the right of way issue was with the contractors. And over time I think the Ministry of Surface Transport and MoRTH understood that right of way is to be provided . Today 90% of the right of way is provided when the proje cts are announced. So there's a sea change in the approach . We do expect because one arm of the government has experienced this and done this. The other arm we're representing hopefully will pick up a thread and if that happens I think substantial porti on of the reasons of delay is getting addressed.
The second portion is the State Budgets. Now every now and then, the states do go into election mode and priority changes. Even though, you can't expect a voter to come and vote with parched throats , but the fact is, I think the ability of the state government to rustle up required resources to complete the project on and off goes through some ups and downs . And that's why today the Central Government has started participating by contributing to the project p rogram by giving up to 50% share. So I think, if the trust deficit that exists between State and Centre in some of these funding reduces and it

becomes more predictable , I think water projects have long potential. India is still not well served, and there' s so much work to be done. If we can sort out the right of way and sort out the stability of funding, I think

water is a good business. In the past we have made lots of money in water. And water was actually quite a growth business

until the same we put ha lt and we said that unless the project becomes self-funding we're not going to sink in our capital.
Priyankar Biswas : So sir, would it be fair to say that, in case, let's say if I may use the words sort of stalling of the water project s were not there in India, could our NWC levels, which is right now at 11%, could have been much lower, I mean, and what levels it could have been maybe some idea so to understand the extent of the issue.
R. Shankar Raman : Maybe about 8 %, 9% could have bee n in the NWC.
Priyankar Biswas : Oh, that's quite a lot. Okay, so that was largely from my side.
Moderator: Thank you. Next question if from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : Yes, hi, sir. I just have one small question. When we target our Middle East pipeline, it's very heartening to see we are more leaning towards Energy and not towards Infra where you have Chinese competition also . But Mr. Sarma , maybe if you can help us, our Korean competitions are more going towards tie up based, on blue ammonia they are the more capable. How is L&T thinking of Energy projects, particularly on these new energy and new segments ? And are we looking at significant investments and tie ups as we take contracts in Middle East? That's my question, sir.
Subramanian Sarma : Okay . So, I think as I said before, over the last several years through our performance we have change d the perception of the customers and today we have been able to secure a larger contracts, ultra mega projects contracts a lso on our own merit . But you know the size and complexity of the project is increasing.
The customers are up in the game in terms of the size of the contract. I mean there have been some USD 8 billion contract s also awarded . So what we are looking at is also that having established ourselves , most of the Europeans as well as Koreans are willing to engage with us on large contracts and anything exceeding $5 billion . And, we are having a dialogue with them. So, if the size of th e project increases beyond a particular limit then we'll definitely explore opportunities for collaboration in consortium or joint venture with either Koreans or Europeans and that is something which is very possible now because there is a good dialogue g oing on . And that will sort of eliminate competition and perhaps we'll also have maybe more competitive solution . So that's how we see the things unfolding.
Amit Mahawar : Sure, sir, thank you. And small one for RSR maybe if you can help us, sir. F Y '26, '27 when we take larger orders, and as we execute more than 15 %, 18% growth in Middle

East, will be it entail a higher manpower deployment, sir, in high double digits for us .
That's my last question , sir. Thank you.
R. Shankar Raman : In the Middle East, yes, in fact, the deployment takes many shapes. One is physically getting more people out there to work. Second is to slowly engage the local contractors who are, su ppliers of workforce, to supply for us. And third is subcontracting. Because, not everything in that project needs to be done by us directly, we can also subcontract and manage the subcontractors. So consequently I think the deployment obviously will be hi gh. But we don't have to think in linear terms that we might have to put more Indian feet on the shores there.
Amit Mahawar : Got it, sir. Thank you, sir, and good luck.
R. Shankar Raman : All the best.
Moderator: Thank you very much . Ladies and gentlemen , we'll take that as the last question . I now hand the conference over to P. Ramakrishnan for closing comments.
P. Ramakrishnan : Thank you everyone for attending thi

s call. It was a pleasure to interact with all of you.
Good luck and wishing you all the very best, Jai Hind.
Moderator: Thank you very much. On behalf of Larsen & Toubro Limited, that concludes this conference. Thank you for joining us . You may now disconnect your lines. Thank you.

Call: Jul 2025

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"Larsen & Toubro Limited Q1 FY26 Results Conference Call "

July 29 , 2025

MANAGEMENT : MR. P. RAMAKRISHNAN – HEAD, INVESTOR RELATIONS ,
LARSEN & TOUBRO LIMITED

Larsen & Toubro Limited
July 29 , 2025

Sensitivity : This Document is Classified as "LNT Internal Use". Moderator: Ladies and gentlemen, good day, and welcome to the Larsen & Toubro Limited Q1 FY26 Results Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. P. Ramakrishnan from Larsen & Toubro. Thank you and over to you Mr. P. Ramakrishnan.

P. Ramakrishnan: Thank you, Sagar . Good evening ladies and gentlemen. A very warm welcome to all of you into the Q1 FY26 Earnings Call of Larsen & Toubro.

The "Earnings Presentation " was uploaded on the stock exchange and in our website at 6.45 p .m. I hope you had a good chance to take a quick look at the numbers.

As usual, instead of going through the entire presentation, I will take you through the "Important Highlights for the Quarter " in the next 30 minutes or so , post which, I will be taking the "Q&A. "

Before I begin the overview, the customary disclaimer :

The Presentation which we have uploaded on the Stock Exchange and our Website today including the discussions we will have on the call today, may contain certain forward -looking statements concerning L&T Group 's business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements. I would request you to go through the detailed disclaimer which is available in Slide #2 of our earnings presentati on that we have uploaded today.

The Indian economy demonstrated resilience in an otherwise volatile quarter punctuated by trade tariff stresses and conflicts in West Asia. Strong balance sheets, political and policy stability and demographic and digitalization opportunities continue to drive India 's growth story. Key high frequency indicators in the services and manufacturing sectors continue to signal a broad -based growth. The easing on inflation, a favorable monsoon and the RBI 's 50 basis points reduction in the repo rate that it recently concluded June meeting could further aid the growth momentum in the economy. In Calendar Year 2025, global economic activity is expected to remain subdued with an uneven momentum. Regional growth patterns have become fragmented as geopolitical and policy uncertainties reshape the economic outlook. The GCC led by Saudi Arabia is likely to continue the investment momentum in both the physical and digital Infrastructure in the region. However, any further escalation of conflicts in the region could pose increased uncertainty for financial markets, energy prices, investments, and global trade flows.

Larsen & Toubro Limited
July 29 , 2025

Sensitivity : This Document is Classified as "LNT Internal Use". Having covered the macro landscape, let me now “Share a Few Important Highlights for the
Quarter”:

• Coming to Order Book : During the quarter, our order book in the Projects and Manufacturing business portfolio has crossed the significant milestone of Rs.6 trillion.
• In the Hydrocarbon sub-segment, effective 1st April 2025, the business is carved out into offshore and onshore verticals. This strategic move will enable greater specialization, operational agility, enhanced capabilities and better client focus and relationship to navigate the e volving Energy landscape while continuing to deliver world -class solutions.
• With respect to the Green Energy Initiative of Larsen & Toubro, L&T Energy GreenTech, which is a wholly owned subsidiary, has won the bid to Build, Own and Operate (BOO) a 10-KTPA green hydrogen plant for Indian Oil Corporation for its Panipat refinery. The plant will supply green hydrogen to IOCL under a 25 -year BOO contract. Further, L&T Green Energy has established two wholly owned subsidiaries, Panipat Green Hydrogen Pvt. Ltd. for the IOCL Panipat project and L&T Green Energy Kan dla Pvt. Ltd. for developing other green hydrogen and derivative projects.
• Coming to L&T Semiconductor Technologies, which again is a 100% subsidiary : This Company along with a local partner has signed an asset transfer agreement with a Japanese corporation for the power module business acquisition.
• Coming to L&T Finance : The consolidated loan book of L&T Finance crossed the Rs .1 trillion milestone in Q1 FY26. The retail portfolio mix is now at 98% of the total loan book. The business also completed the acquisition of the Gold Loan business from Paul Merchant s Finance Pvt. Ltd. by way of a slump sale on the 9th of June. The Company has been assigned a debut investment -grade rating by international rating agencies. The one is of Standard & Poor ’s. The rating is BBB - long-term and A3 short -term issuer credit rating with a long -term rating as positive. Fitch has also given a long -term foreign currency and local currency issuer default rating of BBB minus with a stable outlook.
• With respect to L&T Hyderabad Metro : Effective 17th May, the fare per passenger has been revised upwards by 30% over the existing fares. However, a discount was extended to commuters which effectively resulted in a net increase of 20%.
• L&T achieved a significant milestone by becoming the “First Indian Corporate” to issue an ESG Bond under the SEBI ’s newly introduced ESG and sustainability linked bond framework. As part of this transaction, L&T is committed to environmental targets including a decrease in the intensity of freshwater withdrawal and emissions of greenhouse gases. These initiatives are in line with the Company ’s long -term sustainability goals of achieving water neutrality by 2035 and carbon neutrality by 2040. The Company issued Rs.5 billion in non -convertible debentures with a three -year maturity and a 6.35% coupon rate.

Larsen & Toubro Limited
July 29 , 2025

Sensitivity : This Document is Classified as "LNT Internal Use". We will now cover the “Various Financial Performance Parameters for Q1 FY26 ”:

• We are pleased to highlight that we have begun our final year of ‘Strat Plan’ FY26 on a strong note with a robust performance across the various financial parameters.
• Our Group order inflows for Q1 registers a YoY growth of 33%. On the back of a strong ordering momentum, the order book at Rs.6.13 trillion as on June ‘25 has registered a substantial growth of 25% on a YoY basis. Aided by a strong execution momentum from several businesses within the Projects and Manufacturing portfolio, the group revenues for the quarter registers a growth of 16% on a YoY basis. Our margins in the Projects and Manufacturing portfolio at 7.6% have remained stable on a Yo Y basis.
• As on June 2025, our Net Working Capital to Revenue stood at 10.1%, reflecting a strong improvement of 380 basis points on a YoY basis. Similarly, our Return on Equity on a trailing 12 -month basis as on June ‘25 is at 17%, improving by 230 basis points on a YoY basis.

I will now move on to the “Individual Performance Parameters :”

The first one is Order Inflow :

• Our group order inflows for Q1 FY26 at Rs.945 billion registered a YoY growth of 33%. Within the group order inflows, the Projects and Manufacturing businesses secured order inflows of Rs.766 billion for Q1, reporting a robust growth of 41% over the corresponding

period of the previous year.
• Our Q1 order inflows in the Projects and Manufacturing portfolio are mainly from Infrastructure and CarbonLite S olutions businesses. During the current quarter, our share of international orders in the Projects and Manufacturing portfolio is at 48% as comp

ared
to 40% in Q1 of last year.
Moving on to “Prospects Pipeline ”:
• We have a reasonably strong prospects pipeline of Rs.14.8 trillion for the remaining nine months of the current financial year as compared to Rs.9.1 trillion for the same time last year. This represents a sharp increase of 63% on a YoY basis. The increase in the prospects pipeline is mainly led by Infrastructure and Hydrocarbon segments. The broad breakup of the overall prospects pipeline for the remaining nine months is as follows :
o Infrastructure Rs.7.97 trillion vis -à-vis Rs.6.03 trillion last year, representing an increase of 32%.
o Hydrocarbon Rs.5.78 trillion vis -à-vis Rs.2.17 trillion last year, representing an increase of more than 100%.

 o Carbon Lite S olutions Rs.0.55 trillion vis -à-vis Rs.0.45 trillion last year, representing
a modest increase of 22%.
o The Green and Clean Energy order prospects is now at Rs.0.21 trillion vis -à-vis Rs.0.10 trillion last year. This increase is primarily led by gas to power related opportunities outside of India.
o The Heavy Engineering and the Precision Engineering Systems combined together, the order prospects is at Rs.0.30 trillion as compared to Rs.0.31 trillion last year.
Moving on to the “Order Book ”:
• The order book as of June ‘25 is at Rs.6.13 trillion , up 25% as compared to June ‘24.
• The Projects and Manufacturing order book has a balanced geographic mix with 54% of the order book coming from domestic markets and 46% from international markets. Out of the international order book of Rs.2.83 trillion, around 82% is from Middle East and 18% is from the rest of the world. In our view, the various countries in Middle East will continue to focus on investments in oil and gas, Infrastructure , industrialization, and Energy transition despite the volatile oil prices in the near -to-medium term.
• The breakdown of the domestic order book of Rs.3.30 trillion, which I said 54% of the overall order book as of June, comprises of Central Government sponsored orders of 14%, State Government orders of 25%, orders coming from PSUs or state -owned corporations 34% and private sector constituting the remaining 27%.
• 91% of our total order book is from Infrastructure and Energy . Similarly, 13% of the order book is funded by multilateral agencies. You may refer to the presentation slides for further details.
• No orders have been deleted from the order book during this quarter. As of June ‘25, the slow -moving orders constitute around 2% of the order book.
Coming to “Revenues ”:
• The group revenues for Q1 FY26 at Rs.637 billion registered a strong YoY growth of 16%. International revenue constituted 52% of the revenues during the quarter.
• The strong execution momentum in Hydrocarbon, Precision Engineering & Systems and Heavy Engineering within the Projects and Manufacturing portfolio drove the overall group revenues for the quarter.
• Within the overall group revenues, the revenues for the Projects and Manufacturing business for Q1 FY26 is Rs.458 billion , up by 19% over the corresponding quarter of the previous year.
Moving on to EBITDA margin:

 • Our group level EBITDA margin without other income for Q1 FY26 is 9.9% vis -à-vis
10.2% in Q1 of the previous year. The decline in the EBITDA margin is primarily due to the change in the revenue mix , that is a higher share of revenues coming from the Projects and Manufacturing business portfolio. The detailed breakup of the EBITDA margin business -wise including other income is given in the annexures to the Earnings Presentation .

• You would have noticed that the EBITDA margin in the Projects and Manufacturing business for Q1 FY26 is at 7.6% an

d is comparable as stable vis -à-vis Q1 of the previous
year. I will cover the details a little later when I talk about the performance of each of the segments .
Our reported PAT for Q1 FY26 is at Rs.36 billion , which is up 30% over Q1 of last year. The strong growth in PAT is reflective of improved activity levels and efficient treasury management.
The group performance P&L construct along with the reasons for major variances under the respective function heads is provided in the Earnings Presentation . You can kindly go through the same for further details.
Coming to Working Capital :
• Our NWC -to-sales ratio has improved from 13.9% in June '24 to 10.1% in June '25 mainly due to an improvement in the GWC -to-sales ratio again backed by strong customer collections during the past four quarters.
• Our group level collections excluding the Financial Services segment for Q1 FY26 is Rs.603 billion as compared to Rs.459 billion in Q1 FY25 , registering an increase of 31% on a YoY basis.
• On the back of a strong focus on customer collections, our cash flow from operations excluding Financial Services for Q1 FY26 has been robust at Rs.62 billion vis -à-vis an outflow of Rs.14 billion in Q1 FY25.
• We have added a slide on the group cash flows excluding Financial Services in the annexure alongside the reported cash flow slide at the group level to give more clarity on the cash flow performance excluding of L&T Finance.
Finally, the trailing 12 -month ROE for Q1 FY26 is 17% vis -à-vis 14.7% in Q1 FY25, an improvement of around 230 basis points.

 Very briefly, I will now comment on the performance of each business segment before we give our
final comments on guidance for FY26 :
Infrastructure :
This segment secured orders of Rs.410 billion for Q1 FY26 , registering a growth of 2% on a YoY basis. International orders constituted 69% of the total order inflow. During the current quarter, the orders were mainly received in Renewables, Power Transmission & Distribution, Buildings, and Factories and as well as Minerals and Metals businesses.
Like I mentioned earlier, the order prospects pipeline for infra for the next nine months is Rs.7.97 trillion vis -à-vis Rs.6.03 trillion during the same time last year, representing an increase of 32%. This prospects pipeline of Rs.7.97 trillion comprises of domestic prospects of Rs.5.04 trillion and international prospects of Rs.2.93 trillion. The sub -segment breakup of total order prospects in "Infrastructure Segment " is as follows : Transportation Infra constitutes 19% of the total order prospects, Heavy Civil Infrastructure 17%, Water and Effluent Treatment 17%, Power Transmission & Distribution 14%, Renewables 14%, Buildings and Factories 11% and Minerals And Metals 8%.
The order book for this segment is at Rs.3.7 trillion as of June '25. The book -bill for Infra is around 29 months.
Q1 revenues at Rs.288 billion registered a growth of 7% over the comparable quarter of the previous year. Our EBITDA margin in this segment was at 5.7% this quarter as compared to 5.8% in Q1 FY25. The Infrastructure Segment margin continues to remain a little soft due to higher cost pressures in some projects especially related to the segment of Water mainly driven by time overruns culminating in prolonged project completion and consequent impact on the margin.
Moving on to the next segment , "Energy Projects ," this comprises of Hydrocarbon , Carbon Lite Solutions and the Green and Clean Energy Businesses . The Green and Clean Energy business within the Energy segment is in the incubation stage and is yet to meaningfully contribute to the segment numbers. During the quarter , the order inflows in this segment were robust at Rs.314 billion as compared to Rs.88 billion in Q1 FY25. Hydrocarbon segment or

der inflows benefit from multiple
onshore and offshore packages while receipt of multiple BTG packages improves the Carbon Lite solutions order book. Whereas we have received the letter of award for the BTG packages during the quarter, we are yet to receive formal client confirmation for announcing the details of the order.
Moving on to Prospects Pipeline : We have a strong order prospects pipeline of Rs.6.54 trillion for this Energy segment for the remaining nine months comprising of Hydrocarbon prospects of Rs.5.78 trillion, CarbonLite S olutions of Rs.0.55 trillion and the Green and Clean Energy prospects of Rs.0.21

trillion. The Green and Clean Energy prospects comprise of Rs.0.17 trillion of gas to power projects.

 Whereas CarbonLite Solutions prospects are largely domestic , around 95% of the Hydrocarbon prospects as well as 81% of the Green Energy prospects are International.

The order book of this Energy segment at Rs.1.86 trillion as of June '25 with the Hydrocarbon order book at Rs.1.37 trillion and CarbonLite s olutions at Rs.0.49 trillion. The Q1 FY26 revenues for this segment at Rs.125 billion registers a robust growth of 47% driven mainly by the execution ramp up across domestic and international projects of Hydrocarbon whereas revenues in the CarbonLite Solutions is reflective of early stages of the executable order book.

The Energy segment EBITDA margin in Q1 FY26 is at 7.3% as compared to 8.7% in Q1 FY25. The lower margin in Hydrocarbon is primarily explained by an execution ramp up in a couple of international jobs having competitive margin and this mix may remain the same for FY26. At this stage, we wish to inform you that the hydrocarbon margin print for Q1 is along budgeted lines and the same has been baked in the P&M margin guidance for FY26 that we gave at the start of this year.

We will now move on to "Hi-Tech Manufacturing " segment which comprises of the Precision Engineering and Systems and Heavy Engineering businesses . The lower order inflow in Q1 FY26 is due to order deferrals in the Heavy Engineering business and a high base of Precision Engineering orders in the previous year. The order book of this segment is at Rs.392 billion as of June '25. The order prospects pipeline for the next nine months in this segment is around Rs.303 billion comprising of Rs.215 billion of Precision Engineering prospects and the remaining Rs.88 billion is from the Heavy Engineering business. During the quarter, robust execution momentum was witnessed across both the businesses. The lower margin in Precision Engineering is reflective of major jobs being in its early stages of execution whereas operational efficiencies aided the margin improvement in the Heavy Engineering portfolio.

Moving on to the next segment, "IT and Technology S ervices" which comprises of the two listed entities LTI Mindtree and L&T Tech nology Services and as well as of newly incubated businesses of Digital Platforms, Data Centers, and Semiconductor Design . The revenues of this segment at Rs.126 billion in Q1 FY26 register a growth of 10% which is largely in line with the prevailing global macro environment. The segment margin variation vis -a-vis previous year is mainly explained by the cost incurred towards the newly incubated businesses. I will not dwell too much on this segment as both the companies in the segment are listed entities and the detailed fact sheets are already available in the public domain.

We will move on to L&T Finance Ltd : Here again the detailed results are available in the public domain. But summing up, Q1 witnessed a strong retail disbursement continuity. The Financial Services business achieved 98% retailization of its loan book in June '25 well ahead of its "Lakshya '26" targets. The ROAs remain healthy at 2.37

% for Q1 FY26 and adequate capital is available in the balance sheet to pursue growth in the near -term.

 Moving to the "Development Project Segment ," this segment includes the power development business comprising of N abha Power and Hyderabad Metro . Bulk of the revenues in the segment are contributed by N abha Power. The lower PLF in the current quarter impacted revenue and margin in Nabha whereas fare hikes during the quarter led to revenue and margin improvement in Hyderabad Metro. The average fare per passenger has increased from Rs.38 in Q1 FY25 to Rs.43 in Q1 FY26. The average ridership during the quarter was at 4.17 lakh passengers per day as compared to 4.32 lakh passengers per day in the same period of the previous year. The Hyderabad Metro at a PAT level posted a loss of Rs.2.08 billion in Q1 FY26 as compared to a loss of Rs.2.14 billion in Q1 FY25.

Moving on to the "Other Segment ," this segment Comprises Real ty, Industrial Valves, Construction Equipment and Mining Machinery, Rubber Processing Machinery and a Residual Portion of our Smart World and Communications Business . The Q1 revenue gr ew by 1% of the corresponding quarter of the previous year mainly contributed by a higher handover of residential units in the Realty business whereas lower machinery sales impacted the Industrial Machinery and Products performance. The segment margin improvement was primarily due to a higher EBITDA contribution on an absolute basis from the Realty business and a favorable sales mix in the Industrial Machinery and Products segment.

Before we conclude, let me cover the guidance on the various parameters for FY26 that we detailed out in the Earnings Call for Q4 and last year in the month of May '25. Our guidance for FY26 remains unchanged. We expect our group order inflows and group revenues to grow at 10% and 15%

respectively for FY26. Our Net Working Capital -to-Revenue guidance for March ‘26 remains at
12%. With respect to the margin in the Projects and Manufacturing portfolio, we continue to target
the 8.3% to 8.5% range for the full year FY26.
Thank you , ladies and gentlemen for the patient listening. With this , I conclude my summary of the
Q1 performance of L&T and now we can start the Q&A.
Moderator: We will now begin the question -and-answer session. Our first question comes from the line of Mohit
Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening , sir, and thanks for the opportunity. Congratulations on a very good quarter. My first
question is on the order inflow in this quarter. I just want a clarification. Have you booked this Ultra
Mega order which you announced today? And also another clarification ; have you booked the green
hydrogen order inflow in the quarter?
P. Ramakrishnan: Mohit, can you repeat the second question?
Mohit Kumar: LTEGL is executing one 10,000 ton per annum green hydrogen . Have you booked any order related
to the internal green hydrogen project?

 P. Ramakrishnan: Okay . So, the answer to the second
question is a “no.” And the answer to the first question is also a
repeat “no.”
Mohit Kumar: Okay sir. My second question is on the domestic BTG order which you received in this quarter. Does
it pertains to one particular customer or is it from more than one customer?
P. Ramakrishnan: The order has been received from an independent power producer.
Mohit Kumar: Understood sir. My last question is, are the international prospects moving as expected in
Hydrocarbon or there has been some major shift? I am asking this question because the Hydrocarbon
prospect has declined from Rs .7.5 trillion to Rs.5.8 trillion on a Q oQ basis in hydrocarbon.
P. Ramakrishnan: O

kay . So, the Hydrocarbon prospects pipeline I think more or less has been as per our own
understanding. I would also like to point out and it is available in the public domain, there has been
significant amount of ordering that has accrued in the Middle East with respect to Hydrocarbon
projects. So, as of March, we had given the order prospects pipeline at Rs .7.5 trillion and now as of
June, it is at Rs .5.8 trillion. This is what I communicated. So, the drop is Rs .1.7 trillion and out of
which we have received almost I would say Rs 8,000 crore.
Mohit Kumar: Understood sir. Thank you. Best of luck.
Moderator: Thank you. Our next question comes from the line of Sumit Kishore from Axis Capital. Please go
ahead.
Sumit Kishore : Thanks for the opportunity. My first question is related to your core business margin guidance. Is
there a slight change from the 8.5% guidance that you had given for FY26 , an increase of 20 basis
points to 8.3 % to 8.5% or there is no change?
P. Ramakrishnan: There is no change , Sumit. If you recall, on the 8th of May, what we spoke about that we are targeting
an improvement of 20 basis points, and I still want to maintain that we will be in that range of 8.3 %
to 8.5 %.
Sumit Kishore: Got it. Sir, can you segregate the impact of the competitively priced jobs in Hydrocarbon on margin
for the segment along with the stage of execution of jobs which was attributed as one of the reasons
where you had not crossed margin recognition threshold in large jobs as the reason why Hydrocarbon
margins had declined in FY25? Also, with your comment that your Q1 margin for Hydrocarbons was
on expected lines and is baked into margin guidance for FY26 , so i s that something we should be
extrapolating as Q1 margin for Hydrocarbons being the new normal for the fiscal or this is likely to
evolve through the fiscal?

 P. Ramakrishnan: Okay , Sumit , when we gave the guidance
of the target of 8.5 % for FY26, I did mention in the call
that the first two quarters could be the margins in the P&M portfolio would be a little subdued. Now
subdued means in this instant case the margins have been stable like of the entire portfolio of 7.6%
as compared to ag ain 7.6% in the Q1 of the previous year. Now w hen we gave this guidance, it is
based on the fact that the mapping of the projects in the Hydrocarbon segment, the way it will plan
out in the current year has been considered in the overall 8.3 %. So, the 7.6 % that we have printed for
Q1, factors this overall progress of execution of the jobs which were a little competitive price that
were awarded in the earlier part maybe two or three years back and which is in the current year into
full execution.
Sumit Kishore: Okay. And can you please explain the competitively bid price jobs having impact on margins in Q1
along with stage of execution of jobs?

P. Ramakrishnan: So, the progress of jobs as I mentioned, the jobs that we secured in '21-22, they are going into peak execution in the current year. So, the hydrocarbon margins is reflective of those progress of execution and in a way that is factored in our overall P&M guidance of 8.3 %.
Sumit Kishore: Okay. 8.3% to 8.5 %?
P. Ramakrishnan: 8.3% to 8.5 %. Correct.
Sumit Kishore: Thank you.
Moderator: Thank you. Our next question comes from the line of Aditya Bha rtia from Investec. Please go ahead.
Aditya Bhartia: Hi. Good evening, P .R.
P. Ramakrishnan: Good evening.
Aditya Bhartia: My first question is on the merger between Subsea7 and Saipem that we are kind of hearing about. I understand that we used to have the LTA contract also with Subsea7. So, just wanted to understand if it can have any implications for us ? How should we see that?
P. Ramakrishnan: Whatever contracts that we have along with the counterparty that you mentioned w

ill be as per the plan. There will not be any impact.
Aditya Bhartia: Understood, sir. And how does it go from here on? Do we also need to renew our LTA contract with Saudi Aramco?

 P. Ramakrishnan: The discussions are happening, and I think in due course of time we will keep you informed on the progress.
Aditya Bhartia: Perfect, sir. That is helpful. And my last question is on Nabha P ower. There have been some media articles about the project likely to be sold to Torrent. So, just wanted to understand if there is anything that you would like to add to that ?
P. Ramakrishnan: So, same question we need to ask the media only. So, let me tell you that as part of our overall plan which we have been mentioning that we keep on evaluating all strategic opportunities. But at this juncture, there is nothing we are able to disclose or anything to tell. So, no comments further.
Aditya Bhartia: Sure, sir. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Atul Tiwari from JP Morgan. Please go ahead.
Atul Tiwari: Yes. Sir, thanks a lot and congrats on a very strong quarter yet again. Two questions. So, one is on the Private Sector order book in the domestic orders , I believe the proportion has increased to now 27%. Is all of it being driven by Power BTG orders only or are you seeing some upt ick in activity from any other sector on the private side?
P. Ramakrishnan: Okay. So, optically, yes, that private sector BTG orders has actually moved the needle. But let me also tell you, we are seeing substantial traction in the construction side of the segment, especially with respect to the Buildings and Factories, where multiple opportunities are coming from the pure commercial real estate, data centers, hospitals being put up by the private sector, and a couple of Minerals and Metals opportunities as well. Only thing is large scale industrial opportunities or investments that are yet to happen, but definitely the mood or the sentiment is far more positive than what it was possibly in June '24.
Atul Tiwari: Okay. Good to hear, sir. And the second question is on Others segment s margin. There is quite a bit of an increase from 23% -odd to 33%. So, anything specific to call out here?
P. Ramakrishnan: No, let me tell you that Real Estate margins get clocked in or revenues get clocked in only on flat owned handovers. To that extent, you can have some quarterly variations in this segment because of the reporting constraints in the Real Estate business.
Atul Tiwari: Okay. Thank s a lot .
Moderator: Our next question comes from the line of Amit Anwani from PL Capital. Please go ahead.

 Amit Anwani: Thanks for the opportunity. First question on the Hyderabad metro . You did talk about 30% fare increase and the average fare has gone up from Rs.38 to Rs.43 almost by 12 %-13%. But on the other side, I think if I am right, I think the ridership has gone down to 4,17,000 YoY, a nd this number has been kind of consistently been there for past seven, eight quarters, barring one or two quarters when we did a higher number. Just wanted to understand how one should think of with respect to breakeven in Hyderabad metro , about ridership as well , and earlier we did talk about the refinancing 2-3 years back . Considering that Rs.1,400 crore s of interest cost and Rs.300-400 crore s of depreciation , how one should think of the breakeven for Hyderabad Metro ?
P. Ramakrishnan: Okay. So, thanks Amit. Okay, let me give you a broad construct. So, I will cover the Hyderabad Metro ridership, which was averaging at 4.32 L per day in Q1 last year and it was again 4. 31L per day in Q4 of last year. It has dropped to 4.17 L per da y is pr

imarily because of the fare increase. And
we do believe that this is temporary, because at the end of the day, the fare increase of roughly Rs.5 from Rs.38 average to Rs.43 after taking that 10% discount to the 30% increase that we had. I think it is a question of time when the ridership will again start inching back to 4.4, 4.5 levels. Now, the ridership revenue on Q1 of last year at 4.32 L passengers per day with average Rs.38, the revenue metro fare ridership was around Rs.150-odd crores. Now, despite a lower ridership at 4.17 L for the current quarter, but with an additional increase of Rs.5 in the fare, the revenues has actually gone up by another Rs.13 crores to touch Rs. 163 crores. The EBITDA for Hyderabad metro was Rs.101 crores Q1 previous year , now, it is at Rs.112 crores in Q1 of the current year. The average depreciation amortization ranges between Rs.75 to Rs.76 crores per quarter. And at the current level of roughly 12,500 -odd crores of debt, the Hyderabad metro interest averages around Rs.240 crores to Rs.250 crores. And that is how the overall construct when I gave you the numbers that the loss has been consolidated in L&T books at Rs.208 crores in Q1 of current year as compared to Rs.214 crores of Q1 of the previous year. Now coming back to overall PBT break even I guess this has been also communicated last time that the ridership should be going around 700,000 ridership per day and the debt levels which is today around Rs.12,000 -odd crores has to be brought down to Rs.8,000 crores. And the plan to reduce the debt levels from Rs.12,000 crores to Rs.8,000 crores is a combination of two things. We are yet to get around Rs.2,100 crores of the State Government interest -free loan assistance and also TOD monetization we expect it to happen over the near term, which will give us another Rs.1,500 crores to Rs.2,000 crores. Now, if you have to do with the current levels of debt at Rs.12,000 crores, the breakeven ridership, I think is too high, that is almost at 12 lakh passengers per day.
Amit Anwani: Understood, sir. Second question is on the Middle East prospect. For the remaining nine months, if you can highlight now what kind of projects which are there in the pipeline, whether it is more of Hydrocarbon, Renewable or LNG terminal or there is some color with respect to the proportion of orders in the Middle East market ? And second is that over the past two years, the international dominance with respect to order inflow and domestic has been relatively kind of not growing with

 respect to prospect. Some color, are we seeing any large scale buildup of domestic order prospect ,
not this year, maybe with medium -to-longer term perspective, since election and all the major events are over . So some color on when are we expecting that the domestic pipeline will also show strong strength ?
P. Ramakrishnan: Okay. So, let me take the second question first. I think the domestic prospects pipeline has been quite robust. But when it is compared to the movement of L&T ’s international prospects pipeline, I think that is the way it seems to be relatively coming off. But we do see a strong set of public spends happening and I just responded to a previous question. The private sector in some of the segments is actually driv ing a lot of capex spends and we expect the momentum to continue. Coming to the international prospects pipeline, as I mentioned of the Infra segment, the total prospects pipeline of Rs 7.96 trillion, the international prospects aggregate to almost Rs 2.93 trillion, largely led by Renewables, Power Transmission & Distribution, and some amounts of almost Rs 0.2 to 0.3 trillion across the other Infrastructure segments. So, that is the way I will put it across. Coming to Hydrocarbon, total order prospects for the nine months, I

did communicate at Rs 5.78 trillion, out of
which I would say 5.51 trillion itself is international. Here again, it is, I would say, 70 to 80% coming from the Middle East, comprising of a major portion coming from offshore and onshore. Besides this, this Rs 5.51 trillion of international prospects also includes offshore wind at 1.31 trillion, which is not necessarily Middle East.
Amit Anwani: Understood. Thank you, sir. Thanks for taking my question.
Moderator: Thank you. Our next question comes from the line of Vinod Chari from Phil lipCapital. Please go ahead.
Vinod Chari: Yes, hi. Thanks for the opportunity, PR. Your order book has now crossed Rs.6 lakh crores. I just want ed to understand, is there a peak order book that you look at internally, beyond which execution begins to get cumbersome , any specific number that you have in mind on the order book?
P. Ramakrishnan: A good question, but it is a good challenge to deal with, Vinod. Okay. So, let me put it like this. I think it is not proper of me to communicate or say that the threshold is Rs.7 lakh crore s or Rs.8 lakh crore s for L&T. It does not work that way because we have to see the capacity available across the multiple segments that we have. So, it is constrained by those areas. And obviously, as we keep looking at the prospects pipeline and if we find that the prospects pipeline of a particular su b-segment continues to be quite strong, L&T has always been building up capacities in advance to address these prospects.
Vinod Chari: Sure. Thanks, PR. The second question I had was on your E2E acquisition. So, you plan to treat it as a standalone asset or will it be like a building block for our Infrastructure solutions? Because a lot of

 global engineering companies are moving towards such kind of offerings. So, what is our take on
this?
P. Ramakrishnan: So, the E2E acquisition has been done primarily to complement our start into the data center business. Okay ? So, it should not be considered as if L&T is doing a standalone acquisition. And it is a complement because instead of trying to organic build up the practices for ensuring better data center offerings, we have decided to partner with E2E. So, we will leverage their competencies while we address a more tech -focused data center solutions to Indian clients , and we thought that it would be better to do that , and to ensure that it is complementary and it is working as a collaboration . Both the companies decided that we will take up a strategic investment. And as we speak now, we hold 19% in the equity stake of that Company .
Vinod Chari: Sure. So, we have now started seeing some amount of retrenchment happening in IT services. And our long -term complaint has always been lack of engineers because most engineers want to go into IT. So, now do you see manpower supply structurally improving for capital goods companies or industrial companies, particularly for manufacturing?
P. Ramakrishnan: Okay. I think what I would say is, of course, we have challenges in terms of building up appropriate technical skills within the Company to address the growth momentum that we are seeing both India and abroad. That has been there. With some amount of headwinds, if you hear about the recent news articles, if that is the way to conclude, I think it is premature. Let me tell you both within the entire group, because as a group, we are also looking at engineers which deliver solutions in our basic Projects and Manufacturing portfolio and also addressing the requirements of IT and technology services companies. I think L&T is spending a lot of, I would say, significant amount of investments to ensure that all our engineering talent are in a position to either get built in the IT services domain or get deployed in the varied project

s that we are executing in the projects part of the segment.
Vinod Chari: Sure. Thanks, PR. Thanks for the response. I will come back in the queue.
Moderator: Thank you. Our next question comes from the line of Pulkit Pat ni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, thank you for taking my question. I have just one book -keeping question. When I look at your presentation, the corporate EBITDA is a very large number this time at Rs.520 crores. Historically, this number has been in the Rs.125 to 150, 160 crore s range. Anything exceptional that has included there?
P. Ramakrishnan: It is largely treasury income arising out of better yields. That is what I am talking about, better efficient funds management, both at the parent and L TIMindtree , because these two companies have substantial amount of temporary cash surplus, and it is because of a higher quantum of temporary

Sensitivity : This Document is Classified as "LNT Internal Use". surplus deployed and better yields , I think the other income has moved up by almost Rs.400 crores
in the standalone Rs.200-odd crores and Rs.200 crores across the other entities.
Pulkit Patni: Sure, sir. Because it is 25% of our core PAT , so I was wondering. Great. Thank you. That is it from my side, PR. Thank you.
Moderator: Thank you. Our next question comes from the line of Sh irom Kap ur from Jefferies. Please go ahead.
Shirom Kapur: Hi, thanks for the opportunity. Just a bookkeeping question. Could you break up your overall domestic versus international prospect pipeline for the balance nine months?
P. Ramakrishnan: I think this one I covered. Okay, let me put it like this. I gave a total order prospects of Rs 14.81 trillion at the P&M level. The domestic prospects pipeline aggregate to Rs 6.13 trillion and international Rs 8.68 trillion. Okay? Did I answer your question?
Shirom Kapur: Yes, yes, I just wanted the overall breakup. But if you have any further breakdown of that -?
P. Ramakrishnan: I think I gave it to you, Sh irom, while I covered each segment. I gave the order prospects where I gave a breakup of domestic and international. So, this was just to address the total order prospects of Rs 14.8 trillion , which I said at the start of the call, broken up into Rs 6.13 trillion for domestic and international Rs 8.68 trillion . Since I addressed international 8.68 trillion a little time back, I will give you the segment wise breakup of domestic ; infra contributes to Rs 5.03 trillion domestic.
Hydrocarbon is Rs 0.26 trillion domestic , CarbonLite is Rs 0.55 trillion domestic , and both the Hi-Tech Manufacturing sub-segment s of HED and Precision Engineering , Rs 0.24 trillion , and Green and Clean Energy around 0.04 trillion , that adds up to Rs 6.13 trillion.
Shirom Kapur: Noted. Thank you so much for that breakup. And just another question. I know you addressed that you are seeing certain on the private side your capex picking up in certain segments. But is that going to be primarily a driver of domestic order flow going forward? Just basically want to understand the on-ground reality of the overall macro environment in India and how Capex is shaping up there ?

P. Ramakrishnan: Okay. In the near term, if you take a domestic order inflow as X, I think even for the current year, we can expect the share of government, State, Centre , plus Public Sector Corporations to be in the range of 75% and Private to be 25%. Sometimes there can be variations because one important thing which has come up in the private sector is the private sector coming to invest into the coal -based power plant opportunities. So, any further order wins could potentially tilt the ratios maybe for that quarter, for that period. But structurally, India is still, as we see it, we will continue to be led by government ordering, which is almost 75% -odd.
Shirom Kapur:

Great. Thank you so much.

 Moderator: Thank you. Our next question comes from the line of Aditya Mongia from Ko tak Securities. Please go ahead.
Aditya Mongia: Good evening, everyone, and thanks again for the opportunity. PR, the question that I had was more on your unchanged guidance for working capital. Now, we have seen 12% become 11% in the last two years, and the guidance for 12% again, does not tally well with the cash flows that you were trying to kind of highlight in the first quarter wherein t here is a net positive number versus an outflow last year. Just trying to get a sense of why has the guidance as of now been maintained at 12% versus 11% YoY when such large moves are happening on collections?
P. Ramakrishnan: Okay, so, Aditya, the collections, in fact, for the last, I would say, almost two years across eight to 10 quarters, I think the Company has been doing really well, partly because of timely execution, timely billing and customers also making payments of time , and also, part of the orders getting executed through international orders where the payment terms are a little more better as compared to domestic orders. Having said this, we gave the guidance in the month of May 12% for the full year. We are just in the month of July . We just completed the first quarter. First quarter has been good. So, at this juncture, we would like to maintain the guidance of 12%. Hopefully, by the close of the year, maybe when we close out the results for October or possibly as late as even Q3, we will see at that point of time whether we need to upgrade this guidance to a better level.
Aditya Mongia: Understood. The second question that I had was, I am just trying to kind of gauge the hit rates in domestic and international in 1Q. It seems that the hit rates international appear to be a bit on the lower side, low double digits, where as the hit rates in domestic are larger. I am just trying to get a sense whether there is more keen competition that is now being visible on the international side of things and how to think through the hit rates incrementally that remains on the international side?
P. Ramakrishnan: So, Aditya, you cannot ask hit rate basis one particular, I would say quarter, okay? Because it is possible that if you get one large contract in one particular quarter, we will improve the hit rate relatively speaking. So, I think it is more a statistical data point for a quarter. Structurally, I think we can talk about, when we talk about order prospects at the start of the year, the hit rate in a reasonably modest year ranges between 20 % to 25%. On a very good year, it can be 25%. But av erage, if you see L&T 's numbers of the last five years, the order inflows that we have reported for the end of the year as compared to the order prospect at the start of the year, the hit rate has been ranging between 18% to 25%.
Aditya Mongia: Understood. The last question that I had was on this division into onshore and offshore in the Energy portfolio. Now, you gave some co lor on offshore wind, but if you have to kind of classify onshore and offshore as portfolios within the Energy segment, how would you compare them in terms of comparative intensity and risks and, let 's say, so -called hit rates, given L&T 's capabilities?

 P. Ramakrishnan: So, first and foremost, the reason to create two separate verticals inside the Company under Hydrocarbons was primarily to give increased focus because both the type of jobs has been rewarding as well in terms of good amount of order inflows and also the prospects of continuing spends in those segments by the oil majors, largely in the Middle East. That was one of the reasons we created that and so that it also builds up a better connect with the client ecosystem because the client ecosystem also has a separate project management team for both onshore and offshore. So, it is just to ensure that we t ry to better connected and build up focused expertise. I think that is the way we are looking at. And because of the size of the opportunities in both the segments continue to be robust. That was the reason that we have done this. I did not get the second part of your question.
Aditya Mongia: Just trying to get a sense that since offshore is a new area of work, and we know less of the competitive intensity, should we be assuming similar hit rates or how to think through that , and the

risks associated with the same, ye s, in terms of business risks ?
P. Ramakrishnan: So, Aditya, let me clarify. Offshore is not a new area for Larsen & Toubro. We have been doing a lot of platforms in the offshore, especially with many of the Indian corporates, you know whom I am referring to. It is not a new, I would say, expertise that we have built up. It is the only thing that a large part of these opportunities are now coming from the Middle East in this area. And also I would like to tell that there are fewer companies which are common as competition in both the segm ents. So, if you really ask me what we see common in both the segments will be five or six companies from a number perspective, which cater to both onshore , offshore.
Aditya Mongia: Understood. That answers my question very well. Thank you, PR, for your response. Those are my questions.
Moderator: Thank you. Our next question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal : Hi, P .R. Congratulations on a great quarter. So, my first question is on the order backlog of Rs 6.13 trillion now. So, while the inflows have been strong, order backlog growth is strong, but still the revenues are not catching up. So, if you can give us some color on the last two years order inflow how the book -to-bill is behaving, is it shortening, elongating, and whether it will catch up in growth in coming quarters?
P. Ramakrishnan: So, apart from one or two segments, I would say that the execution momentum in most of the segments have been in line with the stipulated terms and conditions under the contract. So, we have not seen any slowdown. Like I did convey this in the May call tha t some amount of slowdown was witnessed in the water and effluent treatment part of the business primarily because of some fund allocations drop or I would say scarcity of fund availability under the Jal Jeevan Mission projects. I

 think barring for one or two segments in the overall P&M portfolio, the rest of the execution is happening at its planned trajectory.
Parikshit Kandpal : But is there any elongation in book -to-bill for the new orders , much lower than the order inflow and order book growth ?
P. Ramakrishnan: I think I would say that it is roughly ranging between 29 months to 3 years. I think that is the average book -and-bill. Barring for the segment that I referred to , we have not seen any sort of headwinds that prevent the execution. They are as per planned schedule.
Parikshit Kandpal : Second question was on NWC. Last quarter, you alluded that because of J JM, if the payments would have come on time, the NWC should have been better. Do you think this quarter is reflective of the collection or do you think that still if the outstanding would have been recovered up to your expectation, the NWC would have been m uch better versus what you have reported?
P. Ramakrishnan: Okay. Let me tell you, of course, the Jal Jeevan projects, some amount of funding has resumed. But I do not think it has come down to complete normalcy. We do see some amount of fund

-related
constraints in some of the states where the Jal Jeevan Mission projects are getting executed. So, if you really ask me, the overall net working capital of the P&M segment today is at almost 8.5%. Now, if I just exclude water as a segment, there can be a further improvement of almost 75 basis points.
Parikshit Kandpal : Okay. So, you have still some headroom cushion as the receivables come in on time. Okay. Last question is on the Real Estate side. So, what has been the order booking of the pieces this quarter? And as a year as a whole, how are you looking at this? What kind of capital allocation you are looking at? Because this segment seems to be promising, but it gets hidden in your SOTP or your overall business. How are you thinking about this more on mid -to-longer term?
P. Ramakrishnan: Okay. So, for the Realty business, the order inflow for the quarter was around Rs.1,000 crores and the revenues was around Rs.500 crores. In terms of the overall perspectives, in terms of residential units that we have launched is around 13,000 units, out of which handed over is 6,200 units . Sold but yet to be handed over is around 5,000 units . And we have unsold inventory of around 1,700.
Parikshit Kandpal : And more on the longer term, how do you think this order book of 1000, I mean, we have heard in the press that this number can significantly multiply over the years, but internally, how do you think on an annual basis that the Rs.5,000 to 6,000 crores of pre -sales, if they are going up to Rs.10,000, 12,000 crores in the next two years, how do you think about this segment?
P. Ramakrishnan: Okay. So, as far as the Real Estate business is concerned, we are focusing on a lot of real estate developments, primarily in Mumbai, Navi Mumbai, Chennai, Bangalore, and NCR region. Today, many of the launches have been through own land monetization and also some part of joint

 development agreements. We are also looking to expand this portfolio meaningfully by getting into some amount of land acquisitions. But at this juncture, it is premature for me to give a number to it, because this whole thing about real estate business will be covered in detail, we frame out of start plan exercise for FY26 to FY27 to ‘31.

Parikshit Kandpal : Okay. Ye s. And just one thing on labor issues, there has been noise around the shortage of labor , some of the other peers have been talking about it. So, any challenge there, whether it had any impact in this quarter? So, year as a whole, I mean, whether it could have any impact? So, how are you bracing yourself to make good this opportunity for growth?

P. Ramakrishnan: Yes, the labor availability, let me tell you the issue is not exactly of labor availability, the issue is of the churn within a year. So, which means practically speaking, if we are talking about in Indian projects, we have almost 400,000 of labor working across the multiple sites. What we are seeing as a phenomenon is every three months, the entire churn portfolio happens. To some extent, retraining costs and bringing a new set of people has an impact. But we are also finding our ways and means of having more of pre -engineered struc tures and take it directly to the site. But I guess it is a structural issue for the country, and we are trying our level best to overcome it by doing most of the work instead of in -situ location, doing it in the factory level and take it directly to the site. Better construction methods are bei ng deployed. And hopefully, I think we should be in a position to improve the execution ramp up further in the future.

Parikshit Kandpal : Sure. Thank you. Those are my questions. Wish you the best.

P. Ramakrishnan: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference ov

er

to Mr. P. Ramakrishnan for closing comments.

P. Ramakrishnan: So, thank you , everyone for attending this call. It was our pleasure to interact with all of you. Good luck and wishing you all the very best. Thank you.

Moderator: Thank you so much, sir. On behalf of Larsen & Toubro, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2025

"Larsen & Toubro Limited
Q2 / H1 FY '26 Earnings Conference Call "
October 29, 202 5

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MANAGEMENT : Mr. Subramanian Sarma – Deputy Managing
Director and President , Larsen & Toubro Limited

Mr. P. Ramakrishnan – Head, Investor Relations,
Larsen & Toubro Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 / H1 FY '26 Earnings Conference Call hosted by Larsen & Toubro. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
I now hand the conference over to Mr. P. Ramakrishnan from Larsen & Toubro. Thank you, and over to you, Mr. Ramakrishnan.
P. Ramakrishnan: Thank you, Rutuja . Good evening, ladies and gentlemen. A warm welcome to all of you into the Q2 / H1 FY '26 Earnings Call of Larsen & Toubro. The earnings presentation was uploaded on the stock exchange and in our website around 6:20 p.m. Hope you had a chance to take a quick look at the numbers.
I will first walk you through the important highlights for Q2 FY '26 in the next 20 to 25 minutes or so, post which we will take questions. Kindly note that when the Q&A session starts, I also have with me our Deputy Managing Director and President, Mr. Subramanian Sarma.
Before I begin the overview, the disclaimer from our end - The Presentation, which we have uploaded on the stock exchange and our website today, including the discussions we may have on the call today may contain certain forward -looking statements concerning L&T's business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in s uch forward -looking statements.
I would request you to go through the detailed disclaimer, which is available in Slide 2 of our earnings presentation that we have uploaded today. I will start with a brief overview on the economic conditions in India and the Middle East, which are key markets for the company, especially for the Projects and Manufacturing businesses.
India's economic outlook continues to remain optim istic. The domestic conditions are favourable with GDP growth for FY '26 projected between 6.5% to 7%, largely driven by retail consumption resilient services sector and steady capex . The new private sector capital expenditure plans are also being driven by increased investments in Manufacturing, Renewables, Real Estate, Digital Infrastructure and Power Generation projects, even as the public infrastructure continues at a steady pace.

 The economic growth in the Middle East is expected to remain stable, supported by a
rebound in oil output, controlled inflation and continued diversification into non -oil sectors. However, flat oil revenues as lower prices offset the higher production may lead to a renewed focus on effi cient and prioritized spending. Countries in the region are increasingly prioritizing natural gas and renewables over oil for domestic power generations as part of their long -term economic diversification strategy. This shif t supports their transition to cleaner energy while enabling higher oil exports and greater value capture through petrochemicals production.

Having covered the macro landscape, let me share some few important highlights for the quarter.

• The L&T's Onshore and Offshore Hydrocarbon businesses have each secured ultra-mega orders in the Middle East. The Onshore order involves the setting up of a natural gas liquids plant and allied facilities, while the Offshore order involves multiple packages, including EPC, installation of offshore structures and upgradation of existing facilities.

• During the quarter, we have entered into strategic MOUs an

d partnerships across
our Renewables, Green Energy, Defence and Semiconductor businesses, strengthening the foundation for our future growth.

• The Renewables business within the Infrastructure segment has entered an MOU with ACWA Power for the Renewables and grid scope of the Yanbu green ammonia project in Saudi Arabia. The scope involves multiple facilities, including solar photovoltaic, wind and battery energy storage system plants, along with associated substations and transmission lines. The cooperation involves a commitment from L&T to enter an EPC contract once the final proposal is accepted.

• L&T Green Tech Limited, a wholly owned subsidiary has entered into a joint development agreement with ITOCHU Corporation of Japan to develop and commercialize a 300 KTPA green ammonia project at Kandla in Gujarat. Under the agreement, L&T Energy Green Tech and ITOCHU will collaborate on the development of the facility with ITOCHU planning to offtake the product for bunkering applications in Singapore.

• The company has formed a strategic partnership with Bharat Electronics to support the AMCA program of the Indian Air Force. The consortium has submitted an expression of interest in response to a notification issued by the Government of India's Aeronautica l Development Agency.

• L&T Semiconductor Technologies, another wholly owned subsidiary, acquired the power module design assets of Fujitsu General Electronics of Japan. As part of the transaction, the semiconductor company has acquired Fujitsu's R&D

 equipment, design patents and various intellectual properties related to power
module technologies. Additionally, the semiconductor subsidiary has signed an MOU with the Indian Institute of Science Bangalore to jointly develop a national 2D innovation hub. The envisioned hub will serve as a world -class facility focused on next -generation semiconductor innovation beyond silicon chip technologies, placing the country at the forefront of global semiconductor research and development.

• Besides this, the company has reached an in -principle understanding with the Government of Telangana, wherein the Government will take over the Hyderabad Metro SPV by refinancing the current debt and acquiring the entire equity stake in L&T Metro Rail Hyderabad Limited. The contours of the final agreement are being finalized, and we expect this transaction to get consummated by the end of the current fiscal FY '26.

• The company has secured a sustainability -linked trade finance facility from a commercial bank worth USD 700 million. The facility is aligned with international sustainability standards and ties its terms to the KPIs such as greenhouse gas emission intensit y and freshwater withdrawal, which are critical to L&T's

operations.
I will now cover the various financial performance parameters for Q2 FY '26.
We continue to witness strong ordering activity in Q2 FY '26 across India and the Middle East, with order inflows growing 45% Y -on-Y. Supported by this sustained momentum, the order book expanded to Rs 6.67 trillion as of September 2025, reflecting a 31% Y -on-Y increase and providing a strong revenue visibility in the near future. Our group revenues grew 10% Y -o-Y in Q2 FY '26. The execution levels remain broadly in line with expectations, barring a few sector -specific challenges. The Projects & Manufacturing portfolio margin improved from 7.6% in Q2 of the previous year to 7.8% in Q2 FY '26. As of September 2025, the Net Working Capital to Revenue ratio remained healthy at 10.2%, an improvement of almost 200 basis points Y -on-Y. Our continued emphasis on capital efficiency also translated into a further improvement in the Return on Equity, which rose to 17.2

%, up 110 basis points Y -o-
Y. I now move on to the individual performance parameters.
During the quarter, the group order inflow stood at Rs 1,158 billion, registering a Y -on-Y growth of 45%, reflecting the continued traction across our key businesses. Within this, the Projects & Manufacturing, that is the P&M portfolio delivered a strong performance with order inflows of Rs 968 billion, up 54% Y -on-Y, underscoring the broad -based demand environment across both domestic and international markets. The growth in the P&M portfolio was broad -based with domestic order inflows growing

 40% Y -on-Y and international inflows up 62% Y -o-Y. The order inflows during the
quarter were driven by strong activity across Hydrocarbon, Buildings and Factories, Heavy Civil and the Renewable subsegments. During the quarter, the share of international orders in the P&M portfolio stood at 65% as compared to 62% in the Q2 of the previous year.
Moving on to the prospects pipeline for the near term. We have an overall prospects pipeline of Rs 10.4 trillion vis-à-vis Rs 8.1 trillion at the same time last year. This represents an increase of 29% on a Y -on-Y basis. The increase in the prospects pipeline is mainly led by Infrastructure and Hydrocarbon segments. The broad breakup of the overall prospects pipeline for the near term is as follows:
• Infrastructure, Rs 6.50 trillion vis-à-vis Rs 5.42 trillion last year, representing an increase of 20%
• Hydrocarbons, Rs 2.93 trillion vis-à-vis Rs 2.25 trillion last year, representing an increase of 30%.
• CarbonLi te Solutions, the prospects pipeline as of September '25 is Rs 0.46 trillion as compared to Rs 0.24 trillion last September 2024.
• The Green and Clean Energy opportunities aggregate to Rs 0.18 trillion as compared to Rs 0.01 trillion last year. The increase is primarily because of Gas to Power -related opportunities outside of India.
• The Heavy Engineering and the Precision Engineering & Systems, which aggregate to what we call the Hi -tech Manufacturing segment, the order prospects as of September '25 is at Rs 0.31 trillion as compared to Rs 0.16 trillion last year.

Moving on to the order book.
The order book as of September 2025 stands at Rs 6.67 trillion, up by 31% as compared to September '24 last year. The Projects & Manufacturing order book has a balanced geographic mix with 51% of the order book coming from domestic markets and 49% from outside India. Out of the International order book of Rs 3.27 trillion, around 84% is from Middle East and the balance 16% is from other parts of the world.
The client -wise composition of the domestic order book of Rs 3.4 trillion as of September '25 is as follows:
• Central Government constitutes 14% ,
• State Government and Local Authorities, the order book share is 24%,
• Public Sector Corporations 32%,
• and the Private Sector Composition is at 30%.

 As you may note, the share of the Private Sector in our domestic order book has
increased from 21% as of March '25 to 30% as of September '25. This growth reflects improved activity in the Residential and Commercial Real Estate, Power Generation and Data Storage Solutions as well as the Minerals and Metals sector. Approximately 12% of our total order book of Rs 6.67 trillion is funded by bilateral and multilateral funding institutions. Again, 91% of our total order book is from Infrastructure and Energy. Y ou may refer to the presentation slides for further details. No major orders were deleted during the quarter. And as of September, the share of slo

w -moving orders
is around 3%.
Coming to Revenues. The Group Revenues for Q2 FY '26 at Rs 680 billion registered a Y-on-Y growth of 10%. The International revenues constituted 56% of the revenues during the quarter. The strong execution momentum in the Energy and Hi -Tech Manufacturing segments drove the overall group revenue growth for the quarter, while execution in the Infrastructure Projects segment was a lit tle subdued during the quarter. Within the overall group revenue, the P&M businesses recorded revenue of Rs 490 billion for Q2 FY '26, marking a 10% growth over the corresponding quarter of the previous year.
Moving on to EBITDA margin. The Group level EBITDA margin without other income for Q2 FY '26 is 10 .0% as compared to 10.3% in Q2 of the previous year. The decline in EBITDA margin is primarily due to the margin compression in our IT&TS segment. The detailed breakup of EBITDA margin business -wise, including other income, is given in the annexure s to the earnings presentation. Our EBITDA margins in the P&M business portfolio has improved from 7.6% in Q2 FY '25 to 7.8% in Q2 FY '26. The segment -wise EBITDA pe rcentages will be shared in detail during the discussion on the segment performance.
Our Consolidated PAT for Q2 FY '26 at Rs 39 billion is up by 16% as compared to Q2 of the previous year. The increase in PAT is reflective of improved activity levels and efficient treasury management. The group performance, the P&L construct, along with the reasons for the major variances under the respective function heads is provided in the earnings presentation. You may go through for further details. Coming on to working capital.
Our group NWC to sales ratio has improved from 12.2% in September '24 to 10.2% in September '25, mainly due to an improvement in the GWC to sales ratio backed by strong customer collections during the last 12 months. Our group level collections, excluding Financial Services segment for Q2 FY '26 is Rs 600 billion as compared to Rs 620 billion in Q2 of the previous year. The year -on-year dip is primarily timing related as we had witnessed a very strong collection growth in the first quarter of the

 current financial year. With the continued focus on customer collections, our cash flow
from operations, excluding Financial Services segment between April to September 2025 is at Rs 106 billion as compared to Rs 61 billion in H1 of the previous year. We have added a slide on group cash flows, excluding L&T Finance in the annexure alongside the reported cash flow slide to give more clarity on the cash flow performance.
Finally, the trailing 12 -month ROE for Q2 FY '26 is 17.2% as compared to 16.1% in Q2 of the previous year, an improvement of 110 basis points.
Very briefly, I will now comment on the performance of each business segment before we give our final comments on our outlook for the remaining part of FY '26.
The first would be Infrastructure. The segment order inflow grew 6% in Q2 FY '26 on a Y-on-Y basis, driven by strong domestic private sector demand spanning residential, commercial buildings, airports, data centres , pump storage projects, ferrous and nonferrous facilities, solar PV manufacturing plants and semiconductor fab facilities that wer e witnessed during the quarter. These together account for nearly 60% of the domestic orders for the quarter. Like I mentioned earlier, our order prospects pipeline in Infra for the near term is around Rs 6.50 trillion as compared to Rs 5.42 trillion

during the same time last year, representing an increase of 20%. The infra prospects pipeline of Rs 6.5 trillion comprises of domestic prospects of Rs 4.25 trillion and international prospect

s of Rs 2.25 trillion. The subsegment breakup of the total order prospects in Infra segment is as, the share of Transportation Infrastructure is 21% Heavy Civil Infrastructure is 16%; Water and Affluent Treatment, 15%; Power Transmission and Distribution, 1 4%; Buildings and Factories, 13%; Renewables at 11% and Minerals & Metals at 10%. The order book of this segment is at Rs 3.95 trillion as of September '25 with the execution period around 3 years. The revenues for the quarter in the Infrastructure segment registered a marginal decline of 1% Y -o-Y, largely attributed to an extended monsoon season and slower progress in the rural water supply projects, which continue to face sector -specific challenges. In addition, a few large renewable projects are in the initial execution phase. Our EBITDA margin in the segment was at 6.3% in Q2 FY '26 as compared to 6% in Q2 FY '25. The margin uptick has been driven by improved execution efficiency.

Moving on to the next segment, which is Energy Projects, which comprises of Hydrocarbon and CarbonL ite Solutions. The order inflows in this segment were robust at Rs 382 billion in Q2 FY '26 as compared to Rs 78 billion in Q2 FY '25. The segment order book was helped by receipt of ultra -mega orders across Onshore and Offshore verticals of the Hydrocarbon business in the Middle East. We have a strong order prospects pipeline of Rs 3.57 trillion for the segment in the near term, comprising of

 Hydrocarbon prospects of Rs 2.93 trillion, CarbonLi te Solutions of Rs 0.46 trillion and the clean energy prospects of Rs 0.18 trillion. The Hydrocarbon prospects remain predominantly International with approximately 93% of the opportunities is overseas, while CarbonLi te Solutions prospects are primarily domestic and clean energy is largely driven by gas to power opportunities. The order book of the Energy segment is at Rs 2.14 trillion as of September '25 with the Hydrocarbon order book at Rs 1.66 trillion and CarbonLi te Solutions at Rs 0.48 trillion. The Q2 FY '26 revenues for the segment at Rs 131 billion registers a robust growth of 48%, driven by the execution ramp -up in international Hydrocarbon projects and commencement of execution in the CarbonLi te Solutions orders secured in the recent past. The Energy segment margin in Q2 FY '26 is at 7.3% vis -à-vis 8.9% in Q2 of the previous year. The margin decline for the quarter in the Hydrocarbons business was primarily due to cost overruns in some few domestic and international projects. These projects are in the final stages of execution and are expected to conclude over the next few quarters. We do anticipate soft margins in the segment to persist in the near term. As already communicated during our Q1 FY '26 Earnings Call, this is factored into our FY '26 P&L margin guidance. The Carbon Lite Solutions margin improvement benefited from a favourable customer claim. The Clean Energy businesses within the Energy segment is in the incubation stage and is yet to meaningfully contribute to the segment numbers.

We will now move on to the Hi -Tech Manufacturing segment, which primarily comprises of Precision Engineering Systems and the Heavy Engineering business. The lower order inflow in Q2 FY '26 is to order deferrals in both the businesses. The order book of the segment is Rs 391 billion as of September '25 with the Precision Engineering order book at Rs 328 billion and the Heavy Engineering order book at Rs 62 billion. Our order prospect pipeline for the near term in th is segment is around Rs 315 billion, comprising of Rs 251 billion of Precision Engineering prospects and the remaining Rs 64 billion from the Heavy Engineering business. The segment revenue at approximately Rs 28 billion registered a stro

ng growth of 33% Y -on-Y with robust execution momentum across both the businesses. During the quarter, operational efficiencies aided margin improvement in Heavy Engineering, while lower margin in PES, that is the Precision Engineering & Systems, is largely reflective of la rger share of early -stage jobs and costs incurred on certain development projects.

Moving on to the next segment, IT and Technology Services, which comprises 2 listed entities, LTIMindtree and LTTS and as well as our newly incubated business of digital platforms, data centres and semiconductor design. The revenues of this segment at Rs 133 billion in Q2 FY '26 registered a growth of 13%. The segment margin variation vis-à-vis previous year is largely due to the subdued margins in LTTS, and costs incurred towards the newly incubated businesses. I will not dwell too much on the

 segment as both the companies in the segment are listed and the detailed fact sheets
are already available in the public domain.

We move on to L&T Finance Limited. Here again, the detailed results are available in the public domain. But to sum up, Q2 witnessed -- Q2 for L&T Finance witnessed the highest ever quarterly retail disbursement and improved collection efficiency. The Financial Services business achieved 98% retailization of its loan book in September '25, well ahead of its Lakshya 2026 targets. The ROAs remain healthy at 2.4% for Q2 FY '26 and adequate capital is available on the balance sheet to pursue growth in the mediu m term.

Moving on to Development Projects segment, which primarily includes Nabha Power and Hyderabad Metro. The higher average fares post the fare hike that we did in the current year has led to the revenue growth and margin improvement of Hyderabad Metro. The a verage fare per passenger has increased from Rs 38 in Q2 FY '25 to Rs 46 in Q2 FY '26. The average ridership during the quarter was at 4.39 lakh passengers per day as compared to 4.68 lakh passengers per day in the same period of the previous year. At the PAT level, the Metro -- Hyderabad Metro posted a loss of Rs 1.75 billion in the current quarter as compared to a loss of Rs 2.07 billion in Q2 of last year. As I stated earlier, we have reached an in -principle understanding with the Government of Telangana, where the Government of Telangana will take over the debt and the equity of L&T from the concerned SPV, which is L&T Metro Rail Hyderabad. The EBITDA margin of this segment was impacted by a litigation -related provision in respect of Nabha Power. Moving on to the others or the last segment. This segment comprises Realty, Industrial Valves , Construction Equipment and Mining Machinery, Rubber Processing Machinery and the residual portion of the Smart World business. The segment witnessed healthy order inflow growth driven by higher presales in the Realty business and increased orders in the Construction Equipment business. The segment revenue at Rs 14.2 billion declined by 14% Y -o-Y, primarily driven by the lower handover of residential units in the Realty business. The segment margin improvement was primarily due to sales of Commercial space in the Realty segment. We have given the segment breakup between Realty and other businesses within the segment as part of our annexures in the presentation.

Before I conclude, let me cover the guidance on the various parameters for FY '26. Order inflows. We witnessed a strong ordering momentum in H1 of the current financial year, and we see a robust prospects pipeline for the near term. We are confident of ex ceeding our full year FY '26 guidance of 10% growth in group order inflows for the current year. As we speak, we are also well placed to secure a few ultra - mega opportunities.

 On Revenue, the group revenue grew by 13% in H1 FY '26, in line with our
expectations. As highlighted during the Q4 FY '25 earnings call, we expect a stronger revenue visibility in the second half of the fiscal year, driven by a ramp -up in the execution. Accor dingly, we maintain our full year revenue growth guidance at 15%.

Coming to the EBITDA margin for the P&M business. As you may have seen, the EBITDA margin for the P&M business has improved by 10 basis points in H1 FY '26. With the execution momentum expected to pick up in H2, we are reasonably confident to achieve our full year EBITDA margin target of 8.5%.

On Working Capital, our guidance for working capital for FY '26 remains unchanged at around 12% by March 2026.

With this, I conclude. Thank you, ladies and gentlemen, for the patient hearing. We can now begin the Q&A part of the call. In the interest of time, I would encourage all the participants to stick to the broader questions on strategy and outlook to take f ull advantage of the presence of our Deputy Managing Director and President, Mr. Subramanian Sharma. The bookkeeping questions can be taken up by the IR team at a suitable time. Thank you.

Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is, sir, as per media, it seems we are quite ahead in Kuwait in large projects. Is it possible to help us with the prospect pipeline and the sustainability of these prospects in the country from the medium -term perspective?

Subramanian Sarma: Yes, Sarma here. Good evening all of you. You're right. I think this was a public opening. So , we are have an L1 position on 3 of the bids we have submitted out of 5, I think, adding up to about $4.5 billion. We'll now have to see how the whole process now moves on in terms of budget allocation . We are kind of optimistic that they should be able to get the extra funds . However , all the prices are , are above the budget though we are L1 . So, they are completing their process for getting the additional funding, and that should get done by this quarter or maybe latest by next quarter and hopefully, this should come through. We are hoping for that.

I think the overall in terms of opportunities, the pipeline looks strong in terms of what is available in Saudi, in Qatar and Kuwait and also the joint operation of Al Khafji . And also there are a lot of opportunities coming in UAE. So , we are quite bullish on Middle East now for the time being.

Mohit Kumar: Yes. My second question is, sir, of course, the rising order book in Middle East, what are the execution challenges while sustaining the profitability? And is there any peak

order book which you think of the level at which we don't have to worry about the resource mobilization.

Subramanian Sarma: No, you don't need to worry because we worry about the order book in terms of our risk exposure. We have a very good robust system. Internally, Mr. Shankar Raman , Mr Govind an & team, they have a very strong risk management system. They interrogate all the businesses in terms of country exposure and geopolitics, etcetera. So , we have a strong system there. And we are very cognizant of that in terms of what is our exposure.

Our experience has been good. The customers are paying well. All these companies are national oil companies, and they have a reasonably good cash flow, and we have not seen any payment risk. The commercial terms and conditions, what is available in the co ntracts are quite reasonable, acceptable, pretty balanced and execution risks are more or less same as what we have been experiencing in the pas

t and historically, in the sense that we have to be sort of aware of the supply chain constraints and logistic constraints and local work availability. I think we have overcome many of those through having a strategic partnership at the time of bidding and negotiating some of the critical high -value orders during the bidding and back -to-back contracts and things like that. So we know the market, we know t he risk, and we have a plan to mitigate those risks. So by and large, I would not be too concerned about.

Mohit Kumar: Understood. My last question, sir, as per media reports , we are looking to invest in Electronic Manufacturing Services. Can you please explain the kind of investment within the EMS space that interest s us and the market potential?

P Ramakrishnan: So Mohit, I will take that. We have a Precision Electronics business as a small sub unit under our Precision Engineering & Systems division . The unit is located in Coimbatore. As part of our Lakshya L31 strategy, we are seriously looking into expanding the electronic part of L&T's portfolio. Various options are being explored, including the need to set up units in some parts of the country.

At this juncture, it's a little premature for us to comment on the extent of investments and which areas we will be covering. Kindly wait maybe sometime in May '26, once we complete our financial results and we are ready with our stat plan for L31, we wil l be in a position to possibly give you a more greater detail of the future business prospects and the investment potential, along with the opportunities insofar as this business is concerned.

Moderator: The next question is from the line of Mohit Pandey from Citigroup.

 Mohit Pandey: Sir, my question is on the Infrastructure segment. So , when you mentioned the
execution pickup , is it safe to assume Infrastructure execution will also be picking up? And associated question is on margins. So , this quarter, despite revenue decline, there has been 30 bps margin expansion in Infrastructure segment . So is it safe to assume this is sustainable because it was drive n by execution efficiencies.
Also you mentioned a sizable chunk of incremental orders have been from the Private sector. So , what could that mean for margins? And are these generally lower compared to Non-Private Sector orders in Infrastructure ?
P Ramakrishnan: So thank you, Mohit. I think you were asked to ask 1 question. You asked 4 questions now. Okay. I'll take one by one. So , the infra revenue has been stagnant for Q2 of the current year. Having said this, one of the main reasons, as I explained, was because of an extended monsoon across many parts of the country that affected the pace of execution. And secondly, and this I have mentioned in the Q1 earnings call also that because of the payment -related issues with respect to certain projects i n the Water and Effluent Treatment segment, we have slowed down execution . Having said this, the overall revenue guidance that the company has provided for 15% of full year is on track and this we can confirm. And we do believe -- and as you know that the H2 for Infrastructure is a far more busier 2 quarters as compared to a relatively subdued H1. So, this is baked in terms of how the revenue growth has happened. This is baked into our 15% overall guidance on revenues.
And as far as number 2 point is concerned, I think over the years, the infra margins have come down, have been southward bound for various reasons. But given the fact of rigor of execution and better control on project execution timelines and with also looking to ensure that the growth is related to the collections we get, this has finally resulted into a slow improvement in the infra margins. We do b

elieve that infra margins
will be a little northward. But since w e don't give margin guidance for the individual P&M segment, this is also baked into our overall FY '26 target of 8.5% .
So number three, of course, the share of private sector orders have gone up, largely driven by Real Estate and the CarbonLi te type of orders. So , one important thing is, as far as private sector orders is concerned, obviously, the execution momentum in line with the payments, I think, will be faster. This is something I think we have always maintained a share of -- higher share of private orders co uld potentially result into an improved working capital situation. But having said this, as far as margins is concerned, we should be seeing it as the execution of the projects progress. But let me also tell you that the company, as Mr. Sarma was referring to the answer to the previous question, we are ensuring a proper risk mitigation or risk evaluation mechanism while we bid for projects concerning the customer, the sector and the geography.

 Moderator: The next question is from the line of Aditya Bhartia from Investec.
Aditya Bhartia: My first question is on the W ater segment. How big is the segment in the overall scheme of things? What proportion of domestic order book could be from the Water segment? And is it that we are really going slow on execution given the payment challenges or are you seeing some improvement around that?
P. Ramakrishnan: As far as the Water segment is concerned, the order book that we have is around Rs 400 billion.
P. Ramakrishnan: 7% of the total order book , and there are projects which are related to the Jal Jeevan Mission project and once the allocations of the government start coming in, we do expect the execution momentum to smoothen out in the subsequent quarters.
Aditya Bhartia: Understood. So as of now, we are going very slow on execution of these projects. They are not really contributing , there is no money that's getting stuck over there because we are just going slow on execution itself?
P. Ramakrishnan: Yes. payment s are slow er along with execution . However, we are not just building up execution without getting paid.
Aditya Bhartia: Understood, sir. And sir, my second question is on Realty, wherein for the last couple

of quarters, we've been seeing very high margins. I mean, if we look at this quarter, revenues might have been lower, but margins have been exceptional. So how should we think about this business from the perspective of next 2 or 3 years? What's the road map? What kind of growth should we be seeing in? And what kind of margin should we be building in?
P. Ramakrishnan: So the issue is in so far as the Realty business is concerned, it is more of an accounting development because in a particular quarter, when you have a higher handing over of the residential units, the entire sales and margin gets clocked in, unlike the ot her P&M business where the margins get crystallized over the period of execution.
So this is at a point of time, recognition of sales and margin. To that extent, you can have some quarters margins dipping at the overall P&M level because of lower residential -- lower handing over of residential units. And in case of any quarter where the number of units go up, then consequently, the realty business will show a better profit.
And this apart from -- in a particular quarter, if there is a particular sale of a commercial property, that adds up also to the overall margin. So for example, in the current quarter,

 we have had in terms of a sale of a commercial property along with sale of TDR rights
has enabled the profitabil

ity to go up almost by Rs 0.9 billion.
Aditya Bhartia: Understood, sir. And could you give us some road map on how we should think about the Realty business for next few years? What kind of growth should we anticipate in terms of residential project sales and any large commercial project that we should be aware of?
P. Ramakrishnan: So as of now, the way we are focusing is that we will try to expand the presence in the cities of the Mumbai Metropolitan region, National Capital Region, Bengaluru, Chennai and this development will be happening through a mix of monetizing of our existing land parcels, acquisition of new land real estate parcels and also increasing growth through the joint development route.
As we speak now, the order book for the Real Estate segment, that is where the flat purchases have happened, but we're yet to hand over is in the range of Rs 120 billion. And we have an unsold inventory of almost Rs 40 billion for the near term. So this will be -- I think over the next 2 to 2, 3 years, this will get converted to revenues.
But long and short, we -- you could see an increased visibility of L&T Realty in terms of the overall perspective on the real estate sector in the regions or the locations that I spoke about. We also will continue to focus on select commercial property developments in some of these areas, driven by the market demand. So , it will be largely led by residential property development and interspersed with some commercial properties at some certain locations.
Moderator: The next question is from the line of Bharanidhar V. from Avendus Spark.
Bharanidhar V.: Can you tell what is the total funding L&T did into Hyderabad Metro by way of both Equity and loss funding? And how much of that are we getting through this deal? And how from accounting point of view, this will have an impact on, say, any one -off income or in the coming quarters?
P. Ramakrishnan: The total investment of L&T in Hyderabad Metro till date is in the range of Rs 70 billion . The Hyderabad Metro has a debt of almost Rs 130 billion. The losses of the Hyderabad Metro are all factored in our consolidated financial results. If you have seen our advertisement this time of the Standalone, where the investment carrying value of was at Rs 70 billion . We have now brought the investment to what we believe is the realizable value by tendering our stake to the Government of Telangana at Rs 20 billion.

 And thereby, we have taken an impairment charge in Q2 of the current financial year
in L&T standalone results. The fact is insofar as the consolidated results go, the YTD

cumulative losses of Hyderabad Metro is already adjusted against the Rs 70 billion of our investment. And consequently, the Hyderabad net worth in our consolidated books is actually even lower than the current post impaired value of Rs 20 billion. So technically speaking, tomorrow, if we were to do the -- if tomorrow, we were to do the divestment, there could be a chance that the consolidated financial statements will actually possibly show a marginal credit in the P&L because the consolidated financial statements has the share of networth which is almost Rs 10 billion as compared to the restated value of Rs 20 billion. Is that clear Bharani?

Bharanidhar V.: One follow -up question is that the Rs 7000 crore of book value or net worth that is reflected in Metro balance sheet , we are essentially realizing Rs 2,000 crore from the buyer?

P. Ramakrishnan: Correct. So consequently, you see that impairment charge in the Standalone.

Bharanidhar V.: Okay. Fine. So , I will take up some follow -up on this later. My second question is on, say, our Indian domestic order inflow, while we are doing very well on the private side, the order inflow from state sect

or is definitely lower than what it was in the past. What is our outlook on that going forward? Is it set of customers likely to improve or where do you see that going?

P. Ramakrishnan: Okay. So , one of the major reasons for the share of private sector order inflow going up in the recent maybe last 4 or 5 quarters is because of a higher amount of real estate transactions or real estate development, both commercial and residential real estate , data centre development. All of this, we have seen a strong traction from the various developers, number one. Number two is, if you note that in the Q1 that we had reported order inflows in domestic also included CarbonLite private sector orders that we secure d. And we do expect as far as coal -based power plant ordering is concerned, you see as is evident that there's a lot of projects up in the pipeline which is a mix of both state-owned or central public sector -owned project opportunities and also some of the major private sector power plant producers also setting to expand their current power plants or new greenfield. So, we do believe because of this increase in the -- or revival of the coal -based power plant equipment business, the share of private sector has actually gone up.

Bharanidhar V.: So I got that. My only question was areas like metros, bridges, all these things, which used to be a major part, it seems to be slowing down. So that was meaning...

 P. Ramakrishnan: That is mostly on the government funded no. So , we do have a sizable amount of opportunities as far as Central Government or State Government or Public Sector Corporation is concerned in the areas of Energy, which comprises Hydel, Thermal that I spoke about, Nuclear. So the entire energy landscape is there. And we do see sizably large opportunities in the Transportation Infra in terms of Roads and Elevated Corridors. In fact, the order prospects that I communicated for Heavy Civil and Transportation Infra, to the extent they are all domestic, they are largely all government projects only.

Moderator: The next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur: I just wanted to ask about your 34% growth in domestic orders this quarter. Could you highlight what drove this? And what are some of the major orders that contributed here?

P. Ramakrishnan: So, the major orders that we secured on the domestic side is the pump storage project that we secured from a private sector client, which is almost Rs 35-odd billion, plus a whole lot of Residential and Commercial Real Estate orders that we have secured from private sector developers.

Shirom Kapur: Noted. And just if you could help break up the order prospects into domestic and international and within domestic, what is the breakup should be across your segments?

P. Ramakrishnan: We have been articulating granular detail s. We'll stay put with the total order prospects that we have given for domestic and international . We will see at an appropriate point of time. In case something is very major for a particular sub -segment, we will give the details at that point of time.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My question is in relation to the Hydrocarbon margins, which were subdued and the explanation given around cost overruns in certain international and domestic jobs that are approaching completion. So , what were the reasons for the cost overrun on a

generic basis? And how can we be sort of assured that going forward for a substantial
international order book, some of these issues will not get repeated. So that's my
question.
Subramanian Sarma: Yes. Again, this is Sarma, this is a bit of a phasing issue. We have in our portfolio a
mixture of projects. Some of them are old

legacy projects, some of them are new
projects and some of them are, like I said, we have new projects waiting to be awarded.
So, in this quarter and maybe for some time, I think we'll have some of these legacy
projects which are closing out .

 I mean some of these projects are large projects which have been running even during
the pre -COVID time, it was awarded. So , I think as they close, there have been some
cost overrun because of COVID. But , definitely, there is a contractual entitlement for
us, we'll pursue those but as per our internal policy, we don't recognize any entitlement
unless it is approved. So, I think that will manifest maybe in the future at some point
in time. But otherwise, going forward, the portfolio is quite reasonable. And in fact,
the market is quite buoyant, and we are very selective and our intention is to pick up
jobs, which will hel p us to realize better margin in the future.
P. Ramakrishnan: The current southward movement in Energy margins is baked, I reiterate , is baked
when we have given the guidance of 8.5%.
Sumit Kishore: Very clear. So just a follow -up here on margins. Given the fixed price order backlog
now would also be close to 50% of the order backlog, how are you thinking about the
commodity price risk to margins here for the order backlog?
Subramanian Sarma: Yes. I mean I think this question keeps coming up. But in general, we are in the
business where we have fixed price models. And like I said, when we are bidding, we
take a lot of care in terms of trying to have back -to-back contracts with -- for
constructi on, back -to-back contracts for major high -cost items in supply chain so that
we have a reasonable sort of cover or risk mitigation on those items. And of course,
we also have a strong treasury group, which gives us a reasonable forecast about how
the commodity prices will move. Based on that movement -- based on that forecast,
we also provide certain adequate provisions in terms of contingencies, commodity
contingencies, specifically in our pricing.
So, I think broadly, we are covered unless we have a very, very unexpected situation
like what happened in Ukraine -Russia war, which is something nobody could forecast .
Othe rwise, we have built in commo dity risks in our pricing.
Moderator: The next question is from the line of Amit Anwani from PL Capital.
Amit Anwani: Sir, my question pertains to the strategic partnership with Bharat Electronics for
AMCA. So here, it would be better to understand what role L&T will have in this joint
venture? And what is the long -term strategy? We understand that we have supplied
wings, and I think some other components for LCA in the past, and we have been doing
that. Wanted to understand, are we getting into full -fledged aircraft manufacturing in
the future? Is there any capability which is required? Any investments required? Any
thoug hts and details on this joint venture consortium, yes?
P. Ramakrishnan: The Aeronautical Development Agency, which is the customer, is likely to shortlist
the eligible bidders for the AMCA program based on the Expression of Interest (EoI)

 where we have also partic ipated . This shortlist is expected in the current quarter,
October to December '25. Basis the shortlist, we expect the customer to issue the
Request for Proposal, that is RFP sometime in Q4 of the current financial year. And
the announcement of the winner to build the prototype most likely is going to happen
Q4 of the next financial year after the bidding process.
Now in terms of the L&T -Bharat Electronics JV for this particular program . Essentially
the scope of the JV is to build the prot

otype airframe, fixtures, system integration and
the flight certification of the prototype. As of now, both L&T and B EL are equal partners in the JV, which is will be a separately incorporated company that will house this transaction in case the consortium is the winner. And in terms of how the work will be shared between L&T and the other partner will be finally assessed after we go through the entire details of the Request for Proposal. Our understanding is that the order for the prototype will be one single PO for the entire value. And most likely, if it is awarded in the Q4 of the next financial year, then in terms of the prototype getting delivered, I think it's sometime in FY'28, FY'29, the test flight to happen in FY '29, '30, then followed by the user trials. So , in terms of serial production, I guess we are still around 8 or 9 years away, I've given you quite a detailed perspective of this. Now beyond this, I think I don't have any thing .

Amit Anwani: Right. So , for prototype, any investment which would be required once we get this order by Q4 next year, if at all, this is coming to us?

P. Ramakrishnan: There are so many ifs and buts, so we should get the order in Q4, hopefully. However, we will have to evaluate the scope , that is the RFP scope . At that time, we will be able to understand the investment s required . But since it is a prototype, usually the customer works with the contractor or in this case, the consortium and ensure that the consortium will not suffer , in principle , any cash outflow. It is like a funded project.

Moderator: The next question is from the line of Atul Tiwari from JPMorgan.

Atul Tiwari: Another question on this BEL -L&T consortium. So , what kind of risk you run? Suppose this is obviously a technically complex project. And if you get it and in case there are unusual delays because of some technology challenge is out of your control. So, do you have to fund that over next several years? Or is there some kind of carve - out clause? Could you throw some light on that?

P. Ramakrishnan: L&T in the past with respect to the PES business have engaged with the customer across the two other major forces that we usually deal with. When it comes to a prototype, it is usually cash neutral for the contractor like us. So that is the principle we believe will be followed when it comes to the AMCA program as well.

 But it is still early days because once the RFP is rolled out, then only we'll be able to clearly understand the outcome of the proposal. But given our past experience, usually prototypes have a zero cash implication because the customer, along with the contractor, in this case, the consortium will jointly work to have a successful prototype done. So , the customer also has a sort of a skin in this whole transaction.

Atul Tiwari: Okay, sir. And just to confirm, sir, you said that the eventual winner will be announced by fourth quarter of FY '27?

P. Ramakrishnan: That's our understanding as we speak now.

Moderator: The next question is from the line of Girish Achhipalia from Morgan Stanley.

Girish Achhipalia: I wanted to just check with Mr. Sarma that we are almost doing $4.5 billion, $5 billion worth of international projects last couple of quarters. The order prospect pipeline is also very strong. I wanted to understand like you've been with the company since 2016, I believe, and you've seen a lot of cycles up and down, a lot of contracts, competition. How do you think about the next couple of years in terms of different types of jobs that are coming through?

And I wanted to understand the win rate typically that we've enjoyed in the last 12 months across, let's say, Infra and then within Hydrocarbon Offshore versus Onshore, if you can just split that up? And al

so on the domestic opportunity, are you seeing any prospects on nuclear? And how much of coal -based order pipeline is still left in the domestic side that could come through in the probably more medium term?

Subramanian Sarma: For your information, I've been with the company since 2015. So , I completed 10 years, not 2016. Anyway, like you said, we had a good run over the last decade. The industry is cyclic al, but I think what has happened is that our share of the market was not that good in the previous years, and we have established ourselves now as a major player. So, we are able to access larger market share -- larger market.

So, I think our ability to access larger projects , multibillion -dollar projects , has now enhanced substantially over this decade. So therefore, our ability to continue to build a strong order pipeline has substantially increased over the last few years. Today, as you see, we are winning quite a few $3 billion, $4 billion projects, which was not the case earlier. So , I'm quite bullish. I think we will continue to have that market available

to us, and we'll bid in a disciplined way.
And I think this run will continue for some more time, at least for next 2, 3, 4 years. I mean, beyond that, I cannot predict. So , all in all, I'm quite optimistic.

 When it comes to domestic on thermal power, the market has suddenly become very buoyant and very active because of two reasons. One is that Renewable power round -the-clock availability has become a bit of an issue. So , we need additional power to stabilize the grid. And two is that , there is a general increase or forecast ed increase in the power demand because of the sudden acceleration of the AI and the data centres , which are going to consume a huge amount of power. So , due to a combination of the above, I think there are a lot of plans that are coming up. It can be met through either thermal power or nuclear or other means.
But I think thermal power becomes the simplest and fastest solution. So we've seen a significant uptick in that. We have picked up about 13.5 GWs . We are going ahead with expansion of our capacity, and we are gearing up for taking up additional maybe 10, 15 gigawatts in the next 2, 3 years. That's how we see the market now.
P. Ramakrishnan: I think I told Girish, that the order prospects pipeline for CarbonLi te Solutions is almost Rs 460 billion as of September 2025 .
Girish Achhipalia: Okay. And sir, just one small follow -up. In international, I understand that the oil sensitivity to GDP for larger countries like Saudi Arabia and UAE is coming down. Is there a different approach that the customer is taking irrespective of whether he's in Infra or Offshore or Onshore versus the previous cycles? Like if you can qualitatively remark on how confident or are you seeing closures happen at a faster clip? Or is there a little lesser competition? I mean, what is driving the market share higher?
Subramanian Sarma: No, I think there were projects which were of different size, right? I mean I think earlier we were able to compete in a segment which was less than $1 billion. So , we had a different level of competition. Now when we move up the ladder we are able to access multibillion dollars jobs. I think the level of competition and intensity of competition changes. I mean I think now I believe that for larger jobs, we are better placed to win, and we have a reasonable win rate on those projects. Many of these projects are very critical and some of them are gas development projects. Many of these countries are committed to those projects. I don't expect too much of sensitivity to the current spot market prices. These are long -term views.
And next 2, 3 years, I mean, at least I can tal

k about only 2, 3 years beyond that, I cannot predict. I expect to see multiple projects. And our order book is so strong that we have almost 3 years of workflow in our hand. And if we pick up some more projects in the next 1 year or so, we will have almost more than 3 years of workflow. So I think that brings a lot of stability to our business.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

 Parikshit Kandpal: So my first question is on the margins. So now with the share of international order book growing, for the thesis of improvement in margins from this year, P&M margins from FY '26 and building over the next 2, 3 years, so does it get challenged somehow?
P. Ramakrishnan: So Parikshit, this is P.R. As you know that we have a way of taking the margin guidance restricted to the year under question or under review . We'll get back to you in terms of how the margin uptick looks like in the subsequent periods. Having said this, I also referred to the improvement in infra margins is now slowly changing in terms of going into the positive trajectory. And we do expect that this particular momentum to continue in the future quarters.
Insofar as the softness in the margins for the Energy segment in the current 6 months is concerned, I did refer to this during the Q1 call that the softness in margins is going to be reflected in Hydrocarbon performance in the current year. Hopefully, by the time March '25 gets over, many of the cost or the cost overruns in certain select jobs that

we secured in the earlier years will get into the final stage of execution, which is also
baked in our revenue and margin guidance.
So, we do also expect that margins in the subsequent periods to improve. Now to what
extent the improvement will happen, we will communicate that once we close March
'26 and give the guidance for the next year.
Parikshit Kandpal: Okay. So the second question is on Hyderabad Metro. So now you said that Rs 2,100
crore is somewhere where it settles. So , is this a cash inflow and is it adjusted for the
Rs 900 crores of the support, which we have received from the Hyderabad Metro? So
basically, I want to understand how -- will this be a cash item or a noncash item from
the government side? And what will be the quantum likely?
P. Ramakrishnan: So, as we understand basis the discussions that have happened, L&T will get a cash
consideration against tendering its 100% equity stake in the Metro SPV to the
particular vehicle which the Government of Telangana will propose as the buyer and
L&T should be getting cash. That's the understanding. And this has got nothing to do
with the Rs 900 crores that the SPV received as part of the soft loan assistance. So that
loan is residing in the SPV as an interest -free long -term debt. What we are talking
about is L&T exiting / divesting its entire exposure in the Metro SPV to the
Government of Telangana. So , the SPV debt of Rs 13,000 -odd crore will be taken by
the buyer as the new equity shareholder when they purchase the stake from L&T. And
that consideration as we speak now, is in cash.
Parikshit Kandpal: The Rs 2,100 crore you receive in cash. So net -net.
P. Ramakrishnan: Around -- I did not tell a number. I said around Rs 20 billion or Rs 2,000 -odd crores.

 Parikshit Kandpal: Okay. And just the last thing on the NWC.
Last quarter, you highlighted that because
of the water receivables, there was a negative impact on NWC of about 75 basis points
because there was delay in receivables collections on the water side. So if you can
quantify in this quarter, 10.2% NWC, so how much better it would

have been if the
water receivables have come on time?
P. Ramakrishnan: So, let me put it like this. The fact is that we have slowed down execution also means
that the position of the segment remains as the same as it was in June. Wherever the
projects are getting executed in that segment, when we are getting paid, that execution
happens. But let me tell you, when we talk about 10.2% as the working capital at the
group level, the share of projects and manufacturing working capital i s 7.8%.
Moderator: The next question is from the line of Renu Baid from IIFL Capital Services.
Renu Baid: Just a couple of bookkeeping quick questions. On the Power Equipment Thermal
portfolio, you mentioned that you are targeting 10 to 15 gigawatts of incremental
orders in the next couple of years. So , given the order book that we have at what
utilization levels are we working through?
And do you see that the market today with the existing only two domestic vendors is
stretched in terms of supply, and Chinese BTG equipment manufacturers are probably
getting the feet back in the market?
Subramanian Sarma: No, I think , the government has taken a stock and both , us and BHEL are working on
expanding the capacity. Chinese equipment is not something which is preferred. And
6 months back , even before these awards came , we had given a commitment to the
Ministry that we will enhance our capacity to almost 5.5 - 6.0 gigawatts.
We are looking at even further expanding this in the next 6 to 9 months' time. So
between us and other supplier, which is BHEL, we believe that we should be able to
handle this. The timelines are a little longer, which is acceptable to most of the PPP
developers. So , I don't expect Chinese products to come in. It will be between us and
other Indian manufacturers.
Renu Baid: Got it. And second, just to clarify, broad -based, whatever we understand of the
Hyderabad Metro at the consol l evel, net of all the losses, et cetera, that you have
booked is close to about Rs 10 billion at the end of first half. So incrementally, even if
on a stand -alone level, the book value has been brought down to investment value has
been brought down to Rs 20 billion. On a consol basis, we still would be having net
positive impact on the transfer of -- or receive of the cash consideration.

 P. Ramakrishnan: So Renu, I think I responded this as an answer to the previous question. So it is like
this, let me put it like this. In the standalone, the Hyderabad Metro is valued at Rs 20
billion. In the consolidated, it is valued because the original investment of Rs 70 billion
has taken all the losses YTD. So in the -- it is around Rs 10 billion.
Now if we were to do the divestment today, the standalone further, there will be no
profit, no loss because you are getting cash against the Rs 20 billion that you have
restated. And in the consolidated, you will have the gain because obviously, you are
getting value at Rs 20 bn as compared to the value that you hold at Rs 10 bn.
Renu Baid: And the debt, whatever.
P. Ramakrishnan: Debt goes to the -- it is residing in the SPV. So one of the fundamental attributes to
this transaction or understanding is the vehicle, which the government of Telangana
will propose, the buying vehicle will take over the complete debt as it is, which is today
around Rs 130 million.
Renu Baid: And of this, the L&T support to -- in debt format to the SPV would be how much at
the end of the first half?
P. Ramakrishnan: The entire debt comprises of roughly , an order of magnitude, Rs 80 billion in terms of
medium -term Non-Convertible Debentures and a Commercial Paper portfolio of the
balance, I would say roughly Rs 40 billion to Rs 50 billion adjusted for the movement
that will happen. So , the debt is having a guarantee

of the parent. So, the fact is when
the debt moves , the guarantees all fall off. So , there will be no further recourse after
the transaction is consummated, there will be no recourse on L&T as far as Hyderabad
Metro operations is concerned.
Renu Baid: So technically, we will be completely out of the asset by the end of fiscal '26 once the
transaction is closed.
P. Ramakrishnan: That's the target.
Renu Baid: And will we continue to have any O&M responsibility with the asset or be completely
out?
P. Ramakrishnan: The Metro itself has an O&M contractor, which is doing the operation & maintenance.
The understanding is we will have no further obligation , right or any sort of indemnity
post the transaction.
Moderator: The next question is from the line of Priyankar Biswas from JM Financial.

 Priyankar Biswas: One very quick question from my side. Earlier, like 5, 6 years back, we used to talk
about landing platform docks as an opportunity in defence . So recently, there has been
some approvals and movement regarding that. So , are we considering LPDs in our
prospects? I mean, this year or maybe the next? So that's the first.
P. Ramakrishnan: It does not feature in the current prospects. But once that opportunity comes where it
is in a position to get bid, it will get added.
Priyankar Biswas: Okay. So , it's like a potential that may be there potentially, let's say, next year or the
year after that somewhere whenever it comes up. So that would be...
P. Ramakrishnan: Whenever it comes. At this juncture, don't ask me timelines because it is not featured
in our current order prospects.
Priyankar Biswas: Sir, one more question that I have because there was a mention of green ammonia
project in Kandla. So are there more such projects that are planned by L&T? And if
so, how should we look at the capex that may be required? And what is the business
economics for it?
P. Ramakrishnan: So the you're referring to the joint development opportunity for the green ammonia
project with ITOCHU, right? Are you referring to that? That's the one we had actually
put it in the public domain. Sir, would you like to comment on that?
Subramanian Sarma: Yes, there's no problem. So that project is under evaluation, and we will go through
the process. And once we work out the economics, and then we'll have discussion with
ITOCHU. And I think for all these development projects, we have a very standard
financ ial metrics in terms of return on i nvestment, IRR, project IRR, etc... So we will
not pursue any of those projects unless it meets those criteria.
I think that applies to ITOCHU and any other future potential opportunities. I mean

there are a few which we are discussing with domestic and international customers . A bit too early to sort of specify those prospects.
But as a principle, I think the process will be the same. We'll engage with customers. We'll have an MOU, and we'll go through the process, and we'll evaluate. And if they meet the IRR criteria and the risk criteria, then we'll go ahead. Otherwise, we will not.
Priyankar Biswas: Okay, sir. And just one more thing. You had already provided a detailed answer regarding Middle East oil in earlier questions. My question right now is more on the Middle East renewables and, let's say, T&D for that matter. Can you shed some light like what sort of, let's say, market shares we have in, let's say, the GCC renewable

 space and T&D? And how do you see the order prospects similarly like for this, let's say, 2, 3 years down the line?
Subramanian Sarma: We are one of the largest EPC contractors in the Renewable sector. I think most of the projects that we have in the portfolio are very iconic and are being done for very large customers like ACWA Power and Masdar in UAE . Our performance in these projects have been pretty good. Also, w e have executed some of the projects ahead of time and the customer is extremely happy and they want to engage with us more . And I'm quite optimistic again on this sector as well.
P. Ramakrishnan: In fact, the success of our renewables opportunity starting with KSA, we are extending this relationship across as we move to other geographies like Tashkent.
Subramanian Sarma: Yes, we have gone to Tashkent also. So I think currently, it is a good story, yes.
Priyankar Biswas: Sir, can you give some light on like gigawatt size opportunities? Like what is the size of the KSA market? What do you...
Subramanian Sarma: They have about 18 gigawatts and maybe there is another 15 gigawatt of opportunities in the next 2 years.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to Mr. P. Ramakrishnan for closing comments.
P. Ramakrishnan: Okay. So thank you, everyone, for taking this call. It was my pleasure to interact with all of you. Good luck and wishing you all the very best. Thank you.
Moderator: Thank you. On behalf of Larsen and Toubro, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

"Larsen & Toubro Limited
Q3 FY '26 Earnings Conference Call "
January 28, 202 6

MANAGEMENT : Mr. Subramanian Sarma – Deputy Managing Director and President , Larsen & Toubro Limited

Mr. P. Ramakrishnan – Head, Investor Relations, Larsen & Toubro Limited

Sensitivity : This Document is Classified as "LNT Internal Use".

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call hosted by Larsen & Toubro. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar and then zero on your touchtone phone.

I now hand the conference over to Mr. P. Ramakrishnan from Larsen & Toubro. Thank you, and over to you, Mr. Ramakrishnan.

P. Ramakrishnan: Thank you, Dorvin. Good evening, ladies and gentlemen. A warm welcome to all of you to the Q3 / 9M FY '26 Earnings Call of Larsen & Toubro. The earnings presentation was uploaded on to the stock exchange and on our website at 6:45 p.m. I hope you have had a chance to take a quick look at the numbers and the presentation details as well.

I will first walk you through the important highlights for Q3 FY '26 in the next 20 to 25 minutes or so, post which we will take questions. Please note that when the Q&A session starts, I will also have with me our Deputy Managing Director and President, M r. Subramanian Sarma.

Before I begin the overview, the disclaimer from our end. The presentation, which we have uploaded on the stock exchange and our website today, including the discussions we may have on the call today, may contain certain forward -looking statements concerni ng L&T's business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in s uch forward -looking statements.

I would request you to go through the detailed disclaimer, which is available in Slide 2 of our earnings presentation that we have uploaded a while ago. I will start with a brief overview on the economic conditions in India and the Middle East, which are key markets for the company, especially for its Projects and Manufacturing businesses.

The Indian economy continues to demonstrate resilience, supported by steady growth conditions and easing inflationary pressures. The Q2 GDP growth printed at 8.2%, a 6 -quarter high and underpinned by robust performance in the Projects and Manufacturing and the Services sectors. The full year real GDP growth for FY '26 is projected at 7.3%. The inflation dynamics have also improved with CPI easing materially. The RBI now anticipates CPI inflation at 2.9% for Q4 FY '26. The continued emphasis on capital outl ays remains likely with indications of calibrated reallocations towards strategic sectors such as defense. Additional funding support for urban redevelopment and infrastructure modernization is anticipated, reflecting the government's broader focus on stre ngthening urban capacity and service delivery. Private capex in India through 2025 remains supported by residential and commercial real estate activity, increasing investments into digital infrastructure, data centers and the power sector that including renewables as well. Semiconductors are emerging as a new age capex theme, supported by policy initiatives a nd announced project pipelines.

Within Manufacturing, capex continues in sectors such as cement, broadly reflecting domestic demand and capacity requirements. Capex in iron and steel and other base metals continues to be influenced by capacity expansion and modernization plans and a supportive medium -term demand outlook.

The global economy is entering calendar 2026 with growth expected to remain modest at roughly the 3% range. The United States is anticipated to continue outperforming other major advanced economies, su

pported by relatively accommodative financial condition s, though some moderation in momentum is likely as fiscal support gradually tapers off. The growth in the Euro Area and Japan is expected to remain measured.

Turning on to the GCC region. The growth is expected to remain relative buoyant in 2026 with real GDP expansion projected in the 4% to 4.5% range. In Saudi Arabia and the UAE, capital deployment remains oriented towards priority transformation agendas, inc luding large -scale investments in digital and AI -enabling infrastructures such as data centers and cloud capacity alongside ongoing urban development and infrastructure initiatives. The region is also seeing sustained investment momentum in gas and renewa ble energy projects, reflecting long -term energy diversification goals.

Having covered the macro landscape, let me now share a few important highlights for t he quarter with respect to L&T.

1) L&T Realty. The Parent Larsen & Toubro has initiated a transfer of its Realty business undertaking to L&T Realty Properties Limited, a wholly owned subsidiary through a slump -sale under a Scheme of Arrangement s ubject to regulatory approvals. This marks the start of a phased consolidation of all real estate assets into a unified platform, positioning L&T Realty for greater scale, agility and financial strength to capitalize on India's real estate growth.

2) The Precision Engineering & Systems business of the company entered a strategic partnership with General Atomics Aeronautical Systems to manufacture Medium Altitude Long Endurance, Remotely Piloted Aircraft Systems, RPAS in India. Under this partnership, L&T will participate in the upcoming 87 MALE RPAS program of the Ministry of Defense, where L&T will be th e prime bidder and General Atomics, the technology partner.

3) The Heavy Engineering business of the company has signed a Memorandum of Understanding with the U.S. -based nuclear energy solutions provider, Holtec International Asia to offer design and build solutions for Heat Transfer Equipment. This collaboration is intended to provide advanced solutions for nuclear and thermal power plants worldwide, with a particular emphasis on heat transfer technologies for conventional power plant islands and balance of plant systems.

4) The data center business has announced the rebranding of its business as Larsen & Toubro - Vyoma. The brand will spearhead L&T's expansion into hyperscale data centers across key

Indian metros, including Mumbai, Chennai and Bangalore with facilities designed to support high -performance computing and advanced data storage requirements.

5) The company has earned the coveted honor of being the only Indian Corporate featured among the top 200 environmental firms globally in the latest list of Top Environmental Firms published by the New York -based Engineering News -Record.

6) The company's MSCI ESG ratings was upgraded from BBB to A in November 2025.

I will now cover the various financial performance parameters for Q3 FY '26. We witnessed our highest ever quarterly order inflows in Q3 FY '26 of Rs 1,356 billion, recording a 17% growth year-on-year, led by a strong ordering momentum witnessed across b oth India and overseas markets. Out of the total order inflows in Q3 that I just now stated of Rs 1,356 billion, the Projects & Manufacturing order inflow constituted Rs 1,164 billion, up by 18% on a Y -on-Y basis. Of this , Rs 1,164 billion of order inflows o f the Projects & Manufacturing segment, the domestic orders were at Rs 620 billion, up 30% and international orders constituted balance Rs 544 billion, up 7%.
The group revenues grew 10% Y -on-Y, led by steady progress across most

of the businesses.
The Project execution levels remain broadly in line with expectations, barring a few sector - specific challenges. The Projects & Manufacturing portfolio margin improved by 50 basis points y-on-y to 8.1%. As of December 2025, the Net Working Capital to Revenue ratio improved to 8.2%, reflecting an improvement of 450 basis points on a Y -on-Y basis.
Our Recurring PAT at Rs 44 billion reported a strong growth of 31% Y -on-Y. The reported PAT for Q3 FY '26 was at Rs 32 billion, down by 4% Y -o-Y, owing to a onetime impact of Rs 11.9 billion arising from the new Labour Codes regulation . Our Return on Equity as on 31st December 2025 is at 16.5% and is up 40 basis points Y -o-Y. The Return on Equity includes an impact of almost 110 basis points arising from this one -time provision on account of Labour Codes.
Now I move on to the individual performance parameters. During the quarter, our group order inflows stood at Rs 1.36 trillion, registering a Y -on-Y growth of 17%, driven by the sustained traction across our key businesses. Within this, the Projects & Manufacturing portfolio crossed the Rs 1 trillion order inflow marked for the first time, with order inflows of Rs 1.16 trillion, up 18% Y -o-Y, underscoring a broad -based demand environment across both domestic and international markets. The growth in the P&M portfolio was driven primarily by strong domestic inflows, which grew 30%, as I said earlier, and international i nflows up 7% Y -o-Y. The increase in domestic order inflows was led by Hydrocarbon, CarbonLite Solutions and the Buildings & Factories businesses. The growth in international orders was supported by the Renewables and Power Transmission & Distribution subsegment. During the cu rrent quarter, international orders accounted for 47% of the Projects & Manufacturing portfolio compared to 52% in the corresponding quarter of the previous year.

Now moving on to the prospects pipeline. Our prospects pipeline is at Rs 5.92 trillion for the near term vis -a-vis Rs 5.51 trillion at the same time last year, representing an increase of 7% on a Y-on-Y basis. The increase in the prospects pipeline is mainly led by CarbonLite Solutions and the Precision En gineering & Systems businesses. The broad breakup of the overall prospects pipeline for the near term is as follows:
• Infrastructure, Rs 4.02 trillion, which is almost in line with the previous year number of Rs 4 trillion.
• Hydrocarbon segment, Rs 1.26 trillion vis -a-vis INR1.44 trillion last year.
• CarbonLite Solutions, Rs 0.40 trillion vis -a-vis less than Rs 0.01 trillion last year.
• The Hi -Tech Manufacturing segment and Others is at Rs 0.42 trillion as compared to Rs 0.07 trillion last year.
Moving on to the Order Book. The order book is at Rs 7.33 trillion as on December '25 and up 30% as compared to December '24. In terms of composition, approximately 92% of the total order book is from the Infrastructure and the Energy segments. While in terms of geographic mix, 51% of the order book is from domestic market and 49% relates to international jobs.
The breakdown of the domestic order book of Rs 3.76 trillion as of December ' 25 comprises
• Central Government jobs share being 12% ,
• State Government and Local Authority share at 22%,
• PSU or State-Owned Corporations at 30% and
• Private Sector at 36%.
It is worth mentioning here that the private sector share has risen meaningfully from 21% in March 2025 to 36% in December 2025, supported by strong traction in the thermal power sector, storage systems, residential and commercial real estate and emerging opportunities for building capacities in ferrous and non -ferrous space.
Out of the international order book of Rs 3.57 trillion, around 75% is from the Middle E

ast. With
respect to additional details on our order book, around 10% of the total order book is funded by bilateral and multilateral agencies. In addition, as of December 2025, slow -moving orders constitute ro ughly 3% of the overall order book, while Rs 10 billion worth of orders were deleted during the quarter. Further details are available in the accompanying presentation slides.
Coming to revenues. Our group revenues for Q3 FY '26 stood at Rs 714 billion, registering a Y -on-Y growth of 10% with international revenues constituting 54% of the total group revenues during the quarter. The growth in the Hi -Tech Manufacturing, Energy projects and the IT&TS businesses drove the overall revenue growth. The revenues from the Projects & Manufacturing business for Q3 FY '26 is Rs 523 billion, up 11% over the corresponding quarter of the previous year. Moving on to EBITDA margin. Our group le vel EBITDA margin, excluding other income for Q3 FY'26 is 10.4% as compared to 9.7% in Q3 of the previous year. The improvement in EBITDA margin is primarily driven by operational efficiencies across businesses. The EBITDA margin in the Projects & Manufact uring business portfolio for Q3 FY '26 is at 8.1% and shown

an improvement almost by 50 basis points from 7.6% in Q3 of the previous year. This progress is in line with our assessment at the start of the financial year. The details will be covered when I elaborate on the performance of each of the segments. Our recurring PAT for Q3 FY'26 at Rs 44 billion was up by 31% on a Y -on-Y basis. The increase in recurring PAT is reflective of improved activity levels, operational efficiencies and efficient treasury management. Reported PAT for Q3 FY'26 is at Rs 32 billion, do wn by 4% over Q3 of last year due to this onetime material increase in provision for employee benefits on account of the new Labour Codes legislation. The group performance P&L construct, along with the reasons for major variances under the respective func tion debt is provided in the presentation.
Coming on to working capital. Our NWC to Sales ratio has improved from 12.7% in December '24 to 8.2% in December '25, mainly due to an improvement in the Gross Working Capital to Sales backed by strong customer collections during the last 12 months. Our group level collections, excluding the Financial Services segment for Q3 FY '26 is Rs 642 billion vis -a-vis Rs 591 billion in Q3 of the previous year. With continued focus on customer collections, our Cash Flow from Operations, excluding Financial Services in Q3 FY '26 was at Rs 79 billion as compared to Rs 21 billion in Q3 of the previous year. Our group cash flows, excluding Financial Services, has been given in the annexures alongside the reported cash flows for the entire group to enhance the clarity on the cash flow movements.
Finally, trailing 12 -month Return on Equity for Q3 FY '26 is 16.5% as compared to 16.1% in Q3 of the previous year, an improvement of 40 basis points. The trailing 12 -month ROE, excluding the impact of this onetime Labour Codes provision stood at 17.6%, broadly in line with the target of 18% t hat we have set ourselves to during this last year, that is FY '26 for the Lakshya plan.
Very briefly, I will now comment on the performance of each business segment before we give our final comments on our outlook for FY '26.
We start with the Infrastructure segment. The Infrastructure order inflow grew 26% in Q3 FY '26 on a Y -on-Y basis, driven by strong domestic private sector demand, spanning residential and commercial buildings, semiconductor fab plants, data centers, minerals and metals, solar PV plants and transmission lines. These together account for nearly 55% of the domestic orders for the q

uarter. The order book of this segment is at Rs 4.24 trillion as of December '25. The book bill for Infra is around 26 months. Like I mentioned earlier, our order prospects pipeline for Infra for the near term is Rs 4.02 trillion, similar levels as compared -similar levels as the same of December '24. This Infra prospects pipeline of Rs 4.02 trillion comprises of domestic prospects of Rs 2.61 trillion and international prospects of Rs 1.41 trillion. The subsegment breakup of the total order prospects in Infra is -- comprises of Transportation Infra share at 19%, Heavy Civil Infrastructur e share of 19%, Water & Effluent Treatment share of 18%, Buildings & Factories at 15%; Power Transmission & Distribution, 11%; Renewables, 9%; and Minerals & Metals, 9%.
The revenue for the quarter for the Infrastructure segment registered a modest growth of 5% on a Y-o-Y basis. The domestic market saw subdued progress due to slowdown mainly in the Water

& Efflue nt Treatment projects business. However, the execution momentum remains strong in the international portfolio. Our EBITDA margin in this segment was at 6.1% in Q3 FY '26 as compared to 5.5% in Q3 FY '25, with the uptick largely driven by stages of completion across projects.

Moving on to the next segment that is Energy Projects, which primarily comprises of Hydrocarbon and the CarbonLite Solutions business. The order inflows in this segment were robust at Rs 460 billion in Q3 FY '26 compared to Rs 388 billion in Q3 of the previous year, supported by ultra -mega orders across both Hydroc arbon and CarbonLite Solutions. During the quarter, the Hydrocarbons Offshore Wind business secured an ultra -mega order to supply offshore HVDC converter stations to a leading European renewable energy operator. In the CarbonLite Solutions business, we have received letter of award / intent for an ultra -mega order from a major Indian p rivate sector utility operator. The order book of this Energy segment is at Rs 2.48 trillion as of December '25, with the Hydrocarbon order book at Rs 1.83 trillion and the CarbonLite Solutions order book at Rs 0.65 trillion. We have an order prospects pipeline of Rs 1.66 trillion for this Energy segment for the near term, comprising of Hydrocarbon prospects of Rs 1.26 trillion and CarbonLite Solutions prospects of Rs 0.40 trillion. The CarbonLite Solutions order prospects are largely domestic, whereas the Hydrocarbon prospects are largely from outside of India. The Q3 FY '26 for the Energy segment stood at Rs 127 billion, reflecting a steady 15% growth a nd underscoring execution progress on a larger order book. The Energy segment margin in Q3 FY'26 is at 5.9% as compared to 8.3% in Q3 of last year. The margin decline in the Hydrocarbons business is primarily due to cost overruns in a few competitively priced domes tic and international projects. As highlighted in previous earnings calls, these projects are in their terminate execution phase and are expected to conclude over the next few quarters, during which margins will remain soft. This is already factor ed into our PM margin guidance for FY '26. The CarbonLite Solutions margin is reflective of a significant share of revenues from jobs, which are yet to cross the margin recognition threshold.

Moving on to the Hi -Tech Manufacturing segment, comprising of the Precision Engineering & Systems and Heavy Engineering businesses. The order inflows in Heavy Engineering moderated due to project deferrals. In the PES business, the decline in order inflows was primarily on account of a high base in the previous year. The order book of this segment is Rs 379 billion as of December '25, with the PES order book at Rs 315 billion and Heavy Engineering order book at Rs 63 billion. Our order prospects pipelin

e f or the near term in this segment is Rs 237 billion,
comprising of Rs 190 billion of Precision Engineering prospects and the remaining Rs 46 billion from Heavy Engineering business. The segment revenue at approx Rs 33 billion registered a strong growth of 34% Y -on-Y, driven by execution ramp -up in the P recision Engineering & Systems business. During the quarter, favorable job mix and operational efficiencies in the Heavy Engineering aided segment margin improvement.

Moving on to the next segment, which is the IT and the Technology Services segment, which comprises largely of the two listed entities LTIMindtree and LTTS and as well as our newly incubated businesses of digital platforms, data centers and semiconductor d esign. The Revenues for this segment is Rs 135 billion in Q3 FY '26, registering a growth of 12% on a Y -on-Y basis. Operational efficiencies and the forex tailwinds drives the segment margin improvement. I will

not dwell too much on this segment as both the companies in the segment are listed subsidiaries and the detailed fact sheets are already available in the public domain.

We move on to L&T Finance Limited, which is forming part of the Financial Services segment. Here again, the detailed results are already available in the public domain, but very briefly - The Q3 witnessed the highest ever quarterly retail disbursement and improved collection efficienc y and as well as asset quality. The Financial Services business has achieved 98% retailization of its loan book in December 2025. The Return on Assets remained healthy at 2.31% for Q3 FY '26 and adequate capital is available in the balance sheet to pursue growth in the medium term.

Moving on to the Development Projects segment. This segment includes the L&T Hyderabad Metro and the Power Development business comprising of the 1,400 -megawatt coal -based power plant at Nabha in Punjab. Within L&T Hyderabad Metro, the higher average fares following the May '25 fare hike contributed to the revenue growth and margin improvement with the average fare per passenger rising from Rs 38 in Q3 FY '25 to Rs 47 in Q3 FY '26. The average daily ridership during the quarter stood at 4.14 lakh passenger s as compared to 4.45 lakh passengers in the same period of last year. As a result of this, L&T Hyderabad Metro reported a net loss of Rs 1.85 billion in Q3 FY '26 as compared to a net loss of Rs 2.03 billion in Q3 of the previous year. As mentioned in the previous earnings call, L&T has reached an in -principle understanding with the Government of Telangana for the acquisition of its entir e stake in L&T Hyderabad Metro. Under the proposed terms, the Government of Telangana will pay Rs 2,000 crores towards L &T's equity investment and assume the Metro's entire debt of around Rs 13,000 crores. The decline in revenues of Nabha Power was mainly on account of lower power demand, while the margin improved due to cost efficiencies.

I move on to the last segment, which is Others. This segment largely comprises Realty, Industrial Valves , Construction Equipment and Mining Machinery and Rubber Processing Machinery. The segment witnessed robust order inflows during the quarter with L&T Realty recording its highest ever presales in a quarter of approx Rs 50 billion. During this quarter, L&T Realty had a successful launch of its L&T Green Reserve Noida project, which recorded a presales of more than Rs 40 billion in its first week of launch . The segment revenue at Rs 25.9 billion recorded a 55% Y -on-Y growth, primarily driven by higher handover of residential units in the Realty business, which also led to segment margin improvement.

Before we conclude, let me cover the guidance on the various parameters for FY '26 :

On order inflows - Our nine months order inflow has seen a strong growth of 30% Y -on-Y based on a strong capex momentum. Basis the 9 -month performance and the healthy prospects pipeline for the near term, we will be exceeding the 10% order inflow guidance for FY '26.

On Revenue - The Group Revenue grew by 12% in 9 -month FY '26 and is broadly in line with our estimates. We expect the customary ramp -up in project execution during Q4 and are reasonably confident of achieving our full year revenue growth guidance of 15%.

On Margins - Our Projects & Manufacturing EBITDA at 7.9% for 9 months of the current year is in line with the target that we have set ourselves at 8.5% for the full year FY '26.

Lastly, on Working Capital - We had earlier guided the Net Working Capital to Revenue of 12% by March '26. However, with stronger collection intensity and improved contractual terms, our Net Working Capital to Revenue has improved sharply to 8.2% as of December '25, and we expect to close the year with a revised target of around 10%.

With this, I complete. Now we can take Q&A. I also -- as I indicated to you earlier, our Deputy Managing Director and President, Mr. Subramanian Sarma, will be also there in the call. It would be good that if you can put all the strategic questions before this call and take advantage of his presence. Any bookkeeping questions, you can maybe take it towards the later part or you can connect independently with me or the IR team. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on another stellar quarter. My first question is on the Kuwait. At the beginning of the fiscal, we were very, very positive on the Kuwait prospect side. We understand that the few orders have got canceled. The question is, are you still positive for the next fiscal for Kuwait or coming quarters? The second related question is that even if this project comes back, do you think this will come at a much lower scope and size?

Subramanian Sarma: Okay. This is Sarma here. First of all, I think as we clarified in our earlier communication, the Kuwait orders were not part of our order book. So I thought let me clarify that first. So, nothing changes in terms of what is there for our Quarter 4 order inflow prospects, pipeline, et c. Having said that, yes, it is a bit of a disappointment that some of those projects where we had participated in the competitive bidding and were L1 have been sort of canceled for a simple reason that the budget they had for each of these projects, we always knew that , when we are bidding th at we are far above the budget. Something has gone wrong in their system, and they were trying to get the additional funds, but I think that was becoming difficult for them. So they have canceled it. But these projects cannot be canceled because these are strategically important projects. These are very important for maintaining their production as wel l as for meeting their targets. So they will come back. They have already started working on it. There will be some minor tweaks, but this will come back. And I think we are very positive th at all of these tenders will be out by this calendar year, and they'll get awarded this year.

And since we have demonstrated our competitiveness in the previous bidding, I am positive that we will maintain our competitiveness in the forthcoming bid also. So , nothing really lost, except that we have lost some time.

Mohit Kumar: Understood. My second question is on the Revenue Growth guidance. I think at the beginning of the year, we had given 15% revenue gro

wth guidance. And given that the 9 -month our revenue
growth is slightly around 12%. Are you still holding on the 15% revenue growth guidance?
P. Ramakrishnan: So Mohit, I think while I was concluding my presentation, I gave an update on the Revenue guidance itself. Q4 has always been the most busiest quarter for the Projects & Manufacturing business portfolio. So we continue to retain our guidance of 15% for the full year, and we are reasonably confident that Q4, the way we have planned, the e xecution momentum will be at a

fast forward pace, both for the Infrastructure -- for all the segments in the Projects & Manufacturing space. That is baked in.
Moderator: Our next question comes from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: Exceptionally strong performance on Order Inflows and the Working Capital improvement is also quite remarkable. My first question is : With oil hovering around $60, $65, what is your outlook on Middle East, if oil prices remain at these levels? If it persists at this level, do you foresee any prospects getting pushed out?
And also the second part of the question is, if you can comment on the execution that we have seen in the quarter, specifically in Hydrocarbons with such a large order backlog, maybe 11% for the quarter appeared a bit low. I know you shouldn't look at quar terly numbers, but still it appeared a bit low.
And, how long can the margin pressure in Hydrocarbon specifically , persist? While you have called out that it will be weak in second half of the fiscal, but how long can this persist based on your evaluation of the Hydrocarbon order backlog?
Subramanian Sarma: Sarma here again. I think -- yes, I was talking about oil prices globally, whatever is happening, I think it's good that oil prices have held their price range around $60, $65, which is a positive development in my view. And from every conversation I'm hav ing with the Senior Executives of all these National Oil Companies , I think everyone believes that the oil will be priced range bound in that $60 to $65 and as such, the capital allocation for the projects, which are of interest to us wi ll remain unaffected. Because if at all there is a drop in oil prices, it will have an impact on some non -essential projects. But our projects which are important for maintaining production and enhancing the production, they are pretty much be well on track. So, I don't see any impact of the oil prices. I mean, as such, it is stable. And even if there is a slight drop, I don't expect any significant impact on the pipeline of opportunities. That is one part.
Second thing is that margins, yes, I think , like we have said, it's a portfolio of projects. Sometimes for some projects it’s a pacing issue s while some projects sometimes have some challenges. I expect Hydrocarbon business to come back on full strength maybe 2 or 3 quarters from now.
P. Ramakrishnan: So Sumit, just to add, I did emphasize that the margin guidance of 8.5% remains the effort for taking into account that we have had a good 9 months despite the fact of Hydrocarbon margins having moved southward s this year. As I stated earlier, as Mr. Sarma also reiterated that we expect some of these, I would say, stressed projects to get closed in the near term and margin should move northward hopefully after some quarters.
Sumit Kishore: Yes, that was very clear. My second question is in relation to the subdued performance in the domestic Infra segment in terms of growth, mainly dragged down by Water, as you have pointed out. So is there any clarity on what is happening in water? How long can this drag sort of continue for the domestic Infra business on growth? The next DFC is not going to get awarded anytime

soon. The next high -speed rail is not going to come anytime soon. So what is the outlook for the domestic Infra business?
P. Ramakrishnan: So I did mention, Sumit, that the order prospects pipeline as we typically talk about is only for the balance period of the year. So as it stands now, the prospects pipeline for Infra, which is for another 3 or 4 months, still is at the same level. And the more important thing, it comprises of domestic prospects of Rs 2.61 trillion . And I reiterate , the important thing in the prospects pipeline, especially for domestic is concerned, is that we are now slowly looking at a higher share of Private Sector prospects. Of course, there are certain large projects of the government, which possibly should get announced maybe after the budget session is all done. But we are

fairly certain that , this year has been a good mix of both Public and Private order inflow in the domestic side that has helped us, and that is something we believe should continue into the near term.

Coming to the first part of your question . As far as Water is concerned, yes, certain projects which have been funded under the central plan s, some of these projects have faced headwin ds in terms of fund allocation. And to that extent, I would say we have also calibrated our execution momentum in this segment to the extent of funds that we receive. Had this fund allocation been normalized, had we witnessed the growth of revenue in the Infra segment would have been mor e.

Moderator: Our next question comes from the line of Amit Anwani from PL Capital.

Amit Anwani: Again, harping on the water business. So what was the kind of growth in Infra , as we can understand it was 5% for Q3 , because of the impact of water. If we adjust that, what kind of growth was there in the ex of water business in Infra for 9M to 9M?

And I can see there is still Water opportunity you have highlighted in the prospects for Infra, roughly about 18%, which is 65,000 to 70,000 more. So , are we looking for more conversion and all these orders, which we are including in the prospects, how the terms are different than what currently w e are executing and calibrating?

P. Ramakrishnan: So, I think you had two questions, Amit. So let me put it , from a statistics perspective that suppose if the water segment was not there as part of the Infrastructure portfolio, then the revenue growth that we have demonstrated at 5% on a growth would have been actually a little more higher to almost 8% to 9% gro wth, because of the projects not getting funded, so the execution momentum has come down and because of that, the growth in revenue has been modest at the overall segment level. As far as the order prospects is concerned, I did talk about Rs 720 billion of order prospects, which is there for the near term. Depending on the type of projects and the underlying funding, we will be bidding according to what we feel should be the right way. But due care is being taken to ensure that we don't get into blocked into working capital because of absence of funding. And also one more point I wish to add. Internally also, we have split the Water business into Domestic and International. And we are now putting a lot more focus on the desal ination plants and water transmission projects that are coming up in the Middle East largely. And we do believe that in the near term, some amount of international Water projects also would come up as an ordering opportunity for us.

Amit Anwani: Sir, on P&M margin, which you guided for 8.5% and you did highlight it that we have already factored in the cost pressure for a few legacy orders. So is it the correct understanding that we can be eyeing f

or -- once these orders complete, as you said in next 3, 4 quarters, we'll be eyeing for a meaningful margin improvement since these orders would be out and new orders getting executed. So , some color on medium -term margin since we saw some improvement this quarter. But since legacy orders wil l be out, what is the things lying ahead in terms of margin?

P. Ramakrishnan: So Amit, I think it has been always our practice that we give guidance for all the major parameters for the year, okay? And Mr. Sarma alluded to the fact that the Hydrocarbon margins being subdued in the current year is because of 2-3 projects, both domestic and international. I also wish to assure you that these projects are at the final stages of completion and hopefully, the margin uptick would be seen sometime maybe after 2 or 3 quarters into the next year. But how much of that will add up to the margin , kindly wait until we close FY '26 and tak e the assessment , because the budgeting for the company will start in the next month or so . We should be in a better position to give you a guidance for FY '27 and beyond sometime in May.

Amit Anwani: Right, sir. And lastly, sir, on the media article of Chinese player probably getting allowed for the BTG orders. Any assessment you guys have done in terms of the impact it could have , if this is really happening?

Subramanian Sarma: No, I think it is a little bit misplaced concern , because , as we understand from the policymakers, the allowance of Chinese players is not for the full equipment. It is only for certain components. In fact, we had also done that advocacy to allow us to import some of the special alloys which are required for the thermal power plant, which was not earlier allowed. So, I think , that is now permitted. So in reality, I think it does not affect us. In fact, it still protects us, and we see a g ood positive opportunity unfolding in the next subsequent quarters with the thermal power plant, with BTG being manufactured in India.

Moderator: Our next question comes from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, just wanted to understand about the TenneT order. How many packages have you already recorded until now? And how should we think about the opportunity going forward?

P. Ramakrishnan: Can you repeat that question, Aditya, please?

Aditya Bhartia: Sir, about the TenneT order, I think there are 6 packages of that. Just wanted to understand how many packages would we have recorded until now? And is it fair to assume that all 6 packages would be coming to us as a replacement contractor? Or could others be also involved in this?
Subramanian Sarma: Sarma here again . We have a framework agreement. And like you said correctly, we have 12 GW, that means 6 packages of 2 GW each. Currently, what we have included in our order inflow and which will then ge nerate revenue is two of those. And then , we are in discussion for the third and fourth with the customers, and we'll have to see when it happens, when they call up, then we will advise you, and we will include that in the order flow. So as and when they get called out, we will include that in our order inflow . But we have a potential for all 6, yes.

Aditya Bhartia: Understood, sir. So , does that mean , it is almost kind of confirmed that we'll be getting the third or fourth packages ? Or is there some negotiation involved? H ow does it work?
Subramanian Sarma: No, it means that we have been selected for the whole program , right ? But then, timing -wise, the customer has to decide when he wants to call up which project. So , we'll have to wait. But I think when they call up, then we'll have a secured position. But until he calls out, as a prudent policy, we are not counting it.
Aditya Bhartia: Understood, sir.

And my second question is on the margin erosion that we have seen on the Hydrocarbon side. You mentioned that there are certain orders wherein we are seeing cost overruns. Just want to understand roughly when would we have won these orders ? Is it that competitive intensity was very different at that time and it has subsequently improved? So how are you seeing the whole scenario out there?
Subramanian Sarma: Yes, yes. I mean, see, most of the projects which are part of the legacy projects in the portfolio have been secured during the COVID time or post -COVID time. And then we had a huge Ukraine war issue and then we had a bunching effect and unfortunately, many things kind of coincided. We are getting through those as one by one, we are handing them over. Like I said before, in 2-3 quarters, we should be out of it.
Aditya Bhartia: Understood, sir. And just one last question. We are now getting some orders like metro contract that we announced today. Some of the other orders are also of really large size. So is it fair to assume that execution time lines going forward would be longer than what we have seen historically?
Subramanian Sarma: We cannot generalize this because every project will have its own time line. And I mean, they are in the range. I think it depends upon the complexity of the project. Some of them have too much of tunneling and boring and it will be longer time. It also depends on how much the land has been already acquired. So there are various parameters to look at. I don't think it will be appropriate to generalize, but they are all in the typical range.
P. Ramakrishnan: Just to add to what Sarma ji just now spoke, I did comment that the book -bill Infra order book is 26 months and t hat includes today's press release of an order that was secured in the previous quarters . The average order book execution period for Hydrocarbons is around 29 months. For the CarbonLite Solutions, it is around 48 months.
Moderator: Our next question comes from the line of Mohit Pandey from Citi.
Mohit Pandey: My question is on margins . For the international portion of E&C , in light of the commodity price movement , I understand steel is the most important commodity for us, which has not seen as much price movement , but for the other commodities, how should one think on the impact on the fixed price international orders that we have on the backlog?
Subramanian Sarma: Generally speaking, like you rightly said, I think our biggest exposure is on steel in terms of commodity, mostly on the international project s. And Steel, fortunately, has been pretty stable. There has not been much volatility , and if at all, there has been a little bit of a downward pressure,

not upward pressure. And our risk is generally between the time we submit the bid till award and that is the time period when we are exposed a little bit . Otherwise, once we secure the job, we try to hedge the risk one way or the other , either by placing the order quickly or doing some pre-engineering and placing the orders , or having some Prebid agreements. So, I'm not expecting major exposure to the commodities, except copper and nickel has been a little bit volatile. But then again, we'll have a policy of hedging as quickly as possible. And we also allow some contingency in our estimates . We know how the fluctuation is and unless there is an event like the Ukraine - Russia war , I think we will be able to manage the rest of the volatility .

Mohit Pandey: Understood, sir. And specifically on the Renewables business in the Middle East, given silver tends to be an important part there, how to think about that ?

Subramanian Sarma: In Renewable s business contracts, most of the price risk we have is naturally hedged as we have passed it on to the cu

stomer. We had one issue couple of years back and after that we have taken a very prudent approach. We have passed on that risk to the customer. So , in all our renewable projects, we are subjected to very limited risk in terms of commodity prices.

P. Ramakrishnan: On the execution -- no material price impact? .

Subramanian Sarma: Yes, yes. And also I think some of the large contracts we secured from Qatar and all, has also got designated items, which means that some of the price risk is with the customer. Even in international contracts, we are seeing a trend where the customer is willing to accept some amount of price risk, not for all items, but for certain items which are more volatile.

Mohit Pandey: Understood, sir. Secondly, a clarification on the slow -moving part of the backlog . The 3% slow moving order book that was mentioned was primarily Water projects . Is that understanding right?

P. Ramakrishnan: Yes, it's a combination of largely water projects. Of course, there are certain projects that we secured last year, but the right -of-way, clearances has not been provided. Consequently, they have been classified as slow moving. But I wish to tell you it is not a source of worry at this juncture.

Moderator: Our next question comes from the line of Puneet Gulati from HSBC.

Puneet J. Gulati: Congrats on great numbers. My first question is on the Middle East order book. Assuming oil prices remain where they are, do you foresee a potential for higher project offering into this year, Calendar 20 26 and Fiscal 2027? Also, how do you think about your market share in Middle East? Do you see more room for it to grow from where you've already reached?

Subramanian Sarma: Generally speaking, I think the overall atmosphere is quite positive. There is a strong pipeline of opportunities in various countries within the Middle East, be it Saudi, Qatar, UAE and also in Kuwait - which as I spoke earlier, will come back again. So yes, we are seeing a good momentum ther e, and we have a good presence.

And I think in terms of market share, we ourselves are a bit selective depending upon the type of project and our competitiveness, and the terms of the contract. Overall, we are maintaining a decent share.

Puneet J. Gulati: Okay. And on the Private sector orders, which have increased, do you foresee higher margins and better working capital control there?

Subramanian Sarma: Generally, I think, the P rivate sector projects , in comparison to the P ublic sector are more favorable to Working Capital as payment terms are always a little bit more favorable. There's more flexibility when we are negotiating.

P. Ramakrishnan: Short -term milestone event.

Moderator: The next question is from the line of Bharani V. from Avendus Spark.

Bharanidhar V.: Of the domestic Infra prospects pipeline that we mentioned of Rs 2.61 trillion, how much will be Private?

P. Ramakrishnan: Roughly around 35%.

Bharanidhar V.: Okay. Related to domestic prospects and overall Infrastructure prospects, which has been flat, we have been strong in the past in segments like Heavy Civil, of course, Water and even Transportation Infra. But right now, of course, Water is slowing down, and we are not very confident on the domestic prospects on Transp ortation Infra, Heavy Civil, et c.

So, what is our likely outlook for these segments for FY '27? Of course, we will continue to do well on Private and on the Middle East, but just your thoughts on FY '27 outlook and order inflow from our traditional stronghold areas, especially in India?

P. Ramakrishnan: So Bharani, if you track the domestic order inflows in last year , we had a drop . But I think that's the credit of our business model that if in certain segments , for whatever reason there is a pause, the

re are other segments which we cater to which show a revival. Insofar as Infrastructure segment is concerned, domestic, we have seen sustained traction coming bac k in B&F and Minerals & Metals. Of course, in W ater project s, there are prospects that we see , but given the payment terms and the conditions and all, we have been a little more careful in pursuing those

opportunities. But the fact is , there are two other segments which are seeing a clear case of revival. And we feel that this revival will potentially offset some of the muted or subdued opportunities in very large Heavy Civil and Transportation Infra projects. But we do believe that the Government , maybe in the 1st February budget announcement , will kickstart the growth momentum back into taking large projects, and that will hopefully compensate for the subdued business conditions insofar as capex is concerned. But Private sector is showing distinct revival in many sectors, which I also highlighted during my earnings presentation.
Bharanidhar V.: Okay. My second question is on the new ventures like Electroly sers, Data Centers, Batteries and Semiconductors - can you update on what has been the capex so far in each of these segments? And what is the total capex expected and how much we have already done in these sub -verticals?

P. Ramakrishnan: Okay. So as of now, we have almost 32 megawatts of capacity of Data Center, out of which 14 megawatts is up and running, another 18 megawatts will get commissioned by the end of this fiscal year. The total capex investment in the data center is roughly in the range of Rs 1,000 -odd crores . And so far as Semiconductor business is concerned, most of the spend ing that we are doing is still into creating design -led semiconductor chips . We are in touch with multiple customers in this segment . And whatever spend is happening, most of that is getting washed through the P&L itself for Semiconductors. As far as Electrolyzer business is concerned, we have already made a perfect design of a 100% indigenous 4 MW stack. We are now slowly upgrading it to 8 – 10 MW stack. And we do expect a lot of opportunities to come in the near term.
Moderator: The next question is from the line of Atul Tiwari from JPMorgan.
Atul Tiwari: Congrats on great set of numbers. Sir, just one question on Thermal Power opportunity. Over the past 1 year, obviously, your orders have also benefited a lot from thermal power project. So over next 2-3 years, how many GWs in terms of the total market size do you see in the pipeline from States and the Central PSUs and the Private entit ies?
Subramanian Sarma: It's a bit of a pleasant surprise for us also that how the market is developing in the thermal power plant sector . And it's been good news for us, and we booked quite a bit of orders. And going forward, we believe that overall, I think the country will still add about 15 to 20 GW in the next 2 years or so. We still see 4 - 5 GW opportunities for us , as a minimum in the coming years.
Atul Tiwari: Okay, sir. And sir, what proportion of your total order book today will be at fixed price? And what proportion will have price variation clause of some kind or other?
P. Ramakrishnan: The fixed price constitution of our order book is in the range of 55% to 45%. 55% is fixed price, 45% is variable.
Moderator: Our next question is from the line of Priyankar Biswas from JM Financial.
Priyankar Biswas: Congratulations to the team. From what I understand is that you have previously highlighted in the past call as well, that there was a significant drag down due to the monsoon, particularly extending even well into the 3Q as well. So had it been, let's say, a relatively normal monsoon and leaving the Water part aside, what is the amount of work

that you may have lost in the
Domestic space, so in terms of execution?
P. Ramakrishnan: So Priyankar, in fact, in the month of October itself, I did mention that October also could see some amount of slippages given the fact that the monsoon in some parts of the country where we are having projects got extended, correct? I think I clearly rem ember this. But I wish to tell you, in Q4, I don't think there are any climatic events that are disruptive. So consequently, we do see a normative Q4 for almost all the segments, be it domestic or international.
Priyankar Biswas: Sir, what I meant is, had the monsoon drag not been there in Q3, what sort of growth could we have achieved? If you can give some color?

P. Ramakrishnan: It's extremely difficult, Priyankar, to talk about 5% growth that we had in Infra segment for Q3, how much that would be. I don't think it is possible to put a number to that.
Priyankar Biswas: And sir, if I just squeeze one more in. I understand that two packages for offshore HVDC were booked in this quarter. What would be the rough quantum of that?
P. Ramakrishnan: It's ultra -mega. Ultra-mega for us is more than Rs 15,000 crores...

Priyankar Biswas: Okay. And since you have given the prospects as well for Hydrocarbons, for the three and fourth package , which you are in discussions with the customer , is it there in this year's prospect? Or should we think of it more as next year’s prospect?

P. Ramakrishnan: Next year. Nothing in Q4. It can happen earlier next year.

Moderator: Our next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: Sarma sir, I just have two quick questions. First is on the Middle East. We now basically have the best competitive position that we had in the more than 15 -20 years in the Middle East. Do you think next 2 years, cyclically, the competition from Korea and particularly Europe / U.S. can come back? Any color there? And if you can help us understand if in the next 2 years on the P&M , if the share of Middle East is going to be more than 50% over the next 2 years? That's first, sir.

Subramanian Sarma: In terms of competition, we have been operating in the same environment for the last few years , with Chinese, Korean and European players present . Sometimes for smaller contracts, we even have the local firms . I think the landscape in terms of competitiveness is not changing much. On the contrary, I would say that we have es tablished ourselves quite well. The customers prefer us to win the jobs and sometimes even the competitors are coming and seeking partnership with us. I don't think anything has changed much . It will remain pretty much the same. If at all, it will be a little bit positive for us in the next 2 years. What was the second question you said?

Amit Mahawar: The share of core top line P&M...

Subramanian Sarma: I mean it's very difficult to put a number because it depends on what happens in the Middle East in relation to what happens in the domestic. I mean I think the good news is that I think we are growing well, and we'll continue to grow. I think we are very confident about it.

Amit Mahawar: Very fair. And second quick question is, if the current slowdown in some segments in domestic market, particularly Water, Transportation sustain for the next 1-1.5 years, do you see the risk , not exactly like the COVID risk, of time or cost delays, which are difficult to pass on next year. If it improves, I understand, but if it sustains for the next 1 year, we will have to evaluate it sharper, sir? That's it.

Subramanian Sarma: We do not think that Water thing will last that long. I mean this should get resolved. It is a bit unfortunate that there has been some kind of suspension of the work in those areas because of the pa

yment issues. But we are continuously in dialogue with the government. And mayb e within

a quarter, that should get unlocked and things should start moving. I don't think we should draw any different conclusions from that.

Moderator: Our next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: So my first question is, I understand the impact of a depreciating rupee on your services business. How should we understand the impact of a depreciating rupee on your core EPC business in the light of margins? I mean just some broad guidelines would be helpfu l. That's question number one?

P. Ramakrishnan: So should I take it now? Or are you going to put another question also?

Pulkit Patni: Okay. My second question is, similarly, while we understand that you hedge commodities, et c. But even in the commodity market, the movement has been quite drastic in the last couple of months. Are we able to hedge all of that? Or we could expect some bit of negative impact of that in the next couple of quarters or so? Those are the two questions .

P. Ramakrishnan: Okay. So the first part, I will respond. As far as FX risk is concerned, Pulkit, I think you never heard from us that our margins are up or down because of exchange rate variations, because of the very proactive and timely hedge practices that we do to ens ure that project risks are covered at least for financial risk part that is on the exchange rate side . As and when the projects are secured and if the international projects or even domestic projects having a lot of forex outflows, we have a mechanism by which we are able to cover the contracts at the rates at which they were estimated by bidding for the project. And that is how it is being done. In fact, even for the ITTS companies, some part of the exchange rate depreciation has flown into their P&L. But they also have a layered hedging process, and that process has been consistently followed to ensure that the margins are not substantially impacted by adverse exchange rate movements. The same applies for the project part of the business a s well. Now coming to commodity prices, Mr. Sarma did allude to steel and other places, but I think he will respond.

Subramanian Sarma: Yes. like I said, you have to understand that when we are bidding for these jobs, we do quite a substantial amount of pre -bid engineering work. So , we have a reasonable amoun t assessment of the quantities. Like I said, I think our open exposure is only for the bid submission to bid award date, if we are successful. And once we are awarded, then based on the different

commodities and their volatility, we go and hedge those commodities based on the estimates we have already done. Now what c ould be left unhedged portion could be maybe 5%, 10% as part of the engineering development which is not very significant because that gets covered through contingency.
Pulkit Patni: Sure, sir. So , these high commodity prices right now is something that you are not that worried about?
Subramanian Sarma: No.
Moderator: Our next question comes from the line of Aditya Mongia from Kotak.

Aditya Mongia: I limit it to one question. Mr. Sarma, you talked about certain projects that you win are more strategic in nature. If I were to be kind of thinking through your entire overseas ordering that has happened, let's say, in the last 1 year, how much of those w ould you classify into areas which are more strategic for your customers?
I'm just trying to get a sense of what part is then remaining which is at risk in case, crude moves further down. So just trying to get a sense of your exposure to strategically imp

ortant large
projects won during the last 1 y ear on the overseas side?
Subramanian Sarma: Actually, if you look at it, what we have won, most of the international projects are in the Oil and Gas sector , in the Renewable s sector and some of them are now in the critically important Infrastructure, like data centers and things like that. And I would classify all of them as very strategically important. They are not going to be impacted by the oil prices, because Oil and Gas projects, as I said, will continue regardless of where the oil prices are. And Renewable projects and the Data Center projects are deliberate plan of all these countries to gradually invest to prepare themselves for Energy Transition. I think they are also building up their alternative energy portfolio in a very calibrated way.
So, all of them are very strategic. We are not in those non -strategic projects like some highway projects, some motorway projects, some beautiful building s, some aspirational building s or some tourists places under development. We are not involved in any of those.
Moderator: That was the last question, ladies and gentlemen. I would now like to hand the conference over to Mr. P. Ramakrishnan for closing comments. Over to you, sir.
P. Ramakrishnan: Thank you, everyone, for attending this call at a late hour. It was a pleasure to interact with all of you. Good luck and wishing you all the very best. Thank you.
Subramanian Sarma: Thank you.
Moderator: Thank you. On behalf of Larsen & Toubro, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2026

"Larsen & Toubro Limited
Q4 / FY26 Earnings Conference Call"
May 05, 2026

MANAGEMENT : Mr. Subramanian Sarma – Deputy Managing Director and President, Larsen & Toubro Limited

Mr. R. Shankar Raman – President, Whole -Time Director and Chief Financial Officer – Larsen & Toubro Limited

Mr. P. Ramakrishnan – Senior Vice President - Corporate Accounts, Taxation, and Investor Relation s, Larsen & Toubro Limited

Moderator: Ladies and gentlemen, good evening and welcome to Larsen & Toubro Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. P. Ramakrishnan from Larsen & Toubro. Thank you and over to Mr. Ramakrishnan.
P. Ramakrishnan : Yes, thank you. Good evening, ladies and gentlemen. A very warm welcome to all of you to the Q4 FY '26 Earnings Call of Larsen & Toubro. The earnings presentation was uploaded on the stock exchange and on our website around 6:20 PM. Hope you have had a chance to take a quick look at the number s and the presentation details.
I will first walk you through the important highlights for Q4 FY '26 and the full year FY '26, followed by an overview of our strategic plan for the next 5 years, that is Lakshya 31, after which we will take questions. Kindly note that when the Q&A session starts, I will also have with me our Deputy Managing Director and President, Mr. Subramanian Sarma, and our President, Whole -time Director and CFO, Mr. R. Shankar Raman.
Before I begin the overview, the important disclaimer from our end. The presentation which we have uploaded on the stock exchange and our website today, including the discussions we may have on the call today, may contain certain forward -looking statements concerning our business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.
I would request you to go through the detailed disclaimer which is available in Slide 2 of our earnings presentation which was uploaded earlier today. I'll start with a brief overview of the economic conditions in India and in the Middle East, the two primary geographies for our Projects and Manufacturing business, along with a qualitative update on our business operations.
The economic growth in India for FY '27 is expected to be around 6.9%, supported by resilient household demand, sustained public capital expenditure , and continued strength in the services sector. Growth conditions, however, remain subject to external headwinds, including geopolitical developments, global energy supply dynamics, softer external demand, and periods of financial market volatility.
The headline inflation is expected to remain below 5%, staying within the medium -term comfort

range. The inflation dynamics may nonetheless be influenced by pressures from elevated energy prices, higher logistics costs, and the volatility in the global commodity markets.
Weather -related uncertainties, including the possibility of El Nino conditions, could also affect agriculture output and food price trends. Persistently high fuel prices may have implications for

fiscal calibration over the medium term. Nonetheless, the domestic economy remains supported by sound macroeconomic fundamentals, with steady demand providing resilience, even as growth becomes sensitive to external and climate -related influences.
Across the Middle East, the economic impact of the ongoing conflict in West Asia can be viewed across immediate and medium -term horizons. In the near term, disruptions to energy production and export

s, constraints on key trade routes, and a weakening in confidence have weighed on economic activity across the region. Despite these pressures, the GCC has demonstrated resilience, underpinned by low public debt levels, substantial foreign exchange reserves, and strong sovereign balance sheets that have helped preserve currency stability, banking sector soundness, and fiscal discipline. In the medium term, assuming an improvement in geopolitical conditions and as reform initiatives gather pace, the region's underlying growth potential remains intact. While global economic fragmentation continues to influence trade flows, investment activity, and overall sentiment, the Middle East's structural strengths and reform momentum provide a constructive foundation for medium -term growth.
Against this broader regional backdrop, let me now update you on our operations in the Middle East.
On the Middle East situation, we would like to clarify that all our project sites are functioning as of date. All our employees and workforce are safe, and none of our projects have been cancelled. The Middle East remains a strategically significant market for Larsen & Toubro, and as of 31st March '26, we have an order book of almost Rs 3 trillion coming from the region.
While we do anticipate some near-term impact on execution primarily due to supply chain constraints, we are working closely with our clients on alternate routes and logistic arrangement s to ensure minimal disruption. We largely operate with the Government -owned clients on priority national projects, and our clients have been extremely supportive throughout this period. So far, we have not seen any project cancellations, and the payments from clients continue to be received as per schedule.
While we did observe some deferments in project awards during the period when the conflict was most active, the bidding activity since then has resumed and we do not foresee cancellations of projects in which we are actively participating. In terms of input costs, the most significant impact has been in logistics and insurance, which have increased materially. We engage in active discussions with the clients to seek appropriate relief for such costs.
Having covered the macro landscape and also having provided an update on the Middle East, I would like to now share a few key highlights for the quarter and for the year.
We start with Infrastructure. We witnessed strong ordering traction across both domestic and interna tional markets during the year. On the domestic front, we witnessed strong momentum in the private sector ordering across our Buildings and Factories, Minerals and Metals, and Heavy Civil Infrastructure businesses. Internationally, we benefited from ongoing opportunities in energy transition and core national infrastructure projects in the Middle East, while our expansion initiatives in Central Asia progressed steadily.

I come to Energy now. In FY '26, the Energy segment secured multiple high-value orders across Onshore, Offshore, Carbon Lite Solutions , and Offshore Wind. The wins spanned across Saudi Arabia, Qatar, and India in the Hydrocarbon space, while CarbonLite orders were largely domestic private sector driven. During the year, the company achieved a major milestone in its Offshore Wind business by securing a critical role in the prestigious HVDC offshore wind program of TenneT, the Dutch -German transmission system operator. These mu

ltiple high-value
orders enabled the Energy segment total order inflow to cross Rs 1 trillion for the first time on an annual basis.

I now go to Hi-Tech Manufacturing. This business focused on strategic partnerships to enhance the technical and commercial depth across the Precision Engineering & Systems and the Heavy Engineering businesses. The key initiatives included a consortium with Bharat Electronics for the AMCA program, a partnership with General Atomics to manufacture Medium Altitude Long Endurance (MALE) drones in India, and an MoU with Holtec International Asia for advanced heat transfer solutions for nuclear and thermal power applications.

I now come to the IT and Technology Services domain. The Data Center business rebranded as Larsen & Toubro Vyoma advanced its growth agenda by commissioning the 12 MW capacity at Kanchipuram, with an additional 6 MW at an advanced stage of commissioning, bringing the total capacity available to 30 MWs , positioning the platform to drive L&T's hyperscale data center expansion, catering to high-performance computing and advanced data storage requirements. L&T Semiconductor Technologies strengthened its power module design capabilities through an acquisition during the year.

I come to Financial Services. In July 2025, L&T Finance received its debut international investment -grade ratings from S&P Global and Fitch. In Q1 FY '26, it also expanded into Gold Loans business through an inorganic route.

I come to Development Projects. In line with the Lakshya 2026 objectives, that's the period between FY '22 and FY '26, L&T has made significant progress in its planned exit of the concession portfolio. The company has executed Share Purchase Agreement (SPA) to divest its 100% stake in Nabha Power and its entire stake in Hyderabad Metro. Both these transactions are expected to achieve closure in Q1 FY27 .

Coming to L&T Realty. For the year, the primary focus of the Realty business was to create a simplified and scalable structure through consolidation of all the group Real Estate undertakings under a single platform. Accordingly, the company initiated the transfer of its Realty business undertaking to L&T Realty Properties, a wholly -owned subsidiary, through a slump sale under an approved NCLT scheme of arrangement. In addition, the Realty business has also more than doubled its pre-sales to Rs 94 billion in FY26 , aided by successful launches in Noida and Panvel.

I come to ESG side of the company. The company's MSCI ESG rating was upgraded from BBB to A in November 2025. The company was also ranked 2nd among the Top 200 Environment Firms globally in the 2025 list published by the New York -based Engineering News -Record.

On the financing front, L&T became the first Indian corporate to issue an ESG bond under SEBI's sustainability -linked bond framework, aligned with its commitments to water neutrality by 2035 and carbon neutrality by 2040. The company also secured a USD 700 million sustainability -linked trade finance facility from a commercial bank with the pricing linked to key ESG KPIs, including greenhouse gas emission intensity and freshwater withdrawal.

Now, I will cover the financial highlights for FY26 .

On order inflows, we had guided for a growth of 10% for FY26 at the start of the year. I am pleased to share that we have significantly surpassed this guidance, driven by strong order wins across multiple sectors. These include several ultra-mega orders spanning Hydrocarbon - Onshore and Offshore, Offshore Wind, CarbonLite S olutio

ns, Renewables, and Heavy Civil
Infrastructure, reflecting the strength and diversity of our EPC projects portfolio.

On the revenue front, growth for FY26 stood at 12% compared to our guidance of 15%. The variance was primarily attributable to subdued execution progress in certain domestic projects, more particularly within the Water and Effluent Treatment business as well as delays arising from pending clearances on a few projects. In addition, progress on some domestic and international projects were also impacted in the month of March '26, which is typically a peak execution period for our business, because of the disruptions arising from the West Asia conflict.

We wish to inform that with respect to the water projects, we have seen an improvement in collections during Q4. We are hopeful that this trend will sustain with the execution momentum improving as we move into FY27 . Importantly, some of the previously delayed approvals and clearances are expected to come through, which should also support improved execution going forward.

On Margin, we had guided for an improvement of 20 basis points in FY26 . Through the first nine months of the year, we were tracking ahead of this guidance with P&M margins improving by 30 basis points. However, execution -related disruptions during March had a short -term impact on project performance, which weighed on the margin delivery in Q4.

On our Return on Equity, as of 31st March 2026, stood at 15.5% and declined by 80 basis points on a YoY basis. Please note that the return on equity includes an impact of 110 basis points arising from a one-time provision on account of changes in the Labo ur Code.

We will now cover the various financial performance parameters for the quarter ended 31st March 2026.

Order inflows in Q4 FY26 stood at Rs 898 billion, broadly in line with Q4 FY25 levels, supported by healthy traction across both domestic and international markets. With this sustained ordering momentum, our order book stands at Rs 7.40 trillion as of March 2026, a 28% YoY increase and providing a strong revenue visibility. The group revenues grew 11% YoY, led by steady progress across major projects, despite the impact of the West Asia situation. The Projects and Manufacturing portfolio margin declined by 50 basis points YoY to 9.4% and is largely reflective of the change in the revenue mix.

As of March 2026, the Net Working Capital to Revenue ratio improved sharply to 4.1%, reflecting an improvement of 690 basis points on a YoY basis. Our Recurring PAT at Rs 53 billion reported a growth of 5% YoY. The Reported PAT for Q4 FY26 is at Rs 53 billion and is down by 3% YoY, as the previous year had an exceptional one-off due to a part reversal of an earlier impairment provision.

I now move on to individual performance parameters.

During the quarter, our group order inflows stood at Rs 898 billion, broadly in line with our previous year, driven by the sustained traction in the international business. Within this, our Projects and Manufacturing portfolio recorded an order inflow of Rs 699 billion, down 3% YoY. During the current quarter, international orders accounted for 67% of the Projects and Manufacturing portfolio, compared to 71% in the corresponding quarter of the previous year.

Moving on to prospects pipeline, our prospects pipeline for FY27 is Rs 17.8 trillion as compared to Rs 19.02 trillion at the same time last year, reflecting a decline of 6%. Of the total prospects pipeline of Rs 17.8 trillion, Rs 9.1 trillion is domestic, while Rs 8.7 trillion is international. I will pr

ovide the details of the prospects when I cover the Lakshya 31, since there are certain changes in the way our segments will start getting reported from the next financial year.

Moving on to Order Book. The order book is at Rs 7.40 trillion as of March '26, up 28% vis-à-vis March '25. In terms of composition, approximately 92% of our total order book is from Infrastructure and Energy, while in terms of geography, 48% of the order book is from the domestic market while 52% from international markets.

The breakdown of the domestic order book of Rs 3.58 trillion as of March '26 is as follows , Central Government 's share is 9%, State Government and Local Authorities 22%, Public Sector Corporation or State-owned Enterprises at 30% and the Private Sector taking up 39%. It is worth highlighting that the Private Sector share has risen meaningfully from 21% in March '25 to 39% in March '26, supported by strong traction in the thermal power sector, storage solutions, residential and commercial real estate, semiconductor fabrication facilities, data centers, solar EPC projects, and emerging opportunities for building capacities in the ferrous and non-ferrous space.

Out of the international order book of Rs 3.82 trillion, around 78% is from Middle East and 22% from the rest of the world. With respect to additional details on our order book, around 9% of the total order book is funded by bilateral and multilateral agencies. As of March 2026, slow - moving orders constitute roughly 1% of the overall order book, and Rs 170 billion worth of orders were deleted from the order book during the quarter. Further details are available in the accompanying presentation slides.

Coming to Revenues, our group revenues for Q4 FY26 was Rs 828 billion and registered a YoY growth of 11%, with international revenues constituting 53% of the total group revenues during the quarter. The revenue growth was mainly driven by Hi -Tech Manufacturing, Energy, and Financial Services segments, partly offset by subdued progress in the Infrastructure segment.

The revenue from the Projects and Manufacturing business in Q4 FY '26 is Rs 628 billion, up 11% over the corresponding quarter of the previous year.

Moving on to operating margin, our group -level EBITDA margin, excluding other income, for Q4 FY '26 is 10.4% as compared to 11% in Q4 of the previous year. The decline in EBITDA margin is largely reflective of the revenue mix, as the previous year Q4 had h igher revenue contribution from Realty. Also, the previous year margin included the TOD monetization gain in Hyderabad Metro. The EBITDA margin in the Projects and Manufacturing business for Q4 FY '26 is at 9.4% and has declined by 50 basis points from 9.9 % in Q4 FY '25.

Our Recurring PAT for Q4 FY '26 is at Rs 53 billion, up by 5% on a year -on-year basis. The increase in recurring PAT is reflective of increase in the activity levels and treasury management, partly offset by losses in CarbonLite Solutions JVs. The reported PAT for Q4 FY '26 is at Rs 53 billion, down by 3% over Q4 of last year. The Q4 FY '26 exceptional items include part reversal of Labour Code provision. Q4 FY '25 represents the partial reversal of an earlier impairment.

The group performance, the P&L construct, along with the reasons for major variances under the respective function heads, is provided in the earnings presentation. You may go through the same for further details.

Coming to Working Capital . Our NWC to Sales ratio has improved from 11% in March '25 to 4.1% in March '26, mainly supported by higher customer advances and increased vendor credit. Our group -level collections, excluding financial services, for Q4

FY '26 is Rs 667 billion vis -a-

vis Rs 682 billion in Q4 of the previous year. With continued focus on customer collections, our cash flow from operations, excluding the financial services segment, in Q4 FY '26 was at Rs 171 billion, as compared to Rs 107 billion i n Q4 FY '25. Our Group Cash flows, excluding financial services, has been given in the annexures, along with reported cash flows, to enhance the clarity on the cash flow movements between the financial services and the rest of L&T.

Finally, the trailing 12 -month ROE for Q4 FY '26 is 15.5% vis -a-vis 16.3% in Q4 FY '25, a decline of 80 basis points for the year. The trailing 12 -month ROE, excluding the impact of the one-time provision related to Labo ur Code, stood at 16.6%.

Very briefly, I will now comment on the performance of each business segment before we give our final comments on the outlook.

We start with Infrastructure. The Infrastructure segment order inflow at Rs 435 billion grew by 26% in Q4 FY '26 on a Y -on-Y basis, aided by the receipt of an ultra -mega order in the Middle East. The order book of this segment is at Rs 4.23 trillion as of March '26. The book -bill for Infra is around 27 months. The Revenue for the quarter was at Rs 397 billion, registering a growth of 2% on a year -on-year basis. The subdued progress in the domestic and internati onal projects led to a softer revenue growth. While pickup in Revenue was anticipated for Q4, the execution was impacted by spillover effects of the West Asia conflict. Our EBITDA margin in this segment improved to 8.8% in Q4 FY '26 vis -a-vis 8.0% in Q4 FY '25, largely due to a favorable job mix.

Moving on to the next segment, Energy Projects, which comprises Hydrocarbon and CarbonLite Solutions. The order inflows in this segment were robust at Rs 213 billion in Q4 FY '26, having a mix of both domestic and international projects, as compared to Rs 322 billion order inflow in the previous year. The order book of this Energy segment is at Rs 2.58 trillion as of March '26, with the Hydrocarbon order book at Rs 1.95 trillion and the CarbonLite Solutions at Rs 0.63 trillion. The Q4 FY '26 revenues for the segment was at Rs 166 billion, reflecting a strong 36% growth and underscoring execution progress on a large order book. The Energy segment margin in Q4 FY '26 is at 6.5% as compared to 8.2% in the Q4 of the previous year. Cost overruns and closeout costs in legacy projects impacted the segment margin. As mentioned in the previous quarter, we expect the margin to improve in this segment post a couple of quarters.

Moving on to Hi -Tech Manufacturing segment, this comprises the Precision Engineering Systems and the Heavy Engineering businesses. The Heavy Engineering order inflows benefited from nuclear equipment orders, while the PES order inflows moderated due to def errals. The order book of this segment is Rs 353 billion as of March '26, with the PES order book at Rs 289 billion and the Heavy Engineering order book at Rs 64 billion. The segment revenue at approx. Rs 49 billion registered a robust growth of 45% year -on-year, driven by execution ramp -up in the large programs in the PES business. Heavy Engineering revenue decline in Q4 is largely attributable to a modest order book. The segment margin is largely reflective of the job mix.

Moving on to the next segment, which is the IT and Technology Services segment, which comprises our two listed subsidiaries LTM and L&T Technology Services, including our newly incubated business of Digital Platforms, Data Centers and Semiconductor Design. The revenues of this segment at Rs 141 billion in Q4 FY '26 registered a growth of 13% Y -o-Y. The operational efficiencies in LTM and portfolio recalibration in LTTS drives the segment margin impr

ovement. I will not dwell too much on this segment as both the companies in this segment are li sted entities and the detailed factsheets are available in the public domain.

We move on to L&T Finance. Here again, the detailed results are also available in the public domain, but briefly I will summarize. The Q4 witnessed the highest ever quarterly retail disbursement and improved collection efficiencies as well as asset quality . The L&T Finance business has secured 98% retailization of its loan book as of March 2026. The ROAs remain healthy at 2.4% for Q4 FY '26.
Moving on to the Development Project s segment, this segment includes Hyderabad Metro and the Power Development business comprising of Nabha Power. As mentioned earlier, L&T has signed SPAs for the divestment of Hyderabad Metro and Nabha Power. Accordingly, the assets and liabilities of both these investments, or these SPVs rather, have been classified as "Held for Sale" in the financial statements for March '26. We expect both the transactions to achieve closure this quarter, that is Q1 FY '27.
During the quarter, Hyderabad Metro reported a net loss of Rs 1.79 billion in Q4 FY '26 vis -a-vis a net loss of Rs 0.07 billion in Q4 last year. The previous year included the TOD monetization gain of Rs 1.87 billion in Hyderabad Metro.

Moving on to the Others segment, this segment comprises Realty, Valves, Construction Equipment and Mining Machinery, Rubber Processing Machinery and the residual portion of Smart World and Communication business. The segment revenue stood at Rs 16.9 billion, recording a decline of 29% Y -o-Y, primarily due to the lower handover of residential units in the Realty business vis -a-vis the previous year, which also weighed on the segment margin overall.
I will now cover our Strategic Plan for the next five years starting FY '27, ending FY '31, termed as Lakshya 31, and as well conclude with the guidance for FY '27. First, we will cover the Lakshya '26, the previous plan.
So, on the delivery side against an FY '21 base, the company scaled meaningfully across two growth metrics, order inflow and revenue. The order inflows increased from Rs 1.7 trillion in FY '21 to Rs 4.4 trillion in FY '26, translating into a 20% CAGR vis -a-vis the planned 14%. The revenue grew from Rs 1.4 trillion to Rs 2.9 trillion over the same period, delivering a 16% CAGR reflecting consistent execution against the earlier estimated assumption of 15%. While ROE printed below the stated target, the progress achieved has been significant moving from around 10% at the st art of the plan to 16.6% in FY '26. While at 16.6%, this excludes the impact of the new Labor Codes in the current year. This improvement demonstrates sustained momentum towards long -term return objectives.
Over the period, the performance was supported by a series of deliberate strategy -led actions. Value -accretive growth within the Projects and Manufacturing portfolio anchored in disciplined capital employment, reflecting in a structurally higher ROCE , the merger of L&T Infotech and Mindtree to build scale and depth in technology and IT services , successful progression of Development Project exits from the with the divestments of the Hydel asset, L&T Infrastructure Development Projects IDPL, Nabha Power and Hyderabad Metro, thereby leaving no residual legacy assets in the portfolio , disciplined capital returns through a buyback and early investments to seed future growth engines such as Data Centers , Green Energy and Semiconductor Design.
Second, on the macro environment that the company expects to operate in the medium term. The domestic environment continues to be supported by a durable structural growth narrative with a GDP growth on a 6% to 7% trajectory

driven by a sustained investment cycle across both
physical and digital infrastructure. Against this backdrop, the opport unity set remains expansive and multi -year in nature spanning infrastructure creation, energy transition, defense and technology -led services . Energy security and energy transition are progressing in parallel, spanning coal and nuclear on one hand, and renewables, battery energy storage systems and grid infrastructure on the other. Defence spending is increasingly driven by indigenization as the country seeks to build strategically independent platforms with a strong emphasis on modernization and innovation within the country. Private sector capex remains selective but is increasingly struct ural and sustainable with enterprises sharply focused on disciplined execution and return focus. In parallel, India's emergence as a preferred global capability hub is reinforcing the GCC engine as enterprises continue to scale captive cent ers to access hi gh-quality talent and support transformation agendas in a cost -competitive and resilient manner. At a global level, the operating landscape is evolving amid geopolitical realignments and a measured retreat from

open -ended globalization towards trade architectures prioritizing resilience over cost efficiency . The energy transition is accelerating as a strategic risk hedge rather than a pure economic choice while deeper AI adoption is driving productivity gains and reshaping the workforce. Against this backdrop, the Middle East capex remains purposeful and resil ience -focused anchored in long -term national priorities and diversification agendas.

Thirdly, the Company has updated its segment -level reporting framework with the earlier Projects and Manufacturing structure being now formally redesignated as Projects, Products and Manufacturing, PP&M. The only material change is the segregation of the Realty as a standalone reporting segment while all other businesses remain broadly comparable with sele ctive internal realignments to sharpen the strategic focus.

As part of this realignment, the Company has consolidated its Energy - Green EPC business under a Green Energy reporting segment within the new PP&M structure. The segment comprises Renewables, earlier it was under Infrastructure Projects, and Offshore Wind, which was earlier forming part of Hydrocarbon in the Energy segment, along with the Onshore Wind business, thereby unifying the group's Green Energy EPC capabilities under a single segment. Separately, the Development Project segment earlier comprising assets such as Nabha Power and Metro has been repositioned towards green assets, including operating green hydrogen and green ammonia production facilities under a BOO framework. For clarity, while these projects are align ed with the energy transition theme, the Development Projects segment remain outside of PP&M, reflecting the fundamentally different capital structures, investment horizons, and the asset ownership characteristics of these bus inesses.

The Construction Equipment & Industrial Product Design, and Development business, which was earlier part of the Other s segment will now get reported under the Manufacturing and Product s segment.

We have presented the historical data of revenue and margin for the last five years for ease of reference as part of the Lakshya 31 deck, which is included in the Q4 earnings presentation.

I will now mention the order prospects for FY '27 and comparative for FY '26 under the new segment classification. As mentioned earlier, we have a total prospects pipeline of Rs 17.8 trillion for FY '27, vis -a-vis Rs 19.02 trillion for which we had for FY '26. The breakup of the prospects pipeline is as follows.

Infrastructure & U tilities segment - the prospects pipeline is Rs 9.4 trillion for FY '27 as compared to Rs 8.1 trillion for the previous year. Of the infrastructure pipeline for FY '27, Rs 6.8 trillion is domestic while Rs 2.5 trillion is international. The sub -breakup of the various businesses within this Infrastructure & Utility segment is as follows : Transportation Infra share is 23%, Heavy Civil Infra share of 20%, Power Transmission & Distribution share at 18%, Buildings and Factories share at 17%, Water Effluent & Treatment share at 16%, and Minerals and Metals sha re at 6%. Coming on to the Energy - Conventional segment, the prospects pipeline is Rs 5.4 trillion for FY '27, vis -a-vis Rs 7.6 trillion in the same period last year. The prospects pipeline of Rs 5.4 trillion consists of Hydrocarbon prospects of Rs 4.7 trillion and CarbonLite

Solutions prospects pipeline of Rs 0.7 trillion. 83% of the Hydrocarbon prospects pipeline is international, while CarbonLite S olution prospects are largely domestic.

The Energy - Green segment prospects pipeline is Rs 2.5 trillion for FY '27, as compared to Rs 3.0 trillion in the previous period. The prospects pipeline of Rs 2.5 trillion consists of Solar EPC pipeline of Rs 1.8 trillion and Offshore Wind pipeline of Rs 0.71 trillion. 78% of the Solar EPC pipeline is international while Offshore Wind is completely international.

The Manufacturing and Product s segment prospects pipeline is Rs 495 billion for FY '27, vis -a-vis Rs 294 billion for FY '26. The FY '27 pipeline comprises of Heavy Engineering projects of Rs 122 billion and the Precision Engineering & Systems pipeline of Rs 373 billion. Just to add, the previous year had prospects of gas -to-power projects of Rs 0.6 trillion which we have not pursued and hence is not forming part of the FY '27 prospects list.

Coming on to fourth on strategy and outcomes, Lakshya 2031 is structured around scaling and upgrading existing business, while building selective future engines.

• In the Projects business, the priorities are margin stability, selective geographic diversification, private sector capex focus, and technology -led execution.

• The Manufacturing and Products portfolio is cent ered on advanced and complex engineering capability across the PES business (including foray into Electronics), Heavy Engineering, and Construction and Industrial products. The Defense business will be anchored on platform and system indigenization, strengthened through strategic partnerships, and sustained investments in R&D and IP creation. The Industrial Electronics is being scaled through focused positions in robotics and automation, communication platforms, and electronic system design and manufacturing, aligning the portfolio with structurally growing technology -intensive end markets. Within Heavy Engineering, priorities is on deeper integration across the nuclear value chain while consolidating leadership in the oil and gas segment.

• Realty, under Lakshya 31, the Realty business is planned to scale through a disciplined strategy focused on land acquisitions or joint development, partnered integrated township development, and selective expansion of the commercial portfolio. The plan envisages reinforcing leadership by strengthening the brand's position as the most trusted and preferred in the sector. In parallel, sustained focus will be plac ed on operational execution and governance standards to support listing readiness.

• Development projects, as outlined earlier under the segment reporting change, the Development Projects portfolio is being selectively reoriented towards asset ownership in the Green Hydrogen and Green Ammonia manufacturing facilities under a BOO framework, leveraging L&T's integrated end -to-end capabilities across the value chain. Market

participation will be calibrated and selective, focusing on domestic and export opportunities, supported by firm long -term take -or-pay arrangements. The strategy is underpinned by strong strategic partnerships for investment and off -take, alongside a disciplined focus on internal rate of return. I come to technology platforms and services.

Under Lakshya 31, LTM aspires to double revenues over five years driven largely by organic growth and select inorganic moves, while sustaining competitive mid -teen operating margin and a more balanced, resilient portfolio. Under Lakshya 31, LTTS is reposit ioning itself as a global engineering intelligence partner, supported by deeper client relationships and sustained investments in talent, IP, and AI -driven delivery models. The Lakshya L31 targets 13% to 15% revenue CAGR growth for over five years with EBI T margins of 16% to 17%, reflecting a structurally stronger and higher -quality growth profile. In Data Centers, the objective is to scale the business via hyper scale alliances, AI -ready infrastructure, and sovereign private cloud offerings. In the Semiconductor Design, we will be focusing on strengthening our capabilities to cater to Mobility, Industrial, and Energy sectors.

L&T Finance, the focus of L&T Finance will be to deliver resilient growth with consistent returns, balancing scale -up with prudence across the cycle. The strategy emphasizes disciplined portfolio expansion and strong risk management with targets of 20% plu s loan book growth, while maintaining credit costs below 2%. The financial outcomes under the plan are calibrated to deliver a 3% to 3.2% ROA and a 16% to 18% ROE, reinforcing sustainability of returns while scaling the franchise.

I come to capital allocation during the L31 period. On capital allocation, our approach is anchored around funding our long -term growth plan while safeguarding returns, balance sheet strength, and financial flexibility. Our capex strategy has a twofold obj ective. The first objective is to focus on strengthening the core business through capability upgrade, automation initiatives, and project -led capex to enhance execution efficiency and competitiveness. The second objective is directed towards selective see ding and scaling the future growth engine s, including Data Centres, Green Hydrogen, Semiconductors , and Industrial Electronics .

Within the new business over the plan period, we envisage a capital outlay of approximately Rs 50 billion towards Industrial Electronics , Rs 30 billion into the Semiconductor business largely for the creation of proprietary IPs, Rs 150 billion in Green Hydrogen where we are also actively evaluating options for strategic partnerships to optimize capital deployment, and around Rs 100 billion towards the Data Center business. It is important to note that for the Data Center business, we are currently evaluating multiple business and partnership models. Accordingly, the pace and scale of investments may change depending on the final structure adopted.

We are allocating almost Rs 44 billion for the Realty business, primarily to fund development of commercial real estate. In addition, the parent will provide near -term support for land acquisition for upcoming residential or mixed -use projects. Thereafter, the entity, or the business , may explore external fundraising options including debt and/or equity. Additionally, we plan to invest around Rs 50 billion for upgradation of our existing hydrocarbon modular fabrication yard and the shipbuilding facility.

As part of our Strategic Plan, we are adopting a business -specific leverage approach. At L&T Finance, leverage will support growth. In the Green Assets portfolio, the focus will be on project financing basis. For Realty and new businesses, leverage will be aligned to the business model adopted. Overall, the returns to

shareholders over the next five years will be a function of the

cash flows generated by the PPM business and the timing and scale of investments in the new growth areas. I will now conclude with the guidance for FY27 and Lakshya 31.
First, the guidance for FY27. Order Inflow - Our prospects pipeline of Rs 17.8 trillion for FY27 is providing a strong visibility. Based on this visibility and the opportunities we are pursuing, we expect the group order inflows to grow in the range of 10% to 12% in FY27.
On Revenue, we expect growth to be in the range of 10% to 12% for FY27. We do anticipate a softer first half primarily due to the current supply chain disruptions, with a pickup happening in the second half as these constraints ease. Encouragingly, we are alre ady seeing improved momentum in the water projects, with some payments coming through in March and in a few projects where starts were delayed due to pending clearances which have now been received.
On Margins, as referenced in the Lakshya slide on the new segment structure, we will now present Infrastructure and Utilities, Energy Conventional, Energy Green, and Manufacturing and Products together under the Projects, Products and Manufacturing overall portfolio, PP&M. The key difference in this reclassification is that Realty is excluded and being presented as a separate segment. On this reclassified basis, the FY26 margins for Projects, Products and Manufacturing was 7.8%, and we expect the same to be stable as well in FY27 as well.
Coming to Working Capital, we closed the year at 4%, largely supported by customer advances received during the last quarter and a higher vendor credit. As these advances get progressively utilized, we do expect some normalization in working capital levels. Accordingly, we a re guiding the working capital to be around 10% in FY27, which remains well within our targeted range. Kindly note that this guidance that I provided for FY27 is basis our current expectation that there will be overall broad normalcy aft er Q1. We will revisit and update this guidance as required in July when we report our Q1 FY27 results.
Concluding with the Lakshya guidance, over the next five years, we are targeting order inflow growth at a CAGR return of 10% to 12%, revenue growth of 12% to 15%, and a Return on Equity in the range of 16% to 17%. The ROE guidance reckons in upfront investments into the newer business and platforms, which we believe will begin to meaningfully scale and contribute to profitability in the la tter part of the planned horizon. With this, I conclude. Now we can get into Q&A.
Moderator: Thank you very much. Your first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Yes. Good evening, sir, and thanks for the opportunity, and congratulations on a very strong order inflow . Given the challenges , my first question is order book has grown by 19%, 22%, and 28% in the last three years. Of course, I understand that the war is on, and it is difficult to forecast in near term, but do you think that the revenue growth trajectory can improve materially once the geopolitical condition improves?
P. Ramakrishnan: Yes, so as I sai d, we have given the revenue guidance of 10% to 12% for FY27, basis the fact that the first six months will be subdued, given the fact of the situation that is happening in the

Middle East. We expect by the end of Q1 the conflict to subside and normalcy to get restored, which will take another two months. So hopefully, the second half of the FY27 will be a more, busier second half. So , we have factored this while giving the guidance of 10% to 12%.
But as you see, when I talked in the last part of my speech, I did say that we are taking ourselves a target of 12% to 15% Revenue CA

GR over the L31 plan, which obviously means that it also factors the fact that FY28 onwards the revenue growth momentum should get stabilized, assuming external condition and all other things remaining favourable.
Mohit Kumar: Understood. My second question is, since there has been a revenue miss in Q4, given that we were reasonably confident of meeting revenue guidance till Q3, and consequently looks like the margin improvement has not come through in this quarter. Is it correc t assessment? And how much should you attribute it to geopolitical situation?
P. Ramakrishnan: It's a little difficult question, but okay, let me put it like this, that on a broad basis, we would

have lost in terms of revenue almost Rs 50 billion in Q4 just on the course of supply chain issues that impacted both largely on the Infrastructure side , the projects that we are executing in the Middle East, Power Transmission & Distribution , and Renewables . And as I mentioned in my speech, we have also had some slippages in the Water segment, but these slippages in the water segment has been throughout the year.

So we did expect because the Jal Jeevan Mission program, the purse strings were loosened sometime end of Q3, and we thought that we would be able to retrieve the lost ground. Unfortunately, in that segment, the execution has been a little patchy. So net -net, because of these three segments or sectors, Power Transmission in Middle East, Renewables in Middle East, and Water, I would say that the overall slippages in revenue will be in the range of almost Rs 50 billion for the quarter.

Moderator: Thank you. The next question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi PR, and congratulations on a decent quarter. So sir, I just wanted to understand a little bit more in detail on the risk which are currently emanating from the Middle East order book, which is fixed price in nature. In fixed price contracts , in case of commodity inflation, time and cost overruns , how do we cover ourselves? What kind of contractual provisions we have from the client side to compensate us in case of, is there any force majeure clause? Can you give some more colour on all these things, especially on the risk side?

Subramanian Sarma: Okay, Parikshit, this is Sarma here. Let me take this question. Firstly, instead of calling it as a risk, I think as I see it, there are more opportunities than risk at this point in time. Because all my interactions with major customers, I think they have laid down a major capital expenditure plan to expand capacities. In fact, we believe that in the subsequent quarters, we will see many more prospects coming our way. I think the pipeline should only strengthen. In terms of order inflow, I do not see that as a risk; in fact, it could be an upside. But what you talk about inflation and cost increase due to inflation, I think we have spoken about this before. Many of our

contracts, we have the ability, particularly on the infrastructure projects, we have provisions for price adjustments based on increases.

And some of the energy projects, generally they are fixed lump sum. But I think the customer is quite sympathetic with the situation, and in the preliminary discussions we had, they are very open to have a dialogue. And I'm expecting that we should have so me reasonable, fair negotiations on that to compensate at least the cost, if not anything else. So overall, I do not see that as a big risk. And we'll have to see how things unfold, but currently the environment is, I would put it as overall positive.

Parikshit Kandpal: And sir, the bigger risk will be inflation according to you or it will be supply chain risk because of the freedom of navigation being restricted on performance? So which will be the bigger risk? I was saying sir, so is supply ch

ain a bigger risk here or i nflation is a bigger risk here? And also on, the margins, which you were carrying before the crisis began - Do you think that even currently you are well covered on those margins or are you seeing any major disruptions there, and only negotiations with the client can resolve that? So how do you attribute these factors on the margin?

Subramanian Sarma: The biggest risk is the supply chain, but it is continuously getting better. I mean, there are much better movements now between the GCC countries and some alternate routes have opened up. Of course, the cost is high, and therefore we are sort of taking a very, very measured approach. If the customer is agreeing to that increased cost of logistics because he wants to push the project and keep the progress, then we are moving the material, otherwise we are playing a little bit of wait and watch game because we don't want to incur the cost and then depend on the negotiations.

So I think it's a delicate balancing. That's why PR said that in the first two quarters, you may see a little bit of a slowdown on the revenue depending on how much material we are able to move without incurring additional cost. But there are cases where the customer is still very keen to proceed with the jobs and then he's ready to compensate, then we have no problem in moving the material.

Parikshit Kandpal: Okay. And just last thing on the prospects pipeline, sir. I mean this has declined this year. I think earlier PR mentioned that. In the current environment, how is the client taking decisions on how the capex will shape up for the rest of the year, given there is so much of uncertainty? What are the commentary you are hearing with the customers? Is there any change in the capex outlook ? Are there any newer segments emerging? So , if you can give some more colour how it is changing the nat ure of capex post this crisis?

Subramanian Sarma: I mentioned this earlier. I think the capex narrative is quite positive. In fact, you would have seen in the press also that in UAE, they had a very major conference I think earlier this week, where they announced major expansion plans on close to about US D 55 billion of capital outlay in the next three to four years. And they are easing out lot of local requirements and things like that because they want to push their capacity. I think the same thing will happen in Kuwait and

in Qatar. I think in the, coming two or three quarters, I mean, maybe not two -three quarters, but in the next few quarters, you will see a lot of projects getting announced.

Parikshit Kandpal: Okay. Sure, sir. Thank you, and wish you the best. Those were my questions.

Moderator: Thank you. The next question comes from Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi, good evening, sir. Sir, while speaking about the long -term order inflow guidance, you've indicated that you'll be looking for selective geographical expansions. So just wanted to understand which geographies could we look at? Can Europe be a bigger opp ortunity for us after the TenneT order? If you could just highlight something around that.

P. Ramakrishnan: So okay , it is like this. Over the last, I would say the Lakshya 26 period, apart from India and Middle East, we just set ourselves some amount of projects into the Central Asia Republics . So we do expect the momentum to get strengthened soon. And then we have also set ourselves into the Offshore Wind segment, which is more Europe -centric.

We do believe that , that part of the world can offer us more opportunities in select segments, not necessarily all the segments that L&T caters to. We're also planning, as part of our Tech initiatives, we are also looking to expand into EPC through modular systems, which means that we will try to reduce our site intensity, which means we can in

a way become geography agnostic

by making maximum items in our fabrication shops either in India or Middle East and getting it shipped to the global destination.

So for example , we did for a urea plant in Australia, which is actually an EPC contract, but most part of it got modularly fabricated in our Chennai Kattupalli yard, and thereafter it was shipped, and it was only some amount of local commissioning work that was done. So these kinds of fabrication models also we are pursuing, which will enable us to cater to a larger EPC universe instead of focusing on the traditional site-based activity.

And some newer geographies in Offshore Wind could also be apart from Europe, can be also Korea and Taiwan. Hopefully, I think some opportunities also shaping up. And R enewables in Southeast Asia as well.

Aditya Bhartia : Sure, sir. And you hinted at some conversations that are happening with customers in respect of cost compensation. In the past, have we seen this level of increase in raw material prices ever and customers in the Middle East being okay to kind of enter into negotiations? I just want to understand what have our experiences been and how the scenario played out during such disruptions, let's say during even COVID.

Subramanian Sarma : Yes, I mean in the past also we had, maybe not in the short period of time, we did not have so much of increase because oil prices. But there has been similar situations and customer response has been quite reasonable. I mean even the current dialogue and discussions we are having, they seem to be quite receptive.

Aditya Bhartia : Sure, sir. Thank you so much.

Moderator: Thank you. The next question comes from Amit Anwani from PL Capital. Please go ahead.

Amit Anwani : Hi, sir. Thank you. Thanks for taking my question. So first question on the Middle East, the 40% book exposure which we have, amid this war, has the duration increased and what is the current duration of that Middle East book which is roughly about Rs 3 lakh crores ?

And second, in terms of projects, including Offshore Hydrocarbon, Onshore Hydrocarbon, and Renewable, what is the mix and which portion is actually seeing the major impact in the Middle East basis your current assessment there?

Subramanian Sarma : What was the first question?

Amit Anwani : The duration of the Middle East order book because of the…

Subramanian Sarma : It's not really. I mean most of the projects what we have in the, say let's put it as I mean let's recap, I think we have majority our projects are in hydrocarbon onshore, offshore, and on the renewable space, right, in terms of value. Now, in Renewable space our track record in the past

has been that we have been finishing these jobs ahead of time, at least two to three months ahead of time. I think even if you assume that this two three months are lost, because of this disruption, we will be still be able to finish the projects on time, if not earlier. So I do not expect any delay.
When it comes to Hydrocarbon Onshore, where we are today with respect to the projects which are currently under execution , either they are in a very early phase of engineering and procurement, or they are in the later phase of construction where the material delivery and logistic challenges are not going to impact significantly the overall duration.
And I think the Offshore, except one project where we are scheduled to move some of the stuff from our yard in Oman to the work site which is held up, rest of the projects are again moving reasonably okay, but this is also a long gestation project, the completion is sometime in 2028

second half.
So, we have adequate time to recoup even if there is some dislocation. So overall, I do not see that there is going to be a major extension in the project portfolio. So that's the first one. What was the second one? I think it covers also the second question.
Amit Anwani : Yes. So sir, I think I just wanted to also understand in terms of you mentioned about shipping and logistics cost going up, so any basis point impact or increase in these cost you must have seen in these two months if you could highlight that also?
Subramanian Sarma : No, we said now we are very carefully calibrating that. We are not going ahead and incurring the cost unless the customer is ready to reimburse, and otherwise we are kind of slowing down and we'll move the material when the cost comes down. It is coming already coming down.
It used to be $8,000 per container, now it has come down to $5,000 and maybe hopefully it will come down furth er even as the time progresses.
P Ramakrishnan : Amit, I did mention that logistics cost have gone up and insurance cost gone up, but I also told that we are on active discussions with the customer to ensure that these cost increase , how we

are able to pass it on to the same . The discussions with the clients are happening at a very, very intense level in terms of the overall project timelines, and the customer also understands that.
We don't think at this juncture it is premature to comment about any impact per se.
Amit Anwani : Right. Second on the Lakshya plan, whatever growth you are building in, so if possible for you to highlight since we are getting into a lot of focused areas and you said we'll be scaling up there.
So what is the Infra versus non-Infra growth build up which is happening?
And same, I think it would be better to understand the PPM margin of 7.8%. How that will increase ? If I recollect you said 7.8% will be 7.8% this year also, how that will pan out in the Lakshya plan? Any understanding on these two will be helpful.
P Ramakrishnan : Amit, let me put it like this, the guidance is on the Return on Equity. Return on Equity is a factor of how much are we ensuring the overall improvement in the numerator which is profitability and also how much of investment s that is the denominator part.
So all of these things are a function of that. In fact, in Lakshya 2026 plan also we only focused on the Return on Equity target because on a five-year horizon to talk about margin I think is a little difficult, especially for our business of PPM.
I guess we will stay put with that number. And what was the first question you asked? The PPM margin guidance of 7.8.
Amit Anwani : What is the revenue non-infra versus infra?
P Ramakrishnan : Now, this is being done at an overall level, so I think we will stay at the group level at this juncture. Each year we'll give the breakup possibly between the relevant businesses, but at this juncture, I think we'll keep it at a group level, the revenue momentum or CAGR growth.
Amit Anwani : And sir, lastly , if I may, on the Data Center, you talked about some Rs 10,000 crores capex towards that business, and so if I may understand , you talked about some technology types you are exploring on that, the partners.
So is it that we'll be doing EPC only or will be operator also leasing these Data Centers, and what exactly would be the kind of target we are looking for during this Lakshya plan in terms of Megawatt of data centers if you can give some color?
R. Shankar Raman : Shankar Raman here, let me answer this. In terms of data centers, there are two distinct business models that are possible.

One is the where you develop a sophisticated commercial real estate and based on tenancy, you collect your yields. That's one kind of data center business. We are not excited about that. What we want to do is make sure our data center is AI enabled, which means that we will have servers and GPUs which will enable high computing to be done. And for which , obviously global hyperscalers would be one client set, but there are also quantum

computing organizations which would be another client set.
At the moment , the thinking is that, about 200 megawatt worth of data center capacity we could create over time. And as you might know, initially we've created 30 MW, and another 30 MW

is under construction in Mahape . The first 30 MW is in Kanchipuram in Chennai. Our idea is between Vizag, Bangalore, and Mumbai, we should be able to put together this 200 MW capacity but that will come in modules. The effort would be to see whether we can do some build -to-suit, meaning that we have an arrangement with both the server chip supplier, GPU supplier, as well as the end user. And the MoU that we have with Nvidia is precisely towards that, that once we assure a certain capacity being created and of the type that would interest certain large organizations, then we'll also go into the market and generate. Now w hat returns they would give, it's a little speculative at the moment because the cost of setting up the data center and how you populate the data center will drive the returns.
Our guess is it should be able to give about 13%, 14% return at the optimal level, which will have combination of hyperscalers and non-hyperscalers. But we'll have to figure out as we go along. At the moment we are trying to curate the market, develop supply chain, and also create facility from the ground up. That's the thinking. Maybe the full benefit of these investments will flow in the 2031 -2036 plan.
Amit Anwani : Sure, sir. Thank you so much. All the best.
Moderator: The next question comes from Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore : Good evening, thanks for the opportunity. Congratulations to PR on elevation of role to CFO.
My first question -- the only question is that Projects, Products and Manufacturing margin have been range -bound between 7.7% to 7.8% for the last three years. The guidance again is 7.8%. Over this period, if I look at the segmental breakup, Energy conventional margins have been coming off sequentially from FY24 to FY26 and all other segments have seen improvement. You have been calling out that the Hydrocarbon sub-segment has been a drag on the Energy segment margins and there are unexecuted legacy order book here.
So how large is this unexecuted legacy order book, and are the ultra-mega orders that you have booked in this segment, aren't those going to sort of drive margin improvement going forward or would they have a long gestation period and initial period of execution which is why you are guiding to stable margins? Because our thought process , I think was the two quarters down the line you will have margin improvement in energy segment. So slightly long question but I think this is very important to understand your thought process here? Thank you.
P. Ramakrishnan : Okay, Sumit, thank you. And while I was covering the Energy segment, I made a specific mention . This Energy segment margin movement softness has been discussed in the previous call also, and I've been telling you that we have had certain legacy projects which are at their terminal stages of completion. And most of these projects have got completed, th

ey have been
almost in the verge of handing over to the client and what will be left out is what you call the Defects Liability Period.
We believe so far as the Hydrocarbon is concerned, those projects have got completed and we should not see any further cost creeps happening from those because the projects have been handed over. And I did talk about in the call today that we expect the segment margins to move

this up as we get into the newer projects that are under execution. But it is also important for me to say that this is all a status update as of a particular point of time. And when we gave the guidance for stable margin for FY '27, I did refer to the fact that the Q1 and Q2, considering that the execution momentum could be a little softer because of the situation in Middle East impacting both supply chain into Middle East and also possibly even the local projects. This has been factored in that the momentum of execution being a little softer in H1 FY '27, while we are guiding a stable margin profile for FY'27.
Sumit Kishore : So, as the situation normalizes, the normalized run rate of PPM margins will not be stuck at 7.7%, 7.8%, there might be an improvement?
P. Ramakrishnan : I am only giving you guidance for stable margins for FY’27. I do not want to give a number , because as you know, this is a portfolio of jobs. There are some jobs which do well. There are some jobs which can have some challenges. But having said this, we have communicated that

Energy margins went down because of the projects. Those projects have got closed . And hopefully, logically speaking, the margin should be improving in that segment in the coming quarters.
Sumit Kishore : My only worry is that ultra-mega stage of execution should not or if it becomes an impediment to margin improvement in this segment two quarters down the line because those orders will be at early stage of execution.
Subramanian Sarma : No, we do not envisage anything of that sort now, at this point in time. We're also working on recovering some of the costs which we have incurred with customers on the earlier jobs.
P. Ramakrishnan: But since we cannot account for that , as and when they get crystallized, it may can come directly as a margin. But time will tell.
Sumit Kishore : Thank you so much, sir, and wish you all the best. Thank you.
Moderator: Thank you. The next question comes from Atul Tiwari from JPMorgan. Please go ahead.
Atul Tiwari : Yes, sir. First, could you give some more details about your foray into electronic manufacturing services in terms of how big the capex will be and what are the timelines , and any other details in terms of customers or specific segment you will enter into?
P. Ramakrishnan : So I did indicate that we are setting Rs 50 billion as the capex for this particular business. It is essentially going to be Industrial and Defense related electronics. In fact, our PES business already has a small amount of what we call Defense -related electronics business. That is being taken out and put in this overall Electronics part. The capital investment outlay in this plan is as I said Rs 50 billion or Rs 5,000 crores which will be incurred over a period of time, but essentially it will cater to industrial automation, robotics automation
The electronic components that are inputs for these kind of industrial applications is what we are targeting. We are not looking at consumer B2C segment in this particular space today.

Atul Tiwari : Okay. And sir, what is the update on your bid for AMCA development and th

e Medium Altitude
Long Endurance platform as well?
Subramanian Sarma: I think what we mentioned in the AMCA during the January call, I think the status update continues to remain the same. Apart from us, there is one more counterpart who are there in the fray. Let us see. We do not have much further to say beyond what we stated in January.
Atul Tiwari : Okay, sir. Thanks. Thanks a lot.
Moderator: Thank you. The next question comes from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati : Yes, thank you so much and congrats PR for your elevation. My question is first on the Revenue line - where you talk about 12% to 15% revenue. How much of it would be driven by your existing business and how much do you think the new businesses should drive?
P. Ramakrishnan: I would say that 12% to 15% of the CAGR growth that we have put in L-31, mostly would be from the existing businesses.
Puneet Gulati : Okay, great. And on the ROE also, your previous target was 18%. This time you've restricted to 16% to 17%. How should one think about that?
P. Ramakrishnan: So Puneet, last time 10% to 18% when we gave that guidance was on the basis of, I would say, the concession projects coming completely off. In fact, Hyderabad Metro was supposed to be off in FY'23 -FY '24 itself during the plan. But it is happening in FY '27. We also had an option of the margin improvement and also the working capital intensity.
We factored the buyback and we did not have that much of capital intensity in the last plan in so far as this time is concerned. So when I'm giving the guidance of 16% to 17%, if you just add up the numbers of the investment that we are talking about, be it Electronics, be it Green Energy, be it Data Center, , the 12% to 15% revenue growth is all coming from what you call largely PPM and the ITTS portfolio. These large investments, most of them will be in the investment phase and maybe at the end of the plan, they may actually be getting into a revenue generation phase. So, we have factored all of this while giving the ROE targets of 16 to 17%. And so, the only one aspect I would like to specifically mention is, the profitable return -accretive growth in P&M . If you see in our presentation at the end, we've also given the return ratios of the various businesses. If you see the return ratios of the P&M from FY22 to '26, it has more than doubled. So, although the margins could have moved southward, but the return ratios have gone up because we have had profitable growth , or stable profitable growth , at lower capital intensity and hence improving the return thresholds.
And what we stated as buyback was also one. Second was the complete exit on the concession's portfolio. Of course, it took time. But as we speak now, that part of the portfolio is now virtually done and dusted.
Puneet Gulati : Understood. That's very clear. That's all from my side . Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Priyankar Biswas from JM Financial. Please go ahead.
Priyankar Biswas: Thank you for the opportunity and of course, congratulations to you, PR. My first question is for the 10% to 12% growth that you have guided in the Lakshya plan, that is till FY31. So, if you can elaborate a bit, what sort of growth you are baking into your plan from Middle East and let's say from the other regions because of geographical diversification?
P. Ramakrishnan: Okay, so Priyankar , today if structurally speaking, if you see the old P&M or the new PPM business excluding Realty , I think the way we've been seeing the l

ast three years is technically
order inflows are 50% domestic, 50 international. It is primarily because that given L&T's size, I don't think just the working in India would suffice. And we have we expanded our credentials and our competency bandwidth into multiple segments and now we are considered as one of the top-notch EPC contractor s in Middle East for a variety of segments.
And we do expect that apart from the primary geography of India, the next important geography is Middle East and some parts of Europe . I talked about Indonesia for renewables and maybe offshore wind for Korea, Taiwan apart from Europe. All these things , I think are going to be a sustainable order prospects geographies for us.
So given this kind of a little more expansive geography, I think at this juncture, what we can talk is 50-50 as the order inflow intensity between domestic and international may continue.
Subramanian Sarma: And the new geographies may contribute 5%.
P. Ramakrishnan: For I nternational , I think, you can assume 50-50 mix to continue.
Priyankar Biswas: So, would it be fair that Middle East would actually continue, based on what Sarma -sir also highlighted about Middle Eastern prospects, that the growth that had happened, we have seen like strong growth in the Middle East, so that should continue during the plan period? Would it be a right thing to assess?
Subramanian Sarma : Yes, Middle East will continue to be our core market. I mean, for us to provide that kind of growth, we cannot provide without Middle East. And we are very optimistic about that region.
Priyankar Biswas: So, that's very helpful. So, Middle East can still deliver, let's say, a double -digit type growth .
And finally, one more thing, like if you can elaborate on your real estate plans. So, we had already achieved, if I heard it right, Rs 94 billion in pre-sales in FY26, right?
P. Ramakrishnan: Correct.
Priyankar Biswas: So, by FY31, let's say in the Lakshya plan, what sort of scale for L&T's Realty that you see, both in terms of sales and let's say pre-sales?
R. Shankar Raman : See, Shankar Raman here. The plans we are currently pursuing is about 100 million square feet, between residential and commercial. The plan is about 70% will be residential, 30% will be

commercial. The commercial will provide me the annuity cash flows to sustain quarters when you don't have ramp -up of residential.
In so far as Residential is concerned, there are two calls we have taken. One is to position ourselves as a premium housing provider. So, we will not get into this mid-size, mid-scale housing complexes, we'll get into larger. And within that, we'll try to get into township -kind of situations rather than single buildings. And we've also decided that there are a few markets where return per square feet is the highest. For example, Mumbai is one such, NCR is another. So maybe our focus would be in markets where the return ratios are superior as compared to more subdued market like maybe Hyderabad, for example.
So, the approach is, that as we find opportunities, we'll also have to find capital. Because this is a capital -intensive activity. Much of the land that L&T currently owns, have been in the monetization mode for the last few years. So, looking forward, by the time Lakshya 31 ends, I don't think we'll be left with much land out of L&T's bank. So, it has to be land acquired at current prices and sold at current prices post-development. And that would mean the capital calls will have to be frequent and consistent. One of the reasons why we are restructuring the Realty busines

s is at some point in time to enable the company like Financial Services to be market -
facing. The access to capital would be determined by the opportunities in those select markets

and for the type of development I spoke to you about. So, it would be fair to say that this 100 million square feet that we are currently citing, about 60-65 is both completed and under active development.
So really futuristically we are looking another 30 million square feet now over the next five years, we possibly might look at another 100 million square feet. I think that would possibly peak our execution capacity as well as balance sheet exposure.
P. Ramakrishnan: Just to add one more, that CAGR growth in pre-sales is over the Lakshya 31 is around 25% is assumed in Realty.
Priyankar Biswas: So, this is a sales or a pre-sales CAGR you are saying 25% in Lakshya plan?
P. Ramakrishnan: CAGR growth of pre-sales , I said .
Priyankar Biswas: For pre-sales, okay. sir, if I may just squeeze just one more in, if just can you just give, the capex number that you planned for FY27, so just trying to model out the intensity over the years? So at least what should be it, a ballpark number for FY27?
P. Ramakrishnan: So, you can take Electronics at Rs 10 billion, Rs 1,000 crore, normal projects part of our capex we can take around Rs 25 billion for the core PP&M business. And Rs 10 billion for the electronics part of the business. Data Center, we can take maybe around another Rs 10 billion ,it can be more than that. It can be around Rs 20 billion as the spend for the current year.
Priyankar Biswas: Okay, sir. That's broadly from my side. Thank you so much.

Moderator: Thank you. The next question comes from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah : Yes, thank you so much for taking my question. In the last quarter, you mentioned that out of the five L1s that we had in Kuwait, four have been cancelled and one was going ahead and re-tendering was expected in four of those. So, what is the status of those projects in Kuwait?
Subramanian Sarma: Okay. so, Nidhi on Kuwait, like we said, out of the four, three were cancelled, and we are hoping one will survive. And the good news is that, as we know, it has survived. I think it has been going through the approval process, and the project will go ahead, and it is under approval of various stakeholders.
Nidhi Shah : And do we have any update on the re-tendering? I mean, I know it is early days considering the conflict, but are you hearing anything?
Subramanian Sarma : Re-tendering will happen during this year.
Nidhi Shah : Thank you so much.
Moderator: Thank you. The next question comes from the line of Renu Baid Pugalia from IIFL Capital . Please go ahead.
Renu Baid Pugalia: Yes, hi, good evening, team. Thanks for the opportunity. One question was wanting to understand while you have outlined Rs 50 billion capex for the overall electronics portfolio, in the current month or earlier last month , you've already commissioned the factory in Coimbatore . Wanted to understand here, does your five-year capex include any investment in the supply chain and the ecosystem for electronics segment like OSAT, etcetera , or it would be purely EMS focused in investments that you've outlined of Rs 5,000 crore?
P. Ramakrishnan: Nothing on OSAT, Renu. It is all on the traditional electronics only.
Renu Baid Pugalia: Short targeting EV, solar inverter kind of solutions that you have alread y.
P. Ramakrishnan: Robotics and all that stuff.
Renu Baid Pugalia: Robotics Perfect. Yes. And secondly, going through and listeni

ng through whatever you have discussed so far, it clearly looks that the share of manufacturing across the various segments including EPC when you look at international with a modular approach will see significant increase in the share ? So, would it be right to assume that while some of the newer areas or emerging segments are in capital -intensive mode and hence will optically depress your ROE over a five-year period, but the core portfolio which we are running through should definitely be inched 18%, 20% plus ROE along with the growth and margin expansion that we are gunning at?
P. Ramakrishnan: That's a fair assumption we can make, Renu. Yes.

Renu Baid Pugalia: Perfect. that's it. Thank you, so much and best wishes, team. And it was always a pleasure interacting with you, RSR, for all these years. We'll miss you, and yes, PR, welcome and best

wishes in your new role.
R. Shankar Raman : I'm going nowhere; I am in the company for two more years, so you can continue to have the pleasure of interacting with me.
Renu Baid Pugalia: Yes, sure, sir.
R. Shankar Raman : Thank you.
Renu Baid Pugalia: Thank you.
Moderator: Thank you. The next question comes from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: Yes, thank you for the opportunity. Two questions from my side. The first question is more on reconstruction capex . As you see through, do you have a certain TAM that you have for overseas ? Is it already factoring in some part of reconstruction capex ? What are customers actually saying? And linked up to this, any thoughts on the capex in Iran, whether you will participate over there? That's the first question.
Subramanian Sarma: Well, on the reconstruction or reinstatement, whatever you call it, I think the numbers are still very fluid at this stage, and because there's good amount of assessment happening, some amount of repairing work is already happening, but from what I have gathered, the number can be anything between $30 billion and $50 billion over the next three years. That's what is being assessed . But very difficult to sort of put a finger on it. I mean to tell you honestly, but it will be in that range.
Aditya Mongia: Understood. Just the last question from my side. When you think through the investments beyond EPC, is it more to do with the fact that you want to be in a certain ROE range of 15%, 17% and then a Rs 50,000 crore s number pops up and then you divide it across buckets ?
P. Ramakrishnan : Can you repeat the question?
Aditya Mongia: Is there a constraint, so what we're trying to say is that - the numbers that you kind of gave to us in terms of investments beyond EPC in Hydrogen, Semiconductors, and so on and so forth - Is the thought process more bottom -up like w here do we want to be five years from now? Or is it constrained by us being in a certain 16%, 17% ROE band, and thus, we have only as much to invest for the next five years? I'm just trying to say how much clear line of sight does the company have, and is the balance sheet a constraint?
R. Shankar Raman : Shankar Raman here. Balance sheet is not a constraint. I think, first and foremost, we want to be future -ready. We do believe that the businesses that we are currently in will continue to have strong momentum going forward, at least in the context of next five years. So, we want to use that phase to create alternate streams of Revenue and Cash Flow, and to do that we need to chalk out certain investment.

If the company requires Capital, and given the fact we have such

a credible track record in the
financial markets, we should be able to go out and raise capital. That is not the concern at all. But what we are all the while worried is responsibility for returning value on the capital. Just because capital is available, we don't want to just scatter it around. We just want to make sure that the investments are measured and we keep the risk-adjusted return in view all the time for your sake.
Aditya Mongia: Got it. thanks a lot for response. So those are my questions, sir.
Moderator: Thank you. The next question comes from the line of Bharanidhar Vijayakumar from Avendus Spark. Please go ahead.
B. Vijayakumar: Yes, good evening. Am I audible?
P. Ramakrishnan: Yes.
B. Vijayakumar: Yes, okay. Congrats first of all to PR. My first question is on Qatar . We know that the world's largest LNG facility has been impacted, and likely to be repaired. So, when you mentioned this $30 billion to $50 billion of repairing or reconstruction opportunity in the next three years, are you considering this as well, and do we have a role to play in this gas projects also?
Subramanian Sarma: I mean, I don't have a breakdown by country by project because that kind of information is not available. It is that $30 billion to $50 billion per my judgment or my assessment and is based on my discussion with various senior executives, and it does include the LNG train as well. Two trains are affected. In that, currently, we do not have much role to play because it will go back to the people who built it earlier. But what it will do is that, it will keep some of my competition busy in that, so it will provide me a better opportunity for the other bids where I'm involved.
B. Vijayakumar: Okay. Great. Second question is on the areas like Semiconductors and Data Centers. Like Rs 10,000 crore s of investment in data center indicates incremental 200 megawatt of data center capacity. We initially had 100 MW, so is that the right understanding, that we are doubling our

expectation?
R. Shankar Raman : No, the understanding about doubling expectations is right because we need to scale to be able to attract the type of clients we want to cater to, we need to have scale. But the linkage of Rs 10,000 crore s to 200 megawatt is not linear because it depends on the type of data center that we want to put up, etcetera. It can vary anywhere between Rs 35 crore s per megawatt to Rs 350 crore s per megawatt, depending on how we want to populate it. So, at the moment, what we are trying to pursue is this, but the configuration of 200 MW will actually evolve as we go along.
B. Vijayakumar: Sure. Even similarly on semiconductor, we had through the Fujitsu JV and Silicon ch Systems plan to do design rather than fabrication. So, the new capex of around Rs 3,000 crore s you mentioned, is it on similar lines or anything more in fabrication or new that we are planning?

R. Shankar Raman : No, it is largely towards acquisition of IP wherever there are white spaces, plus creation of lab facilities. So, it is not getting into fabrication or OSAT.
B. Vijayakumar: Okay. And my final question is on the domestic execution. So, one month has passed in this financial year, and I think there would be impact due to the supply chain costs, labour, even on domestic execution. Your thoughts on that?
P. Ramakrishnan: When I gave the guidance for FY27, I did mention in my script saying that Q1, Q2 will have an impact, mostly from Middle East, but for domestic also there will be some impact because of supply chain.
B. Vijayakumar: Sure, understood. All the best and thank you so much.
P. Ramakrishna

n: Thank you.
Moderator: Thank you. The next question comes from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : Yes, hi, sir. First of all, congratulations on managing the risk pretty well vis-a-vis global peers in last two, three years, particularly in Middle East. Mr. Sarma, particularly, I just want to understand, do you think in the next 6 to 12 months, the conditions on Infra versus Energy projects in Middle East are going to be very divergent, and you see lot of re-bid and reissue of Infra tenders or reworking of infra tenders, or you think that is unlikely? I just want to understand the risk profile of the infra book we have vis-a-vis the energy book. I am very comfortable with the Energy book, but if you can help us on the Infra order book in Middle East, sir.
Subramanian Sarma: No, the Infra projects are also coming up. We are in the essential Infra space. We are not in the resorts and hotels and things like that. And those essential infra projects will go ahead, definitely in Saudi, definitely in UAE, and I think the rail transport network will expand. If at all in this crisis, post this disruption for t he next few months , I think generally there will be more investment and more prospects. That's the impression I carry.
Amit Mahawar : True. And a quick one, sir. You know, if we talk to Saipem, Samsung in Europe and Korea, etc., they are all looking at re-build opportunities, in Iran also. Do you think the availability of manpower in the next 6 to 12 months is going to be difficult and expensive? Any color on manpower, sir? That's it. Thank you.
Subramanian Sarma: Yes, manpower continu es to be a challenge even in India also. That's why we have laid down in our Lakshya 31 - Technology -Enabled Execution. We will look at opportunities to see how we can do more automation. We have done a lot actually in this space, and we'll continue to work on that to see how we can improve productivity by using latest technology and automation and reduce our dependency on manpower.
Having said that, it's not going to be replaced. I mean, it will be only reduced. We will also look at modular solutions. So do it at the place where we have access to workforce. So, a combination of these interventions will have to be used to overcome that challenge.
Amit Mahawar : Sure, sir. Thank you very much, and good luck.

P. Ramakrishnan: Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Mr. P. Ramakrishnan for closing comments.
P. Ramakrishnan: So, thank you, ladies and gentlemen, for the patient listening. I hope all the queries we have been able to articulate our FY26, FY27, and L31 story quite properly. Thanks for your time and once again good night. Thank you.
Moderator: Thank you. On behalf of Larsen & Toubro Limited, that concludes this conference. Thank you

everyone for joining us and you may now disconnect your lines. Thank you.